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TAB 8



Board of Education Report

File #: Rep-325-23/24, Version: 1

Resolution of the Board of Education of the Los Angeles Unified School District approving and authorizing the issuance of Judgment Obligation Notes and Bonds, the execution and delivery of Revolving Credit Agreement(s), an Indenture and Related Documents, an Official Statement, a Validation Proceeding, and Related Actions, all for the purpose of refunding Obligations incurred by application of Assembly Bill Number 218 and similar claims for tort liability.

June 18, 2024

Office of the Chief Business Officer

Action Proposed:

Approve the attached resolution (Attachment A) relating to the issuance of Judgment Obligation Notes and Judgment Obligation Bonds (the “Judgment Refunding Resolution”) for the purpose of refunding all or a portion of significant involuntary tort liability obligations arising as a result of pending and anticipated litigation brought by application of California Assembly Bill Number 218 (“AB 218”) and similar childhood sexual assault, abuse and/or molestation claims for tort liability, and authorize the designated officers as described in the attached resolution, to execute all instruments necessary, as legally permissible, to establish and carryout the Judgment Refunding Program.

Background:

This Board Report seeks Board approval of the Judgment Refunding Resolution, which is a resolution that authorizes both interim and long-term refundings of anticipated significant involuntary tort liability obligations arising as a result of litigation brought by application of AB 218 and similar claims for tort liability (the “Judgment Refunding Program”).

AB 218, which became effective January 1, 2020, extended the statute of limitations for commencing an action for recovery of damages suffered as a result of childhood sexual assault to 22 years after the plaintiff reaches the age of majority (i.e., until age 40) or within five years of the date the plaintiff discovers or reasonably should have discovered that the psychological injury or illness occurring after the age of majority was caused by sexual assault, whichever is later. AB 218 also revived a three-year window to file certain claims that were previously barred and excluded certain claims from the procedures set forth in the Government Claims Act. The District is defending a significant number of lawsuits arising from AB 218 and similar childhood sexual assault, abuse and/or molestation claims for tort liability.

Given the potential liability amounts likely to result from these claims, payment of such obligations in full upon conclusion of the related litigation would result in significant impacts to the District’s budgetary resources in fiscal year 2024-25 and future fiscal years, which impacts can be mitigated and managed by refunding such obligations and amortizing the liability over time under the Judgment Refunding Program.

Expected Outcomes:

Approval of the Judgment Refunding Resolution will authorize necessary documents, including the Resolution, Revolving Credit Agreement, Fee Agreement, Indenture and Supplemental Indentures, Bond Purchase

Agreement, Continuing Disclosure Certificate, and Official Statement.

Approval will also enable the District to establish the Judgment Refunding Program. Given the potential liability amounts likely to result from the tort claims discussed above, payment of such obligations in full upon conclusion of the related litigation would result in significant impacts to the District's budgetary resources in fiscal year 2024-25 and future fiscal years. The Judgment Refunding Program would be established to mitigate and manage these impacts by refunding the tort liability obligations and amortizing the liability over time, therefore, lessening any potential impacts to the District's core education programs in the near term.

Board Options and Consequences:

Should the Board not approve this item, staff will not be authorized to proceed with the Judgment Refunding Program to mitigate and manage the liability likely to result from the tort claims discussed above. In such case, the liability resulting from the tort claims will generally be payable in full as and when the litigation with respect to each claim is concluded. Staff is unable to predict with accuracy the timing as to when the litigation with respect to such claims will conclude or the ultimate liability the District will incur. Depending on the timing and size of the liabilities, District budgetary resources may need to be shifted away from programs to pay such liabilities.

Policy Implications:

This action is in compliance with the relevant criteria set forth in Article I, Article II Section 2.02, and Article IV Section 4.12 of the Debt Management Policy.

Budget Impact:

The Judgment Obligation Notes and Bonds will be obligations of the District, payable from general fund balances and revenues. However, given the potential liability amounts likely to result from the tort claims discussed above, payment of such obligations in full upon conclusion of the related litigation would result in significant impacts to the District's budgetary resources in fiscal year 2024-25 and future fiscal years. The Judgment Refunding Program would be established to mitigate and manage these impacts by refunding the tort liability obligations and amortizing the liability over time, therefore, lessening any potential impacts to the District's core education programs in the near term.

Student Impact:

The Judgment Refunding Program would be established to mitigate and manage impacts to the District's budgetary resources in fiscal year 2024-25 and future fiscal years by refunding the expected tort liability obligations discussed above and amortizing the liability over time, therefore, lessening any potential impacts to the District's core education programs in the near term.

Equity Impact:

Component	Score	Score Rationale
Recognition	4	The Judgment Refunding Program actively recognizes historical inequities by addressing the involuntary tort liability obligations arising from AB 218 and similar claims for tort liability. These obligations result from alleged misconduct by District personnel and have led to significant legal liabilities for the District.

Component	Score	Score Rationale
Resource Prioritization	4	The Judgment Refunding Program effectively prioritizes resources based on need. The program is designed to manage the significant financial impact of tort liability obligations on the District's budget, thereby ensuring that resources can continue to be allocated effectively to meet the needs of students and the wider school community.
Results	3	The Judgment Refunding Program is likely to result in closed opportunity gaps. By managing the financial impact of significant tort liability obligations, the program helps ensure that the District can continue to provide essential services and opportunities to students, particularly those from underserved communities.
TOTAL	11	

Issues and Analysis:

This action is in compliance with the relevant criteria set forth in Article I, Article II Section 2.02, and Article IV Section 4.12 of the Debt Management Policy. This action is also in compliance with the California Constitution in that local agencies, including school districts, are authorized pursuant to the Refunding Law (Articles 10 and 11, commencing with Section 53570, of Chapter 3 of Division 2 of Title 5 of the California Government Code) to issue refunding notes or bonds for the purpose of refunding involuntary tort liability obligations of the local agency.

The Judgment Refunding Program will have a not-to-exceed amount of \$500,000,000 for pending and anticipated claims, and a not-to-exceed date of June 30, 2029, for eligible tort liabilities, as stated in the attached Resolution. A validation action, necessary to complete the program, will limit it to these parameters, and will help ensure market reception and competitive interest rates for these notes and bonds. In compliance with Section 5852.1 of the California Government Code, the District's Municipal Advisor, Public Resources Advisory Group, provides the following good faith estimates based on an assumed aggregate tort liability of \$500,000,000 and current market conditions:

- True Interest Cost: 6.10%
- Finance Charge: \$3,610,000
- Amount of Proceeds: \$500,000,000
- Total Payment Amount: \$899,190,538

These estimates are based on assumptions and market conditions at the time of preparation. Actual amounts may differ due to various factors, including market conditions at the time of issuance and the actual tort liability financed.

Approval of the Judgment Refunding Resolution will enable the District to establish the Judgment Refunding Program, which will help manage the financial impact of the tort liability obligations. The interim and long-term financing mechanisms will allow the District to refund these obligations and spread the liability over time, mitigating the immediate financial impact.

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Attachments:

Attachment A - Judgment Refunding Resolution
Attachment B - Revolving Credit Agreement
Attachment C - Fee and Interest Rate Agreement
Attachment D - Indenture and Supplemental Indenture
Attachment E - Bond Purchase Agreement
Attachment F - Continuing Disclosure Certificate
Attachment G - Preliminary Official Statement
Attachment H - Appendix A to the Preliminary Official Statement

Informatives:

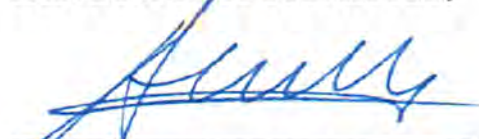
None.

Submitted:

06/05/24

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RESPECTFULLY SUBMITTED,



ALBERTO M. CARVALHO
Superintendent

APPROVED & PRESENTED BY:



PEDRO SALCIDO
Deputy Superintendent,
Business Services and Operations

REVIEWED BY:



DEVORA NAVERA REED
General Counsel

APPROVED & PRESENTED BY:



DAVID D. HART
Chief Business Officer

☒ Approved as to form.

REVIEWED BY:



NOLBERTO DELGADILLO
Deputy Chief Business Officer, Finance

☒ Approved as to budget impact statement.

RESOLUTION NO. _____

RESOLUTION OF THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT APPROVING AND AUTHORIZING THE ISSUANCE OF JUDGMENT OBLIGATION NOTES AND BONDS, THE EXECUTION AND DELIVERY OF REVOLVING CREDIT AGREEMENT(S), AN INDENTURE AND RELATED DOCUMENTS, AN OFFICIAL STATEMENT, A VALIDATION PROCEEDING, AND RELATED ACTIONS, ALL FOR THE PURPOSE OF REFUNDING OBLIGATIONS INCURRED BY APPLICATION OF ASSEMBLY BILL NUMBER 218 AND SIMILAR CLAIMS FOR TORT LIABILITY

WHEREAS, the Los Angeles Unified School District (the “District”) anticipates a significant estimated exposure to not less than 275 claimants and/or plaintiffs who may obtain final judgments or orders for monetary damages against the District following concluded litigation or stipulated settlement (each such judgment or order which is entered against the District by the applicable court or courts and which is not subject to appeal or further appeal, or which the District has indicated that it will not appeal, being referred to herein as, a “Judgment” and, collectively, the “Judgments”) by the applicable court or courts, including, without limitation, the California Superior Court before which several claims are currently pending, as a result of pending and anticipated litigation brought by application of California Code of Civil Procedure Section 340.1 and California Assembly Bill Number 218, chaptered by the California Secretary of State on October 13, 2019 (“AB 218”) and similar childhood sexual assault, abuse and/or molestation claims for tort liability; and

WHEREAS, the nature of the claims of the claimants and/or plaintiffs which obtain such Judgments (each a “Judgment Obligor” and, collectively, the “Judgment Obligors”) are reasonably known to the District and, to the extent that each presents facts supportable and actionable including by application of AB 218, are considered comparable for purposes of the District’s determination of monetary liability and budget implications; and

WHEREAS, the aggregate monetary liability and settlement costs relating to the Judgments, both pending and anticipated, has been estimated by the District to be approximately \$500,000,000; and

WHEREAS, such costs deemed payable in full upon the conclusion of litigation would result in significant impacts to the District’s budget in fiscal year 2024-25 and future fiscal years which the Board of Education of the District (the “Board”) finds necessary to mitigate and manage; and

WHEREAS, the District is authorized pursuant to Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code to issue refunding notes or bonds for the purpose of refunding any evidence of indebtedness of the District; and

WHEREAS, the Board has determined that it is in the best interests of the District to refund, from time to time, the District's obligations to the Judgment Obligees evidenced by the Judgments; and

WHEREAS, for the purposes of providing interim satisfaction and refunding of the District's obligations to the Judgment Obligees evidenced by the Judgments, the Board has determined that it would be in the best interests of the District to enter into one or more flexible, short-term borrowing instruments or revolving lines of credit (each substantially in the form on file with the Executive Officer of the Board, with such changes, insertions and omissions as are made pursuant to this Resolution and as may be supplemented and amended in accordance with its terms, being referred to herein as, a "Revolving Credit Agreement") with one or more banks to be selected as provided herein, each as a lender (each, a "Lender"), that will be drawn upon only as funds are needed to satisfy any Judgment or Judgments; and

WHEREAS, the District's obligations under each Revolving Credit Agreement shall be evidenced by judgment obligation promissory notes to be issued by the District as provided therein (each, a "Promissory Note" or, collectively, the "Promissory Notes") evidencing the short-term borrowing by the District; and

WHEREAS, to confirm the agreement between each Lender and the District with respect to certain commitment fees and certain other fees payable to such Lender under the related Revolving Credit Agreement, the Board has determined to enter into one or more fee agreements (each substantially in the form on file with the Executive Officer of the Board, with such changes, insertions and omissions as are made pursuant to this Resolution and as may be supplemented and amended in accordance with its terms, being referred to herein as, a "Fee Agreement") with each Lender; and

WHEREAS, to provide additional short-term borrowing options and flexibility, the District may by separate action of the Board from time to time and pursuant to its authority under applicable law, including Sections 53850 to 53858, both inclusive, of the California Government Code (being Article 7.6, Chapter 4, Part 1, Division 2, Title 5 of the California Government Code), authorize other forms of temporary borrowing by the District in the form of notes to be issued from time to time (each, a "Temporary Note" or, collectively, the "Temporary Notes" and, together with the Promissory Notes, the "Notes"), the proceeds of which are used to satisfy and refund one or more Judgments; and

WHEREAS, for purposes of providing a more permanent financing solution for the District's obligations to the Judgment Obligees evidenced by the Judgments consistent with the District's long-term budgetary objectives, the Board has determined that it would be in the best interests of the District to authorize the issuance of Los Angeles Unified School District Judgment Obligation Bonds, from time to time, in one or more series, each on a federally tax-exempt or taxable basis (the "Bonds"), to represent the aggregate amounts to be payable to Judgment Obligees in satisfaction of Judgments from time to time including, without limitation, amounts payable to (a) a Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under the related Notes, Revolving Credit Agreement, and Fee Agreement, and costs of issuance of such Notes (including

underwriter's discount or placement agent fee)), (b) Judgment Obligees directly in satisfaction of any Judgment or Judgments from time to time, and (c) holders of Bonds then outstanding which previously refunded any Notes, any Judgment or Judgments, and/or any previously issued Bonds, each as authorized herein, and (d) related costs of issuance of such Bonds (including underwriter's discount or placement agent fee and bond insurance premium, if any); and

WHEREAS, in order to provide for the authentication and issuance of the Bonds and to establish and declare the terms and conditions upon which the Bonds are to be issued and secured, including the initial series of Bonds, the District proposes to enter into, with a commercial bank, as trustee, (a) an indenture (such indenture, in the form on file with the Executive Officer of the Board, with such changes, insertions and omissions as are made pursuant to this Resolution and as may be supplemented and amended in accordance with its terms, being referred to herein as, the "Indenture"), and (b) one or more supplemental indentures in connection with the issuance of each subsequent series of Bonds (each, such supplemental indenture, in the form on file with the Executive Officer of the Board (as Exhibit B to the Indenture), with such changes, insertions and omissions as are made pursuant to this Resolution, being referred to herein as, a "Supplemental Indenture"); and

WHEREAS, the Bonds, the Notes and the obligation to pay all amounts due and owing with respect to the Bonds and the Notes, and to pay all interest thereon at the applicable interest rates to be set forth in any Revolving Credit Agreement, any Fee Agreement, the Notes, the Indenture, any Supplemental Indenture and the Bonds when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim; and

WHEREAS, the Board has determined that securing the timely payment of the principal of and interest on the Bonds by obtaining a bond insurance policy with respect thereto could be economically advantageous to the District; and

WHEREAS, this Board deems it necessary and desirable to authorize the sale of the initial issuance of publicly offered Bonds by a negotiated sale pursuant to a bond purchase agreement (such bond purchase agreement, in the form on file with the Executive Officer of the Board, with such changes, insertions and omissions as are made pursuant to this Resolution, being referred to herein as, the "Bond Purchase Agreement") to be entered into with one or more of the underwriters from the District's underwriter bench (each, an "Underwriter" and, collectively, the "Underwriters") as selected as herein provided; and

WHEREAS, Rule 15c2-12 promulgated under the Securities Exchange Act of 1934 ("Rule 15c2-12") requires that, in order to be able to purchase or sell bonds, the underwriters thereof must have reasonably determined that the issuer or other obligated person has undertaken in a written agreement or contract for the benefit of the holders of such bonds to provide disclosure of certain financial and operating information and certain enumerated events on an ongoing basis; and

WHEREAS, in order to cause such requirement to be satisfied, the District desires to execute and deliver a continuing disclosure certificate (such continuing disclosure certificate, in the form on file with the Executive Officer of the Board, with such changes, insertions and

omissions as are made pursuant to this Resolution, being referred to herein as, the “Continuing Disclosure Certificate”); and

WHEREAS, the Preliminary Official Statement to be distributed in connection with the initial issuance of publicly offered Bonds has been prepared (such Preliminary Official Statement, in the form presented to this meeting, with such changes, insertions and omissions as are made pursuant to this Resolution, being referred to herein as, the “Preliminary Official Statement”); and

WHEREAS, the Board has considerable discretion in the exercise of its powers with respect to its operating budget and the management of its fiscal affairs; and

WHEREAS, the District has previously adopted a local debt policy (the “Debt Management Policy”) that complies with California Government Code Section 8855(i), and the District’s obligations under the Revolving Credit Agreement, the Fee Agreement, the Promissory Notes, the Indenture, the Supplemental Indenture, and the Bonds as contemplated by this Resolution, are in compliance with the Debt Management Policy; and

WHEREAS, Section 5852.1 of the California Government Code requires that the Board obtain from an underwriter, financial advisor or private lender and disclose, in a meeting open to the public, prior to authorization of the issuance of bonds with a term greater than 13 months, good faith estimates of (a) the true interest cost of such bonds, (b) the sum of all fees and charges paid to third parties with respect to such bonds, (c) the amount of proceeds of such bonds expected to be received net of the fees and charges paid to third parties and any reserves or capitalized interest paid or funded with proceeds of such bonds, and (d) the sum total of all debt service payments on such bonds calculated to the final maturity of such bonds, plus the fees and charges paid to third parties not paid with the proceeds of such; and

WHEREAS, in compliance with Section 5852.1 of the California Government Code, the Board has obtained from Public Resources Advisory Group, the District’s municipal advisor (the “Municipal Advisor”), the required good faith estimates, and such estimates are disclosed as part of the agenda for this meeting; and

WHEREAS, the Board has been presented with the form of each document referred to herein relating to the actions contemplated hereby, and the Board has examined and approved each document and desires to authorize and direct the execution of such documents and the consummation of such actions; and

WHEREAS, all acts, conditions and things required by the Constitution and laws of the State of California to exist, to have happened and to have been performed precedent to and in connection with the consummation of such financings authorized hereby do exist, have happened and have been performed in regular and due time, form and manner as required by law, and the District is now duly authorized and empowered, pursuant to each and every requirement of law, to consummate such financings for the purpose, in the manner and upon the terms herein provided;

NOW, THEREFORE, THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT, DOES HEREBY RESOLVE, DETERMINE AND ORDER AS FOLLOWS:

Section 1. All of the recitals herein contained are true and correct and the Board so finds.

Section 2. The Board hereby finds and declares that (a) the entering into the Indenture and each Revolving Credit Agreement, Fee Agreement, and Supplemental Indenture, and the Bond Purchase Agreement, and the Continuing Disclosure Certificate, (b) the issuance of the Notes to satisfy and discharge related Judgments, (c) the issuance of the Bonds to refund Notes issued to satisfy and discharge related Judgments, or to refund related Judgments directly, or to refund Bonds which previously refunded any Notes, Bonds, and/or any Judgments, and (d) the other actions contemplated by this Resolution, are in the best interests of the District, necessary in the management of its fiscal affairs.

Section 3. Subject to the provisions of Section 16 hereof, the establishment of one or more revolving lines of credit with one or more Lenders and the issuance by the District of Promissory Notes to evidence such borrowings, from time to time, as specified in the Revolving Credit Agreements, each for the purpose of refunding, and evidencing the refunded Judgment or Judgments and/or any previously issued Promissory Notes which evidence a refunded Judgment or Judgments, on the terms and conditions set forth in, and subject to the limitations specified in, the related Revolving Credit Agreement, is hereby authorized and approved. Each Promissory Note shall be issued on the dates, shall be dated, shall bear interest at the rates, shall mature on the dates (unless such maturity is extended pursuant to the terms of the related Revolving Credit Agreement), shall be subject to prepayment, shall be in the forms and shall be as otherwise provided in the related Revolving Credit Agreement, as the same shall be completed as provided in this Resolution. The Lenders shall be selected by the Chief Business Officer of the District in consultation with the Municipal Advisor following a proposal process.

Section 4. The form of Revolving Credit Agreement, submitted to and on file with the Executive Officer of the Board, is hereby approved, and the President of the Board, or such other member of the Board as the President may designate, the Superintendent of the District, the Chief Business Officer of the District, the Deputy Chief Business Officer of the District and the Controller of the District, including anyone serving as an interim or provisional officer in such positions, or such other officer or employee of the District as the Superintendent may designate (the "Authorized Officers"), are, and each of them is, hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver one or more Revolving Credit Agreements in substantially said form, with such changes, insertions and omissions therein as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution and delivery thereof; provided, however, that (a) the stated Facility Maturity Date of each Revolving Credit Agreement shall not be a date that is more than 5 years from the effective date of such Revolving Credit Agreement (provided that such term may be extended pursuant to the terms of the related Revolving Credit Agreement), and (b) the principal amount available to be drawn, in aggregate, at the same time, under all revolving lines of credit established under all Revolving Credit Agreements authorized under this Resolution, shall not exceed \$250,000,000.

Section 5. As to each Revolving Credit Agreement executed and delivered by the District, the Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name of the District, to execute and issue one or more Promissory Notes and the Executive Officer of the Board is hereby authorized and directed, for and in the name of the District, to countersign or otherwise attest to the same, each in the form substantially as attached to such Revolving Credit Agreement, with such changes, insertions and omissions as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution and issuance thereof.

Section 6. As to each Revolving Credit Agreement executed and delivered by the District, the form of Fee Agreement, submitted to and on file with the Executive Officer of the Board, is hereby approved, and the Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver, one or more Fee Agreements, each to the related Lender, in substantially said form, with such changes, insertions and omissions therein as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution and delivery thereof; provided, however, that the term of the respective Fee Agreement shall be consistent with the term of the related Revolving Credit Agreement.

Section 7. Subject to the provisions of Section 16 hereof, the issuance of the Bonds, from time to time, as specified in the Indenture, for the purpose of refunding amounts payable to (a) a Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under the related Notes, Revolving Credit Agreement, and Fee Agreement, and costs of issuance of such Notes (including underwriter's discount or placement agent fee)), (b) Judgment Obligees directly in satisfaction of any Judgment or Judgments from time to time, and (c) holders of Bonds then outstanding which previously refunded any Notes, Judgment or Judgments, and/or any previously issued Bonds from time to time on the terms and conditions set forth in, and subject to the limitations specified in, the Indenture and, as applicable, a Supplemental Indenture, is hereby authorized and approved. The Bonds shall be issued on the dates, shall be dated, shall bear interest at the rates, shall mature on the dates, shall be subject to call and redemption, shall be issued in the form and shall be as otherwise provided in the Indenture and, as applicable, a Supplemental Indenture, as the same shall be completed as provided in this Resolution.

Section 8. The form of Indenture, submitted to and on file with the Executive Officer of the Board, is hereby approved, and the Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver the Indenture in substantially said form with such changes, insertions and omissions therein as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution and delivery thereof; provided, however, that: (a) the term to the final maturity date of the initial series of Bonds to be issued thereunder shall not exceed 20 years; (b) the principal amount of the initial series of Bonds to be issued thereunder shall not exceed the sum of (i) the District's obligations to Judgment Obligee(s) evidenced by those Judgment(s) to be refunded directly with net proceeds of such series of Bonds, (ii) the District's obligations to the related Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time to be

refunded with net proceeds of such series of Bonds (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under such Notes, related Revolving Credit Agreement and Fee Agreement, and costs of issuance of such Notes (including underwriter's discount or placement agent fee)), and (iii) any original issue discount and costs of issuance of such Bonds (including underwriter's discount or placement agent fee and bond insurance premium, if any); and (c) each series of Bonds issued thereunder shall otherwise conform to the limitations specified herein and in the Indenture.

Section 9. The form of Supplemental Indenture, substantially in the form attached as Exhibit B to the Indenture on file with the Executive Officer of the Board, is hereby approved, and the Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver one or more Supplemental Indentures in substantially said form from time to time, with such changes, insertions and omissions therein as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution and delivery thereof; provided, however, that: (a) the term to the final maturity date of the series of Bonds to be issued under a Supplemental Indenture shall not exceed 20 years; (b) the aggregate principal amount of the series of Bonds to be issued under a Supplemental Indenture shall not exceed the sum of: (i) the District's obligations to Judgment Obligor(s) evidenced by those Judgment(s) to be refunded directly with net proceeds of such series of Bonds, (ii) the District's obligations to the related Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time to be refunded with net proceeds of such series of Bonds (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under such Notes, related Revolving Credit Agreement and Fee Agreement, and costs of issuance of such Notes (including underwriter's discount or placement agent fee)), (iii) the District's obligations to holders of Bonds then outstanding under the Indenture, which previously refunded any Notes or Bonds or were issued in satisfaction of any Judgment or Judgments directly, and (iv) any original issue discount and costs of issuance of such series of Bonds (including underwriter's discount or placement agent fee and bond insurance premium, if any); and (c) the series of Bonds issued under each Supplemental Indenture shall otherwise conform to the limitations specified therein and in the Indenture.

Section 10. The Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name of the District, to execute by manual or facsimile signature and deliver the Bonds of each series, and the Executive Officer of the Board is hereby authorized and directed, for and in the name of the District, to countersign the same by the manual or facsimile signature each in the form substantially as attached to the Indenture and any Supplemental Indenture, with such changes, insertions and omissions therein as the Authorized Officers may require or approve, such requirement or approval to be conclusively evidenced by the execution and delivery thereof.

Section 11. The Board hereby authorizes the sale of the initial issuance of publicly offered Bonds by a negotiated sale pursuant to the Bond Purchase Agreement. The form of the Bond Purchase Agreement to be entered into in connection with the initial issuance of publicly offered Bonds, substantially in the form on file with the Executive Officer of the Board, is hereby approved, and the Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver the Bond

Purchase Agreement in substantially said form, with such changes, insertions and omissions therein as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution and delivery thereof; provided, however, that the underwriters' discount for the sale of the initial issuance of publicly offered Bonds shall not exceed 1.00% of the aggregate principal amount of such Bonds. The Underwriters shall be selected in accordance with the Debt Management Policy. In connection with the negotiated sale of the initial issuance of publicly offered Bonds, the Chief Business Officer is hereby further authorized to designate which Underwriters shall act as senior manager(s), co-senior manager(s) and co-manager(s) in accordance with the Debt Management Policy.

Section 12. The form of the Continuing Disclosure Certificate to be entered into in connection with the initial issuance of publicly offered Bonds, substantially in the form on file with the Executive Officer of the Board, is hereby approved, and the Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver the Continuing Disclosure Certificate in substantially said form, with such changes, insertions and omissions therein as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution and delivery thereof.

Section 13. The Preliminary Official Statement to be distributed in connection with the initial issuance of publicly offered Bonds, substantially in the form on file with the Executive Officer of the Board, with such changes, insertions and omissions therein as may be approved by an Authorized Officer, is hereby approved, and the use of such Preliminary Official Statement by the Underwriters in connection with the offering and sale of such Bonds is hereby authorized and approved. The Authorized Officers are each hereby authorized to certify on behalf of the District that such Preliminary Official Statement is deemed final as of its date, within the meaning of Rule 15c2-12 (except for the omission of certain final pricing, rating and related information as permitted by Rule 15c2-12). If and to the extent it is necessary to make substantial changes to the Preliminary Official Statement prior to the offering and sale of such Bonds, the use of the Preliminary Official Statement in connection with the offering and sale of such Bonds, and the certification of its finality within the meaning of Rule 15c2-12 by an Authorized Officer, shall follow the distribution to the Board of a revised draft of the Preliminary Official Statement with accompanying directions and instructions to members of the Board to review the revised Preliminary Official Statement.

Section 14. The preparation and delivery of an Official Statement with respect to the initial issuance of publicly offered Bonds, and its use by the Underwriters in connection with the offering and sale of such Bonds, is hereby authorized and approved. Such Official Statement shall be in substantially the form of the Preliminary Official Statement distributed in connection with the public offering of such Bonds with such changes, insertions and omissions therein as may be approved by an Authorized Officer, such approval to be conclusively evidenced by the execution and delivery thereof. The Authorized Officers are each hereby authorized and directed, for and in the name of and on behalf of the District, to execute the Official Statement and any amendment or supplement thereto and thereupon to cause the Official Statement and any such amendment or supplement to be delivered to the Underwriters.

Section 15. The Authorized Officers are, and each of them is, hereby authorized and directed to apply for municipal bond insurance for the Bonds of each series and to obtain such insurance if the present value cost of such insurance is less than the present value of the estimated interest savings with respect to the Bonds of each series. The Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver a contract for such insurance if such contract is deemed by the Authorized Officer executing the same to be in the best interests of the District, such determination to be conclusively evidenced by such Authorized Officer's execution and delivery of such contract.

Section 16. The issuance of the Promissory Notes in accordance with a Revolving Credit Agreement and Bonds in accordance with the Indenture, including as supplemented, authorized under this Resolution, for the purpose of refunding amounts owing to Judgment Obligees whether payable to any Judgment Obligee or Judgment Obligees directly in satisfaction of any Judgment or Judgments, to any Lender or other holders of Notes previously issued in satisfaction of any Judgment or Judgments from time to time, or to any holders of Bonds which previously refunded any Notes or Bonds which were issued in satisfaction of any Judgment or Judgments from time to time, is subject to the following limitations: (a) any Judgment or Judgments refunded by any Promissory Note or Bond authorized under this Resolution shall be entered against the District by the applicable court or courts not later than June 30, 2029; and (b) the aggregate dollar amount of Judgments to be refunded by Promissory Notes and/or Bonds authorized under this Resolution shall not exceed \$500,000,000 (excluding any interest due thereunder).

Section 17. The Authorized Officers are, and each of them is, authorized and directed, for and in the name of the District, to bring a validation action under Section 860 of the California Code of Civil Procedure to determine the legality and validity of the Promissory Notes, Revolving Credit Agreement, Fee Agreement, Bonds, Indenture, Supplemental Indenture, Judgments, and the other documents and proceedings authorized pursuant to this Resolution.

Section 18. With the passage of this Resolution, the District hereby confirms that it has adopted the Debt Management Policy and certifies that the Debt Management Policy complies with California Government Code Section 8855(i), and that the District's financing described in this Resolution and its obligations under the Promissory Notes, each Revolving Credit Agreement, each Fee Agreement, the Bonds, the Indenture, and each Supplemental Indenture, as contemplated by this Resolution, is in compliance with the Debt Management Policy, and instructs Orrick, Herrington & Sutcliffe LLP, as Bond Counsel, on behalf of the District, with respect to the Promissory Notes and the Bonds described in this Resolution, (a) to cause notices of the proposed sale and final sale of the Promissory Notes and the Bonds to be filed in a timely manner with the California Debt and Investment Advisory Commission pursuant to California Government Code Section 8855, and (b) to check, on behalf of the District, the "Yes" box relating to such certifications in the notice of proposed sale filed pursuant to California Government Code Section 8855.

Section 19. The Authorized Officers are hereby authorized and directed, jointly and severally, to do any and all things which they may deem necessary or advisable in order to

consummate the transactions herein authorized and otherwise to carry out, give effect to and comply with the terms and intent of this Resolution.

Section 20. All actions heretofore taken by the officers, employees, and agents of the District with respect to the transactions set forth above are hereby approved, confirmed, and ratified.

Section 21. The Board hereby approves the execution and delivery of all agreements, documents, certificates and instruments referred to herein with electronic signatures as may be permitted under the California Uniform Electronic Transactions Act and digital signatures as may be permitted under Section 16.5 of the California Government Code using DocuSign.

Section 22. This Resolution shall take effect from and after its date of adoption.

PASSED AND ADOPTED this 18th day of June, 2024, by the Board of Education of the Los Angeles Unified School District.

By: _____
Executive Officer, Board of Education

EXECUTIVE OFFICER'S CERTIFICATE

I, Michael McLean, Executive Officer of the Board of Education of the Los Angeles Unified School District, County of Los Angeles, California, hereby certify as follows:

The attached is a full, true and correct copy of a resolution duly adopted at a regular meeting of said Board of Education of said District duly and regularly held at the regular meeting place thereof on June 18, 2024, at which meeting all of the members of said Board of Education had due notice and at which a quorum thereof was present; and at said meeting said resolution was adopted by the following vote:

AYES:

NOES:

ABSTAIN:

ABSENT:

An agenda of said meeting was posted at least 72 hours before said meeting at 333 South Beaudry Avenue, Los Angeles, California, a location freely accessible to members of the public, and a brief description of said resolution appeared on said agenda. A copy of said agenda is attached hereto.

I have carefully compared the same with the adopted resolution on file and of record in my office. Said resolution has not been amended, modified or rescinded since the date of its adoption, and the same is now in full force and effect.

WITNESS my hand this 18th day of June, 2024.

By: _____
Executive Officer of the Board of
Education of Los Angeles Unified
School District

REVOLVING CREDIT AGREEMENT

dated as of [____], 2024

between

LOS ANGELES UNIFIED SCHOOL DISTRICT

and

[LENDER]

relating to

JUDGMENT OBLIGATION NOTES

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REVOLVING CREDIT AGREEMENT

This Revolving Credit Agreement is dated as of [____], 2024 (as amended, restated, supplemented or otherwise modified from time to time in accordance with its terms, this “*Agreement*”), between the LOS ANGELES UNIFIED SCHOOL DISTRICT, a school district duly organized and validly existing under the laws of the State of California (the “*District*”), and [LENDER], acting through its branch located at _____, and its successors and assigns (the “*Lender*”).

RECITALS

WHEREAS, the District anticipates and has budgeted in its adopted budget for fiscal year [202_-2_] a significant estimated exposure to [not less than [____] claimants and/or plaintiffs (the “*Judgment Obligees*”) which have obtained and may obtain final judgments or orders for monetary damages against the District following concluded litigation or stipulated settlement(s) (each such judgment or order which is entered against the District by the applicable court or courts and which is not subject to appeal or further appeal, or which the District has indicated that it will not appeal, being referred to herein as, a “*Judgment*” and, collectively, the “*Judgments*”) by the applicable court or courts, including, without limitation, the California Superior Court before which several claims are currently pending, as a result of pending and anticipated litigation brought by application of California Code of Civil Procedure Section 340.1 and California Assembly Bill Number 218, chaptered by the California Secretary of State on October 13, 2019 (“*AB 218*”) [and similar claims for tort liability]; and

WHEREAS, the Board of Education of the District (the “*Board*”) has determined that it is in the best interests of the District to refund, from time to time, the District’s obligations to the Judgment Obligees evidenced by the Judgments, and in furtherance thereof for the District to enter into one or more forms of interim refunding instruments such as this Agreement, and for the indebtedness hereunder to be evidenced by judgment obligation promissory notes, each issued to refund one or more Judgments as specified in each such judgment obligation promissory note (the respective “*Note*” or “*Notes*” as further defined and specified herein); and

WHEREAS, as authorized and in furtherance of the terms of the Resolution of the District adopted by the Board on June __, 2024 (the “*Resolution*”), the Board desires to cause the District to issue, pursuant to Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code and all laws amendatory thereof or supplemental thereto (the “*Act*”) and under and pursuant to the provisions of the Indenture (as defined herein), its Los Angeles Unified School District Judgment Obligation Bonds together with judgment obligation bonds as may be issued thereafter, each as specified by series designation, to refund such bonds (collectively, the “*Bonds*”), in one or more series on one or more sale dates in an aggregate principal amount not exceeding the sum of (a) the amount payable to the Lender for retirement of the Note or Notes, the proceeds of which were paid to the Judgment Obligees pursuant to and in satisfaction of the Judgment or Judgments over time as authorized in the Resolution, (b) amounts payable to Judgment Obligees directly in satisfaction of any Judgment or Judgments over time as authorized in the Resolution, (c) the costs of issuance of the Bonds (including underwriter’s discount), and (d) any original issue discount on the Bonds; and

WHEREAS, payments of principal and redemption prices of, and interest on, such Bonds will be payable on a parity basis with all Obligations (as defined herein) in respect of principal of and interest on the Notes, the Loans and the Term Loans (including, without limitation, the obligation to pay all amounts due and owing with respect to the Notes, the Loans and the Term Loans (each as defined herein), and to pay all interest thereon at the applicable interest rate set forth in this Agreement and the Notes); and

WHEREAS, the Bonds, the Notes, the Loans, the Term Loans and the Obligations (including, without limitation, the obligation to pay all amounts due and owing with respect to the Bonds, the Notes, the Loans, the Term Loans and the Obligations, and to pay all interest thereon at the applicable interest rate set forth in this Agreement and the Notes) when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim, payable from the general fund to be appropriated by the District; and

WHEREAS, each of the Notes and the Bonds are being issued, and will be issued, for the purpose of satisfying the District's respective payment and refunded payment obligations directly attributable to the related Judgment and Judgments; and

WHEREAS, the Lender has agreed to make the Loans and Term Loans secured by the Notes to refund one or more Judgments, on the terms and conditions set forth herein, to the District;

NOW, THEREFORE in consideration of the mutual promises, covenants and conditions contained herein, the parties agree as follows:

ARTICLE I

DEFINITIONS

Section 1.01. Definitions. (a) Capitalized terms used herein but not otherwise defined in subsection (b) below or elsewhere herein shall have the meanings given to them in the Resolution.

(b) The following terms, as used herein, have the following meanings:

“*AAFR*” means, for the applicable Fiscal Year referenced, the District’s Annual Audited Financial Report, or successive report presenting the audited financial statements of the District.

“*Act*” has the meaning assigned to it in the Recitals of this Agreement.

“*Affiliate*” means, with respect to any Person, any Person that directly or indirectly through one or more intermediaries, controls, or is controlled by, or is under common control with, such first Person. A Person shall be deemed to control another Person for the purposes of this definition if such first Person possesses, directly or indirectly, the power to direct, or cause the direction of, the management and policies of the second Person, whether through the ownership of voting securities, common directors, trustees or officers, by contract or otherwise.

“Agreement” means this Revolving Credit Agreement dated as of [____], 2024, between the District and the Lender, as the same may be amended, supplemented, modified or restated from time to time in accordance with its terms.

“Alternate Rate” means, for any day, [(a) for each Loan (other than a Term Loan) which is a Taxable Loan, a fluctuating rate of interest per annum equal to the greater of (i) the Prime Rate in effect at such time and (ii) the Federal Funds Rate in effect at such time plus one quarter of one percent (0.25%) and (b) for Loan (other than a Term Loan) which is a Tax-exempt Loan, the product of (1) the Applicable Factor and (2) a fluctuating rate of interest per annum equal to the greater of (i) the Prime Rate in effect at such time and (ii) the Federal Funds Rate in effect at such time plus one quarter of one percent (0.25%).]

“Amortization Period” has the meaning set forth in Section 2.12(b) hereof.

“Anti-Corruption Laws” means: (i) the U.S. Foreign Corrupt Practices Act of 1977, as amended; and (ii) any other anti-bribery or anti-corruption laws, regulations or ordinances in any jurisdiction in which the District or any officer, director or agent acting on behalf of the District with respect to the obligations hereunder, this Agreement or any of the other Related Documents is located or doing business.

“Anti-Money Laundering Laws” means applicable laws or regulations in any jurisdiction in which the District or any officer, director or agent acting on behalf of the District with respect to the obligations hereunder, this Agreement or any of the other Related Documents is located or doing business that relates to money laundering, any predicate crime to money laundering, or any financial record keeping and reporting requirements related thereto.

“Applicable Factor” means 100%.

“Applicable Spread” has the meaning set forth in the Fee Agreement.

“Available Tenor” means, as of any date of determination and with respect to the then-current Benchmark, as applicable, if such Benchmark is a term rate, any tenor for such Benchmark (or component thereof) that is or may be used for determining the length of an interest period pursuant to this Agreement as of such date.

“Bank Agreement” has the meaning set forth in Section 5.25 hereof.

“Bankruptcy Code” means the Bankruptcy Code, 11 U.S.C. § 101, *et seq.*, as amended.

“Base Rate” means, for any day, [a fluctuating rate of interest per annum equal to the greatest of (i) the Prime Rate plus 2.50%, (ii) the Federal Funds Rate plus 3.50%, and (iii) 8.00%.]

“Benchmark” means, initially, SIFMA and Daily Simple SOFR, as applicable; *provided, however*, that if a Benchmark Transition Event has occurred with respect to the SIFMA Index or Daily Simple SOFR or the then-current Benchmark, then “Benchmark” means the applicable

Benchmark Replacement to the extent that such Benchmark Replacement has become effective pursuant to the provisions of this Agreement.

“Benchmark Floor” means zero percent (0%).

“Benchmark Replacement” means the sum of: (A) the alternate rate of interest that has been selected by the Lender and the District as the replacement for the then-current Benchmark; and (B) the spread adjustment, or method for calculating or determining such spread adjustment, (which may be a positive or negative value or zero) that has been selected by the Lender, in each case, giving due consideration to (x) any selection or recommendation by the Relevant Governmental Body at such time for a replacement rate, the mechanism for determining such a rate, the methodology or conventions applicable to such rate, or the spread adjustment, or method for calculating or determining such spread adjustment, for such rate, or (y) any evolving or then-prevailing market convention for determining a rate of interest as a replacement to the then-current Benchmark, the methodology or conventions applicable to such rate, or the spread adjustment, or method for calculating or determining such spread adjustment, for such alternate rate for U.S. dollar-denominated syndicated or bilateral credit facilities at such time; *provided, however*, that if the Benchmark Replacement as determined as provided above would be less than the Benchmark Floor, then Benchmark Replacement shall be deemed to be the Benchmark Floor, subject to any other applicable floor rate provision.

“Benchmark Replacement Conforming Changes” means with respect to either the use or administration of the SIFMA Index or Daily Simple SOFR or the use, administration, adoption or implementation of any Benchmark Replacement, any technical, administrative or operational changes (including, without limitation, changes to the definition of “U.S. Government Securities Business Day,” the timing and frequency of determining rates and making payments of interest, prepayment provisions and other technical, administrative or operational matters) that the Lender decides may be appropriate to reflect the adoption and implementation of any such rate or to permit the use and administration thereof by the Lender in a manner substantially consistent with market practice (or, if the Lender decides that adoption of any portion of such market practice is not administratively feasible or if the Lender determines that no market practice for the administration of any such rate exists, in such other manner of administration as the Lender decides is reasonably necessary in connection with the administration of this Agreement and the other Related Documents).

“Benchmark Replacement Date” means the earliest to occur of the following events with respect to the then-current Benchmark:

(a) in the case of clause (a) or (b) of the definition of “Benchmark Transition Event,” the later of (i) the date of the public statement or publication of information referenced therein and (ii) the date on which the administrator of such Benchmark (or the published component used in the calculation thereof) permanently or indefinitely ceases to provide such Benchmark (or such component thereof); or

(b) in the case of clause (c) of the definition of “Benchmark Transition Event,” the first date on which all Available Tenors of such Benchmark (or the published

component used in the calculation thereof) has been determined and announced by the regulatory supervisor for the administrator of such Benchmark (or such component thereof) to be non-representative; *provided* that such non-representativeness will be determined by reference to the most recent statement or publication referenced in such clause (c) and even if such Benchmark (or such component thereof) continues to be provided on such date.

“*Benchmark Transition Event*” means the occurrence of one or more of the following events with respect to the then-current Benchmark:

(a) a public statement or publication of information by or on behalf of the administrator of such Benchmark (or the published component used in the calculation thereof) announcing that such administrator has ceased or will cease to provide such Benchmark (or such component thereof) permanently or indefinitely; *provided* that, at the time of such statement or publication, there is no successor administrator that will continue to provide such Benchmark (or component thereof);

(b) a public statement or publication of information by the regulatory supervisor for the administrator of such Benchmark (or the published component used in the calculation thereof), the Board of Governors of the Federal Reserve System, the Federal Reserve Bank of New York, an insolvency official with jurisdiction over the administrator for such Benchmark (or such component), a resolution authority with jurisdiction over the administrator for such Benchmark (or such component) or a court or an entity with similar insolvency or resolution authority over the administrator for such Benchmark (or such component), which states that the administrator of such Benchmark (or such component) has ceased or will cease to provide such Benchmark (or such component thereof) permanently or indefinitely, *provided* that, at the time of such statement or publication, there is no successor administrator that will continue to provide such Benchmark (or such component thereof); or

(c) a public statement or publication of information by the regulatory supervisor for the administrator of such Benchmark (or the published component used in the calculation thereof) announcing that such Benchmark (or such component thereof) are not, or as of a specified future date will not be, representative.

“*Benchmark Transition Start Date*” means in the case of a Benchmark Transition Event, the earlier of (a) the applicable Benchmark Replacement Date and (b) if such Benchmark Transition Event is a public statement or publication of information of a prospective event, the 90th day prior to the expected date of such event as of such public statement or publication of information (or if the expected date of such prospective event is fewer than 90 days after such statement or publication, the date of such statement or publication).

“*Benchmark Unavailability Period*” means the period (if any) (a) beginning at the time that a Benchmark Replacement Date has occurred if, at such time, no Benchmark Replacement has replaced the then-current Benchmark for all purposes hereunder and under any other Related Document in accordance with this Agreement and (b) ending at the time that a Benchmark

Replacement has replaced the then-current Benchmark for all purposes hereunder and under any other Related Document in accordance with this Agreement.

“Board” means the Board of Education of the Los Angeles Unified School District.

“Bonds” has the meaning assigned to it in the Recitals of this Agreement.

“Borrowing” means a borrowing hereunder consisting of a Loan to be made to the District by the Lender pursuant to Article II hereof.

“Business Day” means a day which is not (a) a Saturday, Sunday or legal holiday on which banking institutions in Los Angeles, California or New York, New York are closed, (b) a day on which the New York Stock Exchange or the Federal Reserve Bank is closed, (c) a day on which the principal offices or the offices at which the Lender makes Loans are closed, or (d) in connection with a SOFR Index Loan, or any other calculation or determination involving SOFR, a U.S. Government Securities Business Day.

“Change in Law” means the occurrence, after the Closing Date, of any of the following: (a) the adoption or taking effect of any Law, including, without limitation Risk-Based Capital Guidelines, (b) any change in any Law or in the administration, interpretation, promulgation, implementation or application thereof by any Governmental Authority or (c) the making or issuance of any request, rule, ruling, guideline, regulation or directive (whether or not having the force of law) by any Governmental Authority; *provided* that notwithstanding anything herein to the contrary, (i) the Dodd-Frank Wall Street Reform and Consumer Protection Act and all requests, rules, rulings, guidelines, regulations or directives thereunder or issued in connection therewith and (ii) all requests, rules, rulings, guidelines, regulations or directives promulgated by the Bank for International Settlements, the Basel Committee on Banking Supervision (or any successor or similar authority) or the United States or foreign regulatory authorities shall in each case be deemed to be a “Change in Law,” regardless of the date enacted, adopted or issued.

“Closing Date” means [____], 2024, subject to the satisfaction or waiver by the Lender of all of the conditions precedent set forth in Article III hereof.

“Commitment” means the amount of \$[250,000,000], as such amount may be reduced from time to time or terminated pursuant to Section 2.07, Section 2.08 and 6.01.

“Compliance Certificate” means a certificate substantially in the form of Exhibit C hereto.

“Computation Date” means (i) for a Loan bearing interest with respect to a SIFMA Index Rate, the Wednesday immediately preceding the applicable SIFMA Index Reset Date, *provided* that if such date is not a Business Day, the immediately preceding Business Day and (ii) for a Loan bearing interest with respect to a SOFR Index Rate, the Wednesday immediately preceding the applicable SOFR Index Reset Date, *provided* that if such date is not a Business Day, the immediately preceding Business Day and.

“Daily Simple SOFR” means, with respect to any day (a *“SOFR Rate Day”*), a rate per annum equal to SOFR for the day (such day, the *“SOFR Determination Day”*) that is two (2) U.S. Government Securities Business Days prior to (i) if such SOFR Rate Day is a U.S. Government Securities Business Day, such SOFR Rate Day or (ii) if such SOFR Rate Day is not a U.S. Government Securities Business Day, the U.S. Government Securities Business Day immediately preceding such SOFR Rate Day, in each case, as such SOFR is published by the SOFR Administrator on the SOFR Administrator’s Website; *provided, however*, that if Daily Simple SOFR determined as provided above would be less than the Benchmark Floor, then Daily Simple SOFR shall be deemed to be the Benchmark Floor. If by 5:00 p.m. (New York City time) on the second (2nd) U.S. Government Securities Business Day immediately following any SOFR Determination Day, SOFR in respect of such SOFR Determination Day has not been published on the SOFR Administrator’s Website and a Benchmark Replacement Date with respect to Daily Simple SOFR has not occurred, then SOFR for such SOFR Determination Day will be SOFR as published in respect of the first preceding U.S. Government Securities Business Day for which SOFR was published on the SOFR Administrator’s Website; *provided* that any SOFR determined pursuant to this sentence shall be utilized for purposes of calculation of Daily Simple SOFR for no more than three (3) consecutive SOFR Rate Days.

“Debt” of any Person means at any date, without duplication, (i) all obligations of such Person for borrowed money, (ii) all obligations of such Person evidenced by bonds, debentures, notes, securities or other similar instruments, (iii) all obligations of such Person to pay the deferred purchase price of property or services, except trade accounts payable arising in the ordinary course of business (including, without limitation, accounts payable to construction contractors and other professionals for services rendered), (iv) all obligations of such Person under an installment purchase contract, financing lease or capital lease or similar instrument that, in accordance with generally accepted accounting principles, would be required to be capitalized, (v) all Debt of others secured by a Lien on any asset of such Person, whether or not such Debt is assumed by such Person, (vi) all obligations of such Person under Swap Contracts, (vii) all obligations of such Person to purchase securities (or other property) which arise out of or in connection with the sale of the same or substantially similar securities or property or obligations for the deferred purchase price of property or services (other than trade accounts payable occurring in the ordinary course of business), (viii) all reimbursement obligations and other indebtedness owed to any bank or other financial institution and payable on a parity basis with the Loans, and (ix) all Debt of others of a type described in any of clauses (i) through (vii) hereof guaranteed by such Person, whether directly or indirectly.

“Default” means any event or condition which, with notice, the passage of time or any combination of the foregoing, would constitute an Event of Default.

“Default Rate” means, [for any day, and with respect to any Note, Loan, Term Loan or Obligation, a rate of interest per annum equal to the Base Rate from time to time in effect plus 4.0%.]

“Designated Representative” means the Superintendent of the District, the Chief Business Officer or the Controller of the District, or a person authorized by the Chief Business Officer or

the Controller to act on behalf of the District, and any other person authorized by the Board of Education of the District to act on behalf of the District under or with respect to this Agreement.

“Determination of Taxability” means and shall be deemed to have occurred on the first to occur of the following:

(a) on the date on which the District files any statement, supplemental statement or other tax schedule, return or document which discloses that an Event of Taxability shall have in fact occurred;

(b) the date on which the Lender or any Noteholder or former Noteholder notifies the District that it has received a written opinion by a nationally recognized firm of attorneys of substantial expertise on the subject of tax-exempt municipal finance to the effect that an Event of Taxability shall have occurred unless, within one hundred eighty (180) days after receipt by the District of such notification from the Lender or such Noteholder or any former Noteholder, the District shall deliver to the Lender, the Noteholder and any former Noteholder a ruling or determination letter issued to or on behalf of the District by the Commissioner of the Internal Revenue Service or the Director of Tax-Exempt Bonds of the Tax-Exempt and Government Entities Division of the Internal Revenue Service (or any other government official exercising the same or a substantially similar function from time to time) or a written opinion of its Note Counsel to the effect that, after taking into consideration such facts as form the basis for the opinion that an Event of Taxability has occurred, an Event of Taxability shall not have occurred;

(c) the date on which the District shall be advised in writing by the Commissioner of the Internal Revenue Service or the Director of Tax-Exempt Bonds of the Tax-Exempt and Government Entities Division of the Internal Revenue Service (or any other government official exercising the same or a substantially similar function from time to time, including an employee subordinate to one of these officers who has been authorized to provide such advice) that, based upon filings of the District, or upon any review or audit of the District or upon any other ground whatsoever, an Event of Taxability shall have occurred; or

(d) the date on which the District shall receive notice from the Noteholder or any former Noteholder that the Internal Revenue Service (or any other government official or agency exercising the same or a substantially similar function from time to time) has assessed as includable in the gross income of the Lender, such Noteholder or such former Noteholder the interest on the applicable Tax-exempt Notes or Tax-exempt Loan due to the occurrence of an Event of Taxability;

provided, however, no Determination of Taxability shall occur under subparagraph (c) or (d) hereunder unless the District has been afforded the opportunity, at its expense, to contest any such assessment or opinion, and, further, no Determination of Taxability shall occur until such contest, if made, has been finally determined; *provided further, however*, that upon demand from the Lender, such Noteholder or former Noteholder, the District shall promptly reimburse, the Lender, such Noteholder or former Noteholder for any payments, including any taxes, interest, penalties

or other charges, the Lender, such Noteholder or former Noteholder shall be obligated to make as a result of the Determination of Taxability.

“District” means the Los Angeles Unified School District, a school district duly organized and validly existing under the laws of the State of California.

“Dollars,” “US\$,” “\$” and *“U.S. Dollars”* mean the lawful currency of the United States of America.

“ERISA” means the Employee Retirement Income Security Act of 1974, as amended, or any successor statute thereto.

“Event of Default” with respect to this Agreement means one or more of the events described in Section 6.01 of this Agreement and, with respect to any Related Documents, has the meaning assigned therein.

“Event of Taxability” means a (i) Change in Law or fact or the interpretation thereof, or the occurrence or existence of any fact, event or circumstance (including, without limitation, the taking of any action by the District, or the failure to take any action by the District, or the making by the District of any misrepresentation herein or in any certificate given in connection with the Tax-exempt Notes or Tax-exempt Loans) which has the effect of causing interest paid or payable on any Tax-exempt Note or any Tax-exempt Loan to become includable in the gross income of the Lender, the Noteholder or any former Noteholder for federal income tax purposes, or (ii) the entry of any decree or judgment by a court of competent jurisdiction, or the taking of any official action by the Internal Revenue Service or the Department of the Treasury, which decree, judgment or action shall be final under applicable procedural law, in either case, which has the effect of causing interest paid or payable on any Tax-exempt Note or any Tax-exempt Loan to become includable in the gross income of the Lender, the Noteholder or any former Noteholder for federal income tax purposes with respect to any Tax-exempt Note or any Tax-exempt Loan.

“Excess Interest Amount” has the meaning set forth in Section 2.05(d)(ii) hereof.

“Excluded Taxes” shall mean, with respect to the Lender or any Noteholder, (a) taxes, whether federal, state or local, imposed on or measured by its overall net income (however denominated), and franchise or similar taxes imposed on it (in lieu of net income taxes), by the jurisdiction (or any political subdivision thereof) under the laws of which the Lender or such Noteholder is organized, is doing business or in which its principal office is located, or under which it is subject to taxation, and (b) any branch profits taxes imposed by the United States or any similar tax imposed by any other jurisdiction in which the Lender or Noteholder is located.

“Facility Maturity Date” means [____], 2027, or, if such day is not a Business Day, the next preceding Business Day.

“Federal Funds Rate” means, for any day, the rate per annum equal to the weighted average of the rates on overnight federal funds transactions with members of the Federal Reserve System, as published by the Federal Reserve Bank of New York on the Business Day next

succeeding such day; *provided* that (a) if such day is not a Business Day, then the Federal Funds Rate for such day shall be such rate on such transactions on the next preceding Business Day as so published on the next succeeding Business Day, and (b) if no such rate is so published on such next succeeding Business Day, then the Federal Funds Rate for such day shall be the average rate (rounded, if necessary, to a whole multiple of one one-hundredth of 1.00%) charged to the Lender on such day on such transactions as determined by the Lender. Notwithstanding the foregoing, if the Federal Funds Rate shall be less than zero percent (0%), such rate shall be deemed to be zero percent (0%) for purposes of this Agreement.

“Fee Agreement” means the Fee and Interest Rate Agreement dated [____], 2024, between the District and the Lender, as the same may be amended, supplemented, modified or restated from time to time in accordance with its terms.

“Fiscal Year” means the period beginning on July 1 of each year and ending on the next succeeding June 30, or any other twelve-month period selected and designated as the official Fiscal Year of the District.

“Fitch” means Fitch, Inc. and any successor rating agency.

“Governmental Authority” means the government of the United States or any other nation or any political subdivision thereof or any governmental or quasi-governmental entity, including any court, department, commission, board, bureau, agency, administration, central bank, service, district or other instrumentality of any governmental entity or other entity exercising executive, legislative, judicial, taxing, regulatory, fiscal, monetary or administrative powers or functions of or pertaining to government (including any supra-national bodies such as the European Union or European Central Bank), or any arbitrator, mediator or other Person with authority to bind a party at law.

“Indemnified Taxes” means Taxes other than Excluded Taxes.

“Indenture” means [____], as the same may be amended, restated, or otherwise modified in accordance with the terms hereof and thereof.

“Interest Payment Date” means with respect to any SOFR Index Loan, any SIFMA Index Loan, and any Term Loan, the first Business Day of each calendar quarter (with the first Interest Payment Date being [____], 2024), the related Facility Maturity Date and such earlier date on which all Loans or the related Loan is required to be paid in full in accordance with the terms hereof or, if applicable, on the Term Loan Maturity Date.

“Internal Revenue Code” means the Internal Revenue Code of 1986, as amended, or any successor statute.

“Investor Letter” has the meaning set forth in Section 8.05(b) hereof.

“Investment Policy” means the investment policy of the District which is to be delivered to the Lender pursuant to Section 3.01(i) hereof.

“Judgment” has the meaning assigned to it in the Recitals of this Agreement.

“Judgment Obligees” has the meaning assigned to it in the Recitals of this Agreement.

“Law” means, collectively, all applicable international, foreign, Federal, state and local statutes, treaties, rules, guidelines, regulations, ordinances, codes and administrative or judicial precedents or authorities, including the interpretation or administration thereof by any Governmental Authority charged with the enforcement, interpretation or administration thereof, and all applicable administrative orders, directed duties, requests, licenses, authorizations and permits of, and agreements with, any applicable Governmental Authority, in each case whether or not having the force of law.

“Lender” has the meaning set forth in the introductory paragraph hereof.

“Lien” means, with respect to any asset, any mortgage, lien, pledge, charge, security interest or encumbrance of any kind in respect of such asset. For the purposes of this Agreement, a Person shall be deemed to own subject to a Lien any asset which it has acquired or holds subject to the interest of a vendor or lessor under any conditional sale agreement, capital lease or other title retention agreement relating to such asset.

“Loan” means a Loan to be made by the Lender in accordance with the applicable Notice of Borrowing.

“Margin Stock” has the meaning ascribed to such term in Regulation U promulgated by the Board of Governors of the Federal Reserve System of the United States, as now and hereafter from time to time in effect.

“Material Adverse Effect” means any material adverse change in or effect on (a) the ability of the District to consummate the transactions contemplated by this Agreement or any of the other Related Documents to which the District is a party, (b) the ability of the District to perform any of its obligations under this Agreement or any of the other Related Documents to which the District is a party, (c) the District’s ability to make payments on the Loans, the Term Loans, the Notes or the Obligations hereunder from the general fund of the District, (d) the rights, remedies and security of the Lender under the Agreement or any of the Related Documents, or (e) the enforceability or validity of the Agreement or any Related Document.

“Material District Debt” means any Debt of the District secured by or payable from the general fund of the District that is outstanding in a principal amount of \$65,000,000 or more (excluding in relation to the Judgments).

“Maximum Interest Rate” means an interest rate per annum equal to the lesser of (i) twelve (12%) and (ii) the maximum non-usurious rate of interest on the relevant obligation permitted by applicable law.

“Moody’s” means Moody’s Investors Service, Inc. and any successor rating agency.

“Non-Lender Transferee” has the meaning set forth in Section 8.05(b) hereof.

“Note Counsel” means Orrick, Herrington & Sutcliffe LLP, or any other firm of attorneys nationally recognized on the subject of tax-exempt municipal finance selected by the District.

“Noteholder” means the Lender and each Non-Lender Transferee pursuant to the terms hereof so long as such Non-Lender Transferee owns an interest in the Notes and shall include any holder of Term Loans.

“Notes” means, individually and collectively, (i) the Taxable Note (SOFR), (ii) the Tax-exempt Note (SOFR), (iii) the Tax-exempt Note (SIFMA), (iv) the Taxable Term Note, and (v) the Tax-exempt Term Note.

“Notice of Borrowing” has the meaning set forth in Section 2.02(a)(i) hereof.

“Notice of Extension” has the meaning set forth in Section 2.01(b) hereof.

“Obligations” means all amounts payable by the District hereunder (excluding the Loans, the Term Loans, the Notes), and all other obligations to be performed by the District, pursuant to this Agreement and the other Related Documents (including any amounts to reimburse the Lender for any advances or expenditures by it under any of such documents).

“Other Bank Agreements” means the _____, and all amendments, modifications, restatements and extensions of such agreements, entered into from time to time and any other agreement delivered in substitution or exchange for such agreements and any other Bank Agreement.

“Other Taxes” has the meaning set forth in Section 7.02(a) hereof.

“Participant” has the meaning set forth in Section 8.05(d) hereof.

“Participation” has the meaning set forth in Section 8.05(c) hereof.

“Person” means an individual, a corporation, a partnership, a limited liability company, an association, a trust or any other entity or organization, including a government or political subdivision or an agency or instrumentality thereof.

“Plan” means an employee pension benefit plan which is covered by Title IV of ERISA or subject to the minimum funding standards under Section 412 of the Code.

“Prime Rate” means, for any day, the fluctuating rate of interest per annum equal to the “Prime Rate” listed in the “Money Rates” section of The Wall Street Journal as of such day or, if The Wall Street Journal is not published on a particular day, then the “Prime Rate” listed in the “Money Rates” section of The Wall Street Journal for the immediately preceding Business Day. If The Wall Street Journal ceases to exist or to publish a prime rate from which the Prime Rate is then determined, then the Prime Rate shall be the rate determined by [Lender] as its prime

commercial lending rate for such day for loans denominated in U.S. Dollars made in the United States. [Lender] may make loans to its customers at, below or above such prime commercial lending rate, and the prime commercial lending rate referred to herein is not intended to be the best rate offered to customers of [Lender]. Any change in the Prime Rate shall take effect on the date specified in the publication or announcement of such change. Each determination of the Prime Rate by the Lender will be conclusive and binding on the District absent manifest error.

“Rating Agency” means all or any of S&P, Moody’s, and Fitch, as the context may require.

“Related Documents” means and includes this Agreement, the Fee Agreement, the Notes, the Indenture, and the Resolution, and any and all future renewals and extensions or restatements of, or amendments or supplements to, any of the foregoing permitted hereunder and thereunder.

“Relevant Governmental Body” means the Board of Governors of the Federal Reserve System or the Federal Reserve Bank of New York, or a committee officially endorsed or convened by the Board of Governors of the Federal Reserve System or the Federal Reserve Bank of New York or any successor thereto.

“Resolution” has the meaning assigned to it in the Recitals hereto.

“Revolving Credit Period” means the period from and including the Closing Date to and including the Termination Date.

“Revolving Credit Lender Note” means a Judgment Obligation Credit Note in the form of a Taxable Note (SOFR) or Tax-exempt Note (SOFR) or Tax-exempt Note (SIFMA), as defined in this Agreement.

“Sanctioned Target” means any target of Sanctions, including (i) persons on any list of targets identified or designated pursuant to any Sanctions, (ii) persons, countries, or territories that are the target of any territorial or country-based Sanctions program, (iii) persons that are a target of Sanctions due to their ownership or control by any Sanctioned Target(s), or (iv) persons otherwise a target of Sanctions, including vessels and aircraft, that are designated under any Sanctions program.

“Sanctions” means economic or financial sanctions, sectoral sanctions, secondary sanctions, trade embargoes or restrictions and anti-terrorism laws imposed, administered or enforced from time to time by the United States of America, the United Nations Security Council, the European Union, the United Kingdom, any other governmental authority with jurisdiction over the District or any officer, director or agent acting on behalf of the District with respect to the obligations hereunder, this Agreement or any of the other Related Documents.

“S&P” means S&P Global Ratings, an S&P Global Inc. business and any successor rating agency.

“SIFMA” means the Securities Industry & Financial Markets Association.

“SIFMA Index” means, for any Computation Date, the level of the SIFMA Municipal Swap Index which is issued weekly and which is calculated and published by Bloomberg from the weekly interest rate resets of tax-exempt variable rate issues which meet specific criteria established from time to time by SIFMA and issued on Wednesday of each week, or if any Wednesday is not a Business Day, the next preceding Business Day. If the SIFMA Index is no longer published, then *“SIFMA Index”* shall mean the returns, on a weekly basis, of the S&P Municipal Bond 7 Day High Grade Index. If the S&P Municipal Bond 7 Day High Grade Index is no longer published, then *“SIFMA Index”* shall mean the prevailing rate determined by the Lender for tax-exempt state and local government bonds meeting criteria determined in good faith by the Lender to be comparable under the circumstances to the criteria used by SIFMA to determine the SIFMA Index immediately prior to the date on which SIFMA ceased publication of the SIFMA Index.

“SIFMA Index Loan” means any Loan bearing interest with respect to the SIFMA Index Rate (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof).

“SIFMA Index Rate” means a per annum rate of interest determined by the Lender equal to the sum of the Applicable Spread plus the SIFMA Index in effect from time to time.

“SIFMA Index Reset Date” means Thursday of each week.

“SOFR” means a rate per annum equal to the secured overnight financing rate as administered by the SOFR Administrator.

“SOFR Administrator” means the Federal Reserve Bank of New York (or a successor administrator of the secured overnight financing rate).

“SOFR Administrator’s Website” means the website of the Federal Reserve Bank of New York, currently at <http://www.newyorkfed.org>, or any successor source for the secured overnight financing rate identified as such by the SOFR Administrator from time to time.

“SOFR Index Loan” means any Loan bearing interest with respect to the SOFR Index Rate (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof).

“SOFR Index Rate” means Daily Simple SOFR.

“SOFR Index Reset Date” means Thursday of each week.

“State” means the State of California.

“Supplemental Tax Certificate” means a supplemental tax certificate required by Note Counsel, delivered and executed in connection with a Borrowing that is a Tax-exempt Loan.

“Swap Contract” means (a) any and all rate swap transactions, basis swaps, total return swaps, credit derivative transactions, forward rate transactions, equity or equity index swaps or options, bond or bond price or bond index swaps or options or forward bond or forward bond price or forward bond index transactions, interest rate options, cap transactions, floor transactions, collar transactions, spot contracts, or any other similar transactions or any combination of any of the foregoing (including any options to enter into any of the foregoing), whether or not any such transaction is governed by or subject to any master agreement, and (b) any and all transactions of any kind, and the related confirmations, which are subject to the terms and conditions of, or governed by, any form of master agreement published by the International Swaps and Derivatives Association, Inc., any International Foreign Exchange Master Agreement, or any other master agreement (any such master agreement, together with any related schedules, a *“Master Agreement”*), including any such obligations or liabilities under any Master Agreement.

“Taxable Date” means the date on which interest on any Tax-exempt Loan or Tax-exempt Note is first includable in the gross income of any holder thereof (including, without limitation, the Lender) as a result of an Event of Taxability as such date is established pursuant to a Determination of Taxability.

“Taxable Loan” means a Loan that is identified as a Taxable Loan in the Notice of Borrowing, or a Term Loan that refunded one or more Loans which were Taxable Loans.

“Taxable Note (SOFR)” means the Revolving Credit Lender Note of the District substantially in the form set forth in Exhibit D hereto, evidencing the obligation of the District to repay the Loans which are Taxable Loans bearing interest with respect to a SOFR Index Rate (or, if applicable, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof) and interest thereon, issued in accordance with this Agreement.

“Taxable Period” has the meaning set forth in Section 2.13 hereof.

“Taxable Term Note” means the Taxable Judgment Obligation Term Note of the District substantially in the form set forth in Exhibit G hereto, evidencing the obligation of the District to repay the Term Loan that is a Taxable Loan that refunded the Loans which were Taxable Loans and interest thereon, in accordance with this Agreement.

“Taxable Rate” means, with respect to a Taxable Period, the then per annum rate of interest applicable to Loans which are Taxable Loans bearing interest with respect to a SOFR Index Rate (or, if applicable, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof) and interest thereon, issued in accordance with this Agreement.

“Taxes” shall mean all present or future taxes, levies, imposts, duties, deductions, withholdings (including backup withholding), assessments, fees or other charges imposed by any Governmental Authority, including any interest, fines, additions to tax or penalties applicable thereto.

“Tax-exempt Loan” means a Loan that is identified as a Tax-exempt Loan in the Notice of Borrowing, or a Term Loan that refunded one or more Loans which were Tax-exempt Loans.

“Tax-exempt Note (SIFMA)” means the Revolving Credit Lender Note of the District substantially in the form set forth in Exhibit F hereto, evidencing the obligation of the District to repay the Loans that are Tax-exempt Loans bearing interest with respect to a SIFMA Index Rate (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof) and interest thereon, issued in accordance with this Agreement.

“Tax-exempt Note (SOFR)” means the Revolving Credit Lender Note of the District substantially in the form set forth in Exhibit E hereto, evidencing the obligation of the District to repay the Loans that are Tax-exempt Loans bearing interest with respect to a SOFR Index Rate (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof) and interest thereon, issued in accordance with this Agreement.

“Tax-exempt Term Note” means the Tax-exempt Judgment Obligation Term Note of the District substantially in the form set forth in Exhibit H hereto, evidencing the obligation of the District to repay the Term Loan that is a Tax-exempt Loan that refunded the Loans which were Tax-exempt Loans and interest thereon, issued in accordance with this Agreement.

“Tax-exempt Notes” means the Tax-exempt Note (SOFR), the Tax-exempt Note (SIFMA), and the Tax-exempt Term Note.

“Term Loans” has the meaning set forth in Section 2.12(a) hereof.

“Term Loan Maturity Date” means the date that is three (3) years after the making of the Term Loan(s) hereunder, or such earlier date as the Term Loans become due and payable by the terms hereof.

“Term-Out Rate” means the rate of interest per annum with respect to any Term Loans (i) from and including the commencement date of the Term Loans up to and including the date which is one hundred eighty (180) days immediately succeeding such date, equal to the Base Rate from time to time in effect, (ii) from and including the date which is one hundred eighty-one (181) days immediately succeeding the Facility Maturity Date to and including the date which is two hundred seventy days (270) days immediately succeeding the Facility Maturity Date, equal to [the Base Rate from time to time in effect plus one percent (1.00%)], and (iii) from and including the date which is two hundred seventy-one (271) days immediately succeeding the Facility Maturity Date and at all times thereafter, equal to the [Base Rate from time to time in effect plus two percent (2.00%)]; *provided, however*, that immediately and automatically upon the occurrence of any Event of Default (and without any notice given with respect thereto) and during the continuance of such Event of Default, the “Term Out Rate” shall mean the Default Rate.

“Termination Date” means the Facility Maturity Date or, if earlier, the date on which the Commitment is terminated or permanently reduced to zero in accordance with the terms hereof.

“[Third-Party Administrator Trustee]” means [Administrator] to serve as third-party administrator relating to payment directly to the Judgment Obligees.

“30th Day Following Facility Maturity Date” has the meaning set forth in Section 2.12(a)(i)(A) hereof.

“U.S. Government Securities Business Day” means any day except for (i) a Saturday, (ii) a Sunday or (iii) a day on which the Securities Industry and Financial Markets Association, or any successor thereto, recommends that the fixed income departments of its members be closed for the entire day for purposes of trading in United States government securities.

“Written” or “in writing” means any form of written communication or a communication by means of facsimile.

Section 1.02. Accounting Terms and Determinations. Unless otherwise specified herein, all accounting terms used herein shall be interpreted, all accounting determinations hereunder shall be made, and all financial statements required to be delivered hereunder shall be prepared in accordance with generally accepted accounting principles as in effect from time to time, applied on a basis consistent (except for changes concurred with by the District’s independent public accountants) with the most recent audited financial statements of the District delivered to the Lender hereunder.

ARTICLE II

THE CREDIT

Section 2.01. Commitment to Lend.

(a) *Loans.* During the Revolving Credit Period, the Lender agrees, on the terms and conditions set forth in this Agreement, to make revolving loans to the District pursuant to this Section from time to time in amounts such that the aggregate principal amount of Loans by the Lender at any one time outstanding shall not exceed the amount of the Commitment. Within the foregoing limit, the District may borrow under this subsection (a), repay or, to the extent permitted by Section 2.09 hereof, prepay, the Loans and re-borrow at any time during the Revolving Credit Period under this subsection (a).

(b) *Extension of Revolving Credit Period.* (i) No later than 120 days prior to the Facility Maturity Date, the District may request the Lender to extend the then current Facility Maturity Date. If the Lender, in its sole discretion, elects to extend the Facility Maturity Date then in effect, the Lender shall deliver to the District within 60 days of receiving a request, a written notice of extension (herein referred to as a “Notice of Extension”) designating the date to which the Facility Maturity Date is being extended. Such extension of the Facility Maturity Date shall be effective, after receipt of such Notice of Extension, on the Business Day following the date of delivery of such Notice of Extension, and thereafter all references in this Agreement to the Facility Maturity Date shall be deemed to be references to the date designated as such in the most recent Notice of Extension delivered to the District. Any date to which the Facility Maturity Date has been extended in accordance with this Section 2.01(b) may be extended in like manner. The Lender shall use commercially reasonable efforts to promptly notify the District of its determination on the District’s request to extend the then current Facility Maturity Date. If the Lender fails to

provide the District with a Notice of Extension as provided hereinabove, the Lender shall be deemed not to have consented to the District's request.

(ii) Notwithstanding the foregoing, it is understood and agreed that the foregoing provisions are intended for the convenience of the parties only and shall in no respect prohibit the parties from agreeing to extend the Revolving Credit Period under other circumstances or at other times. In the event the Revolving Credit Period is extended under any other circumstances, the Lender shall give prompt written notice thereof to the District.

(iii) If the Revolving Credit Period is extended, whether pursuant to subsection (i) above or otherwise, the District shall be deemed to have made the representations and warranties contained herein on the date on which the Revolving Credit Period is so extended.

Section 2.02. Method of Borrowing, Continuing or Converting Loans; Account to Which Proceeds of Loans to Be Credited. (a)(i) In the case of any Borrowing, the District shall give the Lender notice in the form of Exhibit A hereto, executed by a Designated Representative of the District (a "Notice of Borrowing"), by not later than 11:00 a.m. (Los Angeles time) on the seventh (7th) Business Day before each Borrowing (or such shorter time as the Lender may agree to in writing), specifying:

- (A) the date of such Borrowing, which shall be a Business Day;
- (B) whether such Loan is a SIFMA Index Loan or a SOFR Index Loan, by selecting the SIFMA Index Rate for a SIFMA Index Loan or the SOFR Index Rate for a SOFR Index Loan;
- (C) the aggregate amount of such Borrowing (which shall not exceed the difference between (i) the amount of the Commitment and (ii) the aggregate principal amount of Loans then outstanding and in the minimum amount of \$500,000);
- (D) whether such Borrowing will be a Taxable Loan or a Tax-exempt Loan, *provided* that any SIFMA Index Loan shall be a Tax-exempt Loan;
- (E) that the following items are attached and delivered to Note Counsel:
 - (1) the case number(s) and amount of the Judgment(s) to be funded;
 - (2) the Notice of Borrowing in the form of Exhibit A, executed by a Designated Representative of the District, which includes wiring information from the [Third-Party Administrator Trustee]; and
 - (3) if the Borrowing is a Tax-exempt Loan, the Supplemental Tax Certificate, including a completed Form 8038; and

(F) that the following items are delivered to Note Counsel:

(1) the copy of the Judgment(s) to be funded; and

(2) [a copy of a form of irrevocable instruction to the [Third-Party Administrator Trustee] executed by a Designated Representative of the District to pay the Judgment Oblige(s) from Loan proceeds.]

(ii) The District may continue any type of Loan or convert any type of Loan to any other type of Loan (but such continuation or conversion shall only be effective on a Rate Reset Date), only upon three Business Days prior written notice by giving appropriate notice to the Lender prior to 11:00 a.m. (Los Angeles time), on such required prior Business Day in the form of Exhibit B hereto with blanks appropriately completed (each, a “*Notice of Continuation/Conversion*”). If the District fails to give the required Notice of Continuation/Conversion of any SIFMA Index Loan by such time prior to a SIFMA Index Reset Date with respect to a SIFMA Index Loan, such Loan shall automatically be continued as a SIFMA Index Loan on such SIFMA Index Reset Date. If the District fails to give the required Notice of Continuation/Conversion of any SOFR Index Loan by such time prior to a SOFR Index Reset Date with respect to a SOFR Index Loan, such Loan shall automatically be continued as a SOFR Index Loan on such SOFR Index Reset Date. A Tax-exempt Loan described in the preceding two sentences will continue to be a Tax-exempt Loan following any continuation described in the preceding two sentences. A Taxable Loan described in the two sentences preceding the immediately preceding sentence will continue to be a Taxable Loan following any continuation described in the preceding two sentences.

(b) Subject to the provisions of subsection (a) of this Section 2.02 and the satisfaction of the terms and conditions set forth in Section 3.02 hereof, by not later than 3:00 p.m. (Los Angeles time) on the date of each Borrowing, the Lender shall wire transfer, in federal or other immediately available funds, the proceeds of such Borrowing to the account or accounts set forth in the Notice of Borrowing.

(c) Each Loan shall be in the principal amount requested by the District pursuant to each Notice of Borrowing in the form of Exhibit A hereto.

(d) The District may not request more than one (1) Loan per Business Day.

(e) The District may not request more than four (4) Loans per month.

Section 2.03. The Notes. (a)(i) Loans which are Taxable Loans bearing interest with respect to a SOFR Index Rate in accordance with Section 2.05(a) hereof (or, if applicable, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof) shall be evidenced by a single corresponding Revolving Credit Lender Note of the District substantially in the form set forth in Exhibit D hereto payable to the Lender in an amount equal to the Commitment (the “*Taxable Note (SOFR)*”).

(ii) Loans which are Tax-exempt Loans bearing interest with respect to a SOFR Index Rate in accordance with Section 2.05(c)(ii) hereof (or, if applicable, the Taxable Rate, the Default

Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof) shall be evidenced by a single corresponding Revolving Credit Lender Note of the District substantially in the form set forth in Exhibit E hereto payable to the Lender in an amount equal to the Commitment (the “*Tax-exempt Note (SOFR)*”).

(iii) Loans which are Tax-exempt Loans bearing interest with respect to a SIFMA Index Rate in accordance with Section 2.05(c)(iii) hereof (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) hereof) shall be evidenced by a single corresponding Revolving Credit Lender Note of the District substantially in the form set forth in Exhibit F hereto payable to the Lender in an amount equal to the Commitment (“*Tax-exempt Note (SIFMA)*”).

(iv) The Term Loan that is a Taxable Loan that refunded the Loans, shall be evidenced by a single corresponding Taxable Judgment Obligation Term Note of the District substantially in the form set forth in Exhibit G hereto payable to the Lender in an amount equal to the Commitment (“*Taxable Term Note*”).

(v) The Term Loan that is a Tax-exempt Loan that refunded the Loans shall be evidenced by a single corresponding Tax-exempt Judgment Obligation Term Note of the District substantially in the form set forth in Exhibit H hereto payable to the Lender in an amount equal to the Commitment (“*Tax-exempt Term Note*”).

(b) Each reference in this Agreement to the “Notes” shall be deemed to refer to and include any or all of such Notes as the context may require.

(c) The Lender shall record the date, amount, type and maturity of each Loan made by it and the date and amount of each payment of principal made by or on behalf of the District with respect thereto, and prior to any transfer of a Note shall endorse on the schedule forming a part thereof appropriate notations to evidence the foregoing information with respect to each Loan then outstanding evidenced by such Note; *provided* that the failure of the Lender to make any such recordation or endorsement, or any error therein, or failure to submit any such notations to the District shall not affect the obligations of the District hereunder or under such Note. The Lender is hereby irrevocably authorized by the District so to endorse each Note and to attach to and make a part of each such Note a continuation of any such schedule as and when required.

(d) The District’s obligations to repay each Loan and to pay interest thereon as provided herein shall be evidenced and secured by the related Note, and the District shall pay amounts under the related Note on each date on which the District is required to make a principal payment on the related Loan or Term Loan, as applicable, in an amount equal to the Loan or Term Loan, as applicable, payment due on such date. The payment of the principal of and interest on a Note shall constitute payment of the principal of and interest on the related Loans or Term Loan, as applicable, and the payment of the principal of and interest on the Loans or Term Loan, as applicable, shall constitute the payment of principal and interest on the related Note and the failure to make any payment on any Loan or Term Loan, as applicable, when due shall be a failure to make a payment on the related Note and the failure to make any payment on the related Note when due shall be a failure to make a payment on the related Loan or Term Loan, as applicable.

Section 2.04. Maturity of Loans and Term Loans. (a) Each Loan included in any Borrowing shall mature, and the principal amount thereof (together with all accrued and unpaid interest therein) shall be due and payable in full by the District on the Facility Maturity Date or such earlier date on which all Loans or the related Loans become due and payable in accordance with the terms hereof.

(b) If the District satisfies the conditions set forth in Section 2.12 hereof, the Term Loans shall mature, and the principal amount thereof (together with all accrued and unpaid interest thereon) shall be amortize in accordance with Section 2.12 hereof and be due and payable by the District, on the Term Loan Maturity Date. For the avoidance of doubt, if the District fails to satisfy the conditions set forth in Section 2.12 hereof, respectively and as applicable, on the Facility Maturity Date or thirty (30) days after the Facility Maturity Date, then all Loans and any accrued interest thereon shall be due and payable, respectively, on the Facility Maturity Date or the thirtieth (30th) days after the Facility Maturity Date, as applicable, as provided for in Section 2.04(a) hereof.

Section 2.05. Interest Rates. (a) Subject to subsections (d) and (e) below, and Section 6.02 hereof, each Loan (other than a Term Loan) which is a Taxable Loan shall bear interest on the outstanding principal amount thereof, for each day from the date such Loan is advanced until it becomes due, at a rate per annum equal to the sum of (i) the SOFR Index Rate plus (ii) the Applicable Spread. Such interest shall be payable by the District on each Interest Payment Date, any prepayment date, and on the Facility Maturity Date.

(b) Subject to subsections (d), (e) and (f) below, and Section 6.02 hereof, each Loan (other than a Term Loan) which is a Tax-exempt Loan shall bear interest on the outstanding principal amount thereof, for each day from the date such Loan is advanced until it becomes due, at a rate per annum equal to either:

(A) the sum of (1) the Applicable Spread and (2) the product of (i) the SOFR Index Rate and (ii) the Applicable Factor; or

(B) the sum of (1) the Applicable Spread and (2) the SIFMA Index Rate.

Such interest shall be payable by the District on each Interest Payment Date, any prepayment date, and on the Facility Maturity Date.

(c) (i) The Lender may consolidate the unpaid principal balance of the Tax-exempt Loans so that all Tax-exempt Loans bear interest at the same interest rate. The Lender may consolidate the unpaid principal balance of the Taxable Loans so that all Taxable Loans bear interest at the same interest rate.

(ii) Loans designated to bear interest with respect to the SOFR Index Rate pursuant to the terms of this Agreement and a Notice of Borrowing, shall do so. The Lender shall determine the applicable SOFR Index Rate for each SOFR Index Loan on each SOFR Determination Day while such SOFR Index Loan remains unpaid. Notwithstanding the foregoing, with respect to a SOFR Index Loan that is advanced pursuant to a new Borrowing, the rate for such SOFR Index Loan

shall be the same rate as for all outstanding SOFR Index Loans bearing interest with respect to the SOFR Index Rate. The Lender will send the District a hyperlink to the SOFR Administrator's Website, as such hyperlink may be updated from time to time. Upon the request of the District, the Lender shall promptly, but in any event within three (3) Business Days, notify the District of the interest rates for the SOFR Index Loans for such dates and periods as requested by the District. Each determination by the Lender of an interest rate shall be conclusive and binding for all purposes, absent manifest error. The SOFR Index Rate shall be rounded to the fifth decimal place.

(iii) Loans designated to bear interest with respect to the SIFMA Index Rate pursuant to the terms of this Agreement and a Notice of Borrowing, shall do so. The Lender shall determine the SIFMA Index Rate on each Computation Date during the applicable Interest Period, and such rate shall become effective on the SIFMA Index Reset Date next succeeding such Computation Date and interest at such rate shall accrue each day during such Interest Period. The SIFMA Index Rate shall be rounded to the second decimal place. Promptly following the determination of the SIFMA Index Rate, the Lender shall give notice thereof to the District. If the SIFMA Index Rate is not available or published on the Computation Date, the rate of interest borne on such Loans shall be the rate in effect for such Loans on the immediately preceding SIFMA Index Reset Date until the Lender next determines the SIFMA Index Rate as required hereunder. Notwithstanding the foregoing, with respect to a Loan designated to bear interest with respect to the SIFMA Index Rate that is advanced pursuant to a new Borrowing on a day other than a SIFMA Index Reset Date, the rate for such Loan shall be the same rate as for all outstanding Loans bearing interest with respect to the SIFMA Index Rate.

(d) (i) If the amount of interest payable for any period in accordance with terms hereof exceeds the amount of interest that would be payable for such period had interest for such period been calculated at the Maximum Interest Rate, then interest for such period shall be payable in an amount calculated at the Maximum Interest Rate for such period.

(ii) Any interest that would have been due and payable for any period but for the operation of Section 2.05(d)(i) hereof shall accrue and be payable as provided in this paragraph (ii) and shall, less interest actually paid to the Lender for such period, constitute the "*Excess Interest Amount*." If there is any accrued and unpaid Excess Interest Amount as of any date then the principal amount with respect to which interest is payable shall bear interest at the Maximum Interest Rate, until the earlier of repayment of such principal or payment to the Lender of the entire Excess Interest Amount.

If there is any accrued and unpaid Excess Interest Amount as of any Interest Payment Date, then, on the current and each subsequent Interest Payment Date, interest shall be paid at the Maximum Interest Rate rather than the otherwise applicable rate until the earlier of (A) payment to the Lender of the entire accrued Excess Interest Amount or (B) the Termination Date. Notwithstanding the foregoing, all unpaid Excess Interest Amount shall be, to the extent permitted by law, due and payable by the District as a fee on the Termination Date or such earlier date on which the Loans become due and payable in accordance with the terms hereof (or if such Excess Interest Amount relates to Term Loans, on the Term Loan Maturity Date or such earlier date on which all Loans or the related Term Loans become due and payable in accordance with the terms hereof).

(iii) Notwithstanding the foregoing, on the date on which no principal amount hereunder remains unpaid, the District shall pay to the Lender a fee equal to any accrued and unpaid Excess Interest Amount.

(e) (A) Subject to Section 2.05(e)(B) hereof and the Lender's reasonable determination upon timely notice to the District that a Benchmark Transition Event has not occurred, if the Lender determines (any determination of which shall be conclusive and binding on the District absent manifest error) that either (i) Daily Simple SOFR, the SIFMA Index, or the then-current benchmark, cannot be determined pursuant to the definition thereof other than as a result of a Benchmark Transition Event (an "*Inability Determination*"), (ii) Daily Simple SOFR, the SIFMA Index, as applicable, does not adequately and fairly reflect the cost to the Lender to make or maintain any Loan (a "*Changed Circumstances Determination*") or (iii) any law has made it unlawful, or that any governmental authority has asserted that it is unlawful, for the Lender to make or maintain an advance based on SOFR, Daily Simple SOFR, or the SIFMA Index or to determine or charge interest rates based upon SOFR, Daily Simple SOFR, or the SIFMA Index (an "*Illegality Determination*"), then the Lender will so notify the District and the obligation of the Lender to allow the District to select a SOFR Index Loan or any SIFMA Index Loan, as applicable, shall be suspended until Lender shall have notified the District of its determination that the circumstances giving rise to such previous determination no longer exist; *provided, however*, that the Lender will provide a Changed Circumstances Determination only in the event that a similar determination would be made with respect to similarly situated issuers under similar circumstances, as such circumstances are determined by the Lender in the Lender's commercially reasonable discretion. In each such case, the outstanding principal balance of the Loans shall bear interest (computed on the basis of a 360-day year, actual days elapsed) at the sum of (1) a fluctuating rate per annum (and any spread adjustment and/or applicable factor) mutually determined by the Lender and the District in writing and (2) the related Applicable Spread until the Lender revokes such Inability Determination or notifies the District that the circumstances giving rise to such Illegality Determination no longer exist, as applicable, *provided however*, the Lender and the District agree that from and after an Inability Determination or an Illegality Determination, until the Lender and the District have the mutually determined such fluctuating rate per annum in writing, the outstanding principal balance of the Loans shall bear interest (computed on the basis of a 360-day year, actual days elapsed) at the sum of the related Alternate Rate in effect from time to time and the related Applicable Spread, from the date of such Inability Determination or an Illegality Determination until the earlier of (x) the date on which the Lender and the District have the mutually determined such fluctuating rate per annum (and any spread adjustment and/or applicable factor) in writing and (y) the date on which the Lender revokes such Inability Determination or notifies the District that the circumstances giving rise to such Illegality Determination no longer exist, as applicable; *provided, further, however*, the Lender and the District agree that from and after a Changed Circumstances Determination, until the Lender and the District have the mutually determined such fluctuating rate per annum in writing, the outstanding principal balance of the Loans shall bear interest (computed on the basis of a 360-day year, actual days elapsed) at the sum of the related Alternate Rate in effect from time to time (for the first ninety (90) days after such Changed Circumstances Determination, without regard to clauses (a)(i) and (b)(2)(i) of the definition of Alternate Rate, as applicable) and the related Applicable Spread, from the date of such Changed Circumstances Determination until the earlier of (x) the date on which the Lender and the District have the mutually determined such fluctuating

rate per annum (and any spread adjustment and/or applicable factor) in writing and (y) the date on which the Lender revokes such Changed Circumstances Determination or notifies the District that the circumstances giving rise to such Changed Circumstances Determination no longer exist, as applicable. When interest is determined in relation to the Alternate Rate, each change in the rate of interest hereunder shall become effective on the date each Alternate Rate change is determined by the Lender. Notwithstanding any of the foregoing to the contrary, if a Benchmark Replacement is subsequently determined in accordance with Section 2.05(e)(B) hereof, that Benchmark Replacement, plus any applicable margin, will become effective on the Benchmark Replacement Date and will then supersede the Alternate Rate and other terms determined in accordance with this provision. The Lender shall use commercially reasonable efforts to provide ninety (90) days' advance notice of the events and/or conditions set forth in this Section 2.05(e)(A); *provided, however*, that (I) since the timing of such events are not within the Lender's sole control, the District acknowledges and agrees that it may be impossible for the Lender to determine if such events are occurring ninety (90) days before they occur and, in such case, the Lender shall use commercially reasonable efforts to provide such notice as soon as reasonably possible and (II) the failure of the Lender to provide any such notice shall not affect the effectiveness of the terms and conditions of this Section 2.05(e)(A).

(B) Notwithstanding anything to the contrary contained in this Agreement or in any Related Document (for the purposes of this Section 2.05(e)(B), a Swap Contract by and between the District and the Lender or any of its affiliates is not a loan document):

(1) *Benchmark Replacement.* Notwithstanding anything to the contrary herein or in any other Relevant Document, upon the occurrence of a Benchmark Transition Event, the Lender and the District may amend this Agreement to replace the then-current Benchmark with a Benchmark Replacement. No replacement of a Benchmark with a Benchmark Replacement pursuant to this Section 2.05(e)(B)(1) will occur prior to the applicable Benchmark Transition Start Date.

(2) *Benchmark Replacement Conforming Changes.* The Lender will have the right to make Benchmark Replacement Conforming Changes from time to time and any amendments implementing such Benchmark Replacement Conforming Changes will become effective without any further action or consent of the District.

(3) *Notices; Standards for Decisions and Determinations.* In connection with the use, administration, adoption or implementation of a Benchmark Replacement, the Lender will promptly, but in any event within three (3) Business Days, notify the District of (A) the implementation of any Benchmark Replacement and (B) the effectiveness of any Benchmark Replacement Conforming Changes in connection with the use, administration, adoption or implementation of a Benchmark Replacement. The Lender will notify the District of (x) the removal or reinstatement of any tenor of a Benchmark pursuant to Section 2.05(e)(B)(4) and (y) the commencement of any Benchmark Unavailability Period. Any determination, decision or election that may be made by the Lender pursuant to this Section 2.05(e)(B), including any determination with respect to a tenor, rate or adjustment or of the occurrence or non-occurrence of an event, circumstance or date and any decision to take or refrain from taking any action or any selection, will be conclusive and binding

absent manifest error and will be made in its sole discretion and without the District's consent except as expressly required pursuant to this Section 2.05(e)(B).

(4) *Unavailability of Tenor of Benchmark.* Notwithstanding anything to the contrary herein or in any other Related Document, at any time (including in connection with the implementation of a Benchmark Replacement), (i) if the then-current Benchmark is a term rate and either (A) any tenor for such Benchmark is not displayed on a screen or other information service that publishes such rate from time to time as selected by the Lender in its reasonable discretion or (B) the regulatory supervisor for the administrator of such Benchmark has provided a public statement or publication of information announcing that any tenor for such Benchmark is not or will not be representative, then the Lender may modify the "interest period" (or any similar or analogous definition) for any Benchmark settings at or after such time to remove such unavailable or non-representative tenor and (ii) if a tenor that was removed pursuant to clause (i) above either (A) is subsequently displayed on a screen or information service for a Benchmark (including a Benchmark Replacement) or (B) is not, or is no longer, subject to an announcement that it is not or will not be representative for a Benchmark (including a Benchmark Replacement), then the Lender may modify the definition of "interest period" (or any similar or analogous definition) for all Benchmark settings at or after such time to reinstate such previously removed tenor.

(5) *Benchmark Unavailability Period.* Upon the District's receipt of notice of the commencement of a Benchmark Unavailability Period, the District may revoke any pending request for a Borrowing of, conversion to or continuation of SOFR Index Loans or SIFMA Index Loans to be made, converted or continued during any Benchmark Unavailability Period.

(f) Upon a Determination of Taxability, all Tax-exempt Loans shall bear interest at the Taxable Rate.

(g) Subject to subsection (d) above and Section 6.02 hereof, the Term Loans shall bear interest on the outstanding principal amount thereof, from the commencement date of such Term Loan until it becomes due, at a rate per annum equal to the Term-Out Rate. Such interest shall be payable on each Interest Payment date and on the Term Loan Maturity Date (or such earlier date on which all Loans or the related Loans become due and payable in accordance with the terms hereof).

Section 2.06. Fees. (a) The District agrees to perform the obligations provided for in the Fee Agreement, including, without limitation, the payment of all fees provided for therein. The terms and provisions of the Fee Agreement are incorporated herein by reference. Any reference herein or in any other document to fees and/or other amounts or obligations payable hereunder shall include, without limitation, all fees and other amounts or obligations payable pursuant to the Fee Agreement.

(b) If the District shall fail to pay any amount payable under the Fee Agreement as and when due and payable, each such unpaid amount shall bear interest for each day from and including

the date it was payable pursuant to subsection (c) below until paid in full at the applicable Default Rate.

(c) The District shall pay within thirty (30) days after written demand via electronic invoice provided by the Lender to the District:

(i) the reasonable out-of-pocket expenses of the Lender, including reasonable fees and disbursements of counsel, as described in Section 8.03 herein; and

(ii) any reasonable amounts advanced by or on behalf of the Lender to the extent required to cure any Default, Event of Default or event of nonperformance hereunder or any Related Documents, together with interest at the Default Rate.

(d) Any principal of, and to the extent permitted by applicable law, any interest on, the Loans and any other sum payable hereunder, which is not paid within the cure period due shall bear interest, from the date due and payable until paid, payable on demand therefor, at a rate per annum equal to the Default Rate.

Section 2.07. Optional Termination or Reduction of Commitment. During the Revolving Credit Period, the District may, upon at least three (3) Business Days' notice to the Lender, (i) terminate the Commitment at any time, if no Loans are outstanding at such time, or (ii) reduce the Commitment from time to time by an aggregate amount of \$1,000,000 or any larger integral multiple of \$1,000,000, which amount shall be not greater than the amount of the Commitment.

Section 2.08. Mandatory Termination or Reduction of Commitment. (a) The Commitment shall terminate on the Termination Date, and any Loans then outstanding (together with accrued interest thereon and all other amounts payable hereunder) shall (i) be due and payable by the District in full on such date, or (ii) if all of the conditions of Section 2.12 herein are met, convert to a Term Loan.

(b) If at any time an Event of Default shall have occurred and be continuing, the Lender may deliver a written notice to that effect to the District, and the Commitment shall immediately terminate.

Section 2.09. Optional Prepayments; Funding Indemnity. The District may, upon at least one Business Day's notice to the Lender, prepay any Loan in whole at any time, or from time to time in part in amounts aggregating \$1,000,000 or any larger integral multiple of \$5,000, by paying the principal amount to be prepaid together with accrued interest thereon to the date of prepayment; *provided, however,* in the event the Lender shall incur any reasonable loss, cost, or expense as a result of any prepayment of any SOFR Index Loan or SIFMA Index Loan (or prepayment or repayment for any other reason, including by maturity or acceleration), (i) on a date other than the related Interest Payment Date, or (ii) without at least three (3) Business Days' notice to the Lender in advance of the SOFR Index Reset Date for SOFR Index Loans or the SIFMA Index Reset Date for SIFMA Loans, in each case, for any reason (other than a default by the Lender), whether before or after default, and whether or not such payment is required by any provision of this Agreement, then upon the demand of the Lender, the District shall pay to the Lender such amount as will

reimburse the Lender for such reasonable loss, cost, or expense. If the Lender requests such an amount it shall provide to the District a certificate setting forth the computation of the reasonable loss, cost, or expense giving rise to the request for such an amount in reasonable detail and such certificate shall be conclusive if reasonably determined.

Section 2.10. General Provisions as to Payments. Subject to Section 4.09 hereof, the District shall make each payment of principal of, and interest on, the Loans and Term Loans and of fees hereunder, not later than 3:00 p.m. (Los Angeles time) on the date when due, in federal or other funds immediately available in Los Angeles, to the Lender by wire transfer in accordance with wire transfer instructions referred to in Section 8.01 hereof. Whenever any payment of principal of, or interest on, the Loans or Term Loans or of fees shall be due on a day which is not a Business Day, the date for payment thereof shall be extended to the next succeeding Business Day. If the date for any payment of principal is extended by operation of law or otherwise, interest thereon shall be payable for such extended time.

Section 2.11. Computation of Interest and Fees. Interest and fees shall be calculated on the basis of a 360-day year based upon the actual number of days elapsed.

Section 2.12. The Term Loans.

(a) *Generally.* (i)(A) On the Facility Maturity Date, so long as (A) no Default or Event of Default described in Section 6.01 hereof shall have occurred and be continuing, or would result therefrom, and (B) the representations and warranties of the District set forth in Article IV hereof are true and correct in all material respects as if made on the Facility Maturity Date, the Loans, if any, maturing on the Facility Maturity Date shall be due and payable on the date that is thirty (30) days following the Facility Maturity Date (the “30th Day Following Facility Maturity Date”) and shall accrue interest during such thirty (30) day period at the Term-Out Rate.

(B) Upon the District’s written request for Term Loans in form of Exhibit I attached hereto delivered to the Lender on a date no later than the 30th Day Following Facility Maturity Date and *provided* that (X) no Default or Event of Default described in Section 6.01 hereof shall have occurred and then be continuing, or would result therefrom, and (Y) the representations and warranties of the District set forth in Article IV hereof are true and correct in all material respects as if made as of such date, the Loans, if any, maturing on the Facility Maturity Date shall be automatically converted to term loans (each a “*Term Loan*” and collectively the “*Term Loans*”), the proceeds of which shall be deemed to have refunded the Loans and the District’s obligations under the related Notes.

(ii) The Term Loans shall be evidenced by the Taxable Term Note and the Tax-exempt Term Note, as applicable, and the Lender’s receipt of such Note(s) shall be a condition precedent to making the Term Loan(s). The Term Loans may be repaid in whole or in part on any Business Day upon prior written notice from the District to the Lender.

(b) *Repayment.* If the conditions precedent set forth in Section 2.12(a)(i)(B) hereof are satisfied, the principal amount of the Term Loans shall be payable by the District in six (6) equal (as nearly as possible) semi-annual installments, commencing on the date which is six-months

following the Facility Maturity Date, and on the corresponding date in every six month occurring thereafter which occurs prior to the Term Loan Maturity Date and on the Term Loan Maturity Date (such period, the “*Amortization Period*”) and interest on such Term Loans shall accrue at the Term-Out Rate, be payable on each Interest Payment Date, and be calculated on the basis of a 360-day year and actual days elapsed; *provided, however*, that, notwithstanding anything contained herein to the contrary, the entire principal amount of the Term Loans, plus accrued and unpaid interest thereon, shall be due and payable in full on the Term Loan Maturity Date (or such earlier date on which all Loans or the related Loans become due and payable in accordance with the terms hereof). For the avoidance of doubt, if the conditions set forth in this Section 2.12 are not satisfied on the Facility Maturity Date, the Loans and any accrued interest thereon shall be paid in full on the Facility Maturity Date.

Section 2.13. Determination of Taxability. (i) In the event a Determination of Taxability occurs, the District hereby agrees to pay to the Lender and each Noteholder within thirty (30) days of demand therefor (1) an amount equal to the difference between (A) the amount of interest that would have been paid to the Lender and such Noteholder on the applicable Tax-exempt Note or Tax-exempt Loan, without duplication, during the period for which interest on such Tax-exempt Note or Tax-exempt Loan is included in the gross income of the Lender and such Noteholder if the applicable Tax-exempt Note or Tax-exempt Loan had borne interest at the Taxable Rate, beginning on the Taxable Date (the “*Taxable Period*”), and (B) the amount of interest actually paid to the Lender and such Noteholder during the Taxable Period, and (2) an amount equal to any interest, penalties or charges owed by the Lender and such Noteholder as a result of interest on the applicable Tax-exempt Note or Tax-exempt Loan becoming included in the gross income of the Lender and such Noteholder, together with reasonable attorneys’ fees, court costs, or other reasonable out-of-pocket costs incurred by the Lender and such Noteholder in connection therewith;

(ii) Subject to the provisions of clause (iii) below, the Lender and such Noteholder shall afford the District the opportunity, at the District’s sole cost and expense, to contest (1) the validity of any amendment to the Internal Revenue Code which causes the interest on the applicable Tax-exempt Note or Tax-exempt Loan to be included in the gross income of Lender and such Noteholder, or (2) any challenge to the validity of the tax exemption with respect to the interest on the applicable Tax-exempt Note or Tax-exempt Loan, including the right to direct the necessary litigation contesting such challenge (including administrative audit appeals); *provided* that, in no event shall the Lender or a Noteholder be required to make available its tax returns (or any other information relating to its taxes that it deems confidential) to the District or any other Person; and

(iii) As a condition precedent to the exercise by the District of its right to contest set forth in clause (ii) above, the District shall, within thirty (30) days from demand, reimburse the Lender and such Noteholder for reasonable expenses (including reasonable attorneys’ fees for services that may be required or desirable, as determined by the Lender and such Noteholder in its reasonable discretion) that may be incurred by the Lender and such Noteholder in connection with any such contest, and shall, within thirty (30) days, reimburse Lender and such Noteholder for any and all penalties or other charges payable by the Lender or such Noteholder for failure to include such interest in its gross income.

ARTICLE III

CONDITIONS

Section 3.01. Effectiveness. This Agreement shall become effective on the date on which each of the following conditions shall have been satisfied:

(a) receipt by the Lender of a counterpart hereof signed by each of the parties hereto;

(b) receipt by the Lender of duly executed Notes dated on or before the Closing Date complying with the provisions of Section 2.03 hereof;

(c) receipt by the Lender of (i) an opinion of General Counsel to the District, addressed to the Lender and in a form acceptable to the Lender and covering such matters relating to the transactions contemplated hereby or by the Related Documents as the Lender may reasonably request, and (ii) an opinion of Note Counsel with a reliance letter addressed to the Lender and in a form acceptable to the Lender and covering such matters relating to the transactions contemplated hereby or by the Related Documents as the Lender may reasonably request (including, without limitation, as to the validity, enforceability of the Agreement and the other Related Documents);

(d) receipt by the Lender of (i) a certified copy of each instrument which composes the Resolution (each as in effect on the Closing Date) and a certificate of the [Executive Officer-Clerk of the Board], dated the Closing Date, certifying that each instrument which composes the Resolution is in full force and effect on the Closing Date and that there has been no other amendment or supplement of, or modification to, any provision of any such instrument, except as set forth therein;

(e) receipt by the Lender of a certificate of a duly authorized officer of the District, certifying that (i) all conditions precedent set forth in the Resolution with respect to the execution of this Agreement and each other Related Document have been satisfied, (ii) except as disclosed to the Lender before the date hereof, there has been no material adverse change in the financial condition of the District since June 30, 2023, (iii) that there has been no event or circumstance since June 30, 2023, that has, either individually or in the aggregate, a Material Adverse Effect, (iv) that the representations and warranties contained in Article IV hereof and the other Related Documents are true and correct in all material respects on the Closing Date, except to the extent such representations and warranties specifically relate to an earlier date (in which case such representations were true and correct in all material respects as of such earlier date), (v) no event has occurred and is continuing, or would result from entry into this Agreement, which would constitute a Default or Event of Default, (vi) no petition by or against the District has been filed under the United States Bankruptcy Code or under any similar law, (vii) the AAFR for the Fiscal Year ended June 30, 2023, has been prepared in accordance with generally accepted accounting principles consistently applied except as stated in the notes thereto; and (viii) other than litigation related to Assem. Bill No. 218 (2019-2020 Reg. Sess.), there are

no actions, suits or proceedings pending or threatened against the District (excluding those in relation to the Judgments) in any court or before any arbitrator of any kind or before or by any governmental or non-governmental body which could reasonably be expected to result in a Material Adverse Effect.

(f) receipt by the Lender of a certificate of a duly authorized officer of the District, certifying as to the incumbency and signature of each of the officers of the District authorized to sign this Agreement and the Related Documents to which the District is a party;

(g) receipt by the Lender of all opinions, certificates and other documents it may reasonably request relating to the existence of the District, the authority for and the validity of this Agreement and the Notes then being delivered, and any other matters relevant hereto or thereto, all in form and substance satisfactory to the Lender;

(h) [receipt by the Lender of a validation judgement relating to this Agreement, the Notes, and the Bonds;]

(i) receipt by the Lender of: (A) written confirmation that the District's credit ratings on its long-term unenhanced general obligation bonds (without taking into account any third party credit enhancement) have a long-term rating of at least "___" by Moody's, "___" by Fitch, and "___" by S&P; (B) the AAFR for the Fiscal Year ended June 30, 2023; and (C) a copy of the Investment Policy of the District as in effect on the Closing Date (or confirmation that the most recent Investment Policy of the District delivered to the Lender has not been modified and is still in full force and effect);

(j) any additional documentation that the Lender may request subject to reasonable non-disclosure of non-public information including under an asserted work-product privilege, attorney-client privilege, governmental privilege, or deliberative process privilege.

Section 3.02. Borrowings During the Revolving Credit Period. The obligation of the Lender to make a Loan on the occasion of any Borrowing, or to convert any Loan to or continue any SOFR Index Loan or SIFMA Index Loan on or prior to the Termination Date is subject to the satisfaction of the following conditions:

(a) receipt by the Lender of a Notice of Borrowing (or appropriate notice regarding continuation or conversion) as required by Section 2.02 hereof;

(b) immediately after such Borrowing, continuation or conversion, the aggregate outstanding principal amount of the Loans will not exceed the amount of the Commitment;

(c) immediately before and as a result of giving effect to such Borrowing, continuation or conversion, no Default or Event of Default shall have occurred and be continuing; and

(d) the representations and warranties of the District (except to the extent the same expressly relate to an earlier date, then such representation or warranty shall be true and correct, in all material respects, as of such earlier date and except that the representations contained in Section 4.08 of this Agreement shall be deemed to refer to the most recent AAFR delivered to the Lender pursuant to Section 5.07 of this Agreement) contained in this Agreement shall be true in all material respects on and as of the date of such Borrowing, continuation or conversion.

Each Borrowing, continuation or conversion hereunder shall be deemed to be a representation and warranty by the District on the date of such Borrowing as to the facts specified in clauses (b), (c) and (d) of this Section.

Section 3.03. Each Tax-Exempt Loan Borrowing. The obligation of the Lender to make each Tax-exempt Loan hereunder is subject to the satisfaction of the following conditions:

(a) all conditions set forth in Section 3.02 hereof shall be satisfied prior to the making of such Loan;

(b) the Lender shall have received an executed opinion of Note Counsel addressed to the District and with a reliance letter to the Lender, in a form acceptable to the Lender, to the effect that the interest on all the Tax-exempt Notes is excludable from gross income for federal income tax purposes; and

(c) the District shall have executed, and the Lender shall have received an executed copy of, the tax certificate related to the applicable Tax-exempt Notes.

Section 3.04. No Rating; DTC; Offering Document; CUSIP. The Notes shall not be (i) assigned a specific rating by any Rating Agency, (ii) registered with DTC or any other securities depository, (iii) issued pursuant to any type of official statement, private placement memorandum or other offering document, or (iv) placed or offered by a broker-dealer in the capacity of an underwriter or a placement agent.

ARTICLE IV

REPRESENTATIONS AND WARRANTIES

The District makes the following representations and warranties to each Noteholder:

Section 4.01. Legal Existence. The District is a political subdivision duly created and validly existing under the Constitution and the laws of the State, and has full legal right, power and authority, and at the Closing Date will have full legal right, power and authority (i) to enter into this Agreement, to execute the Related Documents, the Notes, the Loans, the Term Loans and the Bonds to refund the Notes, and to adopt the Resolution, (ii) to deliver the Notes as provided herein, (iii) to sell, issue and deliver the Bonds as provided in the Resolution and the Indenture, (iv) to carry out and consummate the transactions contemplated by this Agreement, the Resolution, the Fee Agreement, the Notes, the Loans, the Term Loans and the Bonds, (v) to pay all amounts

due and owing with respect to the Notes, the Loans, the Term Loans and the Bonds including, but not limited to, interest on the Notes, the Loans and the Term Loans at the applicable interest rates set forth in this Agreement as provided in this Agreement, and to pay all fees and other amounts payable hereunder and under the other Related Documents and (vi) the District has complied, and will at the Closing Date be in compliance in all respects, with the terms of the Act and the Resolution as they pertain to such transactions.

Section 4.02. Compliance with Law and Contracts. (a) The issuance of the Notes and the execution, delivery and performance by the District of this Agreement and the other Related Documents to which the District is a party in accordance with their respective terms and conditions have been duly authorized by all necessary action on the part of the District, and to the best knowledge of the District, did not, do not and will not, (i) violate any provision of any court order by which the District is bound, (ii) conflict with, violate or contravene any provision of existing law or regulation, of any order or decree of any court, tribunal, Governmental Authority, bureau or agency binding on the District, or (iii) conflict with, violate or cause a default, or with the passage of time or the giving of notice or both would cause a default, under any provision of any bond, note or other evidence of indebtedness or mortgage, indenture, contract or other agreement to which the District is a party or that is binding upon it or any of its properties or assets.

(b) No consent of any Person and no license, approval or authorization of or notice to or registration, filing or declaration with, any Governmental Authority, bureau or agency is required in connection with the execution, delivery or performance by the District, or validity or enforceability against the District of this Agreement or any of the other Related Documents, or for the District to execute and deliver the Notes or incur the Obligations in accordance with this Agreement or any of the other Related Documents or, if required, the same has been obtained and is in full force and effect.

(c) All authorizations, approvals, licenses, permits, consents and orders of any State Governmental Authority, legislative body, board, agency or commission having jurisdiction of the matters which are required for the due authorization of, which would constitute a condition precedent to, or the absence of which would materially adversely affect the due performance by the District of its obligations under, this Agreement, the Indenture, the Resolution, the Fee Agreement, the Notes, the Loans, the Term Loans and the Bonds have been duly obtained, except for such approvals, consents and orders as are yet to be obtained or as may be required under the Blue Sky or securities laws of any state in connection with the offering and sale of the Bonds.

Section 4.03. Authorization and Validity . By all necessary official action of the District prior to or concurrently with the Closing Date, the District has duly adopted the Resolution, has duly authorized and approved the execution and delivery of, and the performance by the District of the obligations on its part contained in, this Agreement, the Indenture, the Related Documents, the Notes, the Loans, the Term Loans and the Bonds, and the consummation by it of all other transactions contemplated by the Resolution, this Agreement, the Indenture, the Related Documents, the Notes, the Loans, the Term Loans and the Bonds; the Resolution, this Agreement, the Indenture, the Related Documents, the Notes, the Loans, the Term Loans and the Bonds, assuming due authorization, execution and delivery by the other parties thereto, constitute, or will constitute at the Closing Date or the delivery date of the initial series of Bonds, as appropriate,

legal, valid and binding obligations of the District, enforceable in accordance with their respective terms, subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws relating to or affecting the enforcement of creditors' rights and the application of general principles of equity if equitable remedies are sought.

Section 4.04. Litigation. Except as otherwise disclosed to the Lender in writing prior to the Closing Date, to the best knowledge of the District, after due inquiry, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, government agency, public board or body, pending in which service of process has been completed, or threatened against the District, affecting the existence of the District or the titles of any officers executing this Agreement or any other Related Document to which the District is a party, or affecting or seeking to prohibit, restrain or enjoin execution and delivery of this Agreement, the Indenture, the Related Documents, the Notes, the Loans, the Term Loans and the Bonds, and the consummation by it of all other transactions contemplated by the Resolution, this Agreement, the Indenture, the Related Documents, the Notes, the Loans, the Term Loans and the Bonds or the appropriation of general funds of the District as obligations of the District imposed by law pursuant to the Resolution, or in any way contesting or affecting the validity or enforceability of this Agreement, the Indenture, the Related Documents, the Notes, the Loans, the Term Loans and the Bonds or contesting the exclusion from gross income of interest on the Tax-exempt Notes for federal income tax purposes, or contesting the powers of the District or any authority for the issuance of the Notes, the adoption of the Resolution or the execution and delivery of this Agreement, the Indenture, the Related Documents, the Notes, the Loans, the Term Loans and the Bonds, nor is there any known basis therefor, wherein an unfavorable decision, ruling or finding would materially adversely affect the validity or enforceability of this Agreement, the Indenture, the Related Documents, the Notes, the Loans, the Term Loans and the Bonds or the District's ability to carry out the transactions contemplated hereby or thereby applicable to the ability of the District to pay the Notes or the Obligations.

Section 4.05. Related Documents. The representations and warranties of the District in all of the Related Documents are true and correct in all material respects as of the date made, except to the extent such representations and warranties relate to an earlier date (in which case such representations and warranties shall be true and correct in all material respects as of such earlier date).

Section 4.06. Accuracy and Completeness of Information. All certificates, reports, financial statements, documents and other written information furnished to the Lender by the District on or prior to the Closing Date in connection with the transactions contemplated hereby were, at the time the same were so furnished, taken as a whole, complete and correct in all material respects and did not contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements contained therein not misleading in light of the circumstances in which the same were made.

Section 4.07. Legislation. To the best knowledge of the District, no legislation has been enacted which materially adversely affects or which prohibited or prohibits, as applicable, (i) the issuance or delivery of the Notes, (ii) the adoption of the Resolution, (iii) the execution and delivery of this Agreement or any of the other Related Documents to which the District is a party,

(iv) the creation, organization or existence of the District or the titles to office of any officers executing this Agreement or any other Related Document to which the District is a party, or (v) the power of the District to carry out its obligations under this Agreement or any of such other Related Documents.

Section 4.08. Accuracy of Financial Reports. The most recent financial reports of the District as of June 30, 2023, copies of which have been furnished to the Lender, fairly present in all material respects the financial position and results of operations of the District, as of the dates and for the periods set forth therein and have been prepared in accordance with generally accepted accounting principles consistently applied except as previously disclosed to the Lender in writing. Since June 30, 2023, there has been no material adverse change in the financial condition or operations of the District that could reasonably be expected to result in a Material Adverse Effect.

Section 4.09. Source of Payment of Obligations. (a) All obligations in respect of principal of and interest on the Notes, the Loans and the Term Loans (including, without limitation, the obligation to pay all amounts due and owing with respect to the Notes, the Loans and the Term Loans, and to pay all interest thereon at the applicable interest rate set forth in this Agreement and the Notes) constitute obligations of the District payable from the general fund to be appropriated by the District as obligations of the District imposed by law.

(b) The obligations of the District under the Notes, the Loans and the Term Loans (including, without limitation, the obligation to pay all amounts due and owing with respect to the Notes, the Loans and the Term Loans, and to pay all interest thereon at the applicable interest rate set forth in this Agreement and the Notes) when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Notes, the Loans and the Term Loans (including, without limitation, the obligation to pay all amounts due and owing with respect to the Notes, the Loans and the Term Loans, and to pay all interest thereon at the applicable interest rate set forth in this Agreement and the Notes) do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and none of the Notes, the Loans and the Term Loans (including, without limitation, the obligation to pay all amounts due and owing with respect to the Notes, the Loans and the Term Loans, and to pay all interest thereon at the applicable interest rate set forth in this Agreement and the Notes) constitutes an indebtedness of the District or the State of California, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction.

Section 4.10. No Default or Event of Default. No Default or Event of Default has occurred and is continuing, and, to the best knowledge of the District after due inquiry, the District is not in material breach of or default under any loan agreement, indenture, bond or note, or other instrument evidencing any indebtedness or other material financial obligation of the District to which the District is a party, and no event has occurred and is continuing which constitutes or with the passage of time or the giving of notice, or both, would constitute a material default or event of default by the District under any such instrument; and the execution and delivery of this Agreement, the Bonds, the Indenture, the Related Documents, the Notes, the Loans and the Term Loans and the adoption of the Resolution and compliance with the provisions on the District's part contained therein, will not in any material respect conflict with or constitute a breach or default

under any State constitutional provision, administrative regulation, judgment, decree, loan agreement, indenture, bond, note, ordinance, resolution, agreement or other instrument to which the District is a party, nor will any such execution, delivery, adoption or compliance result in the creation or imposition of any lien, charge or other security interest or encumbrance of any nature whatsoever upon any of the property or assets of the District or under the terms of any such law, regulation or instrument, except as provided by this Agreement, the Bonds, the Indenture, the Related Documents, the Notes, the Loans and the Term Loans and the adoption of the Resolution and compliance with the provisions on the District's part contained therein.

Section 4.11. Validation. The Superior Court of the County of Los Angeles has entered its validation judgment in connection with the validity of this Agreement, the Indenture, the Notes, the Loans, the Term Loans, related Obligations, the Bonds, and related matters.

Section 4.12. Sanctions Concerns. (a) The District is not and, to the knowledge of the District, no officer, director or agent acting on behalf of the District with respect to the obligations hereunder, this Agreement or any of the other Related Documents is a Sanctioned Target.

(b) (i) The District and, to the knowledge of the District, each officer, director and agent acting on behalf of the District with respect to the obligations hereunder, this Agreement or any of the other Related Documents are in compliance in all material respects with Anti-Money Laundering Laws, Anti-Corruption Laws and applicable Sanctions; and (ii) the District is not and, to the District's knowledge, no officer, director or agent acting on behalf of the District with respect to the obligations hereunder, this Agreement or any of the other Related Documents is, in each case, under investigation for an alleged violation of any Sanctions, Anti-Money Laundering Laws or Anti-Corruption Laws by a governmental authority that enforces such laws.

Section 4.13. No Sovereign Immunity. The District does not enjoy any rights of immunity on the grounds of sovereignty or other similar grounds (including, without limitation, governmental immunity) with respect to its obligations hereunder or under any other Related Document to which it is a party or by which it is bound.

Section 4.14. Regulations U and X. The District is not engaged in the business of extending credit for the purpose of purchasing or carrying margin stock (within the meaning of Regulation U or X issued by the Board of Governors of the Federal Reserve System); and no proceeds of the Loans will be used to extend credit to others for the purpose of purchasing or carrying any margin stock, or for any other purpose that would violate Regulation U or X issued by the Board of Governors of the Federal Reserve System.

Section 4.15. Usury. The terms of this Agreement and the Related Documents regarding calculation and payment of interest and fees do not violate any applicable usury laws.

Section 4.16. ERISA. The District does not maintain or contribute to, and has not maintained or contributed to, any Plan that is subject to Title IV of ERISA.

ARTICLE V

COVENANTS

The District covenants and agrees, so long as the Lender has any Commitment hereunder and until the full and final payment and satisfaction of all of the Notes and the Obligations hereunder, except in any instance in which the Lender specially agrees in writing to any non-performance or noncompliance, that:

Section 5.01. Punctual Payment and Performance. The District shall punctually pay the interest on and principal of the Notes and Obligations hereunder in conformity with the terms hereof and of the Notes and the Obligations hereunder, and shall faithfully observe and perform all the agreements and covenants required to be observed or performed by the District contained herein and in the Notes and the Obligations hereunder.

Section 5.02. Power to Issue the Notes and the Bonds. The District is duly authorized to execute and deliver the Notes and the Bonds and to enter into this Agreement and the Indenture. The Notes, the Loans, the Term Loans, related Obligations and the Bonds and the provisions of this Agreement and the Indenture are and will be the legal, valid and binding obligations of the District in accordance with their terms. The Notes, the Loans, the Term Loans, related Obligations and the Bonds constitute obligations imposed by law.

Section 5.03. Prosecution and Defense of Suits. The District shall defend against every suit, action or proceeding at any time brought against the District upon any claim to the extent involving the failure of the District to fulfill its obligations hereunder and under the Indenture; *provided, however*, that the Lender, or any Owner of the Bonds at its election may appear in and defend any such suit, action or proceeding.

Section 5.04. District Budgets. The District shall in each Fiscal Year include in its budget a provision to provide funds in an amount sufficient to pay the principal of and interest on the Notes, the Loans, the Term Loans, the related Obligations and the Bonds coming due in such Fiscal Year.

Section 5.05. Exempt Status. The District shall not take any action or omit to take any action that, if taken or omitted, would adversely affect the excludability of interest payable with respect to the Tax-exempt Loans, or the Tax-exempt Notes from gross income under Section 103 of the Internal Revenue Code.

Section 5.06. Accuracy of Information. All certificates, reports, financial statements, documents and other written information furnished by the District to the Lender, pursuant to this Agreement, or in connection with or pursuant to any amendment or modification of, or waiver under, this Agreement, shall, at the time the same shall be so furnished taken as a whole, (i) be complete and correct in all material respects, and (ii) not contain any untrue statements of a material fact or omit to state a material fact necessary in order to make the statements contained therein not misleading in light of the circumstances in which the same were made, and the

furnishing of the same to the Lender shall constitute a representation and warranty by the District to that effect.

Section 5.07. Financial and Other Reports. As soon as publicly available and in any event within 270 days after the end of each Fiscal Year, the District shall furnish the complete AAFR of the District, certified as to the fairness of presentation and conformity with general accepted accounting principles by a recognized firm of independent certified public accountants; *provided* that the requirement to provide any such copy to the Lender shall be satisfied if such copy is publicly available on EMMA;

Section 5.08. Compliance Certificate and Additional Information. (a) Within 270 days after the end of each Fiscal Year, the District shall furnish a Compliance Certificate of a Designated Representative in the form attached hereto as Exhibit C stating whether, to such representative's knowledge, there exists on the date of such certificate any Default and, if any Default is then known to exist, setting forth the details thereof and the action which the District is taking or proposes to take with respect thereto;

(b) As soon as available, and in any event within 90 days following approval thereof, the final, adopted budget of the District;

(c) (A) Promptly upon obtaining knowledge of any Default or Event of Default, or notice thereof, and in any event within ten (10) Business Days thereafter, a certificate signed by a Designated Representative specifying in reasonable detail the nature and period of existence thereof and what action the District has taken or proposes to take with respect thereto; and (B) promptly following a written request of the Lender, a certificate of a Designated Representative as to the existence or absence, as the case may be, of a Default or an Event of Default under this Agreement;

(d) As promptly as practicable, written notice to the Lender of all actions, suits or proceedings pending or threatened against the District (other than litigation related to Assem. Bill No. 218 (2019-2020 Reg. Sess.)) in court or before any arbitrator of any kind or before any governmental authority which could reasonably be expected to result in a Material Adverse Effect; and

(e) From time to time such additional information regarding the financial condition of the District as the Lender may reasonably request, subject to non-disclosure of non-public information including under an asserted work-product privilege, attorney-client privilege, governmental privilege, or deliberative process privilege.

Section 5.09. Events of Default. Promptly upon obtaining knowledge thereof, the District will notify the Lender of the occurrence of any Event of Default, specifying the details of such Event of Default and the action that the District proposes to take with respect thereto.

Section 5.10. Books, Records. At the Lender's expense (unless and until a Default or Event of Default has occurred at which time such expenses shall be borne by the District), the District will permit, during normal business hours and from time to time, upon reasonable prior notice, the

Lender or any of its agents or representatives to examine and make copies of and abstracts from the records and books of account of the District (except records and books of accounts the examination of which by the Lender is prohibited by law or contractual obligation), and to discuss the affairs, finances and accounts of the District with any appropriate representative of the District or the District's independent public accountants; *provided* that unless an Event of Default has occurred and is continuing, no more than two such examinations may be made by the Lender per fiscal year of the District.

Section 5.11. Other Obligations. The District will comply with and observe all obligations and requirements set forth in the Related Document to which it is a party (including without limitation all provisions therein for the benefit of the Lender) and all statutes and regulations binding upon it in which noncompliance or nonobservance could reasonably be expected to have a Material Adverse Effect.

Section 5.12. Responsibilities under Related Documents. The District shall take all actions as may be reasonably requested by the Lender to enforce the obligations under the Related Documents of each of the other parties thereto.

Section 5.13. Book Entry Eligibility. The District covenants that at all times from and including the Closing Date until and including the payment in full of the Loans, the Term Loans and the Notes (so long as this Agreement is effective and/or the Lender or any of its Affiliates own all or any portion of the Notes), the District shall not cause the Notes to be registered with DTC's book-entry delivery services without the Lender's prior written consent.

Section 5.14. Further Assurances. The District shall, upon the request of the Lender, from time to time, execute and deliver and, if necessary, file, register and record such further amendments, confirmation statements and other documents and instruments and take such further action as may be reasonably necessary to effectuate the provisions of this Agreement and the other Related Documents.

Section 5.15. Maintenance of Insurance. The District shall maintain insurance with responsible and reputable insurance companies or associations in such amounts and covering such risks as is required by law or is deemed by the District to be prudent.

Section 5.16. Bond Ratings. (a) The District shall at all times maintain a rating on its long-term unenhanced general obligation bonds from at least one Rating Agency.

(b) For avoidance of doubt, the District shall not maintain any ratings associated with this Agreement.

Section 5.17. Amendments to Related Documents. Without the prior written consent of the Lender, the District will not agree or consent to any amendment, supplement, waiver or modification of any provision of any Related Document to which the District is a party that affects the rights, interests, security or remedies of the Lender hereunder; *provided* that the District may (i) amend the Indenture to provide for the issuance of one or more series of additional bonds, subject to and in accordance with the provisions of Section 2.10 and Section 2.11 thereof so long

as such amendment does not otherwise amend or modify the Indenture and (ii) otherwise amend or supplement the Indenture in accordance with its terms so long as such amendment or supplement could not reasonably be expected to materially affect the rights, interests, security or remedies of the Lender or the District's Obligations hereunder and under the other Related Documents.

Section 5.18. Fiscal Year. The District shall not adopt any change in its Fiscal Year without giving prior written notice of such change to the Lender.

Section 5.19. Sanctions; Anti-Money Laundering Laws and Anti-Corruption Laws. The District shall comply in all material respects with, and cause each officer, director and agent acting on behalf of the District with respect to the obligations hereunder, this Agreement or any of the other Related Documents to comply in all material respects with, all applicable Sanctions, Anti-Money Laundering Laws and Anti-Corruption Laws, and shall ensure any of the proceeds of any credit extended hereunder are not used in contravention thereof.

Section 5.20. Use of Proceeds. (a) The District shall use the proceeds of the Loans solely as set forth herein and under the Resolution.

(b) The District shall not use any portion of the proceeds of the Loans for the purpose of carrying or purchasing any Margin Stock and shall not incur any Debt which is to be reduced, retired or purchased by the District out of such proceeds.

Section 5.21. Compliance with Laws. The District will comply with all laws, statutes and regulations binding upon it, including Sanctions, Anti-Money Laundering Laws, and Anti-Corruption Laws, noncompliance with which would materially adversely affect the District's ability to perform its respective obligations under the Notes, this Agreement or any of the other Related Documents.

Section 5.22. References to the Lender. Except as may be required by law (including federal and state securities laws), the District will not include any information concerning the Lender (other than identifying the Lender as a party to its contracts with the District) that is not supplied in writing, or otherwise consented to, by the Lender expressly for inclusion therein, in any written or published materials (other than the District's staff reports, annual statements, audited financial statements and rating agency presentations) without the prior written consent of the Lender; *provided that*, without the prior written consent of the Lender, the District may identify the Lender as a party to this Agreement, the Commitment, and the Facility Maturity Date, in other disclosure documents of the District, so long as no other information relating to the Agreement, the Fee Agreement or the Lender is disclosed in such offering documents without the prior written consent of the Lender.

Section 5.23. Existence, Etc. The District agrees that it will maintain its existence as a political subdivision under its charter and the laws of the State.

Section 5.24. Disclosure to Participants, Lender Transferees and Non-Lender Transferees. The District shall permit the Lender to disclose the financial information received by it pursuant to this Agreement to each Participant and Non-Lender Transferee pursuant to Section 8.05 of this

Agreement, subject to confidentiality restrictions and use restrictions customary for financial institutions.

Section 5.25. Other Agreements. In the event that the District has or shall enter into or otherwise consent to any credit agreement, liquidity agreement, standby bond purchase agreement, reimbursement agreement, direct purchase agreement (such as a continuing covenant agreement or supplemental bondholder's agreement), bond purchase agreement or other agreement or instrument (or any amendment, supplement or other modification thereof) under which, directly or indirectly, any Person or Persons undertake(s) (each a "*Provider*") to make loans to the District in connection with the Judgments, or to make or provide funds to make payment of, or to purchase or provide credit or liquidity enhancement for or with respect to any Debt relating to the Judgments (each a "*Bank Agreement*"), which Bank Agreement (i) contains covenants that are more restrictive on the part of the District than those contained in this Agreement, (ii) contains events of default and/or remedies that are more favorable to the Provider under such Bank Agreement than those contained in this Agreement and/or (iii) provides that any outstanding principal, advance, loan or drawing thereunder may or shall be amortized over a period shorter than the Amortization Period set forth in Section 2.12 hereof (collectively, the "*Additional Rights*"), such Additional Rights shall automatically be deemed to be incorporated into this Agreement and the Lender shall have the benefits of such Additional Rights. Upon entering into or consenting to any Bank Agreement, the District shall promptly enter into an amendment to this Agreement to include such Additional Rights, *provided* that the Lender shall maintain the benefit of such Additional Rights even if the District fails to provide such amendment. If the District shall amend any such Bank Agreement such that it no longer provides for such Additional Rights (except for waivers of such Additional Rights), then, without the consent of the Lender, this Agreement shall automatically no longer contain the Additional Rights thereunder and the Lender shall no longer have the benefits of any such Additional Rights.

ARTICLE VI

EVENTS OF DEFAULT

Section 6.01. Events of Default. If one or more of the following events shall have occurred and be continuing, each shall each constitute an Event of Default hereunder:

(a) (i) the District shall fail to pay principal of or interest on any Loan or Term Loan when due, or (ii) the District shall fail to pay any Obligation (other than the obligation to pay principal of and interest on any Loan or Term Loan) and such failure shall continue for three (3) Business Days; or

(b) any written representation, warranty, certification or statement made by the District in this Agreement or in any other Related Document or in any certificate, financial statement or other document delivered pursuant to this Agreement or any other Related Document shall (in any such case) have been incorrect or untrue in any material respect when made or deemed to have been made; or

(c) the District shall default in the due performance or observance of any of the covenants set forth in Section 5.01, Section 5.05, Section 5.06, Section 5.15, Section 5.16, Section 5.17, Section 5.20 or Section 5.23 hereof; or

(d) the District shall default in the due performance or observance of any other term, covenant or agreement contained in this Agreement and such default shall remain unremedied for a period of sixty (60) days after the earlier of (i) the date on which such default shall first become known to any representative of the District, and (ii) notice of such occurrence is given by the Lender to the District; *provided* that so long as the District shall be proceeding with due diligence to remedy any default in the due performance or observance of such covenants which, if begun and prosecuted with due diligence, cannot be completed within a period of sixty (60) days, but can be cured, then such sixty (60) day period shall be extended to the extent as shall be necessary to enable the District to begin and complete the remedying of such default through the exercise of due diligence but shall not exceed ninety (90) days from the earlier to occur of (i) the date on which such default shall first become known to any representative of the District, and (ii) written notice thereof is given by the Lender to the District); or

(e) (i) the District shall commence a voluntary case or other proceeding, and in connection with such case or other proceeding, seek liquidation, reorganization, debt arrangement, dissolution or other relief with respect to itself or its debts under any bankruptcy, insolvency or other similar law now or hereafter in effect or seeking the appointment of a trustee, receiver, liquidator, custodian or other similar official of its or any substantial part of its property, or shall consent to any such relief or to the appointment of or taking possession by any such official in an involuntary case or other proceeding commenced against it, or shall make a general assignment for the benefit of creditors, or shall fail generally to pay its debts as they become due, or shall declare a moratorium, debt restructuring, debt adjustment or comparable extraordinary restriction, or become insolvent within the meaning of Section 101(32) of the Bankruptcy Code (or any successor provision), or shall take any action to authorize any of the foregoing; or (ii) declaration of moratorium, debt restructuring, debt adjustment or comparable extraordinary restriction by a Governmental Authority of competent jurisdiction; or

(f) (i) a case or other proceeding shall be commenced against the District and in connection with such case or other proceeding, a party shall seek liquidation, reorganization, debt arrangement, dissolution or other relief with respect to it or its debts under any bankruptcy, insolvency or other similar law now or hereafter in effect or seeking the appointment of a trustee, receiver, liquidator, custodian or other similar official of it or any substantial part of its property, and such involuntary case shall either (A) be consented to or acquiesced in by the District, or (B) remain undismissed and unstayed for a period of sixty (60) days; (ii) all, or substantially all of the property of the District shall be condemned, seized, or otherwise appropriated; or (iii) a custodian, receiver, trustee, examiner, liquidator or similar official shall be appointed for the District or an order for relief shall be entered against the District under the federal bankruptcy laws as now or hereafter in effect, or any writ, judgment, warrant of attachment, execution or similar process shall be issued or levied against a substantial part of the property, assets or business

of the District, and such proceedings or petition shall not be dismissed, or such writ, judgment, warrant of attachment, execution or similar process shall not be stayed, released, appealed, vacated or fully bonded, within the time permitted by law after commencement, filing or levy, as the case may be; or

(g) (i) any material provision of this Agreement or any other Related Document relating to the District, shall at any time for any reason cease to be valid and binding on the District as a result of any legislative or administrative action by a Governmental Authority with competent jurisdiction or shall be declared in a final non-appealable judgment by any court with competent jurisdiction to be null and void, invalid, or unenforceable, or the validity or enforceability thereof shall be publicly contested by the District; or (ii) the District shall have taken or permitted to be taken any official action which would adversely affect the enforceability of this Agreement or any Related Document relating to the payment of the principal of or interest on the Note, the Term Loans, or the Obligations, or the security therefor or the District otherwise repudiates its obligation to pay the Notes, the Term Loans, or the Obligations, or (iii) or the occurrence of a repeal, reenactment, amendment, modification or enactment of legislation, if such repeal, reenactment, amendment, modification or enactment, could reasonably be expected to have a material adverse effect on the ability of the District to pay the Notes, the Loans, the Term Loans or the Obligation;

(h) dissolution or termination of the existence of the District; or

(i) the District shall (i) fail to make any payment on any Material District Debt (other than a Loan made pursuant to this Agreement) or any interest or premium thereon when due (whether by scheduled maturity, required prepayment, acceleration, demand, or otherwise) and such failure shall continue after the applicable grace period, if any, specified in the agreement or instrument relating to such Material District Debt; or (ii) failure to perform or observe any term, covenant, or condition on its part to be performed or observed under any agreement or instrument relating to any Material District Debt when required to be performed or observed, and such failure shall not be waived and shall continue after the applicable grace period (without regard to any subsequent amendment, waiver or forbearance with respect thereto unless the District certifies such amendment, waiver or forbearance was obtained without conditions or the Lender also benefits from such condition, in its reasonable discretion), if any, specified in such agreement or instrument, and such failure permits or results in the acceleration of such Material District Debt; or (iii) any Material District Debt shall be declared to be due and payable or be required to be prepaid (other than by a regularly scheduled required prepayment or an optional prepayment), prior to the standard maturity thereof; *provided, however*, that in the case of clause (i), (ii) or (iii) any failure shall not be considered an Event of Default hereunder if the same is being contested in good faith and by appropriate proceedings and such contest shall operate to stay the acceleration of the maturity of such Material District Debt; *provided, further*, that notice shall be given promptly by the Lender (and in any event within three (3) Business Days after the Lender shall have actual knowledge thereof) to the bond trustee under the Indenture of the occurrence of any failure permitting the acceleration of Material District Debt as provided in clause (ii) above but the Lender's failure to provide

such notice to the bond trustee shall not prevent such failure permitting the acceleration of Material District Debt as provided in clause (ii) above from constituting an Event of Default hereunder; or

(j) (i) the District shall default in the due performance or observance of any material term, covenant or agreement contained in any of the Related Documents and the same shall not have been cured within any applicable cure period; *provided* that the District had received the requisite notice of such default, if applicable; or (ii) any “Event of Default” as defined in any of the Other Bank Agreements shall have occurred; or

(k) a legislative or regulatory body with competent jurisdiction shall declare a financial emergency with respect to the District and shall appoint or designate with respect to the District, an entity such as an organization, board, commission, authority, agency or body to manage the affairs and operations of the District; or

(l) any Rating Agency shall have downgraded the rating on any unenhanced general obligation bond of the District to below “Baa3” (or its equivalent) by Moody’s, “BBB-” (or its equivalent) by S&P, or “BBB-” (or its equivalent) by Fitch or any of Moody’s, S&P, or Fitch shall have withdrawn or suspended its rating on any lease revenue bonds of the District, but not as a result of debt maturity, defeasance, non-application for a rating, non-provision of information or a downgrade of a third party credit enhancer and excluding any withdrawal or suspension of any such rating if S&P, Fitch, or Moody’s, as applicable, stipulates in writing that the rating action is being taken for non-credit related reasons; or

(m) one or more final, non-appealable judgments or orders for the payment of money in the aggregate amount of \$65,000,000 or more shall be rendered against the District (excluding those in relation to the Judgments) and such judgment or order shall continue unsatisfied and unstayed for a period of ninety (90) days; *provided* that any such judgment shall be deemed to be satisfied for purposes of this Section 6.01(m) if it is being paid by the District in installments pursuant to a settlement agreement.

Section 6.02. Remedies upon Event of Default. If an Event of Default specified in Section 6.01 hereof shall occur and be continuing, the Lender may take one or more of the following actions at any time and from time to time (regardless of whether the actions are taken at the same or different times):

(a) The Lender (i) may, by notice to the District, terminate the Commitment as to the Loan, and the Commitment as to the Loan shall thereupon terminate, and (ii) may, by notice to the District demand that the Notes relating to the Loan or Loans or Term Loans, be immediately due and payable by the District and the District shall thereupon be obligated to pay immediately the outstanding principal amount of such Notes, Loans and/or Term Loans, as applicable (together with accrued interest thereon), without presentment, demand, protest or other notice of any kind, all of which are hereby waived by the District; *provided* that in the case of any of the Events of Default specified in Section 6.01(e), Section 6.01(f) or 6.01(h) hereof, without any notice to the District or any other act by the

Lender, the Commitment shall thereupon immediately terminate and the Notes, Term Loans and other Obligations, as applicable, shall immediately be deemed to be due for payment by the District and the District shall be obligated to pay immediately the outstanding principal amount of the Notes, Term Loans and Obligations, as applicable, (together with accrued interest thereon) and with all other amounts then owing hereunder, in each case, without presentment, demand, protest or notice of any kind, all of which are hereby waived by the District;

(b) The Lender shall also be entitled to exercise any and all other rights and remedies available at law or in equity. Promptly following the taking of any action or the occurrence of any event or condition referred to above, the Lender shall give notice thereof to the District, but the failure to give any such notice or any delay in giving any such notice shall not impair the validity or effect of any action or event or condition referred to above; or

(c) If at any time after such acceleration and before any judgment or decree for the payment of money with respect thereto has been entered all amounts payable to the Lender hereunder on the Notes subject to acceleration under this Section 6.02 (except interest on or principal of the Bonds which are due solely by reason of such acceleration) shall have been paid or provided for by deposit with the Lender and all existing Events of Default shall have been cured or waived, then the Lender may annul such acceleration and its consequences by written notice to the District, which annulment shall be binding upon the District and the Lender, but no such annulment shall extend to or affect any subsequent Event of Default or impair any right or remedy consequent thereon.

(d) Additionally, from and after the occurrence and during the continuance of an Event of Default, all amounts owing to the Lender and all amounts owing to the Noteholders hereunder and amounts owing on any related Notes and Term Loans, as applicable, and all other obligations of the District hereunder shall bear interest at the Default Rate.

ARTICLE VII

INCREASED COSTS AND TAXES

Section 7.01. Additional Costs.

(a) *Increased Costs Generally.* If any Change in Law shall:

(i) impose, modify or deem applicable any reserve, capital or liquidity ratio, special deposit, compulsory loan, insurance charge or similar requirement against assets of, deposits with or for the account of, or advances, loans or other credit extended or participated in by, the Lender, or the Lender's parent or holding company or any Noteholder or such Noteholder's parent or holding company;

(ii) subject the Lender or any Noteholder to any Tax of any kind whatsoever with respect to this Agreement, the related Notes, any Loan or Term Loan made by it or the related Notes, or change the basis of taxation of payments to the Lender or such Noteholder in respect thereof (except for Indemnified Taxes or Other Taxes covered by Section 7.02 hereof and the imposition of, or any change in the rate of any Excluded Taxes payable by the Lender, the Lender's parent or holding company or such Noteholder or such Noteholder's parent or holding company); or

(iii) impose on the Lender, the Lender's parent or holding company or any Noteholder, or such Noteholder's parent or holding company any other condition, cost or expense affecting this Agreement or the related Notes or the Term Loans;

and the result of any of the foregoing shall be to increase the cost to the Lender, the Lender's parent or holding company, or such Noteholder or such Noteholder's parent or holding company of making Loans or Term Loans or maintaining the Commitment, or to reduce the amount of any sum received or receivable by the Lender, the Lender's parent or holding company, or such Noteholder hereunder, under the related Notes, under any Loan or under the Term Loan(s) (whether of principal, interest or any other amount) then, upon written request of the Lender or such Noteholder as set forth in clause (c) below, the District shall promptly pay to the Lender or such Noteholder, as the case may be, such additional amount or amounts as will compensate the Lender, the Lender's parent or holding company, or such Noteholder, or such Noteholder's parent or holding company, as the case may be, for such additional costs incurred or reduction suffered.

(b) *Capital or Liquidity Requirements.* If the Lender or any Noteholder reasonably determines that any Change in Law affecting the Lender, the Lender's parent or holding company, or such Noteholder or such Noteholder's parent or holding company regarding capital or liquidity requirements, has or would have the effect of reducing the rate of return on the Lender's, the Lender's parent's or holding company's, or such Noteholder's or such Noteholder's parent or holding company capital or liquidity as a consequence of this Agreement, or of making Loans or Term Loans or maintaining the Commitment, to a level below that which the Lender, the Lender's parent or holding company, or such Noteholder could have achieved but for such Change in Law (taking into consideration the Lender's, Lender's parent or holding company's, or such Noteholder's or such Noteholder's parent or holding company policies with respect to capital or liquidity adequacy), then from time to time upon written request of the Lender or such Noteholder as set forth in clause (c) below the District shall promptly pay to the Lender or such Noteholder, as the case may be, such additional amount or amounts as will compensate the Lender, the Lender's parent or holding company, or such Noteholder or such Noteholder's parent or holding company for any such reduction suffered.

(c) *Certificates for Reimbursement.* A certificate of the Lender or any Noteholder setting forth the amount or amounts necessary to compensate the Lender, the Lender's parent or holding company, or any such Noteholder or such Noteholder's parent or holding company, as the case may be, as specified in paragraph (a) or (b) of this Section in reasonable detail setting forth the computation of such compensation (including the reason therefor), and delivered to the District, shall be conclusive absent manifest error. The District shall pay the Lender or any such

Noteholder, as the case may be, the amount shown as due on any such certificate within sixty (60) days after receipt thereof.

(d) *Delay in Requests.* Failure or delay on the part of the Lender or the Noteholder to demand compensation pursuant to the foregoing provisions of this Section shall not constitute a waiver of the Lender's or the Noteholder's right to demand such compensation. The District shall not be required to compensate the Lender or any Noteholder pursuant to this Section 7.01 in respect of a period occurring more than six (6) months prior to the date the above-described written demand is given to the District with respect thereto.

(e) *Participants.* Each Participant will be entitled to the benefits of this Section 7.01 to the same extent as if it were a direct party hereto and references to the Lender in this Section 7.01 will be deemed to refer to each Participant to the extent the District is notified in writing of such participation and such Participant complies with the provisions of Section 8.05(d) hereof in connection with its participation. Notwithstanding the foregoing, in no event shall the District be required to pay to any Participant any increased cost in excess of the amount the District would have paid to the Lender if the Lender had not entered into a participation with such Participant.

(f) *Survival.* Without prejudice to the survival of any other agreement of the District hereunder, the agreements and obligations of the District contained in this Section shall survive the termination of this Agreement and the payment in full of the Loans, the Term Loans and the obligations of the District thereunder and hereunder; *provided* that this paragraph (f) will not be deemed to extend any applicable statute of limitations. In no event shall increased costs be payable in respect of any period subsequent to the later of (i) the Termination Date, and (ii) the date on which no Note, or interest thereon, remains outstanding.

Section 7.02. Taxes. (a) Any and all payments to the Lender or any Noteholder by the District hereunder or with respect to the Loans and Term Loans shall be made free and clear of and without deduction or withholding for any and all Indemnified Taxes. If the District shall be required by law to deduct or withhold any Indemnified Taxes imposed by the United States of America or any political subdivision thereof from or in respect of any sum payable hereunder or with respect to the Loans and/or Term Loans, then (i) the sum payable shall be increased as may be necessary so that after making all required deductions (including deductions applicable to additional sums payable under this Section) the Lender or such Noteholder receives an amount equal to the sum it would have received had no such deductions been made, (ii) the District shall make such deductions, and (iii) the District shall timely pay the full amount deducted to the relevant taxation authority or other authority in accordance with applicable law. If the District shall make any payment under this Section to or for the benefit of the Lender or such Noteholder with respect to Indemnified Taxes and if the Lender or such Noteholder shall claim any credit or deduction for such Indemnified Taxes against any other taxes payable by the Lender or such Noteholder to any taxing jurisdiction in the United States of America then the Lender or such Noteholder shall pay to the District an amount equal to the amount by which such other taxes are actually reduced; *provided*, that the aggregate amount payable by the Lender or such Noteholder pursuant to this sentence shall not exceed the aggregate amount previously paid by the District with respect to such Indemnified Taxes. In addition, the District agrees to pay any present or future stamp, recording or documentary taxes and any other excise or property taxes, charges or similar

levies that arise under the laws of the United States of America or any state of the United States from any payment made hereunder or under the Loans, the Term Loans or from the execution or delivery of this Agreement or the Notes, or otherwise with respect to this Agreement, the Loans or the Term Loans (hereinafter referred to as “*Other Taxes*”). The Lender or such Noteholder shall provide to the District within a reasonable time a copy of any written notification it receives with respect to Indemnified Taxes or Other Taxes owing by the District to the Lender or such Noteholder hereunder; *provided*, that the Lender or such Noteholder’s failure to send such notice shall not relieve the District of its obligation to pay such amounts hereunder.

(b) The District shall, to the fullest extent permitted by law and subject to the provisions hereof, pay the Lender or such Noteholder for the full amount of Indemnified Taxes and Other Taxes including any Indemnified Taxes or Other Taxes imposed by any jurisdiction on amounts payable under this Section paid by the Lender or such Noteholder or any liability (including penalties, interest and expenses) arising therefrom or with respect thereto; *provided*, that the District shall not be obligated to pay the Lender or such Noteholder for any penalties, interest or expenses relating to Indemnified Taxes or Other Taxes arising from the Lender or such Noteholder’s negligence or willful misconduct. The Lender or such Noteholder agrees to give notice to the District of the assertion of any claim against the Lender or such Noteholder relating to such Indemnified Taxes or Other Taxes as promptly as is practicable after being notified of such assertion; *provided*, that the Lender or such Noteholder’s failure to notify the District promptly of such assertion shall not relieve the District of its obligation under this Section. Payments by the District pursuant to this Section shall be made within thirty (30) days from the date the Lender or such Noteholder makes written demand therefor, which demand shall be accompanied by a certificate describing in reasonable detail the basis thereof. The Lender or such Noteholder agrees to repay to the District any refund (including that portion of any interest that was included as part of such refund) with respect to Indemnified Taxes or Other Taxes paid by the District pursuant to this Section received by the Lender or such Noteholder for Indemnified Taxes or Other Taxes that were paid by the District pursuant to this Section and to contest, with the cooperation and at the expense of the District, any such Indemnified Taxes or Other Taxes which the Lender or such Noteholder or the District reasonably believes not to have been properly assessed.

(c) Within thirty (30) days after the date of any payment of Indemnified Taxes by the District, the District shall furnish to the Lender or such Noteholder, as applicable, the original or a copy of a receipt evidencing payment thereof.

(d) Without prejudice to the survival of any other agreement of the District hereunder, the agreements and obligations of the District contained in this Section shall survive the termination of this Agreement and the payment in full of the Loans, the Term Loans and the obligations of the District thereunder and hereunder; *provided* that this paragraph (d) will not be deemed to extend any applicable statute of limitations. In no event shall taxes set forth herein be payable in respect of any period subsequent to the later of (i) the Termination Date, and (ii) the date on which no Note, or interest thereon, remains outstanding.

ARTICLE VIII

MISCELLANEOUS

Section 8.01. Notices. All notices, requests, consents and other communications to either party hereunder shall be in writing (including bank wire, facsimile transmission or similar writing) and shall be given to such party at its address or facsimile number set forth on the signature page hereof or at such other address or facsimile number as such party may hereafter specify for the purpose by at least five (5) Business Days' prior notice to the other party, unless otherwise described herein. Each such notice, request, consent or other communication shall be effective (i) if given by facsimile, when such facsimile is transmitted to the facsimile number specified in this Section and the appropriate answerback is received, (ii) if given by mail, 72 hours after such communication is deposited in the mails with first class postage prepaid, addressed as aforesaid, or (iii) if given by any other means, when delivered at the address specified in this Section; *provided* that notices to the Lender under Article II or Article VII shall not be effective until received.

Lender: [Lender]

Telephone: _____
Email: _____

Wiring instructions: [Wiring Instructions]

If to the District: Los Angeles Unified School District
333 South Beaudry Avenue, 26th Floor
Los Angeles, California 90017
Attention: Chief Business Officer
Facsimile: _____
Telephone: _____

Section 8.02. No Waivers. No course of dealing and no delay or failure of the Lender in exercising any right, power or privilege under this Agreement or the other Related Documents shall affect any other or future exercise thereof or exercise of any right, power or privilege; nor shall any single or partial exercise of any such right, power or privilege or any abandonment or discontinuance of steps to enforce such a right, power or privilege preclude any further exercise thereof or of any other right, power or privilege. The rights and remedies of the Lender under this Agreement are cumulative and not exclusive of any rights or remedies which the Lender would otherwise have under any Related Documents, at law or in equity.

Section 8.03. Expenses; Documentary Taxes; Indemnification. (a) The District shall pay (i) reasonable out-of-pocket expenses of the Lender, including reasonable fees and disbursements of counsel for the Lender, in connection with the preparation of this Agreement (not to exceed \$50,000), any waiver or consent hereunder or any amendment hereof or any Default or alleged

Default hereunder, (ii) reasonable out-of-pocket expenses incurred by the Lender, including reasonable fees and disbursements of counsel, in connection with any Default or Event of Default, and collection, bankruptcy, insolvency and other enforcement proceedings resulting therefrom and any workout or restructuring or negotiations in connection with the Loans. The District shall, to the extent permitted by law, indemnify and hold the Lender harmless (on a net after tax basis) from any present or future claim or liability for any transfer taxes, documentary taxes, assessments or charges made by any Governmental Authority by reason of the execution and delivery of this Agreement or the Notes.

(b) To the fullest extent permitted by applicable law, the District agrees to indemnify the Lender and each Noteholder and hold the Lender and each Noteholder harmless from and against any and all liabilities, losses, damages, costs and expenses of any kind, including, reasonable attorney fees, which may be incurred by the Lender or such Noteholder by reason of the District's adoption of the Resolution or the execution, delivery or performance by the District of this Agreement or any other Related Document and the use or proposed use of proceeds of the Loans; *provided* that the Lender or such Noteholder shall not have the right to defense or be indemnified hereunder for its own gross negligence or willful misconduct. The agreements and obligations of the District contained in this Section shall survive the termination of this Agreement and the payment in full of the Loans, the Term Loans and the obligations of the District thereunder and hereunder subject to any applicable statute of limitations and limited to liabilities, losses, damages, costs and expenses arising from this Agreement.

(c) To the fullest extent permitted by applicable law, the District shall not assert, and hereby waives, and acknowledges that no other Person shall have, any claim against the Lender or any Noteholder on any theory of liability, for special, indirect, consequential or punitive damages (as opposed to direct or actual damages) arising out of, in connection with, or as a result of, this Agreement, any other Related Document or any agreement or instrument contemplated hereby, the transactions contemplated hereby or thereby, the Loans, or the use of the proceeds thereof. Neither the Lender nor any Noteholder shall be liable for any damages arising from the use by unintended recipients of any information or other materials distributed to such unintended recipients by the Lender or such Noteholder through telecommunications, electronic or other information transmission systems in connection with this Agreement or the other Related Documents or the transactions contemplated hereby or thereby other than for direct or actual damages resulting from the gross negligence or willful misconduct of the Lender or any Noteholder as determined by a final and nonappealable judgment of a court of competent jurisdiction.

Section 8.04. Amendments and Waivers. Any provision of this Agreement or the Notes may be amended or waived if, but only if, such amendment or waiver is in writing and is signed by the District and the Lender, and unless, the Commitment shall have terminated, any party holding all or any portion of the Commitment; *provided* that no such amendment or waiver shall (i) increase the Commitment or shorten the duration of the Commitment or affect any right or remedy to terminate the Commitment without the written consent of each party affected thereby, (ii) reduce the principal amount of any Loan or Term Loan or reduce the rate of interest thereon, or reduce any fees payable hereunder, without the written consent of each Noteholder affected thereby; (iii) postpone the scheduled date of payment of the principal amount of any Loan or Term

Loan, or any interest thereon, or any fees payable hereunder, or reduce the amount of, waive or excuse any such payment, without the written consent of each Noteholder affected thereby, or (iv) change any of the provisions of this Section.

Section 8.05. Successors and Assigns.

(a) *Successors and Assigns Generally.* This Agreement is a continuing obligation and shall be binding upon the District, its successors, transferees and assigns and shall inure to the benefit of the Noteholders and their respective permitted successors, transferees and assigns as set forth herein. The District may not assign or otherwise transfer any of its rights or obligations hereunder without the prior written consent of the Lender. Each Noteholder may, in its sole discretion and in accordance with applicable law, from time to time assign, sell or transfer in whole or in part, this Agreement, its interest in the Notes and the Related Documents in accordance with the provisions of paragraph (c) of this Section. Each Noteholder may at any time and from time to time enter into participation agreements in accordance with the provisions of paragraph (d) of this Section. Each Noteholder may at any time pledge or assign a security interest subject to the restrictions of paragraph (e) of this Section. The Lender does not intend to assign its obligations to advance or make Loans or Term Loans pursuant to the terms of this Agreement, and, notwithstanding anything to the contrary set forth herein, the Lender may not assign its obligations to advance or make Loans or Term Loans pursuant to the terms of this Agreement without the prior written consent of the District in its sole discretion. In addition, were the Lender to become a Noteholder, it (i) shall intend to hold any Notes for its own account and for an indefinite period of time, and (ii) shall hold any Notes for its own account and for an indefinite period of time and shall not dispose of all or any part of such Notes except to the extent as may be provided for in Section 8.05(c), 8.05(d) or 8.05(d) below.

(b) *Sales and Transfers by Noteholder to a Non-Lender Transferee.* Without limitation of the foregoing generality, a Noteholder may at any time sell or otherwise transfer to one or more transferees each of which constitutes (i) an Affiliate of the Noteholder, (ii) a “qualified institutional buyer” as defined in Rule 144A promulgated under the 1933 Act or “accredited investors” as defined in Rule 501 of Regulation D under the 1933 Act and (iii) a commercial bank organized under the laws of the United States, or any state thereof, having a combined capital and surplus, determined as of the date of any transfer pursuant to this clause (b), of not less than \$5,000,000,000 (each a “Non-Lender Transferee” and, together with any Lender Transferee, an “Assignee”) all or a portion of the Notes if (A) written notice of such sale or transfer, including that such sale or transfer is to a Non-Lender Transferee, together with addresses and related information with respect to the Non-Lender Transferee, shall have been given to the District and the Lender (if different than the Noteholder) by such selling Noteholder and Non-Lender Transferee and (B) the Non-Lender Transferee shall have delivered to the District and the selling Noteholder, an investment letter in substantially the form delivered by the Lender on the Closing Date (the “Investor Letter”).

(c) *Participations.* (i) The Lender shall have the right to grant participations in all or a portion of the Lender’s interest in the Notes, this Agreement and the other Related Documents (on a participating basis but not as a party to this Agreement or any other Related Document, each, a “Participation”)) to one or more other banking institutions, without the consent of the District

(each, a “*Participant*”); *provided*, that the Lender shall give the District notice of the grant of any Participation upon the effectiveness thereof.

(ii) Unless not legally entitled to do so:

(A) each Assignee or Participant, if requested by the District in writing, shall deliver such forms or other documentation prescribed by applicable law or reasonably requested by the District as will enable the District to determine whether or not such Assignee or Participant is subject to backup withholding or information reporting requirements;

(B) any foreign Assignee or Participant that is entitled to an exemption from or reduction of any Taxes with respect to payments hereunder or under any other Related Document shall deliver to the District, on or prior to the date on which it becomes an Assignee or a Participant under this Agreement (and from time to time thereafter, as may be necessary in the determination of the District, each in the reasonable exercise of its sole discretion), such properly completed and duly executed forms or other documentation prescribed by applicable law as will permit such payments to be made without withholding or at a reduced rate of withholding;

(C) without limiting the generality of the foregoing, in the event that the District is a resident for tax purposes in the United States, any foreign Assignee or Participant shall deliver to the District (in such number of copies as shall be requested by the District) on or prior to the date on which it becomes an Assignee or a Participant under this Agreement (and from time to time thereafter, as may be necessary in the determination of the District, in the reasonable exercise of its sole discretion), whichever of the following is applicable:

(1) properly completed and duly executed copies of Internal Revenue Service Form W-8BEN claiming eligibility for benefits of an income tax treaty to which the United States is a party,

(2) properly completed and duly executed copies of Internal Revenue Service Form W-8ECI,

(3) in the case of a foreign Assignee or Participant claiming the benefits of the exemption “portfolio interest” under Section 881(c) of the Internal Revenue Code, (A) a duly executed certificate to the effect that such foreign Assignee or Participant is not (i) a “bank” within the meaning of Section 881(c)(3)(A) of the Internal Revenue Code, (ii) a ten-percent shareholder (within the meaning of Section 881(c)(3)(B) of the Internal Revenue Code) of the District or (iii) a controlled foreign corporation described in Section 881(c)(3)(C) of the Internal Revenue Code and (B) properly completed and duly executed copies of Internal Revenue Service Form W-8BEN; and

(4) properly completed and duly executed copies of any other form prescribed by applicable law as a basis for claiming exemption from or a reduction

in any Taxes, in each case together with such supplementary documentation as may be prescribed by applicable law to permit the District to determine the withholding or deduction required to be made, if any;

(D) without limiting the generality of the foregoing, in the event that the District is resident for tax purposes in the United States, any foreign Assignee or Participant that does not act or ceases to act for its own account with respect to any portion of any sums paid or payable to the Lender under this Agreement (for example, in the case of a typical participation by the Lender) shall deliver to the District (in such number of copies as shall be requested by the District), on or prior to the date such foreign Assignee or Participant becomes an Assignee or a Participant, or on such later date when such foreign Assignee or Participant ceases to act for its own account with respect to any portion of any such sums paid or payable, and from time to time thereafter, as may be necessary in the determination of the District (each in the reasonable exercise of its sole discretion):

(1) duly executed and properly completed copies of the forms and statements required to be provided by such foreign Assignee or Participant under clause (c) of this Section 8.05 to establish the portion of any such sums paid or payable with respect to which the Assignee or Participant acts for its own account and may be entitled to an exemption from or a reduction of the applicable Taxes, and

(2) duly executed and properly completed copies of Internal Revenue Service Form W-8IMY (or any successor forms) properly completed and duly executed by such foreign Participant, together with any information, if any, such foreign Participant chooses to transmit with such form, and any other certificate or statement of exemption required under the Internal Revenue Code or the regulations thereunder, to establish that such foreign Assignee or Participant is not acting for its own account with respect to a portion of any such sums payable to such foreign Assignee or Participant;

(E) without limiting the generality of the foregoing, in the event that the District is resident for tax purposes in the United States, the Assignee or Participant that is not a foreign Participant and has not otherwise established to the reasonable satisfaction of the District that it is an exempt recipient (as defined in Section 6049(b)(4) of the Internal Revenue Code and the United States Treasury Regulations thereunder) shall deliver to the District (in such number of copies as shall be requested by the District) on or prior to the date on which the Assignee or Participant becomes an Assignee or a Participant under this Agreement (and from time to time thereafter as prescribed by applicable law or upon the written request of the District), duly executed and properly completed copies of Internal Revenue Service Form W-9; and

(F) without limiting the generality of the foregoing, each Participant shall, from time to time after the initial delivery by the Assignee or Participant, as applicable, of such forms, whenever a lapse in time or change in circumstances renders such forms, certificates or other evidence so delivered obsolete or inaccurate in any material respect, promptly

(1) deliver to the District two original copies of renewals, amendments or additional or successor forms, properly completed and duly executed by the Participant, as applicable, together with any other certificate or statement of exemption required in order to confirm or establish that such Assignee or Participant is entitled to an exemption from or reduction of any Taxes with respect to payments to such Assignee or Participant, as applicable, under this Agreement and, if applicable, that such Participant does not act for its own account with respect to any portion of such payment, or (2) notify the District of its inability to deliver any such forms, certificates or other evidence.

(d) *Certain Pledges.* The Lender may at any time pledge or grant a security interest in all or any portion of its rights under the Notes, this Agreement and the Related Documents to secure obligations of the Lender, including any pledge or assignment to secure obligations to a Federal Reserve Bank, the United States Treasury or to any state or local governmental entity or with respect to public deposits; *provided* that no such pledge or assignment shall release the Lender from any of its obligations hereunder or substitute any such pledgee or assignee for the Lender as a party hereto.

Section 8.06. Governing Law; Venue. (a) This Agreement shall be governed by the laws of the State of California, without regard to conflict of law principles that would require the application of different governing law.

(b) All litigation arising out of, or relating to this Agreement, shall be brought in a state or federal court located in the County of Los Angeles in the State of California. The parties irrevocably agree to submit to the exclusive jurisdiction of such courts and waive any defense of *forum non conveniens*. If for any reason no State or Federal court sitting in the County of Los Angeles can and will accept jurisdiction over any such suit, action or proceeding, then the exclusivity of jurisdiction in such courts in the County of Los Angeles shall not apply and such suit, action or proceeding may be brought in any other state or federal court in the State of California which will accept jurisdiction over such matter. Notwithstanding anything in this Agreement to the contrary, no action, suit or other proceeding may be maintained against the District unless notice and presentment of such claim shall have been given in accordance with the procedural laws of the State of California and the County of Los Angeles. Service of process may be accomplished by registered mail, return receipt requested to each of the parties at the address listed for notice in Section .8.01 hereof; *provided, however*, that service of process with respect to the District shall be made to the Executive Officer-Clerk of the Board of Education.

Section 8.07. Counterparts; Integration. This Agreement may be signed in any number of counterparts, each of which shall be an original, with the same effect as if the signatures thereto and hereto were upon the same instrument. This Agreement constitutes the entire agreement and understanding among the parties hereto and supersedes any and all prior agreements and understandings, oral or written, relating to the subject matter hereof.

Section 8.08. Headings. Section headings in this Agreement are included herein for convenience of reference only and shall not constitute a part of this Agreement for any other purpose.

Section 8.09. Severability. The invalidity or unenforceability of anyone or more phrases, sentences, clauses, or sections contained in this Agreement shall not affect the validity or enforceability of the remaining portions of this Agreement, or any part thereof.

Section 8.10. Government Regulations. The Lender is subject to the Patriot Act (as hereinafter defined) and hereby notifies the District that pursuant to the requirements of the USA Patriot Act Title III of Pub. L. 107-56 (signed into law October 26, 2001) (the “*Patriot Act*”), it is required to obtain, verify and record information that identifies the District, which information includes the name and address of the District and other information that will allow the Lender, to identify the District in accordance with the Patriot Act. The District shall promptly provide such information on request by the Lender. The District hereby agrees (a) that it is not and shall not be listed on the Specially Designated Nationals and Blocked Person List or other similar lists maintained by the Office of Foreign Assets Control (“*OFAC*”), the Department of the Treasury or included in any Executive Orders, that prohibits or limits the Lender from making any advance or extension of credit to the District or from otherwise conducting business with the District and (b) to ensure that the proceeds of the Loans and Notes shall not be used to violate any of the foreign asset control regulations of OFAC or any enabling statute or Executive Order relating thereto.

Section 8.11. No Advisory or Fiduciary Relationship. In connection with all aspects of each transaction contemplated hereby (including in connection with any amendment, waiver or other modification hereof or of any other Related Document), the District acknowledges and agrees that: (a)(i) the services regarding this Agreement provided by the Lender are arm’s-length commercial transactions between the District, on the one hand, and the Lender, on the other hand, (ii) the District has consulted its own legal, accounting, regulatory, tax, financial and other advisors to the extent it has deemed appropriate, and (iii) the District is capable of evaluating, and understands and accepts, the terms, risks and conditions of the transactions contemplated hereby and by the other Related Documents; (b)(i) the Lender is and has been acting solely as a principal for its own interests and, except as expressly agreed in writing by the relevant parties, has not been, is not, and will not be acting as an advisor (municipal, financial or otherwise), agent or fiduciary, for the District, and has no fiduciary duty pursuant to Section 15B of the Securities Exchange Act of 1934 to the District with respect to this transaction and the discussions, undertakings and procedures leading thereto (irrespective of whether the Lender has provided other services or is currently providing other services to the District on other matters), (ii) the Lender has no obligation to the District with respect to the transactions contemplated hereby except those obligations expressly set forth herein and in the other Related Documents, (iii) the only obligations the Lender has to the District with respect to this transaction are set forth in this Agreement; and (iv) the Lender is not recommending that the District take an action with respect to the transaction described in this Agreement and the other Related Documents; and (c) the Lender may be engaged in a broad range of transactions that involve interests that differ from those of the District, and the Lender has no obligation to disclose any of such interests to the District.

Section 8.12. Electronic Signatures. The parties agree that the electronic signature of a party to this Agreement shall be as valid as an original signature of such party and shall be effective to bind such party to this Agreement. The parties acknowledge and agree that this document and any related documents, and any amendments or waivers hereto or thereto, may be executed and delivered by facsimile, electronic copies in portable document format (“*PDF*”) or by any other

electronic means intended to preserve the original graphic and pictorial appearance of a document, or by combination of such means or by any digital or electronic signature process or program, and that any signature so delivered shall be treated as and have the same force and effect as an original signature, and copies of the same may be used and introduced as evidence at any legal proceedings including, without limitation, trials and arbitrations, relating to or arising under this document. Neither party shall contest the admissibility of true and accurate copies of electronically signed documents on the basis of the best evidence rule or as not satisfying the business records exception to the hearsay rule. Notwithstanding the foregoing, the Lender may, in its sole and exclusive discretion, also require delivery of this document and any related documents, and any amendments or waivers hereto or thereto, with an original signature for its records and two or more duplicate originals of this Agreement may be signed by the parties, each of which shall be an original but all of which together shall constitute one and the same instrument.

Section 8.13. Representation by Legal Counsel; Joint Preparation. The parties hereto have participated jointly in the negotiation and drafting of this Agreement and each of the parties was represented by its respective legal counsel during the negotiation and execution of this Agreement. In the event an ambiguity or question of intent or interpretation arises, this Agreement shall be construed as if drafted jointly by the parties and no presumption or burden of proof shall arise favoring or disfavoring any party by virtue of the authorship of any of the provisions of this Agreement.

Section 8.14. District Business Policies; Taxpayer Identification Number (TIN). The Lender declares that its authorized U.S. Federal TIN is _____. No payment will be made under this Agreement without a valid TIN number.

Section 8.15. Prior Understandings. This Agreement and the other Related Documents *supersede* all other prior understandings and agreements, whether written or oral, among the parties hereto relating to the transactions provided for herein and therein.

Section 8.16. Continuing Obligation. The obligations of the District under this Agreement shall continue until the later of the date this Agreement terminates and the date upon which all amounts owing to the Lender, each Noteholder and each Participant hereunder and under the Notes shall have been paid in full, *provided* that the obligations of the District to pay accrued but unpaid amounts pursuant to Article II and Article VIII hereof shall survive the termination of this Agreement. This Agreement shall be binding upon the District and its successors and assigns and shall inure to the benefit of and be enforceable by the Lender and its successors, transferees and assigns, *provided* that the District may not assign all or any part of this Agreement without the prior written consent of the Lender. Nothing contained in this Section shall be construed to be a waiver of any applicable statute of limitations.

Section 8.17. US QFC Stay Rules.

(a) *Recognition of U.S. Resolution Regimes.* In the event that any party that is a Covered Entity becomes subject to a proceeding under a U.S. Special Resolution Regime, the transfer of this Agreement (and any interest and obligation in or under this Agreement and any property securing this Agreement) from such Covered Entity will be effective to the same extent as the

transfer would be effective under the U.S. Special Resolution Regime if this Agreement (and any such interest, obligation and property) were governed by the laws of the United States or a state of the United States. In the event that any party that is a Covered Entity or a BHC Act Affiliate of such party becomes subject to a proceeding under a U.S. Special Resolution Regime, Default Rights against such party with respect to this Agreement are permitted to be exercised to no greater extent than such Default Rights could be exercised under the U.S. Special Resolution Regime if this Agreement were governed by the laws of the United States or a state of the United States. The requirements of this paragraph (a) apply notwithstanding the provisions of paragraph (b).

(b) *Limitation on the Exercise of Certain Rights Related to Affiliate Insolvency Proceedings.* Notwithstanding anything to the contrary in this Agreement or any related agreement, but subject to the requirements of paragraph (a), no party to this Agreement shall be permitted to exercise any Default Right against a party that is a Covered Entity with respect to this Agreement that is related, directly or indirectly, to a BHC Act Affiliate of such Covered Entity becoming subject to Insolvency Proceedings, except to the extent the exercise of such Default Right would be permitted under 12 C.F.R. § 252.84, 12 C.F.R. § 47.5, or 12 C.F.R. § 382.4, as applicable. After a BHC Act Affiliate of a party that is a Covered Entity has become subject to Insolvency Proceedings, any party that seeks to exercise a Default Right against such Covered Entity with respect to this Agreement shall have the burden of proof, by clear and convincing evidence, that the exercise of such Default Right is permitted hereunder.

(c) *Definitions.* As used in this Section 8.17:

“*BHC Act Affiliate*” of a party means an “*affiliate*” (as such term is defined under, and interpreted in accordance with, 12 U.S.C. 1841(k)) of such party.

“*Covered Entity*” means any of the following:

(a) a “*covered entity*” as that term is defined in, and interpreted in accordance with, 12 C.F.R. § 252.82(b);

(b) a “*covered bank*” as that term is defined in, and interpreted in accordance with, 12 C.F.R. § 47.3(b); or

(c) a “*covered FSI*” as that term is defined in, and interpreted in accordance with, 12 C.F.R. § 382.2(b).

“*Default Right*” has the meaning assigned to that term in, and shall be interpreted in accordance with, 12 C.F.R. §§ 252.81, 47.2 or 382.1, as applicable.

“*Insolvency Proceeding*” means a receivership, insolvency, liquidation, resolution, or similar proceeding.

“*U.S. Special Resolution Regime*” means each of (i) the Federal Deposit Insurance Act and the regulations promulgated thereunder and (ii) Title II of the Dodd-Frank Wall Street Reform and Consumer Protection Act and the regulations promulgated thereunder.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, the parties hereto have caused this Revolving Credit Agreement to be duly executed by their respective authorized officers as of the day and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____

Name: _____

Title: _____

[LENDER]

By: _____

Name: _____

Title: Authorized Officer

EXHIBIT A

FORM OF NOTICE OF BORROWING

[Date]

To: [Lender]

From: Los Angeles Unified School District

Re: Revolving Credit Agreement (the "*Agreement*")
dated as of [____], 2024 between the
Los Angeles Unified School District and the Lender

We hereby give notice, pursuant to Section 2.02(a) of the Agreement, of the following proposed Borrowing:

Date of Borrowing..... [Date]
Loan Principal Amount [\$xx,xxx,xxx]
Amount of Loans Outstanding [\$xxx,xxx,xxx]
Interest Payment Date [Quarterly]
The Facility Maturity Date..... [Date]

The proceeds of such Loan are to be transferred to the following account(s):

To: [Third-Party Administrator Trustee]
[Wiring Information to Come]

The Rate for such Loan is to be:

SIFMA Index Rate*
SOFR Index Rate

The Loan constituting such Borrowing is to be a (check applicable box):

Taxable Loan ☐
Tax-exempt Loan ☐

Attached hereto are executed copies of (1) the case number(s) and amount of the Judgment(s) to be funded, (2) an irrevocable instruction to the [Third-Party Administrator Trustee]

* Only if Tax-exempt Loan

executed by a Designated Representative of the District to pay the Judgment Obligor(s) from proceeds of the Loan, (3) invoices to pay costs of issuance, if any, and (3) if the Loan a Tax-exempt Loan, the Supplemental Tax Certificate which includes the related form 8038.

Terms used herein have the meanings assigned to them in the Agreement.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Name: _____
Title: _____

EXHIBIT B

[FORM OF NOTICE OF CONTINUATION/CONVERSION]

NOTICE OF CONTINUATION/CONVERSION

[Lender]

Re: Los Angeles Unified School District

Ladies and Gentlemen:

The undersigned, a Designated Representative, refers to the Revolving Credit Agreement, dated as of [____], 2024 (together with any amendments or supplements thereto, the “*Agreement*”), between the Los Angeles Unified School District and the Lender (the terms defined therein being used herein as therein defined) and hereby gives Lender notice irrevocably, pursuant to Section 2.02(a)(ii) of the Agreement, of the [conversion] [continuation] of the Loan(s) specified herein, that:

1. The Business Day of the proposed [conversion] [continuation] is _____, 20__ (the “*Conversion/Continuation Date*”), which is at least [two Business Days following the date hereof].

2. The aggregate amount of the Loan(s) to be [converted] [continued] is \$_____.

3. The Loan(s) to be [converted] [continued] is/are currently bearing interest with respect to [the SOFR Index Rate] [the SIFMA Index Rate] and is/are [a Taxable Loan(s)] or [a Tax-exempt Loan(s)].

4. The Loan(s) is/are to be [converted into] [continued as] Loans bearing interest with respect to [the SOFR Index Rate] [the SIFMA Index Rate].

5. Following the Interest Period for the Loan, which ends on _____, 20__, the Loan(s) are to be [converted] [continued] to bearing interest with respect to [the SOFR Index Rate] [the SIFMA Index Rate].

6. The principal amount of the Loans to be outstanding following the [conversion] [continuation] will not exceed the Commitment as of the Conversion/Continuation Date set forth in 1 above.

7. Notwithstanding anything set forth herein to the contrary, the District may not request a conversion of a Loan to a Tax-exempt Loan without the prior written consent

of the Lender and the obligation of the Lender to convert a Loan to a Tax-exempt Loan shall be in its sole and absolute discretion.

IN WITNESS WHEREOF, the undersigned has executed and delivered this Notice of Continuation/Conversion as of the ____ day of _____, ____.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Name: _____
Title: _____

EXHIBIT C

FORM OF COMPLIANCE CERTIFICATE

This Compliance Certificate (this “*Certificate*”) is furnished to [Lender] (the “*Lender*”) pursuant to the Revolving Credit Agreement dated as of [____], 2024 (the “*Agreement*”), between the Los Angeles Unified School District (the “*District*”) and the Lender. Unless otherwise defined herein, the terms used in this Certificate shall have the meanings assigned thereto in the Agreement.

The undersigned hereby certifies that:

1. They are a Designated Representative of the District;
2. No Default or Event of Default has occurred and is continuing; and
3. There has been no material adverse change (in the reasonable judgment of the District) in the financial condition of the District since [____], 20____, from that date set forth in the District’s Annual Audited Financial Report, as of, and for the period ended on, that date except as otherwise disclosed to the Lender in writing.

Described below are the exceptions, if any, to paragraph 2 by listing, in detail, the nature of the condition or event, the period during which it has existed and the action which the District has taken, is taking, or proposes to take with respect to each such condition or event:

The foregoing certifications in support hereof, are made and delivered this ____ day of _____, 20____.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
 Name: _____
 Title: _____

EXHIBIT D

FORM OF TAXABLE NOTE (SOFR)

LOS ANGELES UNIFIED SCHOOL DISTRICT

JUDGMENT OBLIGATION CREDIT NOTE

TRANSFER OF THIS NOTE IS RESTRICTED AS SET FORTH IN THE AGREEMENT

Principal Amount

Date

For value received, the Los Angeles Unified School District (the “*District*”), a political subdivision of the State of California, promises to pay, solely from the funds hereafter referred to, to [Lender] (the “*Lender*”), in accordance with wire transfer instructions provided in the Agreement (hereinafter defined), (i) the principal sum of _____ dollars (\$ _____) or, if less, the aggregate unpaid principal amount of all Loans which are Taxable Loans bearing interest with respect to a SOFR Index Rate (or, if applicable, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) of the Agreement) made by the Lender to the District, payable at such times as are specified in the Agreement, and (ii) interest on the unpaid principal amount of each Loan which is a Taxable Loan bearing interest with respect to a SOFR Index Rate (or, if applicable, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) of the Agreement) made by the Lender, from the date of each such Taxable Loan made to the District until such principal amount is paid in full, at such interest rates, and payable at such times, as are specified in the Agreement, in lawful money of the United States of America, in federal or other immediately available funds, from the date hereof until this Note is paid in full, in like money and funds at such office.

The District promises to make all other payments owed by it under the Agreement. All capitalized terms used herein and not otherwise defined herein shall have the meanings specified in the Agreement.

This Note is subject to prepayment, and amounts prepaid prior to the last day of the Revolving Credit Period may be reborrowed, all pursuant to the terms and under the conditions of the Revolving Credit Agreement dated as of [____], 2024 (as amended, the “*Agreement*”), between the District and the Lender. Reference is made to the Agreement for provisions as to the prepayment hereof and for reborrowing. Reference is also made to the Agreement for provisions providing for additional interest and other amounts to be payable under certain circumstances. If the Noteholder enforces this Note upon default, the District shall reimburse the Noteholder for reasonable costs and expenses incurred by the Noteholder in collection, including reasonable attorneys’ fees and expenses as set out in Section 2.06 and 8.03 of the Agreement. This Note shall be construed in accordance with and governed by the internal laws of the State of California.

The parties hereto, including the undersigned maker and all guarantors, endorsers and pledgors that may exist at any time with respect hereto, hereby waive presentment, demand, notice, protest and all other demands and notices in connection with the delivery, acceptance, performance and enforcement of this Note and assent to the extensions of the time of payment or forbearance or other indulgence without notice.

This Note, including the interest hereon, is payable solely from the general fund of the District as set forth in Section 4.09(a) of the Agreement. This Note does not constitute a general obligation or indebtedness of the District within the meaning of any constitutional, charter, or statutory limitations or provisions (and the Noteholder hereof shall never have the right to require or compel the levy of ad valorem taxes for the payment of the principal of and interest on this Note). Further reference is made to the Agreement for the provisions relating to the security of this Note and the duties and obligations of the District.

It is hereby certified, recited and declared that all conditions, acts and things essential to the validity of this Note exist, have happened and have been done and that every requirement of law affecting the issuance hereof has been duly complied with.

[SIGNATURE PAGE TO FOLLOW]

Made and executed at Los Angeles, California, as of the date and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Name: _____
Title: _____

Attest:

By: _____
Clerk of the Board

EXHIBIT E

FORM OF TAX-EXEMPT NOTE (SOFR)

LOS ANGELES UNIFIED SCHOOL DISTRICT

JUDGMENT OBLIGATION CREDIT NOTE

TRANSFER OF THIS NOTE IS RESTRICTED AS SET FORTH IN THE AGREEMENT

Principal Amount

Date

For value received, the Los Angeles Unified School District (the “*District*”), a political subdivision of the State of California, promises to pay, solely from the funds hereafter referred to, to [Lender] (the “*Lender*”), in accordance with wire transfer instructions provided in the Agreement (hereinafter defined), (i) the principal sum of _____ dollars (\$ _____) or, if less, the aggregate unpaid principal amount of all Loans which are Tax-exempt Loans bearing interest with respect to a SOFR Index Rate (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) of the Agreement) made by the Lender to the District, payable at such times as are specified in the Agreement, and (ii) interest on the unpaid principal amount of each Loan which is a Tax-exempt Loan bearing interest with respect to a SOFR Index Rate (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) of the Agreement) made by the Lender, from the date of each such Tax-exempt Loan related to the District until such principal amount is paid in full, at such interest rates, and payable at such times, as are specified in the Agreement, in lawful money of the United States of America, in federal or other immediately available funds, from the date hereof until this Note is paid in full, in like money and funds at such office.

The District promises to make all other payments owed by it under the Agreement. All capitalized terms used herein and not otherwise defined herein shall have the meanings specified in the Agreement.

This Note is subject to prepayment, and amounts prepaid prior to the last day of the Revolving Credit Period may be reborrowed, all pursuant to the terms and under the conditions of the Revolving Credit Agreement dated as of [____], 2024 (as amended, the “*Agreement*”), between the District and the Lender. Reference is made to the Agreement for provisions as to the prepayment hereof and for reborrowing. Reference is also made to the Agreement for provisions providing for additional interest and other amounts to be payable under certain circumstances. If the Noteholder enforces this Note upon default, the District shall reimburse the Noteholder for reasonable costs and expenses incurred by the Noteholder in collection, including reasonable attorneys’ fees and expenses as set out in Section 2.06 and 8.03 of the Agreement. This Note shall be construed in accordance with and governed by the internal laws of the State of California.

The parties hereto, including the undersigned maker and all guarantors, endorser and pledgors that may exist at any time with respect hereto, hereby waive presentment, demand, notice, protest and all other demands and notices in connection with the delivery, acceptance, performance

and enforcement of this Note and assent to the extensions of the time of payment or forbearance or other indulgence without notice.

This Note, including the interest hereon, is payable solely from the general fund of the District as set forth in Section 4.09(a) of the Agreement. This Note does not constitute a general obligation or indebtedness of the District within the meaning of any constitutional, charter, or statutory limitations or provisions (and the Noteholder hereof shall never have the right to require or compel the levy of ad valorem taxes for the payment of the principal of and interest on this Note). Further reference is made to the Agreement for the provisions relating to the security of this Note and the duties and obligations of the District.

It is hereby certified, recited and declared that all conditions, acts and things essential to the validity of this Note exist, have happened and have been done and that every requirement of law affecting the issuance hereof has been duly complied with.

[SIGNATURE PAGE TO FOLLOW]

Made and executed at Los Angeles, California, as of the date and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Name: _____
Title: _____

Attest:

By: _____
Clerk of the Board

EXHIBIT F**RESERVED****FORM OF TAX-EXEMPT NOTE (SIFMA)****LOS ANGELES UNIFIED SCHOOL DISTRICT****JUDGMENT OBLIGATION CREDIT NOTE****TRANSFER OF THIS NOTE IS RESTRICTED AS SET FORTH IN THE AGREEMENT**

Principal Amount

Date

For value received, the Los Angeles Unified School District (the “*District*”), a political subdivision of the State of California, promises to pay, solely from the funds hereafter referred to, to [Lender] (the “*Lender*”), in accordance with wire transfer instructions provided in the Agreement (hereinafter defined), (i) the principal sum of _____ dollars (\$_____) or, if less, the aggregate unpaid principal amount of all Loans which are Tax-exempt Loans bearing interest with respect to a SIFMA Index Rate (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) of the Agreement) made by the Lender to the District, payable at such times as are specified in the Agreement, and (ii) interest on the unpaid principal amount of each Loan which is a Tax-exempt Loan bearing interest with respect to a SIFMA Index Rate (or, if applicable, the Taxable Rate, the Default Rate, the Maximum Interest Rate or rate determined in accordance with Section 2.05(e) of the Agreement) made by the Lender, from the date of each such Tax-exempt Loan related to the District until such principal amount is paid in full, at such interest rates, and payable at such times, as are specified in the Agreement, in lawful money of the United States of America, in federal or other immediately available funds, from the date hereof until this Note is paid in full, in like money and funds at such office.

The District promises to make all other payments owed by it under the Agreement. All capitalized terms used herein and not otherwise defined herein shall have the meanings specified in the Agreement.

This Note is subject to prepayment, and amounts prepaid prior to the last day of the Revolving Credit Period may be reborrowed, all pursuant to the terms and under the conditions of the Revolving Credit Agreement dated as of [____], 2024 (as amended, the “*Agreement*”), between the District and the Lender. Reference is made to the Agreement for provisions as to the prepayment hereof and for reborrowing. Reference is also made to the Agreement for provisions providing for additional interest and other amounts to be payable under certain circumstances. If the Noteholder enforces this Note upon default, the District shall reimburse the Noteholder for reasonable costs and expenses incurred by the Noteholder in collection, including reasonable attorneys’ fees and expenses as set out in Section 2.06 and 8.03 of the Agreement. This Note shall be construed in accordance with and governed by the internal laws of the State of California.

The parties hereto, including the undersigned maker and all guarantors, endorsers and pledgors that may exist at any time with respect hereto, hereby waive presentment, demand, notice, protest and all other demands and notices in connection with the delivery, acceptance, performance and enforcement of this Note and assent to the extensions of the time of payment or forbearance or other indulgence without notice.

This Note, including the interest hereon, is payable solely from the general fund of the District as set forth in Section 4.09(a) of the Agreement. This Note does not constitute a general obligation or indebtedness of the District within the meaning of any constitutional, charter, or statutory limitations or provisions (and the Noteholder hereof shall never have the right to require or compel the levy of ad valorem taxes for the payment of the principal of and interest on this Note). Further reference is made to the Agreement for the provisions relating to the security of this Note and the duties and obligations of the District.

It is hereby certified, recited and declared that all conditions, acts and things essential to the validity of this Note exist, have happened and have been done and that every requirement of law affecting the issuance hereof has been duly complied with.

[SIGNATURE PAGE TO FOLLOW]

Made and executed at Los Angeles, California, as of the date and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Name: _____
Title: _____

Attest:

By: _____
Clerk of the Board

EXHIBIT G

FORM OF TAXABLE TERM NOTE

LOS ANGELES UNIFIED SCHOOL DISTRICT

JUDGMENT OBLIGATION CREDIT NOTE

TRANSFER OF THIS NOTE IS RESTRICTED AS SET FORTH IN THE AGREEMENT

Principal Amount

Date

For value received, the Los Angeles Unified School District (the “*District*”), a political subdivision of the State of California, promises to pay, solely from the funds hereafter referred to, to [Lender] (the “*Lender*”), in accordance with wire transfer instructions provided in the Agreement (hereinafter defined), (i) the principal sum of _____ dollars (\$_____) or, if less, the aggregate unpaid principal amount of the Term Loan that is a Taxable Loan that refunded the Loans made by the Lender to the District, payable at such times as are specified in the Agreement, and (ii) interest on the unpaid principal amount of the Term Loan that is a Taxable Loan that refunded the Loans made by the Lender, from the date of such Term Loan related to the District until such principal amount is paid in full, at such interest rates, and payable at such times, as are specified in the Agreement, in lawful money of the United States of America, in federal or other immediately available funds, from the date hereof until this Note is paid in full, in like money and funds at such office.

The District promises to make all other payments owed by it under the Agreement. All capitalized terms used herein and not otherwise defined herein shall have the meanings specified in the Agreement.

This Note is subject to prepayment, all pursuant to the terms and under the conditions of the Revolving Credit Agreement dated as of [____], 2024 (as amended, the “*Agreement*”), between the District and the Lender. Reference is made to the Agreement for provisions as to the prepayment hereof. Reference is also made to the Agreement for provisions providing for additional interest and other amounts to be payable under certain circumstances. If the Noteholder enforces this Note upon default, the District shall reimburse the Noteholder for reasonable costs and expenses incurred by the Noteholder in collection, including reasonable attorneys’ fees and expenses as set out in Section 2.06 and 8.03 of the Agreement. This Note shall be construed in accordance with and governed by the internal laws of the State of California.

The parties hereto, including the undersigned maker and all guarantors, endorsers and pledgors that may exist at any time with respect hereto, hereby waive presentment, demand, notice, protest and all other demands and notices in connection with the delivery, acceptance, performance and enforcement of this Note and assent to the extensions of the time of payment or forbearance or other indulgence without notice.

This Note, including the interest hereon, is payable solely from the general fund of the District as set forth in Section 4.09(a) of the Agreement. This Note does not constitute a general obligation or indebtedness of the District within the meaning of any constitutional, charter, or

statutory limitations or provisions (and the Noteholder hereof shall never have the right to require or compel the levy of ad valorem taxes for the payment of the principal of and interest on this Note). Further reference is made to the Agreement for the provisions relating to the security of this Note and the duties and obligations of the District.

It is hereby certified, recited and declared that all conditions, acts and things essential to the validity of this Note exist, have happened and have been done and that every requirement of law affecting the issuance hereof has been duly complied with.

[SIGNATURE PAGE TO FOLLOW]

Made and executed at Los Angeles, California, as of the date and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Name: _____
Title: _____

Attest:

By: _____
Clerk of the Board

EXHIBIT H

FORM OF TAX-EXEMPT TERM NOTE

LOS ANGELES UNIFIED SCHOOL DISTRICT

JUDGMENT OBLIGATION CREDIT NOTE

TRANSFER OF THIS NOTE IS RESTRICTED AS SET FORTH IN THE AGREEMENT

Principal Amount

Date

For value received, the Los Angeles Unified School District (the “*District*”), a political subdivision of the State of California, promises to pay, solely from the funds hereafter referred to, to [Lender] (the “*Lender*”), in accordance with wire transfer instructions provided in the Agreement (hereinafter defined), (i) the principal sum of _____ dollars (\$_____) or, if less, the aggregate unpaid principal amount of the Term Loan that is a Tax-exempt Loan that refunded the Loans made by the Lender to the District, payable at such times as are specified in the Agreement, and (ii) interest on the unpaid principal amount of the Term Loan that is a Tax-exempt Loan that refunded the Loans made by the Lender, from the date of such Term Loan related to the District until such principal amount is paid in full, at such interest rates, and payable at such times, as are specified in the Agreement, in lawful money of the United States of America, in federal or other immediately available funds, from the date hereof until this Note is paid in full, in like money and funds at such office.

The District promises to make all other payments owed by it under the Agreement. All capitalized terms used herein and not otherwise defined herein shall have the meanings specified in the Agreement.

This Note is subject to prepayment, all pursuant to the terms and under the conditions of the Revolving Credit Agreement dated as of [____], 2024 (as amended, the “*Agreement*”), between the District and the Lender. Reference is made to the Agreement for provisions as to the prepayment hereof. Reference is also made to the Agreement for provisions providing for additional interest and other amounts to be payable under certain circumstances. If the Noteholder enforces this Note upon default, the District shall reimburse the Noteholder for reasonable costs and expenses incurred by the Noteholder in collection, including reasonable attorneys’ fees and expenses as set out in Section 2.06 and 8.03 of the Agreement. This Note shall be construed in accordance with and governed by the internal laws of the State of California.

The parties hereto, including the undersigned maker and all guarantors, endorsers and pledgors that may exist at any time with respect hereto, hereby waive presentment, demand, notice, protest and all other demands and notices in connection with the delivery, acceptance, performance and enforcement of this Note and assent to the extensions of the time of payment or forbearance or other indulgence without notice.

This Note, including the interest hereon, is payable solely from the general fund of the District as set forth in Section 4.09(a) of the Agreement. This Note does not constitute a general obligation or indebtedness of the District within the meaning of any constitutional, charter, or

statutory limitations or provisions (and the Noteholder hereof shall never have the right to require or compel the levy of ad valorem taxes for the payment of the principal of and interest on this Note). Further reference is made to the Agreement for the provisions relating to the security of this Note and the duties and obligations of the District.

It is hereby certified, recited and declared that all conditions, acts and things essential to the validity of this Note exist, have happened and have been done and that every requirement of law affecting the issuance hereof has been duly complied with.

[SIGNATURE PAGE TO FOLLOW]

Made and executed at Los Angeles, California, as of the date and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Name: _____
Title: _____

Attest:

By: _____
Clerk of the Board

EXHIBIT I

FORM OF REQUEST FOR TERM LOAN

[Date]

[Lender]

Ladies and Gentlemen:

Reference is hereby made to that certain Revolving Credit Agreement dated as of [____], 2024 (as amended, restated, or otherwise modified from time to time, the “*Credit Agreement*”), between Los Angeles Unified School District (the “*District*”) and [Lender] (the “*Lender*”). All capitalized terms contained herein which are not specifically defined shall have the meanings assigned to such terms in the Credit Agreement.

The District hereby requests, pursuant to Section 2.12(a) of the Credit Agreement, to convert all Loans outstanding on the Facility Maturity Date to Term Loans evidenced and payable as provided in Section 2.12 of the Credit Agreement.

In connection with such request, the District hereby represents and warrants that:

(a) no Default or Event of Default described in Section 6.01 of the Agreement shall have occurred and be continuing, or would result therefrom; and

(b) representations and warranties of the District set forth in Article IV of the Credit Agreement are true and correct in all material respects as if made on the date that is the thirtieth (30th) day immediately succeeding the Facility Maturity Date.

We have enclosed along with this request the following information:

- (1) the outstanding amount of the Loans on the date hereof;
- (2) any other pertinent information previously requested by the Lender.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
 Name: _____
 Title: _____

EXHIBIT J

FORM OF SECTION 8.18 NOTICE

[Date]

Los Angeles Unified School District
333 South Beaudry Avenue, 26th Floor
Los Angeles, California 90017
Attention: Chief Business Officer

Ladies and Gentlemen:

Reference is hereby made to that certain Revolving Credit Agreement dated as of [____], 2024 (as amended, restated, or otherwise modified from time to time, the “*Credit Agreement*”), between Los Angeles Unified School District (the “*District*”) and [Lender] (the “*Lender*”). All capitalized terms contained herein which are not specifically defined shall have the meanings assigned to such terms in the Credit Agreement.

The Lender hereby agrees (i) to allow the District to request that the Lender advance Tax-exempt Loans or request conversions to Tax-exempt Loans and (ii) to honor Tax-exempt Loans or conversions to Tax-exempt Loans under the Credit Agreement, in each case, subject to the terms and conditions of the Credit Agreement.

[LENDER]

By: _____
Name: _____
Title: _____

FEE AND INTEREST RATE AGREEMENT

This Fee and Interest Rate Agreement is dated as of [____], 2024 (as amended, restated, supplemented, or otherwise modified from time to time in accordance with the terms hereof, the “*Fee Agreement*”). Reference is hereby made to that certain Revolving Credit Agreement dated as of [____], 2024 (as amended, restated, supplemented, or otherwise modified from time to time in accordance with its terms, the “*Agreement*”), between the LOS ANGELES UNIFIED SCHOOL DISTRICT, a school district duly organized and validly existing under the laws of the State of California (the “*District*”), and [LENDER], acting through its branch located at _____, together with its successors and assigns (the “*Lender*”). Capitalized terms not otherwise defined herein shall have the meanings set forth in the Agreement.

The purpose of this Fee Agreement is to confirm the agreement between the Lender and the District with respect to the Commitment Fees, the Applicable Spread for Taxable Loans, and the Applicable Spread for Tax-exempt Loans (each as defined below) and certain other fees payable to the Lender. This Fee Agreement is the Fee Agreement referenced in the Agreement and the terms of this Fee Agreement are incorporated by reference into the Agreement. This Fee Agreement and the Agreement are to be construed as one agreement between the District and the Lender, and all obligations hereunder are to be construed as obligations thereunder. All references to amounts due and payable under the Agreement will be deemed to include all amounts, fees, and expenses payable under this Fee Agreement.

ARTICLE I

FEES

Section 1.1. Commitment Fees. (a) The District agrees to pay to the Lender a nonrefundable commitment fee (the “*Commitment Fee*”) payable quarterly in arrears with the first payment being due on [____], 2024 (for the period commencing on the Closing Date and ending on [____], 2024), and thereafter on the first Business Day of each January, April, July and October to and including the Termination Date, and on the Termination Date, equal to the product of the rate per annum (the “*Commitment Fee Rate*”) for each day in the related fee period then-ending, in an amount equal to the product of the rate per annum specified below (the “*Commitment Fee Rate*”) corresponding to the applicable Rating (as hereinafter defined) set forth in the applicable Level in the pricing matrix below for each such day during the related fee period multiplied by the Commitment for each such day during each related fee period:

UNDERLYING RATINGS

LEVEL	MOODY'S	FITCH	S&P	COMMITMENT FEE RATE
I	Aa3 or above	AA- or above	AA- or above	%
II	A1	A+	A+	
III	A2	A	A	
IV	A3	A-	A-	
V	Baa1	BBB+	BBB+	
VI	Baa2	BBB	BBB	
VII	Baa3	BBB-	BBB-	

(b) “*Rating*” as used above shall mean the long-term unenhanced debt rating assigned by any of Moody’s, Fitch, and S&P to the general obligation bonds of the District. In the event of a split rating (*i.e.*, the Rating of any of Moody’s, Fitch, or S&P is at a different level than the Rating of either of the other Rating Agencies), the Commitment Fee Rate shall be based upon the Level in which the middle of the three Ratings appears (or if two of the Ratings are the same, then the such similar Ratings), or if there are only two Ratings, the lower of the two Ratings (for avoidance of doubt, Level V above is the Level with the lowest Ratings and Level I is the Level with the highest Ratings for purposes of the above pricing matrix). Any change in the Commitment Fee Rate resulting from a change in any Rating shall be and become effective as of and on the date of the announcement of the change in such Rating. References to ratings above are references to rating categories as presently determined by Moody’s, Fitch, or S&P, as applicable, and in the event of adoption of any new or changed rating system by any of Moody’s, Fitch, or S&P or a “global” rating scale by any such Rating Agency, each of the Ratings from the Rating Agency in question referred to above shall be deemed to refer to the rating category under the new rating system which most closely approximates the applicable rating category as currently in effect. The District acknowledges that as of the Closing Date the Commitment Fee Rate is that specified above in Level I. Such fee shall accrue from (and including) the Closing Date through (and including) the Termination Date and shall be calculated on the basis of a 360-day year based upon the actual number of days elapsed. In the event the Rating assigned by any Rating Agency is withdrawn, suspended or otherwise unavailable, but not solely as a result of debt maturity or defeasance (and such Rating Agency stipulates in writing that the rating action is being taken for non-credit related reasons) and results in less than two remaining Ratings or upon the occurrence and during the continuance of any Event of Default, then in each such case, upon notice to the District, the Commitment Fee Rate shall increase automatically and immediately by an additional [_____] % over the Commitment Fee Rate then otherwise in effect.

Section 1.2. Amendment Fee. The District also hereby agrees to pay to the Lender within thirty (30) days of the date any amendment to the Agreement is entered into between the parties to the Agreement, an amendment fee in such amount agreed to by the District and the Lender with respect to such amendment, plus the reasonable fees of any domestic or foreign legal counsel, as applicable, retained by the Lender in connection therewith; *provided, however*, there shall be no amendment fee for amendments to the Agreement solely for the purposes of extending the Facility Maturity Date.

Section 1.3. No Termination or Reduction Fee. The District shall pay to the Lender no optional reduction fee or termination fee in connection with any optional reduction or termination of all or any portion of the Commitment.

Section 1.4. Applicable Spread. For purposes of the Agreement, “*Applicable Spread*” means a rate per annum associated with the Level corresponding to the Ratings, as specified below.

LEVEL	MOODY’S RATING	S&P RATING	FITCH RATING	APPLICABLE SPREAD FOR TAX-EXEMPT LOANS	APPLICABLE SPREAD FOR TAXABLE LOANS
I	Aa3 or above	AA- or above	AA- or above	%	%
II	A1	A+	A+		
III	A2	A	A		
IV	A3	A-	A-		
V	Baa1	BBB+	BBB+		
VI	Baa2	BBB	BBB		
VII	Baa3	BBB-	BBB-		

The following clauses shall apply to the pricing matrix set forth above.

(a) The term “*Rating*” shall be determined pursuant to Section 1.1(b) herein. In the event of a split rating (*i.e.*, the Rating of any of Moody’s, Fitch, or S&P is at a different level than the Rating of either of the other Rating Agencies), the Applicable Spread for Taxable Loans, and the Applicable Spread for Tax-exempt Loans shall be based upon the Level in which the middle of the three Ratings appears (or if two of the Ratings are the same, then the such similar Ratings), or if there are only two Ratings, the lower of the two Ratings (for avoidance of doubt, Level V above is the Level with the lowest Ratings and Level I is the Level with the highest Ratings for purposes of the above pricing matrix). References to ratings above are references to rating categories as presently determined by Moody’s, Fitch, or S&P, as applicable, and in the event of adoption of any new or changed rating system by any of Moody’s, Fitch, or S&P or a “global” rating scale by any such Rating Agency, each of the Ratings from the Rating Agency in question referred to above shall be deemed to refer to the rating category under the new rating system which most closely approximates the applicable rating category as currently in effect.

(b) Any change in the Applicable Spread for Taxable Loans and the Applicable Spread for Tax-exempt Loans resulting from a change in the Rating shall be and become effective as of and on the date of the announcement of such change. The District acknowledges that as of the Closing Date the Applicable Spread for Taxable Loans and the Applicable Spread for Tax-exempt Loans are the spreads that are specified above for Level 1.

ARTICLE II

MISCELLANEOUS

Section 2.1. Amendments. No amendment to this Fee Agreement shall become effective without the prior written consent of the District and the Lender.

Section 2.2. Governing Law; Venue. (a) This Fee Agreement shall be governed by the laws of the State of California, without regard to conflict of law principles that would require the application of different governing law.

(b) All litigation arising out of, or relating to this Fee Agreement, shall be brought in a state or federal court in the District of Los Angeles in the State of California. The parties irrevocably agree to submit to the exclusive jurisdiction of such courts and waive any defense of forum non conveniens. If for any reason no state or federal court sitting in the County of Los Angeles can and will accept jurisdiction over any such suit, action or proceeding, then the exclusivity of jurisdiction in such courts in the County of Los Angeles shall not apply and such suit, action or proceeding may be brought in any other state or federal court in the State of California which will accept jurisdiction over such matter. Notwithstanding anything in this Fee Agreement to the contrary, no action, suit or other proceeding may be maintained against the District unless notice and presentment of such claim shall have been given in accordance with the procedural laws of the State of California and the County of Los Angeles. Service of process may be accomplished by registered mail, return receipt requested to each of the parties at the address listed for notice in Section 8.01 of the Agreement; *provided, however*, that service of process with respect to the District shall be made to the [Executive Officer of the Board].

Section 2.3. Counterparts. This Fee Agreement may be executed in multiple counterparts, each of which shall constitute an original but both or all of which, when taken together, shall constitute but one instrument.

Section 2.4. Severability. Any provision of this Fee Agreement which is prohibited, unenforceable or not authorized in any jurisdiction shall, as to such jurisdiction, be ineffective to the extent of such prohibition, unenforceability or non-authorization without invalidating the remaining provisions hereof or affecting the validity, enforceability or legality of such provision in any other jurisdiction.

Section 2.5. Electronic Signatures. The parties agree that the electronic signature of a party to this Agreement shall be as valid as an original signature of such party and shall be effective to bind such party to this Agreement. The parties acknowledge and agree that this document and any related documents, and any amendments or waivers hereto or thereto, may be executed and delivered by facsimile, electronic copies in portable document format (“PDF”) or by any other electronic means intended to preserve the original graphic and pictorial appearance of a document, or by combination of such means or by any digital or electronic signature process or program, and that any signature so delivered shall be treated as and have the same force and effect as an original signature, and copies of the same may be used and introduced as evidence at any legal proceedings including, without limitation, trials and arbitrations, relating to or arising under this document.

Neither party shall contest the admissibility of true and accurate copies of electronically signed documents on the basis of the best evidence rule or as not satisfying the business records exception to the hearsay rule. Notwithstanding the foregoing, the Lender may, in its sole and exclusive discretion, also require delivery of this document and any related documents, and any amendments or waivers hereto or thereto, with an original signature for its records and two or more duplicate originals of this Agreement may be signed by the parties, each of which shall be an original but all of which together shall constitute one and the same instrument.

Section 2.6. Representation by Legal Counsel; Joint Preparation. The parties hereto have participated jointly in the negotiation and drafting of this Fee Agreement, and each of the parties was represented by its respective legal counsel during the negotiation and execution of this Fee Agreement. In the event an ambiguity or question of intent or interpretation arises, this Fee Agreement shall be construed as if drafted jointly by the parties, and no presumption or burden of proof shall arise favoring or disfavoring any party by virtue of the authorship of any of the provisions of this Fee Agreement.

Section 2.7. No Disclosure. Unless required by law, the District shall not deliver or permit, authorize or consent to the delivery of this Fee Agreement to any Person or for posting on the Electronic Municipal Market Access website as provided by the Municipal Securities Rulemaking Board unless the Lender provides its prior written consent.

[Signature Page to Follow]

IN WITNESS WHEREOF, the parties hereto have caused this Fee and Interest Rate Agreement to be duly executed and delivered by their respective officers thereunto duly authorized as of the date first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Name: _____
Title: _____

[LENDER]

By: _____
Name: _____
Title: Authorized Officer

INDENTURE

by and between

LOS ANGELES UNIFIED SCHOOL DISTRICT

and

**[TRUSTEE],
AS TRUSTEE**

Dated as of _____ 1, 2024

Relating to:

**Los Angeles Unified School District
Judgment Obligation Bonds**

and

**\$ _____
Los Angeles Unified School District
Judgment Obligation Bonds, Series 2024A**

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INDENTURE

THIS INDENTURE (this “**Indenture**”), dated as of _____ 1, 2024, by and between the LOS ANGELES UNIFIED SCHOOL DISTRICT, a school district organized and existing under the Constitution and laws of the State of California (the “**District**”), and [TRUSTEE], a national banking association organized and existing under the laws of the United States of America, as trustee (the “**Trustee**”),

W I T N E S S E T H:

WHEREAS, the District is obligated, and anticipates the potential to be obligated on similar terms, to pay certain claimants and/or plaintiffs (each, a “**Judgment Obligor**” and, collectively, the “**Judgment Obligors**”) with respect to final judgments or orders for monetary damages against the District following concluded litigation or stipulated settlement (each such judgment or order which is entered against the District by the applicable court or courts and which is not subject to appeal or further appeal, or which the District has indicated that it will not appeal, being referred to herein as, a “**Judgment**” and, collectively, the “**Judgments**”) by the applicable court or courts, including, without limitation, the California Superior Court before which several claims are currently pending, as a result of litigation brought by application of California Code of Civil Procedure Section 340.1 and California Assembly Bill Number 218, chaptered by the California Secretary of State on October 13, 2019 (“**AB 218**”) [and similar claims for tort liability]; and

WHEREAS, the District is authorized pursuant to Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code (the “**Refunding Law**”) to issue refunding notes or bonds for the purpose of refunding any evidence of indebtedness of the District; and

WHEREAS, the Board of Education of the District (the “**Board**”) has determined that it is in the best interests of the District to refund, from time to time, the District’s obligations to the Judgment Obligors evidenced by the Judgments; and

WHEREAS, for the purposes of providing interim satisfaction and refunding of the District’s obligations to the Judgment Obligors evidenced by the Judgments, the Board has determined that it would be in the best interests of the District to enter into one or more revolving credit agreements (each, a “**Revolving Credit Agreement**” or, collectively, the “**Revolving Credit Agreements**”) with one or more banks, each as a lender (each, a “**Lender**” or, collectively, the “**Lenders**”), that will be drawn upon only as funds are needed to satisfy any Judgment or Judgments; and

WHEREAS, the District’s obligations under each Revolving Credit Agreement shall be evidenced by judgment obligation promissory notes to be issued by the District as provided therein (each, a “**Promissory Note**” or, collectively, the “**Promissory Notes**”) evidencing the short-term borrowing by the District; and

WHEREAS, to confirm the agreement between each Lender and the District with respect to certain commitment fees and certain other fees payable to such Lender under the related Revolving Credit Agreement, the Board has determined to enter into one or more fee agreements (each, a “**Fee Agreement**” or, collectively, the “**Fee Agreements**”) with each Lender; and

WHEREAS, to provide additional short-term borrowing options and flexibility, the District may by separate action of the Board from time to time and pursuant to its authority under applicable law, including Sections 53850 to 53858, both inclusive, of the California Government Code (being Article 7.6, Chapter 4, Part 1, Division 2, Title 5 of the Government Code), authorize other forms of temporary borrowing by the District in the form of notes to be issued from time to time (each, a “**Temporary Note**” or, collectively, the “**Temporary Notes**” and, together with the Promissory Notes, the “**Notes**”), the proceeds of which are used to satisfy and refund one or more Judgments; and

WHEREAS, pursuant to the Resolution of the Board adopted on _____, 2024 (the “**Resolution**”), for purposes of providing a more permanent financing solution for the District’s obligations to the Judgment Obligees evidenced by the Judgments consistent with the District’s long-term budgetary objectives, the Board has authorized the issuance of its Los Angeles Unified School District Judgment Obligation Bonds in one or more series on one or more sale dates each on a federally tax-exempt or taxable basis (as further defined herein, the “**Bonds**”) to represent the aggregate amounts to be payable to Judgment Obligees in satisfaction of Judgments from time to time including, without limitation, amounts payable to (a) each Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under the related Notes, Revolving Credit Agreement, and Fee Agreement, and costs of issuance of such Notes (including underwriter’s discount or placement agent fee)), (b) Judgment Obligees directly in satisfaction of any Judgment or Judgments from time to time, and (c) holders of Bonds then outstanding which previously refunded any Notes, any Judgment or Judgments, and/or any previously issued Bonds, each as authorized herein, and (d) related costs of issuance of such Bonds (including underwriter’s discount or placement agent fee and bond insurance premium, if any); and

WHEREAS, it is acknowledged that as an obligation of the District, each and every refunding Note issued to refund and discharge a related Judgement and/or Bond issued to refund and discharge a related Note and/or Judgement, take on the character of and represent the refunded obligation of the District as an obligation imposed by law to pay a Judgment Obligor or Judgment Obligees as a result of a Judgment or Judgments; and

WHEREAS, the District is obligated to pay the [Series 2024A Judgment Obligees] [the Series 2024A Lender][the holders of Series 2024A Notes] specified in Appendix B to this Indenture to be refunded; and

[**WHEREAS**, the District's obligation to pay is specified in the Series 2024A Revolving Credit Agreement pursuant to which the Series 2024A Notes were issued by the District in satisfaction of the Series 2024A Judgments and payments to the Series 2024A Judgment Obligees specified in Appendix B to this Indenture, all to be refunded as provided in this Indenture; and]

WHEREAS, as authorized and in furtherance of the terms of the Resolution, the Board desires to cause the District to issue the first series of Bonds to be designated “Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A” (the “**Series 2024A Bonds**”), in the aggregate principal amount of \$ _____; and

WHEREAS, the District desires to provide for the issuance of additional Bonds (the “**Additional Bonds**”) payable on a parity with the Series 2024A Bonds (the Series 2024A Bonds and any such Additional Bonds being collectively referred to as the “**Bonds**”); and

WHEREAS, in order to provide for the execution, authentication and delivery of the Bonds, to establish and declare the conditions and terms upon which the Bonds are to be issued and to secure the payment of the interest thereon and the principal thereof, the District has authorized the execution and delivery of this Indenture; and

WHEREAS, the District has determined that all acts and proceedings required by law necessary to make the Bonds, when executed by the District and authenticated and delivered by the Trustee hereunder, valid, binding and legal obligations of the District payable in accordance with their terms, and to constitute this Indenture a valid and binding agreement of the parties hereto for the uses and purposes herein set forth in accordance with its terms, have been done and taken, and the execution and delivery of this Indenture has been in all respects duly authorized;

NOW, THEREFORE, THIS INDENTURE WITNESSETH, that in order to secure the payment of the interest on and the principal of all Bonds at any time issued and outstanding hereunder according to their tenor, and to secure the performance and observance of all the agreements and covenants herein and therein set forth, and to declare the conditions and terms upon and subject to which the Bonds are to be issued and received, and in consideration of the premises and of the mutual covenants contained herein and of the purchase and acceptance of the Bonds by the respective registered owners thereof, and for other valuable considerations, the receipt whereof is hereby acknowledged, the District does hereby agree and covenant with the Trustee, for the benefit of the respective registered owners from time to time of the Bonds, as follows:

ARTICLE I

DEFINITIONS; EQUAL SECURITY

Section 1.01. Definitions. Unless the context otherwise requires, the terms defined in this Section shall for all purposes of this Indenture and of any certificate, opinion or other document herein or therein mentioned, have the meanings herein specified.

“Additional Bonds” means Bonds other than Series 2024A Bonds issued hereunder in accordance with the provisions of Sections 2.10 and 2.11 hereof.

“Authorized Denominations” means, with respect to the Bonds, \$5,000 and any integral multiple thereof.

“Authorized Representative” means the Superintendent of the District, the Chief Business Officer of the District, the Deputy Chief Business Officer of the District and the Controller of the District, including anyone serving as an interim or provisional officer in such positions, and any other Person authorized by the Board of the District or the Superintendent to act on behalf of the District under or with respect to this Indenture designated as an Authorized Representative in a Written Certificate of the District filed with the Trustee.

“Available Amount” has the meaning ascribed thereto in Treasury Regulations Section 1.148-6(d)(3)(iii) and, for any Fiscal Year, generally means all amounts (excluding unspent proceeds of the Bonds) that, as of July 1 of such Fiscal Year (a) are available for appropriation by the District or any related person for working capital or normal operating expenditures of the District, and (b) are not subject to a legislative, judicial or contractual requirement that the amount expended be reimbursed to the fund or account of the District from which it was withdrawn, which legislative, judicial or contractual requirements shall have been adopted or entered into for *bona fide* governmental purposes and without any view towards increasing the amounts that could be borrowed on a tax-exempt basis or treated as unavailable by or on behalf of the District or any related person.]

“Bond Counsel” means a firm of nationally recognized bond counsel selected by the District and acceptable to the Trustee.

“Bond Fund” means the fund by that name established and held by the Trustee pursuant to Section 5.02 hereof.

“Bonds” means the Los Angeles Unified School District Judgment Obligation Bonds issued in accordance with this Indenture and includes the Series 2024A Bonds and any Additional Bonds.

“Book-Entry Bonds” means the Bonds of a Series registered in the name of the nominee of DTC, or any successor securities depository for such Series of Bonds, as the registered owner thereof pursuant to the terms and provisions of Section 2.09 hereof.

“Board” means the Board of Education of the District.

“Business Day” means a day other than (a) Saturday or Sunday, (b) a day on which banking institutions in the city or cities in which the principal corporate trust office of the Trustee is located are authorized or required by law to be closed, or (c) a day on which the New York Stock Exchange is closed.

“Cede & Co.” means Cede & Co., the nominee of DTC, and any successor nominee of DTC with respect to the Bonds.

“Closing Date” means, as appropriate to the context, _____, 2024 as the date of closing and delivery of the Series 2024A Bonds, and/or the closing date(s) for any series of Additional Bonds.

“Code” means the Internal Revenue Code of 1986.

“Continuing Disclosure Certificate (Series 2024A Bonds)” means the Continuing Disclosure Certificate, dated the Series 2024A Closing Date, of the District, as originally executed and as it may from time to time be amended in accordance with the provisions thereof.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the District relating to the refunding of any Judgments and/or Notes (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under such Notes, related Revolving Credit Agreement and Fee Agreement, and costs of issuance of such Notes (including underwriter’s discount or placement agent fee)), the authorization, issuance, sale and delivery of the Bonds, and any costs of refunding of Bonds, including but not limited to printing expenses, rating agency fees, bond insurance premiums, filing and recording fees, initial fees, expenses and charges of the Trustee and its counsel (including the Trustee’s first annual administrative fee), fees, charges and disbursements of attorneys, financial advisors, accounting firms, consultants and other professionals, fees and charges for preparation, execution and safekeeping of the Bonds and any other cost, charge or fee in connection with the original issuance of the Bonds.

“Costs of Issuance Fund” means the fund by that name established and held by the Trustee pursuant to Section 3.03 hereof.

“District” means the Los Angeles Unified School District, a school district organized and existing under the Constitution and laws of the State of California.

“DTC” means The Depository Trust Company, a limited-purpose trust company organized under the laws of the State of New York, and its successors as securities depository for the Bonds, including any such successor appointed pursuant to Section 2.09 hereof.

“Event of Bankruptcy” means the filing of a petition in bankruptcy or the commencement of a proceeding under the United States Bankruptcy Code or any other applicable law concerning insolvency, reorganization or bankruptcy by or against the District.

“Event of Default” means an event described as such in Section 9.01 hereof.

“Federal Securities” means (a) direct general obligations of the United States of America (including obligations issued or held in book entry form on the books of the Department of the Treasury of the United States of America), and (b) obligations of any agency, department or instrumentality of the United States of America the timely payment of principal of and interest on which are fully guaranteed by the United States of America.

“Fee Agreement” means, as the context suggests, the related Fee Agreement, together with any amendments or supplements thereto, between the District and the respective Lender.

“Fiscal Year” means the period beginning on July 1 of each year and ending on the next succeeding June 30, or any other annual accounting period hereafter designated by the District as its Fiscal Year in accordance with applicable law.

“Indenture” means this Indenture, dated as of _____ 1, 2024, by and between the District and the Trustee, as originally executed or as it may from time to time be amended or supplemented by any Supplemental Indenture.

“Insurance Policy” means the Municipal Bond Insurance Policy, if any, issued by the applicable Insurer and guaranteeing, in whole or in part, the scheduled payment of principal of and interest on a Series of Bonds when due.

“Insured Bonds” shall mean [the Insured Series 2024A Bonds and] any [other] Bonds the payment of the principal of or interest on which is guaranteed by an Insurer.

[**“Insured Series 2024A Bonds”** shall mean the Series 2024A Bonds maturing on [October] 1, 20__ through 20__, inclusive.]

“Insurer” means the issuer or issuers, if any, of a policy or policies of municipal bond insurance obtained by the District to insure the payment of the principal of or interest on a Series of Bonds issued under the Indenture, when due otherwise than by acceleration, and which, in fact, are at any time insuring such Series of Bonds. [The Insurer with respect to the Series 2024A Bonds is [Bond Insurer], a New York stock insurance company, or any successor thereto or assignee thereof.]

“Insurer Expenses” means any and all charges, fees, costs and expenses which the Insurer may reasonably pay or incur in connection with (a) the administration, enforcement, defense or preservation of any rights or security hereunder, (b) the pursuit of any remedies hereunder or otherwise afforded by law or equity, (c) any amendment, waiver or other action with respect to, or related to, this Indenture, whether or not executed or completed, (d) the violation by the District of any law, rule or regulation, or any judgment, order or decree applicable to it, or (e) any litigation or other dispute in connection with this Indenture or the transactions contemplated hereby, other than amounts resulting from the failure of the Insurer to honor its obligations under the Insurance Policy.

“Interest Payment Date” means [April] 1 and [October] 1 of each year, commencing, _____ 1, 20__ with respect to the Series 2024A Bonds, so long as any Series 2024A Bonds remain Outstanding.

“Judgment” or “Judgments” has the meaning set forth in the first WHEREAS clause above [and as to a Series of Bonds, the Judgment or Judgments refunded thereby].

“Judgment Obligees” means the Persons to whom the District is obligated to make payments pursuant to the terms of the Judgment or Judgments as set forth in the first WHEREAS clause above.

“Lender” means the respective lending bank under a Revolving Credit Agreement.

“Moody’s” means Moody’s Investors Service, a corporation organized and existing under the laws of the State of Delaware, its successors and assigns except that if such entity shall no longer perform the functions of a securities rating agency for any reason, the term “Moody’s” shall be deemed to refer to any other nationally recognized securities rating agency selected by the District and specified to the Trustee in writing.

“Note” or “Notes” has the meaning set forth in the third WHEREAS clause above.

“Office of the Trustee” means the principal corporate trust office of the Trustee in [____], California; provided, however, that for purposes of payment, exchange, transfer, surrender and cancellation of Bonds, such term means the principal corporate trust office of the Trustee in [____], California, or such other office as may be specified to the District by the Trustee in writing.

“Original Purchaser” means, with respect to the Series 2024A Bonds, _____, the original purchasers of the Series 2024A Bonds from the District.

“Other Replacement Proceeds” means, for any Fiscal Year, the remainder of (a) the Available Amount for such Fiscal Year, less (b) the Working Capital Reserve for such Fiscal Year, less (c) the amount, if any, expected to be necessary to reduce the operating deficit of the District in such Fiscal Year, calculated pursuant to Treasury Regulations Section 1.148-6(d)(3).]

“Outstanding,” when used as of any particular time with reference to Bonds, means (subject to the provisions of Section 12.08 hereof) all Bonds except (a) Bonds theretofore canceled and destroyed by the Trustee or surrendered to the Trustee for cancellation and destruction, (b) Bonds paid or deemed to have been paid within the meaning hereof, and (c) Bonds in lieu of or in substitution for which other Bonds shall have been executed by the District and authenticated and delivered by the Trustee pursuant hereto.

“Owner” means, with respect to a Bond, the Person in whose name such Bond is registered on the Registration Books.

“Participant” means any entity which is recognized as a participant by DTC in the book-entry system of maintaining records with respect to Book-Entry Bonds.

“Participating Underwriter (Series 2024A Bonds)” has the meaning ascribed thereto in the Continuing Disclosure Certificate (Series 2024A Bonds).

“Permitted Investments” means any of the following to the extent then permitted by applicable laws: [TO BE REVISED AND ABBREVIATED IN CONSIDERATION OF LIMITED HOLDING OF FUNDS]

(1) (a) Direct obligations (other than an obligation subject to variation in principal repayment) of the United States of America (“United States Treasury Obligations”), (b) obligations fully and unconditionally guaranteed as to timely payment of principal and interest by the United States of America, (c) obligations fully and unconditionally guaranteed as to timely payment of principal and interest by any agency or instrumentality of the United States of America when such obligations are backed by the full faith and credit of the United States of America, or (d) evidences of ownership of proportionate interests in future interest and principal payments on obligations described above held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor and the underlying government obligations are not available to any person claiming through the custodian or to whom the custodian may be obligated (collectively “United States Obligations”). These include, but are not necessarily limited to:

- U.S. Treasury obligations
All direct or fully guaranteed obligations
- Farmers Home Administration
Certificates of beneficial ownership
- General Services Administration
Participation certificates
- U.S. Maritime Administration
Guaranteed Title XI financing
- Small Business Administration
Guaranteed participation certificates
- Guaranteed pool certificates
- Government National Mortgage Association (GNMA)
GNMA-guaranteed mortgage-backed securities
GNMA-guaranteed participation certificates
- U.S. Department of Housing & Urban Development
Local authority bonds

(2) Obligations of instrumentalities or agencies of the United States of America limited to the following: (a) the Federal Home Loan Bank Board (“FHLB”); (b) the Federal Home Loan Mortgage Corporation (“FHLMC”); (c) the Federal National Mortgage Association (FNMA); (d) Federal Farm Credit Bank (“FFCB”); (e) Government National

Mortgage Association (“GNMA”); (f) Student Loan Marketing Association (“SLMA”); and (g) guaranteed portions of Small Business Administration (“SBA”) notes.

(3) Commercial Paper having original maturities of not more than 270 days, payable in the United States of America and issued by corporations that are organized and operating in the United States with total assets in excess of \$500 million and having “A” or better rating for the issuer’s long-term debt as provided by Moody’s, S&P, or Fitch and “P-1,” “A-1,” “F1” or better rating for the issuer’s short-term debt as provided by Moody’s, S&P, or Fitch, respectively.

(4) Bills of exchange or time drafts drawn on and accepted by a commercial bank, otherwise known as “bankers’ acceptances,” having original maturities of not more than 180 days. The institution must have a minimum short-term debt rating of “A-1,” “P-1,” or “F1” by S&P, Moody’s, or Fitch, respectively, and a long-term debt rating of no less than “A” by S&P, Moody’s, or Fitch.

(5) Shares of beneficial interest issued by diversified management companies, known as money market funds, registered with the U.S. Securities and Exchange Commission under the Investment Company Act of 1940 (15 U.S.C. Sec. 80a-1 *et seq.*) and whose fund either (a) is restricted to obligations issued or guaranteed as to payment of principal and interest by the full faith and credit of the United States or (b) is rated in the highest rating category by either S&P or Moody’s.

(6) Certificates of deposit issued by a nationally- or state-chartered bank or a state or federal association (as defined by Section 5102 of the California Financial Code) or by a state-licensed branch of a foreign bank, in each case which has, or which is a subsidiary of a parent company which has, obligations outstanding having a rating in the “A” category or better from S&P, Moody’s, or Fitch.

(7) Pre-refunded municipal obligations meeting the following requirements:

(a) the municipal obligations are (i) not subject to redemption prior to maturity or (ii) the trustee for the municipal obligations has been given irrevocable instructions concerning their call and redemption and the issuer of the municipal obligations has covenanted not to redeem such municipal obligations other than as set forth in such instructions;

(b) the municipal obligations are secured by cash or United States Treasury Obligations which may be applied only to payment of the principal of, interest and premium on such municipal obligations;

(c) the principal of and interest on the United States Treasury Obligations (plus any cash in the escrow) has been verified by the report of independent certified public accountants to be sufficient to pay in full all principal of, interest, and premium, if any, due and to become due on the municipal obligations (“Verification”);

(d) the cash or United States Treasury Obligations serving as security for the municipal obligations are held by an escrow agent or trustee in trust for owners of the municipal obligations;

(e) no substitution of a United States Treasury Obligation shall be permitted except with another United States Treasury Obligation and upon delivery of a new Verification; and

(f) the cash or United States Treasury Obligations are not available to satisfy any other claims, including those by or against the trustee or escrow agent.

(8) Municipal obligations rated “Aaa/AAA” or general obligations of States with a rating of “A2/A” or higher by both Moody’s and S&P

(9) Repurchase agreements which have a maximum maturity of 30 days and are fully secured at or greater than 102% of the market value plus accrued interest by obligations of the United States Government, its agencies and instrumentalities, in accordance with number (2) above.

(10) Investment agreements and guaranteed investment contracts with issuers having a long-term debt rating of at least “AA-” or “Aa3” by S&P or Moody’s, respectively.

(11) Pre-refunded municipal obligations rated “AAA” by S&P and “Aaa” by Moody’s meeting the following requirements:

(a) the municipal obligations are (i) not subject to redemption prior to maturity or (ii) the trustee for the municipal obligations has been given irrevocable instructions concerning their call and redemption and the issuer of the municipal obligations has covenanted not to redeem such municipal obligations other than as set forth in such instructions;

(b) the municipal obligations are secured by cash or United States Treasury Obligations which may be applied only to payment of the principal of, interest and premium on such municipal obligations;

(c) the principal of and interest on the United States Treasury Obligations (plus any cash in the escrow) has been verified by the report of independent certified public accountants to be sufficient to pay in full all principal of, interest, and premium, if any, due and to become due on the municipal obligations (“Verification”);

(d) the cash or United States Treasury Obligations serving as security for the municipal obligations are held by an escrow agent or trustee in trust for owners of the municipal obligations;

(e) no substitution of a United States Treasury Obligation shall be permitted except with another United States Treasury Obligation and upon delivery of a new Verification; and

(f) the cash or the United States Treasury Obligations are not available to satisfy any other claims, including those by or against the trustee or escrow agent.

“Person” means an individual, corporation, firm, association, partnership, limited liability company, trust, or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

“Rebate Fund” means the fund by that name established and held by the Trustee pursuant to Section 5.03 hereof.

“Rebate Requirement” has the meaning ascribed thereto in the Tax Certificate.

“Record Date” means the 15th calendar day of the month preceding each Interest Payment Date, whether or not such day is a Business Day.

“Refunding Fund” means the fund by that name established and held by the Trustee pursuant to Section 3.04 hereof.

“Refunding Law” means Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code.

“Registration Books” means the records maintained by the Trustee for the registration of ownership and registration of transfer of the Bonds pursuant to Section 2.04 hereof.

“Representation Letter” means the Letter of Representations from the District to DTC, or any successor securities depository for the Bonds, in which the District makes certain representations with respect to issues of its securities for deposit by DTC or such successor depository.

“Resolution” has the meaning set forth in the fourth WHEREAS clause above.

“Revolving Credit Agreement” means, as the context suggests, the related Revolving Credit Agreement, together with any amendments or supplements thereto, between the District and the respective Lender.

“S&P” means S&P Global Ratings, a division of S&P Global Inc., and its successors and assigns, except that if such entity shall no longer perform the functions of a securities rating agency for any reason, the term “S&P” shall be deemed to refer to any other nationally recognized securities rating agency selected by the District and specified to the Trustee in writing.

“Series” means the initial series of Bonds executed, authenticated and delivered on the date of initial issuance of the Bonds and identified pursuant to this Indenture as the Series 2024A Bonds, and any Additional Bonds issued pursuant to a Supplemental Indenture and identified as a separate Series of Bonds.

“Series 2024A Bonds” means the Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A issued hereunder.

“Series 2024A Closing Date” means _____, 2024 as the date of closing and delivery of the Series 2024A Bonds.

“Series 2024A Cost of Issuance Account” means the account by that name established and held by the Trustee in the Cost of Issuance Fund pursuant to Section 3.03 hereof.]

“Series 2024A Insurance Policy” means the insurance policy issued by the Series 2024A Insurer guaranteeing the scheduled payment of the principal of and interest on the Series 2024A Bonds when due.]

“Series 2024A Insurer” means [Bond Insurer], a New York stock insurance company, or any successor thereto or assignee thereof.

“Series 2024A Judgment Obligees” means the Judgment Obligees specified in Appendix B to this Indenture.]

“Series 2024A Judgments” means the Judgments specified in Appendix B to this Indenture.]

“Series 2024A Note Resolution” means the resolution of the District providing for the issuance of notes as a temporary borrowing by the District for the purpose of refunding one or more Judgments as specified therein.]

“Series 2024A Notes” means the notes issued to refund one or more Judgments as specified in Appendix B to this Indenture as promissory notes as provided in the related Series 2024A Revolving Credit Agreement and/or the Notes issued as a temporary borrowing pursuant to the Series 2024A Note Resolution.]

“Series 2024A Lender” means _____.]

“Series 2024A Refunding Account” means the account by that name established and held by the Trustee in the Refunding Fund pursuant to Section 3.04 hereof.

“State” means the State of California.

“Supplemental Indenture” means any supplemental indenture amendatory of or supplemental to this Indenture, but only if and to the extent that such Supplemental Indenture is specifically authorized hereunder.

“Tax Certificate” means, collectively, or with respect to a Series of Bonds, as the context suggests, the Tax Certificate executed by the District at the time of issuance of the related Series of Bonds relating to the requirements of Section 148 of the Code, as originally executed and as it may from time to time be amended in accordance with the provisions thereof, including, without limitation, the Tax Certificate (Series 2024A Bonds).

“Tax Certificate (Series 2024A Bonds)” means the Tax Certificate executed by the District at the time of issuance of the Series 2024A Bonds, relating to the requirements of Section 148 of the Code, as originally executed and as it may from time to time be amended in accordance with the provisions thereof.

“Tax-Exempt” means, with respect to interest on any obligations of a state or local government including, without limitation, interest on the Series 2024A Bonds, that such interest is excluded from the gross income of the holders thereof for federal income tax purposes, whether or not such interest is includable as an item of tax preference or otherwise includable directly or indirectly for purposes of calculating other tax liabilities, including any alternative minimum tax or environmental tax under the Code.

[“Tax-Exempt Obligations” means obligations the interest on which is not includable in gross income under Section 103 of Code and obligations which are not specified private activity bonds (as defined in Section 57(a)(5)(C) of the Code).]

“Trustee” means [Trustee] a national banking association organized and existing under the laws of the United States of America, or any successor thereto as Trustee hereunder, appointed as provided herein.

[“Working Capital Reserve” means, for any Fiscal Year, an amount equal to 5% of the actual working capital expenditures paid with current revenues of the District during the immediately preceding Fiscal Year.]

“Written Certificate” and **“Written Request”** of the District mean, respectively, a written certificate or written request signed in the name of the District by its Authorized Representative. Any such certificate or request may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument.

Section 1.02. Equal Security. In consideration of the acceptance of the Bonds by the Owners thereof, this Indenture shall be deemed to be and shall constitute a contract among the District, the Trustee and the Owners from time to time of all Bonds authorized, executed, issued and delivered hereunder and then Outstanding to secure the full and final payment of the principal of and interest on all Bonds which may from time to time be authorized, executed, issued and delivered hereunder, subject to the agreements, conditions, covenants and provisions contained herein; and all agreements and covenants set forth herein to be performed by or on behalf of the District shall be for the equal and proportionate benefit, protection and security of all Owners of the Bonds without distinction, preference or priority as to security or otherwise of any Bonds over any other Bonds by reason of the number or date thereof or the time of authorization, sale, execution, issuance or delivery thereof or for any cause whatsoever, except as expressly provided herein or therein.

ARTICLE II

THE BONDS

Section 2.01. Authorization of Bonds; Bonds Constitute Obligations Imposed by Law. The District hereby authorizes the issuance of the Bonds under and subject to the terms of this Indenture, the Refunding Law and other applicable laws of the State of California for the purpose of satisfying the District's payment obligations under, and the refunding of, the Judgments and the Notes, Revolving Credit Agreements, and Fee Agreements (including costs of issuance of such Notes, underwriter's discount or placement agent fee) and Bonds then Outstanding under this Indenture (including costs of issuance and underwriter's discount or placement agent fee) the proceeds of which has previously refunded a Judgement or Judgments, each as specified in this Indenture as related to such Series of Bonds. The Bonds may consist of one or more Series of varying denominations, dates, maturities, interest rates and other provisions, subject to the provisions and conditions contained herein. The Bonds shall be designated generally as the "Los Angeles Unified School District Judgment Obligation Bonds," each Series thereof to bear such additional designation as may be necessary or appropriate to distinguish such Series from every other Series of Bonds.

The obligations of the District under the Bonds, including the obligation to make all payments of the interest on and the principal of the Bonds when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Bonds nor the obligation of the District to make payment of the interest on or the principal of the Bonds constitutes an indebtedness of the District or the State, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction.

Section 2.02. Terms of Series 2024A Bonds. (a) The Series 2024A Bonds shall be designated "Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A." The aggregate principal amount of Series 2024A Bonds that may be issued and Outstanding under this Indenture shall not exceed \$_____, except as may be otherwise provided in Section 2.08 hereof.

(b) The Series 2024A Bonds shall be issued in fully registered form without coupons in denominations of \$5,000 or any integral multiple thereof, so long as no Series 2024A Bond shall have more than one maturity date. The Series 2024A Bonds shall be dated as of the Series 2024A Closing Date, shall be issued in the aggregate principal amount of \$_____, shall mature on [October] 1 of each year and shall bear interest (calculated on the basis of a 360-day year comprised of twelve 30-day months) at the rates per annum as follows:

<u>Maturity Date</u> <u>([October] 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>
[2024]		
2025		
2026		
2027		
2028		
2029		
2030		
2031		
2032		
2033		
2034		
2035		
2036		
2037		
2038		
2039		
20__		
20__		
20__		
20__		

(c) Interest on the Series 2024A Bonds shall be payable from the Interest Payment Date next preceding the date of authentication thereof unless (i) a Series 2024A Bond is authenticated on or before an Interest Payment Date and after the close of business on the preceding Record Date, in which event it shall bear interest from such Interest Payment Date; (ii) a Series 2024A Bond is authenticated on or before the first Record Date, in which event interest thereon shall be payable from the Series 2024A Closing Date; or (iii) interest on any Series 2024A Bond is in default as of the date of authentication thereof, in which event interest thereon shall be payable from the date to which interest has been paid in full or made available for such payment, payable on each Interest Payment Date. Interest shall be paid in lawful money of the United States on each Interest Payment Date to the Persons in whose names the ownership of the Series 2024A Bonds is registered on the Registration Books at the close of business on the immediately preceding Record Date, except as provided below. Except as otherwise provided in the Letter of Representations, interest shall be paid by check of the Trustee mailed by first class mail, postage prepaid, on each Interest Payment Date to the Owners at their respective addresses shown on the Registration Books as of the close of business on the preceding Record Date, except that in the case of an Owner of \$1,000,000 or more in aggregate principal amount of Series 2024A Bonds, upon the written request of such Owner to the Trustee, received at least ten days prior to a Record Date, specifying the account or accounts to which such payment shall be made, payment of interest shall be made by wire transfer of immediately available funds on the following Interest Payment Date. Any such request shall remain in effect until revoked or revised by such Owner by an instrument in writing delivered to the Trustee.

(d) The principal of and premium, if any, on the Series 2024A Bonds shall be payable in lawful money of the United States of America upon presentation and surrender thereof upon maturity or earlier redemption at the Office of the Trustee.

Section 2.03. Transfer and Exchange of Bonds. Any Bond may, in accordance with its terms, be transferred upon the Registration Books by the Person in whose name it is registered, in person or by his duly authorized attorney, upon surrender of such Bond for cancellation, accompanied by delivery of a written instrument of transfer, duly executed in a form acceptable to the Trustee. Whenever any Bond or Bonds shall be surrendered for transfer, the District shall execute and the Trustee shall authenticate and shall deliver a new Bond or Bonds of the same Series and maturity in a like aggregate principal amount, in any Authorized Denomination. The Trustee shall require the Owner requesting such transfer to pay any tax or other governmental charge required to be paid with respect to such transfer.

The Bonds may be exchanged at the Office of the Trustee for a like aggregate principal amount of Bonds of the same Series and maturity in a like aggregate principal amount of other Authorized Denominations. The Trustee shall require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange.

Section 2.04. Registration Books. The Trustee will keep or cause to be kept, at the Office of the Trustee, sufficient records for the registration and transfer of ownership of the Bonds, which shall be open to inspection during regular business hours and upon reasonable notice by the District; and, upon presentation for such purpose, the Trustee shall, under such reasonable regulations as it may prescribe, register or transfer or cause to be registered or transferred, on such records, the ownership of the Bonds as hereinbefore provided.

Section 2.05. Form of Series 2024A Bonds. The Series 2024A Bonds shall be in substantially the form set forth in Appendix A hereto, with appropriate or necessary insertions, omissions and variations as permitted or required hereby. Only such of the Series 2024A Bonds as shall bear thereon a certificate of authentication substantially in the form set forth in Appendix A hereto, manually executed by the Trustee, shall be valid or obligatory for any purpose or entitled to the benefits of this Indenture, and such certificate of or on behalf of the Trustee shall be conclusive evidence that the Series 2024A Bonds so authenticated have been duly executed, authenticated and delivered hereunder and are entitled to the benefits of this Indenture.

Section 2.06. Execution of Bonds. The Bonds shall be executed in the name and on behalf of the District with the manual or facsimile signature of the President of the Board of the District or the Chief Business Officer of the District, countersigned by the manual or facsimile signature of the Executive Officer of the Board of the District. The District's seal, or a facsimile thereof, may be reproduced, imprinted or impressed on the Bonds. The Bonds shall then be delivered to the Trustee for authentication by it. In case any of the officers who shall have signed or attested any of the Bonds shall cease to be such officer or officers of the District before the Bonds so signed or attested shall have been authenticated or delivered by the Trustee, or issued by the District, such Bonds may nevertheless be authenticated, delivered and issued and, upon such authentication, delivery and issue, shall be as binding upon the District as though those who signed and attested the same had continued to be such officers of the District, and also any Bonds may be

signed and attested on behalf of the District by such Persons as at the actual date of execution of such Bonds shall be the proper officers of the District although at the nominal date of such Bonds any such Person shall not have been such officer of the District.

Section 2.07. Temporary Bonds. The Bonds may be issued in temporary form exchangeable for definitive Bonds when ready for delivery. Any temporary Bonds may be printed, lithographed or typewritten, shall be of such Authorized Denominations as may be determined by the District, shall be in fully registered form without coupons and may contain such reference to any of the provisions of this Indenture as may be appropriate. Every temporary Bond shall be executed by the District and authenticated by the Trustee upon the same conditions and in substantially the same manner as the definitive Bonds. If the District issues temporary Bonds it shall execute and deliver definitive Bonds as promptly thereafter as practicable, and thereupon the temporary Bonds may be surrendered, for cancellation, at the Office of the Trustee and the Trustee shall authenticate and deliver in exchange for such temporary Bonds a like aggregate principal amount of definitive Bonds of the same maturity in Authorized Denominations. Until so exchanged, the temporary Bonds shall be entitled to the same benefits under this Indenture as definitive Bonds authenticated and delivered hereunder.

Section 2.08. Bonds Mutilated, Lost, Destroyed or Stolen. If any Bond shall become mutilated, the District, at the expense of the Owner of said Bond, shall execute, and the Trustee shall thereupon authenticate and deliver, a new Bond of like tenor in exchange and substitution for the Bond so mutilated, but only upon surrender to the Trustee of the Bond so mutilated. Every mutilated Bond so surrendered to the Trustee shall be destroyed by it. If any Bond shall be lost, destroyed or stolen, evidence of such loss, destruction or theft may be submitted to the Trustee and, if such evidence and indemnity satisfactory to the Trustee shall be given, the District, at the expense of the Owner, shall execute, and the Trustee shall thereupon authenticate and deliver, a new Bond of like tenor in lieu of and in replacement for the Bond so lost, destroyed or stolen (or if any such Bond shall have matured, instead of issuing a replacement Bond, the Trustee may pay the same without surrender thereof). The District may require payment by the Owner of a sum not exceeding the actual cost of preparing each replacement Bond issued under this Section and of the expenses which may be incurred by the District and the Trustee. Any Bond issued under the provisions of this Section in lieu of any Bond alleged to be lost, destroyed or stolen shall constitute an original additional contractual obligation on the part of the District whether or not the Bond so alleged to be lost, destroyed or stolen be at any time enforceable by anyone, and shall be entitled to the benefits of this Indenture with all other Bonds secured by this Indenture.

Section 2.09. Book-Entry Bonds. (a) Except as provided in subsection (c) of this Section, the registered Owner of all of the Series 2024A Bonds shall be DTC and the Series 2024A Bonds shall be registered in the name of Cede & Co., as nominee for DTC. Notwithstanding anything to the contrary contained in this Indenture, payment of interest with respect to any Bond registered as of each Record Date in the name of Cede & Co. shall be made by wire transfer of same-day funds to the account of Cede & Co. on the payment date for the Bonds at the address indicated on the Record Date for Cede & Co. in the Registration Books or as otherwise provided in the Representation Letter.

(b) The Series 2024A Bonds shall be initially issued in the form of separate single fully registered Bonds in the amount of each separate stated maturity of the Bonds. Upon initial

issuance, the ownership of such Bonds shall be registered in the Registration Books in the name of Cede & Co., as nominee of DTC. The Trustee and the District may treat DTC (or its nominee) as the sole and exclusive Owner of the Bonds registered in its name for the purposes of payment of the principal or interest with respect to the Bonds, giving any notice permitted or required to be given to Owners of Bonds registered in the name of Cede & Co., as nominee for DTC, under this Indenture, registering the transfer of such Bonds, obtaining any consent or other action to be taken by Owners of such Bonds and for all other purposes whatsoever, and neither the Trustee nor the District shall be affected by any notice to the contrary. Neither the Trustee nor the District shall have any responsibility or obligation to any Participant, any person claiming a beneficial ownership interest in the Bonds under or through DTC or any Participant, or any other person which is not shown on the Registration Books as being an Owner, with respect to the accuracy of any records maintained by DTC or any Participant; the payment by DTC or any Participant of any amount in respect of the principal or interest with respect to the Bonds registered in the name of Cede & Co., as nominee for DTC; any notice which is permitted or required to be given to Owners of Bonds under this Indenture; or any consent given or other action taken by DTC as Owner of Bonds. The Trustee shall pay all principal and interest with respect to the Bonds registered in the name of Cede & Co., as nominee for DTC, only to DTC, and all such payments shall be valid and effective to fully satisfy and discharge the District's obligations with respect to the principal and interest with respect to the Bonds registered in the name of Cede & Co., as nominee for DTC, to the extent of the sum or sums so paid. Except under the conditions of (c) below, no person other than DTC shall receive an executed Bond for each separate stated maturity. Upon delivery by DTC to the Trustee of written notice to the effect that DTC has determined to substitute a new nominee in place of Cede & Co., and subject to the provisions herein with respect to record dates, the term "Cede & Co." in this Indenture shall refer to such new nominee of DTC.

(c) In the event (i) DTC, including any successor as securities depository for the Bonds, determines not to continue to act as securities depository for the Bonds; or (ii) the District determines that the incumbent securities depository shall no longer so act, and delivers a written certificate to the Trustee to that effect, then the District will discontinue the book-entry system with the incumbent securities depository for such Bonds. If the District determines to replace the incumbent securities depository for the Bonds of a Series with another qualified securities depository, the District shall prepare or direct the preparation of a new single, separate fully registered Bond for the aggregate outstanding principal amount of Bonds of each maturity of such Series, registered in the name of such successor or substitute qualified securities depository, or its nominee, or make such other arrangement acceptable to the District, the Trustee and the successor securities depository for the Bonds registered in the name of Cede & Co., as nominee for DTC, as are not inconsistent with the terms of this Indenture. If the District fails to identify another qualified successor securities depository of the Bonds registered in the name of Cede & Co., as nominee for DTC, to replace the incumbent securities depository, then the Bonds shall no longer be restricted to being registered in the Registration Books in the name of the incumbent securities depository or its nominee, but shall be registered in whatever name or names the incumbent securities depository for the Bonds, or its nominee, shall designate. In such event the Trustee shall authenticate and deliver a sufficient quantity of Bonds as to carry out the transfers and exchanges provided in Sections 2.03, 2.07 and 2.08. All such Bonds shall be in fully registered form in denominations authorized by this Indenture.

(d) Notwithstanding any other provision of this Indenture to the contrary, so long as any Bond is registered in the name of DTC, or its nominee, all payments with respect to the principal and interest with respect to such Bond and all notices with respect to such Bond shall be made and given, respectively, as provided in the Representation Letter.

(e) In connection with any notice or other communication to be provided to Owners of Book-Entry Bonds pursuant to this Indenture by the District or the Trustee with respect to any consent or other action to be taken by Owners, the District or the Trustee, as the case may be, shall establish a record date for such consent or other action and give DTC notice of such record date not less than 15 calendar days in advance of such record date to the extent possible.

Section 2.10. Conditions for the Issuance of Additional Bonds. The District may at any time issue Additional Bonds on a parity with the Series 2024A Bonds, but only subject to the following specific conditions, which are hereby made conditions precedent to the issuance of any such Additional Bonds:

(a) The District shall be in compliance with all agreements and covenants contained herein.

(b) The issuance of such Additional Bonds shall have been authorized pursuant to the Refunding Law and shall have been provided for by a Supplemental Indenture which shall specify the following:

(i) The purpose for which such Additional Bonds are to be issued; provided that such Additional Bonds shall be applied solely for (i) refunding the District's obligations to the Judgment Obligees evidenced by the Judgments, (ii) refunding the District's obligations to any Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under the related Notes, Revolving Credit Agreement, and Fee Agreement, and costs of issuance of such Notes (including underwriter's discount or placement agent fee), (iii) refunding Bonds Outstanding under this Indenture, and (iv) paying costs incidental to or connected with the issuance of Additional Bonds for such purpose;

(ii) Specification of the respective Judgment Obligees and/or the respective Lenders or other holders of the related Notes to be refunded by such Additional Bonds;

(iii) The principal amount and Series designation of such Series of Additional Bonds and the denomination or denominations of the Additional Bonds, which shall be Authorized Denominations;

(iv) That such Additional Bonds shall be payable as to interest on the Interest Payment Dates, except that the first installment of interest may be payable on either [April] 1 or [October] 1.

(v) The date, the maturity date or dates and the dates on which mandatory sinking fund redemptions, if any, are to be made for such Additional Bonds; provided, that (A) the serial Bonds of such Series of Additional Bonds shall be payable as to principal annually on [October] 1 of each year in which principal falls due, and the term Bonds of such Series of Additional Bonds shall

have annual mandatory sinking fund redemptions on [October] 1, (B) all Additional Bonds of a Series of like maturity shall be identical in all respects, except as to number or denomination, and (C) serial maturities of serial Bonds or mandatory sinking fund redemptions for term Bonds, or any combination thereof, shall be established to provide for the redemption or payment of such Additional Bonds on or before their respective maturity dates;

(vi) The redemption premiums, if any, and the redemption terms, if any, for such Additional Bonds; and

(vii) Such other provisions (including the requirements of a book-entry bond registration system, if any) as are necessary or appropriate and not inconsistent herewith.

Section 2.11. Procedure for the Issuance of Additional Bonds. At any time after the sale of any Additional Bonds in accordance with the Refunding Law, the District shall execute such Additional Bonds for issuance hereunder and shall deliver them to the Trustee, and thereupon such Additional Bonds shall be authenticated and delivered by the Trustee to the purchaser thereof upon the Written Request of the District, but only upon receipt by the Trustee of the following documents or money or securities, all of such documents dated or certified, as the case may be, as of the date of delivery of such Additional Bonds by the Trustee:

(a) An executed copy of the Supplemental Indenture authorizing the issuance of such Additional Bonds;

(b) A Written Request of the District as to the delivery of such Additional Bonds;

(c) An Opinion of Counsel to the effect that (i) the District has duly executed and delivered the Supplemental Indenture and the Supplemental Indenture constitutes a valid and binding obligation of the District, and (ii) such Additional Bonds are valid and binding obligations of the District;

(d) A Written Certificate of the District stating that all requirements of Section 2.10 have been complied with and containing any other such statements as may be reasonably necessary to show compliance with the conditions for the issuance of such Additional Bonds contained herein; and

(e) Such further documents, money or securities as are required by the provisions of the Supplemental Indenture providing for the issuance of such Additional Bonds.

ARTICLE III

ISSUANCE OF BONDS

Section 3.01. Issuance of Bonds. The District may, at any time, execute the Bonds and deliver the same to the Trustee. The Trustee shall authenticate the Bonds and deliver the Bonds to the Original Purchaser upon receipt of a Written Request of the District and upon receipt of the purchase price therefor.

Section 3.02. Application of Proceeds of the Series 2024A Bonds. On the Series 2024A Closing Date, the proceeds of the sale of the Series 2024A Bonds shall be paid to the Trustee and said amounts shall be deposited by the Trustee as follows:

(a) The Trustee shall deposit the amount of \$ _____ in the Series 2024A Costs of Issuance Account.

(b) The Trustee shall deposit the amount of \$ _____ in the Series 2024A Refunding Account, constituting the remainder of said proceeds.

Section 3.03. Costs of Issuance Fund. There is hereby established a separate fund to be known as the “Costs of Issuance Fund,” which shall be held by the Trustee in trust. Within the Costs of Issuance Fund, the Trustee shall establish and maintain a separate account designated the “Series 2024A Costs of Issuance Account.” Upon the issuance of Additional Bonds, the Trustee shall also establish and maintain, within the Costs of Issuance Fund, a separate Costs of Issuance Account for each Series of Additional Bonds. On the Series 2024A Closing Date, the Trustee shall deposit in the Series 2024A Costs of Issuance Account the amount specified in Section 3.02(a).

The moneys in the Costs of Issuance Fund shall be used and withdrawn by the Trustee from time to time to pay the Costs of Issuance upon submission of a Written Request of the District stating (a) the Person to whom payment is to be made, (b) the amount to be paid, (c) the purpose for which the obligation was incurred, (d) that such payment is a proper charge against the Costs of Issuance Fund, and (e) that such amounts have not been the subject of a prior disbursement from the Costs of Issuance Fund; in each case together with a statement or invoice for each amount requested thereunder. On the date that is six months after the Series 2024A Closing Date, any amounts then remaining in the Series 2024A Costs of Issuance Account shall be withdrawn therefrom by the Trustee transferred to the Bond Fund and upon such transfer the Series 2024A Costs of Issuance Account shall be closed.

Section 3.04. Refunding Fund. (a) There is hereby established a separate fund to be known as the “Refunding Fund,” which shall be held by the Trustee in trust. Within the Refunding Fund, the Trustee shall establish and maintain a separate account designated the “Series 2024A Refunding Account.” Upon the issuance of Additional Bonds, the Trustee shall also establish and maintain, within the Refunding Fund, a separate Refunding Account for each Series of Additional Bonds. On the Series 2024A Closing Date, the Trustee shall deposit in the Series 2024A Refunding Account the amount specified in Section 3.02(b).

(b) On the Series 2024A Closing Date, the District shall deliver to the Trustee a Written Request of the District stating (1) that the Board has duly authorized the refunding of the [Series

2024A Judgments][and the] [Series 2024A Notes] with net proceeds of the Series 2024A Bonds, (2) that the amount in the Series 2024A Refunding Account shall be paid directly, or through the Third-Party Administrator, to the [Series 2024A Judgment Obligees and/or the Series 2024A Lender or other holders of Series 2024A Notes], and (3) instructions as to how such payment or payments are to be made directly or through the Third-Party Administrator, to [the Series 2024A Judgment Obligees and/or the Series 2024A Lender or other holders of Series 2024A Notes], including the names and addresses of the Series 2024A Judgment Obligees and/or the Series 2024A Lender or other holders of Series 2024A Notes to be so paid and, if applicable, the bank account number or numbers to which such payment or payments are to be made. The Trustee shall make such payment or payments on the Series 2024A Closing Date and, after such payment or payments have been made, the Series 2024A Refunding Account shall be closed.

(c) Upon the issuance of Additional Bonds, the District shall deliver to the Trustee a Written Request of the District stating (1) that the Board has duly authorized the refunding of the applicable Judgments, Notes and/or Bonds with net proceeds of such Series of Additional Bonds, (2) that the amount in the separate Refunding Account established for such Series of Additional Bonds shall be paid directly, or through the Third-Party Administrator, to the applicable Judgment Obligees, Lenders or other holders of the related Notes or Owners of the related Bonds to be so paid, and (3) instructions as to how such payment or payments are to be made directly or through the Third-Party Administrator, to such Judgment Obligees, Lenders or other holders or Owners, including the names and addresses of such Judgment Obligees, Lenders or other holders or Owners and, if applicable, the bank account number or numbers to which such payment or payments are to be made.

ARTICLE IV

REDEMPTION OF BONDS

Section 4.01. Optional Redemption of Series 2024A Bonds. [The Series 2024A Bonds maturing on or after [October] 1, 20__ are subject to redemption prior to their respective stated maturities at the written direction of the District, from any moneys deposited by the District, as a whole or in part on any date (in such maturities as are designated in writing by the District to the Trustee) on or after [October] 1, 20__, at a redemption price of 100% of the principal amount of Series 2024A Bonds called for redemption, together with accrued interest to the date fixed for redemption.]

The District shall give the Trustee written notice of its intention to redeem Series 2024A Bonds pursuant to this Section not less than 45 days prior to the applicable redemption date, unless a later date is agreed to by the Trustee in its reasonable discretion or as directed by the Owners of not less than a majority of the Outstanding Series 2024A Bonds.]

Section 4.02. Mandatory Sinking Fund Redemption of Series 2024A Bonds. (i) The Series 2024A Bonds maturing on [October] 1, 20__ shall be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series 2024A Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1)	Principal Amount to be Redeemed
	\$

If some but not all of the Series 2024A Bonds are redeemed pursuant to Section 4.01, the principal amount of the Series 2024A Bonds to be redeemed pursuant to this Section 4.02 on any subsequent [October] 1 shall be reduced by the aggregate principal amount of the Series 2024A Bonds so redeemed pursuant to Section 4.01, such reduction to be allocated among redemption dates in Authorized Denominations, as designated by the District in a Written Certificate of the District.

(ii) The Series 2024A Bonds maturing on [October] 1, 20__ shall be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series 2024A Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1)	Principal Amount to be Redeemed
	\$

If some but not all of the Series 2024A Bonds are redeemed pursuant to Section 4.01, the principal amount of the Series 2024A Bonds to be redeemed pursuant to this Section 4.02 on any subsequent [October] 1 shall be reduced by the aggregate principal amount of the Series 2024A Bonds so redeemed pursuant to Section 4.01, such reduction to be allocated among redemption dates in Authorized Denominations, as designated by the District in a Written Certificate of the District.

Section 4.03. Selection of Bonds for Redemption and Series 2024A Bonds for Redemption. [Whenever provision is made in this Indenture for the redemption of less than all of the Bonds, the Trustee shall select the Bonds to be redeemed from all Bonds not previously called for redemption (a) with respect to any optional redemption of Bonds, as directed in a Written Certificate of the District, and (b) with respect to any other redemption of Additional Bonds, among maturities as provided in the Supplemental Indenture pursuant to which such Additional Bonds are issued, and by lot among Bonds of the same Series with the same maturity in any manner which the Trustee in its sole discretion shall deem appropriate and fair. The Trustee shall promptly notify the District in writing of the numbers of the Bonds so selected for redemption on such date. For purposes of such selection, any Bond may be redeemed in part in Authorized Denominations.]

[Whenever provision is made in this Indenture for the redemption of less than all of the Series 2024A Bonds, the Trustee shall select the Series 2024A Bonds to be redeemed from all Series 2024A Bonds not previously called for redemption as directed in a Written Certificate of the District. For purposes of such selection, all Series 2024A Bonds shall be deemed to be comprised of separate Authorized Denominations and such separate denominations shall be treated as separate Series 2024A Bonds which may be separately redeemed.]

Section 4.04. Partial Redemption of Bonds. Upon surrender of any Bonds redeemed in part only, the District shall execute and the Trustee shall authenticate and deliver to the Owner thereof, at the expense of the District, a new Bond or Bonds of the same Series in Authorized Denominations equal in aggregate principal amount representing the unredeemed portion of the Bonds surrendered.

Section 4.05. Notice of Redemption. The Trustee on behalf and at the expense of the District shall mail (by first class mail) notice of any redemption to the respective Owners of any Bonds designated for redemption at their respective addresses appearing on the Registration Books at least 20 but not more than 60 days prior to the date fixed for redemption. Such notice shall state the date of the notice, the redemption date, the redemption place and the redemption price and shall designate the CUSIP numbers, if any, the Series, the Bond numbers of the Bonds to be redeemed, and, if all of the Outstanding Bonds are being redeemed on such redemption date, shall require that such Bonds be then surrendered at the Office of the Trustee for redemption at the

redemption price, giving notice also that further interest on such Bonds will not accrue from and after the date fixed for redemption. Neither the failure to receive any notice so mailed, nor any defect in such notice, shall affect the validity of the proceedings for the redemption of the Bonds or the cessation of accrual of interest thereon from and after the date fixed for redemption.

With respect to any notice of any optional redemption of Bonds of a Series, unless at the time such notice is given the Bonds to be redeemed shall be deemed to have been paid within the meaning of Section 10.02 hereof, such notice shall state that such redemption is conditional upon receipt by the Trustee, on or prior to the date fixed for such redemption, of moneys that, together with other available amounts held by the Trustee, are sufficient to pay the redemption price of, and accrued interest on, the Bonds to be redeemed, and that if such moneys shall not have been so received said notice shall be of no force and effect and the District shall not be required to redeem such Bonds. In the event a notice of redemption of Bonds contains such a condition and such moneys are not so received, the redemption of Bonds as described in the conditional notice of redemption shall not be made and the Trustee shall, within a reasonable time after the date on which such redemption was to occur, give notice to the Persons and in the manner in which the notice of redemption was given, that such moneys were not so received and that there shall be no redemption of Bonds pursuant to such notice of redemption.

Section 4.06. Effect of Notice of Redemption. Notice having been mailed as aforesaid, and moneys for the redemption (including the interest to the applicable redemption date) of the Bonds to be redeemed having been deposited in the Bond Fund, such Bonds shall become due and payable on said date, and said Bonds shall be paid at the redemption price thereof, together with interest accrued and unpaid to said date.

If, on said redemption date, moneys for the redemption of all the Bonds to be redeemed, together with interest to said date, shall be held by the Trustee so as to be available therefor on such date, and, if notice of redemption thereof shall have been mailed as aforesaid and not canceled, then, from and after said date, interest on said Bonds shall cease to accrue and become payable. All moneys held by or on behalf of the Trustee for the redemption of Bonds shall be held in trust for the account of the Owners of the Bonds so to be redeemed.

All Bonds paid at maturity or redeemed prior to maturity pursuant to the provisions hereof shall be canceled upon surrender thereof and the Trustee shall deliver a certificate of destruction to the District.

ARTICLE V

SECURITY FOR BONDS; FLOW OF FUNDS; INVESTMENTS

Section 5.01. Pledge. Subject only to the provisions of this Indenture permitting the application thereof for the purposes and on the terms and conditions set forth herein, the District pledges and grants a lien on and a security interest in all of the amounts held in the Bond Fund as security for the payment of the principal of and interest on the Bonds in accordance with their terms, the provisions of this Indenture and the Refunding Law. Said pledge shall constitute a first lien on such assets. The District expressly reserves the right to issue or incur other obligations for any of its corporate purposes.

Section 5.02. Bond Fund. (a) The Trustee shall establish, maintain and hold in trust a special fund designated the “Bond Fund.” The Trustee shall deposit in the Bond Fund the amounts required to be deposited therein pursuant to Section 5.02(b) hereof and pursuant to any Supplemental Indenture.

(b) The District agrees and covenants that not later than two days prior to each Interest Payment Date, it will transfer to the Trustee an amount which, together with the amount then on deposit in the Bond Fund, will equal the amount of the principal of and interest on the Bonds becoming due on such Interest Payment Date. The Trustee shall, upon receipt, deposit such amount in the Bond Fund.

(c) On or before each Interest Payment Date, the Trustee shall withdraw from the Bond Fund for payment to the Owners of the Bonds the principal, if any, of and interest then due and payable on the Bonds. If there are insufficient funds in the Bond Fund to pay the principal, if any, of and interest on the Bonds, the Trustee shall apply the available funds first to the payment of interest on the Bonds, then to the payment of principal of the Bonds.

Section 5.03. Rebate Fund. (a) [The Trustee shall establish and maintain a special fund designated the “Rebate Fund.” There shall be deposited in the Rebate Fund such amounts as are required to be deposited therein pursuant to the Tax Certificate, as specified in a Written Request of the District. All money at any time deposited in the Rebate Fund shall be held by the Trustee in trust, to the extent required to satisfy the Rebate Requirement, for payment to the United States of America. Notwithstanding defeasance of the Bonds pursuant to Article IX hereof or anything to the contrary contained herein, all amounts required to be deposited into or on deposit in the Rebate Fund shall be governed exclusively by this Section and by the Tax Certificate (which is incorporated herein by reference). The Trustee shall be deemed conclusively to have complied with such provisions if it follows the written directions of the District, and shall have no liability or responsibility to enforce compliance by the District with the terms of the Tax Certificate.

(b) Any funds remaining in the Rebate Fund after payment in full of all of the Tax-Exempt Bonds and after payment of any amounts described in this Section, shall be withdrawn by the Trustee and shall be transferred to the District to be expended for any lawful purpose of the District.]

Section 5.04. Investment of Moneys. Except as otherwise provided herein, all moneys in any of the funds or accounts established pursuant to this Indenture shall be invested by the Trustee solely in Permitted Investments, as directed in a Written Request of the District received no later than two Business Days prior to the making of such investment. Moneys in all funds and accounts shall be invested in Permitted Investments maturing not later than the date on which the District estimates that such moneys will be required for the purposes specified in this Indenture. Absent timely written direction from the District, the Trustee shall invest any funds held by it in Permitted Investments described in clause [(5)] of the definition thereof.

Subject to the provisions of Section 6.08, all interest, profits and other income received from the investment of moneys in any fund or account established pursuant to this Indenture shall be retained therein.

Permitted Investments acquired as an investment of moneys in any fund established under this Indenture shall be credited to such fund. All investments of amounts deposited in any fund or account created by or pursuant to this Indenture shall be acquired, disposed of, and valued at fair market value.

Permitted Investments held in the Bond Fund shall be subject to the pledge, lien, and security interest described herein.

The Trustee or an affiliate thereof may act as principal or agent in the making or disposing of any investment and shall be entitled to its reasonable and customary fee therefor. Upon the Written Request of the District, the Trustee shall sell or present for redemption any Permitted Investments so purchased whenever it shall be necessary to provide moneys to meet any required payment, transfer, withdrawal or disbursement from the fund to which such Permitted Investments is credited, and the Trustee shall not be liable or responsible for any loss resulting from any investment made or sold pursuant to this Section. For purposes of investment, the Trustee may commingle moneys in any of the funds and accounts established hereunder.

ARTICLE VI

COVENANTS

Section 6.01. Punctual Payment and Performance. The District shall punctually pay the interest on and principal of every Bond issued in accordance with this Indenture in strict conformity with the terms hereof and of the Bonds, and shall faithfully observe and perform all the agreements and covenants required to be observed or performed by the District contained herein and in the Bonds.

Section 6.02. Extension of Payment of Bonds. The District shall not directly or indirectly extend or assent to the extension of the maturity of any of the Bonds or the time of payment of any claims for interest by the purchase of such Bonds or by any other arrangement, and in case the maturity of any of the Bonds or the time of payment of any such claims for interest shall be extended, such Bonds or claims for interest shall not be entitled, in case of any Event of Default hereunder, to the benefits hereof, except subject to the prior payment in full of the principal of all of the Bonds then Outstanding and of all claims for interest thereon which shall not have been so extended; provided, that nothing in this Section shall be deemed to limit the right of the District to issue Bonds for the purpose of refunding any Outstanding Bonds, and such issuance shall not be deemed to constitute an extension of maturity of the Bonds.

Section 6.03. Additional Obligations. The District expressly reserves the right to issue or incur other obligations for any of its corporate purposes.

Section 6.04. Power to Issue Bonds. The District is duly authorized to issue the Bonds and to enter into this Indenture. The Bonds and the provisions of this Indenture are and will be the legal, valid and binding obligations of the District in accordance with their terms. The Bonds constitute obligations imposed by law.

Section 6.05. Prosecution and Defense of Suits. The District shall defend against every suit, action or proceeding at any time brought against the District upon any claim to the extent involving the failure of the District to fulfill its obligations hereunder; provided, however, that the Trustee or any Owner at its election may appear in and defend any such suit, action or proceeding.

Section 6.06. Other Replacement Proceeds. [The District shall, no later than [August] 1 of each year, calculate and determine the amount, if any, of Other Replacement Proceeds for such Fiscal Year. If Other Replacement Proceeds exist for a Fiscal Year, such Other Replacement Proceeds shall be invested in Tax-Exempt Obligations until such Other Replacement Proceeds are spent.]

Section 6.07. District Budgets. The District shall in each Fiscal Year include in its budget a provision to provide funds in an amount sufficient to pay the principal of and interest on the Bonds coming due in such Fiscal Year.

Section 6.08. Tax Covenants. (a) [The District shall not take any action, or fail to take any action, if such action or failure to take such action would adversely affect the exclusion from gross income of interest on the Series 2024A Bonds under Section 103 of the Code. Without limiting the generality of the foregoing, the District shall comply with the requirements of Section

6.06 hereof and the Tax Certificate (Series 2024A Bonds), which is incorporated herein as if fully set forth herein. Except as set forth in the Tax Certificate (Series 2024A Bonds), this covenant shall survive payment in full or defeasance of the Series 2024A Bonds.

(b) In the event that at any time the District is of the opinion that for purposes of this Section it is necessary or helpful to restrict or limit the yield on the investment of any moneys held by the Trustee in any of the funds or accounts established hereunder, the District shall so instruct the Trustee in writing, and the Trustee shall act in accordance with such instructions.

(c) Notwithstanding any provisions of this Section, if the District shall provide to the Trustee an opinion of Bond Counsel to the effect that any specified action required under this Section or Section 6.06 hereof is no longer required or that some further or different action is required to maintain the exclusion from federal income tax of interest on the Series 2024A Bonds, the Trustee may conclusively rely on such opinion in complying with the requirements of this Section, Section 6.06 hereof and of the Tax Certificate (Series 2024A Bonds), and the covenants hereunder shall be deemed to be modified to that extent.]

Section 6.09. Continuing Disclosure. The District shall comply with and carry out all of the provisions of the Continuing Disclosure Certificate (Series 2024A Bonds) relating to the Series 2024A Bonds. Notwithstanding any other provision of this Indenture, failure of the District to comply with such Continuing Disclosure Certificate (Series 2024A Bonds) shall not constitute an Event of Default hereunder; provided, however, that the Trustee, at the written direction of any Participating Underwriter (Series 2024A Bonds) or the holders of at least 25% of the aggregate principal amount of Outstanding Series 2024A Bonds, shall, upon receipt of indemnification reasonably satisfactory to the Trustee, or any holder or Beneficial Owner of the Series 2024A Bonds may, take such actions as may be necessary and appropriate to compel performance, including seeking mandate or specific performance by court order.

Section 6.10. Further Assurances. Whenever and so often as reasonably requested to do so by the Trustee or any Owner, the District shall promptly execute and deliver or cause to be executed and delivered all such other and further assurances, documents or instruments, and promptly do or cause to be done all such other and further things as may be necessary or reasonably required in order to further and more fully vest in the Trustee and the Owners all rights, interests, powers, benefits, privileges and advantages conferred or intended to be conferred upon them hereby.

ARTICLE VII

THE TRUSTEE

Section 7.01. Duties and Liabilities of Trustee. (a) *Duties of Trustee Generally.* The Trustee shall, prior to an Event of Default, and after the curing of all Events of Default which may have occurred, perform such duties and only such duties as are expressly and specifically set forth in this Indenture. The Trustee shall, during the existence of any Event of Default which has not been cured, exercise such of the rights and powers vested in it by this Indenture, and use the same degree of care and skill in their exercise, as a prudent person would exercise or use under the circumstances in the conduct of his or her own affairs.

(b) *Removal of Trustee.* The District may upon 30 days' prior written notice remove the Trustee at any time unless an Event of Default shall have occurred and then be continuing, and the District shall remove the Trustee if at any time requested to do so by the Insurer (so long as the Insurer is not in default in its payment obligations under the Insurance Policy) or by an instrument or concurrent instruments in writing signed by the Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding (or their attorneys duly authorized in writing) or if at any time the Trustee shall cease to be eligible in accordance with subsection (e) of this Section, or shall become incapable of acting, or shall be adjudged a bankrupt or insolvent, or a receiver of the Trustee or its property shall be appointed, or any public officer shall take control or charge of the Trustee or of its property or affairs for the purpose of rehabilitation, conservation or liquidation, in each case by giving written notice of such removal to the Trustee and thereupon shall appoint a successor Trustee by an instrument in writing.

(c) *Resignation of Trustee.* The Trustee may at any time resign by giving written notice of such resignation by first class mail, postage prepaid, to the District, and to the Owners at the respective addresses shown on the Registration Books. Upon receiving such notice of resignation, the District shall promptly appoint a successor Trustee by an instrument in writing. The Trustee shall not be relieved of its duties until such successor Trustee has accepted appointment.

(d) *Appointment of Successor Trustee.* Any removal or resignation of the Trustee and appointment of a successor Trustee shall become effective upon acceptance of appointment by the successor Trustee; provided, however, that under any circumstances the successor Trustee shall be qualified as provided in subsection (e) of this Section. If no qualified successor Trustee shall have been appointed and have accepted appointment within 45 days following giving notice of removal or notice of resignation as aforesaid, the resigning Trustee or any Owner (on behalf of himself and all other Owners) may petition any court of competent jurisdiction for the appointment of a successor Trustee, and such court may thereupon, after such notice, if any, as it may deem proper, appoint such successor Trustee. Any successor Trustee appointed under this Indenture shall signify its acceptance of such appointment by executing and delivering to the District and to its predecessor Trustee a written acceptance thereof, and such successor Trustee, without any further act, deed or conveyance, shall become vested with all the moneys, estates, properties, rights, powers, trusts, duties and obligations of such predecessor Trustee, with like effect as if originally named Trustee herein; but, nevertheless at the Written Request of the District or the request of the successor Trustee, such predecessor Trustee shall execute and deliver any and all instruments of conveyance or further assurance and do such other things as may reasonably be required for more

fully and certainly vesting in and confirming to such successor Trustee all the right, title and interest of such predecessor Trustee in and to any property held by it under this Indenture and shall pay over, transfer, assign and deliver to the successor Trustee any money or other property subject to the trusts and conditions herein set forth. Upon request of the successor Trustee, the District shall execute and deliver any and all instruments as may be reasonably required for more fully and certainly vesting in and confirming to such successor Trustee all such moneys, estates, properties, rights, powers, trusts, duties and obligations. Upon acceptance of appointment by a successor Trustee as provided in this subsection, the District shall mail or cause the successor Trustee to mail, by first class mail postage prepaid, a notice of the succession of such Trustee to the trusts hereunder to the Owners at the addresses shown on the Registration Books. If the District fails to mail such notice within 15 days after acceptance of appointment by the successor Trustee, the successor Trustee shall cause such notice to be mailed at the expense of the District.

(e) *Qualifications of Trustee.* The Trustee shall be a trust company or bank having the powers of a trust company, having (or if such bank or trust company is a member of a bank holding company system, its parent bank holding company shall have) a combined capital and surplus of at least [\$75,000,000], and subject to supervision or examination by federal or state agency. If such bank or trust company publishes a report of condition at least annually, pursuant to law or to the requirements of any supervising or examining agency above referred to, then for the purpose of this subsection the combined capital and surplus of such bank or trust company shall be deemed to be its combined capital and surplus as set forth in its most recent report of condition so published.

In case at any time the Trustee shall cease to be eligible in accordance with the provisions of this subsection (e), the Trustee shall resign immediately in the manner and with the effect specified in this Section.

Section 7.02. Merger or Consolidation. Any bank or trust company into which the Trustee may be merged or converted or with which it may be consolidated or any bank or trust company resulting from any merger, conversion or consolidation to which it shall be a party or any bank or trust company to which the Trustee may sell or transfer all or substantially all of its corporate trust business, provided such bank or trust company shall be eligible under subsection (e) of Section 7.01 shall be the successor to such Trustee, without the execution or filing of any paper or any further act, anything herein to the contrary notwithstanding.

Section 7.03. Liability of Trustee. (a) The recitals of facts herein and in the Bonds contained shall be taken as statements of the District, and the Trustee shall not assume responsibility for the correctness of the same, or make any representations as to the validity or sufficiency of this Indenture or of the Bonds or shall incur any responsibility in respect thereof, other than as expressly stated herein in connection with the respective duties or obligations herein or in the Bonds assigned to or imposed upon it. The Trustee shall, however, be responsible for its representations contained in its certificate of authentication on the Bonds. The Trustee makes no representations as to the validity or sufficiency of this Indenture or of any Bonds, or in respect of the security afforded by this Indenture and the Trustee shall incur no responsibility in respect thereof. The Trustee shall be under no responsibility or duty with respect to (i) the issuance of the Bonds for value, (ii) the application of the proceeds thereof except to the extent that such proceeds are received by it in its capacity as Trustee, or (iii) the application of any moneys paid to the

District or others in accordance with this Indenture except as the application of any moneys paid to it in its capacity as Trustee. The Trustee shall not be liable in connection with the performance of its duties hereunder, except for its own negligence or willful misconduct. The Trustee shall not be liable for any action taken or omitted by it in good faith and believed by it to be authorized or within the discretion or rights or powers conferred upon it by this Indenture. The Trustee and its officers and employees may become the Owner of Bonds with the same rights it would have if it were not Trustee, and, to the extent permitted by law, may act as depository for and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of Bond Owners, whether or not such committee shall represent the Owners of a majority in aggregate principal amount of the Bonds then Outstanding.

(b) The Trustee shall not be liable for any error of judgment made in good faith by a responsible officer, unless it shall be proved that the Trustee was negligent in ascertaining the pertinent facts.

(c) The Trustee shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Owners of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding relating to the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any trust or power conferred upon the Trustee under this Indenture.

(d) No provision of this Indenture shall require the Trustee to risk or expend its own funds in the performance of its rights and duties hereunder.

Section 7.04. Right to Rely on Documents. The Trustee shall be protected in acting upon any notice, resolution, request, consent, order, certificate, report, opinion, bonds or other paper or document believed by it to be genuine and to have been signed or presented by the proper party or parties. The Trustee may consult with counsel, who may be counsel to the District, with regard to legal questions, and the opinion of such counsel shall be full and complete authorization and protection in respect of any action taken or suffered by it hereunder in good faith and in accordance therewith; provided, however, the Trustee shall in no event delay any payment with respect to the Bonds in anticipation of any such opinion.

Whenever in the administration of the trusts imposed upon it by this Indenture the Trustee shall deem it necessary or desirable that a matter be proved or established prior to taking or suffering any action hereunder, such matter (unless other evidence in respect thereof be herein specifically prescribed) may be deemed to be conclusively proved and established by a Written Certificate of the District, and such Written Certificate shall be full warrant to the Trustee for any action taken or suffered in good faith under the provisions of this Indenture in reliance upon such Written Certificate, but in its discretion the Trustee may, in lieu thereof, accept other evidence of such matter or may require such additional evidence as it may deem reasonable.

Section 7.05. Accounting Records and Reports; Preservation and Inspection of Documents. The Trustee will keep or cause to be kept proper books of record and accounts in which complete and correct entries shall be made of all transactions relating to the receipts, disbursements, allocation and application of all money on deposit in the accounts and funds

established hereunder, which such books shall be available for inspection by the District at reasonable hours and under reasonable conditions.

All documents received by the Trustee under the provisions of this Indenture shall be retained in its possession and shall be subject during business hours and upon 24 hours' notice to the inspection of the District, the Owners and their agents and representatives duly authorized in writing.

Section 7.06. Compensation and Indemnification. The District shall pay to the Trustee from time to time all reasonable compensation for all services rendered under this Indenture, and also all reasonable expenses, charges, legal and consulting fees and other disbursements and those of its attorneys, agents and employees, incurred in and about the performance of their powers and duties under this Indenture. The District further agrees, to the extent permitted by law, to indemnify, defend and save the Trustee harmless against any liabilities which it may incur in the exercise and performance of its powers and duties hereunder and under any related documents, including the enforcement of any remedies and the defense of any suit, and which are not due to its negligence or its willful misconduct. The duty of the District to indemnify and compensate the Trustee shall survive the termination and discharge of this Indenture and the resignation or removal of the Trustee.

ARTICLE VIII

SUPPLEMENTAL INDENTURES

Section 8.01. Modifications and Amendments Permitted. (a) This Indenture and the rights and obligations of the District, the Owners of the Bonds and the Trustee may be modified or amended from time to time and at any time by a Supplemental Indenture, which the District and the Trustee may enter into with the written consent of the Owners of a majority in aggregate principal amount of all Bonds then Outstanding, which shall have been filed with the Trustee. No such modification or amendment shall (i) extend the fixed maturity of any Bonds, or reduce the amount of principal thereof, or reduce the interest rate borne thereby, or extend or accelerate the time of payment thereof, without the consent of the Owner of each Bond so affected, or (ii) reduce the aforesaid percentage of Bonds the consent of the Owners of which is required to effect any such modification or amendment, without the consent of the Owners of all of the Bonds then Outstanding. It shall not be necessary for the consent of the Owners to approve the particular form of any Supplemental Indenture, but it shall be sufficient if such consent shall approve the substance thereof.

(b) This Indenture and the rights and obligations of the District, the Trustee and the Owners of the Bonds may also be modified or amended from time to time and at any time by a Supplemental Indenture, which the District and the Trustee may enter into without the consent of any Bond Owners for any one or more of the following purposes:

(i) to add to the covenants and agreements of the District contained in this Indenture, other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power herein reserved to or conferred upon the District;

(ii) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision contained in this Indenture;

(iii) to modify, amend or supplement this Indenture in such manner as to permit the qualification hereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute hereafter in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute;

(iv) to provide for the issuance of one or more Series of Additional Bonds, and to provide the terms and conditions under which such Series of Additional Bonds may be issued, subject to and in accordance with the provisions of Section 2.10 and Section 2.11 hereof;

(v) to modify, amend or supplement this Indenture in such manner as to cause interest on Tax-Exempt Bonds to be excludable from gross income for purposes of federal income taxation by the United States of America; and

(vi) in any other respect whatsoever as the District may deem necessary or desirable and consistent with the Refunding Law, provided that such modification or amendment does not materially adversely affect the interests of the Owners hereunder.

(c) Promptly after the execution by the District and the Trustee of any Supplemental Indenture, the Trustee shall mail a notice (the form of which shall be furnished to the Trustee by the District), by first class mail postage prepaid, setting forth in general terms the substance of such Supplemental Indenture, to the Owners of the Bonds at the respective addresses shown on the Registration Books, and to the Insurer, if any. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Indenture.

Section 8.02. Effect of Supplemental Indenture. Upon the execution and delivery of any Supplemental Indenture pursuant to this Article, this Indenture shall be deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under this Indenture of the District, the Trustee and all Owners of Bonds Outstanding shall thereafter be determined, exercised and enforced hereunder subject in all respects to such modification and amendment, and all the terms and conditions of any such Supplemental Indenture shall be deemed to be part of the terms and conditions of this Indenture for any and all purposes.

Section 8.03. Endorsement of Bonds; Preparation of New Bonds. Bonds delivered after the execution of any Supplemental Indenture pursuant to this Article may, and if the District so determines shall, bear a notation by endorsement or otherwise in form approved by the District and the Trustee as to any modification or amendment provided for in such Supplemental Indenture, and, in that case, upon demand of the Owner of any Bonds Outstanding at the time of such execution and presentation of his Bonds for the purpose at the Office of the Trustee a suitable notation shall be made on such Bonds. If the Supplemental Indenture shall so provide, new Bonds so modified as to conform, in the opinion of the District and the Trustee, to any modification or amendment contained in such Supplemental Indenture, shall be prepared and executed by the District and authenticated by the Trustee, and, in that case, upon demand of the Owner of any Bond Outstanding at the time of such effective date, and presentation of such Bond for such purpose at the Office of the Trustee, such a new Bond in equal principal amount of the same Series, interest rate and maturity shall be exchanged for such Owner's Bond so surrendered.

Section 8.04. Amendment of Particular Bonds. The provisions of this Article shall not prevent any Bond Owner from accepting any amendment as to the particular Bonds held by such Owner.

ARTICLE IX

EVENTS OF DEFAULT AND REMEDIES

Section 9.01. Events of Default. [FOR DISCUSSION: If any of the following events occur, they shall constitute Events of Default hereunder, namely:

(a) If default shall be made by the District in the due and punctual payment of the interest on any Bond when and as the same shall become due and payable;

(b) If default shall be made by the District in the due and punctual payment of the principal of any Bond when and as the same shall become due and payable;

(c) If default shall be made by the District in the performance of any of the other agreements or covenants required herein to be performed by the District, and such default shall have continued for a period of 30 days after the District shall have been given notice in writing of such default by the Trustee, the Insurer or the Owners of not less than 5% in aggregate principal amount of the Outstanding Bonds, specifying such default and requiring the same to be remedied; provided, however, if in the reasonable opinion of the District the failure stated in the notice can be corrected, but not within such 30 day period, such failure shall not constitute an Event of Default if corrective action is instituted by the District within such 30 day period and the District shall thereafter diligently and in good faith cure such failure in a reasonable period of time; or

(d) If an Event of Bankruptcy shall occur, or if under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody control of the District or of the whole or any substantial part of its property.

Section 9.02. Remedies for Events of Default. If an Event of Default occurs and is continuing, the Trustee may and, upon the written direction of the Owners of not less than 25% in aggregate principal amount of the Outstanding Bonds, shall, with the consent of the Insurer, by written notice to the District, declare immediately due and payable the principal of all Outstanding Bonds and the accrued interest thereon, whereupon the same shall become immediately due and payable without any further action or notice; provided, however, that if at any time after such acceleration and before any judgment or decree for the payment of money with respect thereto has been entered all amounts payable to the Trustee hereunder on the Bonds subject to acceleration under this paragraph (except interest on or principal of the Bonds which are due solely by reason of such acceleration) shall have been paid or provided for by deposit with the Trustee and all existing Events of Default shall have been cured or waived, then the Owners of not less than 25% in aggregate principal amount of the Outstanding Bonds may, with the consent of the Insurer, annul such acceleration and its consequences by written notice to the District and the Trustee, which annulment shall be binding upon the District, the Trustee and all of the Owners, but no such annulment shall extend to or affect any subsequent Event of Default or impair any right or remedy consequent thereon.

Section 9.03. Application of Funds Upon Acceleration. All money in the Bond Fund upon the date of the declaration of acceleration by the Trustee as provided in Section 9.02 hereof

and all amounts thereafter received by the Trustee hereunder shall be applied by the Trustee in the following order--

(a) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Owners and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred in and about the performance of its powers and duties under this Indenture;

(b) To the payment of the principal of and interest then due with respect to the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of this Indenture, as follows:

First: To the payment to the Persons entitled thereto of all installments of interest then due in the order of the maturity of such installments and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the Persons entitled thereto, without any discrimination or preference; and

Second: To the payment to the Persons entitled thereto of the unpaid principal of any Bonds which shall have become due, whether at maturity, with interest on the overdue principal at the rate borne by the respective Bonds on the date of maturity, and, if the amount available shall not be sufficient to pay in full all the Bonds, together with such interest, then to the payment thereof ratably, according to the amounts of principal due on such date to the Persons entitled thereto, without any discrimination or preference.

(c) To the payment of Insurer Expenses.

(d) Any remaining funds shall be transferred by the Trustee to the Bond Fund.

Section 9.04. Power of Trustee to Enforce. All rights of action under this Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of the Owners of such Bonds, subject to the provisions of this Indenture. If one or more of the events of default shall happen and be continuing, the Trustee may with the prior written consent of the Insurer, and upon the written request of the Holders of a majority in principal amount of the Bonds then Outstanding, and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of the Holders of Bonds under this Indenture by a suit in equity or action at law, either for the specific performance of any covenant or agreement contained in this Indenture, or in aid of the execution of any power herein granted, or by mandamus or other appropriate proceeding for the enforcement of any other legal or equitable remedy as the Trustee shall deem most effectual in support of any of its rights and duties under this Indenture.]

Section 9.05. Bond Owners Direction of Proceedings. Anything in this Indenture to the contrary notwithstanding, the Owners of a majority in aggregate principal amount of the Bonds then Outstanding shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, and upon indemnification of the Trustee to its reasonable satisfaction, to direct the method of conducting all remedial proceedings taken by the Trustee hereunder, provided that such direction shall not be otherwise than in accordance with law and the provisions of this Indenture, and that the Trustee shall have the right to decline to follow any such direction which in the opinion of the Trustee would be unjustly prejudicial to Owners not parties to such direction.

Section 9.06. Limitation on Bond Owners' Right to Sue. No Owner of any Bonds shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under this Indenture, the Refunding Law or any other applicable law with respect to such Bonds, unless (a) such Owner shall have given to the Trustee written notice of the occurrence of an Event of Default, (b) the Owners of a majority in aggregate principal amount of the Bonds then Outstanding shall have made written request upon the Trustee to exercise the powers hereinbefore granted or to institute such suit, action or proceeding in its own name, (c) such Owner or said Owners shall have tendered to the Trustee indemnity against the costs, expenses and liabilities to be incurred in compliance with such request, and (d) the Trustee shall have refused or omitted to comply with such request for a period of 60 days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee.

Such notification, request, tender of indemnity and refusal or omission are hereby declared, in every case, to be conditions precedent to the exercise by any Owner of Bonds of any remedy hereunder or under law; it being understood and intended that no one or more Owners of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of this Indenture or the rights of any other Owners of Bonds, or to enforce any right under the Bonds, this Indenture, the Refunding Law or other applicable law with respect to the Bonds, except in the manner herein provided, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner herein provided and for the benefit and protection of all Owners of the Outstanding Bonds, subject to the provisions of this Indenture.

Section 9.07. Absolute Obligation. Nothing in any provision of this Indenture or in the Bonds contained shall affect or impair the obligation of the District, which is absolute and unconditional, to pay the principal of and interest on the Bonds to the respective Owners of the Bonds at their respective dates of maturity, as herein provided, or affect or impair the right of such Owners, which is also absolute and unconditional, to enforce such payment by virtue of the contract embodied in the Bonds.

Section 9.08. Termination of Proceedings. In case any proceedings taken by the Trustee or any one or more Owners on account of any Event of Default shall have been discontinued or abandoned for any reason or shall have been determined adversely to the Trustee or the Owners, then in every such case the District, the Trustee and the Owners, subject to any determination in such proceedings, shall be restored to their former positions and rights hereunder, severally and

respectively, and all rights, remedies, powers and duties of the District, the Trustee and the Owners shall continue as though no such proceedings had been taken.

Section 9.09. Remedies Not Exclusive. No remedy herein conferred upon or reserved to the Trustee or to the Owners of the Bonds is intended to be exclusive of any other remedy or remedies, and each and every such remedy, to the extent permitted by law, shall be cumulative and in addition to any other remedy given hereunder or now or hereafter existing at law or in equity or otherwise.

Section 9.10. No Waiver of Default. No delay or omission of the Trustee or of any Owner to exercise any right or power arising upon the occurrence of any default shall impair any such right or power or shall be construed to be a waiver of any such default or an acquiescence therein, and every power and remedy given by this Indenture to the Trustee or to the Owners may be exercised from time to time and as often as may be deemed expedient.

ARTICLE X

DEFEASANCE

Section 10.01. Discharge of Indenture. If the District shall pay or cause to be paid or there shall otherwise be paid to the Owners of all Outstanding Bonds the principal thereof and the interest thereon at the times and in the manner stipulated herein and therein, then all agreements, covenants and other obligations of the District to the Owners of such Bonds hereunder shall thereupon cease, terminate and become void and be discharged and satisfied. In such event, the Trustee shall execute and deliver to the District all such instruments as may be necessary or desirable to evidence such discharge and satisfaction, and the Trustee shall pay over or deliver to the District all money or securities held by it pursuant hereto which are not required for the payment of the principal of and interest on such Bonds.

Subject to the provisions of the above paragraph, when any of the Bonds shall have been paid and if, at the time of such payment, the District shall have kept, performed and observed all of the covenants and promises in such Bonds and in this Indenture required or contemplated to be kept, performed and observed by the District or on its part on or prior to that time, then this Indenture shall be considered to have been discharged in respect of such Bonds and such Bonds shall cease to be entitled to the pledge, lien and security interest of this Indenture and such pledge, lien and security interest and all covenants, agreements and other obligations of the District hereunder shall cease, terminate become void and be completely discharged as to such Bonds.

Notwithstanding the satisfaction and discharge of this Indenture or the discharge of this Indenture in respect of any Bonds of one or more Series, those provisions of this Indenture relating to the maturity of the Bonds of such Series, interest payments and dates thereof, exchange and transfer of Bonds, replacement of mutilated, destroyed, lost or stolen Bonds, the safekeeping and cancellation of Bonds, non-presentment of Bonds, and the duties of the Trustee in connection with all of the foregoing, shall remain in effect and shall be binding upon the Trustee and the Owners of the Bonds and the Trustee shall continue to be obligated to hold in trust any moneys or investments then held by the Trustee for the payment of the principal of and interest on the Bonds, to pay to the Owners of Bonds the funds so held by the Trustee as and when such payment becomes due.

Section 10.02. Bonds Deemed to Have Been Paid. If moneys shall have been set aside and held by the Trustee for the payment of any Bonds and the interest thereon at the maturity thereof, such Bonds shall be deemed to have been paid within the meaning and with the effect provided in Section 10.01. Any Outstanding Bonds shall prior to the maturity date thereof be deemed to have been paid within the meaning of and with the effect expressed in Section 10.01 if (a) there shall have been deposited with the Trustee either (i) money in an amount which shall be sufficient, or (ii) Federal Securities that are not subject to redemption other than at the option of the holder thereof, the interest on and principal of which when paid will provide money which, together with the money, if any deposited with the Trustee at the same time, shall be sufficient to pay when due the interest to become due on such Bonds on and prior to the maturity date thereof and the principal of such Bonds, which sufficiency shall be verified in a report of an independent firm of nationally recognized certified public accountants, and (b) in the event such Bonds are not by their terms subject to payment within the next succeeding 60 days, the District shall have given

the Trustee in form satisfactory to it irrevocable instructions to mail as soon as practicable, a notice to the owners of such Bonds that the deposit required by clause (a) above has been made with the Trustee and that such Bonds are deemed to have been paid in accordance with this Section and stating the maturity date upon which money is to be available for the payment of the principal of such Bonds.

To accomplish the discharge of liability in respect of the Bonds described in the preceding paragraph, the District shall cause to be delivered (a) a report of an independent firm of nationally recognized certified public accountants or such other accountant as shall be acceptable to the Insurer of such Bonds to be paid or discharged verifying the sufficiency of the escrow established to pay the Bonds in full on the maturity or payment date ("Verification"), (b) an escrow agreement (which shall be acceptable in form and substance to the Insurer of such Bonds to be paid or discharged), and (c) an opinion of nationally recognized bond counsel to the effect that the Bonds are no longer "Outstanding" under this Indenture; each Verification and defeasance opinion shall be acceptable in form and substance to the District and the Insurer of such Bonds to be paid or discharged, and shall be addressed to the District, the Trustee and the Insurer of such Bonds to be paid or discharged. In the event a forward purchase agreement is to be employed in the refunding, such agreement shall be subject to the approval of the Insurer of such Bonds to be paid or discharged and shall be accompanied by such opinions of counsel as may be required by the Insurer of such Bonds to be paid or discharged. The Insurer of such Bonds to be paid or discharged shall be provided with final drafts of the above-referenced documentation not less than five Business Days prior to the funding of the escrow. Bonds shall remain Outstanding hereunder unless and until they are in fact paid and retired or the criteria in this paragraph are met.

Section 10.03. Payment of Bonds After Discharge of Indenture. Notwithstanding any provisions of this Indenture, to the extent permitted by law, any moneys held by the Trustee in trust for the payment of the principal of or interest on, any Bonds and remaining unclaimed for two years after the date of deposit of such moneys, shall be repaid to the District free from the trusts created by this Indenture, and all liability of the Trustee with respect to such moneys shall thereupon cease; provided, however, that before the repayment of such moneys to the District as aforesaid, the Trustee may (at the cost of the District) first mail, by first class mail postage prepaid, to the Owners of Bonds which have not yet been paid, at the respective addresses shown on the Registration Books, a notice, in such form as may be deemed appropriate by the Trustee with respect to the Bonds so payable and not presented and with respect to the provisions relating to the repayment to the District of the moneys held for the payment thereof.

ARTICLE XI

INSURANCE POLICY PROVISIONS

Section 11.01. Series 2024A Insurer to Be Deemed Owner; Rights of the Series 2024A Insurer; Payments by the Series 2024A Insurer; Notices. [EXEMPLAR PROVISIONS SUBJECT TO REVIEW BY SERIES 2024A INSURER] (a) Notwithstanding any provision of this Indenture to the contrary, so long as the Series 2024A Insurer is not in default in its payment obligations under the Series 2024A Insurance Policy, the provisions of this [Article XI] shall govern and the Series 2024A Insurer shall at all times be deemed the sole and exclusive Owner of the Outstanding Insured 2024A Bonds for the purposes of all approvals, consents, waivers, institution of any action, and the direction of all remedies, including but not limited to approval of or consent to any amendment of or supplement to this Indenture which requires (i) the consent or approval of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding pursuant to this Indenture, or (ii) the consent or approval of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding pursuant to this Indenture; provided, however, that the Series 2024A Insurer shall not be deemed to be the sole and exclusive Owner of the Outstanding Insured 2024A Bonds with respect to any amendment or supplement to this Indenture which seeks to amend or supplement this Indenture for the purposes set forth in clauses (i) or (ii) of Section 8.01(a) hereof, and provided, further, that the Series 2024A Insurer shall not be deemed the sole and exclusive Owner of the Outstanding Insured 2024A Bonds with respect to any amendment or supplement to this Indenture, and shall not have the right to direct or consent to District, Trustee or Owner action as provided herein, if:

(i) the Series 2024A Insurer shall be in payment default under the Series 2024A Insurance Policy;

(ii) any material provision of the Series 2024A Insurance Policy shall be held to be invalid by a final, non-appealable order of a court of competent jurisdiction, or the validity or enforceability thereof shall be contested by the Series 2024A Insurer; or

(iii) a proceeding shall have been instituted in a court having jurisdiction in the premises seeking an order for relief, rehabilitation, reorganization, conservation, liquidation or dissolution in respect of the Series 2024A Insurer under Article 16 of the Insurance Law of the State of New York or any successor provision thereto and such proceeding is not terminated for a period of 90 consecutive days or such court enters an order granting the relief sought in such proceeding.

(b) To the extent that the Series 2024A Insurer makes payment of any principal of or interest on a Insured 2024A Bond, it shall be fully subrogated to all of the Owner's rights thereunder in accordance with the terms of the Series 2024A Insurance Policy to the extent of such payment, including the Owner's rights to payment thereof.

(c) In the event that the principal of or interest on a Insured 2024A Bond shall be paid by the Series 2024A Insurer pursuant to the terms of the Series 2024A Insurance Policy (i) such Insured 2024A Bond shall continue to be "outstanding" under this Indenture, and (ii) the Series

2024A Insurer shall be fully subrogated to all of the rights of the Owner thereof in accordance with the terms and conditions of subsection (b) of this Section and the Series 2024A Insurance Policy.

(d) This Indenture shall not be discharged unless and until all amounts due to the Series 2024A Insurer have been paid in full or duly provided for.

(e) The rights granted under this Indenture to the Series 2024A Insurer to request, consent to or direct any action are rights granted to the Series 2024A Insurer in consideration of its issuance of the Series 2024A Insurance Policy. Any exercise by the Series 2024A Insurer of such rights is merely an exercise of the Series 2024A Insurer's contractual rights and shall not be construed or deemed to be taken for the benefit of or on behalf of the Owners, nor does such action evidence any position of the Series 2024A Insurer, positive or negative, as to whether Owner consent is required in addition to consent of the Series 2024A Insurer.

(f) Notwithstanding anything to the contrary otherwise set forth in this Indenture, and to the extent permitted by law, in the event amounts paid under the Series 2024A Insurance Policy are applied to claims for payment of principal of or interest on the Insured 2024A Bonds, interest on the principal of and interest on such Insured 2024A Bonds shall accrue and be payable from the date of such payment at the 2024A Default Rate. [The term "Series 2024A Default Rate" means the lesser of (a) the greater of (i) the per annum rate of interest, publicly announced from time to time as the prime rate reported in The Wall Street Journal (or the average prime rate if a high and a low prime rate are therein reported) ("Prime Rate") plus [3]%, and (ii) the then applicable rate of interest on the Bonds and (b) the maximum rate permissible under applicable usury or similar laws limiting interest rates. The Default Rate shall be computed on the basis of the actual number of days elapsed over a year of 360 days.]

(g) Any amendment, supplement, modification to, or waiver of, the terms of this Indenture that requires the consent of Owners or adversely affects the rights and interests of the Bond Insurer shall be subject to the prior written consent of the Bond Insurer. Copies of any modification, amendment or supplement to this Indenture shall be sent to Moody's and S&P at least ten days prior to the effective date thereof.

(h) [Each of the District and the Trustee covenant and agree to take such action as is necessary from time to time to preserve the priority of the pledge of, lien on and security interest in amounts held in the Bond Fund under applicable law.]

(i) In determining whether any amendment, consent or other action to be taken, or any failure to act, under this Indenture would adversely affect the security for the Bonds or the rights of the Owners, the Trustee shall consider the effect of any such amendment, consent, action or inaction as if there were no Series 2024A Insurance Policy.

Section 11.02. Deposits to Series 2024A Policy Payments Account; Payments Under the Series 2024A Insurance Policy. [EXEMPLAR PROVISIONS SUBJECT TO REVIEW BY SERIES 2024A INSURER] (a) So long as the Series 2024A Insurance Policy shall be in full force and effect, the District and the Trustee hereby agree to comply with the provisions of this Section.

(b) If, on the third Business Day prior to the related scheduled Interest Payment Date there is not on deposit with the Trustee, after making all transfers and deposits required hereunder, moneys sufficient to pay the principal of and interest on the Series 2024A Bonds due on such Interest Payment Date, the Trustee shall give notice to the Series 2024A Insurer and to its designated agent (if any) (the “Series 2024A Insurer’s Fiscal Agent”) by telephone or telecopy of the amount of such deficiency by 12:00 noon, New York City time, on such Business Day. If, on the second Business Day prior to the related Interest Payment Date, there continues to be a deficiency in the amount available to pay the principal of and interest on the Series 2024A Bonds due on such Interest Payment Date, the Trustee shall make a claim under the Series 2024A Insurance Policy and give notice to the Series 2024A Insurer and the Series 2024A Insurer’s Fiscal Agent (if any) by telephone of the amount of such deficiency, and the allocation of such deficiency between the amount required to pay interest on the Insured 2024A Bonds and the amount required to pay principal of the Insured 2024A Bonds, confirmed in writing to the Series 2024A Insurer and the Series 2024A Insurer’s Fiscal Agent by 12:00 noon, New York City time, on such second Business Day by filling in the form of Notice of Claim and Certificate delivered with the Series 2024A Insurance Policy.

(c) The Trustee shall designate any portion of payment of principal on Insured 2024A Bonds paid by the Series 2024A Insurer, whether by virtue of maturity or other advancement of maturity, on its books as a reduction in the principal amount of Insured 2024A Bonds registered to the then current Owner, whether DTC or its nominee or otherwise, and shall issue a replacement Bond to the Series 2024A Insurer, registered in the name of the Series 2024A Insurer, in a principal amount equal to the amount of principal so paid (without regard to Authorized Denominations); provided, however, that the Trustee’s failure to so designate any payment or issue any replacement Bond shall have no effect on the amount of principal or interest payable by the District on any Insured 2024A Bond or the subrogation rights of the Series 2024A Insurer.

(d) Upon payment of a claim under the Series 2024A Insurance Policy, the Trustee shall establish a separate special purpose trust account for the benefit of Owners of Insured 2024A Bonds referred to herein as the “Series 2024A Policy Payments Account” and over which the Trustee shall have exclusive control and sole right of withdrawal. The Trustee shall receive any amount paid under the Series 2024A Insurance Policy in trust on behalf of Owners of Insured 2024A Bonds and shall deposit any such amount in the Series 2024A Policy Payments Account and distribute such amount only for purposes of making the payments for which a claim was made. Such amounts shall be disbursed by the Trustee to Owners of Insured 2024A Bonds in the same manner as principal and interest payments are to be made with respect to the Insured 2024A Bonds under the provisions hereof regarding payment of Insured 2024A Bonds. It shall not be necessary for such payments to be made by checks or wire transfers separate from the check or wire transfer used to pay debt service with other funds available to make such payments. Funds held in the Series 2024A Policy Payments Account shall not be invested by the Trustee and may not be applied to satisfy any costs, expenses or liabilities of the Trustee. Any funds remaining in the Series 2024A Policy Payments Account following an Interest Payment Date shall promptly be remitted to the Series 2024A Insurer.

(e) The Trustee shall keep a complete and accurate record of all funds deposited by the Series 2024A Insurer into the Series 2024A Policy Payments Account and the allocation of such funds to payment of interest on and principal paid in respect of any Insured 2024A Bond. The

Series 2024A Insurer shall have the right to inspect such records at reasonable times upon reasonable notice to the Trustee.

(f) The District shall, to the extent permitted by law pay or reimburse the Series 2024A Insurer any and all Series 2024A Insurer Expenses.

(g) The Series 2024A Insurer reserves the right to charge a reasonable fee as a condition to executing any amendment, waiver or consent proposed in respect of this Indenture.

(h) The Series 2024A Insurer shall be entitled to pay principal of or interest on the Insured 2024A Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer (as such terms are defined in the Series 2024A Insurance Policy) and any amounts due on the Insured 2024A Bonds as a result of acceleration of the maturity thereof in accordance with this Indenture, whether or not the Series 2024A Insurer has received a Notice of Nonpayment (as such term is defined in the Series 2024A Insurance Policy) or a claim upon the Series 2024A Insurance Policy.

Section 11.03. Reporting Requirements. [EXEMPLAR PROVISIONS SUBJECT TO REVIEW BY SERIES 2024A INSURER] The Series 2024A Insurer shall be provided with the following information:

(a) Annual audited financial statements of the District on or before the later of (i) [150] days after the end of the District's Fiscal Year and (ii) 30 days after the statements become available (in each case together with a certification of the District that it is not aware of any default or Event of Default under this Indenture) and the District's annual budget within 30 days after the approval thereof, together with such other information, data or reports as the Series 2024A Insurer reasonably request from time to time;

(b) Notice of any default known to the Trustee or the District within five Business Days after knowledge thereof;

(c) Prior notice of the advance refunding of any of the Insured 2024A Bonds, including the principal amount, maturities and CUSIP numbers thereof;

(d) Notice of the resignation or removal of the Trustee and the appointment of, and acceptance of duties by, any successor thereto;

(e) Notice of the commencement of any proceeding by or against the District commenced under the United States Bankruptcy Code or any other applicable bankruptcy, insolvency, receivership, rehabilitation or similar law (an "Insolvency Proceeding");

(f) Notice of the making of any claim in connection with any Insolvency Proceeding seeking the avoidance as a preferential transfer of any payment of principal of, or interest on, the Series 2024A Bonds;

(g) A full original transcript of all proceedings relating to the execution of any amendment or supplement to this Indenture or the respective Continuing Disclosure Certificate (Series 2024A Bonds); and

(h) All reports, notices and correspondence to be delivered under the terms of this Indenture or the respective Continuing Disclosure Certificate (Series 2024A Bonds).

ARTICLE XII

MISCELLANEOUS

Section 12.01. Benefits of the Indenture Limited; Third-Party Beneficiary. Nothing contained herein, expressed or implied, is intended or shall be construed to confer upon, or to give or grant to any Person or entity other than the Trustee, the District, the Owners and the Insurer any right and remedy or claim under or by reason hereof, and any covenant, condition or stipulation hereof, and all covenants, stipulations, promises and agreements contained in this Indenture by and on behalf of the District shall be for the sole and exclusive benefit of the Trustee, the Owners and the Insurer. [The Insurer shall be a third-party beneficiary of this Indenture to the extent deemed as Owner of any Outstanding Insured Bonds.]

Section 12.02. Successor is Deemed Included in All References to Predecessor. Whenever herein either the District or any officer or employee thereof or the Trustee is named or referred to, such reference shall be deemed to include the successor or assigns thereof, and all agreements and covenants required hereby to be performed by or on behalf of the District or any officer or employee thereof or the Trustee shall bind and inure to the benefit of the respective successors thereof whether so expressed or not.

Section 12.03. Destruction of Bonds. Whenever in this Indenture provision is made for the cancellation by the Trustee and the delivery to the District of any Bonds, the Trustee shall, in lieu of such cancellation and delivery, destroy such Bonds.

Section 12.04. Waiver of Notice; Requirement of Mailed Notice. Whenever in this Indenture the giving of notice by mail or otherwise is required, the giving of such notice may be waived in writing by the Person entitled to receive such notice and in any such case the giving or receipt of such notice shall not be a condition precedent to the validity of any action taken in reliance upon such waiver. Whenever in this Indenture any notice shall be required to be given by mail, such requirement shall be deemed given and satisfied 72 hours after such notice is deposited with the United States mail, postage prepaid, by first class mail.

Section 12.05. Severability of Invalid Provisions. If any one or more of the provisions contained in this Indenture or in the Bonds shall for any reason be held to be invalid, illegal or unenforceable in any respect, then such provision or provisions shall be deemed severable from the remaining provisions contained in this Indenture and such invalidity, illegality or unenforceability shall not affect any other provision of this Indenture, and this Indenture shall be construed as if such invalid or illegal or unenforceable provision had never been contained herein. The District hereby declares that it would have entered into this Indenture and each and every other Section, subsection, paragraph, sentence, clause or phrase hereof and authorized the issuance of the Bonds pursuant thereto irrespective of the fact that any one or more Sections, subsections, paragraphs, sentences, clauses or phrases of this Indenture may be held illegal, invalid or unenforceable.

Section 12.06. Notices. Any written notice, statement, demand, consent, approval, authorization, offer, designation, request or other communication to be given hereunder shall be

given to the party entitled thereto at its address set forth below, or at such other address as such party may provide to the other parties in writing from time to time, namely:

If to the District:

Los Angeles Unified School District
333 S. Beaudry Avenue, 26th Floor
Los Angeles, California
Attention: Chief Business Officer

If to the Trustee:

[Trustee]

Attention: Corporate Trust Department

If to the Lender:

[Lender]

Attention: Managing Director – Surveillance
Re: Policy No. _____

[If to the Series 2024A Insurer:]

[Series 2024A Insurer]

Attention: Managing Director – Surveillance
Re: Policy No. _____

Each such notice, statement, demand, consent, approval, authorization, offer, designation, request or other communication hereunder shall be deemed delivered to the party to whom it is addressed (a) if personally served or delivered, upon delivery, (b) if given by electronic communication, whether by telex, telegram or telecopier, upon the sender's receipt of an appropriate answerback or other written acknowledgment, (c) if given by mail, postage prepaid, by first class mail, 72 hours after such notice is deposited with the United States mail, (d) if given by overnight courier, with courier charges prepaid, 24 hours after delivery to said overnight courier, or (e) if given by any other means, upon delivery at the address specified in this Section.

[In each case in which notice or other communication refers to an event of default or with respect to which failure on the part of the Series 2024A Insurer to respond shall be deemed to constitute consent or acceptance, then a copy of such notice or other communication shall also be

sent to the attention of the General Counsel of the Series 2024A Insurer and shall be marked to indicate “URGENT MATERIAL ENCLOSED.”]

Section 12.07. Evidence of Rights of Bond Owners. Any request, consent or other instrument required or permitted by this Indenture to be signed and executed by Owners may be in any number of concurrent instruments of substantially similar tenor and shall be signed or executed by such Owners in Person or by an agent or agents duly appointed in writing. Proof of the execution of any such request, consent or other instrument or of a writing appointing any such agent, or of the holding by any Person of Bonds transferable by delivery, shall be sufficient for any purpose of this Indenture and shall be conclusive in favor of the Trustee and the District if made in the manner provided in this Section.

The fact and date of the execution by any Person of any such request, consent or other instrument or writing may be proved by the certificate of any notary public or other officer of any jurisdiction, authorized by the laws thereof to take acknowledgments of deeds, certifying that the Person signing such request, consent or other instrument acknowledged to him the execution thereof, or by an affidavit of a witness of such execution duly sworn to before such notary public or other officer.

The ownership of Bonds shall be proved by the Registration Books.

Any request, consent, or other instrument or writing of the Owner of any Bond shall bind every future Owner of the same Bond and the Owner of every Bond issued in exchange therefor or in lieu thereof, in respect of anything done or suffered to be done by the Trustee or the District in accordance therewith or reliance thereon.

Section 12.08. Disqualified Bonds. In determining whether the Owners of the requisite aggregate principal amount of Bonds have concurred in any demand, request, direction, consent or waiver under this Indenture, Bonds which are known by the Trustee to be owned or held by or for the account of the District, or by any other obligor on the Bonds, or by any Person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the District or any other obligor on the Bonds, shall be disregarded and deemed not to be Outstanding for the purpose of any such determination.

Section 12.09. Money Held for Particular Bonds. The money held by the Trustee for the payment of the interest or principal due on any date with respect to particular Bonds shall, on and after such date and pending such payment, be set aside on its books and held in trust by it for the Owners of the Bonds entitled thereto, subject, however, to the provisions of Section 10.03 hereof but without any liability for interest thereon.

Section 12.10. Funds and Accounts. Any fund or account required by this Indenture to be established and maintained by the Trustee may be established and maintained in the accounting records of the Trustee, either as a fund or an account, and may, for the purposes of such records, any audits thereof and any reports or statements with respect thereto, be treated either as a fund or as an account; but all such records with respect to all such funds and accounts shall at all times be maintained in accordance with prudent corporate trust industry standards to the extent practicable, and with due regard for the requirements hereof and for the protection of the security

of the Bonds and the rights of every Owner thereof. The Trustee may establish any such additional funds or accounts as it deems necessary to perform its obligations hereunder.

Section 12.11. Payment on Non-Business Days. In the event any payment is required to be made hereunder on a day which is not a Business Day, such payment shall be made on the next succeeding Business Day with the same effect as if made on such non-Business Day.

Section 12.12. Waiver of Personal Liability. No member, officer, agent or employee of the District shall be individually or personally liable for the payment of the principal of or interest on the Bonds or be subject to any personal liability or accountability by reason of the issuance thereof; but nothing herein contained shall relieve any such officer, agent or employee from the performance of any official duty provided by law or by this Indenture.

Section 12.13. Interpretation. Unless the context otherwise indicates, words expressed in the singular shall include the plural and vice versa and the use of the neuter, masculine, or feminine gender is for convenience only and shall be deemed to include the neuter, masculine or feminine gender, as appropriate.

Headings of articles and sections herein and the table of contents hereof are solely for convenience of reference, do not constitute a part hereof and shall not affect the meaning, construction or effect hereof.

All references herein to “Articles,” “Sections” and other subdivisions are to the corresponding Articles, Sections or subdivisions of this Indenture; the words “herein,” “hereof,” “hereby,” “hereunder” and other words of similar import refer to this Indenture as a whole and not to any particular Article, Section or subdivision hereof.

Section 12.14. Execution in Several Counterparts. This Indenture may be executed in any number of counterparts and each of such counterparts shall for all purposes be deemed to be an original, and all such counterparts shall together constitute but one and the same instrument.

Section 12.15. Governing Law. This Indenture shall be governed by and construed in accordance with the laws of the State.

IN WITNESS WHEREOF, the District has caused this Indenture to be signed in its name by one of its duly authorized officers, and the Trustee, in token of its acceptance of the trusts created hereunder, has caused this Indenture to be signed in its name by one of its duly authorized officers, all as of the day and year first above written.

**LOS ANGELES UNIFIED SCHOOL
DISTRICT**

By: _____
[Chief Business Officer]

[TRUSTEE], as Trustee

By: _____
Authorized Officer

APPENDIX A
FORM OF BOND

No. _____ \$ _____

LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BOND, SERIES 2024A

INTEREST RATE	MATURITY DATE	DATED DATE	CUSIP
_____%	[October] 1, 20__	_____, 2024	_____

REGISTERED OWNER:

PRINCIPAL AMOUNT:

The Los Angeles Unified School District (the “District”), for value received, hereby promises to pay to the Registered Owner identified above or registered assigns (the “Registered Owner”), on the Maturity Date identified above, the Principal Amount identified above in lawful money of the United States of America; and to pay interest thereon at the Rate of Interest identified above in like lawful money from the date hereof, payable semiannually on [April] 1 and [October] 1 in each year, commencing _____ 1, 20__ (the “Interest Payment Dates”), until payment of such Principal Amount in full. This Bond is issued pursuant to an Indenture, dated as of _____ 1, 2024 (the “Indenture”), by and between the District and [Trustee], as trustee. Capitalized undefined terms used herein shall have the meanings ascribed thereto in the Indenture.

This Bond shall bear interest from the Interest Payment Date next preceding the date of authentication of this Bond (unless this Bond is authenticated on or before an Interest Payment Date and after the fifteenth calendar day of the month preceding such Interest Payment Date, whether or not such day is a business day, in which event it shall bear interest from such Interest Payment Date, or unless this Bond is authenticated on or prior to _____ 15, 20__, in which event it shall bear interest from the Dated Date identified above; provided, however, that if, at the time of authentication of this Bond, interest is in default on this Bond, this Bond shall bear interest from the Interest Payment Date to which interest hereon has previously been paid or duly provided for). The Principal Amount hereof is payable upon surrender hereof upon maturity at the principal corporate trust office of [Trustee], as trustee, or any successor trustee under the Indenture (the “Trustee”), in [_____], California; provided, however, that for purposes of payment, exchange, transfer, surrender and cancellation of Bonds, such term means the principal corporate trust office of the Trustee in [_____], California, or such other office as may be specified to the District by the Trustee in writing (the “Office of the Trustee”). Except as otherwise provided in the Letter of Representations, interest hereon is payable by check of the Trustee, mailed by first class mail on each Interest Payment Date to the Registered Owner hereof at the address of the Registered Owner as it appears on the Registration Books of the Trustee as of the close of business on the fifteenth calendar day of the month preceding such Interest Payment Date.

This Bond is one of a duly authorized issue of bonds of the District designated as the “[Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A]” (the “Series 2024A Bonds”) in the aggregate principal amount of \$_____ all of which Bonds are of like tenor and date (except for such variations as may be required to designate varying numbers, denominations, maturities or interest rates), and is issued under and pursuant to the provisions of Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code and all laws amendatory thereof or supplemental thereto (the “Refunding Law”) and under and pursuant to the provisions of the Indenture (copies of which are on file at the Office of the Trustee).

The Series 2024A Bonds are being issued for the purpose of satisfying the District’s payment obligations under the [Series 2024A Judgments][Series 2024A Notes] as defined in the Indenture. The Series 2024A Bonds are obligations imposed by law payable from funds to be appropriated by the District. Reference is hereby made to the Refunding Law and to the Indenture and any and all amendments thereof for a description of the terms on which the Series 2024A Bonds are issued, for the rights of the Owners of the Series 2024A Bonds, for the security for payment of the Series 2024A Bonds, for the remedies upon default and limitations thereon and for the provisions for the amendment of the Indenture (with or without consent of the Owners of the Series 2024A Bonds); and all the terms of the Indenture are hereby incorporated herein and constitute a contract between the District and the Registered Owner of this Series 2024A Bond, to all the provisions of which the Registered Owner of this Series 2024A Bond, by acceptance hereof, agrees and consents.

The Indenture provides for the issuance of additional bonds (the “Additional Bonds”) payable on a parity with the Series 2024A Bonds (the Series 2024A Bonds and any such Additional Bonds being collectively referred to as the “Bonds”).

The obligations of the District under the Bonds, including the obligation to make all payments of the interest on and the principal of the Bonds when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Bonds nor the obligation of the District to make payment of the interest on or the principal of the Bonds constitutes an indebtedness of the District or the State of California, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction.

[The Series 2024A Bonds are subject to redemption prior to maturity as provided in the Indenture.]

If an Event of Default, as that term is defined in the Indenture, shall occur, the principal of all Bonds may be declared due and payable upon the conditions, in the manner and with the effect provided in the Indenture; provided, that the Indenture provides that in certain events such declaration and its consequences may be rescinded under the circumstances as provided therein.

The Bonds are issuable as fully registered Bonds without coupons in denominations of \$5,000 or any integral multiple thereof. Subject to the limitations and upon payment of the

charges, if any, provided in the Indenture, Bonds may be exchanged at the Office of the Trustee for a new Bond or Bonds of the same Series and maturity in a like aggregate principal amount, in any Authorized Denomination.

This Bond is transferable by the Registered Owner hereof, in person or by his attorney duly authorized in writing, at the Office of the Trustee, but only in the manner, subject to the limitations and upon payment of the charges provided in the Indenture, and upon surrender and cancellation of this Bond. Upon such transfer a new fully registered Bond or Bonds, of the same Series and maturity in an Authorized Denomination or denominations, for the same aggregate principal amount will be issued to the transferee in exchange herefor. The District and the Trustee may treat the Registered Owner hereof as the absolute owner hereof for all purposes, and the District and the Trustee shall not be affected by any notice to the contrary.

The Indenture and the rights and obligations of the District, the owners of the Bonds and the Trustee may be modified or amended from time to time and at any time in the manner, to the extent, and upon the terms provided in the Indenture; provided that no such modification or amendment shall (a) extend the fixed maturity of any Bonds, or reduce the amount of principal thereof, or reduce the interest rate borne thereby, or extend or accelerate the time of payment thereof, without the consent of the owner of each Bond so affected, or (b) reduce the percentage of Bonds the consent of the owners of which is required to effect any such amendment or modification, without the consent of the owners of all outstanding Bonds.

The Indenture contains provisions permitting the District to make provision for the payment of interest on, and the principal of any of the Bond so that such Bonds shall no longer be deemed to be outstanding under the terms of the Indenture.

This Bond shall not be entitled to any benefit, protection or security under the Indenture or become valid or obligatory for any purpose until the certificate of authentication and registration hereon endorsed shall have been executed and dated by an authorized signatory of the Trustee.

Unless this Bond is presented by an authorized representative of The Depository Trust Company, a New York corporation ("DTC"), to the Trustee for registration of transfer, exchange, or payment, and any Bond issued is registered in the name of Cede & Co. or in such other name as is requested by an authorized representative of DTC (and any payment is made to Cede & Co. or to such other entity as is requested by an authorized representative of DTC), ANY TRANSFER, PLEDGE, OR OTHER USE HEREOF FOR VALUE OR OTHERWISE BY OR TO ANY PERSON IS WRONGFUL inasmuch as the registered owner hereof Cede & Co., has an interest herein.

It is hereby certified that all acts, conditions and things required by law to exist, to have happened and to have been performed precedent to and in the issuance of the Bonds do exist, have happened and have been performed in due time, form and manner as required by law.

IN WITNESS WHEREOF, the Los Angeles Unified School District has caused this Bond to be executed in its name and on its behalf by the signature of the [Chair of the Board of Education of the District][Chief Business Officer of the District], and to be countersigned by the manual or

facsimile signature of the Executive Officer of the Board of Education of the District, who has impressed the seal of the District hereon, all as of the Dated Date identified above.

**LOS ANGELES UNIFIED SCHOOL
DISTRICT**

By: _____
[Chief Business Officer]

[SEAL]

Countersigned:

[Executive Officer to the Board of Education]

CERTIFICATE OF AUTHENTICATION

This is one of the Bonds described in the within-mentioned Indenture and registered on the Registration Books.

Date: _____

[TRUSTEE], as Trustee

By: _____
Authorized Officer

STATEMENT OF INSURANCE

[Bond Insurer] (“[BOND INSURER]”), New York, New York, has delivered its municipal bond insurance policy with respect to the scheduled payments due of principal of and interest on this Bond to [Trustee], [_____], California, or its successor, as trustee for the Bonds (the “Trustee”). Said Policy is on file and available for inspection at the Office of the Trustee and a copy thereof may be obtained from [BOND INSURER] or the Trustee.]

ASSIGNMENT

For value received the undersigned hereby sells, assigns and transfers unto _____ whose address and social security or other tax identifying number is _____, the within-mentioned Bond and hereby irrevocably constitute(s) and appoint(s) _____ attorney, to transfer the same on the registration books of the Trustee with full power of substitution in the premises.

Dated: _____

Signature Guaranteed:

Note: Signature(s) must be guaranteed by an eligible guarantor.

Note: The signature(s) on this Assignment must correspond with the name(s) as written on the face of the within Bond in every particular without alteration or enlargement or any change whatsoever.

APPENDIX B

[SERIES 2024A JUDGMENT OBLIGEEES AND/OR SERIES 2024A NOTES]

APPENDIX C
FORM OF SUPPLEMENTAL INDENTURE

_____ **SUPPLEMENTAL INDENTURE**

by and between

LOS ANGELES UNIFIED SCHOOL DISTRICT

and

**[TRUSTEE],
AS TRUSTEE**

Dated as of _____ 1, 20__

**Relating to
\$ _____
Los Angeles Unified School District
Judgment Obligation Bonds, Series _____**

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_____ **SUPPLEMENTAL INDENTURE**

THIS _____ SUPPLEMENTAL INDENTURE (this “_____ Supplemental Indenture”), dated as of _____ 1, 2024, by and between the LOS ANGELES UNIFIED SCHOOL DISTRICT, a political subdivision of the State of California (the “**District**”), and [TRUSTEE], a national banking association organized and existing under the laws of the United States of America, as trustee (the “**Trustee**”),

W I T N E S S E T H:

WHEREAS, for the purpose of refunding the District’s obligations to the [Series _____ Judgment Obligees] [the Lender or other holders of Series _____ Notes] [and/or] [the Owners of the Series _____ Prior Bonds] specified in Appendix C-B to this _____ Supplemental Indenture, the District has determined to issue its Los Angeles Unified School District Judgment Obligation Bonds, Series _____ (the “**Series _____ Bonds**”), in the aggregate principal amount of \$ _____;

WHEREAS, the Indenture, dated as of _____ 1, 2024 (the “Original Indenture” and, together with all supplemental indentures thereto, the “Indenture”), by and between the District and the Trustee, provides that, subject to the conditions set forth therein, in addition to the Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A, issued in the aggregate principal amount of \$ _____, the District and the Trustee may by execution of a Supplemental Indenture, without the consent of the Owners of the Bonds, provide for the issuance of Additional Bonds; and

WHEREAS, the Trustee and the District are entering into this _____ Supplemental Indenture in order to provide for the issuance of the Series _____ Bonds, to establish and declare the conditions and terms upon which the Series _____ Bonds are to be issued and to secure the payment of the interest thereon and the principal thereof, and to expressly identify the [Series _____ Judgment Obligees] [the Lender or other holders of Series _____ Notes] [and/or] [the Owners of the Series _____ Prior Bonds] specified in Appendix C-B to this _____ Supplemental Indenture to be refunded; and

WHEREAS, the District is obligated to pay the [Series _____ Judgment Obligees] [the Series _____ Lender][the holders of Series _____ Notes][the Owners of the Series _____ Prior Bonds] specified in Appendix C-B to this _____ Supplemental Indenture to be refunded; and

[**WHEREAS**, the District's obligation to pay is specified in the Series _____ Revolving Credit Agreement pursuant to which the Series _____ Notes were issued by the District in satisfaction of the Series _____ Judgments and payments to the Series _____ Judgment Obligees specified in Appendix C-B to this _____ Supplemental Indenture, all to be refunded as provided in this _____ Supplemental Indenture; and]

WHEREAS, the District has determined that all acts and proceedings required by law necessary to make the Series _____ Bonds, when executed by the District and authenticated and delivered by the Trustee hereunder, valid, binding and legal obligations of the District payable in accordance with their terms, and to constitute this _____ Supplemental Indenture a valid and binding agreement of the parties hereto for the uses and purposes herein set forth in accordance

with its terms, have been done and taken, and the execution and delivery of this _____ Supplemental Indenture has been in all respects duly authorized;

NOW, THEREFORE, in consideration of the premises and of the mutual agreements and covenants contained herein and for other valuable consideration, the parties do hereby agree as follows:

PART 1

PARTICULAR AMENDMENTS

Part 1.1 **Amendments to Section 1.01.** (a) Section 1.01 of the Indenture is hereby amended by modifying the following terms:

“Closing Date” means, as appropriate to the context, _____, 2024 as the date of closing and delivery of the Series 2024A Bonds, the Series _____ Closing Date and/or the closing date(s) for any series of Additional Bonds.

“Indenture” means the Indenture, dated as of _____ 1, 2024, by and between the District, and [Trustee], as originally executed or as it may from time to time be amended or supplemented by any Supplemental Indenture including this _____ Supplemental Indenture.

“Interest Payment Date” means, (a) with respect to the Series 2024A Bonds, means [April] 1 and [October] 1 of each year, commencing, _____ 1, 20__, so long as any Series 2024A Bonds remain Outstanding, and (b) with respect to the Series _____ Bonds, means [April] 1 and [October] 1 of each year, commencing, _____ 1, 20__, so long as any Series _____ Bonds remain Outstanding.

“Original Purchaser” means (a) with respect to the Series 2024A Bonds, _____, the original purchasers of the Series 2024A Bonds from the District, (b) with respect to the Series _____ Bonds, _____, the original purchasers of the Series _____ Bonds from the District.

“Rebate Requirement” has the meaning ascribed thereto in the Tax Certificate (Series 2024A Bonds) or the Tax Certificate (Series _____ Bonds), as applicable.

(b) Section 1.01 of the Indenture is hereby amended by adding thereto the following definitions:

“Continuing Disclosure Certificate (Series _____ Bonds)” means the Continuing Disclosure Certificate, dated the Series _____ Closing Date, of the District, relating to the Series _____ Bonds, as originally executed and as it may from time to time be amended in accordance with the provisions thereof.

“Participating Underwriter (Series _____ Bonds)” has the meaning ascribed thereto in the Continuing Disclosure Certificate (Series _____ Bonds).

“Series _____ Closing Date” means the date upon which the Series _____ Bonds are delivered to the Original Purchaser thereof, being _____, 20__.

“Series _____ Bonds” means the Los Angeles Unified School District Judgment Obligation Bond, Series _____, issued under the Indenture including as specified in this _____ Supplemental Indenture.

[“Series _____ Judgment Obligees” means the Judgment Obligees specified in Appendix C-B to this _____ Supplemental Indenture.]

[“Series _____ Judgments” means the Judgments specified in Appendix C-B to this _____ Supplemental Indenture.]

[“Series _____ Lender” means _____]

[“Series _____ Note Resolution” means the resolution of the District providing for the issuance of notes as a temporary borrowing by the District for the purpose of refunding one or more Judgments as specified therein.]

[“Series _____ Notes” means the notes issued to refund one or more Judgments as specified in Appendix C-B to this _____ Supplemental Indenture as promissory notes as provided in the Series _____ Revolving Credit Agreement and/or the Notes issued as a temporary borrowing pursuant to the Series _____ Note Resolution.]

[“Series _____ Prior Bonds” means the Los Angeles Unified School District Judgment Obligation Bond, Series _____, issued under the Indenture including as specified in the _____ Supplemental Indenture, dated as of _____ 1, 20__, by and between the District and the Trustee.]

“Series _____ Revolving Credit Agreement” means the Revolving Credit Agreement, dated as of _____ 1, 2024, together with any amendments or supplements thereto, between the District and the Series _____ Lender, or its successor, as lender.

“Tax Certificate (Series _____ Bonds)” means the Tax Certificate executed by the District at the time of issuance of the Series _____ Bonds relating to the requirements of Section 148 of the Code, as originally executed and as it may from time to time be amended in accordance with the provisions thereof.

Part 1.2 Amendment to Section 3.04. Section 3.04 of the Indenture is hereby supplemented to add an additional subsection ([]) thereto to read as follows:

([]) On the Series _____ Closing Date, the District shall deliver to the Trustee a Written Request of the District stating (1) that the Board has duly authorized the refunding of the [Series _____ Judgments] [Series _____ Notes] [and/or] [Series _____ Prior Bonds] with net proceeds of the Series _____ Bonds, (2) that the amount in the Series _____ Refunding Account shall be paid directly, or through the Third-Party Administrator, to the [Series _____ Judgment Obligees] [the respective Lender or other holders of Series _____ Notes] [and/or]

Owners of the [Series _____ Prior Bonds], and (3) instructions as to how such payment or payments are to be made directly or through the Third-Party Administrator, to [the Series _____ Judgment Obligees] [the Lenders or other holders of Series _____ Notes] [and/or] [Owners of the [Series _____ Prior Bonds], including the names and addresses of [the Series _____ Judgment Obligees] [the Lenders or other holders of Series _____ Notes] [and/or] [Owners of the [Series _____ Prior Bonds] to be so paid and, if applicable, the bank account number or numbers to which such payment or payments are to be made. The Trustee shall make such payment or payments on the Series _____ Closing Date and, after such payment or payments have been made, the Series _____ Refunding Account shall be closed.

PART 2

ADDITION OF ARTICLE [____]

Part 2.1 Addition of Article [____]. The Indenture is hereby amended and supplemented by adding thereto an additional Article as follows:

ARTICLE XIII

SERIES _____ BONDS

Section [____].01 Issuance of Series _____ Bonds. The District may, at any time, execute the Series _____ Bonds, in the aggregate principal amount of \$_____, for issuance hereunder and deliver the same to the Trustee. The Trustee shall authenticate the Series _____ Bonds and deliver the Series _____ Bonds to the original purchaser thereof upon receipt of a Written Request of the District and upon receipt of the purchase price therefor.

Section [____].02 Terms of Series _____ Bonds; Interest Computation. (a) The Series _____ Bonds shall be designated the “Los Angeles Unified School District Judgment Obligation Bond, Series _____.” The Series _____ Bonds shall be issued in fully registered form without coupons in Authorized Denominations, so long as no Series _____ Bond shall have more than one maturity date. The Series _____ Bonds shall be dated the Series _____ Closing Date, shall be issued in the aggregate principal amount of \$_____, shall mature on [October] 1 of each year and shall bear interest (calculated on the basis of a 360-day year comprised of twelve 30-day months) at the rates per annum as follows:

Maturity Date ([October] 1)	Principal Amount	Interest Rate
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		
20__		

(b) Interest on the Series _____ Bonds shall be payable from the Interest Payment Date next preceding the date of authentication thereof unless (i) a Series _____ Bond is authenticated on or before an Interest Payment Date and after the close of business on the preceding Record Date, in which event it shall bear interest from such Interest Payment Date; (ii) a Series _____ Bond is authenticated on or before the first Record Date, in which event interest thereon shall be payable from the Series _____ Closing Date; or (iii) interest on any Series _____ Bond is in default as of the date of authentication thereof, in which event interest thereon shall be payable from the date to which interest has been paid in full or made available for such payment, payable on each Interest Payment Date. Interest shall be paid in lawful money of the United States on each Interest Payment Date to the Persons in whose names the ownership of the Series _____ Bonds is registered on the Registration Books at the close of business on the immediately preceding Record Date, except as provided below. [Except as otherwise provided in the Letter of Representations], interest shall be paid by check of the Trustee mailed by first class mail, postage prepaid, on each Interest Payment Date to the Owners at their respective addresses shown on the Registration Books as of the close of business on the preceding Record Date, except that in the case of an Owner of \$1,000,000 or more in aggregate principal amount of Series _____ Bonds, upon the written request of such Owner to the Trustee, received at least ten days prior to a Record Date, specifying the account or accounts to which such payment shall be made, payment of interest shall be made by wire transfer of immediately available funds on the following Interest Payment Date. Any such request shall remain in effect until revoked or revised by such Owner by an instrument in writing delivered to the Trustee.

(c) The principal and premium, if any, of the Series _____ Bonds shall be payable in lawful money of the United States of America [to the Persons in whose names the ownership of the Series _____ Bonds is registered on the Registration Books or] upon presentation and surrender thereof upon maturity or earlier redemption at the Office of the Trustee.

(d) The Series _____ Bonds shall be subject to redemption as provided in Section [____].05.

(e) The Series _____ Bonds shall initially be issued as Book-Entry Bonds, except as provided in subsection (c) of Section 2.09 of the Indenture, the registered Owner of all of the Series _____ Bonds shall be DTC and the Series _____ Bonds shall be registered in the name of Cede & Co., as nominee for DTC, and the Series _____ Bonds shall be subject to Section 2.09 of the Indenture.

Section [____].03 Form of Series _____ Bonds. The Series _____ Bonds shall be in substantially the form set forth in Appendix C-A hereto, with appropriate or necessary insertions, omissions and variations as permitted or required hereby. Only such of the Series _____ Bonds as shall bear thereon a certificate of authentication substantially in the form set forth in Appendix C-A hereto, manually executed by the Trustee, shall be valid or obligatory for any purpose or entitled to the benefits of the Indenture, and such certificate of or on behalf of the Trustee shall be conclusive evidence that the Series _____ Bonds so authenticated have been duly executed, authenticated and delivered hereunder and are entitled to the benefits of the Indenture.

Section [____].04 Establishment of Accounts for the Series _____ Bonds. The following funds and accounts are hereby created and established and shall be maintained by the Trustee:

(a) the “Series _____ Cost of Issuance Account” as an account by that name established, held and maintained by the Trustee in the Cost of Issuance Fund pursuant to Section 3.03 of the Indenture (the “Series _____ Cost of Issuance Account”);

(b) the “Series _____ Refunding Account” as an account by that name established, held and maintained by the Trustee in the Refunding Fund pursuant to Section 3.04 of the Indenture (the “Series _____ Refunding Account”).

The Trustee may establish additional accounts or subaccounts of the above-described funds and accounts as the Trustee shall deem necessary and prudent in furtherance of its duties pursuant to this _____ Supplemental Indenture upon written notification to, and consent by, the District.

Section [____].05 Deposit of Proceeds of Series _____ Bonds. On the Series _____ Closing Date, the proceeds of the sale of the Series _____ Bonds shall be paid to the Trustee and said amounts shall be deposited by the Trustee as follows:

(1) The Trustee shall deposit the amount of \$_____ in the Series _____ Costs of Issuance Account. On the date that is six months after the Series _____ Closing Date, any amounts then remaining in the Series _____ Costs of Issuance Account shall be withdrawn therefrom by the Trustee and transferred to the Bond Fund and upon such transfer the Series _____ Costs of Issuance Account shall be closed.

(2) The Trustee shall deposit the amount of \$_____ in the Series _____ Refunding Account, constituting the remainder of said proceeds.

Section [____].06 Redemption of Series _____ Bonds. The Series _____ Bonds shall be subject to redemption as follows:

(a) *Optional Redemption of Series _____ Bonds.* The Series _____ Bonds maturing on or after [October] 1, 20__ are subject to redemption prior to their respective stated maturities at the written direction of the District, from any moneys deposited by the District, as a whole or in part on any date (in such maturities as are designated in writing by the District to the Trustee) on or after [October] 1, 20__, at a redemption price of 100% of the principal amount of Series _____ Bonds called for redemption, together with accrued interest to the date fixed for redemption.

The District shall give the Trustee written notice of its intention to redeem Series _____ Bonds pursuant to this Section not less than 45 days prior to the applicable redemption date, unless a later date is agreed to by the Trustee in its reasonable discretion or as directed by the Owners of not less than a majority of the Outstanding Series _____ Bonds.

(b) *Mandatory Sinking Fund Redemption of Series _____ Bonds.* (i) The Series _____ Bonds maturing on [October] 1, 20__ shall be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series _____ Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1)	Principal Amount to be Redeemed
	\$

If some but not all of the Series _____ Bonds are redeemed pursuant to Section [____].06(a), the principal amount of the Series _____ Bonds to be redeemed pursuant to this Section 4.02 on any subsequent [October] 1 shall be reduced by the aggregate principal amount of the Series _____ Bonds so redeemed pursuant to Section [____].06(a), such reduction to be allocated among redemption dates in Authorized Denominations, as designated by the District in a Written Certificate of the District.

(ii) The Series _____ Bonds maturing on [October] 1, 20__ shall be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series _____ Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1)	Principal Amount to be Redeemed
	\$

If some but not all of the Series _____ Bonds are redeemed pursuant to Section [_____]06(a), the principal amount of the Series _____ Bonds to be redeemed pursuant to this Section 4.02 on any subsequent [October] 1 shall be reduced by the aggregate principal amount of the Series _____ Bonds so redeemed pursuant to Section [_____]06(a), such reduction to be allocated among redemption dates in Authorized Denominations, as designated by the District in a Written Certificate of the District.

(c) *Selection.* If some but not all of the Series _____ Bonds are redeemed pursuant to Section [_____]06(a) hereof, the Trustee shall select the Series _____ Bonds to be redeemed from all Series _____ Bonds not previously called for redemption as directed in a Written Certificate of the District. For purposes of such selection, all Series _____ Bonds shall be deemed to be comprised of separate Authorized Denominations and such separate denominations shall be treated as separate Series _____ Bonds which may be separately redeemed.

Section [_____]07 Tax Covenants. (a) [The District shall not take any action, or fail to take any action, if such action or failure to take such action would adversely affect the exclusion from gross income of interest on the Series _____ Bonds under Section 103 of the Code. Without limiting the generality of the foregoing, the District shall comply with the requirements of Section 6.06 of the Indenture and the Tax Certificate (Series _____ Bonds), which is incorporated herein as if fully set forth herein. Except as set forth in the Tax Certificate (Series _____ Bonds), this covenant shall survive payment in full or defeasance of the Series _____ Bonds.

(b) In the event that at any time the District is of the opinion that for purposes of this Section it is necessary or helpful to restrict or limit the yield on the investment of any moneys held by the Trustee in any of the funds or accounts with respect to the Series _____ Bonds established hereunder, the District shall so instruct the Trustee in writing, and the Trustee shall act in accordance with such instructions.

(c) Notwithstanding any provisions of this Section, if the District shall provide to the Trustee an opinion of Bond Counsel to the effect that any specified action required under this Section or Section 6.06 of the Indenture is no longer required or that some further or different action is required to maintain the exclusion from federal income tax of interest on the Series _____ Bonds, the Trustee may conclusively rely on such opinion in complying with the requirements of this Section, Section 6.06 of the Indenture and of the Tax Certificate (Series _____ Bonds), and the covenants hereunder shall be deemed to be modified to that extent.]

Section [_____]08 Rebate Fund. (a) [There shall be deposited in the Rebate Fund such amounts as are required to be deposited therein pursuant to the Tax Certificate (Series _____ Bonds). All money at any time deposited in the Rebate Fund shall be held by the Trustee in trust, to the extent required to satisfy the Rebate Requirement (as defined in the Tax Certificate (Series _____ Bonds)), for payment to the United States of America. Notwithstanding defeasance of the Series _____ Bonds pursuant to Article X of the Indenture or anything to the contrary contained herein, all amounts required to be deposited into or on deposit in the Rebate Fund with respect to

the Series _____ Bonds shall be governed exclusively by this Section and by the Tax Certificate (Series _____ Bonds) (which is incorporated herein by reference). The Trustee shall be deemed conclusively to have complied with such provisions if it follows the written directions of the District and shall have no liability or responsibility to enforce compliance by the District with the terms of the Tax Certificate (Series _____ Bonds). The Trustee may conclusively rely upon the District's determinations, calculations and certifications required by the Tax Certificate (Series _____ Bonds). The Trustee shall have no responsibility to independently make any calculation or determination or to review the District's calculations.]

(b) Any funds remaining in the Rebate Fund with respect to the Series _____ Bonds after payment in full of all of the Series _____ Bonds and after payment of any amounts described in this Section, shall, upon receipt by the Trustee of a Written Request of the District, be withdrawn by the Trustee and remitted to the District.

Section [____].09 Continuing Disclosure. The District shall comply with and carry out all of the provisions of the Continuing Disclosure Certificate (Series _____ Bonds). Notwithstanding any other provision of the Indenture, failure of the District to comply with the Continuing Disclosure Certificate (Series _____ Bonds) shall not constitute an Event of Default hereunder; provided, however, that the Trustee, at the written direction of any Participating Underwriter (Series _____ Bonds) or the holders of at least 25% of the aggregate principal amount of Outstanding Series _____ Bonds, shall, upon receipt of indemnification reasonably satisfactory to the Trustee, or any holder or Beneficial Owner of the Series _____ Bonds may, take such actions as may be necessary and appropriate to compel performance, including seeking mandate or specific performance by court order.

Section [____].10 Series _____ Insurer to Be Deemed Owner; Rights of the Series Insurer; Payments by the Series Insurer; Notices. [EXEMPLAR PROVISIONS SUBJECT TO REVIEW BY SERIES _____ INSURER] (a) Notwithstanding any provision of this Indenture to the contrary, so long as the Series _____ Insurer is not in default in its payment obligations under the Series _____ Insurance Policy, the provisions of Sections [____].10, [____].11 and [____].12 of this this _____ Supplemental Indenture shall govern and the Series _____ Insurer shall at all times be deemed the sole and exclusive Owner of the Outstanding Insured _____ Bonds for the purposes of all approvals, consents, waivers, institution of any action, and the direction of all remedies, including but not limited to approval of or consent to any amendment of or supplement to this Indenture which requires (i) the consent or approval of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding pursuant to this Indenture, or (ii) the consent or approval of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding pursuant to this Indenture; provided, however, that the Series _____ Insurer shall not be deemed to be the sole and exclusive Owner of the Outstanding Insured _____ Bonds with respect to any amendment or supplement to this Indenture which seeks to amend or supplement this Indenture for the purposes set forth in clauses (i) or (ii) of Section 8.01(a) of the Indenture, and provided, further, that the Series _____ Insurer shall not be deemed the sole and exclusive Owner of the Outstanding Insured _____ Bonds with respect to any amendment or supplement to this Indenture, and shall not have the right to direct or consent to District, Trustee or Owner action as provided herein, if:

(i) the Series _____ Insurer shall be in payment default under the Series _____ Insurance Policy;

(ii) any material provision of the Series _____ Insurance Policy shall be held to be invalid by a final, non-appealable order of a court of competent jurisdiction, or the validity or enforceability thereof shall be contested by the Series _____ Insurer; or

(iii) a proceeding shall have been instituted in a court having jurisdiction in the premises seeking an order for relief, rehabilitation, reorganization, conservation, liquidation or dissolution in respect of the Series _____ Insurer under Article 16 of the Insurance Law of the State of New York or any successor provision thereto and such proceeding is not terminated for a period of 90 consecutive days or such court enters an order granting the relief sought in such proceeding.

(b) To the extent that the Series _____ Insurer makes payment of any principal of or interest on a Insured _____ Bond, it shall be fully subrogated to all of the Owner's rights thereunder in accordance with the terms of the Series _____ Insurance Policy to the extent of such payment, including the Owner's rights to payment thereof.

(c) In the event that the principal of or interest on a Insured _____ Bond shall be paid by the Series _____ Insurer pursuant to the terms of the Series _____ Insurance Policy (i) such Insured _____ Bond shall continue to be "outstanding" under this Indenture, and (ii) the Series _____ Insurer shall be fully subrogated to all of the rights of the Owner thereof in accordance with the terms and conditions of subsection (b) of this Section and the Series _____ Insurance Policy.

(d) This Indenture shall not be discharged unless and until all amounts due to the Series _____ Insurer have been paid in full or duly provided for.

(e) The rights granted under this Indenture to the Series _____ Insurer to request, consent to or direct any action are rights granted to the Series _____ Insurer in consideration of its issuance of the Series _____ Insurance Policy. Any exercise by the Series _____ Insurer of such rights is merely an exercise of the Series _____ Insurer's contractual rights and shall not be construed or deemed to be taken for the benefit of or on behalf of the Owners, nor does such action evidence any position of the Series _____ Insurer, positive or negative, as to whether Owner consent is required in addition to consent of the Series _____ Insurer.

(f) Notwithstanding anything to the contrary otherwise set forth in this Indenture, and to the extent permitted by law, in the event amounts paid under the Series _____ Insurance Policy are applied to claims for payment of principal of or interest on the Insured _____ Bonds, interest on the principal of and interest on such Insured _____ Bonds shall accrue and be payable from the date of such payment at the Series _____ Default Rate. [The term ["Series _____ Default Rate" means the lesser of (a) the greater of (i) the per annum rate of interest, publicly announced from time to time as the prime rate reported in The Wall Street Journal (or the average prime rate if a high and a low prime rate are therein reported) ("Prime Rate") plus [3]%, and (ii) the then applicable rate of interest on the Bonds and (b) the maximum rate permissible under applicable usury or similar laws limiting interest rates. The Default Rate shall be computed on the basis of the actual number of days elapsed over a year of 360 days.]

(g) Any amendment, supplement, modification to, or waiver of, the terms of this Indenture that requires the consent of Owners or adversely affects the rights and interests of the Bond Insurer shall be subject to the prior written consent of the Bond Insurer. Copies of any modification, amendment or supplement to this Indenture shall be sent to Moody's and S&P at least ten days prior to the effective date thereof.

(h) [Each of the District and the Trustee covenant and agree to take such action as is necessary from time to time to preserve the priority of the pledge of, security interest in, and lien on amounts held in the Bond Fund under applicable law.]

(i) In determining whether any amendment, consent or other action to be taken, or any failure to act, under this Indenture would adversely affect the security for the Bonds or the rights of the Owners, the Trustee shall consider the effect of any such amendment, consent, action or inaction as if there were no Series _____ Insurance Policy.

Section [____].11 Deposits to Series _____ Policy Payments Account; Payments Under the Series _____ Insurance Policy. [EXEMPLAR PROVISIONS SUBJECT TO REVIEW BY SERIES _____ INSURER] (a) So long as the Series _____ Insurance Policy shall be in full force and effect, the District and the Trustee hereby agree to comply with the provisions of this Section.

(b) If, on the third Business Day prior to the related scheduled Interest Payment Date there is not on deposit with the Trustee, after making all transfers and deposits required hereunder, moneys sufficient to pay the principal of and interest on the Series _____ Bonds due on such Interest Payment Date, the Trustee shall give notice to the Series _____ Insurer and to its designated agent (if any) (the "Series _____ Insurer's Fiscal Agent") by telephone or telecopy of the amount of such deficiency by 12:00 noon, New York City time, on such Business Day. If, on the second Business Day prior to the related Interest Payment Date, there continues to be a deficiency in the amount available to pay the principal of and interest on the Series _____ Bonds due on such Interest Payment Date, the Trustee shall make a claim under the Series _____ Insurance Policy and give notice to the Series _____ Insurer and the Series _____ Insurer's Fiscal Agent (if any) by telephone of the amount of such deficiency, and the allocation of such deficiency between the amount required to pay interest on the Insured _____ Bonds and the amount required to pay principal of the Insured _____ Bonds, confirmed in writing to the Series _____ Insurer and the Series _____ Insurer's Fiscal Agent by 12:00 noon, New York City time, on such second Business Day by filling in the form of Notice of Claim and Certificate delivered with the Series _____ Insurance Policy.

(c) The Trustee shall designate any portion of payment of principal on Insured _____ Bonds paid by the Series _____ Insurer, whether by virtue of maturity or other advancement of maturity, on its books as a reduction in the principal amount of Insured _____ Bonds registered to the then current Owner, whether DTC or its nominee or otherwise, and shall issue a replacement Bond to the Series _____ Insurer, registered in the name of the Series _____ Insurer, in a principal amount equal to the amount of principal so paid (without regard to Authorized Denominations); provided, however, that the Trustee's failure to so designate any payment or issue any replacement Bond shall have no effect on the amount of principal or interest payable by the District on any Insured _____ Bond or the subrogation rights of the Series _____ Insurer.

(d) Upon payment of a claim under the Series _____ Insurance Policy, the Trustee shall establish a separate special purpose trust account for the benefit of Owners of Insured _____ Bonds referred to herein as the “Series _____ Policy Payments Account” and over which the Trustee shall have exclusive control and sole right of withdrawal. The Trustee shall receive any amount paid under the Series _____ Insurance Policy in trust on behalf of Owners of Insured _____ Bonds and shall deposit any such amount in the Series _____ Policy Payments Account and distribute such amount only for purposes of making the payments for which a claim was made. Such amounts shall be disbursed by the Trustee to Owners of Insured _____ Bonds in the same manner as principal and interest payments are to be made with respect to the Insured _____ Bonds under the provisions hereof regarding payment of Insured _____ Bonds. It shall not be necessary for such payments to be made by checks or wire transfers separate from the check or wire transfer used to pay debt service with other funds available to make such payments. Funds held in the Series _____ Policy Payments Account shall not be invested by the Trustee and may not be applied to satisfy any costs, expenses or liabilities of the Trustee. Any funds remaining in the Series _____ Policy Payments Account following an Interest Payment Date shall promptly be remitted to the Series _____ Insurer.

(e) The Trustee shall keep a complete and accurate record of all funds deposited by the Series _____ Insurer into the Series _____ Policy Payments Account and the allocation of such funds to payment of interest on and principal paid in respect of any Insured _____ Bond. The Series _____ Insurer shall have the right to inspect such records at reasonable times upon reasonable notice to the Trustee.

(f) The District shall, to the extent permitted by law pay or reimburse the Series _____ Insurer any and all Series _____ Insurer Expenses.

(g) The Series _____ Insurer reserves the right to charge a reasonable fee as a condition to executing any amendment, waiver or consent proposed in respect of this Indenture.

(h) The Series _____ Insurer shall be entitled to pay principal of or interest on the Insured _____ Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer (as such terms are defined in the Series _____ Insurance Policy) and any amounts due on the Insured _____ Bonds as a result of acceleration of the maturity thereof in accordance with this Indenture, whether or not the Series _____ Insurer has received a Notice of Nonpayment (as such term is defined in the Series _____ Insurance Policy) or a claim upon the Series _____ Insurance Policy.

Section [____].12 Reporting Requirements. [EXEMPLAR PROVISIONS SUBJECT TO REVIEW BY SERIES _____ INSURER] The Series _____ Insurer shall be provided with the following information:

(a) Annual audited financial statements of the District on or before the later of (i) [150] days after the end of the District’s Fiscal Year and (ii) 30 days after the statements become available (in each case together with a certification of the District that it is not aware of any default or Event of Default under this Indenture) and the District’s annual budget within 30 days after the approval thereof, together with such other information, data or reports as the Series _____ Insurer reasonably request from time to time;

(b) Notice of any default known to the Trustee or the District within five Business Days after knowledge thereof;

(c) Prior notice of the advance refunding of any of the Insured _____ Bonds, including the principal amount, maturities and CUSIP numbers thereof;

(d) Notice of the resignation or removal of the Trustee and the appointment of, and acceptance of duties by, any successor thereto;

(e) Notice of the commencement of any proceeding by or against the District commenced under the United States Bankruptcy Code or any other applicable bankruptcy, insolvency, receivership, rehabilitation or similar law (an “Insolvency Proceeding”);

(f) Notice of the making of any claim in connection with any Insolvency Proceeding seeking the avoidance as a preferential transfer of any payment of principal of, or interest on, the Series _____ Bonds;

(g) A full original transcript of all proceedings relating to the execution of any amendment or supplement to this Indenture or the respective Continuing Disclosure Certificate (Series _____ Bonds); and

(h) All reports, notices and correspondence to be delivered under the terms of this Indenture or the respective Continuing Disclosure Certificate (Series _____ Bonds).

PART 3

MISCELLANEOUS

Part 3.1 **Effect of _____ Supplemental Indenture.** This _____ Supplemental Indenture and all of the terms and provisions herein contained shall form part of the Indenture as fully and with the same effect as if all such terms and provisions had been set forth in the Indenture. The Indenture is hereby ratified and confirmed and shall continue in full force and effect in accordance with the terms and provisions thereof, as heretofore amended and supplemented, and as amended and supplemented hereby. If there shall be any conflict between the terms of this _____ Supplemental Indenture and the terms of the Indenture (as in effect on the day prior to the effective date of this _____ Supplemental Indenture), the terms of this _____ Supplemental Indenture shall prevail.

Part 3.2 **Execution in Counterparts.** This _____ Supplemental Indenture may be executed in several counterparts, each of which shall be deemed an original, and all of which shall constitute but one and the same instrument.

Part 3.3 **Governing Law.** This _____ Supplemental Indenture shall be construed and governed in accordance with the laws of the State of California.

Part 3.4 **Effective Date.** This _____ Supplemental Indenture shall become effective upon Series _____ Closing Date.

IN WITNESS WHEREOF, the District has caused this _____ Supplemental Indenture to be signed in its name by one of its duly authorized officers, and the Trustee, in token of its acceptance of the trusts created hereunder, has caused this _____ Supplemental Indenture to be signed in its name by one of its duly authorized officers, all as of the day and year first above written.

**LOS ANGELES UNIFIED SCHOOL
DISTRICT**

By: _____
[Chief Business Officer]

[TRUSTEE], as Trustee

By: _____
Authorized Officer

APPENDIX C-A

FORM OF SERIES _____ BOND

No. _____

\$ _____

**LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BOND, SERIES _____**

INTEREST RATE

_____%

MATURITY DATE

[October] 1, 20__

DATED DATE

_____, 20__

CUSIP

REGISTERED OWNER:**PRINCIPAL AMOUNT:**

The Los Angeles Unified School District (the “District”), for value received, hereby promises to pay to the Registered Owner identified above or registered assigns (the “Registered Owner”), on the Maturity Date identified above, the Principal Amount identified above in lawful money of the United States of America; and to pay interest thereon at the Rate of Interest identified above in like lawful money from the date hereof, payable semiannually on [April] 1 and [October] 1 in each year, commencing _____ 1, 20__ (the “Interest Payment Dates”), until payment of such Principal Amount in full. This Bond is issued pursuant to an Indenture, dated as of _____ 1, 2024, as supplemented and amended to the date hereof including by that _____ Supplemental Indenture, dated as of _____ 1, 20__, (together, the “Indenture”), each by and between the District and [Trustee], as trustee. Capitalized undefined terms used herein shall have the meanings ascribed thereto in the Indenture.

This Bond shall bear interest from the Interest Payment Date next preceding the date of authentication of this Bond (unless this Bond is authenticated on or before an Interest Payment Date and after the fifteenth calendar day of the month preceding such Interest Payment Date, whether or not such day is a business day, in which event it shall bear interest from such Interest Payment Date, or unless this Bond is authenticated on or prior to _____ 15, 20__, in which event it shall bear interest from the Dated Date identified above; provided, however, that if, at the time of authentication of this Bond, interest is in default on this Bond, this Bond shall bear interest from the Interest Payment Date to which interest hereon has previously been paid or duly provided for). The Principal Amount hereof is payable upon surrender hereof upon maturity at the principal corporate trust office of [Trustee], as trustee, or any successor trustee under the Indenture (the “Trustee”), in [_____, California; provided, however, that for purposes of payment, exchange, transfer, surrender and cancellation of Bonds, such term means the principal corporate trust office of the Trustee in [_____, California, or such other office as may be specified to the District by the Trustee in writing (the “Office of the Trustee”). Except as otherwise provided in the Letter of Representations, interest hereon is payable by check of the Trustee, mailed by first class mail on each Interest Payment Date to the Registered Owner hereof at the address of the

Registered Owner as it appears on the Registration Books of the Trustee as of the close of business on the fifteenth calendar day of the month preceding such Interest Payment Date.

This Bond is one of a duly authorized issue of bonds of the District designated as the “[Los Angeles Unified School District Judgment Obligation Bonds, Series _____]” (the “Series _____ Bonds”) in the aggregate principal amount of \$ _____. The Series _____ Bonds are on a parity with the Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A (the “Series 2024A Bonds”) and will be on a parity with any Additional Bonds as may be issued hereafter in accordance with the Indenture. As defined in the Indenture, the term “Bonds” means the Los Angeles Unified School District Judgment Obligation Bonds issued in accordance with the Indenture, and includes the Series 2024A Bonds, the Series _____ Bonds and any Additional Bonds, all of which Bonds are of like tenor and date (except for such variations as may be required to designate varying numbers, denominations, maturities or interest rates), and is issued under and pursuant to the provisions of Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code and all laws amendatory thereof or supplemental thereto (the “Refunding Law”) and under and pursuant to the provisions of the Indenture (copies of which are on file at the Office of the Trustee). [Certain parity obligations payable under the Refunding Law, consisting of _____ may also be outstanding from time to time as interim financing to refund Judgements (as defined in the Indenture).]

The Series _____ Bonds are being issued for the purpose of satisfying the District’s payment obligations under the [Series _____ Judgments][Series _____ Notes][Series _____ Prior Bonds] as defined in the Indenture] as defined in the Indenture. The Series _____ Bonds are obligations imposed by law payable from funds to be appropriated by the District. Reference is hereby made to the Refunding Law and to the Indenture and any and all amendments thereof for a description of the terms on which the Series _____ Bonds are issued, for the rights of the Owners of the Series _____ Bonds, for the security for payment of the Series _____ Bonds, for the remedies upon default and limitations thereon and for the provisions for the amendment of the Indenture (with or without consent of the Owners of the Series _____ Bonds); and all the terms of the Indenture are hereby incorporated herein and constitute a contract between the District and the Registered Owner of this Series _____ Bond, to all the provisions of which the Registered Owner of this Series _____ Bond, by acceptance hereof, agrees and consents.

The obligations of the District under the Bonds, including the obligation to make all payments of the interest on and the principal of the Bonds when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Bonds nor the obligation of the District to make payment of the interest on or the principal of the Bonds constitutes an indebtedness of the District or the State of California, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction.

[The Series _____ Bonds are subject to redemption prior to maturity as provided in the Indenture.]

If an Event of Default, as that term is defined in the Indenture, shall occur, the principal of all Bonds may be declared due and payable upon the conditions, in the manner and with the effect provided in the Indenture; provided, that the Indenture provides that in certain events such declaration and its consequences may be rescinded under the circumstances as provided therein.

The Bonds are issuable as fully registered Bonds without coupons in denominations of \$5,000 or any integral multiple thereof. Subject to the limitations and upon payment of the charges, if any, provided in the Indenture, Bonds may be exchanged at the Office of the Trustee for a new Bond or Bonds of the same Series and maturity in a like aggregate principal amount, in any Authorized Denomination.

This Bond is transferable by the Registered Owner hereof, in person or by his attorney duly authorized in writing, at the Office of the Trustee, but only in the manner, subject to the limitations and upon payment of the charges provided in the Indenture, and upon surrender and cancellation of this Bond. Upon such transfer a new fully registered Bond or Bonds, of the same Series and maturity in an Authorized Denomination or denominations, for the same aggregate principal amount will be issued to the transferee in exchange herefor. The District and the Trustee may treat the Registered Owner hereof as the absolute owner hereof for all purposes, and the District and the Trustee shall not be affected by any notice to the contrary.

The Indenture and the rights and obligations of the District, the owners of the Bonds and the Trustee may be modified or amended from time to time and at any time in the manner, to the extent, and upon the terms provided in the Indenture; provided that no such modification or amendment shall (a) extend the fixed maturity of any Bonds, or reduce the amount of principal thereof, or reduce the interest rate borne thereby, or extend or accelerate the time of payment thereof, without the consent of the owner of each Bond so affected, or (b) reduce the percentage of Bonds the consent of the owners of which is required to effect any such amendment or modification, without the consent of the owners of all outstanding Bonds.

The Indenture contains provisions permitting the District to make provision for the payment of interest on, and the principal of any of the Bond so that such Bonds shall no longer be deemed to be outstanding under the terms of the Indenture.

This Bond shall not be entitled to any benefit, protection or security under the Indenture or become valid or obligatory for any purpose until the certificate of authentication and registration hereon endorsed shall have been executed and dated by an authorized signatory of the Trustee.

Unless this Bond is presented by an authorized representative of The Depository Trust Company, a New York corporation ("DTC"), to the Trustee for registration of transfer, exchange, or payment, and any Bond issued is registered in the name of Cede & Co. or in such other name as is requested by an authorized representative of DTC (and any payment is made to Cede & Co. or to such other entity as is requested by an authorized representative of DTC), ANY TRANSFER, PLEDGE, OR OTHER USE HEREOF FOR VALUE OR OTHERWISE BY OR TO ANY PERSON IS WRONGFUL inasmuch as the registered owner hereof Cede & Co., has an interest herein.

It is hereby certified that all acts, conditions and things required by law to exist, to have happened and to have been performed precedent to and in the issuance of the Bonds do exist, have happened and have been performed in due time, form and manner as required by law.

IN WITNESS WHEREOF, the Los Angeles Unified School District has caused this Bond to be executed in its name and on its behalf by the signature of the President of the Board of Education of the District][Chief Business Officer of the District], and to be countersigned by the manual or facsimile signature of the Executive Officer of the Board of Education of the District, who has impressed the seal of the District hereon, all as of the Dated Date identified above.

**LOS ANGELES UNIFIED SCHOOL
DISTRICT**

By: _____
[Chief Business Officer]

[SEAL]

Countersigned:

[Executive Officer to the Board of
Education]

CERTIFICATE OF AUTHENTICATION

This is one of the Bonds described in the within-mentioned Indenture and registered on the Registration Books.

Date: _____

[TRUSTEE], as Trustee

By: _____
Authorized Officer

STATEMENT OF INSURANCE

[Bond Insurer] (“[BOND INSURER]”), New York, New York, has delivered its municipal bond insurance policy with respect to the scheduled payments due of principal of and interest on this Bond to [Trustee], [_____], California, or its successor, as trustee for the Bonds (the “Trustee”). Said Policy is on file and available for inspection at the Office of the Trustee and a copy thereof may be obtained from [BOND INSURER] or the Trustee.]

ASSIGNMENT

For value received the undersigned hereby sells, assigns and transfers unto _____ whose address and social security or other tax identifying number is _____, the within-mentioned Bond and hereby irrevocably constitute(s) and appoint(s) _____ attorney, to transfer the same on the registration books of the Trustee with full power of substitution in the premises.

Dated: _____

Signature Guaranteed:

Note: Signature(s) must be guaranteed by an eligible guarantor.

Note: The signature(s) on this Assignment must correspond with the name(s) as written on the face of the within Bond in every particular without alteration or enlargement or any change whatsoever.

APPENDIX C-B

[SERIES _____ JUDGMENT OBLIGEES][SERIES _____ NOTES] [AND/OR]
[SERIES _____ PROR BONDS]

BOND PURCHASE AGREEMENT

Dated _____, 2024

Relating to

**\$ _____
Los Angeles Unified School District
Judgment Obligation Bonds, Series 2024A**

THIS BOND PURCHASE AGREEMENT (the “Purchase Agreement”) is dated _____, 2024, by and among [REPRESENTATIVE], as representative (the “Representative”) of the underwriters named on Exhibit A hereto (collectively, the “Underwriters”) and the LOS ANGELES UNIFIED SCHOOL DISTRICT, a unified school district organized and existing under the laws of the State of California (the “District”), relating to the issuance of \$ _____ aggregate principal amount of Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A (the “Series 2024A Bonds”) pursuant to Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code (the “Refunding Law”) and the Indenture (as defined below). The Series 2024A Bonds shall be dated their date of delivery and shall mature on the dates and bear interest at the rates as set forth on Exhibit B hereto.

RECITALS

1. The District is obligated and may become obligated to pay certain claimants and/or plaintiffs seeking monetary damages against the District following concluded and or stipulated settlement as a result of litigation brought by application of California Code of Civil Procedure Section 340.1 and California Assembly Bill Number 218, chaptered by the California Secretary of State on October 13, 2019 (“AB 218”).

2. The Series 2024A Bonds are being issued to refund the District’s obligation under certain Series 2024A Notes (as defined herein) issued in satisfaction of a [stipulated settlement] entered by the Superior Court of the State of California, County of Los Angeles in _____ v. _____, Case No. _____ (the “Series 2024A Judgment”) as described in this Purchase Agreement and to pay certain expenses in connection with the issuance of the Series 2024A Bonds.

3. On _____, 2024, the District refunded the Series 2024A Judgment was refunded with an advance of funds under the revolving credit agreement dated as of _____ 1, 2024 (the “Series 2024A Revolving Credit Agreement”), by and between the District and _____, as lender, and the issuance of the Series 2024A Notes in accordance therewith. The agreement between the Lender and the District with respect to certain commitment fees and certain other fees payable to such Lender under the Revolving Credit Agreement is further provided in an Fee and Interest Rate Agreement, dated as of _____ 1, 2024 (the “Fee and Interest Rate Agreement”).

4. The obligation of the District to pay the Series 2024A Bonds to refinance these obligations is an existing obligation of the District and is an obligation imposed by law. The Series 2024A Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Series 2024A Bonds nor the obligation of the District to make payment of the interest on or the principal of the Series 2024A Bonds constitutes an indebtedness of the District or the State, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction.

5. On June __, 2024, the Board of Education of the District (the “Board”) adopted its resolution of the Board with respect to that program of finance of the District’s obligations to the

Judgment Obligees evidenced by the Judgments consistent with the District's long-term budgetary objectives (the "Resolution"), and approving the within transaction. The Resolution provides a more permanent financing solution for the District's obligations to the Judgment Obligees evidenced by the Judgments consistent with the District's long-term budgetary objectives. The Series 2024A Bonds, and any Additional Bonds to be issued in accordance with the Indenture will represent the aggregate amounts to be payable to Judgment Obligees in satisfaction of Judgments from time to time. The Resolution approves the issuance and sale of the Series 2024A Bonds as provided therein.

6. The Representative, acting on behalf of and as the representative of itself and Underwriters, and not as an agent or representative of the District, offers to enter into this Purchase Agreement which, upon the District's acceptance, will be binding upon the District and upon the Underwriters. This offer is made subject to the District's written acceptance hereof on or before 11:59 p.m., California time, on the date hereof, or such other time as the parties hereto mutually agree upon in writing and, if not so accepted, will be subject to withdrawal by the Representative upon written notice (by telecopy or otherwise) delivered to the District at any time prior to the acceptance hereof by the District.

7. Upon the District's acceptance, this Purchase Agreement will be binding upon the District and upon the Underwriters. This offer is made subject to the District's written acceptance hereof on or before 11:59 p.m., California time, on the date hereof, or such other time as the parties hereto mutually agree upon in writing and, if not so accepted, will be subject to withdrawal by the Representative upon written notice (by telecopy or otherwise) delivered to the District at any time prior to the acceptance hereof by the District. Capitalized terms used herein not otherwise defined shall have meanings ascribed to such terms in the hereinafter referenced Indenture.

Terms used herein and not otherwise defined herein shall have the meanings specified in the Preliminary Official Statement (defined below).

Section 1. Obligation to Purchase.

Upon the terms and conditions and in reliance upon the representations, warranties and agreements set forth herein, the District hereby agrees to sell \$_____ aggregate principal amount of the Series 2024A Bonds, and the Underwriters hereby agree to purchase all of the Series 2024A Bonds for offering to the public.

The Series 2024A Bonds shall be dated their date of delivery and shall mature on the dates and bear interest at the rates per annum as set forth on Exhibit B attached hereto. The Series 2024A Bonds shall be substantially in the form described in, shall be executed, authenticated and issued under and pursuant to, and shall be payable and subject to redemption as provided in, the Indenture, dated as of _____ 1, 2024 (the "Indenture"), by and between the District and [Trustee], as trustee (the "Trustee"), substantially in the form previously submitted to the Underwriters, with only such changes therein as shall be mutually agreed upon by the Representative, and the District.

Subject to the terms of the Purchase Agreement, the Underwriters agree to make a bona fide public offering of the Series 2024A Bonds at the initial offering prices or yields set forth in Exhibit B hereto; provided, however, that the Underwriters reserve the right to make concessions to dealers and to change such initial offering prices or yields as the Underwriters shall deem necessary in connection with the marketing of the Series 2024A Bonds.

Section 2. Purchase Price.

The Underwriters agree to purchase, all (but not less than all) of the Series 2024A Bonds at an aggregate purchase price of \$_____ (representing the \$_____ aggregate principal amount of Series 2024A Bonds, [plus/less] original issue [premium/discount] of \$_____, and less an Underwriters' discount of \$_____) (the "Purchase Price").

Section 3. Official Statement.

(a) The District hereby authorizes the Underwriters to use, in connection with the offer and sale of the Series 2024A Bonds, the Resolution, the Series 2024A Notes, the Revolving Credit Agreement, the Fee and Interest Rate Agreement, the Indenture, and the Continuing Disclosure Certificate, to be dated as of _____ 1, 2024 (the "Continuing Disclosure Certificate" and together with the Resolution, the Series 2024A Notes, the Revolving Credit Agreement, the Fee and Interest Rate Agreement, the Indenture, the "District Documents"), of the District, this Purchase Agreement, and the Preliminary Official Statement and the Official Statement (both as defined herein), and all information contained herein and therein, and all of the documents, certificates or statements furnished by the District to the Underwriters in connection with the transactions contemplated by this Purchase Agreement.

(b) The Underwriters hereby represent that they have received and reviewed the Preliminary Official Statement, dated _____, 2024 (including the cover page, inside cover page, the introduction and all appendices thereto, any documents incorporated therein by reference and as disseminated in its printed physical form or in electronic form in all respects materially consistent with such physical form, the "Preliminary Official Statement"), with respect to the Series 2024A Bonds. The District represents that it has deemed the Preliminary Official Statement to be final as of its date, except for information permitted to be omitted therefrom by Rule 15c2-12 of the Securities and Exchange Commission under the Securities and Exchange Act of 1934, as amended (the "Rule") and that the District is the obligated person for purposes of the Rule.

The Underwriters agree that prior to the time the Official Statement (as defined below) relating to the Series 2024A Bonds is available, the Underwriters will send to any potential purchaser of the Series 2024A Bonds, upon the request of such potential purchaser, a copy of the Preliminary Official Statement. Such Preliminary Official Statement shall be sent by first class mail (or other equally prompt means) or electronic copy posted on an accessible website not later than the first business day following the date upon which each such request is received.

(c) The District shall provide, or cause to be provided, to the Representative as soon as practicable after the date of its acceptance of this Purchase Agreement (but, in any event, not later than within seven business days after the District's acceptance of this Purchase Agreement

and in sufficient time to accompany any confirmation that requests payment from any customer) copies of the final Official Statement relating to the Series 2024A Bonds, dated the date hereof (including the cover page, inside cover page, the introduction and all appendices thereto, as the same may be amended and supplemented in accordance with this Purchase Agreement, the “Official Statement”), substantially in the form of the Preliminary Official Statement, with only such changes as shall have been accepted by the Representative, approved for distribution pursuant to the Resolution, in such quantity as the Representative shall request in order for the Underwriters to comply with Section (b)(4) of the Rule and the rules of the Municipal Securities Rulemaking Board (the “MSRB”). The District further confirms the authority of the Underwriters to use, and consents to the use of, the Official Statement (in printed or electronic form) with respect to the Series 2024A Bonds, in connection with the public offering and sale of the Series 2024A Bonds.

The District hereby agrees to deliver or cause to be delivered to the Official Statement, (a) in “designated electronic format” (as defined in Rule G-32 of the Municipal Securities Rulemaking Board), and (b) in printed form in such reasonable quantity as the Underwriters shall request in order to comply with the rules of the Municipal Securities Rulemaking Board.

The Underwriters agree to file the Official Statement with the Municipal Securities Rulemaking Board through its Electronic Municipal Market Access system or as otherwise provided by the Securities Exchange Commission or Municipal Securities Rulemaking Board within one business day after receipt thereof from the District, but in no event later than the Closing Date (as defined herein).

Section 4. Closing.

(a) At or before 8:00 a.m., California time, on _____, 2024, or at such other time or on such earlier or later date as the parties hereto shall agree upon (the “Closing” or “Closing Date”), the District will deliver or cause to be delivered to the Underwriters through the facilities of The Depository Trust Company (“DTC”), New York, New York, or at such other place upon which the Representative and the District may mutually agree, the Series 2024A Bonds in the form of a single fully registered bond (which may be printed, copied photostatically or typewritten) for each maturity of the Series 2024A Bonds, duly executed, authenticated and issued, and cause to be delivered to the Underwriters, at the offices of Orrick, Herrington & Sutcliffe LLP in Los Angeles, California (“Bond Counsel”), or at such other place as may be mutually agreed upon, the other documents mentioned herein. Upon satisfaction of all conditions to the Closing set forth herein, the Representative will accept such delivery and pay the purchase price thereof in immediately available funds (by check, wire transfer or other manner of payment as to which the Representative and the District may mutually agree) to the order of the Trustee.

(b) [Upon the written acceptance of this Purchase Agreement by the District, the Representative, on behalf of the Underwriters, shall deliver on _____, 2024, by federal funds wire transfer (to the Trustee and payable in immediately available funds), for the account of the District, the amount of \$_____, as a good-faith deposit (the “Good Faith Deposit”) for the performance by the Underwriters of their obligation to accept and pay for the Series 2024A Bonds at Closing in accordance with the provisions of this Purchase Agreement. Upon

receipt, such amount shall be held by the Trustee pending Closing (except as provided below), although the proceeds thereof may be invested by the Trustee as directed by the District pending the Closing. At the Closing, the Underwriters shall pay or cause to be paid the Purchase Price of the Series 2024A Bonds, less the amount of such Good Faith Deposit, without accrued interest, and thereupon the District shall apply the amount of the Good Faith Deposit, to the payment of the balance of such Purchase Price. In the event of the District's inability to deliver the Series 2024A Bonds at the Closing, or if the District is unable to satisfy the conditions to the Underwriters' obligations contained herein (unless such conditions are waived by the Representative), or if the Underwriters' obligations shall be terminated for any reason permitted hereby, the District shall cause the Trustee to forthwith return the amount of the Good Faith Deposit to the Representative immediately and such return shall constitute a full release and discharge of all claims by the Underwriters against the District arising out of the transactions contemplated by this Purchase Agreement (except for the respective obligations of the parties set forth in Section 9 herein). In the event that the Underwriters fail (other than for a reason permitted hereby) to accept and pay for the Series 2024A Bonds at the Closing as herein provided, the proceeds of the Good Faith Deposit, shall be retained and applied by the District in full and complete liquidated damages (and not as a penalty) for such failure and as a discharge of all damages suffered on the part of the District as a result of such failure.]

(c) The Series 2024A Bonds shall be issued and sold under and in accordance with the provisions of this Purchase Agreement and the Indenture. The Series 2024A Bonds shall bear CUSIP Service Bureau numbers, but the failure to print any such number on any of the Series 2024A Bonds shall not constitute cause for a failure or refusal by the Underwriters to accept delivery of, or pay for, the Series 2024A Bonds in accordance with this Purchase Agreement. The Series 2024A Bonds shall be made available to the Representative in Los Angeles, California, for inspection at least one business day Prior to the Closing Date.

Section 5. Covenants, Representations and Warranties of the District. The District hereby covenants, represents, warrants, and agrees that:

(a) The District is a unified school district duly organized and validly existing under the constitution and laws of the State of California (the "State"). Each of the Resolution and the Sale Resolution has been duly adopted, has not been modified, repealed, or rescinded in any respect, and is in full force and effect. The District has all necessary power and authority and has taken all official actions necessary to execute and deliver the Official Statement and to execute, deliver and perform its duties under this Purchase Agreement and the District Documents, and this Purchase Agreement and each of the District Documents has been duly authorized, has or will be executed and delivered by the District and, assuming the due authorization, execution and delivery by the other respective parties thereto, when executed and delivered by the District will constitute legally valid and binding obligations of the District enforceable against the District in accordance with their respective terms, except as enforcement may be limited by bankruptcy, insolvency, reorganization, moratorium or other similar laws relating to or limiting creditors' rights generally or principles of equity involving judicial discretion.

(b) The District is not in material breach of, or default under, any applicable constitutional provision, law or administrative rule or regulation of the State of California or the United States of America material to the conduct of its governmental or financial functions or

any applicable judgment or decree or any loan agreement, indenture, bond, certificate, note, resolution or other agreement or instrument to which the District is a party or to which the District or any of its properties is otherwise subject, and no event has occurred and is continuing which, with the passage of time or the giving of notice, or both, would constitute a default or an event of default under any of the foregoing; and the authorization, execution and delivery of this Purchase Agreement, the District Documents and the Series 2024A Bonds, and compliance with the provisions hereof and thereof, will not conflict with or constitute a material breach of or default under any constitutional provision, law, administrative rule or regulation, or any judgment, decree, license, permit, loan agreement, indenture, bond, certificate, note, resolution, agreement or other instrument to which the District (or any of its officers in their respective capacities as such) is subject or by which it or any of its properties is bound, nor will any such authorization, execution, delivery or compliance result in the creation or imposition of any lien, charge or other security interest or encumbrance of any nature whatsoever upon any of its assets or properties or under the terms of any such law, regulation or instrument except as may be provided by the Series 2024A Bonds or the District Documents.

(c) There is no consent, approval, authorization or other order of, or filing with, or certification by, any regulatory entity having jurisdiction over the District required for the execution and delivery of this Purchase Agreement or the District Documents, or the execution and sale of the Series 2024A Bonds or the consummation by the District of the transactions contemplated herein, in the Official Statement or in the District Documents, which has not been duly obtained or made on or prior to the date hereof.

(d) Except as disclosed in the Preliminary Official Statement and the Official Statement, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court or governmental or public entity pending (in which service of process has been completed against the District) or, to the best knowledge of the District, threatened against the District (i) which affects or seeks to prohibit, restrain or enjoin the execution and delivery of the District Documents and this Purchase Agreement or the issuance of the Series 2024A Bonds, (ii) contesting the validity of this Purchase Agreement, the Series 2024A Bonds or any of the District Documents, or the powers of the District to enter into or perform its obligations under this Purchase Agreement or the District Documents or the existence or powers of the District, or (iii) which, if determined adversely to the District, would materially impair the District's ability to meet its obligations under the District Documents or materially and adversely affect the District's financial condition.

(e) The preparation and distribution of the Preliminary Official Statement and the Official Statement has been duly authorized by the District and the statements and information contained in the Preliminary Official Statement were, as of the date thereof, and are, as of the date hereof (excluding any information permitted to be omitted pursuant to the Rule), and the statements and information contained in the Official Statement will be, as of the Closing Date and the date which is 25 days following the end of the "underwriting period" (as defined in the Rule), true and correct in all material respects and such statements and information did not, do not and will not, as applicable, contain any untrue or misleading statement of a material fact or omit to state any material fact necessary to make the statements therein, in the light of the circumstances under which they were made, not misleading.

(f) The District agrees that, for a period of 25 days after the “end of the underwriting period” (as defined in the Rule), if any event of which it has actual knowledge occurs as a result of which the information in the Official Statement as then in existence would include any untrue or misleading statement of a material fact or omit to state any material fact necessary to make the statements therein not misleading, the District shall promptly prepare, or cooperate in the preparation of, an amendment or supplement to the Official Statement which will correct such statement or omission. The District shall advise the Underwriters promptly of any proposal to so amend or supplement the Official Statement and shall effect such amendment or supplement in a form and manner approved by the Representative. The Official Statement as so supplemented or amended will not contain any untrue statement of a material fact or omit to state any material fact required to be stated therein or necessary to make the statements therein, in light of the circumstances under which made, not misleading. The District shall promptly advise the Underwriters of the commencement of any action, suit, proceeding, inquiry, or investigation seeking to prohibit, restrain or otherwise affect the use of the Official Statement in connection with the offering, sale, or distribution of the Series 2024A Bonds. Unless the Underwriters otherwise advise the District that the end of the underwriting period shall be another specified date, the end of the underwriting period shall be the Closing Date.

(g) The District agrees to cooperate with the Underwriters in endeavoring to qualify the Series 2024A Bonds for offer and sale under the securities or Blue Sky laws of such jurisdictions of the United States as the Representative may reasonably request; provided, however, that the District will not be required to consent to service of process in any such jurisdiction or to qualify as a foreign corporation in connection with any such qualification in any jurisdiction and that the Underwriters shall be solely responsible for the cost of such qualification.

(h) Between the date hereof and the Closing, without the prior written consent of the Underwriters, the District will not have issued in the name of the District any bonds, notes, or other obligations for borrowed money except for such borrowing as may be described in or contemplated by the Preliminary Official Statement and the Official Statement.

(i) To assist the Underwriters in complying with the Rule, the District will undertake, pursuant to the Resolution and the Continuing Disclosure Certificate, to provide annual reports and notices of certain events. A description of this undertaking is set forth in the Preliminary Official Statement and will also be set forth in the Official Statement. Except as described in the Preliminary Official Statement and the Official Statement, the District has not failed to comply in any material respect with any continuing disclosure obligation entered into pursuant to the Rule in the past five years.

(j) The audited financial statements of the District for the fiscal year ended June 30, [2023] (selected information from which is included as Appendix B to the Official Statement), were prepared in accordance with generally accepted accounting principles consistently applied and fairly present the financial position and results of operation of the District for the period and at the date set forth therein, and there has been no material adverse change in the business, affairs, financial position, results of operations or condition, financial or otherwise, of the District since the date of such financial statements, except as otherwise disclosed in the Official Statement.

(k) Any certificates signed by any officer of the District and delivered to the Representative shall be deemed a representation and warranty by the District to the Underwriters, but not by the person signing the same, in such person's individual capacity, as to the statements made therein.

Section 6. Representations, Warranties and Agreements of the Underwriters.

The Underwriters represent to and agree with the District that, as of the date hereof and as of the date of Closing:

(a) The Representative is duly authorized and has been duly authorized by the Underwriters to execute this Purchase Agreement, to act hereunder on behalf of the Underwriters and to take any action under this Purchase Agreement required to be taken by the Underwriters.

(b) The Underwriters have, and have had, no financial advisory relationship (as such term is defined in California Government Code Section 53590) with the District with respect to the Series 2024A Bonds, and no investment firm controlling, controlled by or under common control with any of the Underwriters has or has had any such financial advisory relationship (as such term is defined in California Government Code Section 53590).

(c) The Underwriters are in compliance with MSRB Rule G-37 with respect to the District and are not prohibited thereby from acting as underwriters with respect to securities of the District.

(d) The Underwriters have reasonably determined that the District's undertaking to provide continuing disclosure with respect to the Series 2024A Bonds pursuant to Section 5(k) hereof is sufficient to effect compliance with Rule 15c2-12.

Section 7. Underwriters Not Acting as Fiduciaries. The District acknowledges and agrees that the purchase and sale of the Series 2024A Bonds pursuant to this Purchase Agreement is an arm's-length commercial transaction between the District and the Underwriters, and the Underwriters are acting solely as underwriters and principals in connection with the matters contemplated by and with respect to all communications under this Purchase Agreement and are not acting as the agents or fiduciaries of the District or the District's advisors in connection with the matters contemplated by this Purchase Agreement. In connection with the purchase and sale of the Series 2024A Bonds, the District has consulted its own financial and other advisors to the extent they have deemed appropriate.

Section 8. Conditions to the Obligations of the Underwriters. The Underwriters have entered into this Purchase Agreement in reliance upon the representations and warranties of the District contained herein and the performance by the District of its obligations hereunder, both as of the date hereof and as of the date of Closing. The obligation of the Underwriters to accept delivery of and pay for the Series 2024A Bonds on the Closing Date shall be subject, in the opinion of the Representative, to the accuracy in all material respects of the representations, warranties and agreements on the part of the District contained herein, in the District Documents, as of the date hereof and as of the Closing Date, to the accuracy in all material respects of the statements of the officers and other officials of the Trustee, [the Lender,] and the District made in any certificates or other documents furnished pursuant to the provisions hereof or of the District

Documents, and to the performance by the Trustee, [the Lender,] and the District of their respective obligations, as applicable, to be performed hereunder and under the District Documents on or prior to the Closing Date, and to the following additional conditions:

(a) As of the Closing Date, the Series 2024A Bonds, the Resolution, the District Documents and the Official Statement shall have been duly authorized or adopted, as applicable, executed and delivered by the respective parties thereto, in substantially the forms heretofore submitted to the Underwriters with only such changes as shall have been agreed to in writing by the Representative, and such agreements shall not have been amended, modified or supplemented, except as may have been agreed to in writing by the Representative, and there shall have been taken in connection therewith, with the execution, authentication and issuance of the Series 2024A Bonds and with the transactions contemplated thereby and by this Purchase Agreement, all such actions as Bond Counsel shall deem to be necessary and appropriate in order to permit it to render the opinion set forth in Appendix D to the Official Statement;

(b) As of the Closing Date, the Official Statement shall not have been amended, modified, or supplemented, except as may have been agreed to by the Representative and the District;

(c) No decision, ruling or finding shall have been entered by any court or governmental authority since the date of this Purchase Agreement (and not reversed on appeal or otherwise set aside), or to the best knowledge of the District, shall be pending (in which service of process has been completed against the District) or threatened which has any of the effects described in Section 5(d) hereof or contesting in any way the completeness or accuracy of either the Preliminary Official Statement or the Official Statement;

(d) Between the date hereof and the Closing Date, the market price or marketability, at the initial offering prices set forth in the Official Statement, of the Series 2024A Bonds shall not have been materially adversely affected (evidenced by a written notice from the Representative to the District terminating the obligation of the Underwriters to accept delivery of and pay for the Series 2024A Bonds) by reason of any of the following:

(1) legislation enacted by the Congress of the United States, or by the legislature of the State, or introduced in the Congress or recommended for passage by the President of the United States, or a decision rendered by a court of the United States or the State or by the United States Tax Court, or an order, ruling, regulation (final, temporary or proposed) or official statement issued or made, by or on behalf of the Securities and Exchange Commission, or any other governmental agency having jurisdiction over the subject matter thereof, to the effect that the Series 2024A Bonds, or obligations of the general character of the Series 2024A Bonds, including any and all underlying arrangements, are not exempt from registration under the Securities Act of 1933, as amended, or that the Indenture is not exempt from qualification under the Trust Indenture Act of 1939, as amended;

(2) the declaration of war or engagement in major military hostilities or escalation of hostilities by the United States, the occurrence of an act of terrorism involving the United States or the occurrence or escalation of any other national

emergency or calamity relating to the effective operation of the government or the financial community in the United States;

(3) the declaration of a general banking moratorium by federal, New York or State authorities having jurisdiction, or the general suspension of trading on any national securities exchange or fixing of minimum or maximum prices for trading or maximum ranges for prices for securities on any national securities exchange, whether by virtue or a determination by that exchange or by order of the Securities and Exchange Commission or any other governmental authorities, or a major financial crisis or a material disruption in commercial banking or securities settlement or clearances services shall have occurred or the general suspension of trading on any national securities exchange;

(4) the imposition by the New York Stock Exchange, other national securities exchange, or any governmental authority, of any material restrictions not now in force with respect to the Series 2024A Bonds, or obligations of the general character of the Series 2024A Bonds, or securities generally, or the material increase of any such restrictions now in force, including those relating to the extension of credit by, or the charge to the net capital requirements of, Underwriters;

(5) an order, decree or injunction of any court of competent jurisdiction, or order, filing, regulation or official statement by the Securities and Exchange Commission, or any other governmental agency having jurisdiction over the subject matter thereof, issued or made to the effect that the issuance, offering or sale of obligations of the general character of the Series 2024A Bonds, or the execution, delivery, offering or sale of the Series 2024A Bonds, including any or all underlying obligations, as contemplated hereby or by the Official Statement, is or would be in violation of the federal securities laws as amended and then in effect;

(6) any rating on the Series 2024A Bonds or other general fund obligations of the District has been downgraded, suspended or withdrawn by a national rating service or assigned a negative qualification (e.g., “credit watch” or “negative outlook” designation) or other announcement is made by a national rating service that the Series 2024A Bonds or other general fund obligations of the District are under review without indication of a potentially favorable result, which, in the reasonable opinion of the Representative, materially adversely affects the marketability or market price of the Series 2024A Bonds;

(7) any event occurring, or information becoming known which, in the reasonable judgment of the Underwriters, makes untrue in any material adverse respect any statement or information contained in the Preliminary Official Statement, or has the effect that the Preliminary Official Statement contains any untrue statement of a material fact or omits to state a material fact required to be stated therein or necessary to make the statements made therein, in the light of the circumstances under which they were made, not misleading; or

(8) except as disclosed in or contemplated by the Preliminary Official Statement and the Official Statement, any material adverse change in the affairs of the District.

(e) On or prior to the Closing Date, the Underwriters shall have received the following documents, in each case satisfactory in form and substance to the Representative:

(1) A certificate of the District to the effect that such copy is a true and correct copy of the Resolution, and that the Resolution was duly adopted and has not been modified, amended, rescinded, or revoked and is in full force and effect on the Closing Date;

(2) copies of this Purchase Agreement and the District Documents duly executed and delivered by the respective parties thereto, with such amendments, qualifications or supplements as may have been agreed to in writing by the Representative;

(3) the approving opinion of Bond Counsel substantially in the form included as Appendix D to the Official Statement, dated the Closing Date and addressed to the District, and a reliance letter or letters addressed to the Representative and the Trustee, of Bond Counsel, together with a supplemental opinion, dated the Closing Date and addressed to the Representative, substantially in the form appended hereto as Exhibit D;

(4) the opinion of _____, Disclosure Counsel to the District, substantially in the form attached hereto as Exhibit C, dated the date of Closing and addressed to the District, with a reliance letter addressed to the Representative to the effect that the Underwriters may rely upon the opinion of Disclosure Counsel;

(5) the opinion of general counsel to the District, addressed to the District, the Trustee, and the Representative, dated the Closing Date, substantially in the form appended hereto as Exhibit E;

(6) the opinion of _____, Underwriters' Counsel, dated the date of Closing and addressed to the Underwriters, satisfactory in form and substance to the Representative;

(7) a copy of the final judgment entered in favor of the District in connection with the complaint for validation filed in the Superior Court of California, County of Los Angeles;

(8) a copy of the District's AAFR for the Fiscal Year ended June 30, [2023];

(9) a certificate, together with a fully executed copy of the Resolution, of the Executive Officer of the Board of Education to the effect that:

(i) such copy is a true and correct copy of such Resolution; and

(ii) that the Resolution was duly adopted and has not been modified, amended, rescinded, or revoked and is in full force and effect on the date of the Closing;

(10) a certificate of the District evidencing the District's determination respecting the Preliminary Official Statement in accordance with Rule 15c2 12;

(11) a certificate of the District, dated the Closing Date, signed by an official of the District as may be acceptable to the Representative, and in form and substance satisfactory to the Representative, to the effect that:

(i) the District Documents have each been validly authorized and duly executed and delivered by officers of the District designated for such purpose in the Resolution, and, assuming due authorization, execution and delivery by the other parties thereto, constitute the valid and binding obligations of the District, enforceable in accordance with their respective terms; provided, however, that the representation as to enforceability may be limited by bankruptcy, moratorium, insolvency or other laws affecting creditor's rights and may be subject to general principals of equity;

(ii) the representations and agreements of the District contained in the District Documents and this Purchase Agreement are true and correct as of and as if made on the Closing Date; provided that with respect to any representation made therein pertaining to litigation affecting the District, such representation may be made subject to the extent such litigation is disclosed in the Official Statement;

(iii) the District has complied with all agreements, covenants, and conditions to be complied with by the District on or prior to the Closing Date under the District Documents and this Purchase Agreement;

(iv) no litigation is pending (with service of process completed on the District) or, to the best of such official's knowledge, threatened (either in state or federal courts): (A) in any way affecting the existence of the District or in any way challenging the respective powers of the several offices or the titles of the officials of the District to such offices; (B) seeking to restrain or enjoin the issuance or delivery of the Bonds, the application of the proceeds of the sale of the Series 2024A Bonds, or in any way contesting or affecting the validity or enforceability of the Series 2024A Bonds, the District Documents or this Purchase agreement [or any of the Judgements] or the authority of the District to enter into the District Documents or this Purchase Agreement, (C) contesting in any way the completeness or accuracy of the Preliminary Official Statement or the Official Statement, (D) contesting or affecting the powers of the District in connection with any action contemplated by the Preliminary Official Statement, the Official Statement or the District Documents or this Purchase Agreement, or (E) in which a final adverse decision could (1) result in any material adverse change to the business, properties, assets or the financial condition of the District or to its ability

to pay principal of or interest on the Series 2024A Bonds when due, or (2) materially adversely affect the operations of the District or the consummation of the transactions contemplated by the District Documents or this Purchase Agreement, and there is no basis for any action, suit, proceeding, inquiry or investigation of the nature described in clauses (A) through (D) of this sentence;

(v) except as disclosed in the Preliminary Official Statement and the Official Statement, there is no action, suit, proceeding, inquiry, or investigation before or by any court or public board or body pending (with service of process completed on the District) or, to such counsel's knowledge, threatened wherein an unfavorable decision, ruling, or finding would adversely affect the transactions contemplated by the Series 2024A Bonds, the District Documents, this Purchase Agreement or any other agreement, document, or certificate related to such transaction; and

(vi) the statements and information contained in the Preliminary Official Statement and the Official Statement are true, correct and complete in all material respects and such statements and information do not contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the information and statements made therein, in the light of the circumstances under which they were made, not misleading; and

(vii) the District has not been delivered a qualified or negative certification for the [current or prior fiscal year] or the Los Angeles County Office of Education ("LACOE") shall have reported its determination under California Education Code Section 42133 that the District's repayment of the Series 2024A Bonds is probable;

(12) a certificate and incumbency certificate of the Third Party Administrator signed by a duly authorized officer of the Third Party Administrator, in form and substance satisfactory to Bond Counsel, the Representative and the Trustee;

(13) a certificate of the Trustee dated the Closing Date, signed by a duly authorized officer of the Trustee, and in form and substance satisfactory to the Representative, to the effect that:

(i) the Trustee is a national banking association organized and existing under and by virtue of the laws of the United States, having the full power and being qualified to enter into and perform its duties under the Indenture and to authenticate the Series 2024A Bonds to the Underwriters pursuant to the Indenture;

(ii) when delivered to and paid for by the Underwriters on the Closing Date, the Series 2024A Bonds will have been duly authenticated by the Trustee in accordance with the Indenture;

(iii) the execution and delivery of the Indenture, and compliance with the provisions on the Trustee's part contained therein, will not conflict with or

constitute a breach of or default under any law, administrative regulation, judgment, decree, material agreement or other material instrument to which the Trustee is a party or is otherwise subject (except that no representation, warranty or agreement is made with respect to any federal or state securities or blue sky laws or regulations), nor will any such execution, delivery, adoption or compliance result in the creation or imposition of any lien, charge or other security interest or encumbrance of any nature whatsoever upon any of the properties or assets held by the Trustee pursuant to the lien created by the Indenture under the terms of any such law, administrative regulation, judgment, decree, material agreement or other material instrument, except as provided by the Indenture;

(iv) the Series 2024A Bonds were examined by the Trustee and found to be in the form required by the Indenture and the Trustee has authenticated the Series 2024A Bonds pursuant to the provisions of the Indenture in the name of and on behalf of the Trustee, by authorized signatories of the Trustee duly authorized to so authenticate the Series 2024A Bonds, registered and delivered by the Trustee pursuant to the Indenture and the Written Request of the District (as such term is defined in the Indenture), as directed by the Representative; and

(v) to the knowledge of the Trustee, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, governmental or public entity pending or threatened against the Trustee, affecting the existence of the Trustee, or the titles of its officers to their respective offices or seeking to prohibit, restrain or enjoin the authentication and issuance of the Series 2024A Bonds by the Trustee, or in any way contesting or affecting the validity or enforceability of the Indenture against the Trustee, or contesting the powers of the Trustee or its authority to enter into, adopt or perform its obligations under any of the foregoing to which it is a party, wherein an unfavorable decision, ruling or finding would materially adversely affect the validity or enforceability of the Indenture or the ability of the Trustee to perform its obligations thereunder;

(14) an opinion of counsel to the Trustee, subject to the satisfaction of the Representative, dated the date of the closing and addressed to the District, the Representative and the to the effect that:

(i) the Trustee is a national banking association organized and existing under and by virtue of the laws of the United States and is authorized to exercise trust powers.

(ii) the Trustee has all requisite corporate power, authority, and legal right to execute and deliver, and is qualified to enter into and perform its duties under, the Indenture and has taken all necessary corporate action to execute and deliver the Indenture;

(iii) the Indenture has been validly authorized and duly executed and delivered by officers of the Trustee designated for such purpose in the Bylaws of the Trustee, and, assuming due authorization execution and delivery by the District, constitutes the valid and binding obligation of the Trustee, enforceable in accordance with their respective terms; provided, however, that the opinion as to enforceability may be limited by bankruptcy, moratorium, insolvency or other laws affecting creditors' rights and may be subject to general principles of equity;

(iv) the execution and delivery of the Indenture, and compliance with the provisions on the Trustee's part contained therein, will not conflict with or constitute a breach of or default under any law, administrative regulation, judgment, decree, material agreement or other material instrument to which the Trustee is a party or is otherwise subject (except that no representation, warranty or agreement is made with respect to any federal or state securities or blue sky laws or regulations), nor will any such execution, delivery, adoption or compliance result in the creation or imposition of any lien, charge or other security interest or encumbrance of any nature whatsoever upon any of the properties or assets held by the Trustee pursuant to the lien created by the Indenture under the terms of any such law, administrative regulation, judgment, decree, material agreement or other material instrument, except as provided by the Indenture;

(v) to such counsel's knowledge, no authorization, approval, consent, or order of any governmental agency or regulatory authority having jurisdiction over the Trustee that has not been obtained by the Trustee is required for the authorization, execution, delivery and performance by the Trustee of the Indenture;

(vi) the Series 2024A Bonds have been duly authenticated by the Trustee in accordance with the Indenture; and

(vii) there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, governmental or public entity pending or threatened against the Trustee, affecting the existence of the Trustee, or the titles of its officers to their respective offices or seeking to prohibit, restrain or enjoin the authentication and issuance of the Series 2024A Bonds by the Trustee, or in any way contesting or affecting the validity or enforceability of the Indenture against the Trustee, or contesting the powers of the Trustee or its authority to enter into, adopt or perform its obligations under any of the foregoing to which it is a party, wherein an unfavorable decision, ruling or finding would materially adversely affect the validity or enforceability of the Indenture or the ability of the Trustee to perform its obligations thereunder;

(15) [copies of each of those documents and opinions specified in Section 3.01 of the Revolving Credit Agreement, together with a certificate of the Lender, including:

- (i) opinion of General Counsel to the District;
- (ii) opinion of Note Counsel with a reliance letter addressed to the Lender;
- (iii) opinion of counsel to the Lender; and
- (iv) certificate of the District];

(16) [a certificate of an authorized officer of the Lender in form and substance satisfactory to the District, Bond Counsel, the Underwriters, and counsel to the Underwriters, dated the Closing Date, to the effect that:

(i) the officers who signed the Revolving Credit Facility on behalf of the Lender are duly authorized to execute the Revolving Credit Facility;

(ii) the Series 2024A Note has been delivered to the Lender by the District in accordance with the Revolving Credit Agreement; and

(iii) the Lender has furnished the information concerning the Lender (the “Bank Information”) included in the Preliminary Official Statement and in the Official Statement set forth under the caption “THE JUDGMENT AND THE PLAN OF FINANCE - Refunding of the Series 2024A Judgment” with respect to the Lender, the Revolving Credit Agreement and the Series 2024A Note, for inclusion therein, has consented to the use of such Bank Information therein and the Lender Information is true and correct in all material respects as of the date hereof; and]

(17) [an opinion of counsel to the Lender addressed to the District, the Lender, the Trustee and the Underwriters in form and substance satisfactory to Bond Counsel, the Representative and counsel to the Underwriters, dated the Closing Date, to the effect that:

(i) the Lender is a national banking association, validly existing under the laws of the United States, and has the power and authority to execute and deliver the Revolving Credit Facility and to perform its obligations thereunder;

(ii) the Revolving Credit Facility has been duly authorized, executed and delivered by the Lender and, assuming the due authorization, execution and delivery thereof by the District, and the enforceability thereof against the District, the Revolving Credit Facility constitutes the legal, valid and binding obligation of the Lender, enforceable against the Lender in accordance with its terms, except as such enforcement may be subject to certain exceptions in form and substance reasonably satisfactory to the Underwriter; and

(iii) the information in the Preliminary Official Statement and in the Official Statement relating to the Revolving Credit Facility under the caption “THE JUDGMENT AND THE PLAN OF FINANCE - Refunding of the Series

2024A Judgment” with respect to the Lender, the Revolving Credit Agreement and the Series 2024A Note, accurately summarizes those corresponding portions of the Revolving Credit Facility for purposes of the Preliminary Official Statement and in the Official Statement;]

(18) evidence that any ratings described in the Official Statement are in full force and effect as of the Closing Date;

(19) a blue sky survey as to the marketability of the Series 2024A Bonds within the United States;

(20) a copy of the Preliminary and Final Notices of Sale required to be delivered to the California Debt and Investment Advisory Commission pursuant to Section 8855(g) of the California Government Code; and

(21) such additional legal opinions, certificates, proceedings, instruments and other documents as the Representative or Bond Counsel may reasonably request.

Section 9. Expenses.

All expenses and costs of the District incident to the performance of its obligations in connection with the authorization, execution, sale and delivery of the Series 2024A Bonds to the Underwriters, including (a) the cost of preparation, printing, authentication and issuance of the Series 2024A Bonds; (b) the acceptance fees of the Trustee and any fees and expenses of Trustee's counsel; (c) any fees charged by any rating agency in connection with obtaining a rating for the Series 2024A Bonds, including interstate travel; (d) the cost of preparation, distribution and delivery of the Preliminary Official Statement and the final Official Statement; (e) the fees and expenses of Bond Counsel and Disclosure Counsel; (f) the fees and expenses of validation counsel and costs of validation; and (g) fees and expenses of District consultants, including the District's Municipal Advisor; shall be paid by the District. All out-of-pocket expenses of the Underwriters, including California Debt and Investment Advisory Commission fees, CUSIP Service Bureau registration fees, Municipal Securities Rulemaking Board fees, expenses for travel and other expenses of the Underwriters, shall be paid by the Underwriters; provided, however, that (i) the District shall pay for expenses incurred on behalf of District employees in connection with implementing this Purchase Agreement, including, but not limited to, meals, transportation, and lodging of those employees, if any, and (ii) if: (A) the Series 2024A Bonds are not delivered to the Underwriters by the District (unless such delivery is prevented by the Underwriters' default under this Purchase Agreement, in which case the Underwriters shall pay such costs and expenses); (B) the District is unable to satisfy the conditions in Section 8: or (C) the District is unable to fulfill its obligations set forth in this Purchase Agreement, the District shall reimburse the Underwriters for out-of-pocket expenses reasonably incurred by the Underwriters in connection with this Purchase Agreement or the offering contemplated hereunder. The District acknowledges that it has had an opportunity in consultation with such advisors as they may deem appropriate, if any, to evaluate and consider the fees and expenses being incurred in connection with the issuance and sale of the Series 2024A Bonds.

(b) The Underwriters shall pay (from the expense component of the underwriting spread): (i) the cost of preparation and printing of this Purchase Agreement and the preliminary blue sky memorandum and final blue sky memorandum; (ii) all advertising expenses and blue sky filing fees in connection with the public offering of the Series 2024A Bonds; and (iii) the fees of Digital Assurance Certification, L.L.C. for a continuing disclosure undertaking compliance review; and (iv) all other expenses incurred by the Underwriters in connection with the public offering of the Series 2024A Bonds, including the fees and disbursements of Underwriters' Counsel.

Section 10. Notices.

Any notices to be given the Underwriters shall be given in writing to [REPRESENTATIVE], [ADDRESS], Attention: _____. Any notices to be given to the District shall be given in writing to the District at 333 South Beaudry Avenue, 26th Floor, Los Angeles, California 90017, Attention: Chief Business Officer.

Section 11. Parties in Interest; Survival of Representations and Warranties.

This Purchase Agreement when accepted by the District in writing as heretofore specified shall constitute the entire agreement between the District and the Underwriters. This Purchase Agreement is made solely for the benefit of the District and the Underwriters (including the successors or assigns of the Underwriters). No person shall acquire or have any rights hereunder or by virtue hereof. All the representations, warranties and agreements of the District in this Purchase Agreement shall survive, unless waived by the Underwriters regardless of (a) any investigation or any statement in respect thereof made by or on behalf of the Underwriters, (b) delivery of and payment by the Underwriters for the Series 2024A Bonds hereunder, and (c) any termination of this Purchase Agreement.

Section 12. Applicable Law.

This Purchase Agreement shall be interpreted, governed, and enforced in accordance with the laws of the State of California, applicable to contracts made and performed in such State.

Section 13. Effectiveness.

This Purchase Agreement shall become effective upon the execution hereof by the Representative and the District, and shall be valid and enforceable from and after the time of such execution.

Section 14. Severability.

In the event any provision of this Purchase Agreement shall be declared invalid or unenforceable by any court of competent jurisdiction, such shall not invalidate or render unenforceable any other provision hereof.

Section 15. Counterparts.

This Purchase Agreement may be executed simultaneously in several counterparts, each of which shall be an original and all of which shall constitute one and the same instrument.

Section 16. Electronic Signatures.

Each of the parties hereto agrees that the transaction consisting of this Purchase Agreement may be conducted by electronic means. Each party agrees, and acknowledges that it is such party's intent (i) that, by signing this Purchase Agreement using an electronic signature, it is signing, adopting, and accepting this Purchase Agreement, and (ii) that signing this Purchase Agreement using an electronic signature is the legal equivalent of having placed the undersigned officer's handwritten signature on this Purchase Agreement on paper. Each party acknowledges that it is being provided with an electronic or paper copy of this Purchase Agreement in a usable format.

IN WITNESS WHEREOF, each of the undersigned has executed this Purchase Agreement by its duly authorized officer.

[REPRESENTATIVE],
as Representative of the Several Underwriters

By _____
Authorized Officer

The foregoing is hereby agreed to
and accepted as of the date first
above written:

LOS ANGELES UNIFIED SCHOOL DISTRICT

By _____
[Chief Business Officer]

EXHIBIT A
PARTICIPATING UNDERWRITERS

[TO LIST]

EXHIBIT B

MATURITY SCHEDULE

\$ _____
LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BONDS, SERIES 2024A

Maturity ([October 1])	Principal Amount	Interest Rate	Yield	Price
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\$ _____ % Series 2024A Term Bonds due October 1, 20__ – Price _____ %
 \$ _____ % Series 2024A Term Bonds due October 1, 20__ – Price _____ %

REDEMPTION PROVISIONS

The Series 2024A Bonds shall be subject to redemption as follows:

Optional Redemption of Series 2024A Bonds. The Series 2024A Bonds maturing on or after [October] 1, 20__ are subject to redemption prior to their respective stated maturities at the written direction of the District, from any moneys deposited by the District, as a whole or in part on any date (in such maturities as are designated in writing by the District to the Trustee) on or after [October] 1, 20__, at a redemption price of 100% of the principal amount of Series 2024A Bonds called for redemption, together with accrued interest to the date fixed for redemption.

Mandatory Sinking Fund Redemption of Series 2024A Bonds. The Series 2024A Bonds maturing on [October] 1, 20__ shall be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series 2024A Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1)	Principal Amount to be Redeemed
	\$

The Series 2024A Bonds maturing on [October] 1, 20__ shall be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series 2024A Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1)	Principal Amount to be Redeemed
	\$

EXHIBIT C
FORM OF DISCLOSURE COUNSEL OPINION

EXHIBIT D
FORM OF SUPPLEMENTAL OPINION

EXHIBIT E

FORM OF DISTRICT COUNSEL OPINION

_____, 2024

Los Angeles Unified School District
Los Angeles, California

[Trustee], as Trustee
Los Angeles, California

[REPRESENTATIVE]

Los Angeles Unified School District
Judgment Obligation Bonds, Series 2024A

Ladies and Gentlemen:

This opinion is rendered to you in my capacity as general counsel to the Los Angeles Unified School District (the “District”) in connection with the issuance of \$ _____ aggregate principal amount of the Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A (the “Bonds”), on the date hereof pursuant to the Indenture, dated as of _____ 1, 2024 (the “Indenture”), by and between the District and [Trustee], as trustee (the “Trustee”). This letter is addressed to you pursuant to Section 8(e)(5) of the Bond Purchase Agreement, dated _____, 2024 (the “Purchase Agreement”), by and between the District and [REPRESENTATIVE], as representative (the “Representative”) of itself and _____ (the “Underwriters”), providing for the purchase of the Bonds. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Purchase Agreement.

[In such connection, we have reviewed the Indenture, the Continuing Disclosure Certificate, the Revolving Credit Agreement, dated as of _____ 1, 2024 (the “Revolving Credit Agreement”), by and between the District and _____ (the “Lender”), the Fee and Interest Rate Agreement, dated as of _____ 1, 2024 (the “Fee and Interest Rate Agreement” and, together with the Revolving Credit Agreement, the Indenture, and the Purchase Agreement, the “District Documents”), by and between the District and the Lender, the Purchase Agreement, [the Notes and] the related Judgments being refunded] a copy of the resolution of the Board adopted on June __, 2024 with respect to that program of finance of the District’s obligations to the Judgment Obligees evidenced by the Judgments consistent with the District’s long-term budgetary objectives (the “Resolution”), the Official Statement, and such other documents, records and instruments, and made such investigations of law and fact, as I have deemed necessary to render the opinions expressed herein.]

[In rendering this opinion, I have examined the Resolution, the Indenture, the Purchase Agreement, the Continuing Disclosure Certificate (collectively, the “District Documents”), the Official Statement and such other documents, records, and instruments, and made such investigations of law and fact, as I have deemed necessary to render the opinions expressed herein.]

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings, and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events, or matters. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the District. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted, or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Purchase Agreement and the Indenture. We call attention to the fact that the rights and obligations under the Purchase Agreement, and the Indenture, and their enforceability may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors’ rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against school districts in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), arbitration, judicial reference, choice of law, choice of forum, choice of venue, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the assets described in the Revolving Credit Agreement, the Fee and Interest Rate Agreement, or the Indenture or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice.

Based on the foregoing, and solely with respect to the laws of the State of California (the “State”), I am of the following opinions, as of the date hereof:

1. The District is a unified school district validly existing pursuant to the Constitution and the laws of the State of California with full legal right, power, and authority to execute, deliver and perform all of its obligations under the Purchase Agreement and the other District Documents, and to participate in the transactions contemplated by the Official Statement;

2. The Resolution was duly adopted at a meeting of the Board, which was called and held pursuant to law and with all public notice required by law and at which a quorum was present and acting throughout, and the Resolution is in full force has not been modified, amended, or rescinded;

3. The District has the full right and lawful authority to enter into and perform its duties and obligations under the District Documents [to issue the Notes] and to authorize the sale of the Bonds.

4. The District has duly authorized the distribution of the Preliminary Official Statement and the Official Statement and the District Documents have been duly authorized, executed and delivered and, assuming due authorization, execution and delivery by the other parties thereto, constitute the legally valid and binding obligations of the District enforceable against the District in accordance with their respective terms, except as the enforcement thereof may be limited by bankruptcy, insolvency, reorganization, moratorium or other laws affecting the enforcement of creditors' rights generally and by the application of equitable principles, if equitable remedies are sought.

5. No authorization, approval, consent or other order of the State or any local agency of the State, other than such authorizations, approvals and consents which have been obtained, is required for the valid authorization, execution and delivery by the District of the District Documents or the consummation by the District of the other transactions contemplated by such agreements (provided that no opinion need be expressed as to any action required under state securities or blue sky laws in connection with the purchase or distribution of the Series 2024A Bonds by the Underwriters).

6. Except as disclosed in the Preliminary Official Statement and the Official Statement, there is no action, suit, proceeding, inquiry or investigation at law or in equity, before or by any court or public body, pending (with service of process completed on the District) or to her knowledge threatened against the District, to restrain or enjoin the execution, delivery or performance of the District Documents, the Series 2024A Bonds or any of the proceedings taken with respect to the delivery of the Series 2024A Bonds, the application of monies to the payment of the Series 2024A Bonds or in any manner questioning the proceedings and authority under which the Series 2024A Bonds were authorized or challenging the validity of the Series 2024A Bonds, the existence or boundaries of the District or the title of the officials of the District who have acted with respect to the proceedings for the issuance of the Series 2024A Bonds and the District Documents on behalf of the District to their respective offices.

7. Except as disclosed in the Preliminary Official Statement and the Official Statement, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court or public body, pending (with service of process completed on the District), or to her knowledge, threatened against the District contesting in any way the completeness or accuracy of the Preliminary Official Statement or the Official Statement or the due adoption of the Resolution, and there is no breach or default under any other instruments which is caused by the issuance of the Series 2024A Bonds or the execution and delivery of the District Documents.

With respect to the foregoing opinion, please be advised that the rights and obligations under the District Documents and with respect to the Bonds are subject to bankruptcy, insolvency and other laws affecting the enforcement of creditors' rights in general, to the application of general principles of equity (regardless of whether such enforceability is considered in equity or at law), and to limitations on legal remedies imposed in actions against public entities in the State. I express no opinion as to the availability of equitable remedies or as

to the effect the federal bankruptcy laws may have on the provisions of the District Documents or the Bonds.

This letter is furnished by us as general counsel to the District. No attorney-client relationship has existed or exists between our firm and you in connection with the Bonds or by virtue of this letter. This letter is delivered pursuant to Section 8(e)(5) of the Purchase Agreement and is solely for your benefit in connection with the issuance of the Bonds and is not to be used, circulated, quoted, or otherwise referred to or relied upon for any other purpose or by any other person. This letter is not intended to, and may not, be relied upon by owners of the Bonds or by any other party to whom it is not specifically addressed.

Very truly yours,

CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Los Angeles Unified School District (the “District”) in connection with the issuance of \$_____ principal amount of Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A (the “Series 2024A Bonds”). The Series 2024A Bonds are being issued pursuant to an Indenture, dated as of _____ 1, 2024 (the “Indenture”), by and between the District and _____, as trustee (the “Trustee”). The District covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District and the Dissemination Agent for the benefit of the Holders and Beneficial Owners of the Series 2024A Bonds and in order to assist the Participating Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 4 and 5 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person who (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Series 2024A Bonds (including persons holding Series 2024A Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Series 2024A Bonds for federal income tax purposes.

“Bonds” shall mean the Series 2024A Bonds and any Additional Bonds issued under the Indenture.

“County” shall mean the County of Los Angeles, California.

“CUSIP Numbers” shall mean the Committee on Uniform Security Identification Procedure’s unique identification number for each public issue of a security.

“Dissemination Agent” shall mean Digital Assurance Certification, L.L.C., or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

“Disclosure Counsel” shall mean an attorney-at-law, or a firm of such attorneys, of nationally recognized standing in matters pertaining to the disclosure obligations under the Rule, duly admitted to the practice of law before the highest court of any state of the United States of America.

“EMMA System” shall mean the MSRB’s Electronic Municipal Market Access system, the current internet address of which is <http://emma.msrb.org>.

“Financial Obligation” shall mean, for purposes of the Listed Events set out in Section 6(b)(xv) and Section 6(b)(xvi), a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include municipal securities (as defined in the Securities Exchange Act of 1934, as amended) as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

“Holder” shall mean either the registered owners of the Series 2024A Bonds, or if the Series 2024A Bonds are registered in the name of The Depository Trust Company or another recognized depository, any applicable participant in such depository system.

“Listed Events” shall mean any of the events listed in Section 6(b) of this Disclosure Certificate.

“MSRB” shall mean the Municipal Securities Rulemaking Board established pursuant to Section 15B(b)(1) of the Securities Exchange Act of 1934, or any successor thereto or to the functions of the MSRB contemplated by this Disclosure Certificate.

“Official Statement” shall mean the Official Statement dated _____, 2024A, with respect to the Series 2024A Bonds.

“Participating Underwriters” shall mean the original underwriters of the Series 2024A Bonds required to comply with the Rule in connection with execution and delivery of the Series 2024A Bonds.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

Section 3. Transmission of Notices, Documents, and Information. (a) Unless otherwise required by the MSRB, all notices, documents and information provided to the MSRB shall be provided to the EMMA System.

(b) All notices, documents and information provided to the MSRB shall be provided in an electronic format as prescribed by the MSRB.

Section 4. Provision of Annual Reports. (a) The District shall, or shall cause the Dissemination Agent to, not later than 240 days following the end of the District’s fiscal year (currently ending June 30), commencing with the report for the 2023-24 fiscal year (which is due not later than February 25, 2025), provide to the MSRB through its EMMA System an Annual Report which is consistent with the requirements of Section 5 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 5 of this Disclosure Certificate. If the District’s fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 6(c).

(b) Not later than thirty (30) days (not more than sixty (60) days) prior to the date on which the Annual Report is to be provided pursuant to subsection (a), the Dissemination Agent shall give notice to the District that the Annual Report is so required to be filed in accordance with the terms of this Disclosure Certificate. Not later than fifteen (15) days prior to said date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If the District is unable to provide to the MSRB through its EMMA System an Annual Report by the date required in subsection (a), the Dissemination Agent shall send a timely notice of such fact to the MSRB through its EMMA System.

(c) The Dissemination Agent shall:

(i) determine each year prior to the date for providing the Annual Report to the EMMA System the date on which such Annual Report shall be due and notify the District of such date; and

(ii) (if the Dissemination Agent is other than the District) file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and that it was provided to the MSRB through the EMMA System.

Section 5. Content of Annual Reports. The District's Annual Report shall contain or include by reference the following:

(a) Audited financial statements of the District for the preceding fiscal year, prepared in accordance with the laws of the State of California and including all statements and information prescribed for inclusion therein by the Controller of the State of California. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 4 hereof, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) To the extent not included in the audited financial statements of the District, the Annual Report shall also include the following:

(i) Adopted budget of the District for the current fiscal year;

(ii) Information regarding total assessed valuation of taxable properties within the District as set forth in Table A-4 of Appendix A to the Official Statement;

(iii) Information regarding total tax levies and collections on taxable properties within the District as set forth in Table A-10 of Appendix A to the Official Statement;

(iv) District outstanding debt as set forth in Tables A-27 – “Proposition BB (Election of 1997) Bonds,” Table A-28 – “Measure K (Election of 2002) Bonds,” Table A-29 – “Measure R (Election of 2004) Bonds,” Table A-30 – “Measure Y (Election of 2005) Bonds,” Table A-31 – “Measure Q (Election of 2008) Bonds” and Table A-32 – “Measure RR (Election of 2020) Bonds” of Appendix A to the Official Statement, [and] the aggregate

debt service on the District's outstanding certificates of participation as set forth in Table A-33 – "Certificates of Participation Lease Obligations Debt Service Schedule" of Appendix A to the Official Statement [and the aggregate debt service on the District's outstanding judgment obligation bonds as set forth in Table A-__ – "Judgment Obligation Bonds Debt Service Schedule" of Appendix A to the Official Statement];

(v) District average daily attendance as set forth in Table A-1 of Appendix A to the Official Statement entitled "Average Daily Attendance"; and

(vi) Statement of revenues, expenditures, and changes in general fund balances of the District.

(c) It shall be sufficient for purposes of Section 4 hereof if the District provides annual financial information by specific reference to documents (i) available to the public on the MSRB Internet Web site (currently, www.emma.msrb.org) or (ii) filed with the Securities and Exchange Commission. The District shall clearly identify each such other document so included by reference. The provisions of this Section 5(c) shall not apply to notices of Listed Events pursuant to Section 6 hereof.

(d) The descriptions contained in clause (b) above of financial information and operating data constituting to be included in the Annual Report are of general categories or types of financial information and operating data. When such descriptions include information that no longer can be generated because the operations to which it related have been materially changed or discontinued, or due to changes in accounting practices, legislative or organizational changes, a statement to that effect shall be provided in lieu of such information. Comparable information shall be provided if available.

Section 6. Reporting of Listed Events. (a) If a Listed Event occurs, the District shall provide or cause to be provided, in a timely manner not in excess of ten (10) Business Days of the District having notice of such Listed Event, notice of such Listed Event to (i) the EMMA System of the MSRB and (ii) the Dissemination Agent.

(b) Pursuant to the provisions of this Section 6, the District shall give, or cause to be given, notice of the occurrence of any of the following events (each, a "Listed Event") with respect to the Series 2024A Bonds:

- (i) principal and interest payment delinquencies;
- (ii) non-payment related defaults, if material;
- (iii) modifications to rights of Holders, if material;
- (iv) Certificate calls, if material and tender offers;
- (v) defeasances;
- (vi) rating changes;

(vii) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (Internal Revenue Service Form 5701-TEB) or other material notices of determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

(viii) unscheduled draws on the debt service reserves reflecting financial difficulties;

(ix) unscheduled draws on the credit enhancements reflecting financial difficulties;

(x) release, substitution, or sale of property securing repayment of the Bonds, if material;

(xi) bankruptcy, insolvency, receivership or similar event of the District (such event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under State or federal law in which a court or government authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District);

(xii) substitution of credit or liquidity providers, or their failure to perform;

(xiii) the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(xiv) appointment of a successor or additional trustee or the change of name of a trustee, if material;

(xv) incurrence of a Financial Obligation of the District, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the District, any of which affect security holders, if material;

(xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties; and

(xvii) any amendment or waiver of a provision of this Disclosure Certificate.

The District intends to comply with the Listed Events described in Section 6(b)(xv) and Section 6(b)(xvi), and the definition of “Financial Obligation” in Section 1, with reference to the

Rule, any other applicable federal securities laws and the guidance provided by the Securities and Exchange Commission in Release No. 34-83885, dated August 20, 2018 (the “2018 Release”), and any further amendments or written guidance provided by the Securities and Exchange Commission or its staff with respect the amendments to the Rule effected by the 2018 Release. The District notes that items (viii), (ix), (x) and (xii) are not applicable to the Series 2024A Bonds.

(c) If the District determines that a Listed Event has occurred, the District shall promptly notify the Dissemination Agent in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to Section 3 hereof.

(d) If the Dissemination Agent has been instructed by the District to report the occurrence of a Listed Event, the Dissemination Agent shall file a notice of such occurrence with the MSRB through its EMMA System.

(e) Notwithstanding the foregoing, notice of Listed Events described in subsections (b)(iv) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Series 2024A Bonds pursuant to the Indenture.

Section 7. CUSIP Numbers. Whenever providing information to the Dissemination Agent, including but not limited to Annual Reports, documents incorporated by reference to the Annual Reports, Audited Financial Statements and notices of Listed Events, the District shall indicate the full name of the Series 2024A Bonds and the 9-digit CUSIP numbers for the Series 2024A Bonds as to which the provided information relates.

Section 8. Termination of Reporting Obligation. (a) The District’s obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption, or payment in full of all of the Series 2024A Bonds. If such termination occurs prior to the final maturity of the Series 2024A Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 6(c).

(b) This Disclosure Certificate, or any provision hereof, shall cease to be effective in the event that the District (1) delivers to the Dissemination Agent an opinion of Disclosure Counsel, addressed to the District and the Dissemination Agent, to the effect that those portions of the Rule which require this Disclosure Certificate, or such provision, as the case may be, do not or no longer apply to the Series 2024A Bonds, whether because such portions of the Rule are invalid, have been repealed, or otherwise, as shall be specified in such opinion, and (2) delivers copies of such opinion to the MSRB.

Section 9. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall be Digital Assurance Certification, L.L.C. If at any time there is no designated Dissemination Agent appointed by the District, or if the Dissemination Agent so appointed is unwilling or unable to perform the duties of the Dissemination Agent hereunder, the District shall be the Dissemination Agent and undertake or assume its obligations hereunder. The Dissemination Agent (other than the District) shall not be

responsible in any manner for the content of any notice or report required to be delivered by the District pursuant to this Disclosure Certificate.

Section 10. Amendment; Waiver. (a) This Disclosure Certificate may be amended by the District without the consent of the holders of the Series 2024A Bonds (except to the extent required under clause (a)(iv)(2) below), if all of the following conditions are satisfied:

(i) such amendment is made in connection with a change in circumstances that arises from a change in legal (including regulatory) requirements, a change in law (including rules or regulations) or in interpretations thereof, or a change in the identity, nature or status of the District or the type of business conducted thereby;

(ii) this Disclosure Certificate as so amended would have complied with the requirements of the Rule as of the date of this Disclosure Certificate, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;

(iii) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the same effect as set forth in (a)(ii) above;

(iv) either (1) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the effect that the amendment does not materially impair the interests of the holders of the Series 2024A Bonds or (2) is approved by the Holders of the Series 2024A Bonds in the same manner as provided in the Indenture for amendments to the Indenture with the consent of Holders; and

(v) the District shall have delivered copies of such opinion and amendment to the MSRB through its EMMA system within ten (10) Business Days from the execution thereof.

(b) In addition to subsection 10(a) above, this Disclosure Certificate may be amended and any provision of this Disclosure Certificate may be waived, by written certificate of the District, without the consent of the holders of the Series 2024A Bonds, if all of the following conditions are satisfied:

(i) an amendment to the Rule is adopted, or a new or modified official interpretation of the Rule is issued, after the effective date of this Disclosure Certificate which is applicable to this Disclosure Certificate;

(ii) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the effect that performance by the District under this Disclosure Certificate as so amended or giving effect to such waiver, as the case may be, will not result in a violation of the Rule; and

(iii) the District shall have delivered copies of such opinion and amendment to the MSRB through its EMMA system.

(c) In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 6 hereof, and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 11. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 12. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate, the Dissemination Agent may (and, at the request of any Participating Underwriters or the Holders or Beneficial Owners of at least 25% of aggregate principal amount of the Series 2024A Bonds then outstanding, shall) or any Holders or Beneficial Owners of the Series 2024A Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate; provided that any such action may be instituted only in the Superior Court of the State of California in and for the County of Los Angeles or in the U.S. District Court in the County of Los Angeles. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Indenture, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

Section 13. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Series 2024A Bonds.

Section 14. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriters and Holders and

Beneficial Owners from time to time of the Series 2024A Bonds, and shall create no rights in any other person or entity.

Section 15. Electronic Signatures. Each of the undersigned hereto agrees that the transaction consisting of this Disclosure Certificate may be conducted by electronic means. Each of the undersigned agrees, and acknowledges that it is such party's intent (i) that, by signing this Disclosure Certificate using an electronic signature, it is signing, adopting, and accepting this Disclosure Certificate, and (ii) that signing this Disclosure Certificate using an electronic signature is the legal equivalent of having placed the undersigned officer's handwritten signature on this Disclosure Certificate on paper. Each party acknowledges that it is being provided with an electronic or paper copy of this Disclosure Certificate in a usable format.

Section 16. Execution in Counterparts. This Disclosure Certificate may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same certificate.

Dated: _____, 2024

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
David D. Hart
Chief Business Officer

ACKNOWLEDGED AND AGREED TO BY:
DIGITAL ASSURANCE CERTIFICATION,
L.L.C., as Dissemination Agent

By: _____
Dissemination Agent

NEW ISSUE
FULL BOOK-ENTRY

RATINGS: Fitch : “___”
Moody’s : “___”
(See “RATINGS” herein)

[DAC Logo]

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2024A Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986. Bond Counsel is of the opinion that interest on the Series 2024A Bonds is exempt from State of California personal income taxes. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Series 2024A Bonds. See “TAX MATTERS” herein.

[District
Logo]

\$ _____ *

**LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BONDS, SERIES 2024A**

Dated: Date of Delivery

Due: October 1, as described herein

This cover page contains information for reference only. Investors must read the entire Official Statement to obtain information essential in making an informed investment decision. Capitalized terms used in this cover page shall have the meanings given such terms herein.

The Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A, in the aggregate principal amount of \$ _____* (the “Series 2024A Bonds”), are being issued by the Los Angeles Unified School District (the “District”) pursuant to the provisions of Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code and all laws amendatory thereof or supplemental thereto (the “Act”) and under the Indenture (the “Indenture”), dated as of _____ 1, 2024, by and between the District and _____, as trustee (the “Trustee”). The Series 2024A Bonds are being issued to refund the District’s obligation under certain Series 2024A Notes (as defined herein) issued in satisfaction of a court approved settlement agreement (the “Series 2024A Judgment”) to make payments to certain persons (the “Series 2024A Judgment Obligees”). The obligation of the District to pay the Series 2024A Bonds to refinance these obligations is an existing obligation of the District and is an obligation imposed by law. See “THE JUDGMENT AND THE PLAN OF FINANCE” and “ESTIMATED SOURCES AND USES OF FUNDS” herein. Pursuant to the Indenture, additional bonds (“Additional Bonds”) may be issued by the District on a parity with the Series 2024A Bonds, as described in this Official Statement. The Series 2024A Bonds and any such Additional Bonds are collectively referred to as the “Bonds.”

The obligations of the District under the Bonds and under the Indenture, including the obligation to make all payments of the interest on and the principal of the Bonds when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Bonds nor the obligation of the District to make payment of the interest on or the principal of the Bonds constitutes an indebtedness of the District or the State of California, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction.

The Series 2024A Bonds will be dated as of their initial date of delivery and will mature on [October] 1 of each year and in the amounts and will bear interest (calculated on the basis of a 360-day year comprised of twelve 30-day months) at the rates per annum set forth on the inside front cover page hereof. Interest on the Series 2024A Bonds will be payable on [April] 1 and [October] 1 of each year, commencing [April 1, 2025], so long as any Series 2024A Bonds remain Outstanding. See “THE SERIES 2024A BONDS” herein.

The Series 2024A Bonds will be initially delivered only in book-entry form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”), which will act as securities depository for the Series 2024A Bonds. Individual purchases of the Series 2024A Bonds will be made in book-entry form only. Purchasers of Series 2024A Bonds will not receive physical certificates representing their ownership interests in the Series 2024A Bonds purchased. The Series 2024A Bonds will be delivered in denominations of \$5,000 or any integral multiple thereof. Principal and interest payments on the Series 2024A Bonds are payable directly to DTC by the Trustee. Upon receipt of payments of principal and interest on the Series 2024A Bonds, DTC will in turn distribute such payments to DTC Participants for subsequent disbursement to the beneficial owners of the Series 2024A Bonds. See “THE SERIES 2024A BONDS – Book-Entry Only System” and APPENDIX G – “BOOK-ENTRY-ONLY SYSTEM.”

[The Series 2024A Bonds are subject to redemption prior to maturity as described herein. See “THE SERIES 2024A BONDS – Redemption.”]

See “RISK FACTORS” for a discussion of factors that should be considered, in addition to the other matters set forth herein, in evaluating the investment quality of the Series 2024A Bonds.

MATURITY SCHEDULE – See Inside Cover

The Series 2024A Bonds will be offered when, as and if issued, and received by the Underwriters, subject to the approval as to their legality by Orrick, Herrington & Sutcliffe LLP, Los Angeles, California, Bond Counsel to the District, and certain other conditions. Certain legal matters will be passed upon for the District by the General Counsel to the District and by Orrick, Herrington & Sutcliffe LLP, Los Angeles, California, Disclosure Counsel to the District, and for the Underwriters by _____, Los Angeles, California. It is anticipated that the Series 2024A Bonds, in book-entry form, will be available for delivery through the facilities of DTC on or about _____, 2024.

[UNDERWRITERS TO COME]

Dated: _____, 2024.

* Preliminary, subject to change.

MATURITY SCHEDULE*

\$ _____
LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BONDS, SERIES 2024A

BASE CUSIP†: 544648

Maturity Date (October 1,)	Principal Amount	Interest Rate	Yield	CUSIP† Number
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* Preliminary, subject to change.
† CUSIP® is a registered trademark of The American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of The American Bankers Association by FactSet Research Systems Inc. Copyright© 2024 CUSIP Global Services. All rights reserved. CUSIP® data herein is provided by CUSIP Global Services. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP® numbers are provided for convenience of reference only. None of the District, the Underwriters or their respective agents or counsel assume responsibility for the accuracy of such numbers.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
BOARD OF EDUCATION**

District	Member	Term Ending
5	Jackie Goldberg, President	December 16, 2024
3	Scott Schmerelson, Vice President	December 16, 2024
1	Dr. George J. McKenna III	December 16, 2024
2	Dr. Rocio Rivas	December 12, 2026
4	Nick Melvoin	December 12, 2026
6	Kelly Gonez	December 12, 2026
7	Tanya Ortiz Franklin	December 16, 2024

DISTRICT OFFICIALS

Alberto M. Carvalho, *Superintendent*
Jaime G. Torrens, *Senior Advisor to the Superintendent*
Pedro Salcido, *Deputy Superintendent of Business Services and Operations*
Devora Navera Reed, *General Counsel*
David D. Hart, *Chief Business Officer*
Nolberto Delgadillo, *Deputy Chief Business Officer – Finance*
Ernie Thomas, *Controller*
Timothy S. Rosnick, *Director of Capital Planning & Budgeting*

PROFESSIONAL SERVICES

Bond Counsel

Orrick, Herrington & Sutcliffe LLP
Los Angeles, California

Municipal Advisor

Public Resources Advisory Group
Los Angeles, California

Disclosure Counsel

Orrick, Herrington & Sutcliffe LLP
Los Angeles, California

Counsel to the District

Office of the General Counsel
Los Angeles, California

Trustee

Los Angeles, California

No dealer, broker, salesperson, or other person has been authorized by the District or the Underwriters to give any information or to make any representations with respect to the Series 2024A Bonds other than those contained in this Official Statement and, if given or made, such other information or representations must not be relied upon as having been authorized by the District or the Underwriters. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Series 2024A Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation, or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Series 2024A Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, are intended solely as such and are not to be construed as representations of fact.

The information contained herein has been obtained from sources that are believed to be reliable. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, give rise to any implication that there has been no change in the affairs of the District since the date hereof.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

THE SERIES 2024A BONDS HAVE NOT BEEN REGISTERED WITH THE U.S. SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, NOR HAS THE INDENTURE BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS.

When used in this Official Statement or in any continuing disclosure by the District, in any press release by the District or in any oral statement made with the approval of an authorized officer of the District, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend” and similar expressions identify “forward-looking statements.” Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

The District maintains a website at www.lausd.org. However, reference to such website address is for informational purposes only. Unless specified otherwise, such website and the information or links contained therein are not incorporated by reference herein, should not be relied upon in making an investment decision with respect to the Series 2024A Bonds, and are not part of this Official Statement for purposes of and as that term is defined in Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934.

CUSIP® is a registered trademark of The American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of The American Bankers Association by FactSet Research Systems Inc. CUSIP data herein is set forth for convenience of reference only. The District and the Underwriters assume no responsibility for the selection or uses of the CUSIP data or for the accuracy or correctness of such data. The CUSIP numbers for the Series 2024A Bonds are subject to being changed after the delivery of the Series 2024A Bonds as a result of various subsequent actions.

The Underwriters may offer and sell the Series 2024A Bonds to certain securities dealers and dealer banks and banks acting as agent at prices lower than the public offering prices stated on the inside cover page hereof and said public offering prices may be changed from time to time by the Underwriters.

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OFFICIAL STATEMENT

§ _____^{*} LOS ANGELES UNIFIED SCHOOL DISTRICT JUDGMENT OBLIGATION BONDS, SERIES 2024A

INTRODUCTION

This Introduction is not a summary of this Official Statement. It is only a brief description of, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page and inside cover page, through the appendices hereto, and the documents summarized or described herein. The offering of the Series 2024A Bonds to potential investors is made only by means of the entire Official Statement. A full review should be made of the entire Official Statement

General

This Official Statement (which includes the cover page, inside cover page, and Appendices hereto) (this “Official Statement”), sets forth certain information concerning the issuance by the Los Angeles Unified School District (the “District”) of its Los Angeles Unified School District Judgment Obligation Bonds, Series 2024A, in the aggregate principal amount of \$ _____^{*} (the “Series 2024A Bonds”). The Series 2024A Bonds are being issued pursuant to the provisions of Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code and all laws amendatory thereof or supplemental thereto (the “Act”) and under the Indenture, dated as of _____ 1, 2024 (the “Indenture”), by and between the District and _____, as trustee (the “Trustee”).

The Series 2024A Bonds are being issued to refund the District’s obligation under certain Series 2024A Notes (as defined herein) issued in satisfaction of a court approved settlement agreement (the “Series 2024A Judgment”), as a result of litigation brought by application of California Code of Civil Procedure Section 340.1 and California Assembly Bill Number 218, chaptered by the California Secretary of State on October 13, 2019 (“AB 218”), to make payments to certain persons (the “Series 2024A Judgment Obligees”). The obligation of the District to pay the Series 2024A Bonds to refinance the District’s obligations to the Series 2024A Judgment Obligees pursuant to the terms of the Series 2024A Judgment is an existing obligation of the District and is an obligation imposed by law. See “THE JUDGMENTS AND THE PLAN OF FINANCE.”

Pursuant to the Indenture, additional bonds (“Additional Bonds”) may be issued by the District on a parity with the Series 2024A Bonds, as described in this Official Statement to refund obligations pursuant to the terms of any similar court approved settlement agreement (the “Judgments”), as a result of litigation brought by application of California Code of Civil Procedure Section 340.1 and AB 218, or similar claims of tort liability, to make payments to certain persons (the “Judgment Obligees”). The Series 2024A Bonds and any such Additional Bonds are collectively referred to as the “Bonds.”

The District

The District, encompassing approximately 710 square miles, is located in the western section of the County of Los Angeles (the “County”) in the State of California (the “State”). The District’s boundaries include virtually all of the City of Los Angeles (the “City”), all of the Cities of Cudahy, Gardena, Huntington Park, Lomita, Maywood, San Fernando, Vernon and West Hollywood, and portions of the

^{*} Preliminary, subject to change.

Cities of Bell, Bell Gardens, Beverly Hills, Calabasas, Carson, Commerce, Culver City, Downey, Hawthorne, Inglewood, Long Beach, Lynwood, Montebello, Monterey Park, Rancho Palos Verdes, Rolling Hills Estates, Santa Clarita, Santa Monica, South Gate, and Torrance. In addition, the District provides services to several unincorporated areas of the County which include residential and industrial areas. The boundaries for the District are approximately 80% coterminous with the City, with the remaining 20% included in the smaller neighboring cities and unincorporated County areas described above. The District was formed in 1854 as the Common Schools for the City and became a unified school district in 1960. Additional information on the District is set forth in APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION” and APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023.”

The District is the largest public school district in the State and the largest self-governing public school district in the United States. [At the time of preparation of the District’s second interim report for fiscal year 2023-24 (the “Fiscal Year 2023-24 Second Interim Report”), the transitional kindergarten (“TK”) through 12th grade enrollment in the District for fiscal year 2023-24 was projected to be approximately 412,341 students, including those attending magnet, opportunity, and continuation schools and centers, locally-funded affiliated charter schools (“Affiliated Charter Schools”), and schools for people with disabilities. Such enrollment represents a decrease of 1,482 students or a decline of approximately 0.36% from the budgeted TK-12 enrollment in the District at the time of preparation of the District’s original adopted budget for fiscal year 2023-24 (the “Fiscal Year 2023-24 Budget”). Such enrollment does not include students attending fiscally independent charter schools (“Fiscally Independent Charter Schools”) that was budgeted at 108,702 students at the time of preparation of the Fiscal Year 2023-24 Budget. Based on enrollment projections at the time of preparation of the Fiscal Year 2023-24 Second Interim Report, the District was projecting enrollment to decline by 2.49% on average through fiscal year 2025-26. For more information regarding District enrollment and average daily attendance, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance.” See also APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Budget – LACOE’s Responses to Fiscal Year 2023-24 Budget,” for information regarding District operating deficits in relation to declining enrollment. As reflected in the District’s Audited Annual Financial Report for fiscal year 2022-23, the District operated 1,238 schools and centers, which consisted of 434 elementary schools, 78 middle/junior high schools, 87 senior high schools, 59 options schools, 262 magnet centers, 67 magnet schools, 30 multi-level schools, 12 special education schools, 2 community adult schools, 7 regional occupational centers, 2 skills centers, 87 early education centers, 4 infant centers, 18 primary school centers, and 89 California State preschools in fiscal year 2022-23. As reflected in the District’s Audited Annual Financial Report for fiscal year 2022-23, 51 of the District’s schools were operated as Affiliated Charter Schools. In addition, as reflected in the District’s Audited Annual Financial Report for fiscal year 2022-23, the District oversaw 224 Fiscally Independent Charter Schools within the District’s boundaries. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Charter School Funding.”]

Assembly Bill 218 and Tort Liabilities

AB 218, which became effective on January 1, 2020, extended the statute of limitations for commencing an action for recovery of damages suffered as a result of childhood sexual assault to 22 years after the plaintiff reaches the age of majority (i.e., until age 40) or within five years of the date the plaintiff discovers or reasonably should have discovered that the psychological injury or illness occurring after the age of majority was caused by sexual assault, whichever is later. AB 218 also revived a three-year window

to file certain claims that were previously barred and excluded certain claims from the procedures set forth in the Government Claims Act. The District is defending a significant number of lawsuits arising from AB 218 and similar childhood sexual assault, abuse and/or molestation claims for tort liability. The Series 2924A Notes, including as issued to refund the Series 2024A Judgment, each relates to the settlement of [] AB 218 [and similar childhood sexual assault, abuse and/or molestation] related claims against the District.

Since the District is in the middle of litigation on many of the pending AB 218 and similar childhood sexual assault, abuse and/or molestation lawsuits, the District cannot fully predict the extent of its liability in such cases, whether the claimants will prevail, and if so, how a final court decision or settlement agreement with respect to each such lawsuit may affect the financial status, policies or operations of the District, as the nature of the applicable courts' remedies and the responses thereto are unknown at the present time. The District may finance or refinance other Judgements entered against the District as a result of such cases, including by issuing Additional Bonds on parity with the Series 2024A Bonds.

For specific information on the Series 2024A Notes, the Series 2024A Judgment, and the impact of litigation resulting from AB 218 and similar childhood sexual assault, abuse and/or molestation claims for tort liability on the District's operations and finances, see "RISK FACTORS – Assembly Bill 218 and Related Claims" and APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Risk Management and Litigation" and "– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims" thereunder.

Additional information on the District is set forth in Appendices A and B. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION" and APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023." For information regarding potential additional financings the District may undertake relating to the Judgements and other capital needs, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Future Financings."

The Series 2024A Bonds

The Series 2024A Bonds will be dated as of their initial date of delivery and will mature on [October] 1 of each year and will bear interest (calculated on the basis of a 360-day year comprised of twelve 30-day months) at the rates per annum as set forth on the inside cover page hereof. Interest on the Series 2024A Bonds will be payable on [April] 1 and [October] 1 of each year, commencing [April 1, 2025], so long as any Series 2024A Bonds remain Outstanding. See "THE SERIES 2024A BONDS" herein. The Series 2024A Bonds will be initially delivered only in book-entry form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"), which will act as securities depository for the Series 2024A Bonds. Purchasers of Series 2024A Bonds will not receive certificates representing their ownership interests in the Series 2024A Bonds purchased. The Series 2024A Bonds are issuable as fully registered Series 2024A Bonds without coupons in denominations of \$5,000 or any integral multiple thereof. Payments of principal of and interest on the Series 2024A Bonds are payable directly to DTC by the Trustee. Upon receipt of payments of principal and interest, DTC will in turn distribute such payments to the beneficial owners of the Series 2024A Bonds. See APPENDIX G – "BOOK-ENTRY-ONLY SYSTEM."

[The Series 2024A Bonds are subject to redemption prior to maturity as described herein. See "THE SERIES 2024A BONDS – Redemption."]

Security and Sources of Payment

The Series 2024A Bonds are obligations imposed by law payable from funds to be appropriated by the District. The Series 2024A Bonds are unconditional obligations of the District, payable as to principal, premium (if any) and interest from all taxes, income, revenue, cash receipts and other legally available money of the District. Payment of principal of and interest on the Series 2024A Bonds is not limited to any special source of funds. The District has covenanted in the Indenture to include in its budget in each Fiscal Year a provision for funds in an amount sufficient to pay the principal of and interest on the Bonds coming due in such Fiscal Year.

The obligations of the District under the Bonds and under the Indenture, including the obligation to make all payments of the interest on and the principal of the Bonds when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Bonds nor the obligation of the District to make payment of the interest on or the principal of the Bonds constitutes an indebtedness of the District or the State, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction. Reference is made to the Act and to the Indenture for a description of the terms on which the Bonds are issued, for the rights of the Owners of the Bonds, for the security for payment of the Bonds, for the remedies upon default and limitations thereon and for the provisions for the amendment of the Indenture.

For more complete and detailed information, see “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.” For a discussion of certain risks associated with the District’s ability to pay debt service on the Bonds, see “RISK FACTORS.”

Bond Owners’ Risks

Certain events could affect the ability of the District to pay debt service on the Bonds when due. See “RISK FACTORS” for a discussion of certain factors that should be considered, in addition to other matters set forth herein, in evaluating an investment in the Bonds.

Continuing Disclosure

The District has covenanted for the benefit of the holders and Beneficial Owners of the Series 2024A Bonds to provide, or to cause to be provided, to the Municipal Securities Rulemaking Board (the “MSRB”) through its Electronic Municipal Market Access system or such other electronic system designated by the Municipal Securities Rulemaking Board (the “EMMA System”) certain annual financial information and operating data relating to the District (the “Annual Report”) by not later than 240 days following the end of the District’s fiscal year (currently ending June 30), commencing with the report for fiscal year [2024-25] and notice of the occurrence of certain enumerated events (“Notice Events”) in a timely manner not in excess of ten business days after the occurrence of such a Notice Event. The specific nature of the information to be contained in the Annual Report and the notices of Notice Events is set forth in APPENDIX E – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.” Copies of the District’s annual reports and notices of Listed Event filings are available at the website of Digital Assurance Certification, L.L.C. (“DAC”), www.dacbond.com, and at the website of the Emma System, emma.msrb.org. The information presented on these websites is not incorporated by reference in this Official Statement and should not be relied upon in making an investment decision with respect to the Series 2024A Bonds. These covenants have been made in order to assist the Underwriters in complying with Rule 15c2-12(b)(5) of the Securities and Exchange Commission (“SEC”).

[Due to the impact of COVID-19 on California school district operations during fiscal year 2019-20, California Senate Bill 98 extended the deadline for school districts to file their audited financial statements for fiscal year 2019-20 with the State to March 31, 2021. As a result, at the time of filing the District's Annual Report for fiscal year 2019-20, the District's audited financial statements for fiscal year 2019-20 were not yet available. The District's audited financial statements for fiscal year 2019-20 were subsequently filed to EMMA on March 30, 2021. Additionally, within the past five years, certain of the District's annual reports and Listed Events filings required in connection with its prior continuing disclosure undertakings were not properly linked to all CUSIP numbers for the District's outstanding bonds.]

Forward-Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute "forward-looking statements." Such statements are generally identifiable by the terminology used, such as "plan," "expect," "estimate," "budget," "intend" or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The District does not plan to issue any updates or revisions to those forward-looking statements if or when their expectations, or events, conditions, or circumstances on which such statements are based, occur.

Other Information

The information and expressions of opinion herein speak only as of their date and are subject to change without notice. Neither the delivery of this Official Statement nor any sale made hereunder nor any future use of this Official Statement shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. The presentation of information, including tables of receipt of revenues, is intended to show recent historical information and is not intended to indicate future or continuing trends in the financial position or other affairs of the District. No representation is made that past experience, as it might be shown by such financial and other information, will necessarily continue or be repeated in the future. This Official Statement is current only as of its date, and the information contained herein is subject to change.

For a more complete description of the Bonds and the basic documentation pursuant to which they are being sold and delivered, see "THE SERIES 2024A BONDS," "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS" and APPENDIX C – "SUMMARY OF INDENTURE." The summaries and descriptions in this Official Statement of the Indenture and other agreements relating to the Bonds are qualified in their entirety by the respective form thereof and the information with respect thereto included in such documents. The descriptions herein of the Indenture and any other agreements relating to the Bonds are qualified in their entirety by reference to such documents, and the descriptions herein of the Bonds are qualified in their entirety by the form thereof and the information with respect thereto included in the aforementioned documents. See APPENDIX C – "SUMMARY OF INDENTURE."

Copies of the Indenture and the Revolving Credit Agreement are available for inspection at the District at 333 South Beaudry Avenue, Los Angeles, California 90017, by request to the Office of the Chief Business Officer, and, following delivery of the Series 2024A Bonds, will be on file at the offices of the Trustee in Los Angeles, California.

THE SERIES 2024A BONDS

General

The Series 2024A Bonds will be dated as of their initial date of delivery and will mature on [October] 1 of each year and will bear interest at the rates per annum as set forth on the inside cover page hereof. Interest on the Series 2024A Bonds will be payable on [April] 1 and [October] 1 of each year, commencing [April 1, 2025], so long as any Series 2024A Bonds remain Outstanding (each, an “Interest Payment Date”). Interest on the Series 2024A Bonds will be computed on the basis of a 360-day year consisting of twelve, 30-day months. The Series 2024A Bonds will be issued as fully registered bonds without coupons in denominations of \$5,000 or any integral multiple thereof. The principal of and premium, if any, on the Series 2024A Bonds will be payable in lawful money of the United States of America upon presentation and surrender thereof upon maturity or earlier redemption at the Office of the Trustee.

The Series 2024A Bonds will be initially delivered only in book-entry form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”), which will act as securities depository for the Series 2024A Bonds. Individual purchases of the Series 2024A Bonds will be made in book-entry form only. Purchasers of Series 2024A Bonds will not receive certificates representing their ownership interests in the Series 2024A Bonds purchased. Rather, in accordance with the Book-Entry System, purchasers of Series 2024A Bonds will have beneficial ownership interests in the purchased Series 2024A Bonds through DTC Participants. For more information concerning the Book-Entry System, see APPENDIX G – “BOOK-ENTRY-ONLY SYSTEM” herein.

Interest on the Series 2024A Bonds will be payable from the Interest Payment Date next preceding the date of authentication thereof unless (i) a Series 2024A Bond is authenticated on or before an Interest Payment Date and after the close of business on the preceding Record Date, in which event it will bear interest from such Interest Payment Date; (ii) a Series 2024A Bond is authenticated on or before the first Record Date, in which event interest thereon will be payable from the Series 2024A Closing Date; or (iii) interest on any Series 2024A Bond is in default as of the date of authentication thereof, in which event interest thereon will be payable from the date to which interest has been paid in full or made available for such payment, payable on each Interest Payment Date. Interest will be paid in lawful money of the United States on each Interest Payment Date to the Persons in whose names the ownership of the Series 2024A Bonds is registered on the Registration Books at the close of business on the immediately preceding Record Date, except as provided below. Except as otherwise provided in the Letter of Representations, interest will be paid by check of the Trustee mailed by first class mail, postage prepaid, on each Interest Payment Date to the Owners at their respective addresses shown on the Registration Books as of the close of business on the preceding Record Date, except that in the case of an Owner of \$1,000,000 or more in aggregate principal amount of Series 2024A Bonds, upon the written request of such Owner to the Trustee, received at least ten days prior to a Record Date, specifying the account or accounts to which such payment will be made, payment of interest will be made by wire transfer of immediately available funds on the following Interest Payment Date. Any such request shall remain in effect until revoked or revised by such Owner by an instrument in writing delivered to the Trustee. Payments of principal of and interest on the Series 2024A Bonds are payable directly to DTC by the Trustee. Upon receipt of payments of principal and interest, DTC will in turn distribute such payments to the beneficial owners of the Series 2024A Bonds. See APPENDIX G – “BOOK-ENTRY-ONLY SYSTEM.” As defined in the Indenture, the term “Record Date” means the 15th calendar day of the month preceding each Interest Payment Date, whether or not such day is a Business Day.

The Trustee and the District may treat DTC (or its nominee) as the sole and exclusive Owner of the Series 2024A Bonds registered in its name for the purposes of payment of the principal or Redemption Price of, or interest on the Series 2024A Bonds, selecting the Series 2024A Bonds or portions thereof to be

redeemed, giving any notice permitted or required to be given to Owners of Series 2024A Bonds under the Indenture, registering the transfer of Series 2024A Bonds, obtaining any consent or other action to be taken by Owners of Series 2024A Bonds and for all other purposes whatsoever, and neither the Trustee nor the District will be affected by any notice to the contrary. Neither the Trustee nor the District will have any responsibility or obligation to any Participant, any person claiming a beneficial ownership interest in the Series 2024A Bonds under or through DTC or any Participant, or any other person which is not shown on the Registration Books as being an Owner, with respect to the accuracy of any records maintained by DTC or any Participant; the payment by DTC or any Participant of any amount in respect of the principal or Redemption Price of, or interest on the Series 2024A Bonds; any notice which is permitted or required to be given to Owners of Series 2024A Bonds under the Indenture; the selection by DTC or any Participant of any person to receive payment in the event of a partial redemption of the Series 2024A Bonds; or any consent given or other action taken by DTC as Owner of Series 2024A Bonds. While the Series 2024A Bonds are subject to the Book-Entry System, payments of principal or Redemption Price of, or interest on, the Series 2024A Bonds will be made by the Trustee to DTC, which in turn is obligated to remit such principal and interest to its DTC Participants for subsequent disbursement to beneficial owners of the Series 2024A Bonds as described herein. See APPENDIX G – “BOOK-ENTRY-ONLY SYSTEM” herein.

Redemption of Series 2024A Bonds

Optional Redemption of Series 2024A Bonds. [The Series 2024A Bonds maturing on or after [October] 1, 20__ are subject to redemption prior to their respective stated maturities at the written direction of the District, from any moneys deposited by the District, as a whole or in part on any date (in such maturities as are designated in writing by the District to the Trustee) on or after [October] 1, 20__, at a redemption price of 100% of the principal amount of Series 2024A Bonds called for redemption, together with accrued interest to the date fixed for redemption.

Mandatory Sinking Fund Redemption of Series 2024A Bonds. The Series 2024A Bonds maturing on [October] 1, 20__ will be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series 2024A Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1	Principal Amount
	\$

If some but not all of the Series 2024A Bonds are redeemed by optional redemption, the principal amount of the Series 2024A Bonds to be subject to sinking fund redemption on any subsequent [October] 1 will be reduced by the aggregate principal amount of the Series 2024A Bonds so redeemed by optional redemption, such reduction to be allocated among redemption dates in Authorized Denominations, as designated by the District in a Written Certificate of the District.

The Series 2024A Bonds maturing on [October] 1, 20__ will be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series 2024A Bonds to be redeemed, without premium, plus accrued

interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1	Principal Amount
	\$

If some but not all of the Series 2024A Bonds are redeemed by optional redemption, the principal amount of the Series 2024A Bonds to be subject to sinking fund redemption on any subsequent [October] 1 will be reduced by the aggregate principal amount of the Series 2024A Bonds so redeemed by optional redemption, such reduction to be allocated among redemption dates in Authorized Denominations, as designated by the District in a Written Certificate of the District.

Selection of Series 2024A Bonds for Redemption. [Whenever provision is made in the Indenture for the redemption of less than all of the Bonds, the Trustee will select the Bonds to be redeemed from all Bonds not previously called for redemption (a) with respect to any optional redemption of Bonds, as directed in a Written Certificate of the District, and (b) with respect to any other redemption of Additional Bonds, among maturities as provided in the Supplemental Indenture pursuant to which such Additional Bonds are issued, and by lot among Bonds of the same Series with the same maturity in any manner which the Trustee in its sole discretion shall deem appropriate and fair. The Trustee will promptly notify the District in writing of the numbers of the Bonds so selected for redemption on such date. For purposes of such selection, any Bond may be redeemed in part in Authorized Denominations.]

[Whenever provision is made in the Indenture for the redemption of less than all of the Series 2024A Bonds, the Trustee will select the Series 2024A Bonds to be redeemed from all Series 2024A Bonds not previously called for redemption as directed in a Written Certificate of the District. For purposes of such selection, all Series 2024A Bonds will be deemed to be comprised of separate Authorized Denominations and such separate denominations will be treated as separate Series 2024A Bonds which may be separately redeemed.]

Partial Redemption of Bonds. Upon surrender of any Bonds redeemed in part only, the District will execute and the Trustee will authenticate and deliver to the Owner thereof, at the expense of the District, a new Bond or Bonds of the same Series in Authorized Denominations equal in aggregate principal amount representing the unredeemed portion of the Bonds surrendered.

Notice of Redemption. The Trustee on behalf and at the expense of the District will mail (by first class mail) notice of any redemption to the respective Owners of any Bonds designated for redemption at their respective addresses appearing on the Registration Books at least 20 but not more than 60 days prior to the date fixed for redemption. Such notice will state the date of the notice, the redemption date, the redemption place and the redemption price and will designate the CUSIP numbers, if any, the Series, the Bond numbers of the Bonds to be redeemed, and, if all of the Outstanding Bonds are being redeemed on such redemption date, will require that such Bonds be then surrendered at the Office of the Trustee for redemption at the redemption price, giving notice also that further interest on such Bonds will not accrue from and after the date fixed for redemption. Neither the failure to receive any notice so mailed, nor any defect in such notice, shall affect the validity of the proceedings for the redemption of the Bonds or the cessation of accrual of interest thereon from and after the date fixed for redemption.

With respect to any notice of any optional redemption of Bonds of a Series, unless at the time such notice is given the Bonds to be redeemed shall be deemed to have been paid in accordance with the Indenture, such notice will state that such redemption is conditional upon receipt by the Trustee, on or prior to the date fixed for such redemption, of moneys that, together with other available amounts held by the Trustee, are sufficient to pay the redemption price of, and accrued interest on, the Bonds to be redeemed, and that if such moneys shall not have been so received said notice will be of no force and effect and the District will not be required to redeem such Bonds. In the event a notice of redemption of Bonds contains such a condition and such moneys are not so received, the redemption of Bonds as described in the conditional notice of redemption will not be made and the Trustee will, within a reasonable time after the date on which such redemption was to occur, give notice to the Persons and in the manner in which the notice of redemption was given, that such moneys were not so received and that there will be no redemption of Bonds pursuant to such notice of redemption.

Effect of Notice of Redemption. Notice having been mailed as aforesaid, and moneys for the redemption (including the interest to the applicable redemption date) of the Series 2024A Bonds to be redeemed having been deposited in the Bond Fund, such Series 2024A Bonds will become due and payable on said date, and said Series 2024A Bonds will be paid at the redemption price thereof, together with interest accrued and unpaid to said date.

If, on said redemption date, moneys for the redemption of all the Series 2024A Bonds to be redeemed, together with interest to said date, will be held by the Trustee so as to be available therefor on such date, and, if notice of redemption thereof shall have been mailed as aforesaid and not canceled, then, from and after said date, interest on said Series 2024A Bonds will cease to accrue and become payable. All moneys held by or on behalf of the Trustee for the redemption of Series 2024A Bonds will be held in trust for the account of the Owners of the Series 2024A Bonds so to be redeemed.

All Series 2024A Bonds paid at maturity or redeemed prior to maturity pursuant to the Indenture will be canceled upon surrender thereof and the Trustee will deliver a certificate of destruction to the District.

Transfer and Exchange of Series 2024A Bonds

The following provisions regarding the exchange and transfer of the Series 2024A Bonds apply only during any period in which the Series 2024A Bonds are not subject to the Book-Entry System. While the Series 2024A Bonds are subject to the Book-Entry System, their exchange and transfer will be effected through DTC and the DTC Participants and will be subject to the procedures, rules and requirements established by DTC.

Any Series 2024A Bond may, in accordance with its terms, be transferred upon the Registration Books by the Person in whose name it is registered, in person or by his duly authorized attorney, upon surrender of such bond for cancellation, accompanied by delivery of a written instrument of transfer, duly executed in a form acceptable to the Trustee. Whenever any Series 2024A Bond or Series 2024A Bonds will be surrendered for transfer, the District will execute and the Trustee will authenticate and will deliver a new Series 2024A Bond or Series 2024A Bonds of the same maturity in a like aggregate principal amount, in any authorized denomination. The Trustee will require the Owner requesting such transfer to pay any tax or other governmental charge required to be paid with respect to such transfer.

The Series 2024A Bonds may be exchanged at the Office of the Trustee for a like aggregate principal amount of Series 2024A Bonds of the same maturity of other authorized denominations. The Trustee will require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange.

Book-Entry Only System

General. DTC will act as securities depository for the Series 2024A Bonds. The Series 2024A Bonds will be executed and delivered as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Series 2024A Bond will be issued for each stated Principal Payment Date of the Series 2024A Bonds, each in the aggregate amount of the principal evidenced by Series 2024A Bonds with such stated Principal Payment Date, and will be deposited with DTC. See APPENDIX G – "BOOK-ENTRY ONLY SYSTEM."

Discontinuance of DTC. In the event that (a) DTC determines not to continue to act as securities depository for the Series 2024A Bonds or (b) the District determines that continuation of the book-entry system is not in the best interest of the beneficial owners of the Series 2024A Bonds or the District, then the District may discontinue the book-entry system with DTC. If the District determines to replace DTC with another qualified securities depository, the District shall prepare or direct the preparation of a new single, separate, fully registered Series 2024A Bond for each of the different maturity dates and interest rates of such Series 2024A Bonds, registered in the name of such successor or substitute qualified securities depository or its nominee as provided in Indenture. If the District fails to identify another qualified securities depository to replace DTC, then the Series 2024A Bonds shall no longer be restricted to being registered in the Series 2024A Bond Register in the name of the nominee, but shall be registered in whatever name or names the Owners transferring or exchanging such Series 2024A Bonds shall designate, in accordance with the transfer and exchange provisions of the Indenture summarized in APPENDIX C – "SUMMARY OF INDENTURE."

SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

Nature of the Bonds

The Indenture provides that the District is obligated to transfer to the Trustee, not later than two days prior to each Interest Payment Date, an amount which, together with the amount then on deposit in the Bond Fund, will equal the amount of the principal of and interest on the Bonds becoming due on such Interest Payment Date. The District has covenanted in the Indenture to include in its budget in each Fiscal Year a provision for funds in an amount sufficient to pay the principal of and interest on the Bonds coming due in such Fiscal Year.

The Series 2024A Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation. The obligation of the District to make payments with respect to the Series 2024A Bonds is an absolute and unconditional obligation of the District imposed upon the District and enforceable against the District pursuant to law. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION" and APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

As provided in the Indenture, the District pledges and grants a lien on and a security interest in all of the amounts held in the Bond Fund as security for the payment of the principal of and interest on the Bonds in accordance with their terms, the provisions of the Indenture and the Refunding Law. The Indenture provides that said pledge shall constitute a first lien on such assets. The District expressly reserves the right to issue or incur other obligations for any of its corporate purposes.

In accordance with the Indenture, the Trustee will establish, maintain, and hold in trust a special fund designated the "Refunding Fund" and a special fund designated the "Bond Fund." The Indenture

provides that not later than two days prior to each Interest Payment Date, the District will transfer to the Trustee an amount which, together with the amount then on deposit in the Bond Fund, will equal the amount of the principal of and interest on the Bonds becoming due on such Interest Payment Date. The Indenture provides that the Trustee shall, upon receipt, deposit such amount in the Bond Fund. On or before each Interest Payment Date, the Trustee is required to withdraw from the Bond Fund for payment to the Owners of the Bonds the principal, if any, of and interest then due and payable on the Bonds. If there are insufficient funds in the Bond Fund to pay the principal, if any, of and interest on the Bonds, the Trustee shall apply the available funds first to the payment of interest on the Bonds, then to the payment of principal of the Bonds.

THE OBLIGATIONS OF THE DISTRICT UNDER THE SERIES 2024A BONDS AND UNDER THE INDENTURE, INCLUDING THE OBLIGATION TO MAKE ALL PAYMENTS OF THE INTEREST ON AND THE PRINCIPAL OF THE SERIES 2024A BONDS WHEN DUE ARE OBLIGATIONS OF THE DISTRICT IMPOSED BY LAW AND ARE ABSOLUTE AND UNCONDITIONAL, WITHOUT ANY RIGHT OF SET-OFF OR COUNTERCLAIM. THE SERIES 2024A BONDS DO NOT CONSTITUTE AN OBLIGATION OF THE DISTRICT FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION, AND NEITHER THE SERIES 2024A BONDS NOR THE OBLIGATION OF THE DISTRICT TO MAKE PAYMENT OF THE INTEREST ON OR THE PRINCIPAL OF THE SERIES 2024A BONDS CONSTITUTES AN INDEBTEDNESS OF THE DISTRICT OR THE STATE, OR ANY OF ITS POLITICAL SUBDIVISIONS, IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

If an Event of Default, as that term is defined in the Indenture, will occur, the principal of all Bonds may be declared due and payable upon the conditions, in the manner and with the effect provided in the Indenture; provided, that the Indenture provides that in certain events such declaration and its consequences may be rescinded under the circumstances as provided therein. See “Action on Default” below.

The Indenture and the rights and obligations of the District, the owners of the Bonds and the Trustee may be modified or amended from time to time and at any time in the manner, to the extent, and upon the terms provided in the Indenture; provided that no such modification or amendment will (a) extend the fixed maturity of any Bonds, or reduce the amount of principal thereof, or reduce the interest rate borne thereby, or extend or accelerate the time of payment thereof, or modify the redemption provisions applicable thereto, without the consent of the owner of each Bond so affected, or (b) reduce the percentage of Bonds the consent of the owners of which is required to effect any such amendment or modification, without the consent of the owners of all outstanding Bonds.

For a discussion of certain risks associated with the District’s ability to pay debt service on the Bonds, see “RISK FACTORS.”

Covenant to Appropriate Funds

The District has covenanted in the Indenture to include in its budget in each Fiscal Year a provision to provide funds in an amount sufficient to pay the principal of and interest on the Bonds coming due in such Fiscal Year.

Absolute Obligation

As provided in the Indenture, nothing in any provision of the Indenture or in the Bonds shall affect or impair the obligation of the District, which is absolute and unconditional, to pay the principal of and interest on the Bonds to the respective Owners of the Bonds at their respective dates of maturity, as provided

therein, or affect or impair the right of such Owners, which is also absolute and unconditional, to enforce such payment by virtue of the contract embodied in the Bonds.

No Reserve Fund

The Indenture does not require a reserve fund in connection with the issuance of the Series 2024A Bonds. Amounts held or to be held in a debt service reserve fund or account established for any other obligations payable from the District's General Fund may not be used or drawn upon to pay principal of or interest on the Series 2024A Bonds.

Risk Management, Insurance and General Fund Reserves

For information regarding the District's risk management programs, insurance, and operating reserves, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION" and APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

Additional Bonds

The District may at any time issue Additional Bonds on a parity with the Series 2024A Bonds, but only subject to the following specific conditions, which are hereby made conditions precedent to the issuance of any such Additional Bonds:

(a) The District shall be in compliance with all agreements and covenants contained in the Indenture.

(b) The issuance of such Additional Bonds shall have been authorized pursuant to the Refunding Law and shall have been provided for by a Supplemental Indenture which shall specify the following:

(i) The purpose for which such Additional Bonds are to be issued; provided that such Additional Bonds shall be applied solely for (i) refunding the District's obligations to the Judgment Obligees evidenced by the Judgments, (ii) refunding the District's obligations to any Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under the related Notes, Revolving Credit Agreement, and Fee Agreement, and costs of issuance of such Notes (including underwriter's discount or placement agent fee), (iii) refunding Bonds Outstanding under the Indenture, and (iv) paying costs incidental to or connected with the issuance of Additional Bonds for such purpose;

(ii) Specification of the respective Judgment Obligees and/or the respective Lenders or other holders of the related Notes to be refunded by such Additional Bonds;

(iii) The principal amount and Series designation of such Series of Additional Bonds and the denomination or denominations of the Additional Bonds, which shall be Authorized Denominations;

(iv) That such Additional Bonds shall be payable as to interest on the Interest Payment Dates, except that the first installment of interest may be payable on either [April] 1 or [October] 1.

(v) The date, the maturity date or dates and the dates on which mandatory sinking fund redemptions, if any, are to be made for such Additional Bonds; provided, that (A) the serial Bonds of such

Series of Additional Bonds shall be payable as to principal annually on [October] 1 of each year in which principal falls due, and the term Bonds of such Series of Additional Bonds shall have annual mandatory sinking fund redemptions on [October] 1, (B) all Additional Bonds of a Series of like maturity shall be identical in all respects, except as to number or denomination, and (C) serial maturities of serial Bonds or mandatory sinking fund redemptions for term Bonds, or any combination thereof, shall be established to provide for the redemption or payment of such Additional Bonds on or before their respective maturity dates;

(vi) The redemption premiums, if any, and the redemption terms, if any, for such Additional Bonds; and

(vii) Such other provisions (including the requirements of a book-entry bond registration system, if any) as are necessary or appropriate and not inconsistent herewith.

At any time after the sale of any Additional Bonds in accordance with the Refunding Law, the District shall execute such Additional Bonds for issuance under the Indenture and shall deliver them to the Trustee, and thereupon such Additional Bonds shall be authenticated and delivered by the Trustee to the purchaser thereof upon the Written Request of the District, as provided in the Indenture. APPENDIX C – “SUMMARY OF INDENTURE – THE BONDS – Conditions for the Issuance of Additional Bonds” and “– Procedure for the Issuance of Additional Bonds.”

Action on Default

Should the District default under the Indenture, the Trustee may, and upon the written direction of the Owners of not less than 25% in aggregate principal amount of the Outstanding Bonds, will, by written notice to the District, declare immediately due and payable as provided in the Indenture the principal of all Outstanding Bonds and the accrued interest thereon. See APPENDIX C – “SUMMARY OF INDENTURE – Events of Default and Remedies.” All money in the Refunding Fund and the Bond Fund upon the date of the declaration of acceleration by the Trustee and all amounts thereafter received by the Trustee under the Indenture will be applied by the Trustee to the payment of any expenses of the Trustee incurred in and about the performance of its powers and duties under the Indenture and thereafter to the payment of the principal of and interest then due on the Bonds as provided in the Indenture. For a description of the events of default and permitted remedies of the Trustee under the Indenture, see APPENDIX C – “SUMMARY OF INDENTURE – Events of Default and Remedies.”

THE JUDGMENTS AND THE PLAN OF FINANCE

Refunding of the Series 2024A Judgment

The Series 2024A Bonds are being issued to refund the District’s obligation under certain Series 2024A Notes (as defined herein) issued in satisfaction of the Series 2024A Judgment to make payments to the Series 2024A Judgment Obligees. To ease the financial burden and the potential hardship on the District, the District resolved the issue of damages with the Series 2024A Judgment Obligees, which resolution was memorialized in a Settlement and Release Agreement (the “Settlement Agreement”). The Settlement Agreement established an exact sum for the payment of damages at \$ _____ as of _____ 2024, plus interest to accrue thereon until payment, in settlement of claims brought by _____ claimants pursuant to California Code of Civil Procedure Section 340.1 and AB 218. On _____, 2024, the Superior Court of California, County of Los Angeles, entered the Series 2024A Judgment in the action which approved and incorporated the terms of the Settlement Agreement as the judgment of the Court. On _____, 2024, the Series 2024A Judgment was refunded with an advance of funds under the revolving credit agreement dated as of _____ 1, 2024 (the “Series 2024A Revolving Credit Agreement”), by and between the District

and _____, as lender, and the issuance of certain Notes (the “Series 2024A Notes”) in accordance therewith.

The Series 2024A Bonds are being issued to refund the District’s obligation under the “Series 2024A Notes in satisfaction of the Series 2024A Judgment. The proceeds from the sale of the Series 2024A Bonds will be used to (i) refund the Series 2024A Notes evidencing the payment of the Series 2024A Judgment and (ii) pay the costs incurred in connection with the authorization and issuance of the Series 2024A Bonds. See “ESTIMATED SOURCES AND USES OF FUNDS.”

The obligation of the District to pay the Series 2024A Bonds to refinance these obligations is an existing obligation of the District and is an existing obligation of the District and is an obligation imposed by law. Additionally, the Series 2024A Bonds, the Indenture and any and all contracts and agreements relating thereto, relate to and constitute the refunding of such obligation imposed by law exempt from the debt limitation of Article XVI, Section 18 of the California Constitution. See “VALIDATION PROCEEDING.”

For additional current information, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION - DISTRICT FINANCIAL INFORMATION - Risk Management and Litigation” and “– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims” thereunder.

Refunding Program (AB 218)

Currently, the District is obligated, and anticipates the potential to be obligated on similar terms, to pay certain claimants and/or plaintiffs (each, a “Judgment Obligor” and, collectively, the “Judgment Obligors”) with respect to final judgments or orders for monetary damages against the District following concluded litigation or stipulated settlement (each such judgment or order which is entered against the District by the applicable court or courts and which is not subject to appeal or further appeal, or which the District has indicated that it will not appeal, being referred to herein as, a “Judgment” and, collectively, the “Judgments”) by the applicable court or courts, including, without limitation, the California Superior Court before which several claims are currently pending, as a result of litigation brought by application of California Code of Civil Procedure Section 340.1 and AB 218 and similar childhood sexual assault, abuse and/or molestation claims for tort liability. [The District estimates, as of _____, 2024, a total potential liability resulting from California Code of Civil Procedure Section 340.1 and AB 218 and such similar claims to be \$_____.]

In response, the District has coordinated a program of short-term and longer-term borrowings for the purposes of providing interim satisfaction and refunding of the District’s obligations to the Judgment Obligors evidenced by the Judgments, including revolving credit agreements (each, a “Revolving Credit Agreement” or, collectively, the “Revolving Credit Agreements”) with one or more banks, each as a lender (each, a “Lender” or, collectively, the “Lenders”), with the District’s obligations under each Revolving Credit Agreement to be evidenced by judgment obligation promissory notes to be issued by the District as provided therein, as well as other forms of temporary borrowing by the District in the form of notes to be issued from time to time (each, a “Temporary Note” or, collectively, the “Temporary Notes” and, together with the Promissory Notes, the “Notes”), the proceeds of which are used to satisfy and refund one or more Judgments and which will be drawn upon only as funds are needed to satisfy any Judgment or Judgments.

For purposes of providing a more permanent financing solution for the District’s obligations to the Judgment Obligors evidenced by the Judgments consistent with the District’s long-term budgetary objectives, the Board has authorized under the Resolution the issuance of its Los Angeles Unified School

District Judgment Obligation Bonds in or more series on parity with the Series 2024A Bonds (as further defined herein, the “Bonds”) to represent the aggregate amounts to be payable to Judgment Obligees.

As an obligation of the District, each and every refunding Note issued to refund and discharge a related Judgment and/or Bond issued to refund and discharge a related Note and/or Judgment, take on the character of and represent the refunded obligation of the District as an obligation imposed by law to pay a Judgment Obligee or Judgment Obligees as a result of a Judgment or Judgments.

Risk Management Authority Reinsurance Coverage

[The District has established and capitalized a Risk Management Authority to provides an insurance program for the District and the Los Angeles Trust Children’s Health Inc. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage which is not presently available to self-insured public agencies such as the District. This insurance program provides and alternative source of funds to resolve claim determined not to be refunded as described herein. For additional current information, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION - DISTRICT FINANCIAL INFORMATION - Risk Management and Litigation” and “– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims” thereunder.]

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds with respect to the Series 2024A Bonds are shown below.

Estimated Sources of Funds

Principal Amount of Series 2024A Bonds
Plus [Net] Original Issue Premium
Total Sources

Estimated Uses of Funds

Refunding Fund
Underwriters’ Discount
Costs of Issuance⁽¹⁾
Total Uses

⁽¹⁾ Includes legal, municipal advisor and rating agency fees, printing and other fees and miscellaneous costs of issuance of the Series 2024A Bonds.

DEBT SERVICE SCHEDULE

The table below sets forth the amount required in each fiscal year for the payment of principal of and interest on the Series 2024A Bonds assuming no prior redemptions. The Bonds mature on [October] 1 of each year as set forth below.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BONDS, SERIES 2024A
DEBT SERVICE SCHEDULE**

Interest Payment Date	Principal	Interest	Total Semi-Annual Debt Service	Total Annual Debt Service
04/01/2024				
10/01/2024				
04/01/2025				
10/01/2025				
04/01/2026				
10/01/2026				
04/01/2027				
10/01/2027				
04/01/2028				
10/01/2028				
04/01/2029				
10/01/2029				
04/01/2030				
10/01/2030				
04/01/2031				
10/01/2031				
04/01/2032				
10/01/2032				
04/01/2033				
10/01/2033				
04/01/2034				
10/01/2034				
04/01/20__				
10/01/20__				
Total:				

RISK FACTORS

The following factors, along with the other information in this Official Statement, should be considered by potential investors in evaluating the purchase of the Series 2024A Bonds. However, they do not purport to be an exhaustive listing of risks and other considerations which may be relevant to an investment in the Series 2024A Bonds. In addition, the order in which the following factors are presented is not intended to reflect the relative importance of any such risks.

Bonds are a General Fund Obligation of the District

The obligation of the District to make debt service payments on the Bonds does not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation.

The Indenture does not create a pledge, lien, or encumbrance upon the funds of the District. Pursuant to law, the Bonds are payable from any available funds of the District. The District covenants in the Indenture to punctually pay the interest on and principal of every Bond in strict conformity with the terms thereof and of the Indenture. The District is liable and may become liable on other obligations payable from general revenues, some of which may have a priority over payments of the principal of, premium, if

any, and interest on, the Bonds, or which the District, in its discretion, may determine to pay prior to the principal of, premium, if any, and interest on, the Bonds.

The District has the capacity to enter into other obligations payable from the District's General Fund without the consent of or prior notice to the Owners of the Bonds, and has expressly reserved the right to issue or incur other obligations for any of its corporate purposes. To the extent that additional obligations are incurred by the District, the funds available to make payments of the principal of, premium, if any, and interest on, the Bonds may be decreased. In the event the District's revenue sources are less than its total obligations, the District could choose to fund other activities before making payment of the principal of, premium, if any, and interest on, the Bonds. The same result could occur if State constitutional expenditure limitations were to prohibit the District from appropriating and spending all of its otherwise available revenues.

Cash Management

[To the extent the Board is required to make needed budget adjustments and to maintain a balanced budget, the District has numerous internal or external means to manage its cash flow, including but not limited to interfund borrowing, intrafund borrowing and tax and revenue anticipation notes. If the District does not take required actions and the budget remains out of balance, the cash requirements of the District may exceed available cash flow. The ability of the District to borrow on an interim basis to meet any cash shortfalls also may be limited if the budget remains out of balance for a sustained period of time.] See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION" and APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

General Considerations and Other Obligations

The obligation of the District to make debt service payments on the Series 2024A Bonds does not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Series 2024A Bonds nor the obligation of the District to make payment of the interest on or the principal of the Series 2024A Bonds constitutes an indebtedness of the District or the State, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction..

[The District is currently liable and may become liable on other obligations payable from the District's General Fund, such as employee salaries and benefits, some of which may have a priority over the District's obligations to make debt service payments on the Bonds. For a discussion of certain other obligations of the District, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION." The District has the capacity to enter into other obligations which may constitute additional charges against its revenues. To the extent that additional obligations are incurred by the District, the funds available to make debt service payments on the Bonds may be decreased. In the event the District's revenue sources are less than its total obligations, the District could choose to fund other activities before making debt service payments on the Bonds and other payments due under the Indenture. The same result could occur if, because of California Constitutional limits on expenditures, the District is not permitted to appropriate and spend all of its available revenues. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO AD VALOREM PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII B of the State Constitution."]

Assembly Bill 218 and Related Claims

[Pursuant to Assembly Bill 218 (AB 218 herein), which became effective on January 1, 2020, certain changes were made to the claim prerequisites and the applicable statute of limitations periods for claims of childhood sexual assault, including claims against public entities like the District. AB 218 has impacted the District's liability exposure because it (1) extended the statute of limitations periods for claims of childhood sexual assault, (2) did away altogether with the Tort Claims Act's presentation requirements for claims involving childhood sexual assault under which many claims were found to be late, and (3) revived certain claims for which applicable statute of limitations periods have otherwise already expired (if brought within three years of January 1, 2020). The District is currently defending approximately [] lawsuits (totaling 247 claimants) arising from AB 218 and similar childhood sexual assault, abuse and/or molestation claims for tort liability, relating to allegations of misconduct by former employees. Since the District is in the middle of litigation on many of the pending AB 218 lawsuits, the District cannot fully predict the extent of its liability in such cases, whether the claimants will prevail, and if so, how a final court decision or settlement agreement with respect to each such lawsuit may affect the financial status, policies or operations of the District, as the nature of the court's remedy and the responses thereto are unknown at the present time. Neither can the District predict the ultimate number of claimants nor the full extent of any monetary liability. As described herein, the District currently estimates its liability for the existing claims arising from AB 218 will likely exceed \$[] million. While the District has set aside an amount in its liability self-insurance fund to pay existing claims arising under AB 218 as well as other, unrelated claims based on an independent third-party actuarial estimate, the District's total liability arising from existing AB 218 claims could exceed the actuarial estimate and the amount available in its liability self-insurance fund.] See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION - DISTRICT FINANCIAL INFORMATION - Risk Management and Litigation" and "– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims" thereunder.

Default; Remedies Upon Default; Acceleration

Upon the occurrence of an Event of Default under the Indenture, the Trustee may and, upon the written direction of the Owners of not less than 25% in aggregate principal amount of the Outstanding Bonds, shall, [with the consent of the Insurer,] by written notice to the District, declare immediately due and payable the principal of all Outstanding Bonds and the accrued interest thereon, whereupon the same shall become immediately due and payable without any further action or notice; provided, however, that if at any time after such acceleration and before any judgment or decree for the payment of money with respect thereto has been entered all amounts payable to the Trustee under the Indenture on the Bonds subject to acceleration under this paragraph (except interest on or principal of the Bonds which are due solely by reason of such acceleration) shall have been paid or provided for by deposit with the Trustee and all existing Events of Default shall have been cured or waived, then the Owners of not less than 25% in aggregate principal amount of the Outstanding Bonds may[, with the consent of the Insurer,] annul such acceleration and its consequences by written notice to the District and the Trustee, which annulment shall be binding upon the District, the Trustee and all of the Owners, but no such annulment shall extend to or affect any subsequent Event of Default or impair any right or remedy consequent thereon.

All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of the Owners of such Bonds, subject to the provisions of the Indenture. If one or more of the events of default shall happen and be continuing, the Trustee may with the prior written consent of the Insurer, and upon the written request of the Holders of a majority in principal amount of the Bonds then Outstanding, and upon being indemnified to its satisfaction therefor,

shall, proceed to protect or enforce its rights or the rights of the Holders of Bonds under the Indenture by a suit in equity or action at law, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted under the Indenture, or by mandamus or other appropriate proceeding for the enforcement of any other legal or equitable remedy as the Trustee shall deem most effectual in support of any of its rights and duties under the Indenture.

No Owner of any Bonds shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Refunding Law or any other applicable law with respect to such Bonds, unless (a) such Owner shall have given to the Trustee written notice of the occurrence of an Event of Default, (b) the Owners of a majority in aggregate principal amount of the Bonds then Outstanding shall have made written request upon the Trustee to exercise the powers hereinbefore granted or to institute such suit, action or proceeding in its own name, (c) such Owner or said Owners shall have tendered to the Trustee indemnity against the costs, expenses and liabilities to be incurred in compliance with such request, and (d) the Trustee shall have refused or omitted to comply with such request for a period of 60 days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee.

Such notification, request, tender of indemnity and refusal or omission are hereby declared, in every case, to be conditions precedent to the exercise by any Owner of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Owners of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Owners of Bonds, or to enforce any right under the Bonds, the Indenture, the Refunding Law or other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner herein provided and for the benefit and protection of all Owners of the Outstanding Bonds, subject to the provisions of the Indenture.

APPENDIX C – “SUMMARY OF INDENTURE – EVENTS OF DEFAULT AND REMEDIES.”

Limitations on Remedies

The enforcement of any remedies provided in the Indenture could prove both expensive and time consuming. The rights of the Owners of the Series 2024 Bonds are subject to certain limitations on legal remedies against governmental entities in the State, including but not limited to a limitation on enforcement against funds that are otherwise needed to serve the public welfare and interest. Additionally, the rights of the Owners of the Series 2024 Bonds may be subject to (i) bankruptcy, insolvency, reorganization, moratorium, or similar laws limiting or otherwise affecting the enforcement of creditors' rights generally (as such laws are now or hereafter may be in effect), (ii) equity principles (including but not limited to concepts of materiality, reasonableness, good faith and fair dealing) and the possible unavailability of specific performance or injunctive relief, regardless of whether considered in a proceeding in equity or law, (iii) the exercise by the United States of America of the powers delegated to it by the Constitution, and (iv) the reasonable and necessary exercise, in certain exceptional situations, of the police powers inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose. Under Chapter 9 of the Bankruptcy Code (Title 11, United States Code), which governs bankruptcy proceedings for public agencies, there are no involuntary petitions in bankruptcy. If the District were to file a petition under Chapter 9 of the Bankruptcy Code, the Owners and the Trustee could be prohibited or severely restricted from taking any steps to enforce their rights under the Lease Agreement and from taking any steps to collect amounts due from the District under the Lease Agreement. See “Bankruptcy” below and APPENDIX C – “SUMMARY OF INDENTURE – EVENTS OF DEFAULT AND REMEDIES.”

Bond Counsel has limited its opinion as to the enforceability of the Series 2024 Bonds and of the Indenture to the extent that enforceability may be limited by bankruptcy, insolvency, reorganization, fraudulent conveyance or transfer, moratorium, or other similar laws affecting generally the enforcement of creditor's rights, by equitable principles and by the exercise of judicial discretion. Additionally, the Series 2024 Bonds are not subject to acceleration in the event of the breach of any covenant or duty under the Indenture. The lack of availability of certain remedies or the limitation of remedies may entail risks of delay, limitation, or modification of the rights of the Owners of the Series 2024 Bonds.

Bankruptcy

Generally. In addition to the limitations on remedies described above, the rights and remedies provided in the Indenture may be limited by and are subject to provisions of federal bankruptcy laws, as now or hereafter enacted, and to other laws or equitable principles that may affect the enforcement of creditors' rights.

Bankruptcy of District. [The District may be eligible to become a debtor in a Chapter 9 bankruptcy case. If the District is in bankruptcy, the parties (including the Trustee and the Owners of the Series 2024A Bonds) may be prohibited from taking any action to collect any amount from the District or to enforce any obligation of the District, unless the permission of the bankruptcy court is obtained. These restrictions may also prevent the Trustee from making payments to the Owners of the Series 2024A Bonds from funds in the Trustee's possession.

The District may be able, without the consent and over the objection of the Trustee and the Owners of the Series 2024A Bonds, to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Indenture, the Series 2024A Bonds, and other transaction documents, as long as the bankruptcy court determines that the alterations are fair and equitable.

The District could threaten to take any of the actions described above as part of negotiations to alter its obligations under the Indenture, or other transaction documents.]

Regardless of any specific adverse determinations in a bankruptcy case of the District, the fact of such a bankruptcy case could have an adverse effect on the liquidity and value of the Series 2024A Bonds.

Limitation on Remedies. The opinion of Bond Counsel, the proposed form of which is included as APPENDIX D, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor's rights. As discussed above, bankruptcy proceedings, if initiated, could subject the owners of the Series 2024A Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights.

Natural Disasters, Drought, Climate Change and Sea Level Rise

Earthquakes. The District, like most regions in the State, and its facilities are located in an area of seismic activity from movements along active fault zones and, therefore, could be subject to potentially destructive earthquakes. Additionally, numerous minor faults transect the area. Active earthquake faults include the San Andreas Fault that runs throughout the County, the Palos Verdes fault that runs along the coast and through a small portion of the County, and other smaller faults including the Lower Elysian Park thrust, the Upper Elysian Park fault and Puente Hills blind thrust system. Seismic hazards encompass both potential surface rupture and ground shaking. Although its facilities have been designed and constructed or retrofitted and modernized pursuant to earthquake-resistant standards in accordance with the Field Act (Section 17280 *et seq.* of the Education Code), damage from an earthquake could be substantial. The

occurrence of severe seismic activity could result in substantial damage and interference with the District's right to use and occupy all or a substantial portion of the District's facilities, which could result in a material impact to District operations. The District is not required to obtain or maintain earthquake insurance for its facilities [and maintains minimal coverage for such damage].

Wildfires. In recent years, portions of California, including the County and adjacent counties, have experienced wildfires that have burned thousands of acres and destroyed thousands of homes and structures. The occurrence of wildfires in the area of the District could result in substantial damage and interference with the District's right to use and occupy a portion of its facilities. [The District maintains casualty insurance insuring its facilities against fire and other risks (excluding earthquake). See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation."

Drought. Most recently, the State has experienced periods of extreme precipitation, after having experienced severe drought conditions that led to the Governor of California (the "Governor") declaring a Statewide drought emergency in spring 2021. While storms have helped ease drought impacts, regions and communities across the State continue to experience water supply shortages, especially communities that rely on groundwater supplies that have been severely depleted in recent years. In March 2023, the Governor rolled back some drought emergency provisions that are no longer needed due to current water conditions, while maintaining other measures that support regions and communities still facing water supply challenges, and that continue building up long-term water resilience. The District cannot predict the extent to which drought conditions within the County or any of the adjoining counties could cause reduced economic activity within the boundaries of the District or the extent to which drought conditions may impact District facilities or the assessed value of taxable property within the District.

Flood. As discussed further below in "– Climate Change and Sea Level Rise," the District may be susceptible to flooding from extreme rainfall events and from sea level rise.

Climate Change and Sea Level Rise. The direct risks posed by climate change currently include or are expected to include more extreme heat events, rising sea levels, changes in precipitation levels, flooding, and more intense storms. In order to address these risks, California law (the Global Warming Solutions Act) requires the State to significantly reduce its emissions of greenhouse gases (GHGs), which contribute to climate change.

Sources of GHG emissions in the District include cars and trucks, electricity and natural gas use in buildings, decomposition of solid waste, landscaping and construction equipment, and water and wastewater distribution, treatment, and use. On-road vehicle use represents the largest source of GHGs, followed by energy use in residential and nonresidential buildings. As a part of the State's effort to reduce GHG emissions, the California Air Resources Board approved a regulation to rapidly scale down emissions from cars starting with the 2026 model year through the 2035 model year, at which time all new car sales in the State must be zero-emission vehicles. Going forward, the GHG emissions within the District will continue to change due to new policies, technological improvements, and population growth and new development.

Current science indicates that sea level rise is directly linked to climate change, and sea level is expected to increase over time. Sea level rise threatens even inland areas by exacerbating flooding from very high tides, and by contributing to flooding from extreme rainfall events. The various scientific studies that forecast the amount and timing of adverse impacts of climate change are based on assumptions contained in such studies, but actual events may vary materially. In addition, the scientific understanding of climate change and its effects continues to evolve. Accordingly, the District cannot predict the timing,

extent, or severity of climate change, GHG emissions or sea level rise, and the impact on the District and its facilities, and on the State and local economies.

Events of Force Majeure. Operation of District facilities may also be at risk from other events of force majeure, such as damaging storms, fires and explosions, strikes, sabotage, riots, and spills of hazardous substances, among other events. The District cannot predict what force majeure events may occur in the future. For additional information regarding the District’s risk management programs and required insurance coverages, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation” and APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023.”

Economic Conditions in California; State Funding of Education

State income tax and other receipts can fluctuate significantly from year to year, depending on economic conditions in the State and the nation. Because much of the District’s revenues derive from State funding under the local control funding formula (the “LCFF”), the District’s revenues can vary significantly from year to year, even in the absence of significant education policy changes. Decreases in the State’s general fund revenues may significantly affect appropriations made by the State to school districts, including the District. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act.”

While the California Constitution contains certain minimum funding requirements for public education pursuant to Proposition 98, State funding can be affected by a number of factors, including poor performance of the California economy and State budget shortfalls. At times since the implementation of Proposition 98, the State has sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against subsequent years’ Proposition 98 minimum funding levels rather than current year increases; by deferring apportionments of Proposition 98 funds from one fiscal year to the next, as the State did in fiscal years 2019-20 and 2020-21; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution’s definition of the guaranteed amount and settle-up requirement under certain circumstances.

The State and national economy reflect some signs of an economic slowdown that could push the State and national economy into a recession. In the event the State or national economy experiences a recession during the term to maturity or earlier redemption of the Series 2024A Bonds, there may continue to be adverse effects on the budgets of school districts caused by the general economic slowdowns in the State and the State’s own budget difficulties. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act – [2023-24 State Budget,” “– 2024-25 State Budget,” and “– May Revise to 2024-25 State Budget.”] Other events resulting in changing economic conditions may also impact State revenue sources and have negative effects upon the amount of and the manner in which the District receives money from the State. The District cannot predict whether events that may result in changing economic conditions will occur or the extent that a change in economic conditions will impact the financial outlook of the State or the District from year to year.

Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of proposed and adopted budgets may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” An impartial analysis of the budget is posted by the Office of the Legislative Analyst at www.lao.ca.gov. In addition, various State

official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found at the website of the State Treasurer, www.treasurer.ca.gov. The information referred to is prepared by the respective State agency maintaining each website and not by the District, and the District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated herein by these references. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act.”

Infectious Disease Outbreak

[In general, the outbreak of a highly contagious disease or epidemic disease could harm the District’s financial results or result in a temporary shutdown of the District’s facilities. Many school districts in the State are funded based on the LCFF, which allocates a base grant per unit of average daily attendance with additional supplemental grants based on certain factors. Thus, a temporary shutdown of a school or an entire school district would reduce the average daily attendance and could impact the funding a school district receives (unless the State legislature or California Department of Education takes action to exclude such days from the calculations for funding purposes). Further, any impact on the State’s tax and other revenue receipts as a result of a highly contagious or epidemic disease may in turn impact other educational funding that the District receives from the State. See “– Economic Conditions in California; State Funding of Education” above. In addition, the District may incur increased operational costs to clean, sanitize and maintain its facilities either before or after an outbreak of an infectious disease.

The outbreak of COVID-19 and the resulting pandemic has significantly impacted school districts throughout California, including the District. For more information regarding the impact of the COVID-19 pandemic on the District’s operations and finances, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Infectious Disease Outbreak.”]

Cybersecurity

School districts, like other governmental and business entities, face significant risks relating to the use and application of computer software and hardware for educational, operational and management purposes. The District collects, processes, and distributes an enormous amount of private, protected, and personal information on students, staff, parents, visitors, and contractors. As the custodian of such information, the District is constantly facing a variety of persistent and evolving cybersecurity threats. For more information regarding recent cyber incidents involving the District and actions the District has taken to protect its systems and minimize future cyberattacks, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Cybersecurity.”

THE DISTRICT

A description of the District, including information concerning its finances and organization, its major revenue sources, funds, liabilities and indebtedness, and certain factors affecting its finances and operations, is set forth in Appendix A.

The District’s Audited Annual Financial Report for fiscal year ended June 30, 2023, including its general purpose financial statements for the fiscal year ended June 30, 2023, is included as Appendix B. The basic financial statements of the District for the fiscal year 2022-23 have been audited by Simpson & Simpson, independent certified public accountants, as stated in their report appearing in Appendix B. The

District has not requested nor has the District obtained the consent of Simpson & Simpson to the inclusion of its report in Appendix B. Simpson & Simpson has not been engaged to perform and has not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. Simpson & Simpson has not been requested to perform and has not performed any procedures relating to the Official Statement.

MATERIAL LITIGATION

[The District is currently defending approximately [] lawsuits (totaling [] claimants) relating to allegations of misconduct by former employees with respect to childhood sexual assault, abuse and/or molestation. These claims in this number, and potentially more, are brought pursuant to California Code of Civil Procedure Section 340.1 and by application of a change in California law, brought by AB 218, which became effective on January 1, 2020, and similar childhood sexual assault, abuse and/or molestation claims for tort liability. There are also a number of other lawsuits and claims pending against the District. [Update current litigation, including AB 218] See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Risk Management and Litigation” and “– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims” thereunder.

Except as described above, there is no material litigation pending against the District or, to the knowledge of its executive officers, threatened, (i) in any way affecting the existence of the District or in any way challenging the respective powers of the several offices or the titles of the officials of the District to such offices; (ii) seeking to restrain or enjoin the issuance or delivery of the Series 2024A Bonds, the application of the proceeds of the sale of the Series 2024A Bonds, or in any way contesting or affecting the validity of the Bonds, the Revolving Credit Agreement, the Indenture, or the Continuing Disclosure Certificate, or materially affecting payment of the Series 2024A Bonds or payment of any other obligations of the District, or contesting the powers of the District or any authority for the issuance of the Series 2024A Bonds; (iii) contesting the completeness or accuracy of the preliminary or final Official Statement; or (iv) in which a final adverse decision could result in any material adverse change in the business, properties, assets or the financial condition of the District or which may have a material adverse effect on the ability of the District to meet its obligations under the Series 2024A Bonds, the Revolving Credit Agreement, the Indenture, or the Continuing Disclosure Certificate. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation.”

TAX MATTERS

[In the opinion of Orrick, Herrington & Sutcliffe LLP, bond counsel to the District (“Bond Counsel”), based upon an analysis of existing laws, regulations, rulings, and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2024A Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Code. Bond Counsel is of the opinion that interest on the Series 2024A Bonds is exempt from State of California personal income taxes. Bond Counsel expresses no opinion regarding any other tax consequences relating to the ownership or disposition of, or the amount, accrual, or receipt of interest on, the Series 2024A Bonds. The proposed form of opinion of Bond Counsel is contained in Appendix D hereto.

The following discussion summarizes certain U.S. federal income tax considerations generally applicable to holders of the Series 2024A Bonds that acquire their Series 2024A Bonds in the initial offering. The discussion below is based upon laws, regulations, rulings, and decisions in effect and available on the date hereof, all of which are subject to change, possibly with retroactive effect. Prospective investors

should note that no rulings have been or are expected to be sought from the U.S. Internal Revenue Service (the “IRS”) with respect to any of the U.S. federal income tax considerations discussed below, and no assurance can be given that the IRS will not take contrary positions. Further, the following discussion does not deal with U.S. tax consequences applicable to any given investor, nor does it address the U.S. tax considerations applicable to all categories of investors, some of which may be subject to special taxing rules (regardless of whether or not such investors constitute U.S. Holders), such as certain U.S. expatriates, banks, REITs, RICs, insurance companies, tax-exempt organizations, dealers or traders in securities or currencies, partnerships, S corporations, estates and trusts, investors that hold their Series 2024A Bonds as part of a hedge, straddle or an integrated or conversion transaction, investors whose “functional currency” is not the U.S. dollar, or certain taxpayers that are required to prepare certified financial statements or file financial statements with certain regulatory or governmental agencies. Furthermore, it does not address (i) alternative minimum tax consequences, (ii) the net investment income tax imposed under Section 1411 of the Code, or (iii) the indirect effects on persons who hold equity interests in a holder. This summary also does not consider the taxation of the Series 2024A Bonds under state, local or non-U.S. tax laws. In addition, this summary generally is limited to U.S. tax considerations applicable to investors that acquire their Series 2024A Bonds pursuant to this offering for the issue price that is applicable to such Series 2024A Bonds (i.e., the price at which a substantial amount of the Series 2024A Bonds is sold to the public) and who will hold their Series 2024A Bonds as “capital assets” within the meaning of Section 1221 of the Code.

As used herein, “U.S. Holder” means a beneficial owner of a Series 2024A Bond that for U.S. federal income tax purposes is an individual citizen or resident of the United States, a corporation or other entity taxable as a corporation created or organized in or under the laws of the United States or any state thereof (including the District of Columbia), an estate the income of which is subject to U.S. federal income taxation regardless of its source or a trust where a court within the United States is able to exercise primary supervision over the administration of the trust and one or more United States persons (as defined in the Code) have the authority to control all substantial decisions of the trust (or a trust that has made a valid election under U.S. Treasury Regulations to be treated as a domestic trust). As used herein, “Non-U.S. Holder” generally means a beneficial owner of a Series 2024A Bond (other than a partnership) that is not a U.S. Holder. If a partnership holds Series 2024A Bonds, the tax treatment of such partnership or a partner in such partnership generally will depend upon the status of the partner and upon the activities of the partnership. Partnerships holding Series 2024A Bonds, and partners in such partnerships, should consult their own tax advisors regarding the tax consequences of an investment in the Series 2024A Bonds (including their status as U.S. Holders or Non-U.S. Holders).

Prospective investors should consult their own tax advisors in determining the U.S. federal, state, local or non-U.S. tax consequences to them from the purchase, ownership, and disposition of the Series 2024A Bonds in light of their particular circumstances.

U.S. Holders - Interest. Interest on the Series 2024A Bonds generally will be taxable to a U.S. Holder as ordinary interest income at the time such amounts are accrued or received, in accordance with the U.S. Holder’s method of accounting for U.S. federal income tax purposes.

[To the extent that the issue price of any maturity of the Series 2024A Bonds is less than the amount to be paid at maturity of such Series 2024A Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Series 2024A Bonds) by more than a de minimis amount, the difference may constitute original issue discount (“OID”). U.S. Holders of Series 2024A Bonds will be required to include OID in income for U.S. federal income tax purposes as it accrues, in accordance with a constant yield method based on a compounding of interest (which may be before the receipt of cash payments attributable to such income). Under this method, U.S. Holders generally will be required to include in income increasingly greater amounts of OID in successive accrual periods.]

Series 2024A Bonds purchased for an amount in excess of the principal amount payable at maturity (or, in some cases, at their earlier call date) will be treated as issued at a premium. A U.S. Holder of a Series 2024A Bond issued at a premium may make an election, applicable to all debt securities purchased at a premium by such U.S. Holder, to amortize such premium, using a constant yield method over the term of such Series 2024A Bond.

U.S. Holders - Sale or Other Taxable Disposition of the Series 2024A Bonds. Unless a nonrecognition provision of the Code applies, the sale, exchange, redemption, retirement (including pursuant to an offer by the District) or other disposition of a Series 2024A Bond will be a taxable event for U.S. federal income tax purposes. In such event, in general, a U.S. Holder of a Series 2024A Bond will recognize gain or loss equal to the difference between (i) the amount of cash plus the fair market value of property received (except to the extent attributable to accrued but unpaid interest on the Series 2024A Bond, which will be taxed in the manner described above) and (ii) the U.S. Holder's adjusted U.S. federal income tax basis in the Series 2024A Bond (generally, the purchase price paid by the U.S. Holder for the Series 2024A Bond, decreased by any amortized premium[, and increased by the amount of any OID previously included in income by such U.S. Holder with respect to such Series 2024A Bond]). Any such gain or loss generally will be capital gain or loss. In the case of a non-corporate U.S. Holder of the Series 2024A Bonds, the maximum marginal U.S. federal income tax rate applicable to any such gain will be lower than the maximum marginal U.S. federal income tax rate applicable to ordinary income if such U.S. holder's holding period for the Series 2024A Bonds exceeds one year. The deductibility of capital losses is subject to limitations.

U.S. Holders - Defeasance of the Series 2024A Bonds. If the District defeases any Series 2024A Bond, the Series 2024A Bond may be deemed to be retired and "reissued" for U.S. federal income tax purposes as a result of the defeasance. In that event, in general, a holder will recognize taxable gain or loss equal to the difference between (i) the amount realized from the deemed sale, exchange or retirement (less any accrued qualified stated interest which will be taxable as such) and (ii) the holder's adjusted U.S. federal income tax basis in the Series 2024A Bond.

U.S. Holders - Information Reporting and Backup Withholding. Payments on the Series 2024A Bonds generally will be subject to U.S. information reporting and possibly to "backup withholding." Under Section 3406 of the Code and applicable U.S. Treasury Regulations issued thereunder, a non-corporate U.S. Holder of the Series 2024A Bonds may be subject to backup withholding at the current rate of 24% with respect to "reportable payments," which include interest paid on the Series 2024A Bonds and the gross proceeds of a sale, exchange, redemption, retirement, or other disposition of the Series 2024A Bonds. The payor will be required to deduct and withhold the prescribed amounts if (i) the payee fails to furnish a U.S. taxpayer identification number ("TIN") to the payor in the manner required, (ii) the IRS notifies the payor that the TIN furnished by the payee is incorrect, (iii) there has been a "notified payee underreporting" described in Section 3406(c) of the Code or (iv) the payee fails to certify under penalty of perjury that the payee is not subject to withholding under Section 3406(a)(1)(C) of the Code. Amounts withheld under the backup withholding rules may be refunded or credited against the U.S. Holder's federal income tax liability, if any, provided that the required information is timely furnished to the IRS. Certain U.S. holders (including among others, corporations, and certain tax-exempt organizations) are not subject to backup withholding. A holder's failure to comply with the backup withholding rules may result in the imposition of penalties by the IRS.

Non-U.S. Holders - Interest. Subject to the discussions below under the headings “Information Reporting and Backup Withholding” and “Foreign Account Tax Compliance Act (“FATCA”) – U.S. Holders and Non-U.S. Holders,” payments of principal of, and interest on, any Series 2024A Bond to a Non-U.S. Holder, other than (1) a controlled foreign corporation described in Section 881(c)(3)(C) of the Code and (2) a bank which acquires such Series 2024A Bond in consideration of an extension of credit made pursuant to a loan agreement entered into in the ordinary course of business, will not be subject to any U.S. federal withholding tax provided that the beneficial owner of the Series 2024A Bond provides a certification completed in compliance with applicable statutory and regulatory requirements, which requirements are discussed below under the heading “Information Reporting and Backup Withholding,” or an exemption is otherwise established.

Non-U.S. Holders - Disposition of the Series 2024A Bonds. Subject to the discussions below under the headings “Information Reporting and Backup Withholding” and “Foreign Account Tax Compliance Act (“FATCA”) – U.S. Holders and Non-U.S. Holders,” any gain realized by a Non-U.S. Holder upon the sale, exchange, redemption, retirement (including pursuant to an offer by the District or a deemed retirement due to defeasance of the Series 2024A Bond) or other disposition of a Series 2024A Bond generally will not be subject to U.S. federal income tax, unless (i) such gain is effectively connected with the conduct by such Non-U.S. Holder of a trade or business within the United States; or (ii) in the case of any gain realized by an individual Non-U.S. Holder, such holder is present in the United States for 183 days or more in the taxable year of such sale, exchange, redemption, retirement (including pursuant to an offer by the District) or other disposition and certain other conditions are met.

Non-U.S. Holders - Information Reporting and Backup Withholding. Subject to the discussion below under the heading “Foreign Account Tax Compliance Act (“FATCA”) – U.S. Holders and Non-U.S. Holders,” under current U.S. Treasury Regulations, payments of principal and interest on any Series 2024A Bonds to a holder that is not a United States person will not be subject to any backup withholding tax requirements if the beneficial owner of the Series 2024A Bond or a financial institution holding the Series 2024A Bond on behalf of the beneficial owner in the ordinary course of its trade or business provides an appropriate certification to the payor and the payor does not have actual knowledge that the certification is false. If a beneficial owner provides the certification, the certification must give the name and address of such owner, state that such owner is not a United States person, or, in the case of an individual, that such owner is neither a citizen nor a resident of the United States, and the owner must sign the certificate under penalties of perjury. The current backup withholding tax rate is 24%.

Foreign Account Tax Compliance Act (“FATCA”)—U.S. Holders and Non-U.S. Holders.

Sections 1471 through 1474 of the Code impose a 30% withholding tax on certain types of payments made to foreign financial institutions, unless the foreign financial institution enters into an agreement with the U.S. Treasury to, among other things, undertake to identify accounts held by certain U.S. persons or U.S.-owned entities, annually report certain information about such accounts, and withhold 30% on payments to account holders whose actions prevent it from complying with these and other reporting requirements, or unless the foreign financial institution is otherwise exempt from those requirements. In addition, FATCA imposes a 30% withholding tax on the same types of payments to a non-financial foreign entity unless the entity certifies that it does not have any substantial U.S. owners or the entity furnishes identifying information regarding each substantial U.S. owner. Under current guidance, failure to comply with the additional certification, information reporting and other specified requirements imposed under FATCA could result in the 30% withholding tax being imposed on payments of interest on the Series 2024A Bonds. In general, withholding under FATCA currently applies to payments of U.S. source interest (including OID) and, under current guidance, will apply to certain “passthru” payments no earlier than the date that is two years after publication of final U.S. Treasury Regulations defining the term “foreign passthru payments.” Prospective investors should consult their own tax advisors regarding FATCA and its effect on them.

The foregoing summary is included herein for general information only and does not discuss all aspects of U.S. federal taxation that may be relevant to a particular holder of Series 2024A Bonds in light of the holder’s particular circumstances and income tax situation. Prospective investors are urged to consult their own tax advisors as to any tax consequences to them from the purchase, ownership, and disposition of Series 2024A Bonds, including the application and effect of state, local, non-U.S., and other tax laws.]

RATINGS

Fitch Ratings, Inc. (“Fitch”) and Moody’s Investors Service Inc. (“Moody’s”) have assigned their ratings of “___” and “___,” respectively, to the Series 2024A Bonds. Each rating agency may have obtained and considered information and material which has not been included in this Official Statement. Generally, rating agencies base their ratings on information and material so furnished and on their own investigations, studies and assumptions made by them (which may include information and material from the District which is not included in this Official Statement). Each rating is not a recommendation to buy, sell or hold the Series 2024A Bonds. Each rating reflects only the view of the respective rating agency, and an explanation of the significance of such rating may be obtained from it. There is no assurance that any such rating of a rating agency will be maintained for any given period of time or that such rating may not be revised downward or withdrawn entirely by the rating agency, if in its own judgment, circumstances warrant. Any such downward change in or withdrawal may have an adverse effect on the market price of the Series 2024A Bonds. Neither the Underwriters nor the District have undertaken any responsibility after the issuance and delivery of the Series 2024A Bonds to assure the maintenance of the ratings or to oppose any such revision or withdrawal.

VALIDATION PROCEEDING

On _____, 2024, the District filed a complaint in the Superior Court of the State of California for the County of Los Angeles seeking judicial confirmation of the validity of the transactions relating to its authorizing and approving the issuance of the Bonds including, without limitation, the Series 2024A Bonds and the execution and delivery of the Indenture, the Revolving Credit Agreement and related Notes, and any and all contracts and agreements executed and delivered in connection therewith, and with respect to certain obligations of the District arising under the Judgments. The action was brought against all interested persons pursuant to the provisions of Sections 860 *et seq.* of the California Code of Civil Procedure. The court entered a judgment in the District’s favor on _____, 2024 to the effect, among other things, that the District has the authority under California law to issue the Series 2024A Bonds, and

that the Bonds and the Indenture and the Notes and the Revolving Credit Agreement are valid, legal, and binding obligations of the District under California law. Pursuant to Section 870 of the California Code of Civil Procedure and Rule 2(a) of the California Rules of Court, the period during which a notice of appeal to this judgment could be timely filed expired on _____, 2004 and the judgment is binding and conclusive in accordance with California law.

CERTAIN LEGAL MATTERS

Certain legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Los Angeles, California, Bond Counsel. A complete copy of the proposed form of Bond Counsel opinion is contained in Appendix D. Bond Counsel, as such, undertakes no responsibility for the accuracy, completeness, or fairness of this Official Statement. Certain legal matters will be passed upon for the District by Orrick, Herrington & Sutcliffe LLP, as Disclosure Counsel to the District, for the Underwriters by _____, and for the District by General Counsel to the District.

Each of Bond Counsel, Disclosure Counsel and Underwriters' Counsel will receive compensation contingent upon the execution and delivery of the Series 2024A Bonds. From time to time, Bond Counsel and Disclosure Counsel each may represent the Underwriters in matters unrelated to the District or the Series 2024A Bonds.

MUNICIPAL ADVISOR

Public Resources Advisory Group (the "Municipal Advisor"), has been engaged by the District to perform financial services in connection with the issuance of the Series 2024A Bonds and certain other financial matters. The Municipal Advisor is an independent advisory firm and is not engaged in the business of underwriting, trading, or distributing municipal securities or other public securities. The Municipal Advisor is not contractually obligated to undertake, and has not undertaken to make, an independent verification or to assume responsibility for the accuracy, completeness or fairness of the information contained in this Official Statement.

UNDERWRITING

The Series 2024A Bonds are being purchased by _____ and _____, [on behalf of a syndicate that also includes the other underwriters set forth on the cover hereof] (collectively, the "Underwriters"). The Underwriters have agreed, subject to certain terms and conditions set forth in the Bond Purchase Agreement, dated _____, 2024, by and between the Underwriters and the District, to purchase the Series 2024A Bonds at a purchase price of \$_____ (which represents the aggregate principal amount of the Series 2024A Bonds, plus \$_____ of original issue premium, and less \$_____ of Underwriters' discount). The Underwriters will purchase all the Series 2024A Bonds if any are purchased.

The Series 2024A Bonds may be offered and sold to certain dealers (including dealers depositing said Series 2024A Bonds into investment trusts) and others at prices lower than the initial public offering price, and the public offering price may be changed from time to time by the Underwriters.

Certain of the Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriters and their affiliates may have certain creditor and/or other rights against the District and its affiliates in connection with such activities. In the various course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a

broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the District (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the District. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities, and instruments.

[UW DISTRIBUTION LANGUAGE TO COME.]

MISCELLANEOUS

References are made herein to certain documents and reports which are brief summaries thereof which do not purport to be complete or definitive and reference is made to such documents and reports for full and complete statements of the contents thereof.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners of any of the Series 2024A Bonds.

The District has duly authorized the execution and delivery of this Official Statement.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Chief Business Officer

APPENDIX A

**DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC
AND DEMOGRAPHIC INFORMATION**

APPENDIX B

**AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT
FOR FISCAL YEAR ENDED JUNE 30, 2023**

APPENDIX C
SUMMARY OF INDENTURE

APPENDIX D**FORM OF BOND COUNSEL OPINION**

Upon the delivery of the Series 2024A Bonds, Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District, proposes to render its final approving opinion in substantially the following form:

APPENDIX E
FORM OF CONTINUING DISCLOSURE CERTIFICATE

APPENDIX F

THE LOS ANGELES COUNTY TREASURY POOL

The Treasurer and Tax Collector of the County of Los Angeles (the “Treasurer”) manages, in accordance with California Government Code Section 53600 et seq., funds deposited with the Treasurer by County school and community college districts, various special districts and some cities. State law generally requires that all moneys of the County, school districts and certain special districts be held in the County’s Treasury Pool (the “Treasury Pool”) as described below. The composition and value of investments under management in the Treasury Pool vary from time to time, depending on the cash flow needs of the County and the other public agencies invested in the Treasury Pool, the maturity or sale of investments, purchase of new securities and fluctuations in interest rates generally. Additionally, the Treasurer, with the consent of the Board of Supervisors of the County of Los Angeles (the “County”), may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Treasury Pool will not vary significantly from the values described herein. Neither the District, the Municipal Advisor nor the Underwriters make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained herein is correct as of any time subsequent to its date. The Treasurer maintains a website, the address of which is <https://ttc.lacounty.gov/monthly-reports/>, on which the Treasurer periodically places information relating to the Treasury Pool. However, the information presented there is not part of this Official Statement, is not incorporated by reference herein and should not be relied upon in making an investment decision with respect to the Bonds.

The County of Los Angeles Pooled Surplus Investments
[TO BE UPDATED PRIOR TO POS POSTING]

The Treasurer and Tax Collector (the “Treasurer”) of the County of Los Angeles (the “County”) has the delegated authority to invest funds on deposit in the County Treasury (the “Treasury Pool”). As of February 29, 2024, investments in the Treasury Pool were held for local agencies including school districts, community college districts, special districts and discretionary depositors such as cities and independent districts in the following amounts:

Local Agency	Invested Funds (in billions)
County of Los Angeles and Special Districts	\$22.953
Schools and Community Colleges	29.866
Discretionary Participants	3.712
Total	<u>\$56.531</u>

The Treasury Pool participation composition is as follows:

Non-discretionary Participants	93.43%
Discretionary Participants:	
Independent Public Agencies	6.44%
County Bond Proceeds and Repayment Funds	0.13%
Total	<u>100.00%</u>

Decisions on the investment of funds in the Treasury Pool are made by the County Investment Officer in accordance with established policy, with certain transactions requiring the Treasurer’s prior approval. In Los Angeles County, investment decisions are governed by Chapter 4 (commencing with

Section 53600) of Part 1 of Division 2 of Title 5 of the California Government Code, which governs legal investments by local agencies in the State of California, and by a more restrictive Investment Policy developed by the Treasurer and adopted by the Los Angeles County Board of Supervisors on an annual basis. The Investment Policy adopted on March 21, 2023, reaffirmed the following criteria and order of priority for selecting investments:

1. Safety of Principal
2. Liquidity
3. Return on Investment

The Treasurer prepares a monthly Report of Investments (the “Investment Report”) summarizing the status of the Treasury Pool, including the current market value of all investments. This report is submitted monthly to the Board of Supervisors. According to the Investment Report dated April 1, 2024, the February 29, 2024 book value of the Treasury Pool was approximately \$56.531 billion, and the corresponding market value was approximately \$54.130 billion.

An internal controls system for monitoring cash accounting and investment practices is in place. The Treasurer’s Compliance Auditor, who operates independently from the Investment Officer, reconciles cash and investments to fund balances daily. The Compliance Auditor’s staff also reviews each investment trade for accuracy and compliance with the Board adopted Investment Policy. On a quarterly basis, the County’s outside independent auditor (the “External Auditor”) reviews the cash and investment reconciliations for completeness and accuracy. Additionally, the External Auditor reviews investment transactions on a quarterly basis for conformance with the approved Investment Policy and annually accounts for all investments.

The following table identifies the types of securities held by the Treasury Pool as of February 29, 2024:

Type of Investment	% of Pool
Certificates of Deposit	4.07%
U.S. Government and Agency Obligations	69.37
Bank Acceptances	0.00
Commercial Paper	26.47
Municipal Obligations	0.07
Corporate Notes & Deposit Notes	0.02
Repurchase Agreements	0.00
Asset Backed Instruments	0.00
Other	0.00
	<u>100.00%</u>

The Treasury Pool is highly liquid. As of February 29, 2024, approximately 33.28% of the investments mature within 60 days, with an average of 705 days to maturity for the entire portfolio.

APPENDIX G

BOOK-ENTRY ONLY SYSTEM

The following information has been provided by DTC for use in securities offering documents, and none of the District or the Underwriters takes any responsibility for the accuracy or completeness thereof.

The Depository Trust Company (“DTC”), will act as securities depository for the Series 2024A Bonds. The Series 2024A Bonds will be executed and delivered as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Series 2024A Bond will be issued for each stated Principal Payment Date of the Series 2024A Bonds, each in the aggregate amount of the principal evidenced by Series 2024A Bonds with such stated Principal Payment Date, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. The information on such website is not incorporated into this Official Statement by reference or otherwise.

Purchases of Series 2024A Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2024A Bonds on DTC’s records. The ownership interest of each actual purchaser of each Series 2024A Bond (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners, however, are expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2024A Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Series 2024A Bonds, except in the event that use of the book-entry system for the Series 2024A Bonds is discontinued.

To facilitate subsequent transfers, all Series 2024A Bonds deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2024A Bonds with DTC and their

registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2024A Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2024A Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Series 2024A Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Series 2024A Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Indenture and the Revolving Credit Agreements. For example, Beneficial Owners of Series 2024A Bonds may wish to ascertain that the nominee holding the Series 2024A Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices will be sent to DTC. If less than all of the Series 2024A Bonds with a particular stated Principal Payment Date are being prepaid, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such Series 2024A Bonds to be prepaid.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Series 2024A Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2024A Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Payments of principal, premium, if any, interest, and other payments evidenced by the Series 2024A Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the District or the Trustee, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payments of principal, premium, if any, interest, and other payments evidenced by the Series 2024A Bonds to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Trustee, and disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Series 2024A Bonds at any time by giving reasonable notice to the District or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, Series 2024A Bonds are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, Series 2024A Bonds will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

THE DISTRICT AND THE TRUSTEE CANNOT AND DO NOT GIVE ANY ASSURANCES THAT DTC WILL DISTRIBUTE TO PARTICIPANTS, OR THAT PARTICIPANTS OR OTHERS WILL DISTRIBUTE PAYMENTS OF PRINCIPAL, INTEREST OR ANY PREMIUM EVIDENCED BY THE SERIES 2024A BONDS PAID TO DTC OR ITS NOMINEE AS THE REGISTERED OWNER, OR ANY PREPAYMENT OR OTHER NOTICES, TO THE BENEFICIAL OWNERS, OR THAT THEY WILL DO SO ON A TIMELY BASIS OR WILL SERVE AND ACT IN THE MANNER DESCRIBED IN THIS OFFICIAL STATEMENT. THE DISTRICT AND THE TRUSTEE ARE NOT RESPONSIBLE OR LIABLE FOR THE FAILURE OF DTC OR ANY PARTICIPANTS TO MAKE ANY PAYMENT OR GIVE ANY NOTICE TO A BENEFICIAL OWNER WITH RESPECT TO THE SERIES 2024A BONDS OR ANY ERROR OR DELAY RELATING THERETO.

THE FOREGOING DESCRIPTION OF THE PROCEDURES AND RECORD KEEPING WITH RESPECT TO BENEFICIAL OWNERSHIP INTERESTS IN THE SERIES 2024A BONDS, PAYMENT OF PRINCIPAL, INTEREST AND OTHER PAYMENTS EVIDENCED BY THE SERIES 2024A BONDS TO PARTICIPANTS OR BENEFICIAL OWNERS, CONFIRMATION AND TRANSFER OF BENEFICIAL OWNERSHIP INTERESTS IN SUCH BONDS AND OTHER RELATED TRANSACTIONS BY AND BETWEEN DTC, THE PARTICIPANTS AND THE BENEFICIAL OWNERS IS BASED ON INFORMATION PROVIDED BY DTC. ACCORDINGLY, THE DISTRICT TAKES NO RESPONSIBILITY FOR THE ACCURACY THEREOF.

APPENDIX A

**DISTRICT FINANCIAL INFORMATION AND
REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION**

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This Appendix A provides information concerning the operations and finances of the Los Angeles Unified School District (the “District”) and certain demographic information in the area covered by the District. Investors must read the entire Official Statement, including this Appendix A, to obtain information essential to making an informed investment decision. The Series 2024A Bonds are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Series 2024A Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Series 2024A Bonds nor the obligation of the District to make payment of the interest on or the principal of the Series 2024A Bonds constitutes an indebtedness of the District or the State, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” in the forepart of this Official Statement. See also “GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS” herein for a description of certain terms and abbreviations used in this Appendix A.

***[DISTRICT AND OTHER INCLUDED INFORMATION TO BE UPDATED
AS AND WHEN NEW INFORMATION BECOMES AVAILABLE.]***

DISTRICT GENERAL INFORMATION

District Boundaries

The District, encompassing approximately 710 square miles, is located in the western section of the County of Los Angeles (the “County”) in the State of California (the “State”). The District’s boundaries include virtually all of the City of Los Angeles (the “City”), all of the Cities of Cudahy, Gardena, Huntington Park, Lomita, Maywood, San Fernando, Vernon and West Hollywood, and portions of the Cities of Bell, Bell Gardens, Beverly Hills, Calabasas, Carson, Commerce, Culver City, Downey, Hawthorne, Inglewood, Long Beach, Lynwood, Montebello, Monterey Park, Rancho Palos Verdes, Rolling Hills Estates, Santa Clarita, Santa Monica, South Gate, and Torrance. In addition, the District provides services to several unincorporated areas of the County, which include residential and industrial areas. The boundaries for the District are approximately 80% coterminous with the City, with the remaining 20% included in the smaller neighboring cities and unincorporated County areas described above. The District was formed in 1854 as the Common Schools for the City and became a unified school district in 1960.

District Governance; Senior Management

District Board. The District is governed by a seven-member Board of Education (the “District Board”), each member of which is a voting member and elected by voters within such member’s designed district. The members of the District Board are elected to four-year terms in alternate slates of three and four, with elections held every two years. In an election year, if a candidate receives a majority of the votes cast for a District Board seat in the primary election, that candidate is elected to the office. In the event no candidate receives a majority of the votes cast for a District Board seat, there is a runoff election at the general election between the two candidates receiving the highest number of votes for the seat in the primary election. The current members of the District Board along with their district and term are set forth below.

District	Member	Term Ending
5	Jackie Goldberg, President	December 16, 2024
3	Scott Schmerelson, Vice President	December 16, 2024
1	Dr. George J. McKenna III	December 16, 2024
2	Dr. Rocio Rivas	December 12, 2026
4	Nick Melvoin	December 12, 2026
6	Kelly Gonez	December 12, 2026
7	Tanya Ortiz Franklin	December 16, 2024

The District Board seats in the odd-numbered districts are up for election in 2024. The incumbent members of the District Board for district 3, Scott Mark Schmerelson, and district 7, Tanya Ortiz Franklin, ran in the March 2024 primary election to remain on the District Board. The incumbent members of the District Board for district 1, George McKenna, and district 5, Jackie Goldberg, did not run to remain on the District Board. At the primary election held on March 5, 2024, Tanya Ortiz Franklin received a majority of the votes for the district 7 District Board seat and was re-elected to such seat. The remaining District Board seats (districts 1, 3 and 5) will have runoff elections in the general election on November 5, 2024. The district 1 runoff will be between Sherlett Hendy Newbill and Khallid A. Al-Alim; the district 3 runoff will be between Scott Mark Schmerelson and Dan Chang; and the district 5 runoff will be between Karla Griego and Graciela “Grace” Ortiz.

Superintendent. The chief executive officer of the District, appointed by the District Board to manage the day-to-day operations of the District, is the Superintendent of Schools (the “Superintendent”). The District Board appointed Alberto M. Carvalho to serve as the Superintendent effective February 2022.

Strategic Plan. On June 21, 2022, the District Board unanimously adopted a strategic plan for the next four years (the “2022-26 Strategic Plan”) that focuses on the goal of ensuring that all District students graduate “ready for the world” and prepared to thrive in college, career, and life. The 2022-26 Strategic Plan revolves around five pillars, each consisting of four priorities, that represent critical areas the District will focus on: academic excellence; joy and wellness; engagement and collaboration; operational effectiveness; and investing in staff.

Pursuant to the 2022-26 Strategic Plan, the first pillar of “Academic Excellence” prioritizes improving student outcomes through high-quality instruction, delivering enriching experiences to instill lifelong learning, eliminating opportunity gaps, and encouraging multiple paths for college and career readiness. The second pillar of “Joy and Wellness” prioritizes creating welcoming and inclusive learning environments, addressing student well-being through health, nutrition, and wellness services, cultivating strong social-emotional skills, and ensuring outstanding attendance to achieve consistent learning. The third pillar of “Engagement and Collaboration” prioritizes strengthening relationships between students, families, and schools, providing accessible information to the community, leading on local, state, and national levels, and honoring the perspectives of students. The fourth pillar of “Operational Effectiveness” prioritizes developing data-driven decision-making, modernizing facilities and technological infrastructure, sustainably implementing school and District budgets, and making the District a district of choice of families. The fifth pillar of “Investing in Staff” prioritizes recruiting and retaining a diverse workforce, providing rigorous and relevant professional learning, cultivating staff wellness, and maintaining consistent and high performance standards.

The District developed an Implementation Guide for the 2022-26 Strategic Plan with actions and practices for practitioners to implement in schools and classrooms. Pursuant to the 2022-26 Strategic Plan, the District intends to, among other endeavors, ensure processes and systems are in alignment by reviewing budgets, updating reporting structures, offering professional development for school and

central office staff, and providing additional support for aligning school-level plans to the 2022-26 Strategic Plan. Furthermore, to ensure the 2022-26 Strategic Plan remains on track, the District is regularly engaging with the community to solicit feedback on its actions and expenditures, and has established districtwide systems to monitor progress of ongoing implementation, as well progress toward achieving its targets for success – at both the central-office and school-site levels.

Regions. In addition to the Superintendent of the District, the District organizes its schools into four (formerly six) geographically-based regions (each, a “Region”). Each Region has a separate superintendent to oversee the schools in the related area of the District. The current Region Superintendents are Dr. David Baca (North), Andre Spicer (South), José P. Huerta (East), and Dr. Denise Collier (West).

Biographies. Brief biographical information for Superintendent Alberto M. Carvalho and other senior management of the District is set forth below.

Alberto M. Carvalho, Superintendent. Alberto M. Carvalho has served as Superintendent of the District, the nation’s largest self-governing public school district, since February 2022. He was selected by the District Board in a unanimous vote following a comprehensive community engagement process and a nationwide search.

During his 14-year tenure as Superintendent of Miami-Dade County Public Schools (“M-DCPS”), Superintendent Carvalho garnered local, state, national and international recognition. His honors include Florida’s 2014 Superintendent of the Year; the 2014 National Superintendent of the Year; the 2016 winner of the Harold W. McGraw Prize in Education; the 2018 National Urban Superintendent of the Year; the 2019 National Association for Bilingual Education (NABE) Superintendent of the Year Award; making him the most accomplished Superintendent in America’s history.

Superintendent Carvalho currently serves on the National Assessment Governing Board, appointed by the U.S. Secretary of Education. He also serves as a committee member for the National Academies of Science, Engineering, and Medicine and as an Advisory Committee Member to the Harvard Program on Education Policy and Governance. Superintendent Carvalho is a dedicated member of the National Board of Directors for Common Threads and the Posse Foundation.

Under his tenure, M-DCPS became one of the nation’s highest-performing urban school systems, receiving systemwide accreditation from AdvancEd in 2014. M-DCPS was named as the 2014 College Board Advanced Placement Equity and Excellence District of the Year and the 2012 winner of the Broad Prize for Urban Education. He is now seeking to elevate the District to the premier spot in American urban education.

Superintendent Carvalho has been awarded many honorary degrees. He has been honored by the President of Portugal with the “Ordem de Mérito Civil,” by Mexico with the “Ohtli Award” and was awarded the Official Cross of the Orden de Isabel la Católica (Order of Isabella the Catholic) on behalf of King Felipe VI of Spain.

Jaime G. Torrens, Senior Advisor to the Superintendent. Mr. Torrens, Senior Advisor to the Superintendent of the District, is responsible for assisting and supporting the Superintendent in the overall operation of the largest self-governing public school district in the nation.

Mr. Torrens previously served as Deputy Superintendent and Chief of Staff for M-DCPS where he oversaw a broad portfolio of functional areas. Among other duties, he led the M-DCPS’ response and recovery related to COVID-19 (as defined herein).

As Chief Facilities Officer for over 12 years he was responsible for all aspects of facilities planning, construction, maintenance, operations and inspections at the fourth largest school system in the nation. As a member of the Superintendent's Cabinet, he directed a staff of 1,000 professional and technical personnel responsible for all aspects of 3,100 buildings comprising 45 million square feet on over 400 school campuses and ancillary facilities.

Mr. Torrens also led the implementation of M-DCPS' \$1.2 billion General Obligation Bond program approved by voters in 2012 to renovate, construct and modernize school facilities throughout Miami-Dade County. This extensive capital improvement program included instructional technology upgrades at every school to provide equity throughout all campuses. Concurrently, he helped launch a comprehensive business development program which drastically expanded participation of small, minority and women-owned businesses that had been historically underrepresented in the construction industry.

Mr. Torrens served M-DCPS in various positions of increasing responsibility related to facilities management and district/emergency operations. He led M-DCPS' infusion of sustainability principles into design criteria and specifications for capital projects, implemented the Guaranteed Energy Performance Contracting Program and opened the first Gold Certified comprehensive high school under the LEED for Schools Program.

Mr. Torrens holds a Master of Science in Management Information Systems and a Bachelor of Science in Electrical Engineering from Florida International University, and he is a LEED Accredited Professional.

Mr. Pedro Salcido, Deputy Superintendent of Business Services and Operations. Since joining the District in 2012, Pedro Salcido has served in a variety of roles. Appointed in November 2022, he is currently the Deputy Superintendent of Business Services and Operations overseeing the critical work and divisions that enable the District to run, including school operations, food services, transportation, finance, information technology, facilities, medical services, and procurement. Current strategic initiatives under his purview include closing the digital divide, school bus electrification and systems modernization, healthier and more appealing school meals, wireless network modernization, school building modernization projects, and zero-based budgeting.

Prior to becoming Deputy Superintendent of Business Services and Operations, Mr. Salcido served as the Chief of Staff, managing all District academic and nonacademic operations and activities, while also serving as the Superintendent's principal liaison to the District Board. He oversaw the execution of all District policies and was instrumental in the development of Superintendent Carvalho's 100-Day Plan and 2022-26 Strategic Plan. Mr. Salcido has a demonstrated track record in expanding equitable programmatic and financial practices. Most notably, he served as the leading staff member who developed and implemented the District's Student Equity Needs Index (SENI), an equity-based funding allocation that today has grown to distribute nearly \$700 million to the neediest schools in the District.

Mr. Salcido also served as the District's Senior Executive Director of Finance and Policy, and the Director of Government Relations during which he managed state, federal and local advocacy efforts and supervised internal and external efforts related to finance, labor negotiations and general board policies. Moreover, for five years, he led the work on the initial development and implementation of the District's Local Control and Accountability Plan ("LCAP"), the result of which was the establishment of a system of common accountability and budget alignment with the LCAP Scorecard and broad community engagement efforts.

As a first-generation Mexican American son of immigrants and a first-generation high school and college graduate, Mr. Salcido often relies on his own lived experiences to connect with both the educational and personal experiences of the students we serve. He seeks to listen often to the perspectives of staff, students, and families to effectively contribute to the decisions that shape the daily experiences of Los Angeles students and families. Mr. Salcido holds a Master's in Public Administration from the University of Southern California and holds dual degrees in Politics and Latin American Studies from the University of California, Santa Cruz.

Devora Navera Reed, General Counsel. Devora Navera Reed serves as the General Counsel for the District. She has been serving the District since 2006 and previously held the position of Chief Education and Legal Services Counsel. Ms. Navera Reed oversaw legal issues and litigation in areas dealing with special education, school law and operations, charter schools, equity and access, and constitutional issues, to name a few. As General Counsel for the District, Ms. Navera Reed is responsible for administering and overseeing the legal activities of the District's legal staff and outside legal firms. In addition, she advises the District Board, Superintendent, and senior leadership related to matters of major importance to the District. Prior to joining the District in 2006, Ms. Navera Reed served as an attorney for the Children's Law Center of Los Angeles for nearly a decade, where she represented and advocated for children in dependency court and the foster care system. In addition to her legal responsibilities, Ms. Navera Reed serves as a board member of the California Minority Counsel Program promoting diversity, equity and inclusion in the legal field. Ms. Navera Reed earned a Bachelor of Arts from the University of Southern California in 1992 and a Juris Doctorate degree from the University of San Francisco School of Law in 1996.

David D. Hart, Chief Business Officer. Mr. Hart began serving as the District's Chief Business Officer in January 2020. Before coming to the District, Mr. Hart served as the Chief Financial Officer of the Cherry Creek School District for approximately three years – the last 18 months of which he also served as Cherry Creek's Chief Operating Officer. Before joining Cherry Creek, Mr. Hart was a Director at The PFM Group for nearly two years and a Senior Vice President in Public Finance at D.A. Davidson & Co. for approximately a year. Prior to that time, Mr. Hart served as the Chief Financial Officer for Denver Public Schools for four years and as Chief Financial Officer of the Douglas County School District for three years. He has also served as Manager of Revenue for the City and County of Denver, as Treasurer for the City and County of Denver and as Budget Director for the Douglas County School District. Mr. Hart attended the University of Colorado at Denver, where he received his Master of Public Administration: Policy Analysis and Evaluation.

Nolberto Delgadillo, Deputy Chief Business Officer – Finance. Mr. Delgadillo joined the District in July 2023, taking on the role to support the District's fiscal strategy. He came to the District from Portland Public Schools (Oregon) where he served as Chief Financial Officer. Prior to his time at Portland Public Schools he served in the same role for Tulsa Public Schools (Oklahoma). Mr. Delgadillo has a track record for being responsible for ensuring that school district funds are managed responsibly and reported accurately while leading the full spectrum of financial services. Before his time with Tulsa Public Schools, Mr. Delgadillo served as Chief Operations Officer in Los Angeles, at the LA Promise Fund. He also previously supported finance operations at Green Dot Public Schools (California). Mr. Delgadillo also spent over 12 years in the health care sector. He is a graduate from the University of Southern California earning degrees in Chemistry and Spanish and earning an MBA from Loyola Marymount University. He also completed a two-year program through The Broad Center, earning a Master's in Educational Leadership.

Ernie Thomas, Controller. Mr. Thomas joined the District in January 2024 from a national non-profit organization focused on education where he served for a decade, first as Controller and eventually as Treasurer and Controller for the last six years. He previously served as Corporate Controller for a

community sector organization for two years. Prior to that, he served as Vice President at National Community Renaissance for a year. Before that, Mr. Thomas served at an entertainment company for over a decade, where he first held the position of Controller for three years, and then Chief Financial Officer for the last nine years. Mr. Thomas was also an auditor at Authur Andersen & Co. and is a Certified Public Accountant (inactive). Mr. Thomas graduated from UCLA with a Bachelor of Arts degree in Economics.

Timothy S. Rosnick, Director of Capital Planning and Budgeting. Mr. Rosnick joined the District in October 2006 and served as the District's Director of Accounting Controls from October 2006 through June 2007 and the Director of Treasury and Accounting Controls from July 2007 through June 2008. Mr. Rosnick served as the District's Controller from June 2008 through June 2011 and served as the District's Deputy Controller from June 2011 through September 2023. Mr. Rosnick became Director of Capital Planning and Budgeting in September 2023. Prior to joining the District, Mr. Rosnick served as an Administrator at the Orange County Department of Education and as a Financial Officer with LACOE. Mr. Rosnick graduated from the University of Washington with a Bachelor of Arts degree with Distinction in Economics and received a Master of Business Administration degree from the University of Texas at Austin. Mr. Rosnick is a member of the Government Finance Officers Association and the CFA Institute.

School Facilities

The District is the largest public school district in the State and the largest self-governing public school district in the United States. As reflected in the District's Audited Annual Financial Report for fiscal year 2022-23, the District operated 1,238 schools and centers in fiscal year 2022-23, which consisted of 434 elementary schools, 78 middle/junior high schools, 87 senior high schools, 59 options schools, 262 magnet centers, 67 magnet schools, 30 multi-level schools, 12 special education schools, 2 community adult schools, 7 regional occupational centers, 2 skills centers, 87 early education centers, 4 infant centers, 18 primary school centers, and 89 California State preschools in fiscal year 2022-23. As reflected in the District's Audited Annual Financial Report for fiscal year 2022-23, 51 of the District's schools were operated as locally-funded affiliated charter schools ("Affiliated Charter Schools"). In addition, as reflected in the District's Audited Annual Financial Report for fiscal year 2022-23, the District oversaw 224 fiscally independent charter schools ("Fiscally Independent Charter Schools") within the District's boundaries in fiscal year 2022-23. See "STATE FUNDING OF SCHOOL DISTRICTS – Charter School Funding."

Enrollment and Average Daily Attendance

At the time of preparation of the District's second interim report for fiscal year 2023-24 (the "Fiscal Year 2023-24 Second Interim Report"), the transitional kindergarten ("TK") through 12th grade enrollment in the District for fiscal year 2023-24 was projected to be approximately 412,341 students, including those attending magnet, opportunity, and continuation schools and centers, Affiliated Charter Schools, and schools for people with disabilities. Such enrollment represents a decrease of 1,482 students or a decline of approximately 0.36% from the budgeted TK-12 enrollment in the District at the time of preparation of the District's original adopted budget for fiscal year 2023-24 (the "Fiscal Year 2023-24 Budget"). Such enrollment does not include students attending Fiscally Independent Charter Schools that was budgeted at 108,702 students at the time of preparation of the Fiscal Year 2023-24 Budget. Based on enrollment projections at the time of preparation of the Fiscal Year 2023-24 Second Interim Report, the District was projecting enrollment to decline by 2.49% on average through fiscal year 2025-26. For information regarding District operating deficits in relation to declining enrollment, see "DISTRICT FINANCIAL INFORMATION – District Budget – LACOE's Response to Fiscal Year 2023-24 Budget." While the District expects enrollment to continue to decline, the District's projected enrollment declines

are subject to change as conditions change and more data becomes available throughout the fiscal year. The District attributes declining enrollment to, among other things, the reduced birth rate in the County, increased costs of living and housing costs in southern California, declining immigration trends in the Los Angeles area, and residual impacts of the Coronavirus Disease 2019 (“COVID-19”) pandemic. The District’s Strategic Enrollment & Program Planning Office continues to lead coordination of District-wide enrollment efforts by utilizing data-driven decision-making to expand successful district programs, improve marketing and outreach to communities, implement student retention and matriculation strategies, and streamline TK-12 pathways and programs.

As a result of declining enrollment in District schools, the District’s annual average daily attendance (“ADA”) has declined in recent years and is expected to further decline in fiscal years 2023-24 through 2025-26 based on projections contained in the Fiscal Year 2023-24 Second Interim Report. To ensure funding stability regardless of instructional model in light of the COVID-19 pandemic, the State budget for fiscal year 2020-21 included a hold-harmless provision for the purpose of calculating apportionments in fiscal year 2020-21, and it provided that average daily attendance for fiscal year 2020-21 was based on fiscal year 2019-20 (specifically, the period July 1, 2019 through February 29, 2020). Although the State budget for fiscal year 2021-22 did not include an extension of the ADA hold-harmless provision in fiscal year 2021-22, school districts with enrollment declines in fiscal year 2021-22, like the District, retained the ability to receive their apportionment based on the higher of their fiscal year 2019-20 or fiscal year 2021-22 ADA as provided under the Local Control Funding Formula (the “LCFF”). See “STATE FUNDING OF SCHOOL DISTRICTS – Local Control Funding Formula.” In light of pervasive declining enrollment throughout nearly all school districts in the State, the Governor’s State budget for fiscal year 2022-23 revised the LCFF calculation beginning with fiscal year 2022-23 to consider the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA to allow school districts more time to adjust to enrollment-related LCFF funding declines. For purposes of fiscal year 2021-22, if a school district could demonstrate it provided independent study offerings to students in fiscal year 2021-22, such school district could consider the greater of its fiscal year 2021-22 ADA or its fiscal year 2021-22 enrollment adjusted for pre-COVID-19 absence rates. Such adjustment was applicable to fiscal year 2021-22 for purposes of calculating a school district’s prior year ADA or the average of three prior years’ ADA in fiscal year 2022-23 and beyond in accordance with the amendments made in connection with the Governor’s State budget for fiscal year 2022-23. The following Table A-1 sets forth the District’s actual and funded ADA for fiscal years 2014-15 through 2023-24. As reflected in Table A-1, the District’s funded ADA for fiscal years 2014-15 through 2021-22 was based largely on actual prior year ADA for the second period of attendance (“P-2”) for traditional TK-12 students, but current year P-2 ADA for students attending Affiliated Charter Schools. For fiscal years 2022-23 and 2023-24, the District’s funded ADA was based largely on the average of three prior fiscal years’ P-2 ADA for traditional TK-12 students, as adjusted in accordance with the COVID-19 ADA relief measures, but current year P-2 ADA for students attending Affiliated Charter Schools. As is shown in Table A-1, the revised LCFF calculation allowing the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA delays, but does not eliminate, the effects of enrollment declines on LCFF funding, such effects to eventually be felt as higher attendance levels from earlier years continue phasing out of the District’s average.

TABLE A-1
LOS ANGELES UNIFIED SCHOOL DISTRICT
Average Daily Attendance
Fiscal Years 2014-15 through 2023-24⁽¹⁾

Fiscal Year	Actual ADA			Funded ADA
	TK-12 ⁽²⁾	Affiliated Charter Schools ⁽³⁾	Total	Total
2014-15	476,285	39,944	516,229	524,591 ⁽⁷⁾
2015-16	463,735	39,632	503,367	512,625 ⁽⁷⁾
2016-17	450,713	41,143	491,856	500,648 ⁽⁷⁾
2017-18	438,359	40,232	478,591	483,710 ⁽⁷⁾
2018-19	415,100	38,910	454,010	470,127 ⁽⁷⁾
2019-20 ⁽⁴⁾	413,965	40,940	454,905	454,792 ⁽⁷⁾
2020-21 ⁽⁵⁾	N/A	N/A	N/A	455,356 ⁽⁷⁾
2021-22	345,896	35,043	380,939	449,912 ⁽⁷⁾
2022-23	348,544	35,466	384,010	434,269 ⁽⁸⁾
2023-24 ⁽⁶⁾	337,884	34,579	372,463	410,586 ⁽⁸⁾

⁽¹⁾ Data may differ from other District disclosures because adjustments were made in certain fiscal years due to additional attendance for non-public students, corrected attendance reports for District students, and/or audit findings.

⁽²⁾ Includes non-public school special education students and District students attending schools operated by the County.

⁽³⁾ Includes charter schools that are fiscally-affiliated with the District.

⁽⁴⁾ Condensed reporting period. Does not reflect actual student attendance after February 29, 2020 due to the COVID-19 pandemic.

⁽⁵⁾ Attendance reporting not required for fiscal year 2020-21. The fiscal year 2020-21 State budget included a hold harmless provision for the purpose of calculating apportionments under LCFF in fiscal year 2020-21, providing that ADA for fiscal year 2020-21 was based on ADA for fiscal year 2019-20 (specifically, the period July 1, 2019 through February 29, 2020), as discussed in more detail above.

⁽⁶⁾ Funded ADA, as reflected in the Fiscal Year 2023-24 Second Interim Report.

⁽⁷⁾ Funded ADA is based largely on actual prior year P-2 ADA for TK-12 and current year P-2 ADA for Affiliated Charter Schools. For more information, see the discussion of ADA funding in the paragraph immediately preceding this table.

⁽⁸⁾ Funded ADA is based largely on the average of three prior fiscal years' P-2 ADA for TK-12, as adjusted in accordance with the COVID-19 ADA relief measures, and current year P-2 ADA for Affiliated Charter Schools. For more information, see the discussion of ADA funding in the paragraph immediately preceding this table.

Sources: Los Angeles Unified School District Audited Annual Financial Report for fiscal year 2021-22 (actual ADA for fiscal years 2012-13 through 2021-22); unaudited actuals reports for fiscal years 2012-13 through 2022-23 (funded ADA for fiscal years 2012-13 through 2022-23; actual ADA for fiscal year 2022-23); Fiscal Year 2023-24 Second Interim Report (funded ADA for fiscal year 2023-24).

Cybersecurity

The District collects, processes, and distributes protected and personal information on students, staff, parents, and contractors. The size of the District's information assets creates a target-rich environment for a variety of threats such as cyber criminals and natural disasters. In 2019, the District experienced a cyberattack that resulted in unauthorized access to a limited number of student records; the software vulnerability was resolved the same day it was discovered. In March 2020, in response to the COVID-19 pandemic, the District rapidly implemented new remote learning and remote working capabilities, which increased the District's cyberattack surface area. The District implemented additional layers of technical and administrative controls to mitigate remote access risks. In August 2022, a Data Center power outage triggered by a failed electrical transformer owned by Los Angeles Department of Water and Power, resulted in temporary unavailability of some information systems. The District mitigated the risk by increasing electrical line and backup power capacity and successfully performing functional load tests.

On September 3, 2022, the District became aware of a cyberattack on its information technology assets and proactively suspended network traffic in and out of its data centers. In response to such incident, the District swiftly activated its incident response protocol and commenced an investigation with

support from Kroll, LLC, an outside cybersecurity firm, to assist with containment, remediation, and forensic analysis. The Microsoft Detection and Response Team also assisted with the forensic investigation. The District also notified local and federal law enforcement agencies and continues to support their ongoing investigations. The District has identified, contained, and remediated the ransomware, and it has not found evidence of additional malware related to the cyberattack or any other persistent malicious activity on its network or systems.

The District's investigation of the incident determined that on or about July 31, 2022, the threat actor began conducting digital monitoring of the District's environment remotely using a contractor account to gain unauthorized access to systems. The District did not pay a ransom to the threat actor in connection with the incident. The threat actor posted approximately 500 gigabytes of data it stole from the District to its "leak site" on the dark web. Most of the files exfiltrated by the threat actor were located on the District's facilities servers and systems. The District provided required notifications to those individuals and entities with personal information included among those materials posted by the threat actor. This included employees, former employees, job applicants, and employees and contractors of facilities services division vendors who had personally identifiable information posted. The District offered credit monitoring services to such individuals. Notifications were also provided to individuals, including students and employees, who had personal "medical information" posted in the form of positive COVID-19 test results collected through the District's COVID-19 testing program, and to individuals, mostly former students, who had information contained in student assessment reports, most of which was dated, posted.

As a result of the incident, the District initially restricted access to its servers and systems, including access to user accounts, email, and software applications. Many operations and processes that were automated or facilitated by technology had to be completed manually, and some still remain manual at this time. Nonetheless, school sites remained operational. Most servers and systems were gradually restored within days as they were determined to be safe, with the District's most critical systems being restored first. The District restored certain impacted systems from backups and continues to work to rebuild others. While the District maintains cyber liability insurance, not all costs incurred are covered thereunder, and certain covered costs, which continue to be identified and calculated may ultimately exceed applicable coverage limits. Further, the District is planning to implement various security enhancements in light of the incident, but the District cannot currently predict the total cost of such enhancements.

Three related lawsuits relating to the incident remain pending against the District, which were filed on behalf of individuals allegedly impacted by the cyberattack, and unidentified classes of others impacted. At this early stage, the District cannot predict the outcome or any potential financial impact that may result from such litigation. Further, the District cannot predict whether any other claims or litigation will be filed or estimate any potential financial impact that may result. For more information about the existing lawsuits, see "DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation."

The District has implemented several protective measures with respect to access requirements to its systems to reduce the likelihood of a similar incident from occurring in the future. The District established an Independent Information Technology Task Force comprised of cybersecurity experts from private and public sectors to develop a set of recommendations to further strengthen the District's cybersecurity. The District has augmented its cybersecurity team, retained cybersecurity service providers, and implemented additional security controls and monitoring of its systems.

To minimize the impact and frequency of cybersecurity incidents, the District previously hired a Director of Information Technology Security in 2016 to develop and implement a risk-based information security management program ("ISMP"). The ISMP is designed to protect the confidentiality, integrity,

and availability of information assets managed by the District's Information Technology Division and comply with all applicable information protection regulations including the Family Educational Rights and Privacy Act, Children's Internet Protection Act, and the Health Insurance Portability and Accountability Act. The ISMP includes a number of technical, administrative, and physical security safeguards that take into account the District's unique threats and vulnerabilities. Safeguards include, but are not limited to, policies that require employees, students, and parents to acknowledge their obligation to protect District information, cybersecurity training for employees, next generation network security technologies, access control systems, and cyber liability insurance. The District and its third-party IT vendors are required to carry cyber liability insurance to offset the cost of business disruptions caused by cybersecurity incidents.

No assurance can be made in any networked environment that a future cyberattack or natural disaster would not compromise the confidentiality, integrity or availability of District information assets. The only viable mitigation of cybersecurity risks is a layered defense strategy. The District implements layered defenses as a principal driver of its information security program and continuously monitors the effectiveness of the program to proactively modify it when the cyberattack landscape changes.

The District relies on other entities and service providers in the course of operating the District, including the County with respect to the levy and collection of *ad valorem* property taxes and its servers and systems for accounting and other matters, as well as other trustees, fiscal agents, dissemination agents and project management firms. No assurance can be given that future cyber threats and attacks against third party entities or service providers will not directly or indirectly impact the District or the owners of the Series 2024A Bonds, including the possibility of impacting the timely payments of debt service on the Series 2024A Bonds or timely filings pursuant to the District's continuing disclosure undertakings.

STATE FUNDING OF SCHOOL DISTRICTS

General

School districts in the State receive operating revenues from federal, State and local sources, including appropriations from the State's general fund and local property taxes derived from a school district's share of the 1% *ad valorem* property tax. School districts also currently receive revenues from the State attributable to temporary tax increases implemented by Proposition 30 (defined herein). In connection with voter approval of Proposition 55 (defined herein), certain of such temporary tax increases were extended by twelve years through 2030. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 30" herein. School districts, such as the District, may be eligible for other special categorical funding, including funding for certain State and federal programs. The amount of categorical funding appropriated to a school district may vary significantly from other school districts and yearly. At the time of preparation of the Fiscal Year 2023-24 Second Interim Report, the District projected to receive approximately 60.42% of District General Fund revenues from funds of or controlled by the State. As a result, decreases in State revenues, or in State legislative appropriations made to fund education, may significantly affect District operations. For more information regarding the District's funding for fiscal year 2023-24, see "– State Budget Act – 2023-24 State Budget," "– State Budget Act – Proposed 2024-25 State Budget," "– Local Control Funding Formula" and "DISTRICT FINANCIAL INFORMATION – District Budget" herein.

Article XVI of the State Constitution requires that from all State revenues, there first be set apart the moneys to be applied by the State for support of the public school system and public institutions of higher education. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND

APPROPRIATIONS – Constitutionally Required Funding of Education” herein. The State Legislature and the Governor approve the State’s authorized appropriations for school districts each fiscal year in connection with the adoption of the State Budget Act (defined herein). Proposition 98 (“Proposition 98”), approved in November 1988 as a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act,” provides the minimum funding formula for school districts. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 98” herein. Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), there are currently three tests which determine the minimum level of K-14 funding. See “CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS” and “STATE FUNDING OF SCHOOL DISTRICTS– Local Control Funding Formula” herein. Proposition 98 permits the State Legislature, by two-thirds vote of both houses and with the Governor’s concurrence, to suspend the K-14 schools’ minimum funding formula for a one-year period. The amount of suspension is required to be repaid according to a specified State Constitutional formula, thereby restoring Proposition 98 funding to the level that would have been required in the absence of such suspension.

The actual appropriations and the timing of such appropriations are subject to, among other things, the estimated amount of State general fund revenues during the fiscal year and subsequent changes in State law. At times since the implementation of Proposition 98, the State has also sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against subsequent years’ Proposition 98 minimum funding levels rather than current year increases; by deferring apportionments of Proposition 98 funds from one fiscal year to the next, as the State did in fiscal years 2019-20 and 2020-21; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution’s definition of the guaranteed amount and settle-up requirement under certain circumstances. For more information on the Proposition 98 minimum guarantee under the 2023-24 State Budget, see “– State Budget Act – 2023-24 State Budget” herein. For a description and an analysis of the Governor’s proposed use of amounts in the Proposition 98 Rainy Day Fund (defined below) as a budget solution in the Proposed 2024-25 State Budget in relation to the Proposition 98 minimum guarantee and concerns expressed by the Legislative Analyst’s Office with respect to such use, see also “–The State Budget Process – State Budget Act – *Proposed 2024-25 State Budget*” and “–The State Budget Process – State Budget Act – *LAO Analysis of the Proposed 2024-25 State Budget*” herein.

Since fiscal year 2013-14, the amount of funds an individual school district receives from State revenues depends on the amount of revenues the State calculates that the school district should receive based on the LCFF, less the amount the school district derives from such school district’s share of the 1% *ad valorem* property tax. See “– Local Control Funding Formula” and “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Constitutionally Required Funding of Education” herein.

The State Budget Process

The State’s fiscal year begins on July 1 and ends on June 30. According to the State Constitution, the Governor of the State (the “Governor”) is required to propose a budget for the next fiscal year (the “Governor’s Budget”) to the State Legislature no later than January 10 of each year. State law requires the Governor to update the Governor’s Budget projections and budgetary proposals by May 14 of each year (the “May Revision”). Proposition 25, which was adopted by voters in the State at an election held on November 2, 2010, amended the State Constitution such that a final budget must be adopted by a simple

majority vote of each house of the State Legislature by no later than June 15 and the Governor must sign the adopted budget by no later than June 30. The budget becomes law upon the signature of the Governor (the “State Budget Act”).

Under State law, the annual proposed Governor’s Budget cannot provide for projected expenditures in excess of projected revenues and balances available from prior fiscal years. Following the submission of the Governor’s Budget, the State Legislature takes up the proposal. Under the State Constitution, money may be drawn from the State Treasury only through an appropriation made by law. The primary source of the annual expenditure authorizations is the State Budget Act, as approved by the State Legislature and signed by the Governor. The Governor may reduce or eliminate specific line items in the State Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each House of the State Legislature. Appropriations also may be included in legislation other than the State Budget Act. Bills containing appropriations (except for K-14 education) must be approved by a two-thirds majority vote in each House of the State Legislature and be signed by the Governor. Bills containing K-14 education appropriations require only a simple majority vote. Continuing appropriations, available without regard to fiscal year, may also be provided by statute or the State Constitution. Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt. However, delays in the adoption of a final State budget in any fiscal year may affect payments of State funds during such budget impasse. See “– State Funding of Schools Without a State Budget” herein for a description of payments of appropriations during a budget impasse.

The description above and below of the State’s budget has been obtained from publicly available information which the District believes to be reliable; however, the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not guarantee the accuracy or completeness of this information and have not independently verified such information. Additional information regarding State budgets is available at various State-maintained websites, including www.dof.ca.gov. The website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein.

State Budget Act

2023-24 State Budget. The Governor signed the fiscal year 2023-24 State budget on June 27, 2023, which was amended through a series of legislative bills (as amended, the “2023-24 State Budget”). The discussion below describes the 2023-24 State Budget. However, the 2023-24 State Budget was enacted based on then available information and a multitude of assumptions and expectations, including State revenue projections. Achievement of certain results or other expectations contained in the 2023-24 State Budget involves known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described therein to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. See “– State Budget Act – Proposed 2024-25 State Budget” and “– State Budget Act – LAO Analysis of the Proposed 2024-25 State Budget” herein, for more current State budget information as well as a discussion of certain instances where expectations expressed in the 2023-24 State Budget were different than actual results.

As enacted, the 2023-24 State Budget reflected a downturn in revenues and slower revenue growth than previous projections due to the declining stock market, high inflation, rising interest rates and layoffs in high-wage sectors. It provided that the 2023-24 State Budget was able to address the shortfall with balanced solutions that would protect core State programs and services by paying down the State’s debt and using one-time surplus funds on one-time commitments. The 2023-24 State Budget included a

package of solutions to bridge an approximately \$31.7 billion then-projected shortfall while avoiding what it described as deep and damaging program cuts. Specifically, the 2023-24 State Budget shifted approximately \$9.3 billion of spending commitments from the State's general fund to other funds, reduced or pulled back approximately \$8.1 billion in previously approved State general fund spending, delayed approximately \$7.9 billion in spending across multiple years, included approximately \$6.1 billion in additional revenue, primarily from the Managed Care Organization tax as well as internal borrowing from special fund balances not projected for programmatic purposes, and built in approximately \$340.0 million in trigger reductions that were then projected to be restored in the then proposed State budget for fiscal year 2024-25, assuming sufficient funds. The 2023-24 State Budget provided that it avoids new significant ongoing commitments and maintains fiscal discipline by setting aside a record \$37.8 billion in total budgetary reserves. The 2023-24 State Budget noted that a tax filing delay due to unprecedented storms in fiscal year 2022-23 had delayed the then projected receipt of \$42.0 billion in State tax receipts to October 2023, including \$28.4 billion from personal income tax and \$13.3 billion from corporation tax, representing nearly one-fourth of the fiscal year 2022-23 total then projected personal income tax, and nearly one-third of the fiscal year 2022-23 then projected corporation tax.

The 2023-24 State Budget projected total resources available in fiscal year 2022-23 of approximately \$260.9 billion, including revenues and transfers of approximately \$205.1 billion and a prior year balance of approximately \$55.8 billion, and total expenditures in fiscal year 2022-23 of approximately \$234.6 billion. The 2023-24 State Budget projected total resources available for fiscal year 2023-24 of approximately \$235.0 billion, inclusive of revenues and transfers of approximately \$208.7 billion and a prior year balance of approximately \$26.4 billion. The 2023-24 State Budget projected total expenditures in fiscal year 2023-24 of approximately \$225.9 billion, inclusive of non-Proposition 98 expenditures of approximately \$147.5 billion and Proposition 98 expenditures of approximately \$78.4 billion. Citing revenue risks and uncertainties, the 2023-24 State Budget included a historic level of reserves as an important resiliency tool, setting aside a total of \$37.8 billion in fiscal year 2023-24 and allocated reserves as follows: approximately \$22.3 billion in the State Rainy Day Fund (the "State Rainy Day Fund") for fiscal emergencies, approximately \$10.8 billion in the Public School System Stabilization Account (the "Proposition 98 Rainy Day Fund"), approximately \$900.0 million in the Safety Net Reserve (the "Safety Net Reserve"), and approximately \$3.8 billion to the State's Special Fund for Economic Uncertainties (the "State Special Fund for Economic Uncertainties"). In addition, the 2023-24 State Budget allocated approximately \$5.3 billion of the State general fund's then projected fund balance in fiscal year 2023-24 to the State's Reserve for Liquidation of Encumbrances. The 2023-24 State Budget provided that the State Rainy Day Fund would be at its constitutional maximum of 10% of State general fund revenues.

The 2023-24 State Budget included total funding of \$129.2 billion for all K-12 education programs, including \$79.5 billion from the State's general fund and \$49.7 billion from other funds. The 2023-24 State Budget reflected significant Proposition 98 funding that was to provide increased support for core programs such as the LCFF, special education, transitional kindergarten, nutrition, and preschool.

Certain budgeted programs and adjustments for K-12 education set forth in the 2023-24 State Budget included the following:

- Proposition 98 Minimum Guarantee. The 2023-24 State Budget reflected Proposition 98 funding levels of \$110.6 billion in fiscal year 2021-22, \$107.4 billion in fiscal year 2022-23, and \$108.3 billion in fiscal year 2023-24. The 2023-24 State Budget provided that such funding represented approximately 38.5% of the State's general fund revenues, plus local property tax revenues. To accommodate enrollment increases related to the expansion of transitional kindergarten, the 2023-24 State Budget increased the funding level from approximately 38.2% to approximately 38.5% to increase the percentage of State general fund revenues due to the minimum guarantee.

- Proposition 98 Rainy Day Fund (Public School System Stabilization Account). The 2023-24 State Budget included payments required to be made to the Proposition 98 Rainy Day Fund in fiscal years 2021-22 through 2023-24 for a total expected account balance of \$10.8 billion at the end of fiscal year 2023-24. The 2023-24 State Budget indicated that the expected balance of approximately \$9.9 billion in fiscal year 2022-23 would trigger the cap on school district reserves beginning in fiscal year 2023-24. See “– Limitations on School District Reserves” and “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 2 – SB 751” herein.
- Local Control Funding Formula. The 2023-24 State Budget included a LCFF cost-of-living adjustment (“COLA”) of 8.22%, which is the largest COLA in the history of LCFF. The 2023-24 State Budget provided approximately \$556.3 million ongoing Proposition 98 general fund resources to reflect the COLA for specified categorical programs. The 2023-24 State Budget provided that the COLA, when combined with projected declining enrollment adjustments, increased the year-over-year projected discretionary funds available to local education agencies by approximately \$3.4 billion. The 2023-24 State Budget also reflected the utilization of approximately \$1.6 billion one-time Proposition 98 State general fund resources to support the overall costs of the LCFF in fiscal year 2023-24, and provided an increase of approximately \$80.0 million ongoing Proposition 98 State general fund resources to support county offices of education serving students in juvenile court and other alternative school settings.
- Accountability Improvements and Equity Multiplier. The 2023-24 State Budget indicated that it reflects a comprehensive package to support accountability and a continuous improvement system to ensure student group and school site equity gaps within a local education agency are identified and addressed through the Local Control and Accountability Plan. To complement these efforts, the 2023-24 State Budget provided approximately \$300.0 million ongoing Proposition 98 State general fund resources to establish an Equity Multiplier as an add-on to the LCFF to accelerate gains in closing opportunity and outcome gaps, and approximately \$2.0 million ongoing Proposition 98 general fund resources to support the critical work of the new Equity Leads within the statewide system of support.
- Literacy. The 2023-24 State Budget provided approximately \$250.0 million one-time Proposition 98 general fund resources to build upon the existing Literacy Coaches and Reading Specialists Grant Program, which funds high-poverty schools to train and hire literacy coaches and reading specialists for one-on-one and small group intervention for struggling readers.
- State Preschool Program. The 2023-24 State Budget included the following set asides to fund any adjustments related to reimbursement for preschool providers: approximately \$343.1 million in Proposition 98 general fund resources and \$20,000 in non-Proposition 98 general fund resources from fiscal year 2022-23; approximately \$369.3 million in Proposition 98 general fund resources and \$126.1 million in general fund resources from fiscal year 2023-24; and approximately \$445.7 million in Proposition 98 general fund resources and \$186.5 million in general fund resources from fiscal year 2024-25. Consistent with this approach, the 2023-24 State Budget suspended the annual COLA applicable to the State Preschool Program in fiscal years 2023-24 and 2024-25.

The 2023-24 State Budget reallocated approximately \$4.4 million non-Proposition 98 general fund resources and approximately \$5.3 million Proposition 98 general fund resources from the 2022-23 State budget to continue to waive family fees from July 1, 2023 through September 30,

2023, and provided approximately \$112.0 million in available federal funds to provide temporary stipends for State Preschool Program employees.

- Transitional Kindergarten. The 2023-24 State Budget provided approximately \$357.0 million in ongoing Proposition 98 general fund resources for fiscal year 2022-23 to support the first year of expanded eligibility for transitional kindergarten to all children turning five-years-old between September 2 and February 2. The 2023-24 State Budget also provided approximately \$283.0 million in Proposition 98 general fund resources to provide one additional certificated or classified staff person in each transitional kindergarten classroom. Additionally, the 2023-24 State Budget provided approximately \$597.0 million in ongoing Proposition 98 general fund resources beginning in fiscal year 2023-24 to support the second year of expanded eligibility for transitional kindergarten to all children turning five-years-old between September 2 and April 2. The 2023-24 State Budget also provided approximately \$165.0 million in Proposition 98 general fund resources to support the second year of adding one additional certificated or classified staff person in each transitional kindergarten classroom.
- Arts, Music, and Instructional Materials Discretionary Block Grant. The 2023-24 State Budget decreased one-time Proposition 98 general fund support for the Arts, Music, and Instructional Materials Block Grant by approximately \$200.0 million, reducing total one-time program support from approximately \$3.5 billion to approximately \$3.3 billion. The Arts and Music in Schools: Funding Guarantee and Accountability Act (Proposition 28) will provide approximately \$938.0 million ongoing Proposition 98 general fund resources beginning in fiscal year 2023-24.
- Learning Recovery Emergency Block Grant. The 2023-24 State Budget delays approximately \$1.1 billion one-time Proposition 98 general fund resources for the Learning Recovery Emergency Block Grant to fiscal years 2025-26, 2026-27, and 2027-28.
- Zero-Emission School Buses. The 2023-24 State Budget delayed approximately \$1.0 billion one-time Proposition 98 general fund resources to support greening school bus fleets through programs operated by the California Air Resources Board and the California Energy Commission to fiscal years 2024-25 and 2025-26.
- California Preschool, Transitional Kindergarten and Full-Day Kindergarten Facilities Grant Program (the “Full-Day Kindergarten Facilities Grant Program”). The 2022-23 State budget included \$100.0 million one-time general fund resources and reflected an additional \$550.0 million in fiscal year 2023-24 to support the Full-Day Kindergarten Facilities Grant Program. The 2023-24 State Budget delayed the planned \$550.0 million investment for this program to fiscal year 2024-25.
- School Facility Program. The 2023-24 State Budget provided approximately \$2.0 billion one-time general fund resources, which is \$100.0 million less than previously planned, to support the School Facility Program in fiscal year 2023-24.
- Nutrition. The 2023-24 State Budget provided an additional \$154.0 million in ongoing Proposition 98 general fund resources and an additional \$110.0 million one-time Proposition 98 general fund resources to fully fund the universal school meals program in fiscal years 2022-23 and 2023-24.
- Bipartisan Safer Communities Act, Stronger Connections Program. The 2023-24 State Budget provided approximately \$119.6 million in one-time federal funds to support local education

activities related to improving school climate and safety through the Stronger Connections Program.

- Charter School Facility Grant Program. Consistent with the 2022-23 State budget, the 2023-24 State Budget provided a one-time investment of \$30.0 million Proposition 98 general fund resources to support eligible facilities costs.

The complete 2023-24 State Budget is available from the California Department of Finance website at www.dof.ca.gov or www.ebudget.ca.gov. The District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

Proposed 2024-25 State Budget. The Governor released the fiscal year 2024-25 proposed State budget (the “Proposed 2024-25 State Budget”) on January 10, 2024, which provides that it maintains the State’s fiscal stability using some of the money saved in historic budget reserves. The Proposed 2024-25 State Budget notes that the estimated \$37.9 billion budget shortfall poses a substantial challenge and is rooted in two separate but related developments during fiscal years 2022-23 and 2023-24 – the substantial decline in the stock market that drove down revenues in fiscal year 2022-23 and the unprecedented delay in critical income tax collections in fiscal year 2023-24. The Governor’s proposed budgets in January and May 2023 warned of this increased budgetary uncertainty, and in June 2023, the State passed a budget that planned accordingly, setting aside record reserves of just under \$38.0 billion. The Proposed 2024-25 State Budget provides that it solves for last fiscal year’s shortfall while adjusting State spending to ensure continued fiscal stability in future fiscal years.

The Proposed 2024-25 State Budget provides that the stock market recovery and improved economic growth support its forecast assumptions that revenue growth will resume in fiscal year 2023-24 following the steep correction in fiscal year 2022-23, with potential upside through fiscal year 2024-25 if the markets continue to outperform the forecast. In addition, it provides that the Federal Reserve has indicated it intends to cut interest rates throughout 2024, which may stimulate real estate transactions and other sectors of State’s economy. However, the Proposed 2024-25 State Budget provides that several risk factors such as a significant financial shock from tightening financial conditions, stock market and asset price volatility, and declines and geopolitical turmoil, could negatively impact the economy going forward. The Proposed 2024-25 State Budget provides that even after the proposed withdrawals from State reserves, total reserves in fiscal year 2024-25 will remain substantial at \$18.4 billion. This includes \$11.1 billion in the State Rainy Day Fund, \$3.9 billion in the Proposition 98 Rainy Day Fund, and \$3.4 billion in the State Special Fund for Economic Uncertainties.

The Proposed 2024-25 State Budget incorporates the following measures to close the budgetary shortfall in fiscal year 2024-25:

- \$13.1 billion in budget withdrawals from the State’s reserves, including \$10.4 billion from the mandatory State Rainy Day Fund and Transfer Suspension, \$1.8 billion from the discretionary State Rainy Day Fund, and \$900.0 million from the Safety Net Reserve.
- \$8.5 billion in various budget spending reductions, including, but not limited to, \$500.0 million in reductions to the School Facilities Aid Program and \$494.0 million in reductions to the Student Housing Revolving Loan Fund Program.
- \$5.7 billion in support from revenue sources and internal borrowing from special funds.

- \$5.1 billion in delayed budgetary funding for multiple items spread across a three-year period, beginning in fiscal year 2025-26, including but not limited to, a \$550.0 million funding delay to the Full-Day Kindergarten Facilities Grant Program.
- \$3.4 billion in budget fund shifts of certain expenditures from the State general fund to other funds, including, but not limited to, a \$1.3 billion reduction on State plans retirement contributions using Proposition 2 debt repayment funding.
- \$2.1 billion in funding deferrals to fiscal year 2025-26.

In addition to the budgetary measures listed above, the Proposed 2024-25 State Budget includes withdrawals from the Proposition 98 Rainy Day Fund of \$5.7 billion to maintain support for local educational agencies and community college districts. However, see “– *LAO Analysis of the Proposed 2024-25 State Budget*” below, for an analysis of the Governor’s proposed use of amounts in the Proposition 98 Rainy Day Fund as a budget solution in the Proposed 2024-25 State Budget in relation to the Proposition 98 minimum guarantee.

The Proposed 2024-25 State Budget estimates total resources available in fiscal year 2023-24 of approximately \$238.9 billion, including revenues and transfers of approximately \$196.9 billion and a prior year balance of approximately \$42.1 billion, and total expenditures in fiscal year 2023-24 of approximately \$230.9 billion. The Proposed 2024-25 State Budget projects total resources available for fiscal year 2024-25 of approximately \$222.7 billion, inclusive of revenues and transfers of approximately \$214.7 billion and a prior year balance of approximately \$8.0 billion. The Proposed 2024-25 State Budget projects total expenditures in fiscal year 2024-25 of approximately \$208.7 billion, inclusive of non-Proposition 98 expenditures of approximately \$131.8 billion and Proposition 98 expenditures of approximately \$76.9 billion. The Proposed 2024-25 State Budget includes approximately \$29.0 billion in reserves in fiscal year 2024-25 and allocates reserves as follows: approximately \$11.1 billion in the State Rainy Day Fund for fiscal emergencies, approximately \$3.9 billion in the Proposition 98 Rainy Day Fund, approximately \$10.6 million in the Reserve for Liquidation and Encumbrances, and approximately \$3.4 billion in the State Special Fund for Economic Uncertainties.

The Proposed 2024-25 State Budget includes total funding of approximately \$126.8 billion for all K-12 education programs, including approximately \$76.4 billion from the State’s general fund and approximately \$50.4 billion from other funds. Per-pupil funding totals \$17,653 per pupil in Proposition 98 funding and \$23,519 per pupil when accounting for all funding sources. However, see “– *LAO Analysis of the Proposed 2024-25 State Budget*” below, for an assessment of the Governor’s proposed K-12 education funding.

Certain budgeted programs and adjustments for K-12 education set forth in the Proposed 2024-25 State Budget include the following:

- Proposition 98 Minimum Guarantee. The revised estimates of State general fund revenues in the Proposed 2024-25 State Budget result in notable adjustments to the Proposition 98 minimum guarantee, resulting in funding estimates of approximately \$98.3 billion in fiscal year 2022-23, \$105.6 billion in fiscal year 2023-24, and \$109.1 billion in fiscal year 2024-25, representing a three-year decrease in the minimum guarantee of approximately \$11.3 billion over the level funded in the 2023-24 State Budget. Recognizing that the delay in the State tax filing deadline in fiscal year 2022-23 impacted State revenue projections for fiscal year 2022-23 available at the time the 2023-24 State Budget was enacted, the Proposed 2024-25 State Budget proposes statutory changes to address approximately \$8.0 billion of this decrease to avoid impacting existing school district and community college district budgets.

- Proposition 98 Rainy Day Fund. The 2023-24 State Budget projected a total balance of \$10.8 billion in the Proposition 98 Rainy Day Fund. The Proposed 2024-25 State Budget reflects revised fiscal year 2022-23 and 2023-24 payments, and a fiscal year 2024-25 payment, of approximately \$339.0 million, \$288.0 million, and \$752.0 million, respectively, into the Proposition 98 Rainy Day Fund, and withdrawals of approximately \$3.0 billion in fiscal year 2023-24 and \$2.7 billion in fiscal year 2024-25, for a total revised account balance of more than \$3.8 billion at the end of fiscal year 2024-25. There is a cap of 10% on school district reserves in fiscal years immediately succeeding those in which the balance in the Proposition 98 Rainy Day Fund is equal to or greater than 3% of the total K-12 share of the Proposition 98 minimum guarantee. See “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves” and “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 2 – *SB 751*” herein. The Proposed 2024-25 State Budget provides that the balance of \$5.7 billion in the Proposition 98 Rainy Day Fund in fiscal year 2023-24 continues to trigger school district reserve caps in fiscal year 2024-25.
- Local Control Funding Formula. The Proposed 2024-25 State Budget includes a LCFF COLA of approximately 0.76%, down from the 3.94% COLA estimated at the time of the enactment of the 2023-24 State Budget. The 2023-24 State Budget provides that, when combined with population growth adjustments, this will result in a decrease of approximately \$1.4 billion in discretionary funds for local educational agencies. To fully fund this increase and to maintain the level of current year principal apportionments, the Proposed 2024-25 State Budget proposes withdrawing approximately \$2.8 billion from the Proposition 98 Rainy Day Fund to support ongoing LCFF costs in fiscal year 2023-24, withdrawing approximately \$2.2 billion from the Proposition 98 Rainy Day Fund to support ongoing LCFF costs in fiscal year 2024-25, and using available reappropriation and reversion funding totaling \$38.6 million to support ongoing LCFF costs in fiscal year 2024-25.
- Local Property Tax Adjustments. The Proposed 2024-25 State Budget includes decreases of Proposition 98 general fund resources for school districts and county offices of education of \$113.0 million and \$996.0 million, respectively, in fiscal year 2023-24 and fiscal year 2024-25, as a result of increased offsetting property taxes.
- Instructional Continuity. To provide students with needed instructional continuity including when facing challenges such as severe climate events, illness, or other barriers that impact attendance, the Proposed 2024-25 State Budget proposes statutory changes to allow local educational agencies to provide attendance recovery opportunities to students to make up lost instructional time, thereby offsetting student absences, and mitigating learning loss and chronic absenteeism, as well as related fiscal impacts.
- California State Preschool Program. To support reimbursement rate increases previously supported by available one-time federal stimulus funding, the Proposed 2024-25 State Budget includes \$53.7 million in general fund resources. These resources are in addition to approximately \$140.6 million in general fund resources and \$206.3 million in Proposition 98 general fund resources identified in the 2023-24 State Budget.
- Teacher Preparation and Professional Development. To support training for educators to administer literacy screenings, the Proposed 2024-25 State Budget proposes \$25.0 million in ongoing Proposition 98 general fund resources through the K-12 Mandate Block Grant.

To further assist educators in teaching mathematics aligned to the State Board of Education's newly adopted Mathematics Framework, the Proposed 2024-25 State Budget proposes \$20.0 million in one-time Proposition 98 general fund resources for a county office of education to work with the University of California Subject Matter Projects, as well as other well-qualified governmental or non-profit providers, to develop and provide training for mathematics coaches and leaders who can in turn provide training and support to math teachers to deliver high-quality instruction.

The Proposed 2024-25 State Budget also proposes to make statutory changes to focus the use of unexpended allocated Learning Recovery Emergency Block Grant funds on actions to address the needs of students most impacted by learning loss, based on an assessment of needs and incorporated into the existing Local Control and Accountability Plan (LCAP) development process, and to clarify that the allowable uses of such grant funds include professional development aligned to the new Mathematics Framework.

- School Facility Program. The Kindergarten through Community College Public Education Facilities Bond Act of 2016 (Proposition 51), approved by voters in November 2016, authorized \$9.0 billion in State general obligation bonds to support K-12 and community college school facilities construction. With Proposition 51 bond authority funds nearly exhausted, the 2022-23 State budget and 2023-24 State Budget provided approximately \$1.3 billion in one-time general fund resources and \$2.0 billion in one-time general fund resources, respectively, for the School Facility Program, for K-12 school facilities construction. To address the projected budget shortfall, the Proposed 2024-25 State Budget adjusts a planned fiscal year 2024-25 investment for the School Facility Program from \$875.0 million to \$375.0 million in one-time general fund resources.
- Full-Day Kindergarten Facilities Grant Program. The Full-Day Kindergarten Facilities Grant Program supports the construction of new school facilities or retrofitting existing school facilities for the purpose of providing transitional kindergarten, full-day kindergarten, or preschool classrooms. The 2022-23 State budget included \$100.0 million in one-time general fund resources for the Full-Day Kindergarten Facilities Grant Program, and the 2023-24 State Budget reflected an additional \$550.0 million in fiscal year 2024-25 to support the Full-Day Kindergarten Facilities Grant Program. To address the projected budget shortfall, the Proposed 2024-25 State Budget delays the fiscal year 2024-25 planned investment of \$550.0 million to fiscal year 2025-26.
- Zero-Emission School Buses. The Proposed 2024-25 State Budget maintains \$500.0 million one-time Proposition 98 general fund resources to support greening school bus fleets through programs operated by the California Air Resources Board and the California Energy Commission in fiscal year 2024-25.
- Nutrition. The Proposed 2024-25 State Budget includes an increase of \$122.2 million in ongoing Proposition 98 general fund resources to fully fund the universal school meals program in fiscal year 2024-25.

The complete Proposed 2024-25 State Budget is available from the California Department of Finance website at www.dof.ca.gov or www.ebudget.ca.gov. The District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

LAO Analysis of the Proposed 2024-25 State Budget. The Legislative Analyst’s Office (“LAO”), a nonpartisan State office which provides fiscal and policy information and advice to the State legislature, released its report on the Proposed 2024-25 State Budget entitled “The 2024-25 Budget: Proposition 98 and K-12 Education” on February 15, 2024 (the “2024-25 Proposed Budget Analysis”). In the 2024-25 Proposed Budget Analysis, the LAO assesses changes related to the Proposition 98 Rainy Day Fund and Proposition 98 minimum guarantee and analyzes the major proposals for K-12 education.

The LAO notes that Proposition 98 sets aside a minimum amount of funding for schools based upon a set of constitutional formulas. Due to reductions in State revenue and the delayed deadline for personal income and corporation tax payments, the Proposed 2024-25 State Budget estimates the funding requirement to be down significantly over the fiscal years 2022-23 through 2024-25. Specifically, the delayed payments show that State tax collections for fiscal year 2022-23 were nearly \$26.0 billion lower than the levels the State estimated in June 2023. The Proposed 2024-25 State Budget revised the estimate of the Proposition 98 minimum guarantee down nearly \$9.1 billion for fiscal year 2022-23. The LAO observes that the reduction in the guarantee primarily reflects the significant drop in general fund revenue, but is offset slightly by a small increase in property tax revenue. The downward revision is the largest reduction to the guarantee in a prior year since the passage of Proposition 98 in 1988. By contrast, previous downward revisions to the prior-year guarantee have never been larger than a couple hundred million dollars. The LAO notes that nearly half of the increase, however, is due to two special adjustments. First, the State adjusts the guarantee up by more than \$930.0 million to account for the arts education program established by Proposition 28 in the year 2022. Second, it makes a further upward adjustment of more than \$630.0 million to account for the continued expansion of eligibility for transitional kindergarten. The LAO estimates the Proposition 98 guarantee is \$7.7 billion lower than the Proposed 2024-25 State Budget level over the period. Specifically, estimates are \$5.2 billion lower in fiscal year 2023-24 and \$2.5 billion lower in fiscal year 2024-25.

The Proposed 2024-25 State Budget anticipates a rapid recovery and assumes an 8.0% increase in general fund revenue relative to the lower fiscal year 2022-23 level, including a 12.0% increase in personal income tax receipts. The Proposed 2024-25 State Budget anticipates a relatively strong rebound in general fund revenue for fiscal year 2023-24, but the State tax collections through January 2024 point to continuing weakness. Tax receipts from regular income tax withholding (the largest portion of the personal income tax) came in \$1.0 billion or 11.0% below the estimates in the Proposed 2024-25 State Budget. Receipts from the quarterly estimated payments were even worse, coming in \$3.0 billion or 27.0% below the budget estimate. Based on the recent tax collection data, the LAO sees a high level of downside risk to the revenue estimates in the Proposed 2024-25 State Budget. Specifically, LAO’s updated estimate of general fund revenue (released in February 2024) is \$15.3 billion lower than the Proposed 2024-25 State Budget estimates for fiscal year 2023-24 and \$8.4 billion lower for fiscal year 2024-25. The LAO notes that there is low probability that revenues will approach the levels in the Proposed 2024-25 State Budget. The LAO estimates that the lower general fund revenue reduce the guarantee by nearly 40 cents for each dollar of lower revenue. Increases in local property tax, however, increase the Proposition 98 minimum guarantee on a dollar-for-dollar basis.

LAO’s estimates of property tax revenue are somewhat higher than the levels in the Proposed 2024-25 State Budget. The LAO observes that the most important factor affecting local property tax revenue is the rate of growth in assessed property values. The Proposed 2024-25 Proposed Budget estimates assessed values will grow 5.1% in fiscal year 2023-24 and 4.7% in fiscal year 2024-25. The LAO observes that this growth assumption is somewhat below the historical average of about 5.5%. Accounting for all of the factors, the overall increase in local property tax revenue is about 4.0% in each year. The Proposed 2024-25 State Budget forecasts Proposition 98 guarantee to grow to \$111.9 billion in fiscal year 2025-26, an increase of \$2.8 billion or 2.6% from the fiscal year 2024-25 level. The LAO observes that approximately \$1.1 billion of this increase in the guarantee is attributable to an adjustment

for transitional kindergarten. Most notably, recent data from the Board of Equalization show that assessed property values grew nearly 6.7% in fiscal year 2023-24, compared with the estimate of 5.1% in the Proposed 2024-25 State Budget.

The LAO emphasizes that the Proposed 2024-25 State Budget's largest solution is a funding maneuver that would move some prior-year school spending to the non-Proposition 98 side of the budget and delay budgetary recognition of the expenditure for several years. In effect, the State would be using its cash resources to finance payments to schools that exceed the Proposition 98 guarantee in the prior year and creating an internal obligation to recognize the underlying budgetary cost at some point in the future. Unlike a traditional loan, however, the State would not score this mechanism as borrowing, make payments to an external creditor, or accrue any interest. The Proposed 2024-25 State Budget also proposes a \$4.9 billion discretionary withdrawal to cover school spending that would otherwise exceed the minimum guarantee. Of this amount, the budget would use \$2.8 billion for LCFF in fiscal year 2023-24 and \$2.1 billion for LCFF in fiscal year 2024-25. These withdrawals would leave \$3.9 billion in the reserve for future use. This balance exceeds the threshold triggering the cap on local school district reserves, meaning the cap would remain operative for at least another year. Furthermore, most of the school districts will experience funding declines in fiscal year 2024-25 as their higher attendance levels from earlier years continue phasing out of their average. The Proposed 2024-25 State Budget estimates this phaseout will reduce LCFF statewide by \$2.0 billion or 2.6%. Partially offsetting this reduction, the Proposed 2024-25 State Budget estimates an LCFF increase of \$796.0 million related to the expansion of transitional kindergarten. This increase consists of \$635.0 million for base, supplemental, and concentration grant funding generated by students who are newly eligible in fiscal year 2024-25 and \$161.0 million to support lower staffing ratios for these students. Accounting for the attendance phaseout and the expansion of transitional kindergarten, the overall reduction in LCFF costs is \$1.2 billion.

The LAO notes that the Proposed 2024-25 State Budget recognizes the budget problem and introduces a few reasonable ideas. Most notably, the inclination to access funds in the Proposition 98 Rainy Day Fund and identify savings in the State Preschool program. However, the LAO expresses major concerns with the proposal to allow schools to keep cash disbursements above the minimum guarantee without recognizing the budgetary cost of those payments. According to the LAO, this proposal creates a new type of budget solution: effectively, an interest-free loan from the State's cash resources and, as such, it sets a problematic precedent. If the State legislature were to avoid the funding maneuver entirely and reduce funding to LAO's lower estimates of the guarantee, the State would need to identify a total of \$14.0 billion in reductions or solutions affecting schools. Discretionary withdrawals from the Proposition 98 Rainy Day Fund as a one-time solution is contingent upon the State Governor declaring a budget emergency and the State legislature enacting a law authorizing the withdrawal. The LAO shares the view that a reserve withdrawal is warranted but has concerns about the way the Proposed 2024-25 State Budget would use these funds. The Proposed 2024-25 State Budget would use reserves to cover costs in fiscal years 2023-24 and 2024-25, including to free-up funding for spending increases. Using reserve withdrawals to support new spending seems contrary to the core purpose of the reserve—protecting existing programs—and diminishes an important tool that could mitigate the prior-year shortfall. The LAO notes that the reduction for State preschool program is reasonable, however, if program enrollment increases, the costs associated with providing certain payments in fiscal year 2024-25 will increase. Additionally, the Proposed 2024-25 State Budget funds the full COLA in fiscal year 2024-25 even though the guarantee cannot even support existing program costs. The LAO estimates that if the State had reduced the COLA rate for fiscal year 2023-24, it would face little or no ongoing shortfall in fiscal year 2024-25.

The LAO has offered recommendations to address the budget shortfall. The LAO recommends that the State legislature should prioritize core school programs but also promote stability for the budget moving forward. Taking this approach would require the State legislature to make some difficult choices

this year but offers substantial advantages. The LAO notes that the Proposed 2024-25 State Budget proposed funding maneuver is bad fiscal policy, sets a problematic precedent, and creates a binding obligation on the State that will worsen future deficits and require more difficult decisions. The LAO strongly recommends the State legislature to reject the funding maneuver. The LAO recommends that the State legislature should begin identifying alternative reductions and solutions it would need to balance the budget. Specifically, the LAO recommends the following one-time and ongoing spending solutions:

- Build a budget that (a) contains a discretionary reserve withdrawal and (b) directs the entire withdrawal toward addressing the shortfall in fiscal year 2022-23. To the extent the State is required to withdraw any funds that remain in the reserve after covering the shortfall in fiscal year 2022-23, the LAO recommends directing those funds toward existing program costs that would otherwise exceed the guarantee in fiscal year 2023-24.
- Reject all of the one-time increases proposed in the Proposed 2024-25 State Budget to achieve savings of \$599.0 million.
- Review existing grants with unallocated funding and reduce or eliminate any grants that do not represent highest priorities. The LAO recommends that one reasonable starting point would be to rescind some of the funding for community schools.
- For a few ongoing programs, the State likely could make one-time reductions that school districts could accommodate by drawing upon unspent carryover funding. Two of the programs for which the LAO anticipates school districts have unspent funds available are Expanded Learning Opportunities Program (“ELOP”) and the Special Education Early Intervention Grant.
- Zero out the COLA for the upcoming year. Rejecting the COLA would reduce the ongoing shortfall by \$628.0 million and help the state avoid committing to an ongoing spending level it would have difficulty maintaining in the future.
- Reject most other ongoing increases in the Proposed 2024-25 State Budget, including the increases for school meals and the funding for literacy screeners.
- Plan to adopt lower LCFF cost estimates than the Proposed 2024-25 State Budget anticipates for fiscal years 2023-24 and 2024-25 and use updated data to calibrate estimates. Related to these recommendations, the LAO recommends ensuring the estimates account for the interaction between the expansion of transitional kindergarten and the three-year rolling average attendance calculation. Under LAO’s latest estimates, the overall cost of LCFF would be \$1.8 billion lower across fiscal years 2023-24 and 2024-25.
- Explore changes to ongoing programs that could generate additional savings. The LAO outlines options for reducing costs in five large programs: ELOP allocations, State Preschool program, School Nutrition program, School Transportation program and Transitional Kindergarten Staffing Add-On program.
- Eliminate or scale back by revisiting three LCFF add-ons that provide additional funding for certain districts based on historical factors to reduce historical funding inequities among school districts, simplify the LCFF, and provide ongoing savings. The LAO

profiles three such add-ons: Targeted Instructional Improvement Block Grants, Minimum State Aid and Economic Recovery Targets.

Governor and Legislature Early Action Agreement. On April 4, 2024, the Governor and the State Legislature agreed to an early action budget package (the “Early Action Agreement”) to reduce the existing shortfall in the Proposed 2024-25 State Budget, to be addressed in the final budget for fiscal year 2024-25, by approximately \$17.3 billion. The Early Action Agreement consists of a mix of budgetary actions, including \$3.6 billion in budgetary reductions (primarily to one-time funding), \$5.2 billion in revenue and borrowing, \$5.2 billion in delays and deferrals, and \$3.4 billion in shifts of costs from the general fund to other State funds. With respect to the budgeted programs for K-12 education, the Early Action Agreement includes a \$500.0 million reduction to the School Facility Aid Program and a \$550.0 million funding delay with respect to the Full-Day Kindergarten Facilities Grant Program. On April 11, 2024, the Early Action Agreement was passed by the State Legislature. The Early Action Agreement does not address the Proposition 98 funding maneuver proposed in the Proposed 2024-25 State Budget. The Early Action Agreement is available from the State of California website at www.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

[May Revision to Proposed 2024-25 State Budget.]

[LAO Analysis of the 2024-25 May Revision.]

Changes in State Budget. The final fiscal year 2024-25 State budget, which requires approval by a majority vote of each house of the State Legislature, may differ substantially from the Proposed 2024-25 State Budget. [In May 2024, the Governor will revise the Proposed 2024-25 State Budget based on updated information available at such time. Such revision in May 2024 may also differ substantially from the Proposed 2024-25 State Budget.] The final fiscal year 2024-25 State budget may be affected by national and State economic conditions and other factors which the District cannot predict. Accordingly, the District cannot provide any assurances that there will not be any changes in the final fiscal year 2024-25 State budget from the Proposed 2024-25 State Budget. The District cannot predict the impact that the final fiscal year 2024-25 State budget, or subsequent budgets, will have on its finances and operations.

Future Budgets and Budgetary Actions. The District cannot predict what future actions will be taken by the State Legislature and the Governor to address changing State revenues and expenditures or the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors beyond the District’s ability to predict or control. Certain actions could result in a significant shortfall of revenue and cash and could impair the State’s ability to fund schools during fiscal year 2023-24 and in future fiscal years. Certain factors, like an economic recession, could result in State budget shortfalls in any fiscal year and could have a material adverse financial impact on the District.

Additional Information. Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of the State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” Various analyses of the budget may be found at the website of the LAO at www.lao.ca.gov. In addition, various State official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found via the website of the State Treasurer, www.treasurer.ca.gov. The information presented in these websites is not incorporated by reference in this Official Statement.

State Funding of Schools Without a State Budget

Although the State Constitution requires that the State Legislature adopt a budget for the State by June 15 of the prior fiscal year and that the Governor sign a budget by June 30, this deadline has been missed from time to time. Delays in the adoption of a Budget Act in any fiscal year could impact the receipt of State funding by the District. On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State of California), et al. (also referred to as *White v. Davis*) (“Connell”). The California Court of Appeal concluded that, absent an emergency appropriation, the State Controller may authorize the payment of State funds during a budget impasse only when payment is either (i) authorized by a “continuing appropriation” enacted by the State Legislature, (ii) authorized by a self-executing provision of the State Constitution, or (iii) mandated by federal law. The Court of Appeal specifically concluded that the provisions of Article XVI, Section 8 of the State Constitution—the provision establishing minimum funding of K-14 education enacted as part of Proposition 98—did not constitute a self-executing authorization to disburse funds, stating that such provisions merely provide formulas for determining the minimum funding to be appropriated every budget year but do not appropriate funds. Nevertheless, the State Controller has concluded that the provisions of the State Education Code establishing K-12 and county office of education revenue limit funding (the predecessor to the LCFF) do constitute continuing appropriations enacted by the State Legislature and, therefore, has indicated that State payments of such amounts would continue during a budget impasse. The State Controller, however, has concluded that K-12 categorical programs are not authorized pursuant to a continuing appropriation enacted by the State Legislature and, therefore, cannot be paid during a budget impasse. To the extent the Connell decision applies to State payments reflected in the District’s budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of some payments to the District while such required legislative action is delayed, unless the payments are self-executing authorizations, continuing appropriations or are subject to a federal mandate.

Local Control Funding Formula

General. Funding for school districts, charter schools and county offices of education in connection with the LCFF includes State apportionments for general operating costs (“State Aid”) and funding for categorical programs. During fiscal year 2022-23, approximately 55.99% of the District’s General Fund revenues were pursuant to the LCFF. At the time of preparation of the Fiscal Year 2023-24 Second Interim Report, the District projected that approximately 60.48% of the District’s fiscal year 2023-24 General Fund revenues will consist of funds determined under the LCFF. For fiscal years 2020-21 through 2023-24, LCFF revenues comprise a lower percentage of the District’s total General Fund revenues as a result of increases in one-time federal funding for COVID-19 relief. The following Table A-2 sets forth the percentage of the District’s General Fund revenues that are derived from revenues under the LCFF, federal revenues, other State revenues and other local revenues for fiscal years 2019-20 through 2023-24.

TABLE A-2

LOS ANGELES UNIFIED SCHOOL DISTRICT
General Fund Revenue Sources
Percentage of Total District General Fund Revenues⁽¹⁾
Fiscal Years 2019-20 through 2023-24

Revenue Source	Fiscal Year 2019-20	Fiscal Year 2020-21	Fiscal Year 2021-22	Fiscal Year 2022-23	Fiscal Year 2023-24⁽²⁾
LCFF	74.47%	64.68%	62.42%	55.99%	60.48%
Federal Revenues	8.31	19.15	19.13	19.57	19.05
Other State Revenues	14.98	13.99	18.08	22.77	15.36
Other Local Revenues	2.24	2.18	0.37	1.67	5.12

⁽¹⁾ Sum of percentages may not equal 100% due to rounding.

⁽²⁾ Projected. For more information regarding State funding during fiscal year 2023-24, including information about the establishment of an Equity Multiplier as an add-on to the LCFF in the 2023-24 State Budget and impacts on the Fiscal Year 2023-24 Budget, see “– State Budget Act – 2023-24 State Budget” and “DISTRICT FINANCIAL INFORMATION – District Budget – *Revisions to Fiscal Year 2023-24 Budget.*”

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2022-23; Fiscal Year 2023-24 Second Interim Report for fiscal year 2023-24.

The LCFF allocates State funding based on a school district’s demographics. Each school district receives a base grant (the “Base Grant”) per ADA in an amount determined by the State. The Governor’s State budget for fiscal year 2022-23 revised the LCFF calculation beginning with fiscal year 2022-23 to consider the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA. See “DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance.” Pursuant to the LCFF, each local education agency (“LEA”) is required to, among other things, show progress toward an average class enrollment of no more than 24 pupils in kindergarten through grade 3, unless the LEA has entered into a collective bargaining agreement specifying an annual alternative average class enrollment in those grades for each school. Accordingly, the LCFF includes an adjustment to the Base Grant for kindergarten through grade 3 (the “K-3 Grade Span Adjustment”) of approximately 10.4% in order to cover the costs associated with class size reduction. In addition, the LCFF includes an adjustment to the Base Grant for grades 9 through 12 of approximately 2.6% to cover the costs of, among other things, providing career technical education.

Based on the ADA of the given demographic classification, school districts are eligible to receive a 20% supplemental grant (the “Supplemental Grant”) for students classified as English learners (“EL”), students eligible to receive a free or reduced-price meal (“FRPM”), and students classified as foster youth (“LI”). The State expects the Supplemental Grants to reflect the additional costs associated with the education of EL, FRPM and LI students. In addition, school districts are eligible to receive a concentration grant (the “Concentration Grant”) if the school district has a significant concentration of students classified as EL, FRPM or LI (collectively, “Unduplicated Pupils”). The LCFF uses an unduplicated student count to determine the amount of the Supplemental Grant and Concentration Grant authorized for a school district. A school district may only count a student one time if such student is classified in more than one of the EL, FRPM and LI categories. In the event the percentage of Unduplicated Pupils exceeds 55% of a school district’s total enrollment, the LCFF provides additional funding to the school district through a Concentration Grant. The Concentration Grant will be an amount equal to an additional 65% of the school district’s adjusted Base Grant, which includes the cost of living adjustment and grade span adjustments, if any, for each Unduplicated Pupil above the 55% threshold.

Starting with the 2023-24 fiscal year, an additional Equity Multiplier was added for LEAs who qualify by having both (1) a prior year nonstability rate of greater than 25% and (2) a prior year socioeconomically disadvantaged pupil rate of greater than 70%. The nonstability rate refers to the

percentage of students who do not complete the year due to factors like expulsion or other reason without stable subsequent enrollment at another school. The socioeconomically disadvantaged pupil rate refers to the percentage of students who (i) do not have a parent with a high school diploma, (ii) are eligible for free or reduced-price meals, (iii) are migratory, (iv) are homeless youth, (v) are foster youth or (vi) are enrolled in a county juvenile court school. Every year, the state will allocate \$300 million to the qualifying LEAs on a per-unit basis based on the LEA's prior year adjusted cumulative enrollment, but each qualifying school will receive at least \$50,000. The Equity Multiplier revenue must be used for evidence-based services and support for pupils.

The Base Grants are based on four uniform, grade-span base rates. For fiscal year 2023-24, the LCFF provided to school districts and charter schools: (a) a Base Grant for each LEA equivalent to \$10,951 per ADA for kindergarten through grade 3; (b) a Base Grant for each LEA equivalent to \$10,069 per ADA for grades 4 through 6; (c) a Base Grant for each LEA equivalent to \$10,367 per ADA for grades 7 and 8; (d) a Base Grant for each LEA equivalent to \$12,327 per ADA for grades 9 through 12. The Base Grant amount for fiscal year 2023-24 includes a COLA of 8.22%. The amount of actual funding allocated to the Base Grant, Supplemental Grants and Concentration Grants is subject to the discretion of the State.

Since the full implementation of the LCFF in fiscal year 2018-19, there is no longer a gap between a school district's prior year funding and the target amount of funding under the LCFF for the current year. Further, there is no longer a difference between the District's target entitlement under the LCFF – the amount available once the LCFF is fully funded – and the District's transition entitlement. In fiscal year 2018-19, the District reached its target entitlement for the District and the Affiliated Charter Schools, such that there is no transition entitlement for the District and the Affiliated Charter Schools. Accordingly, the District's historically significant increases in LCFF funding from year to year are not reflective of the District's current and expected LCFF funding since the LCFF is fully funded.

The difference between the amount a school district or charter school would have received under the old funding system and the estimated amount it would receive for LCFF funding at full implementation, based on certain criteria is referred to as the "Economic Recovery Target." Only school districts and charter schools that were at, or below, the 90th percentile of per-pupil funding rates of school districts under the pre-fiscal year 2013-14 funding system, as determined at the certification of the State's second principal apportionment in fiscal year 2013-14, are eligible for Economic Recovery Target payments. Based on this criteria, the District is not entitled to receive Economic Recovery Target funding. However, certain of the District's Affiliated Charter Schools are entitled to the Economic Recovery Target funding and received \$990,310, collectively, in fiscal year 2022-23, and will receive the same amount, collectively, in fiscal year 2023-24.

The District has the largest ADA in the State. See "DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance" herein. In addition, the District's ADA includes a significant number of students classified as Unduplicated Pupils. Accordingly, the District expects to receive more LCFF funding than other school districts in the State. The Fiscal Year 2023-24 Second Interim Report projects that approximately 85.67% of students attending non-charter schools of the District will be classified as Unduplicated Pupils under the LCFF during fiscal year 2023-24. The percentage of students classified as Unduplicated Pupils is based on a three-year rolling average. The District's calculation of ADA with respect to Unduplicated Pupils, which is used to determine Supplemental and Concentration Grant revenues, is subject to adjustment upon review thereof by the District's independent auditor.

The following Table A-3 sets forth the District's Base Grant per ADA for fiscal years 2014-15 through 2023-24 under the LCFF.

TABLE A-3
LOS ANGELES UNIFIED SCHOOL DISTRICT
Adjusted Base Grant Per Average Daily Attendance
Fiscal Years 2014-15 through 2023-24

<u>Fiscal Year</u>	<u>Grades K-3</u>	<u>Grades 4-6</u>	<u>Grades 7-8</u>	<u>Grades 9-12</u>
2014-15	\$7,740	\$7,116	\$7,328	\$8,712
2015-16	7,820	7,189	7,403	8,801
2016-17	7,820	7,189	7,403	8,801
2017-18	7,941	7,301	7,518	8,939
2018-19 ⁽¹⁾	8,235	7,571	7,796	9,269
2019-20	8,503	7,818	8,050	9,572
2020-21	8,503	7,818	8,050	9,572
2021-22	8,934	8,214	8,458	10,057
2022-23	9,520	8,754	9,013	10,716
2023-24	10,951	10,069	10,367	12,327

⁽¹⁾ LCFF was fully funded in fiscal year 2018-19.

Sources: Los Angeles Unified School District Comprehensive Annual Financial Report for fiscal years 2014-15 and 2015-16; the District for fiscal years 2016-17 through 2022-23; and Fiscal Year 2023-24 Second Interim Report for fiscal year 2023-24.

Local Control and Accountability Plan. Pursuant to the LCFF, since July 1, 2014, school districts, county offices of education and charter schools have been required to develop, adopt and annually update a three-year LCAP. The LCAP is required to identify goals and measure progress for student subgroups across multiple performance indicators. The Education Code requires each school district to file with the county superintendent of schools such school district's LCAP or annual update thereof not later than five days after its adoption. On or before August 15 of each year, the county superintendent of schools may seek clarification, in writing, from the governing board of such school district about the contents of the LCAP. The school district has the opportunity to respond to such request and the county superintendent is authorized to submit recommendations for amendments to the LCAP. On or before October 8 of each year, the county superintendent of schools is required to approve each school district's LCAP pending a determination that the school district has adhered to the template adopted by the State Board of Education, the school district's budget includes expenditures sufficient to implement the specific actions and strategies included in the LCAP based on projected costs, and the school district has adhered to the Education Code with respect to funds apportioned for Unduplicated Pupils.

The State's priorities for each LCAP include, among other things, compliance with requirements with respect to appropriateness of teacher assignments, ensuring that teachers are fully credentialed in the subject areas and for the pupils they are teaching, and ensuring that every pupil in the school district has sufficient access to the standards-aligned instructional materials as determined in accordance with the Education Code. In addition, school facilities are to be maintained in good repair. The State requires proper implementation of the academic content and performance standards adopted by the State Board of Education and will measure parental involvement (e.g., efforts to seek input from parents or guardians regarding decisions for the district and the school site), pupil achievement (e.g. performance on Statewide assessments, the academic performance index, readiness for college or career technical education, progress towards English proficiency, performance on advance placement examinations), pupil engagement (e.g., school attendance rates, chronic absenteeism rates, middle school dropout rates, high school dropout and graduation rates, pupil suspension and expulsion rates, etc.), access and enrollment in a broad course of study including the core subject areas and programs and services developed and provided to Unduplicated Pupils, and pupil outcomes in the subject areas comprising a broad course of study.

In November 2014, the State Board of Education adopted final regulations to govern the expenditure of the Supplemental Grant and Concentration Grant funding. These regulations require school districts, county offices of education, and charter schools to increase and improve services for Unduplicated Pupils and provide authority for school districts to spend funds school-wide when significant populations of Unduplicated Pupils attend a school. Pursuant to the regulations, LEAs are required to obtain input from parents of students and the general public in connection with the development, revision and updates of LCAPs. In addition, the regulations require County superintendents to review school district LCAPs and require county offices of education to provide technical assistance if they disapprove an LCAP. The Education Code grants the State Superintendent of Public Instruction authority to intervene if a school district or charter school fails to show improvement across multiple subgroups in three out of four consecutive years.

Infectious Disease Outbreak

In general, the outbreak of a highly contagious disease or epidemic disease could harm the District's financial results or result in a temporary shutdown of the District's facilities. As discussed above, school districts in California are funded based on the LCFF, which allocates a base grant per unit of average daily attendance with additional supplemental grants based on certain factors. Thus, a temporary shutdown of a school or an entire school district would reduce the average daily attendance and could impact the funding a school district receives unless the State legislature or California Department of Education takes action to exclude such days from the calculations for funding purposes. Further, any impact on the State's tax and other revenue receipts as a result of a highly contagious or epidemic disease may in turn impact other educational funding that the District receives from the State. " – State Budget Act – *Future Budgets and Budgetary Actions*." In addition, the District may incur increased operational costs to conduct distance learning or to clean, sanitize and maintain its facilities either before or after an outbreak of an infectious disease.

COVID-19 Background. The outbreak of the respiratory disease caused by COVID-19 was previously declared a pandemic by the World Health Organization, a national emergency by former President Trump and a state of emergency by the Governor of the State. The national and public health emergency declarations ended on May 11, 2023. Additionally, the Governor of the State issued a proclamation terminating the State's COVID-19 state of emergency on February 28, 2023.

Federal Response. On March 13, 2020, former President Trump declared a nationwide emergency pursuant to Section 501(b) of the Stafford Act, regarding the COVID-19 pandemic. On March 22, 2020, former President Trump approved the Major Disaster Declaration for the State of California, authorizing federal emergency aid related to COVID-19 administered through the Federal Emergency Management Agency ("FEMA"). As a result, local educational agencies were permitted to submit a request for FEMA public assistance through the California Office of Emergency Services for reimbursement of certain costs incurred as a result of COVID-19. The District submitted all requests for FEMA public assistance for eligible cleaning, sanitation, COVID-19 testing, vaccination, and meal programs expenses incurred through June 30, 2023. As of February 29, 2024, the District has received \$344.7 million for testing and miscellaneous response costs. In addition, the District received four obligation letters from FEMA totaling \$159.6 million for testing, vaccinations and miscellaneous response costs. The District is working to maximize its reimbursement from FEMA and anticipates that a significant majority of the amount of assistance requested from FEMA will ultimately be deemed eligible and reimbursed.

On March 27, 2020, the U.S. House of Representatives approved and former President Trump signed into law the Coronavirus Aid, Relief and Economic Security Act (the "CARES Act"). The CARES Act provided \$30 billion to education, specifically \$3 billion allocated to state governors to be used at

their discretion to address the emergency, \$13.5 billion for K-12 education, and \$14.25 billion for postsecondary institutions. School districts are able to use their share of the \$13.5 billion K-12 education allocation under the CARES Act, which was based on the proportion of Title I funding received for the then most recent fiscal year, for purposes authorized by federal law and other specified uses. The District received approximately \$858.1 million in funding under the CARES Act, which is the full amount allocated to the District under the CARES Act and included approximately \$289.7 million from the Elementary and Secondary School Emergency Relief Fund (the “ESSER”) provided directly from the federal government to the District, and amounts allocated by the State of California through its Learning Loss Mitigation Fund, including approximately \$488.6 million from the Coronavirus Relief Fund (the “CRF”) provided from CARES Act funding, approximately \$31.9 million from the Governor’s Emergency Education Relief Fund (the “GEER”) provided from CARES Act funding, and approximately \$47.9 million from the State’s general fund. The District has also received approximately \$22.0 million in supplemental reimbursements at a rate of 75 cents per meal for meals served to students between March 2020 and August 2020; a portion of such funding was provided by federal sources under the CARES Act and the other portion of such funding was provided by State funds. In addition, the District has been awarded approximately \$6.0 million in grant funds by the State under the California Community Schools Partnership Program for expenditures relating to the District’s community schools. As of June 30, 2023, the District has received all \$6.0 million of such grant funding.

On December 27, 2020, the Consolidated Appropriations Act of 2021 (“HR 133”) was enacted, which includes a \$900 billion COVID-19 relief package. HR 133 provided approximately \$81.9 billion to education, specifically about \$4.1 billion allocated to state governors to be used at their discretion to address the emergency, of which approximately \$2.75 billion was reserved for private K-12 education, about \$54.3 billion for K-12 education, around \$22.7 billion for postsecondary institutions, and about \$819 million for outlying areas and Bureau of Indian Affairs schools. School districts are able to use their share of the approximately \$54.3 billion K-12 education allocation under HR 133, which was based on the proportion of Title I funding received for the then most recent fiscal year, for purposes authorized by federal law and other specified uses. Pursuant to HR 133, \$154 million was allocated to the State in the form of funding for public schools from the GEER (the “GEER II”), and the State ultimately incorporated such funds into the expanded learning opportunity grant funding discussed below. In addition, pursuant to HR 133, the District is eligible to receive approximately \$1.15 billion in funding from the ESSER (the “ESSER II”) for eligible expenditures obligated through September 30, 2023. The District has received all \$1.15 billion in ESSER II funding as of June 30, 2023. In addition, under HR 133, the District received a one-time child development stipend of approximately \$4 million for costs associated with childcare programs.

On March 11, 2021, the American Rescue Plan Act of 2021 (“HR 1319”), a \$1.9 trillion COVID-19 relief package, was enacted. HR 1319 provided approximately \$165.15 billion to education, specifically about \$122.8 billion to public K-12 education, around \$2.75 billion to private K-12 education and about \$39.6 billion to postsecondary institutions. Of the approximately \$122.8 billion in K-12 funding, about \$7.2 billion was set aside for purchasing technology to support digital learning and around \$800 million is set aside for supporting homeless students. HR 1319 allocated K-12 funding to states and school districts according to the proportion of Title I funding received for the then most recent fiscal year. It further stipulated that of the K-12 funds received by states, 90% must be distributed to local educational agencies, 5% must be used to address learning loss, 1% must be used for summer enrichment programs and 1% must be used for comprehensive afterschool programs, and of the K-12 funds received directly by school districts, 20% must be used to address learning loss. Pursuant to HR 1319, the District expects to receive approximately \$2.6 billion in additional funding from the ESSER (the “ESSER III”) for expenditures obligated through September 30, 2024. As of February 29, 2024, the District has received approximately \$2.1 billion in ESSER III funding. Pursuant to HR 1319, the District also may receive up to \$281.6 million from the amounts dedicated to technology and digital learning (the “Emergency

Connectivity Fund”). As of February 29, 2024, the District has received approximately \$50.4 million of funding from the Emergency Connectivity Fund.

Pursuant to a grant from the U.S. Department of Health and Human Services, LACOE received funding for COVID testing to allocate to school districts within its jurisdiction. Accordingly, the District was allocated approximately \$82.2 million in funding for COVID testing expenses during fiscal year 2021-22, all of which the District received during fiscal year 2021-22.

State Legislation Relating to School Districts. On March 17, 2020, the Governor signed Senate Bill 117 (“SB 117”) as urgency legislation effective immediately. For purposes of school district funding for fiscal year 2019-20, SB 117 limited the average daily attendance reported to the California Department of Education to include the full school months from July 1, 2019, to February 29, 2020. This condensed ADA period applied to school districts that complied with Executive Order N-26-20. SB 117 further states the intent of the State Legislature is that a school district’s employees and contractors be paid during the period of a school closure due to COVID-19. SB 117 also waived instructional time penalties that would otherwise accrue, as long as the school district superintendent, county superintendent or charter school administrator certify that the closure due to COVID-19 caused the school district to fall below applicable instructional time requirements. SB 117 also included \$100 million in additional funding to school districts for certain costs incurred as a result of COVID-19. The District received approximately \$7.9 million, which includes amounts for Affiliated Charter Schools, from such additional State funding in fiscal year 2019-20.

The Governor signed Assembly Bill 86 (“AB 86”) into law on March 5, 2021. AB 86 provided approximately \$6.6 billion to local educational agencies to encourage a return to in-person education, with a focus on students who are younger (TK-2) and most disproportionately impacted by the COVID-19 pandemic. Funding was distributed as follows: \$725 per student, an additional \$1,000 per homeless student, and funds remaining after these apportionments are distributed proportionally based on LCFF. \$2 billion was set aside as incentive for school districts that return to in-person instruction by March 31, 2021 for at least TK-2 and ramping up to include higher grades if county transmission rates allow. Beginning April 1, 2021, school districts’ apportioned incentive funding was reduced by 1% for every academic calendar day they do not offer in-person education until May 15, 2021, after which school districts forfeit their entire apportionment of incentive funding. AB 86 allocated approximately \$4.6 billion to local educational agencies to support expanded learning opportunities that target learning loss resulting from the COVID-19 pandemic. School districts must implement learning recovery programs that include, at minimum, supplemental instruction, resources for social and emotional well-being and meal programs. AB 86 also established reporting requirements to monitor COVID-19 cases and in-person education status and apportioned \$25 million to the State’s “Safe Schools For All Team” to provide technical assistance, community engagement, oversight and accountability to school districts. AB 86 further set aside 10% of the State’s vaccine supply for childcare and TK-12 education staff. Pursuant to AB 86, the District expects to receive approximately \$572.5 million in additional funding following its reopening of schools for in-person hybrid instruction throughout April 2021. As of February 29, 2024, the District has received approximately \$561.7 million in such funding.

The Governor signed Assembly Bill 130 (“AB 130”) into law on July 9, 2021. Pursuant to AB 130, the District received approximately \$243.2 million in funding in fiscal year 2021-22 and is eligible for \$457.10 million per year thereafter for the operation of afterschool and summer school enrichment programs through the Expanded Learning Opportunities Program. In addition, pursuant to AB 130, the District received an additional \$45.7 million in funding through the Special Education Learning Recovery Support program and approximately \$10.1 million for dispute prevention and dispute resolution. While the Expanded Learning Opportunities Program is not a traditional one-time COVID relief funding source

like the other COVID relief funding discussed above, it is part of the State's on-going response to educational challenges exacerbated by the COVID-19 pandemic.

As of February 29, 2024, in aggregate from federal and State funding sources described above from fiscal year 2019-20 through fiscal year 2023-24, the District expects to receive approximately \$5.6 billion in COVID-19 relief funding, which does not include the funding that the District received through the Expanded Learning Opportunities Program in fiscal year 2021-22 or the funds that the District expects to receive through the Expanded Learning Opportunities Program on an ongoing basis. As of February 29, 2024, the District has received approximately \$4.8 billion in such COVID-19 relief funding, which does not include any funds received through the Expanded Learning Opportunities Program.

District Response. As a result of the outbreak of COVID-19, on March 10, 2020, the District Board declared that emergency conditions exist throughout the District and authorized the Superintendent to take any and all actions necessary to ensure the health and safety of students and staff. Under such authority, the Superintendent closed all schools within the District for in-person instruction effective March 16, 2020. The District implemented a distance learning model for the remainder of the 2019-20 school year.

The District utilized the distance learning model for much of the 2020-21 school year, which commenced on August 18, 2020, given the ongoing COVID-19 pandemic. However, the District began reopening schools for in-person hybrid instruction the week of April 12, 2021, starting with 61 elementary schools and 11 early education centers. The remaining elementary schools and early education centers reopened for in-person hybrid instruction the week of April 19, 2021, and middle schools and high schools reopened for in-person hybrid instruction the week of April 26, 2021. Distance learning also remained available to students throughout the 2020-21 school year. To ensure that the reopening was as safe as possible for students, employees, and the communities, the District published its COVID-19 Containment, Response and Control Plan in February 2021, which details plans, practices and health and safety protocols for reopening schools and is available on the District's website. The District also offered vaccinations to all District employees, administered vaccinations at multiple school sites, and operated a mass vaccination center at Hollywood Park to serve its employees and charter school employees. Baseline COVID-19 testing and subsequent periodic testing on a weekly basis was made available to all students and staff located at school facilities.

The District fully opened its school facilities to full-time in-person instruction at the outset of the 2021-22 school year. The District operates an independent study program for students who do not want to return to in-person instruction. Beginning in October 2021, the District required all employees to be vaccinated against COVID-19, but on September 26, 2023, the Board of Education rescinded that requirement. During the 2021-22 school year, the District conducted weekly testing of all staff and students for COVID-19. During the 2022-23 school year, the District no longer required weekly testing, but provided rapid antigen tests for symptomatic and exposed students and staff. The District continues to implement strict health and safety measures to ensure the safety of its staff and students.

In response to the COVID-19 pandemic, the District incurred costs totaling approximately \$5.1 billion from March 2020 through February 29, 2024, including costs associated with instructional connectivity, learning lost mitigation, meals, cleaning and protective equipment, COVID-19 testing, and business continuity and connectivity. As a result of the COVID-19 pandemic, the District currently projects approximately \$915.6 million in COVID-19 related costs associated with operating schools during the 2023-24 school year. More specifically, based on the Fiscal Year 2023-24 Second Interim Report, the District projects (1) approximately \$23.3 million in costs associated with strategies for continuous and safe in-person learning; (2) approximately \$246.4 million in costs associated with addressing lost instructional time; and (3) approximately \$645.9 million in costs for addressing additional

district priorities. For more information on the District’s COVID-19 relief funding expectations for fiscal year 2023-24, see “DISTRICT FINANCIAL INFORMATION – District Budget.”

While the State and federal one-time COVID-19 relief funding discussed above has provided and will continue to provide some immediate relief to school districts, including the District, the long-term impacts of the COVID-19 outbreak on the District’s operations and finances are not fully known as the situation continues to evolve. The District cannot predict whether similar legislation would be enacted in the event the outbreak severity of COVID-19 returns or a similar or other outbreak of a highly contagious disease or epidemic disease were to occur in the future.

Charter School Funding

A charter school is a public school authorized by a school district, county office of education or the State Board of Education. State law requires that charter petitions be approved if they comply with the statutory criteria. The District has certain fiscal oversight and other responsibilities with respect to both Affiliated Charter Schools and Fiscally Independent Charter Schools located in the District geographic boundaries. However, Fiscally Independent Charter Schools are separate LEAs and receive revenues directly from the State. Affiliated charter schools receive their funding from the District and are included in the District’s budgets and audit reports. Information regarding enrollment, ADA, budgets and other financial information relating to Fiscally Independent Charter Schools is not included in the District’s audit reports or in this Official Statement unless otherwise noted.

Pursuant to the LCFF, Fiscally Independent Charter Schools and Affiliated Charter Schools will receive a Base Grant per ADA and are eligible to receive Supplemental Grants, Concentration Grants and Equity Multiplier funds. See “ – Local Control Funding Formula” herein. In fiscal year 2023-24, the District operates 51 Affiliated Charter Schools and oversees 221 Fiscally Independent Charter Schools within the District boundaries. The fiscal year 2023-24 funded ADA of the Affiliated Charter Schools and the Fiscally Independent Charter Schools is anticipated to be approximately 34,658 and 101,678, respectively. An increase in the number of Fiscally Independent Charter Schools within the boundaries of a school district or an increase in the number of students transferring to a Fiscally Independent Charter School or an Affiliated Charter School from a traditional school within a school district may cause a net reduction in the District’s ADA.

Limitations on School District Reserves

Unless a school district is granted an exemption by its county superintendent of schools, amounts in its reserves may not exceed the limitations set forth in the Education Code once certain conditions precedent are met. Pursuant to Section 42127.01 of the Education Code, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Proposition 98 Rainy Day Fund is equal to or exceeds 3% of the combined total of State general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised shall not contain a combined assigned or unassigned ending general fund balance that is in excess of 10% of total General Fund expenditures and other financing uses. A county superintendent of schools may grant a school district under its jurisdiction an exemption from the reserves limitation for up to two consecutive fiscal years within a three-year period if the school district provides documentation indicating that extraordinary fiscal circumstances, including, but not limited to, multiyear infrastructure or technology projects, substantiate the need for a combined assigned or unassigned ending general fund balance that is in excess of the reserves limitation. The limitation applies once the Superintendent of Public Instruction notifies school districts and county offices of education that the conditions precedent are met. The Superintendent of Public Instruction is also required to notify school districts and county offices of education when those conditions no longer exist.

The State-imposed minimum recommended reserve for the District is accounted for in the District's reserve for economic uncertainties. Payments allocated to the Proposition 98 Rainy Day Fund by the State in fiscal years 2021-22 and 2022-23 triggered certain limitations on school district reserves under the Education Code in fiscal years 2022-23 and 2023-24. In fiscal years 2022-23 and 2023-24, the District Board has committed funds comprising portions of the General Fund ending balance to (1) proportionality resources that are allocated to schools to increase or improve services for low income, English language learner, and foster youth students, (2) the primary promise program for elementary school students to build a foundation in literacy, math, and critical thinking skills, (3) inflation protection, and (4) financial obligations pursuant to labor agreements. At the time of preparation of the 2023-24 Second Interim Report, the District's assigned and unassigned ending General Fund balance for fiscal year 2023-24 did exceed 10% of the total General Fund expenditures and other financing uses. However, the reserve cap is not checked for compliance at interim reporting periods; it is checked at budget adoption and at the reporting of unaudited actuals. Should the District appear to exceed the reserve cap at the time of preparation of the District's fiscal year 2023-24 unaudited actuals, the District would take appropriate action to ensure compliance.

Even with the Governor's proposed withdrawals in fiscal years 2023-24 and 2024-25 in the Proposed 2024-25 State Budget (see " – Proposed 2024-25 State Budget"), the Proposed 2024-25 State Budget indicates the projected balance of \$5.7 billion in the Proposition 98 Rainy Day Fund in fiscal year 2023-24 continues to trigger school district reserve limitations in fiscal year 2024-25.

Local Property Taxation

General. As required by State law, the District uses the services of the County for the assessment and collection of taxes for District purposes. District taxes are collected at the same time and on the same tax rolls as are the County, the City of Los Angeles and other local agency and special district taxes.

State law exempts \$7,000 of the full cash value of an owner-occupied dwelling from property tax, but this exemption does not result in any loss of revenue to local entities, including the District, because an amount equivalent to the taxes which would have been payable on such exempt values is paid by the State to the County for distribution to local agencies. The County levies property taxes on behalf of taxing agencies in the County for each fiscal year on taxable real and personal property which is situated in the County as of the preceding January 1. However, upon a change in ownership of property or completion of new construction, State law permits the County to recognize changes in the assessed valuation of real property before the next regular assessment role is complete in order to levy taxes based on the new assessed value. In such instances, the property is reassessed and a supplemental tax bill is sent to the new owner based on the new value prorated for the balance of the tax year.

The fiscal year 2023-24 Assessment Roll for property within the District's boundaries reflects an increase of approximately 5.96% in assessed value from the prior year. Under State law, in addition to reassessments requested by property owners pursuant to Proposition 8 when the current market value of property is less than assessed value as of January 1, the county assessor annually initiates reviews of property for reassessments due to decline-in-value. See "*—Appeals of Assessed Valuation; Blanket Reductions of Assessed Values*" below.

TABLE A-4

LOS ANGELES UNIFIED SCHOOL DISTRICT
Historical Gross Assessed Valuation of Taxable Property⁽¹⁾
Fiscal Years 2009-10 through 2023-24
(\$ in thousands)

Fiscal Year	Secured⁽²⁾	Unsecured	Total⁽²⁾	Change From Prior Year	Percent Change
2009-10	\$451,127,882	\$23,849,409	\$474,977,291	\$187,493	--
2010-11	442,092,473	21,753,078	463,845,551	(11,131,740)	(2.34)%
2011-12	447,830,204	21,265,021	469,095,225	5,249,674	1.13
2012-13	458,767,053	21,308,439	480,075,492	10,980,267	2.34
2013-14	482,043,584	21,634,336	503,677,920	23,602,428	4.92
2014-15	510,371,502	22,562,705	532,934,207	29,256,287	5.81
2015-16	546,807,059	23,362,404	570,169,464	37,235,257	6.99
2016-17	581,473,213	24,495,794	605,969,007	35,799,543	6.28
2017-18	619,162,082	25,342,665	644,504,747	38,535,740	6.36
2018-19	665,355,078	27,377,547	692,732,625	48,227,878	7.48
2019-20	710,954,606	28,442,486	739,397,092	46,664,467	6.73
2020-21	759,004,739	28,679,270	787,684,010	48,286,918	6.53
2021-22	790,822,215	27,581,051	818,403,266	30,719,256	3.90
2022-23	848,435,713	29,196,328	877,632,041	59,228,775	7.24
2023-24	898,345,149	31,634,928	929,980,077	52,348,036	5.96

⁽¹⁾ Full cash value.

⁽²⁾ Includes utility valuations.

Source: California Municipal Statistics, Inc.

Assessed Valuation Reductions. Assessments may be adjusted during the course of the year when real property changes ownership or new construction is completed. Assessments may also be appealed by taxpayers seeking a reduction as a result of economic and other factors beyond the District's control, such as a general market decline in property values, including potential market declines caused by the effects of a reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by State and local agencies and property used for qualified educational, hospital, charitable or religious purposes), pandemic, or the complete or partial destruction of taxable property caused by natural or manmade disaster, such as earthquake, drought, flood, landslide, liquefaction, levee failure, fire, toxic dumping, etc. When necessitated by changes in assessed value in the course of a year, taxes are pro-rated for each portion of the tax year. See also “—*Appeals of Assessed Valuation; Blanket Reductions of Assessed Values*” below.

Property values could be reduced by factors beyond the District's control, including a depressed real estate market due to general economic conditions or other events. A pandemic, like the COVID-19 pandemic, may result in an economic recession or depression that causes a general market decline in property values therefore affecting the assessed value of property in the District. For more information on the impact of the COVID-19 pandemic, see “— STATE FUNDING OF SCHOOL DISTRICTS – Infectious Disease Outbreak.” Events resulting in changing economic conditions may also alter the willingness or the ability of local taxpayers to pay *ad valorem* property taxes levied to repay the District's general obligation bonds. The District cannot predict whether events that may result in changing economic conditions will occur or the extent that a change in economic conditions will impact assessed value of property in the District or the willingness or ability of local taxpayers to pay *ad valorem* property taxes.

Aside from economic conditions, property values could be reduced by natural or manmade disasters. In recent years, portions of California, including the County and adjacent counties, have experienced wildfires that have burned thousands of acres and destroyed thousands of homes and structures. Moreover, the District is located in a seismically active region. Active earthquake faults include the San Andreas Fault that runs throughout the County, the Palos Verdes fault that runs along the coast and through a small portion of the County, and other smaller faults including the Lower Elysian Park thrust, the Upper Elysian Park fault and Puente Hills blind thrust system. Furthermore, California has experienced severe drought conditions in recent years, but has most recently experienced periods of extreme precipitation. These and other extreme weather events are all effects of climate change. As greenhouse gas emissions continue to accumulate, climate change may intensify and increase the frequency of such extreme weather events. The District cannot predict the timing, extent, or severity of any potential natural or manmade disaster and its impact on property values in the District.

Appeals of Assessed Valuation; Blanket Reductions of Assessed Values. There are two basic types of property tax assessment appeals provided for under State law. The first type of appeal, commonly referred to as a base year assessment appeal, involves a dispute on the valuation assigned by the assessor immediately subsequent to an instance of a change in ownership or completion of new construction. If the base year value assigned by the assessor is reduced, the valuation of the property cannot increase in subsequent years more than 2% annually unless and until another change in ownership and/or additional new construction or reconstruction activity occurs. Any base year appeal must be made within four years of the change of ownership or new construction date.

The second type of appeal, commonly referred to as a Proposition 8 appeal, can result if factors occur causing a decline in the market value of the property to a level below the property's then current taxable value (escalated base year value). Pursuant to State law, a property owner may apply for a Proposition 8 reduction of the property tax assessment for such owner's property by filing a written application with the appropriate county board of equalization or assessment appeals board. A property owner desiring a Proposition 8 reduction of the assessed value of such owner's property in any one year must submit an application to the county assessment appeals board (the "Appeals Board"). Following a review of the application by the county assessor's office, the county assessor may offer to the property owner the opportunity to stipulate to a reduced assessment, or may confirm the assessment. If no stipulation is agreed to, and the applicant elects to pursue the appeal, the matter is brought before the Appeals Board (or, in some cases, a hearing examiner) for a hearing and decision. The Appeals Board generally is required to determine the outcome of appeals within two years of each appeal's filing date. Any reduction in the assessment ultimately granted applies only to the year for which application is made and during which the written application is filed. The assessed value increases to its pre-reduction level (such pre-reduction level escalated by the annual inflation rate of no more than 2%) following the year for which the reduction application is filed. However, the county assessor has the power to grant a reduction not only for the year for which application was originally made, but also for the then current year and any intervening years as well. In practice, such a reduced assessment may and often does remain in effect beyond the year in which it is granted.

In addition, Article XIII A of the State Constitution provides that the full cash value base of real property used in determining taxable value may be adjusted from year to year to reflect the inflationary rate, not to exceed a 2% increase for any given year, or may be reduced to reflect a reduction in the consumer price index or comparable local data. This measure is computed on a calendar year basis. According to representatives of the County assessor's office, the County has in the past, pursuant to Article XIII A of the State Constitution, ordered blanket reductions of assessed property values and corresponding property tax bills on single family residential properties when the value of the property has declined below the current assessed value as calculated by the County.

No assurance can be given that property tax appeals and/or blanket reductions of assessed property values will not significantly reduce the assessed valuation of property within the District in the future.

Assessed Valuation by Jurisdiction. The following Table A-5 describes the percentage and value of the total assessed value of the property within the District's boundaries that resides in the various cities and unincorporated portions of the County, as well as the assessed value of property within the District relative to the County's assessed value, for fiscal year 2023-24.

TABLE A-5

LOS ANGELES UNIFIED SCHOOL DISTRICT
Fiscal Year 2023-24 Assessed Valuation by Jurisdiction

Jurisdiction	Assessed Valuation in District	% of District	Assessed Valuation of Jurisdiction	% of Jurisdiction in District
City of Bell	\$1,898,648,181	0.20%	\$2,386,832,811	79.55%
City of Bell Gardens	64,627,089	0.01	2,357,100,409	2.74
City of Beverly Hills	206,172,057	0.02	44,985,003,719	0.46
City of Calabasas	750,267	0.00	10,384,929,447	0.01
City of Carson	18,971,870,845	2.04	21,126,060,071	89.80
City of Commerce	393,476,151	0.04	7,130,442,900	5.52
City of Cudahy	1,082,136,157	0.12	1,082,375,575	99.98
City of Culver City	62,179,384	0.01	16,462,393,824	0.38
City of Downey	676	0.00	14,983,555,256	0.00
City of Gardena	8,656,755,345	0.93	8,656,755,345	100.00
City of Hawthorne	898,857,307	0.10	10,842,229,863	8.29
City of Huntington Park	4,024,858,436	0.43	4,024,858,436	100.00
City of Inglewood	43,767,072	0.00	16,123,306,112	0.27
City of Lomita	3,090,826,491	0.33	3,090,826,491	100.00
City of Long Beach	467,031,174	0.05	75,868,478,130	0.62
City of Los Angeles	819,314,948,319	88.10	819,772,705,348	99.94
City of Lynwood	60,507,001	0.01	4,538,648,661	1.33
City of Maywood	1,331,533,103	0.14	1,331,533,103	100.00
City of Montebello	12,963,135	0.00	7,950,856,621	0.16
City of Monterey Park	302,702,231	0.03	9,715,095,200	3.12
City of Rancho Palos Verdes	1,592,479,481	0.17	16,396,993,841	9.71
City of Rolling Hills Estates	26,956,445	0.00	4,672,574,538	0.58
City of San Fernando	2,609,359,578	0.28	2,609,359,578	100.00
City of Santa Clarita	54,430	0.00	44,856,053,742	0.00
City of Santa Monica	1,109,849	0.00	48,958,244,546	0.00
City of South Gate	6,327,886,721	0.68	7,756,779,545	81.58
City of Torrance	60,748,689	0.01	38,198,891,637	0.16
City of Vernon	7,948,251,550	0.85	7,948,251,550	100.00
City of West Hollywood	16,955,678,507	1.82	16,955,678,507	100.00
Unincorporated Los Angeles County	33,572,941,168	3.61	137,490,774,283	24.42
Total District	\$929,980,076,839	100.00%		
Los Angeles County	\$929,980,076,839	100.00%	\$2,005,261,690,790	46.38%

Source: California Municipal Statistics, Inc.

Assessed Valuation by Land Use. The following Table A-6 sets forth the assessed valuation by land use of property within the District in fiscal year 2023-24.

TABLE A-6

LOS ANGELES UNIFIED SCHOOL DISTRICT
Local Secured Assessed Valuation and Parcels by Land Use
Fiscal Year 2023-24

	2023-24 Assessed Valuation⁽¹⁾	% of Total	No. of Parcels	% of Total
<u>Non-Residential:</u>				
Commercial/Office Building	\$150,905,944,798	16.80%	51,111	5.28%
Industrial	94,627,787,691	10.53	24,867	2.57
Recreational	2,635,325,413	0.29	1,234	0.13
Government/Social/Institutional	4,599,858,112	0.51	5,129	0.53
Miscellaneous	499,608,202	0.06	994	0.1
Subtotal Non-Residential	\$253,268,524,216	28.20%	83,335	8.61%
<u>Residential:</u>				
Single Family Residence	\$408,068,510,052	45.43%	578,883	59.83%
Condominium/Townhouse	80,954,041,301	9.01	138,017	14.27
Mobile Home Related	517,690,748	0.06	115	0.01
2-4 Residential Units	52,740,752,621	5.87	96,441	9.97
5+ Residential Units/Apartments	97,260,923,369	10.83	42,215	4.36
Miscellaneous Residential	53,660,212	0.01	320	0.03
Subtotal Residential	\$639,595,578,303	71.21%	855,991	88.48%
Vacant Parcels	\$5,369,854,036	0.60%	28,149	2.91%
Total	\$898,233,956,555	100.00%	967,475	100.00%

⁽¹⁾ Local Secured Assessed Valuation, excluding tax-exempt property.

Source: California Municipal Statistics, Inc.

Assessed Valuation of Single-Family Homes. The following Table A-7 sets forth the distribution of single-family homes within the District within various assessed valuation ranges in fiscal year 2023-24.

TABLE A-7

LOS ANGELES UNIFIED SCHOOL DISTRICT
Assessed Valuations of Single Family Homes Per Parcel
Fiscal Year 2023-24

	No. of Parcels	2023-24 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single-Family Residential	578,883	\$408,068,510,052	\$704,924	\$444,269

2023-24 Assessed Valuation	No. of Parcels⁽¹⁾	% of Total	Cumulative % of Total	Total Valuation	% of Total	Cumulative % of Total
\$0 - \$99,999	46,072	7.959%	7.959%	\$2,971,697,039	0.728%	0.728%
\$100,000 - \$199,999	64,820	11.197	19.156	9,924,757,997	2.432	3.160
\$200,000 - \$299,999	83,585	14.439	33.595	20,838,318,544	5.107	8.267
\$300,000 - \$399,999	68,324	11.803	45.398	23,794,903,026	5.831	14.098
\$400,000 - \$499,999	57,567	9.944	55.342	25,831,034,834	6.330	20.428
\$500,000 - \$599,999	49,439	8.540	63.883	27,109,248,408	6.643	27.071
\$600,000 - \$699,999	41,147	7.108	70.991	26,677,628,507	6.538	33.609
\$700,000 - \$799,999	32,051	5.537	76.528	23,972,795,061	5.875	39.484
\$800,000 - \$899,999	24,268	4.192	80.720	20,573,688,859	5.042	44.525
\$900,000 - \$999,999	17,693	3.056	83.776	16,763,609,387	4.108	48.633
\$1,000,000 - \$1,099,999	12,562	2.170	85.946	13,155,607,699	3.224	51.857
\$1,100,000 - \$1,199,999	9,592	1.657	87.603	11,010,712,840	2.698	54.556
\$1,200,000 - \$1,299,999	7,797	1.347	88.950	9,731,103,852	2.385	56.940
\$1,300,000 - \$1,399,999	7,181	1.240	90.191	9,675,405,438	2.371	59.311
\$1,400,000 - \$1,499,999	5,887	1.017	91.208	8,522,869,688	2.089	61.400
\$1,500,000 - \$1,599,999	5,151	0.890	92.097	7,968,768,045	1.953	63.353
\$1,600,000 - \$1,699,999	4,581	0.791	92.889	7,547,907,532	1.850	65.202
\$1,700,000 - \$1,799,999	3,886	0.671	93.560	6,796,839,459	1.666	66.868
\$1,800,000 - \$1,899,999	3,422	0.591	94.151	6,327,362,819	1.551	68.418
\$1,900,000 - \$1,999,999	3,118	0.539	94.690	6,078,345,159	1.490	69.908
\$2,000,000 - \$2,099,999	2,533	0.438	95.127	5,188,748,001	1.272	71.180
\$2,100,000 - \$2,199,999	2,186	0.378	95.505	4,696,463,036	1.151	72.330
\$2,200,000 - \$2,299,999	1,972	0.341	95.846	4,437,475,795	1.087	73.418
\$2,300,000 - \$2,399,999	1,758	0.304	96.149	4,131,607,664	1.012	74.430
\$2,400,000 - \$2,499,999	1,639	0.283	96.432	4,015,802,966	0.984	75.414
\$2,500,000 - \$2,599,999	1,404	0.243	96.675	3,577,290,317	0.877	76.291
\$2,600,000 - \$2,699,999	1,366	0.236	96.911	3,614,539,205	0.886	77.177
\$2,700,000 - \$2,799,999	1,253	0.216	97.127	3,441,950,720	0.843	78.020
\$2,800,000 - \$2,899,999	1,092	0.189	97.316	3,110,456,960	0.762	78.783
\$2,900,000 - \$2,999,999	1,053	0.182	97.498	3,103,766,802	0.761	79.543
\$3,000,000 and greater	14,484	2.502	100.000	83,477,804,393	20.457	100.000
Total	578,883	100.000%		\$408,068,510,052	100.000%	

⁽¹⁾ Improved single-family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Largest Secured Taxpayers in the District. The following Table A-8 sets forth the twenty taxpayers with the greatest combined ownership of secured taxable property in the District on the fiscal year 2023-24 tax roll, and the secured assessed valuation of all property owned by those taxpayers in all taxing jurisdictions within the District.

TABLE A-8

LOS ANGELES UNIFIED SCHOOL DISTRICT
Largest Local Secured Taxpayers⁽¹⁾
Fiscal Year 2023-24

	Property Owner	Primary Land Use	2023-24 Assessed Valuation	% of Total⁽²⁾
1.	Universal Studios LLC	Movie Studio	\$3,119,828,062	0.35%
2.	Douglas Emmett LLC	Office Building	2,976,972,693	0.33
3.	Essex Portfolio LP	Apartments	2,702,864,870	0.30
4.	Rexford Industrial Realty LP	Industrial	2,285,203,101	0.25
5.	Century City Mall LLC	Shopping Center/Mall	1,110,574,262	0.12
6.	Next Century Partners LLC	Residential/Hotel	1,097,659,368	0.12
7.	FSP South Flower Street	Office Building	1,003,714,148	0.11
8.	CJDB LLC	Shopping Center/Mall	967,010,182	0.11
9.	Rochelle H. Sterling	Apartments	898,094,714	0.10
10.	Hanjin International Corp.	Hotel	891,027,387	0.10
11.	Anheuser Busch Commercial	Industrial	843,163,069	0.09
12.	One Hundred Towers LLC	Office Building	715,390,295	0.08
13.	Trizec 333 LA LLC	Office Building	701,018,682	0.08
14.	Onni Wilshire Courtyard LLC	Office Building	673,342,925	0.07
15.	Maguire Partners 355 S. Grand LLC	Office Building	655,596,686	0.07
16.	BRE HH Property Owner LLC	Office Building	650,561,002	0.07
17.	Olympic and Georgia Partners LLC	Hotel	625,519,745	0.07
18.	Tishman Speyer Archstone Smith	Apartments	623,996,307	0.07
19.	LA Live Properties LLC	Commercial	582,531,585	0.06
20.	Maguire Properties 555 W. Fifth	Office Building	574,760,357	0.06
			\$23,698,829,440	2.64%

⁽¹⁾ Excludes taxpayers with values derived from mineral rights or a possessory interest. Historically, among the top 10 taxpayers within the District are landowners with primary land use of oil and gas production, including Marathon Petroleum Corporation, Phillips 66 Company and Valero Energy Corporation, which are not reflected in the table above.

⁽²⁾ Local Secured Assessed Valuation, excluding tax-exempt property and utility valuations: \$898,233,956,555.
Source: California Municipal Statistics, Inc.

The more property (by assessed value) owned by a single taxpayer, the more tax collections are exposed to weakness, if any, in such taxpayer's financial situation and ability or willingness to pay property taxes in a timely manner. Furthermore, assessments may be appealed by taxpayers seeking a reduction as a result of economic and other factors beyond the District's control.

Tax Rates, Levies and Collections

General. Taxes are levied for each fiscal year on taxable real and personal property as of the preceding January 1. Real property that changes ownership or is newly constructed is revalued at the time the change occurs or the construction is completed. The current year property tax rate is applied to the reassessed value, and the taxes are then adjusted by a proration factor that reflects the portion of the remaining tax year for which taxes are due. The annual tax rate is based on the amount necessary to pay

all obligations payable from *ad valorem* property taxes and the assessed value of taxable property in a given year. Economic and other factors beyond the District's control, such as a general market decline in land values, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by State and local agencies and property used for qualified educational, hospital, charitable or religious purposes), pandemic, or the complete or partial destruction of taxable property caused by natural or manmade disaster such as earthquake, drought, flood, fire, toxic dumping, etc., could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the District's outstanding general obligation bonds.

For assessment and collection purposes, property is classified as either "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing property (real or personal) the taxes on which are a lien sufficient, in the opinion of the County Assessor, to secure payment of the taxes. Other property is listed on the "unsecured roll."

Property taxes on the secured roll are due in two installments, on November 1 and February 1 of each fiscal year, and become delinquent on December 10 and April 10, respectively. A penalty of 10% attaches immediately to all delinquent payments. Properties on the secured roll with respect to which taxes are delinquent become tax defaulted on or about June 30 of the fiscal year. Such property may thereafter be redeemed by payment of a penalty of 1.5% per month to the time of redemption, plus costs and a redemption fee. If taxes are unpaid for a period of five years or more, the property is deeded to the State and then may be sold at public auction by the County Treasurer.

Property taxes on the unsecured roll are due in one payment on the January 1 lien date and become delinquent after August 31. A 10% penalty attaches to delinquent unsecured taxes. If unsecured taxes are unpaid at 5 p.m. on October 31, an additional penalty of 1.5% attaches to them on the first day of each month until paid. The County has four ways of collecting delinquent unsecured personal property taxes: (i) a civil action against the taxpayer; (ii) filing a judgment in the office of the County Clerk specifying certain facts in order to obtain a lien on certain property of the taxpayer; (iii) filing a certificate of delinquency for record in the County Recorder's office in order to obtain a lien on certain property of the taxpayer; and (iv) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee.

Proposition 13 and its implementing legislation impose the function of property tax allocation on counties in the State and prescribe how levies on countywide property values are to be shared with local taxing entities within each county. The limitations in Proposition 13, however, do not apply to *ad valorem* property taxes or special assessments to pay the interest and redemption charges on indebtedness, like the District's general obligation bonds, approved by the voters.

The County levies a 1% *ad valorem* property tax on behalf of all taxing agencies in the County. The taxes collected are allocated on the basis of a formula established by State law enacted in 1979. Under this formula, the County and all other taxing entities receive a base year allocation plus an allocation on the basis of "situated" growth in assessed value (new construction, change of ownership, inflation) prorated among the jurisdictions that serve the tax rate areas within which the growth occurs. Tax rate areas are specifically defined geographic areas, which were developed to permit the levying of taxes for less than county-wide or less than city-wide special and school districts. In addition, the County levies and collects additional approved property taxes and assessments on behalf of any taxing agency within the County.

State Government Code Sections 29100 through 29107 provide the procedures that all counties must follow for calculating tax rates. The secured tax levy within the District consists of the District's share of the 1% general *ad valorem* property and unitary taxes assessed on a County-wide basis and amounts levied that are in excess of the 1% general *ad valorem* property taxes. These tax receipts are part of the District's operations. In addition, the secured tax levy also includes the amount for the District's share of special voter-approved *ad valorem* property taxes assessed on a District-wide basis, such as the *ad valorem* property taxes assessed for the District's general obligation bonds issued pursuant to the Authorizations and any related general obligation refunding bonds. *Ad valorem* property taxes levied for general obligation bonds are deposited with the County and may only be applied to pay the principal of, redemption premium, if any, and interest on the District's general obligation bonds and general obligation refunding bonds. The District does not receive such funds nor are they available to pay any of the District's operating expenses. In addition, the total secured tax levy includes special assessments, improvement bonds, supplemental taxes or other charges which have been assessed on property within the District. Since State law allows homeowners' exemptions (described above) and certain business exemptions from *ad valorem* property taxation, such exemptions are not included in the total secured tax levy. See also "– California Constitutional and Statutory Provisions Relating to *Ad Valorem* Property Taxes" above.

Further, State Education Code Section 15251 provides that all taxes levied with respect to general obligation bonds when collected will be paid into the county treasury of the county whose superintendent of schools has jurisdiction over the school district on behalf of which the tax was levied, to the credit of the debt service fund (or interest and sinking fund) of the school district, and will be used for the payment of the principal of and interest on the general obligation bonds and general obligation refunding bonds of the school district and for no other purpose. Accordingly, the County may not borrow or spend such amounts nor can the District receive such funds and use them for operating purposes.

Typical Tax Rate Area. The following Table A-9 shows *ad valorem* property tax rates for the last five fiscal years in a typical Tax Rate Area of the District (TRA 0067). TRA 0067 comprises approximately 30.19% of the total fiscal year 2023-24 assessed value of the District.

TABLE A-9
LOS ANGELES UNIFIED SCHOOL DISTRICT
Typical Tax Rates per \$100 of Assessed Valuation (TRA 0067)
Fiscal Years 2019-20 through 2023-24

	2019-20	2020-21	2021-22	2022-23	2023-24
General	1.000000%	1.000000%	1.000000%	1.000000%	1.000000%
Los Angeles Unified School District ⁽¹⁾	0.125520	0.139929	0.113228	0.121072	0.124219
Los Angeles Community College District ⁽¹⁾	0.027175	0.040162	0.043759	0.024882	0.060231
City of Los Angeles ⁽¹⁾	0.018084	0.016538	0.014721	0.016066	0.011448
Metropolitan Water District of Southern California ⁽²⁾	0.003500	0.003500	0.003500	0.003500	0.003500
Total	1.174279%	1.200129%	1.175208%	1.165520%	1.199398%

⁽¹⁾ Tax rate relates to bonds authorized by voters subsequent to the approval of Proposition 13.

⁽²⁾ Tax rate relates to bonds authorized by voters pursuant to a special election held in 1966 (prior to the approval of Proposition 13) in the service area of the Metropolitan Water District of Southern California.

Source: California Municipal Statistics, Inc.

Secured Tax Charges and Delinquencies. The following Table A-10A sets forth the real property tax charges and corresponding delinquencies for the District's general obligation bond debt service levy, with respect to the property located in the District, for fiscal years 2013-14 through 2022-23. For reference and as an indication of comparative delinquency rates, Table A-10B sets forth the real

property tax charges and corresponding delinquencies for the portion of the County's 1% general fund levy that is allocated to the District, with respect to property located in the District for fiscal years 2013-14 through 2022-23. The portion of the County's 1% general fund levy that is allocated to the District is not pledged to and does not secure the repayment of the District's general obligation bonds.

TABLE 10

LOS ANGELES UNIFIED SCHOOL DISTRICT
Secured Tax Charges and Delinquencies
Fiscal Years 2013-14 through 2022-23

A. District General Obligation Bond Debt Service Levy

Fiscal Year	Secured Tax Charge⁽¹⁾	Amount Delinquent June 30	Percentage Delinquent June 30
2013-14	\$707,334,806.26	\$11,937,445.89	1.69%
2014-15	752,855,468.94	13,128,310.26	1.74
2015-16	711,852,286.31	10,350,374.48	1.45
2016-17	762,676,169.42	10,152,397.66	1.33
2017-18	765,484,783.08	11,238,395.43	1.47
2018-19	826,147,438.29	13,737,180.29	1.66
2019-20	903,922,222.21	25,782,448.86	2.85
2020-21	1,072,754,468.10	22,715,092.01	2.12
2021-22	904,728,597.58	16,272,122.21	1.80
2022-23	1,033,041,998.26	20,269,504.57	1.96

B. 1% General Fund Apportionment Levy

Fiscal Year	Secured Tax Charge⁽²⁾	Amount Delinquent June 30	Percentage Delinquent June 30
2013-14	\$948,210,266.65	\$13,991,567.53	1.48%
2014-15	1,005,565,868.63	14,501,753.32	1.44
2015-16	1,078,286,485.58	15,318,415.41	1.42
2016-17	1,142,718,955.32	13,595,654.87	1.19
2017-18	1,222,916,327.88	15,217,873.23	1.24
2018-19	1,311,715,583.78	17,950,532.81	1.37
2019-20	1,405,968,051.67	31,757,910.59	2.26
2020-21	1,499,191,370.12	25,590,654.61	1.71
2021-22	1,556,962,602.77	24,377,000.99	1.57
2022-23	1,665,617,645.15	26,045,738.38	1.56

⁽¹⁾ District's general obligation bond debt service levy.

⁽²⁾ 1% General Fund apportionment. Excludes redevelopment agency impounds.

Source: California Municipal Statistics, Inc.

Property tax delinquencies may be impacted by economic and other factors beyond the District's control, including the ability or willingness of property owners to pay property taxes during an economic recession or depression. An economic recession or depression could be caused by many factors outside the control of the District, including reduced consumer confidence, reduced real wages or reduced economic activity as a result of a pandemic or natural or manmade disaster, such as earthquake, drought, flood, fire, toxic dumping. It is not possible for the District to make any representation regarding the

extent to which an economic recession or depression could impact the ability or willingness of property owners within the District to pay property taxes in the future. For more information on the impact of the COVID-19 pandemic, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Infectious Disease Outbreak.” If delinquencies increase substantially as a result of events outside the control of the District, the County does have the authority to increase allowances for annual reserves in the tax levy to avoid fluctuating tax levies.

The County Does Not Participate in a Teeter Plan. Certain counties in the State operate under a statutory program entitled Alternate Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the “Teeter Plan”). Under the Teeter Plan local taxing entities receive 100% of their tax levies net of delinquencies, but do not receive interest or penalties on delinquent taxes collected by the county. The County has not adopted the Teeter Plan, and consequently the Teeter Plan is not available to local taxing entities within the County, such as the District. The District’s receipt of property taxes is therefore subject to delinquencies.

The District Participates in CSDTFA. The District is a member of the California Statewide Delinquent Tax Finance Authority (“CSDTFA”). CSDTFA is a joint exercise of powers agency formed for the purpose of purchasing delinquent *ad valorem* property taxes of its members in accordance with Section 6516.6 of the Government Code of the State of California. Historically, CSDTFA has from time to time purchased delinquent *ad valorem* property tax receivables related to the District’s share of the 1% general *ad valorem* property tax levy (not the additional *ad valorem* property tax levy for debt service on the District’s general obligation bonds) from the District. However, the District cannot predict whether CSDTFA will continue to make such purchases in the future. [CSDTFA purchased the District’s delinquent *ad valorem* property tax receivables related to the 1% general *ad valorem* property tax levy attributable to fiscal year 2022-23 from the District at a purchase price equal to 108% of such receivables and is expected to purchase the District’s delinquent *ad valorem* property tax receivables related to the 1% general *ad valorem* property tax levy attributable to fiscal year 2023-24 from the District at a substantially similar purchase price.] Any penalty charges collected with respect to such delinquencies will be retained by CSDTFA.

DISTRICT FINANCIAL INFORMATION

District Financial Policies and Related Practices

General. The District has three key financial policies: a budget and finance policy (the “Budget and Finance Policy”), a debt management policy (the “Debt Management Policy”) and an investment policy (the “Investment Policy”).

Budget and Finance Policy. The District has adopted a Budget and Finance Policy pursuant to which the District creates and funds reserves for operating purposes (collectively, the “Operating Reserves”) and liability management purposes (collectively, the “Liability Reserves”). The Budget and Finance Policy reflects reserve categories promulgated by the Government Accounting Standards Board (“GASB”) and incorporates certain reserve categories established by the District. See “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves” herein.

Operating Reserves. The District uses the Operating Reserves to manage its budget for each fiscal year. A portion of the District’s authorized appropriations are set aside in the Operating Reserves. The District generally appropriates amounts from the General Fund based on the amount estimated in its budget. However, the District may appropriate funds from unspent balances within the Operating Reserves, if necessary. Accordingly, the District uses the Operating Reserves to ensure that appropriations

reflect the District's actual General Fund expenditures. The current Operating Reserves include nonspendable reserves, restricted reserves, committed reserves, assigned reserves, and unassigned reserves, the latter of which includes the District's reserve for economic uncertainties. Pursuant to the California Code of Regulations, school districts with an ADA between 30,001 and 400,000 students, such as the District, must maintain a reserve for economic uncertainties of 2% of General Fund appropriations.

Pursuant to the Budget and Finance Policy, the District's total General Fund balance may not be less than an amount equal to 5% of total General Fund expenditures and net transfers out during a fiscal year (the "5% Minimum Reserve Threshold"). In addition, the Budget and Finance Policy requires the projected General Fund balance to satisfy the 5% Minimum Reserve Threshold in each of the two subsequent fiscal years which the District includes in its interim financial reports. In the event that the District's estimates indicate that the total General Fund balance will not satisfy the 5% Minimum Reserve Threshold in any of the current fiscal year or two subsequent fiscal years, the Budget and Finance Policy directs the District to develop and implement budget proposals to restore reserve balances to the 5% Minimum Reserve Threshold.

Based on the Fiscal Year 2023-24 Second Interim Report, the District's Operating Reserves are expected to satisfy both the 5% Minimum Reserve Threshold and the 2% statutory reserve requirement for fiscal years 2023-24, 2024-25 and 2025-26. Unlike the 5% Minimum Reserve Threshold, the 2% statutory reserve requirement is based on the unrestricted and unassigned ending fund balance (including the reserve for economic uncertainties) only and does not take into account the restricted, committed, or assigned ending fund balances. See "– District Budget – Fiscal Year 2023-24 Second Interim Report" herein.

Liability Reserves. Pursuant to the Budget and Finance Policy, the District must establish several Liability Reserves, including a self-insurance reserve, a workers' compensation reserve (the "Workers' Compensation Fund"), a health and welfare reserve (the "Health and Welfare Benefits Fund"), an other-post-employment benefits ("OPEB") reserve (the "OPEB Trust Fund"), and a pension (CalSTRS and CalPERS) reserve (the "Pension Reserve").

The amount required to be on deposit in the Workers' Compensation Fund is established with information from an independent actuary. The District determines the annual budget for workers' compensation by reviewing the amount necessary to fund its outstanding workers' compensation liability to the actuarially recommended level based on the central estimate approach and by additionally calculating the amount necessary for claims and operation of the Workers' Compensation Fund. The District uses the difference of the current fiscal year's central estimate versus that from the previous fiscal year to establish the amount necessary to fund projected liabilities. With respect to funding claims activity, the amount required to be on deposit in the Workers' Compensation Fund is based on the anticipated increase in claims cost in the current fiscal year versus the prior fiscal year. Such amount is generally higher than the amount recommended in the actuarial report. See "– Risk Management and Litigation" herein.

The District Board approved the creation of an irrevocable trust for its OPEB liability (the "OPEB Trust Fund") in May 2014. The Budget and Finance Policy directs the District, subject to approval by the District Board, to make annual contributions to the OPEB Trust Fund when the balance in the General Fund exceeds the 5% Minimum Reserve Threshold to the extent possible. In the event that the unrestricted portion of the General Fund is above 5% of the unrestricted revenues (after the annual OPEB contribution has been determined), the Budget and Finance Policy directs the District to make an additional contribution from the assigned OPEB reserve to the OPEB Trust Fund. See "– Other Postemployment Benefits" herein. As of June 30, 2023, the net position of the OPEB Trust Fund was approximately \$499.9 million. This amount does not reflect the \$33.3 million contribution designated for

internal purposes as a fiscal year 2022-23 contribution but not deposited into the OPEB Trust Fund until August 11, 2023 or the monthly amounts totaling \$17.6 million deposited into the OPEB Trust Fund from September 2023 through April 2024, which monthly deposits are expected to continue through June 2024 with an additional \$35 million expected to be deposited into the OPEB Trust Fund.

The Health and Welfare Benefits Fund is used to pay all health and welfare payments for active employees and retirees. The District determines funding of the Health and Welfare Benefits Fund based on the applicable health benefits agreement for each of the applicable years. See “– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*” herein. As of June 30, 2023, the net position of the Health and Welfare Benefits Fund was approximately \$107.7 million.

Budgeting Practices. Beginning in fiscal year 2022-23, the District implemented new budgeting practices. As part of such new budgeting practices, the District prepares quarterly budget to actuals analysis for various departments to inform internal budget adjustments or reallocations that may occur throughout the fiscal year. Such new budgeting practices also include zero-based budgeting that involves developing a new budget each fiscal year, as opposed to starting with the previous fiscal year’s budget and making adjustments, in order to ensure that all expenses are justified for the new fiscal year. As part of the development of the Fiscal Year 2023-24 Budget, zero-based budgeting was implemented in certain departments, including Information Technology Services, Procurement Services, Maintenance and Operations, and Federal and State Education Programs. In the development of the District’s fiscal year 2024-25 budget, the District is implementing zero-based budgeting in additional departments, including Early Childhood Education, Transportation Services, Food Services, and Multilingual and Multicultural Education. The District plans to continue phasing in zero-based budgeting to additional departments over time.

Debt Management Policy. The Debt Management Policy establishes formal guidelines for the issuance and management of the District’s debt and other financial obligations. The Debt Management Policy establishes targets and ceilings for certificates of participation (“COPs”) and unhedged variable rate exposure and sets forth benchmark debt ratios that include both COPs and the District’s general obligation bonds. The Debt Management Policy also requires the District to annually publish a comprehensive debt report that, among other things, provides information on tax rates related to the District’s general obligation bonds and credit factors that reflect the District’s ratings.

The Debt Management Policy is required to be reviewed annually. The current Debt Management Policy was approved by the District Board on June 13, 2023. The District is in compliance with the Debt Management Policy. The Debt Management Policy establishes a ceiling of 2.0% for the ratio of COPs gross annual debt service to District General Fund expenditures. The District Board may increase the target at the time a new debt issuance is proposed, but such authority is not intended to exceed the ceiling established in the Debt Management Policy. As of March 1, 2024, the maximum fiscal year COPs debt service was approximately 0.43% of the District’s General Fund budgeted expenditures for fiscal year 2023-24. As of March 1, 2024, the District has outstanding COPs in the aggregate principal amount of approximately \$471.6 million. (See “– District Debt – *Certificates of Participation*” for more information.) The Debt Management Policy limits unhedged variable rate debt to \$100 million and requires reporting of the debt ratios and benchmarks. The District currently has no variable interest rate exposure.

Investment Policy. The foremost objective of the District’s Investment Policy is safety. In addition, the Investment Policy directs the District to invest public funds in a manner that will maximize the investment return on all of its funds with maximum security while meeting the daily cash flow demands of each portfolio of the District and conforming to all federal, State, and local statutes governing the investment of public funds. Further, the Investment Policy directs that all investments of the District

be undertaken to ensure the preservation of capital in the overall portfolio. To attain this objective, the District may diversify its investments by investing funds among a variety of securities offering independent returns. In addition, the Investment Policy requires the District's investment portfolios remain sufficiently liquid to enable the District to meet its operating requirements and be structured to attain a maximum return commensurate with its investment risk constraints and the cash flow characteristics of each portfolio. The District is in compliance with the Investment Policy.

The District's operating funds and all of the debt service funds maintained for repayment of general obligation bonds are deposited in the County Treasury Pool in accordance with State law and managed pursuant to the County's Investment Policy, a copy of which can be found at <http://ttc.lacounty.gov/>. Such website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein. See APPENDIX F – “THE LOS ANGELES COUNTY TREASURY POOL.” However, with the concurrence of the County's Treasurer and Tax Collector, the District may direct the investment of funds in certain of its operating funds and debt service funds so long as such direction complies with both the County's investment policy and the District's Investment Policy. In addition, the District can direct the investment of indentured funds held by third party trustees with regard to certain issuances of COPs pursuant to a prescribed list of permitted investments.

Significant Accounting Policies, System of Accounts and Audited Financial Statements

The CDE imposes by law uniform financial reporting and budgeting requirements for K-12 school districts. Financial transactions are accounted for in accordance with the California School Accounting Manual. The District uses fund accounting and maintains governmental funds, proprietary funds and fiduciary funds. The General Fund is the chief operating fund of the District. For a description of the other major funds of the District, see the description thereof contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023.” Note 1 to such audited financial statements sets forth significant accounting policies that the District follows. Simpson & Simpson Certified Public Accountants (“Simpson”), Los Angeles, California, served as independent auditor to the District for its audited financial statements for fiscal year 2021-22. Simpson has not been requested to consent to the use or to the inclusion of its reports in this Official Statement, and it has not audited or reviewed this Official Statement. The District's audited financial statements for the fiscal year ended June 30, 2023, are included as Appendix B to this Official Statement. The complete audited financial statements of the District, including the notes thereto, are an integral part of this Official Statement.

Typically, the District is required to file its audited financial statements for the preceding fiscal year with the State Controller's Office, the CDE and the County Superintendent of Schools by December 15 of each year. During the last five years, the District timely filed its audited financial reports with the State Controller's Office, the CDE, and LACOE pursuant to the Education Code and any applicable legislation amending the filing deadline thereof by the respective deadlines therefor.

The audited financial statements for fiscal year 2022-23 include certain audit findings and questioned costs. With respect to the audited financial statements for fiscal year 2022-23, Simpson identified 18 audit findings and questioned costs totaling approximately \$808.5 million. For detailed information regarding such findings and questioned costs, see Appendix B. Notably, in fiscal year 2022-23 – like fiscal year 2020-21 and fiscal year 2021-22 – the District did not meet the minimum threshold of General Fund spending on classroom teacher salaries and benefits in accordance with Education Code Section 41372. Under Education Code Section 41372, a unified school district, like the District, is required to spend a minimum of 55% of its General Fund resources on classroom salaries and benefits. In

fiscal year 2022-23, the District spent approximately 47.05% of its General Fund resources on classroom salaries and benefits, which is approximately 7.95% or \$687.6 million below such minimum threshold set forth in the Education Code. Such discrepancy is the result of the COVID-19 pandemic that caused the District to spend significant General Fund revenues on COVID-19 related expenses that were non-classroom teacher salaries and benefits. In each of fiscal year 2020-21 and fiscal year 2021-22, the District Board approved the submission of a waiver request to the County Superintendent, and each was approved by the County Superintendent. The District expects to submit a waiver request with respect to fiscal year 2022-23 to the County Superintendent.

In addition, the audited financial statements for fiscal year 2022-23 included a finding that the District did not meet the minimum instructional minute and instructional day requirements of Education Code Sections 46207 and 46207 due to a work stoppage in March 2023 which resulted in the closure of all District schools for three days. The District offered 177 instructional days in sampled schools, not the minimum 180-day requirement. All the sampled schools not meeting the minimum number of instructional minutes (64,800 instructional minutes) where high schools. The calculated penalty for both the instructional days and the instructional time amounted to approximately \$110.96 million. The District expects to file for a waiver and, to comply with the conditions for the penalty waiver, the District is offering 183 instructional days for the 2023-24 and 2024-25 school years, with comprehensive high schools offering over 66,000 annual instructional minutes for each of the school years. See “– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*” for a discussion of the District’s agreements relating to the instructional calendar for fiscal years 2023-24 and 2024-25 and the provision of three additional instructional days to make up for lost instructional days in March 2023. A similar finding regarding instructional minutes was made with respect to the District’s Affiliated Charter Schools in the audited financial statements for fiscal year 2022-23.

Copies of the District’s audited financial statements as well as budgets and interim financial reports may be obtained from the website of the District: www.lausd.org. The website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein.

District Budget

General School District Budget Process and Oversight. State law requires that each school district maintain a balanced budget in each fiscal year. The California Department of Education imposes a uniform budgeting and accounting format for school districts. Under current law, a school district governing board must adopt and file with the county superintendent of schools a budget by July 1 in each fiscal year. The District is under the jurisdiction of the County of Los Angeles Superintendent of Schools.

The county superintendent of schools must approve, conditionally approve, or disapprove the adopted budget for each school district by September 15 in accordance with the Education Code. The county superintendent of schools is required to examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance with the established standards. The county superintendent of schools is also required to determine whether the adopted budget will allow the school district to meet its financial obligations during the fiscal year and is consistent with a financial plan that will enable the school district to satisfy its multiyear financial commitments. The Education Code directs the county superintendent of schools to disapprove any school district budget if it determines that the budget does not include expenditures necessary to implement an LCAP or an annual update to the LCAP. See “STATE FUNDING OF SCHOOL DISTRICTS – Local Control Funding Formula – *Local Control and Accountability Plan*” herein for more information about LCAP.

In the event that the county superintendent of schools conditionally approves or disapproves the school district's budget, the county superintendent of schools will submit to the governing board of the school district no later than September 15 of such year recommendations regarding revisions of the budget and the reasons for the recommendations, including, but not limited to, the amounts of any budget adjustments needed before the county superintendent of schools can approve that budget. In addition, school districts must make available for public review any revisions to revenues and expenditures that it has made to its budget to reflect the funding made available by the State Budget Act (defined herein) not later than 45 days after the enactment of the State Budget Act.

The governing board of the school district, together with the county superintendent of schools, must review and respond to the recommendations of the county superintendent of schools before October 8 at a regular meeting of the governing board of the school district. The county superintendent of schools will examine and approve or disapprove of the revised budget by November 8 of such year. If the county superintendent of schools disapproves a revised budget, the county superintendent of schools will call for the formation of a budget review committee. By December 31 of each year, every school district must have an adopted budget, or the county superintendent of schools may impose a budget and will report such school district to the State Legislature and the Department of Finance. In prior years, LACOE has granted a conditional approval to certain of the District's budgets pending, among other things, approval of the District's LCAP, information regarding collective bargaining and other budgetary considerations. However, in the last ten years, LACOE has not disapproved any budget submitted to it by the District. LACOE approved the Fiscal Year 2023-24 Budget, including the District's revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023. See "*– Fiscal Year 2023-24 Budget*," "*– Revisions to Fiscal Year 2023-24 Budget*" and "*– LACOE's Response to Fiscal Year 2023-24 Budget*" below.

Subsequent to approval, the county superintendent of schools will monitor each school district under its jurisdiction throughout the fiscal year pursuant to its adopted budget to determine on an ongoing basis if the school district can meet its current or subsequent year financial obligations. If the county superintendent of schools determines that a school district cannot meet its current or the subsequent year's obligations, the county superintendent of schools will notify the school district's governing board, the Superintendent of Public Instruction and the president of the State board (or the president's designee) of the determination and take at least one of the following actions, and all actions that are necessary to ensure that the school district meets its financial obligations: (a) develop and impose, after also consulting with the Superintendent of Public Instruction and the school district's governing board, revisions to the budget that will enable the school district to meet its financial obligations in the current fiscal year, (b) stay or rescind any action inconsistent with the ability of the school district to meet its obligations for the current or subsequent fiscal year, (c) assist in developing, in consultation with the school district's governing board, a financial plan that will enable the school district to meet its future obligations, (d) assist in developing, in consultation with the school district's governing board, a budget for the subsequent fiscal year and (e) as necessary, appoint a fiscal advisor to perform the aforementioned duties. The county superintendent of schools will also make a report to the Superintendent of Public Instruction and the president of the State board or the president's designee about the financial condition of the school district and the remedial actions proposed by the county superintendent of schools. However, the county superintendent of schools may not abrogate any provision of a collective bargaining agreement that was entered into prior to the date upon which the county superintendent of schools assumed authority.

Fiscal Stabilization Plan. While LACOE and the District will partner to implement actions necessary to stabilize and improve the financial condition of the District as and when needed, LACOE has not required nor has the District implemented a fiscal stabilization plan since 2019 in light of the District's positive certification on its recent interim reports. In the event that the District's financial

condition were to change in future fiscal years, LACOE may require the District to implement a fiscal stabilization plan to stabilize and improve the financial condition of the District.

Fiscal Year 2023-24 Budget. The Fiscal Year 2023-24 Budget was adopted by the District Board on June 20, 2023. The Fiscal Year 2023-24 Budget was developed with the assumptions contained in the Governor’s May revision to the proposed fiscal year 2023-24 State Budget, which were revised in the 2023-24 State Budget.

The Fiscal Year 2023-24 Budget projects a General Fund beginning balance of approximately \$5.18 billion, total budgeted revenues of \$10.53 billion, total budgeted expenditures of \$11.64 billion, budgeted other financing sources and uses of \$2.82 million, and a budgeted ending balance of \$4.07 billion. The Fiscal Year 2023-24 Budget projects that its budgeted General Fund ending balance of \$4.07 billion is expected to consist of approximately \$233.45 million for the mandatory reserve for economic uncertainties, \$43.00 million of non-spendable revolving cash, stores, and prepaid expenditures, \$1.26 billion of restricted ending balances, \$1.97 billion of committed ending balances, \$451.87 million of assigned ending balances, and \$113.70 million of undesignated and unassigned ending balances.

The Fiscal Year 2023-24 Budget includes certain assumptions and policies, including:

- a COLA of 8.22% for the LCFF;
- 8.22% statutory COLA for selected categorical programs outside of LCFF and Special Education;
- LCFF-funded ADA of 375,903.74 for non-charter schools, which is based on the average of 3 prior year’s ADA, and 34,020.45 for Affiliated Charter Schools, which is based on projected fiscal year 2023-24 ADA; the percentage of ADA to enrollment is 90%;
- estimated unduplicated pupil count and three-year rolling average unduplicated pupil percentage of 325,422 and 85.93%, respectively, for non-charter schools (including County Program students) and 17,663 and 46.93%, respectively, for Affiliated Charter Schools;
- an LCFF allocation of \$1.25 billion from the Education Protection Account (the “Education Protection Account”) established by Proposition 30 (defined herein) to be spent for instruction;
- LCFF supplemental and concentration expenditure of \$1.60 billion;
- no LCFF Equity Multiplier revenue;
- State Special Education funding reflects increased base rate of \$887 per ADA;
- lottery unrestricted rate per ADA is estimated at \$170 per ADA and restricted rate per ADA is estimated at \$67 per ADA;
- receipt of approximately \$1.8 billion in fiscal year 2022-23 from HR 1319 - Elementary and Secondary School Emergency Relief (ESSER) III, which is a one-time COVID-19 resource, and approximately \$579.9 million in fiscal year 2022-23 from Expanded Learning Opportunities Program;
- receipt of approximately \$68.9 million from HR 133 - Elementary and Secondary School Emergency Relief (ESSER) II and receipt of approximately \$881.6 million from HR 1319 - Elementary and Secondary School Emergency Relief (ESSER) III in fiscal year 2023-24, which

the District anticipates using for schools, operations, and continuity of learning in fiscal year 2023-24;

- receipt of approximately \$457.1 million from the ELOP in fiscal year 2023-24, which the District anticipates using, together with approximately \$456.4 million in ELOP funds carried over from fiscal year 2022-23, for expanded learning opportunities;
- a net enrollment decline of 8,453 from fiscal year 2022-23 for non-charter and Affiliated Charter Schools;
- an enrollment decline of approximately 1,759 students for Fiscally Independent Charter Schools;
- certificated and classified salaries include bargaining unit agreements with SEIU Local 99, AALA (Unit J – Classified Managers), and UTLA;
- funding for employee health and medical benefits at the per participant rate set forth in the Health and Welfare Agreement (defined herein);
- a contribution to the OPEB Trust Fund of \$211 million from all funds of the District for fiscal year 2023-24;
- a contribution rate for CalSTRS (defined herein) for fiscal year 2023-24 of 19.10%;
- an increase of 1.31% of the CalPERS (defined herein) employer contribution rate for fiscal year 2023-24 from 25.37% to 26.68%;
- a California consumer price index of 3.54% on other operating expenditures, except utilities which is projected to decline by 5.76% as a result of shifting from 24-hour HVAC to occupancy-based usage;
- ongoing and major maintenance resources of \$310.6 million, which constitutes approximately 3% of the District's budgeted General Fund expenditures and other financing uses, excluding CALSTRS on-behalf payments made by the State and COVID-19 expenditures from certain one-time funds related to ESSER II and ESSER III;
- support to the cafeteria program and child development from the General Fund of \$11.6 million and \$1.5 million, respectively, in fiscal year 2023-24;
- a contribution from all funds of the District of \$120.0 million to the Workers' Compensation Fund and inclusion of the total Workers' Compensation actuarially-determined funded liability of \$463.2 million;
- inclusion of general obligation bonds and COPs (defined herein) proceeds, debt service and other interfund transfer expenditures and revenues in fiscal year 2023-24;
- a reserve for economic uncertainties totaling \$233.5 million, which reflects the statutory 2% budgeted expenditure requirement and other financing uses;
- inclusion of beginning balances in the General Fund and other funds for fiscal year 2023-24, reflecting the updated estimated ending balance as of June 30, 2023, which includes expenditures related to COVID-19;

- estimated ending balances for the General Fund and other funds for fiscal year 2023-24, which reflect the difference between the estimated revenue and expenditure levels for fiscal year 2023-24;
- commitment of portions of the General Fund ending balances to meet the 10% limitation on reserves (calculated based on assigned and unassigned balances) (see “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves” for more information);
- release of committed fund balance of \$300 million originally committed to Student Equity Needs Index (SENI), as approved by the District Board on May 9, 2023. SENI, funded at \$700 million, is intended to be funded with a combination of sources including, but not limited to, supplemental and concentration funds and the proposed equity multiplier;
- authority to transfer amounts, as necessary, to implement technical adjustments related to the Fiscal Year 2023-24 Budget;
- authority to implement new revenues for fiscal year 2023-24, if any, and increase budgeted appropriations accordingly; and
- a transfer from the Community Redevelopment Agency Fund to repay the General Fund in the amount of \$30 million initially paid for the ongoing and major maintenance resources.

Revisions to Fiscal Year 2023-24 Budget. The Fiscal Year 2023-24 Budget was developed with the assumptions contained in the Governor’s May revision to the proposed fiscal year 2023-24 State Budget, which were revised in the 2023-24 State Budget. On August 22, 2023, the District Board approved revisions to the Fiscal Year 2023-24 Budget that reflect the enacted 2023-24 State Budget as well as other significant changes affecting the District’s finances since the adoption of the Fiscal Year 2023-24 Budget, including impacts of certain completed labor negotiations. Significant approved revisions to the Fiscal Year 2023-24 Budget included:

- In June 2023, reopener negotiations concluded with CSEA with respect to employee bargaining Unit D – Technical and Business Services. As a result of such agreement, the District budgeted an increase in fiscal year 2023-24 expenditures of approximately \$67.07 million (all funds), of which approximately \$45.20 million relate to the District’s General Fund. Of such amounts, approximately \$37.14 million (all funds) of such expenditures (\$23.78 million related to the District’s General Fund) reflect expenditures accrued to fiscal years 2021-22 and 2022-23 but are to be paid in fiscal year 2023-24. For information regarding the negotiated terms of the agreement reached, see “– Employee and Labor Relations – *Negotiations Regarding Labor Contracts*” below.
- In June 2023, contract negotiations concluded with LASPA with respect to employee bargaining Unit A – School Police. As a result of such agreement, the District budgeted an increase in fiscal year 2023-24 expenditures of approximately \$7.27 million (all funds), of which approximately \$6.60 million relate to the District’s General Fund. Of such amounts, approximately \$2.26 million (all funds) of such expenditures (\$2.09 million related to the District’s General Fund) reflect expenditures accrued to fiscal year 2022-23 but are to be paid in fiscal year 2023-24. For information regarding the negotiated terms of the agreement reached, see “– Employee and Labor Relations – *Negotiations Regarding Labor Contracts*” below.
- In June 2023, contract negotiations concluded with LASPMA with respect to employee bargaining Unit H – School Police Management. As a result of such agreement, the District

budgeted an increase in fiscal year 2023-24 expenditures of approximately \$1.98 million (all funds), of which approximately \$1.96 million relate to the District's General Fund. Of such amounts, approximately \$643,397 (all funds) of such expenditures (\$637,352 related to the District's General Fund) reflect expenditures accrued to fiscal year 2022-23 but to be paid in fiscal year 2023-24. For information regarding the negotiated terms of the agreement reached, see “– Employee and Labor Relations – *Negotiations Regarding Labor Contracts*” below.

- In June 2023, contract negotiations concluded with “Trades” union with respect to employee bargaining Unit E. As a result of such agreement, the District budgeted an increase in fiscal year 2023-24 expenditures of approximately \$70.23 million (all funds), of which approximately \$65.95 million relate to the District's General Fund (\$65.83 million of which relate to restricted funds in the District's General Fund). Of such amounts, approximately \$34.58 million (all funds) of such expenditures (\$32.58 million related to the District's General Fund) reflect expenditures accrued to fiscal years 2021-22 and 2022-23 but are to be paid in fiscal year 2023-24. For information regarding the negotiated terms of the agreement reached, see “– Employee and Labor Relations – *Negotiations Regarding Labor Contracts*” below.
- In June 2023, the District entered into a memorandum of understanding with SEIU and UTLA modifying the three-year tentative instructional calendar approved by the District Board on March 27, 2023, to a two-year instructional calendar (fiscal years 2023-24 and 2024-25). As a result of such agreement, the District budgeted an increase in fiscal year 2023-24 expenditures of approximately \$93.15 million (all funds), of which approximately \$85.70 million relate to the District's General Fund. For information regarding the negotiated terms of the agreement reached, see “– Employee and Labor Relations – *Negotiations Regarding Labor Contracts*” below.
- The 2023-24 State Budget provides approximately \$300.00 million ongoing Proposition 98 State general fund resources to establish an Equity Multiplier as an add-on to the LCFF to accelerate gains in closing opportunity and outcome gaps. As a result, the District budgeted approximately \$26.9 million of additional general fund revenue in fiscal year 2023-24 to be placed in assigned ending balance.
- The 2023-24 State Budget decreases or delays one-time Proposition 98 general fund support for the Arts, Music, and Instructional Materials Block Grant and the Learning Recovery Emergency Block Grant. However, the reductions to these grants are lower compared to the reductions proposed in the Governor's May revision to the proposed fiscal year 2023-24 State Budget, which provides the District with amounts of approximately \$114 million and \$86 million, respectively, to be used as a budget balancing solution in fiscal year 2025-26 and help fund existing labor costs.
- Consistent with State law requirements, the amounts required to be budgeted for the District's Routine Restricted Maintenance Account (3% of General Fund expenditures) and the District's reserve for economic uncertainties (2% of General Fund appropriations for school districts, such as the District, with ADA between 30,001 and 400,000 students) are adjusted to reflect the revisions to the Fiscal Year 2023-24 Budget, which, as so adjusted, are budgeted at \$314.72 million (originally budgeted at \$310.55 million) and \$236.23 million (originally budgeted at \$233.45 million), respectfully.

At the time of the adoption of the Fiscal Year 2023-24 Budget revisions, the District recognized that it continues to have a structural deficit whereby in-year expenditures exceed in-year revenues; revenues continue to be impacted by declining enrollment and expenditures have not been reduced

commensurately. As a result, the Fiscal Year 2023-24 Budget revisions included the use of one-time State funding as well as the draw down of one-time committed ending fund balances over the multi-year projections as balancing solutions. The draw down of one-time committed ending fund balances consist of (i) for fiscal year 2023-24, the draw down of \$77 million committed unrestricted General Fund amounts previously designated to be contributed to the OPEB Trust Fund in fiscal year 2023-24 but released when restricted General Fund dollars and other District funds were allocated to contribute their respective shares to the District's \$211 million fiscal year 2023-24 budgeted contribution to the OPEB Trust Fund (see "DISTRICT FINANCIAL INFORMATION – Other Postemployment Benefits"), and (ii) for fiscal year 2024-25, the draw down of \$211 million committed unrestricted General Fund amounts previously designated to be contributed to the OPEB Trust Fund in fiscal year 2024-25. As a result of the Fiscal Year 2023-24 Budget revisions, the District's unrestricted/unassigned General Fund ending balance reserve percentage was then estimated to drop from 4.44% in fiscal year 2022-23 (the same as originally projected at the time of preparation of the Fiscal Year 2023-24 Budget) to 2.21% in fiscal year 2025-26 (originally projected at 2.19% at the time of preparation of the Fiscal Year 2023-24 Budget). The District recognized at the time of the adoption of the Fiscal Year 2023-24 Budget revisions that, in the absence of further balancing solutions, the cost of labor agreements with bargaining units that had not settled as of the time of the adoption of the revisions shall further lower the unrestricted/unassigned General Fund ending balances. Moreover, the District recognized that the uncertainty with the national and state economy brought about by the delayed tax receipts due to the postponement of federal and California tax filings until October 2023, interest rate hikes, and the prospect of a potential recession were risk factors that could affect the District's financial condition. For more information on recent bargaining unit agreements, see "– Employees and Labor Relations." See also "– *Second Interim Financial Report for Fiscal Year 2023-24.*"

LACOE's Response to Fiscal Year 2023-24 Budget. In its September 2023 letter to the District, LACOE approved the Fiscal Year 2023-24 Budget. LACOE noted that the District projected an operating deficit in its unrestricted General Fund in fiscal year 2023-24 and projected ongoing unrestricted General Fund operating deficits in fiscal years 2024-25 and 2025-26 primarily due to declining enrollment and ADA, resulting in reduced LCFF revenues, increased salary and health and welfare contributions as a result of recently settled multi-year bargaining unit agreements and increased contributions to restricted programs. As LACOE explained more specifically, the Fiscal Year 2023-24 Budget reflected a loss in funded ADA of approximately 42,306 from fiscal year 2023-24 to fiscal year 2025-26, which will impact the LCFF revenue received by the District (even with the change in the LCFF to allow for a calculation based on the average of three prior years' ADA). LACOE also pointed out that as of the preparation of the Fiscal Year 2023-24 Budget, some labor negotiations for fiscal year 2023-24 were unsettled and some labor agreements had not yet been calculated and incorporated into projected salary and benefit expenditures, so any potential financial impacts as a result of such labor negotiations were not reflected in the Fiscal Year 2023-24 Budget. For more information on revisions to the Fiscal Year 2023-24 Budget relating to labor negotiations, see "– *Revisions to Fiscal Year 2023-24 Budget.*" For more information on recent bargaining unit agreements, see "– *Employees and Labor Relations.*" See also "– *Second Interim Financial Report for Fiscal Year 2023-24.*"

District General Fund Budgets and Audited Actuals. The following Table A-11 sets forth the District's Final Adopted Budgets for the District General Fund, inclusive of regular and specially funded programs, for fiscal years 2019-20 through 2023-24 and the actual results for fiscal years 2019-20 through 2022-23. The budgeted beginning balance for each fiscal year reflects the estimated ending balance for the prior fiscal year based upon information as of the budget adoption date. Accordingly, the budgeted ending balance for a fiscal year and the subsequent budgeted beginning balance may differ from the actual ending balance and actual beginning balance.

TABLE A-11

LOS ANGELES UNIFIED SCHOOL DISTRICT
District General Fund Budget for Fiscal Years 2019-20 through 2023-24
Audited Actuals for Fiscal Years 2019-20 through 2022-23⁽¹⁾⁽²⁾⁽³⁾
(\$ in millions)

	Final Adopted Budget <u>2019-20</u>	Audited Actuals <u>2019-20</u>	Revised Adopted Budget <u>2020-21⁽⁴⁾</u>	Audited Actuals <u>2020-21</u>	Final Adopted Budget <u>2021-22</u>	Audited Actuals <u>2021-22</u>	Final Adopted Budget <u>2022-23</u>	Audited Actuals <u>2022-23</u>	Final Adopted Budget <u>2023-24⁽⁵⁾</u>
Beginning Balance	\$2,010.8	\$2,216.9	\$1,866.7	\$2,049.5	\$2,714.4	\$2,855.3	\$3,567.6	\$3,328.3	\$5,179.3
Revenue									
State Apportionment	\$4,364.8	\$4,264.8	\$4,122.2	\$4,133.6	\$4,357.5	\$4,487.2	\$4,573.8	\$4,844.3	\$5,080.1
Property Taxes	<u>1,222.5</u>	<u>1,388.6</u>	<u>1,407.7</u>	<u>1,522.3</u>	<u>1,466.2</u>	<u>1,551.0</u>	<u>1,511.6</u>	<u>1,749.9</u>	<u>1,658.2</u>
Total LCFF	<u>5,587.4</u>	<u>5,653.4</u>	<u>5,529.9</u>	<u>5,655.9</u>	<u>5,823.7</u>	<u>6,038.2</u>	<u>6,085.4</u>	<u>6,594.2</u>	<u>6,738.3</u>
Federal	767.8	631.1	1,576.6	1,674.4	4,446.0	1,850.5	2,823.3	2,304.2	1,840.5
Other State	873.5	1,137.0	963.1	1,223.8	1,374.3	1,748.8	1,717.9	2,681.9	1,678.0
Other Local	<u>142.4</u>	<u>170.1</u>	<u>142.5</u>	<u>190.8</u>	<u>132.5</u>	<u>35.5</u>	<u>168.1</u>	<u>196.2</u>	<u>274.2</u>
Total Revenue	<u>\$7,371.0</u>	<u>\$7,591.6</u>	<u>\$8,212.1</u>	<u>\$8,745.0</u>	<u>\$11,776.5</u>	<u>\$9,672.9</u>	<u>\$10,794.7</u>	<u>\$11,776.5</u>	<u>\$10,531.0</u>
Total Beginning Balance and Revenue	<u>\$9,381.8</u>	<u>\$9,808.5</u>	<u>\$10,078.8</u>	<u>\$10,794.5</u>	<u>\$14,490.9</u>	<u>\$12,528.2</u>	<u>\$14,362.3</u>	<u>\$15,104.8</u>	<u>\$15,710.3</u>
Expenditures									
Certificated Salaries	\$3,008.7	\$2,998.9	\$3,252.1	\$3,086.7	\$3,411.4	\$3,379.8	\$3,772.5	\$3,474.9	\$3,730.4
Classified Salaries	986.1	1,077.6	1,073.5	1,159.8	1,107.2	1,257.2	1,260.8	1,346.1	1,434.0
Employee Benefits	2,172.6	2,300.9	2,169.1	2,151.4	2,437.6	2,370.1	2,798.4	2,592.9	2,820.2
Books and Supplies	698.5	267.0	1,001.9	621.3	1,638.0	479.4	2,793.8	670.5	1,893.1
Other Operating Expenses	862.0	975.0	893.4	1,067.8	1,076.5	1,726.4	1,045.9	1,272.1	1,718.5
Capital Outlay	101.4	128.1	81.5	95.7	54.3	94.9	17.9	111.1	53.6
Debt Service	0.5	0.3	0.4	0.1	0.3	5.7	0.1	22.4	4.8
Other Outgo	7.7	5.6	7.7	5.5	7.7	5.5	5.3	6.9	5.8
Transfers of Indirect Cost	<u>(27.3)</u>	<u>(23.2)</u>	<u>(27.0)</u>	<u>(22.3)</u>	<u>(31.6)</u>	<u>(24.9)</u>	<u>(30.4)</u>	<u>(24.0)</u>	<u>(20.0)</u>
Total Expenditures	<u>\$7,810.3</u>	<u>\$7,730.3</u>	<u>\$8,452.7</u>	<u>\$8,166.0</u>	<u>\$9,701.5</u>	<u>\$9,294.1</u>	<u>\$11,664.3</u>	<u>\$9,472.9</u>	<u>\$11,640.2</u>
Excess (Deficiency) of Revenue Over (Under) Expenditures	(439.3)	(138.7)	(240.6)	579.0	2,075.0	378.9	(869.6)	2,303.6	(1,109.2)
Total Other Financing Sources (Uses)	(36.5)	(28.7)	286.6	226.8	(25.1)	94.2	4.6	76.3	2.8
Change in Fund Balance	(475.7)	(167.4)	46.0	805.8	2,049.9	473.0	(865.0)	2,379.9	(1,106.4)
Ending Balance	<u>\$1,535.1</u>	<u>\$2,049.5</u>	<u>\$1,912.7</u>	<u>\$2,855.3</u>	<u>\$4,764.3</u>	<u>\$3,328.3</u>	<u>\$2,702.6</u>	<u>\$5,708.2</u>	<u>\$4,072.9</u>

TABLE A-11

LOS ANGELES UNIFIED SCHOOL DISTRICT
District General Fund Budget for Fiscal Years 2019-20 through 2023-24
Audited Actuals for Fiscal Years 2019-20 through 2022-23⁽¹⁾⁽²⁾⁽³⁾

(Continued)
(\$ in millions)

Fund Balance⁽⁶⁾

Nonspendable	\$ 27.6	\$ 37.7	\$ 27.3	\$ 58.0	\$ 37.7	\$ 48.0	\$ 46.6	\$ 47.5	\$ 43.0
Restricted	56.7	103.9	55.2	200.0	2,731.6	544.3	208.6	1,843.0	1,258.0
Committed	87.6	87.6	--	--	--	--	1,491.3	2,920.9	1,972.8
Assigned	618.0	1,248.9	568.2	1,064.1	592.1	1,596.0	351.6	510.9	451.9
Reserved for Economic Uncertainties	79.0	79.0	85.2	92.0	97.7	199.9	234.1	238.8	233.5
Undesignated/Unassigned	<u>666.3</u>	<u>492.4</u>	<u>1,176.8</u>	<u>1,441.3</u>	<u>1,305.3</u>	<u>940.2</u>	<u>370.4</u>	<u>147.1</u>	<u>113.7</u>
	<u>\$1,535.1</u>	<u>\$2,049.5</u>	<u>\$1,912.7</u>	<u>\$2,855.3</u>	<u>\$4,764.3</u>	<u>\$3,328.3</u>	<u>\$2,702.6</u>	<u>\$5,708.2</u>	<u>\$4,072.9</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

⁽²⁾ Includes the Regular Program and the Specially-Funded Programs.

⁽³⁾ Amounts set forth in Table A-11 reflect the "Estimated Amounts" in the District's budget for the respective fiscal year rather than the "Authorized Amount." Pursuant to the Education Code, school districts may not spend more than Authorized Amount in the Final Adopted Budget as adjusted during the fiscal year.

⁽⁴⁾ The District's original budget for fiscal year 2020-21 was adopted by the District Board on June 30, 2020. On August 25, 2020, the District Board adopted a revised budget for fiscal year 2020-21, which reflects the revised assumptions contained in the Governor's fiscal year 2020-21 State budget. Figures are based on the revised budget for fiscal year 2020-21.

⁽⁵⁾ For significant revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023, see "-- District Budget -- *Revisions to Fiscal Year 2023-24 Budget*" above. In addition, for a discussion of pending labor agreements not reflected in the Fiscal Year 2023-24 Budget and not included in Fiscal Year 2023-24 Budget revisions approved by the District Board on August 22, 2023, see "-- Employee and Labor Relations -- *Negotiations Regarding Labor Contracts*" below.

⁽⁶⁾ The nonspendable, restricted, committed, assigned, reserved for economic uncertainties and undesignated/unassigned general fund balances in millions of dollars for fiscal years 2013-14 through 2018-19 are as follows: \$19.6, 192.9, --, 336.4, 65.4 and 85.9, respectively, for fiscal year 2013-14; \$20.7, 126.5, --, 418.4, 65.4 and 188.8, respectively, for fiscal year 2014-15; \$31.1, 182.8, 218.3, 558.7, 72.4 and 247.0, respectively, for fiscal year 2015-16; \$23.5, 163.1, --, 783.9, 73.4, and 721.3, respectively, for fiscal year 2016-17; \$27.6, 135.8, --, 1,057.4, 75.4, and 714.7, respectively, for fiscal year 2017-18; and \$27.3, 114.6, 174.6, 916.1, 75.6, and 908.6, respectively, for fiscal year 2018-19.

Sources: Los Angeles Unified School District's Final Adopted Budgets for fiscal years 2019-20 through 2023-24; Audited Annual Financial Report for fiscal years 2019-20 through 2022-23.

Historical Review of District General Fund Actual Revenues and Expenditures. The following Table A-12 sets forth the District's total revenues, total expenditures and the difference reflected in the actual results for fiscal years 2003-04 through 2022-23.

TABLE A-12

LOS ANGELES UNIFIED SCHOOL DISTRICT
Historical Review of District General Fund Audited Revenues and Expenditures for
Fiscal Years 2003-04 through 2022-23
(\$ in millions)

Fiscal Year	Total Revenues⁽¹⁾	Total Expenditures⁽²⁾	Difference
2003-04	\$ 5,881.69	\$ 6,136.75	\$ (255.06)
2004-05	6,461.93	6,436.35	25.58
2005-06	6,572.70	6,487.75	84.95
2006-07	6,994.08	6,733.36	260.72
2007-08	6,954.29	6,992.29	(38.00)
2008-09	6,764.50	6,671.80	92.70
2009-10	6,302.12	6,389.17	(87.05)
2010-11	6,428.93	6,193.37	235.56
2011-12	5,919.59	5,998.31	(78.72)
2012-13	5,722.96	5,955.05	(232.09)
2013-14	5,896.35	5,788.82	107.53
2014-15	6,452.84	6,333.28	119.56
2015-16	7,213.53	6,723.15	490.38
2016-17	7,292.27	6,837.31	454.96
2017-18	7,308.08	7,062.45	245.63
2018-19	7,788.71	7,582.63	206.08
2019-20	7,613.72	7,781.09	(167.37)
2020-21	9,010.00	8,204.19	805.82
2021-22	9,781.49	9,308.46	473.03
2022-23	11,868.39	9,488.47	2,379.92 ⁽³⁾

⁽¹⁾ Includes Other Financing Sources.

⁽²⁾ Includes Other Financing Uses.

⁽³⁾ See “– Second Interim Financial Report for Fiscal Year 2023-24,” for a discussion of the use of the projected unrestricted unassigned/unappropriated components of the fiscal year 2023-24 General Fund ending balance to balance future budgets.

Sources: Audited Annual Financial Report for fiscal years 1999-00 through 2022-23.

District Interim Financial Reports. A State law adopted in 1991 (known as “A.B. 1200”) imposed financial reporting requirements on school districts and established guidelines for emergency State aid apportionments. Under the provisions of A.B. 1200 and the Education Code (Section 42100 *et. seq.*), each school district is required to file two interim certifications with the county superintendent of schools (on December 15, for the period ended October 31, and by mid-March for the period ended January 31) as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The county superintendent of schools reviews the certification and issues either a positive, negative or qualified certification. In the past five fiscal years, the District has received a qualified certification for its first and second interim reports for fiscal year 2018-19 and its first interim report for fiscal year 2021-22.

A positive certification is assigned to any school district that, based on then current projections, will meet its financial obligations for the current fiscal year and the subsequent two fiscal years. A negative certification is assigned to any school district that, based on then current projections, will be unable to meet its financial obligations for the remainder of the fiscal year or the subsequent fiscal year. A qualified certification is assigned to any school district that, based on then current projections, may not

meet its financial obligations for the current fiscal year or the two subsequent fiscal years. A certification may be revised to a negative or qualified certification by the county superintendent of schools, as appropriate. A school district that receives a qualified or negative certification for its second interim report must provide to the county superintendent of schools, the State Controller and the Superintendent no later than June 1, financial statement projections of the school district's fund and cash balances through June 30 for the period ending April 30. Any school district that receives a qualified or negative certification in any fiscal year may not issue, in that fiscal year or in the next succeeding fiscal year, certificates of participation, tax and revenue anticipation notes, revenue bonds or any other debt instruments that do not require the approval of the voters of the school district, unless the county superintendent of schools determines that the school district's repayment of indebtedness is probable.

For school districts under fiscal distress, the county superintendent of schools is authorized to take a number of actions to ensure that the school district meets its financial obligations, including budget revisions. However, the county superintendent of schools is not authorized to approve any diversion of revenue from *ad valorem* property taxes levied to pay debt service on district general obligation bonds. A school district that becomes insolvent may, upon the approval of a fiscal plan by the county superintendent of schools, request an emergency appropriation from the State, in which case the county superintendent of schools, the Superintendent of Public Instruction and the president of the State board or the president's designee will appoint a trustee to serve the school district until it has adequate fiscal systems and controls in place. The acceptance by a school district of an emergency apportionment exceeding 200% of the reserve recommended for that school district constitutes an agreement that the county superintendent of schools will assume control of the school district in order to ensure the school district's return to fiscal solvency.

In the event the State elects to provide an emergency apportionment to a school district, such apportionment will constitute an advance payment of apportionments owed to the school district from the State School Fund and the Education Protection Account. The emergency apportionment may be accomplished in two ways. First, a school district may participate in a two-part financing in which the school district receives an interim loan from the State general fund, with the agreement that the school district will subsequently enter into a lease financing with the California Infrastructure and Economic Development Bank for purposes of financing the emergency apportionment, including repaying such amounts advanced to the State general fund. State law provides that so long as bonds from such lease financing are outstanding, the recipient school district (via its administrator) cannot file for bankruptcy. As an alternative, a school district may receive an emergency apportionment from the State general fund that must be repaid in 20 years. Each year, the Superintendent of Public Instruction will withhold from the apportionments to be made to the school district from the State School Fund and the Education Protection Account an amount equal to the emergency apportionment repayment that becomes due that year. The determination as to whether the emergency apportionment will take the form of a lease financing or an emergency apportionment from the State general fund will be based upon the availability of funds within the State general fund.

Second Interim Financial Report for Fiscal Year 2023-24. Like the District's First Interim report for fiscal year 2023-24 (the "Fiscal Year 2023-24 First Interim Report"), the District submitted the Fiscal Year 2023-24 Second Interim Report to LACOE with a positive certification. Based on the Fiscal Year 2023-24 Second Interim Report, the District expects to meet its financial commitments and satisfy the 5% Minimum Reserve Threshold and the 2% statutory reserve requirement for fiscal years 2023-24, 2024-25 and 2025-26. However, the Fiscal Year 2023-24 Second Interim Report provides that the District continues to be challenged with deficit spending wherein expenditures are greater than projected revenues, and projects deficits in fiscal years 2024-25 and 2025-26 of \$1,589.6 million and \$94.5 million, respectively.

The Fiscal Year 2023-24 Second Interim Report provides that the District's practice of using one-time/non-recurring resources for ongoing expenses is not consistent with prevailing best practices and has drawn comments from LACOE. See "DISTRICT FINANCIAL INFORMATION – District Budget – *LACOE's Response to Fiscal Year 2023-24 Budget*," for LACOE's review of the District's Fiscal Year 2023-24 Budget and discussion of the District's operating deficits and the contributing factors to such deficits, which include declining enrollment, resulting reductions in LCFF revenue, and increased salary and health and welfare contributions as a result of recently settled multi-year bargaining unit agreements. See also "DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance" for a discussion of the District's enrollment and ADA, including information about the District's declining ADA over the last ten years, and "DISTRICT FINANCIAL INFORMATION – Employee and Labor Relations – *Negotiations Regarding Labor Contracts*" for information regarding recently settled multi-year bargaining unit agreements.

The Fiscal Year 2023-24 Second Interim Report projects a General Fund ending balance of \$6,272.9 million for fiscal year 2023-24, consisting of a projected unrestricted General Fund ending balance of \$4,441.6 million and a projected restricted General Fund ending balance of \$1,831.3 for fiscal year 2023-24. The projected Fiscal Year 2023-24 unrestricted General Fund ending balance consists of non-spendable, committed, assigned, unassigned reserve for economic uncertainties and unassigned/unappropriated components in the amounts of \$47.9 million, \$2,902.7 million, \$441.6 million, \$244.9 million and \$804.5 million, respectively. The Fiscal Year 2023-24 Second Interim Report indicates that the unrestricted unassigned/unappropriated General Fund amounts are expected to be used to balance future year budgets, and the Fiscal Year 2023-24 Second Interim Report projects a fiscal year 2025-26 unrestricted General Fund ending balance of \$2,757.6 million, with the unassigned/unappropriated portion of such fiscal year 2025-26 ending balance projected to be \$72.2 million. The projected Fiscal Year 2023-24 restricted General Fund ending balance represents projected unspent balances from legally restricted funding sources. This is comprised primarily of State grants such as the Learning Recovery Emergency Block Grant, the Arts, Music and Instructional Materials Discretionary Block Grant, the Expanded Learning Opportunities Program, the Educator Effectiveness, and Literacy Coaches and Reading Specialists Grant Program.

The Fiscal Year 2023-24 Second Interim Report acknowledges the Proposed 2024-25 State Budget projected a state-wide budget shortfall of \$37.9 billion and that the Governor proposes a COLA for fiscal year 2024-25 of 0.76%, down from the 3.94% COLA estimated at the time of the enactment of the 2023-24 State Budget. The Fiscal Year 2023-24 Second Interim Report further acknowledges LAO's warning of worsening budget conditions ahead as the State's year-to-date revenue receipts are falling below forecasts and that there have been a wide disparity of revenue estimates between the LAO and the California Department of Finance. See "STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act – *Proposed 2024-25 State Budget*" and "– State Budget Act – *LAO Analysis of the Proposed 2024-25 State Budget*." In May 2024, the Governor will revise the Proposed 2024-25 State Budget based on updated information available at such time. Such revision may differ substantially from the Proposed 2024-25 State Budget, and could result in even further negative impacts to State K-12 education funding in fiscal year 2024-25. The District cannot predict the impact that the final fiscal year 2024-25 State budget, or subsequent budgets, will have on its finances and operations.

The District revises its projections of revenues, expenditures, and ending fund balances contained in the Fiscal Year 2023-24 Budget as more financial data becomes available throughout the fiscal year. The Fiscal Year 2023-24 Second Interim Report reflects the District's projected actuals for fiscal year 2023-24 for the period from July 1, 2023 through January 31, 2024 and projections for the period from February 1, 2024 through June 30, 2024. It also reflects multi-year projections through fiscal year 2025-26. The Fiscal Year 2023-24 Second Interim Report, which was approved by the District Board on March 12, 2024, is also included in the table that follows and described throughout this Appendix A. The achievement of certain results or other expectations contained in the Fiscal Year 2023-24 Second Interim

Report involves known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described therein to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. All projections, forecasts, assumptions, expressions of opinions, estimates, and other forward-looking statements contained in the Fiscal Year 2023-24 Second Interim Report are expressly qualified in their entirety by the foregoing and the other cautionary statements.

The following Table A-13 sets forth budgeted revenues and expenditures and projected year-end amounts, including projected and year-end General Fund Balances, as reported in the Fiscal Year 2023-24 Budget and the Fiscal Year 2023-24 Second Interim Report.

TABLE A-13

LOS ANGELES UNIFIED SCHOOL DISTRICT
District General Fund Summary of Fund Balances, Revenues and Expenditures
Fiscal Year 2023-24
(\$ in millions)

	Fiscal Year 2023-24 Final Adopted Budget (June 2023)	Fiscal Year 2023-24 Second Interim Report (March 2024)⁽¹⁾
Beginning Balance	\$5,179.3	\$5,708.3 ⁽²⁾
Revenues	10,531.0	11,123.3
Expenditures	11,640.2	10,567.4
Excess (Deficiency) of Revenues Over Expenditures Before Other Financing Sources and Uses	(1,109.2)	555.9
Other Financings Sources/Uses	2.8	8.7
Ending Balance	\$4,072.9	\$6,272.9

⁽¹⁾ Reflects the District's unaudited actuals for fiscal year 2023-24 for the period from July 1, 2023 through January 31, 2024 and projections for the period from February 1, 2024 through June 30, 2024.

⁽²⁾ Beginning balance reflects the District's audited actuals for fiscal year 2022-23.

Sources: Los Angeles Unified School District Fiscal Year 2023-24 Final Adopted Budget; Fiscal Year 2023-24 Second Interim Report.

LACOE's Review of Fiscal Year 2023-24 Second Interim Report. In its April 2024 letter to the District, LACOE concurred with the District's positive certification on the Fiscal Year 2023-24 Second Interim Report. LACOE pointed out that the Fiscal Year 2023-24 Second Interim Report projected operating deficits in fiscal years 2024-25 and 2025-26, emphasizing the erosion of projected General Fund balances. LACOE acknowledged that the Fiscal Year 2023-24 Second Interim Report projected maintaining the required level of reserves but recommended that the District monitor causes for deficit spending to prevent additional fund balance erosion. LACOE also indicated that the Fiscal Year 2023-24 Second Interim Report reflected declining enrollment and funding under LCFF based on three-year average daily attendance for fiscal years 2023-24, 2024-25 and 2025-26, and highlighted the impacts of declining enrollment, emphasizing that continued declines in enrollment and attendance will result in a loss of revenue for the District in future years. LACOE recommended the District carefully monitor its enrollment and attendance trends and adjust financial projections for the current and subsequent fiscal years accordingly to reflect the resulting impact. LACOE also indicated that staffing needs and facilities planning should also be assessed and adjusted based on the projected rate of decline in enrollment.

Employees and Labor Relations

General. The District has twelve bargaining units with existing contracts. The largest bargaining unit among the District’s employees is United Teachers Los Angeles (“UTLA”), which is comprised of among other employees, teachers, counselors, adviser, nurses, psychologists, and social workers. In addition, certain employees are not represented by a formal bargaining unit (the “District Represented Employees”). The following Table A-14 sets forth the number of members of each bargaining unit as of April 1, 2024, and the expiration dates of the existing or successor labor agreements with each of the District’s employee bargaining units.

TABLE A-14

**LOS ANGELES UNIFIED SCHOOL DISTRICT
Employee Bargaining Units and Contract Expiration Dates
As of April 1, 2024**

Employee Bargaining Unit	Members	Contract Expiration Date (June 30)
Associated Administrators of Los Angeles (“AALA”) (Certificated)	3,060	2025
Unit A (School Police)	234	2025
Unit B (Instructional Aides)	13,251	2024
Unit C (Operations – Support Services)	8,505	2024
Unit D (Office – Technical and Business Services)	4,582	2026
Unit E (Skilled Crafts)	1,365	2025
Unit F (Teacher Assistants)	1,657	2024
Unit G (Playground Aides)	6,800	2024
Unit H (Sergeants and Lieutenants)	54	2025
Unit J (Classified Management)	416	2025
Unit S (Classified Supervisors)	3,283	2024
United Teachers Los Angeles	36,760	2025
District Represented Employees ⁽¹⁾	548	N/A

⁽¹⁾ District-represented employees include employees that are not represented by a union due to their designation as management, confidential or unrepresented employees. Does not include unrepresented seasonal employees or employees in positions not yet assigned to a union.

Source: Los Angeles Unified School District Office of Labor Relations.

Negotiations Regarding Labor Contracts. The United Teachers Los Angeles (“UTLA”) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “UTLA Agreement”). For fiscal year 2022-23, the UTLA Agreement provides for a 3% on schedule retroactive wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule retroactive wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023. For fiscal year 2023-24, the UTLA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024. For fiscal year 2024-25, the UTLA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. In addition, the UTLA Agreement (a) provides for certain on schedule salary increases for certain employee groups, including special and early education teachers, nurses and table employees, (b) provides for academic class size reduction in certain schools, (c) for adjustments in staffing ratios for counselors, pupil services and attendance counselors (PSA) and psychiatric social workers (PSW), (d) provides for additional funding for certain community schools, (e)

for additional community school coach positions, and (f) includes differential pay increases for certain positions and programs. There are no reopeners provided for in the UTLA Agreement. The financial impacts of the UTLA Agreement are incorporated as expenditures in the Fiscal Year 2023-24 Budget. UTLA and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 after January 1, 2025.

SEIU Local 99 (Units B, C, F and G) and the District reached a one-year agreement for fiscal year 2020-21, and a three-year agreement for fiscal years 2021-22 through 2023-24 (collectively, the “SEIU Agreements”). Under the SEIU Agreements, (a) based on the salary table effective July 1, 2021, all SEIU bargaining unit members will receive a 6% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (b) based on the salary table effective July 1, 2022, all SEIU bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (c) based on the salary table effective July 1, 2023, all SEIU bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and (d) based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. In addition, the SEIU Agreements (a) provide for the funding an Education and Professional Development Fund in the amount of \$3 million, (b) effective January 1, 2024, make employees assigned 4 hours per day or 80 hours per month, with respect to Units F and G, eligible (along with eligible dependents) to enroll in certain low cost health insurance plans or receive a cash amount if the employee opts out, and (c) include certain pay differentials and one-time pay increases. There are no reopeners provided for in the SEIU Agreements. The financial impacts of the SEIU Agreements are incorporated as expenditures in the Fiscal Year 2023-24 Budget. SEIU Local 99 (Units B, C, F and G) and the District are set to begin successor negotiations for a three-year agreement for fiscal years 2024-25 through 2026-27 in April 2024.

AALA (Certificated Administrators) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “AALA (Certificated Administrators) Agreement”) with on schedule salary increases to be applied to the AALA (Certificated Administrators) master salary table comparable to the increases provided to UTLA in the UTLA Agreement. There are no reopeners provided for in the AALA (Certificated Administrators) Agreement. As a result of such agreement, the District anticipates an increase in fiscal year 2023-24 expenditures of approximately \$87.07 million (all funds), of which approximately \$81.10 million relate to the District’s general fund. Of such amounts, approximately \$25.07 million (all funds) of such expenditures (\$23.36 million related to the District’s general fund) reflect expenditures attributable to fiscal year 2022-23 and are to be paid in fiscal year 2023-24. Due to the timing of such agreement, the financial impacts of the agreement are not incorporated into the Fiscal Year 2023-24 Budget. The additional expenditures associated with the AALA (Certificated Administrators) Agreement are reflected in the Fiscal Year 2023-24 Second Interim Report. AALA (Certificated Administrators) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 after January 1, 2025.

CSEA (Unit D – Technical and Business Services) and the District have reached a three-year agreement for fiscal years 2023-24 through 2025-26 (the “CSEA Agreement”). The CSEA Agreement provides for one reopener for fiscal year 2024-25 and fiscal year 2025-26. Based on the salary table effective July 1, 2023, all CSEA bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. The CSEA Agreement also provides for an increase to \$22.52 effective January 1, 2024, for the classifications of Office Technician, Parent Education Support Assistant, Parent Resource Assistant, Microfilm Operator, Clerk, and Student Integration Helper. As a result of such agreement, the District anticipates an increase in fiscal year 2023-24 expenditures of approximately \$43.50 million (all funds), of which approximately \$37.01 million relate to the District’s general fund. Due to the timing of such agreement, the financial impacts of the agreement are not incorporated into the

Fiscal Year 2023-24 Budget. The additional expenditures associated with the CSEA Agreement are reflected in the Fiscal Year 2023-24 Second Interim Report.

Under the District's prior agreement with CSEA (Unit D – Technical and Business Services) for fiscal years 2020-21 through 2022-23 (the “Prior CSEA Agreement”), reopeners for three articles – wages and salaries, vacation, and telecommuting – were provided for, and CSEA requested reopener negotiations with respect to fiscal years 2021-22 and 2022-23. In June 2023, reopener negotiations concluded with CSEA under the Prior CSEA Agreement. For fiscal year 2021-22, the reopener agreement provides for a 1% on schedule retroactive wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2021. This 1% is in addition to the 5% previously applied under the CSEA Agreement to all pay scale groups and levels of the base salary table for fiscal year 2021-22, for a total of 6%. For fiscal year 2022-23, the reopener agreement provides for a 7% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023. The reopener agreement also included one-time retention and appreciation bonuses. Due to the timing of the reopener agreement, the financial impacts of the agreement are not incorporated into the Fiscal Year 2023-24 Budget. Such impacts were incorporated as expenditures in revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023. For information regarding the expected impacts to the Fiscal Year 2023-24 Budget, see “– District Budget – *Revisions to Fiscal Year 2023-24 Budget*” above. CSEA (Unit D – Technical and Business Services) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2026-27 through 2028-29 after January 1, 2026.

Teamsters (Unit S – Classified Supervisors) and the District reached a three-year agreement for fiscal years 2021-22 through 2023-24 (the “Teamsters Agreement”). Under the Teamsters Agreement (a) based on the salary table effective July 1, 2021, all Teamsters bargaining unit members will receive a 1% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables (which is in addition to the 5% increase previously agreed to and applied); (b) based on the salary table effective July 1, 2022, all Teamsters bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (c) based on the salary table effective July 1, 2023, all Teamsters bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and (d) based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. As a result of such agreement, the District anticipates an increase in fiscal year 2023-24 expenditures of approximately \$90.43 million (all funds), of which approximately \$61.51 million relate to the District's general fund. Of such amounts, approximately \$31.61 million (all funds) of such expenditures (\$21.38 million related to the District's general fund) reflect expenditures attributable to fiscal year 2022-23 and are to be paid in fiscal year 2023-24. Due to the timing of such agreement, the financial impacts of the agreement are not incorporated into the Fiscal Year 2023-24 Budget. The additional expenditures associated with the Teamsters Agreement are reflected in the Fiscal Year 2023-24 Second Interim Report. Teamsters (Unit S – Classified Supervisors) and the District are in successor negotiations for a three-year agreement for fiscal years 2024-25 through 2026-27.

LASPA (Unit A – School Police) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “LASPA Agreement”). The LASPA Agreement provides, with respect to sworn officers, (a) for fiscal year 2022-23, a 3% retroactive on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% retroactive on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. The LASPA Agreement provides, with respect

to school safety officers, (a) for fiscal year 2022-23, a 7% retroactive on schedule wage increase applied to the base salary tables effective July 1, 2022; (b) for fiscal year 2023-24, a 7% on schedule wage increase applied to the base salary tables effective July 1, 2023; and (b) for a Step 1 an increase to \$22.53 effective January 1, 2024, with the subsequent Steps applied accordingly. The classification of school safety officer is not included in the on-schedule fiscal year 2024-25 wage increase as the additional increase is being provided on January 1, 2024. There are no reopeners provided for in the LASPA Agreement. The financial impacts of the LASPA Agreement are not incorporated into the Fiscal Year 2023-24 Budget. Such impacts were incorporated as expenditures in revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023. For information regarding the expected impacts to the Fiscal Year 2023-24 Budget, see “– District Budget – *Revisions to Fiscal Year 2023-24 Budget*” above. LASPA and the District are currently in dispute over LASPA’s assertion that they are entitled to a \$1.00 per hour increase for fiscal year 2019-20. LASPA (Unit A – School Police) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 after January 1, 2025.

LASPMA (Unit H – School Police Management) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “LASPMA Agreement”). For fiscal year 2022-23, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023. For fiscal year 2023-24, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024. For fiscal year 2024-25, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024 and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. There are no reopeners provided for in the LASPMA Agreement. The financial impacts of the LASPMA Agreement are not incorporated into the Fiscal Year 2023-24 Budget. Such impacts were incorporated as expenditures in revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023. For information regarding the expected impacts to the Fiscal Year 2023-24 Budget, see “– District Budget – *Revisions to Fiscal Year 2023-24 Budget*” above. LASPMA (Unit H – School Police Management) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 after January 1, 2025.

“Trades” (Unit E) and the District reached agreements for fiscal years 2020-21 and 2021-22 and for fiscal years 2022-23 through 2024-25 (the “Trades Agreements”). With respect to fiscal years 2020-21 and 2021-22, the Trades Agreements provide for a 5% on schedule retroactive wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2021. The Trades Agreements also provide for (a) one-time payments to certain employees that were employed during fiscal years 2020-21 and 2021-22 and did not receive an increase to their base salary in the fiscal year 2019-20 reopener, and (b) retention and appreciation bonuses for fiscal year 2021-22. With respect to fiscal years 2022-23 through 2024-25, the Trades Agreements provide (a) for fiscal year 2022-23, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. During the term of the Trades Agreements for fiscal years 2022-23 through 2024-25, the District and Trades have agreed to reopen on two items – health and welfare and deferred compensation, but have not begun negotiations. The financial impacts of

the Trades Agreements are not incorporated into the Fiscal Year 2023-24 Budget. Such impacts (other than agreed upon reopeners to be negotiated) were incorporated as expenditures in revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023. For information regarding the expected impacts to the Fiscal Year 2023-24 Budget, see “– District Budget – *Revisions to Fiscal Year 2023-24 Budget*” above. “Trades” (Unit E) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 after January 1, 2025.

AALA (Unit J – Classified Managers) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “AALA Agreement”). The AALA Agreement provides (a) for fiscal year 2022-23, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. There are no reopeners provided for in the AALA Agreement. The financial impacts of the AALA Agreement are incorporated as expenditures in the Fiscal Year 2023-24 Budget. AALA (Unit J – Classified Managers) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 after January 1, 2025.

Employees that are classified as “District-represented” are not in a formal bargaining unit. In alignment with District Board-approved labor agreements discussed above, District-represented employees will receive comparable compensation adjustments. District-represented employees as well as employees in positions that have not yet been assigned a union, totaling approximately 2,200 positions, with salaries within the range of union-represented classifications, will receive a 21% wage increase, beginning with 3% effective July 1, 2022; 4% on January 1, 2023; 3% on July 1, 2023; 4% on Jan. 1, 2024; 3% on July 1, 2024; and 4% on Jan. 1, 2025. District-represented employees, totaling approximately 87 positions, with salaries outside of the range of union-represented classifications, will receive a 15% wage increase, beginning with 3% effective July 1, 2022; 4% on January 1, 2023; 2% on July 1, 2023; 2% on Jan. 1, 2024; 2% on July 1, 2024; and 2% on Jan. 1, 2025. As a result of such agreement, the District anticipates an increase in fiscal year 2023-24 expenditures of approximately \$30.0 million (all funds), of which approximately \$25.6 million relate to the District’s general fund. Of such amounts, approximately \$8.6 million (all funds) of such expenditures (\$7.3 million related to the District’s general fund) reflect expenditures attributable to fiscal year 2022-23 and are to be paid in fiscal year 2023-24. Due to the timing of such agreement, the financial impacts of the agreement are not incorporated into the Fiscal Year 2023-24 Budget. The additional expenditures associated with the District-represented agreement are reflected in the Fiscal Year 2023-24 Second Interim Report.

The District entered a memorandum of understanding with SEIU and UTLA modifying the three-year tentative instructional calendar approved by the District Board on March 27, 2023, to a two-year instructional calendar (fiscal years 2023-24 and 2024-25). The memorandum of understanding maintains a three-week (15 days) winter break, provides for three additional instructional days to make up for lost instructional days in March 2023, and provides for instruction, enrichment, nutrition and child supervision through a voluntary winter recess academy in each such fiscal year. The financial impacts of the memorandum of understanding with SEIU and UTLA are not incorporated into the Fiscal Year 2023-24 Budget. Such impacts were incorporated as expenditures in revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023. For information regarding the expected impacts to the Fiscal Year 2023-24 Budget, see “– District Budget – *Revisions to Fiscal Year 2023-24 Budget*” above. Subsequently, on December 11, 2023, the District entered a memorandum of understanding with CSEA with the same provisions outlined above in the SEIU and UTLA instructional

calendar memorandum of understanding. As a result of such agreement, the District budgeted an increase in fiscal year 2023-24 expenditures of approximately \$0.28 million, all of which relate to the District's General Fund. The additional expenditures associated with the memorandum of understanding with CSEA are reflected in the Fiscal Year 2023-24 Second Interim Report.

Health and Welfare Agreement. On October 5, 2023, the District reached a two-year agreement (the "Health and Welfare Agreement") with all of its bargaining units for calendar years 2024 and 2025 to continue providing health and welfare benefits for active employees and retirees at no additional cost to participants. Under the Health and Welfare Agreement, the District will make contributions to fully fund the per-participant actual costs of current health and welfare benefits, including administrative cost, for the 2024 and 2025 calendar years. This is exclusive of any plan design changes that increase benefit costs and is different than previous agreements where the District's obligation was to pay a fixed dollar amount for each participant category. The Health and Welfare Agreement also provides that any unspent health care reserve funds held pursuant to the District's prior health and welfare agreements will be maintained as reserves for the term of the Health and Welfare Agreement and used to improve or adjust health care plan designs as agreed to from time to time by the parties and approved by the District Board. As of June 30, 2022 and June 30, 2023, the District had \$64.6 million and \$107.7 million (unaudited), respectively, in health care reserves. Future District health and welfare contributions are subject to negotiations for a successor agreement. It is anticipated that such negotiations will commence in 2024.

The District anticipates an increase in fiscal year 2023-24 expenditures related to the Health and Welfare Agreement of approximately \$106.4 million (all funds), of which approximately \$94.2 million relate to the District's general fund. Due to the timing of such agreement, the financial impacts of the agreement are not incorporated into the Fiscal Year 2023-24 Budget. The additional expenditures associated with the Health and Welfare Agreement are reflected in the Fiscal Year 2023-24 Second Interim Report.

Reduction in Force and Release Notices. In general, pursuant to Sections 44949 and 44951 of the Education Code, the District must give written notice to a certificated employee no later than March 15 if such certificated employee is to be released or reassigned for the ensuing school year. Similarly, pursuant to Section 45117 of the Education Code, the District must give written notice to a classified employee no later than March 15 if such classified employee is to be laid off for the ensuing school year. Further, pursuant to Sections 44955.5 and 45117(d) of the Education Code (as applicable), the District Board has the authority to terminate the services of certificated and classified employees between the period commencing five days after the enactment of the annual State Budget Act and August 15 of the fiscal year to which the State Budget Act applies if the District's LCFF apportionment per unit of ADA has not increased by at least 2% for such fiscal year. To provide flexibility in the event budget reductions are necessary in a given fiscal year, the District Board may approve the use of reduction in force and release notices for a portion of its certificated and classified employees. There were no such notices approved by the District Board prior to March 15, 2024, for the ensuing 2024-25 school year.

Retirement Systems

General. The District currently participates in CalSTRS, CalPERS and PARS (defined herein). The amounts of the District's contributions to CalSTRS, CalPERS and PARS are subject to, among other things, modifications to or approvals of collective bargaining agreements and any changes in actuarial assumptions used by CalSTRS, CalPERS and PARS.

The information set forth below regarding CalSTRS and CalPERS and their respective actuarial valuations and comprehensive annual financial reports has been obtained from publicly available sources and has not been independently verified by the District and is not guaranteed as to the accuracy or completeness thereof by or to be construed as a representation by the District. Furthermore, the summary

data below should not be read as current or definitive, as recent gains or losses on investments made by the retirement systems generally may have changed the unfunded actuarial accrued liabilities stated below.

The following Table A-15 sets forth the District's aggregate contributions to CalSTRS, CalPERS and PARS, inclusive of employee contributions to CalPERS paid by the District, for fiscal years 2019-20 through 2022-23 and the budgeted contribution for fiscal year 2023-24 and these contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. See Table A-16 "Annual Regular CalSTRS Contributions," Table A-18 "Annual CalPERS Regular Contributions" and Table A-21 "Annual PARS Contribution." See also the District's financial statements for fiscal year 2022-23 contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

TABLE A-15
LOS ANGELES UNIFIED SCHOOL DISTRICT
Aggregate Employer Contributions to CalSTRS, CalPERS and PARS
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2019-20	\$755.33	7.35%
2020-21	762.30	7.06
2021-22	869.20	7.12
2022-23	1,040.37	8.36
2023-24 ⁽²⁾	1,174.30	7.83

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund. Excludes on-behalf payments from the State to CalSTRS and CalPERS.

⁽²⁾ Budgeted in Fiscal Year 2023-24 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2023-24 Budget. For significant revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023, see "– District Budget – Revisions to Fiscal Year 2023-24 Budget" above. In addition, for a discussion of pending labor agreements not reflected in the Fiscal Year 2023-24 Budget and not included in Fiscal Year 2023-24 Budget revisions approved by the District Board on August 22, 2023, see "– Employee and Labor Relations – Negotiations Regarding Labor Contracts" above.

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2022-23; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

California State Teachers' Retirement System. CalSTRS is a defined benefit plan that covers all full-time certificated District employees and some classified District employees, which are District employees employed in a position that does not require a teaching credential from the State. Benefit provisions are established by State legislation in accordance with the State Teachers' Retirement Law. CalSTRS is operated on a Statewide basis and, based on publicly available information, has substantial unfunded liabilities. Additional funding of CalSTRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282. Copies of the CalSTRS' comprehensive annual financial report may be obtained from CalSTRS, P.O. Box 15275, Sacramento, California 95851-0275. The information presented in these reports is not incorporated by reference in this Official Statement.

Member benefits are determined pursuant to the Education Code and are generally based on a member's age, final compensation and years of credited service. Members are 100% vested in retirement benefits after five years of credited service and are eligible for "normal" retirement at age 60 and for early retirement at age 55 or at age 50 with 30 years of credited service. The normal retirement benefit is 2% of final compensation (as defined in the Education Code) for each year of credited service (up to 2.4% of

final compensation for members retiring after age 60), and members who retire on or after January 1, 2011 with 30 or more years of service by December 31, 2010 receive monthly bonus payments of up to \$400 per month. Members hired on or after January 1, 2013 who retire at age 62 are eligible for a benefit equal to 2% of final compensation for each year of credited service (up to 2.4% of final compensation for members retiring after age 62). Benefits include a 2% cost of living increase (computed on a simple, non-compounded, basis based on the initial allowance) on each September 1 following the first anniversary of the effective date of the benefit. See “– *California Public Employees’ Pension Reform Act of 2013*” herein and Note 9 set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023.”

Funding; Contributions. The CalSTRS defined benefit plan (the “DB Plan”) is funded through a combination of investment earnings and statutorily set contributions from members of CalSTRS, the participating employers (including the District) and the State. Prior to fiscal year 2014-15, the statutorily-set rate did not vary annually to adjust for funding shortfalls or actuarial surpluses. As a result, the combined employer, employee and State contributions to the DB Plan were not sufficient to pay actuarially required amounts. To address the shortfall, Assembly Bill 1469 (“AB 1469”), signed into law by the Governor as part of the State budget for fiscal year 2014-15, increased member, employer and State contributions as part of a plan to eliminate by June 30, 2046, CalSTRS’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014.

Pursuant to AB 1469, since fiscal year 2021-22, the State Teachers’ Retirement Board is authorized to modify the percentages paid by employers and employees to eliminate by June 30, 2046, CalSTRS’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014, based upon actuarial recommendations and subject to certain limitations. The State Teachers’ Retirement Board may not increase the employer contribution rate by more than 1% in any fiscal year up to a maximum contribution rate of 20.25%. The State Teachers’ Retirement Board may also adjust the State’s contribution rate by a maximum of 0.5% from year to year, based on the funding status of the CalSTRS actuarially determined unfunded liability. A decrease in investment earnings may result in increased employer contribution rates in order to timely eliminate by June 30, 2046, CalSTRS’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014, based upon actuarial recommendations. The District cannot predict the impact of State, national, and international events on investment earnings and contribution rates or the amount the District will be required to pay for pension related costs in future fiscal years.

The State is not an employer (with certain limited exceptions) in any of the CalSTRS programs but contributes to the DB Plan and a supplemental benefits maintenance account pursuant to provisions of the Education Code. For fiscal year 2022-23, the State contributed 8.328% of members’ annual earnings to the DB Plan and an additional 2.5% of member earnings into the CalSTRS supplemental benefit maintenance account, which is used to maintain the purchasing power of benefits. The State’s contribution rate for fiscal year 2023-24 will remain at 8.328% of members’ annual earnings to the DB Plan and an additional payment of 2.5% of member earnings into the CalSTRS supplemental benefit maintenance account.

The District’s employer contribution rate for fiscal year 2022-23 was 19.10% of covered payroll. The District’s employer contribution rate for fiscal year 2023-24 will remain at 19.10% of covered payroll. The District’s employer contribution rate is inclusive of the employer base contribution of 8.25% of payroll provided by the Education Code.

The employee contribution rate for CalSTRS members first hired on or before December 31, 2012 to perform CalSTRS creditable activities (i.e., CalSTRS 2% at 60 members) was 10.25% for fiscal years 2016-17 through 2022-23 and will remain at 10.25% for fiscal year 2023-24. The employee contribution rate for CalSTRS members first hired on or after January 1, 2013 to perform CalSTRS

creditable activities (i.e., CalSTRS 2% at 62 members) was 9.205% for fiscal years 2016-17 and 2017-18, 10.205% for fiscal years 2018-19 through 2022-23, and will remain at 10.205% for fiscal year 2023-24.

The following Table A-16 sets forth the District's regular annual contributions to CalSTRS for fiscal years 2019-20 through 2022-23 and the budgeted contribution for fiscal year 2023-24 and such contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. The District has always paid all required CalSTRS annual contributions. As of June 30, 2023, 37,684 District employees were members of CalSTRS.

TABLE A-16

LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual Regular CalSTRS Contributions
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	CalSTRS Employer Rate	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2019-20	17.10%	\$509.0	4.95%
2020-21	16.15	497.7	4.61
2021-22	16.92	563.9	4.62
2022-23	19.10	663.9	5.33
2023-24 ⁽²⁾	19.10	728.3	4.86

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund. Excludes on-behalf payments from the State to CalSTRS.

⁽²⁾ Budgeted in Fiscal Year 2023-24 Budget. Amounts do not reflect labor agreements not reflected in the Fiscal Year 2023-24 Budget. For significant revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023, see "– District Budget – *Revisions to Fiscal Year 2023-24 Budget*" above. In addition, for a discussion of pending labor agreements not reflected in the Fiscal Year 2023-24 Budget and not included in Fiscal Year 2023-24 Budget revisions approved by the District Board on August 22, 2023, see "– Employee and Labor Relations – *Negotiations Regarding Labor Contracts*" above.

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2022-23; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Actuarial Valuation. The State Teachers' Retirement Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the DB Plan. CalSTRS actuarial consultant (the "Actuarial Consultant") determines the actuarial value of the DB Plan's assets by using a one-third smoothed recognition method of the difference between the actual market value of assets to the expected actuarial value of assets. Accordingly, the actuarial value of assets will not reflect the entire impact of certain investment gains or losses on an actuarial basis as of the date of the valuation or legislation enacted subsequent to the date of the valuation.

The actuarial valuation for the entire CalSTRS defined benefit program as of June 30, 2022 (the "2022 CalSTRS Actuarial Valuation") showed an estimated unfunded actuarial liability of \$88.55 billion, a decrease of approximately \$1.17 billion from the June 30, 2021 valuation. Such estimated unfunded actuarial liability was projected to increase in the June 30, 2021 valuation, which projected an unfunded actuarial liability of \$89.80 billion as of June 30, 2022. The actual unfunded actuarial liability as of June 30, 2022 represents a net actuarial gain of approximately \$1.25 billion. Such net actuarial gain is due primarily to member salary increases being more than assumed and market value returns (estimated at negative 2.40%) being less than assumed (7.00%). The funded ratios of the actuarial value of valuation assets over the actuarial accrued liabilities as of June 30, 2022 and June 30, 2021, based on the actuarial assumptions, were approximately 74.40% and 73.00%, respectively. According to the 2022 CalSTRS Actuarial Valuation, the funded ratio increased by 1.40% during the past year. As described in the 2022

CalSTRS Actuarial Valuation, the increase in the funded ratio is primarily due to the recognition of deferred investment gains from prior fiscal years that were used to offset the reported negative 2.40% return on investments on the market value of assets for fiscal year 2021-22, which is CalSTRS' first negative return on investments since fiscal year 2008-09. Other factors contributing to such increase include the additional State contributions made in the prior fiscal years and contributions to pay down the unfunded actuarial liability under the State Teachers' Retirement Board's valuation policy. Persistent negative returns on investments may result in increased employer contribution rates above the current level of expected increases. The District cannot predict the impact of State, national, and international events on investment returns and employer contribution rates or the amount the District will be required to pay for pension related costs. Accordingly, there can be no assurances that the District's required contributions to CalSTRS will not increase in the future, subject to the limitations of AB 1469.

The following are certain of the actuarial assumptions set forth in the 2022 CalSTRS Actuarial Valuation: measurement of accruing costs by the "Entry Age Normal Actuarial Cost Method," an assumed 7.00% investment rate of return for measurements subsequent to June 30, 2016, 3.00% interest on member accounts, 3.50% projected wage growth, and 2.75% projected inflation and demographic assumptions relating to mortality rates, length of service, rates of disability, rates of withdrawal, probability of refund, and merit salary increases. Future estimates of the actuarial unfunded liability may change due to market performance, legislative actions and other experience that may differ from the actuarial assumptions used for the CalSTRS valuation. The 2022 CalSTRS Actuarial Valuation also assumes that all members hired on or after January 1, 2013 are subject to the provisions of PEPRA (as defined herein). See "*California Public Employees' Pension Reform Act of 2013*" below for a discussion of the pension reform measure signed by the Governor in September 2012 expected to help reduce future pension obligations of public employers with respect to employees hired on or after January 1, 2013.

The CalSTRS Comprehensive Annual Financial Report for fiscal year 2021-22 (the "2021-22 CalSTRS CAFR") states that during fiscal year 2021-22, CalSTRS included 38,528 covered employees of the District in its State Teachers' Retirement Program and 3,485 covered employees of the District in its tax-deferred defined contribution plans under Sections 403(b) and 457 of the Internal Revenue Code (the "Pension2 Program"). Accordingly, covered employees of the District represented approximately 7.60% and 11.80% of covered employees in the State Teachers' Retirement Program and Pension2 Program, respectively.

The UAAL and funded status of the CalSTRS pension fund as of June 30 of fiscal years ended June 30, 2018, through June 30, 2022, are set forth in the following Table A-17. The fair market value of the CalSTRS pension fund as of June 30, 2021, and June 30, 2022, was approximately \$271.95 billion and \$260.29 billion, respectively, based on total system assets less amounts allocable to the CalSTRS Supplemental Benefits Maintenance Account Reserve. The individual funding progress for the District and the District's proportionate share of CalSTRS' net pension liability is set forth in the District's audited financial statements. See "*Pension Accounting and Financial Reporting Standards*" herein and Note 9 set forth in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

TABLE A-17

Actuarial Value of CalSTRS Defined Benefit Program
Valuation Dates June 30, 2018 through June 30, 2022
(\$ in billions)

Valuation Date (June 30)	Actuarial Obligation	Actuarial Value of Assets⁽¹⁾	Market Value of Assets	Unfunded Actuarial Obligation	Funded Ratio (Actuarial Value)	Funded Ratio (Fair Market Value)
2018	\$297.603	\$190.451	\$211.367	\$107.2	64.0%	65.7%
2019	310.719	205.016	225.466	105.7	66.0	67.0
2020	322.127	216.252	233.253	105.9	67.1	66.5
2021	332.082	242.363	292.980	89.7	73.0	81.9
2022	346.089	257.537	283.340	88.6	74.4	75.2

⁽¹⁾ Actuarial Value of Assets does not include amounts allocable to the CalSTRS Supplemental Benefits Maintenance Account Reserve which was approximately \$15.76 billion as of June 30, 2018, \$17.38 billion as of June 30, 2019, \$19.13 billion as of June 30, 2020, \$21.03 billion as of June 30, 2021, and \$23.05 billion as of June 30, 2022.

Sources: California State Teachers' Retirement System Defined Benefit Program Actuarial Valuations as of June 30, 2018 through June 30, 2022.

District Proportionate Share. As of June 30, 2023, the District's proportionate share of CalSTRS' net pension liability was approximately \$3.9 billion, based on a discount rate of 7.10%. The net pension liability was measured as of June 30, 2022, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the fiscal year 2021-22 employer contributions calculated by CalSTRS with consideration given to separately financed and irregular employer contributions relative to the projected contributions of all participating employer and non-employer contributing entities. At June 30, 2022, the District's proportionate rate was 5.497%. The District's proportionate share of the CalSTRS net pension liability was projected to be approximately \$1.60 billion if the discount rate was increased to 8.1% and approximately \$6.5 billion if the discount rate was decreased to 6.1%. See Note 9(b) of the District's financial statements in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

California Public Employees' Retirement System. CalPERS is a defined benefit plan that covers classified personnel who work four or more hours per day. CalPERS is operated on a Statewide basis and, based on publicly available information, has significant unfunded liabilities. CalPERS issues a comprehensive annual financial report and actuarial valuations that include financial statements and required supplementary information. Copies of the CalPERS CAFR and actuarial valuations may be obtained from the CalPERS Financial Services Division, P.O. Box 942703, Sacramento, California 94229-2703. The information set forth therein is not incorporated by reference in this Official Statement. Benefit provisions are established by State legislation in accordance with the Public Employees' Retirement Law and are generally based on a member's age, final compensation, and years of credited service. For a description of member benefits for both the Safety Plan and Miscellaneous Plan of the District administered by CalPERS, see Note 9(a) set forth in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

Funding; Contributions. All qualifying classified employees of K-12 school districts in the State are members in CalPERS. All school districts contributing to CalPERS participate in the same plan and share the same contribution rate in each year. However, unlike contributions to CalSTRS, which incrementally increase at statutorily set rates, school districts' contributions to CalPERS fluctuate each year and include a normal cost component and a component equal to an amortized amount of the unfunded liability of CalPERS. Accordingly, the District cannot provide any assurances that the District's

required contributions to CalPERS in future years will not significantly vary from any current projected levels of contributions to CalPERS.

CalPERS is funded by employee contributions and investment earnings, with the balance of the funding provided by employer contributions. School districts' contributions decrease when investment earnings rise and increase when investment earnings decline. As a result, declines in investment earnings may result in substantial increases in school district contributions. The District cannot make any predictions as to the effect of State, national or international events on investment earnings and school district contributions. Participating employees enrolled in CalPERS prior to January 1, 2013 contribute 7.00% of their respective salaries, while participating employees enrolled after January 1, 2013 contribute the higher of fifty percent of normal costs of benefits or an actuarially determined rate of 8.00% in fiscal year 2022-23, which will remain at 8.00% in fiscal year 2023-24. School districts are required to contribute to CalPERS at an actuarially determined rate, which was originally 20.733% and 22.68% of eligible salary expenditures for fiscal years 2019-20 and 2020-21, respectively. However, the employer contribution rate for fiscal year 2019-20 was reduced to 19.721% as a result of the State's buydown of employer contribution rates in fiscal year 2019-20. Similarly, the fiscal year 2020-21 State budget allocated funding to buy down employer contribution rates in fiscal years 2020-21 and 2021-22 to approximately 20.70% and 22.91%, respectively. The actuarially determined rate for employer contributions was 25.37% for fiscal year 2022-23 and is 26.68% for fiscal year 2023-24. For a description of employer and member contribution rates, see Note 9(a) set forth in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

The following Table A-18 sets forth the District's employer contribution rates, regular annual contributions, inclusive of employee contributions paid by the District to CalPERS for fiscal years 2019-2020 through 2022-23, and the budgeted contribution for fiscal year 2023-24, and such contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. The District has always paid all required CalPERS annual contributions. As of June 30, 2023, 29,689 District employees were members of CalPERS.

TABLE A-18
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual CalPERS Regular Contributions
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	CalPERS Employer Rate (Miscellaneous)	CalPERS Employer Rate (Safety)	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2019-20	19.721%	43.059%	\$239.1	2.33%
2020-21	20.700	47.268	257.3	2.38
2021-22	22.910	48.900	298.4	2.44
2022-23	25.370	50.130	370.3	2.98
2023-24 ⁽²⁾	26.680	53.680	436.9	2.91

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund.

⁽²⁾ Budgeted in Fiscal Year 2023-24 Budget. Amounts do not reflect labor agreements not reflected in the Fiscal Year 2023-24 Budget. For significant revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023, see “– District Budget – *Revisions to Fiscal Year 2023-24 Budget*” above. In addition, for a discussion of pending labor agreements not reflected in the Fiscal Year 2023-24 Budget and not included in Fiscal Year 2023-24 Budget revisions approved by the District Board on August 22, 2023, see “– Employee and Labor Relations – *Negotiations Regarding Labor Contracts*” above.

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2022-23; Fiscal Year 2023-24 Budget and District Budget Services and Financial Planning Division Financial Guide No. 1, dated May 19, 2023 for fiscal year 2023-24; and the District for the percentage of Total Governmental Funds Expenditures.

Actuarial Valuation. Since the June 30, 2015, valuation, CalPERS has employed an amortization and smoothing policy that apportions all gains and losses over a fixed 30-year period with the increases or decreases in the rate spread directly over a five-year period. In contrast, the previous policy spread investment returns over a 15-year period with experience gains and losses spread over a rolling 30-year period. The amounts of the pension/award benefit obligation or UAAL will vary from time to time depending upon actuarial assumptions, and actual rates of return on investments, salary scales, and levels of contribution. See Table A-19 – “Actuarial Value of Schools Portion of CalPERS – Historical Funding Status” herein.

The CalPERS Schools Pool Actuarial Valuation as of June 30, 2022 (the “2022 CalPERS Schools Pool Actuarial Valuation”), was released in September 2023, and such valuation reported an actuarial accrued liability of approximately \$116.98 billion with the market value of assets at approximately \$79.39 billion, and a funded status of approximately 67.90%. From June 30, 2021, to June 30, 2022, the funded status of the CalPERS Schools Pool decreased by approximately 10.40%, and the unfunded accrued liability increased by approximately \$13.61 billion, largely due to the difference between the expected and actual rate of return on investments.

CalPERS reported a negative 6.10% net return on investments for fiscal year 2021-22, which is CalPERS’ first negative return on investments since fiscal year 2008-09. The negative 6.10% net return on investments was less than the assumed annual rate of return on investments of 6.80%. Such negative return generated an actuarial investment loss of approximately \$12.40 billion, which will be amortized over 20 years with a five-year phase in, increasing the component of the expected employer contribution rate related to the unfunded liability contribution in fiscal year 2023-24 by 1.69% of payroll. The 2022 CalPERS Schools Pool Actuarial Valuation reports that the employer contribution rates for fiscal years 2024-25, 2025-26, 2026-27, 2027-28 and 2028-29 are projected to be 27.80%, 28.50%, 28.90%, 30.30% and 30.10%, respectively. Such projections assume that all actuarial assumptions will be realized, including net investment returns in such fiscal years of 6.80%, and that no further changes to

assumptions, contributions, benefits or funding will occur during such fiscal years. Persistent negative returns on investments may result in increased employer contribution rates above the current level of expected increases reflected in the 2022 CalPERS Schools Pool Actuarial Valuation. The District cannot predict the impact of State, national, and international events on investment returns and employer contribution rates. Accordingly, there can be no assurances that the District's required contributions to CalPERS will not significantly increase in the future.

The 2022 CalPERS Schools Pool Actuarial Valuation as summarized assumes, among other things, 2.30% price inflation, 2.80% wage inflation and payroll growth of 2.80% compounded annually. The 2022 CalPERS Schools Pool Actuarial Valuation as summarized reflects a discount rate of 6.80% compounded annually (net of administrative expenses) as of June 30, 2022. The CalPERS Board of Administration adopted new demographic assumptions on November 17, 2021, including a reduction in the discount rate from 7.00% as of June 30, 2020, to 6.80% as of June 30, 2021, a reduction in the inflation assumption from 2.50% as of June 30, 2020 to 2.30% as of June 30, 2021, and an increase in payroll growth from 2.75% as of June 30, 2020 to 2.80% as of June 30, 2021. Such assumption changes result in increases in both the normal cost and unfunded liabilities contributions to be paid in the future. The actuarial funding method used in the 2022 CalPERS Schools Pool Actuarial Valuation is the "Entry Age Normal Cost Method."

The UAAL and funded status of the Schools portion of CalPERS as of June 30 of fiscal years ended June 30, 2018 through June 30, 2022 are set forth in the following Table A-19.

TABLE A-19
Actuarial Value of Schools Portion of CalPERS
Historical Funding Status
Valuation Dates June 30, 2018 through June 30, 2022
(\$ in millions)

Valuation Date (June 30)	Actuarial Accrued Liabilities	Market Value of Assets (MVA)	Funded Status (MVA)	Unfunded Liabilities/ (Surplus) (MVA)	Projected Payroll for Determining Contributions	Unfunded Liability/ (Surplus) as a % of Payroll
2018	\$92,071	\$64,846	70.4%	\$27,225	\$14,234	191.3%
2019	99,528	68,177	68.5	31,351	14,844	211.2
2020	104,062	71,400	68.6	32,662	15,295	213.6
2021	110,507	86,519	78.3	23,988	15,181	158.0
2022	116,982	79,386	67.9	37,596	16,731	224.7

Source: CalPERS Schools Pool Actuarial Valuation as of June 30, 2022.

District Proportionate Share. As of June 30, 2023, the District reported a net pension liability of \$2.7 billion for its proportionate share of the net pension liability of the Miscellaneous Plan. The net pension liability of the Miscellaneous Plan was measured by CalPERS as of June 30, 2022, and the total pension liability for the Miscellaneous Plan used to calculate the net pension liability was determined by CalPERS pursuant to an actuarial valuation as of June 30, 2021 rolled forward to June 30, 2022 using standard update procedures. The District's proportion of the net pension liability was based on the fiscal year 2021-22 employer contributions calculated by CalPERS. As of June 30, 2023, the District's proportion of the CalPERS net pension liability was approximately 7.82%. See "*Pension Accounting and Financial Reporting Standards*" herein and Note 9(a) to the audited financial statements of the

District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023.”

Safety Plan Actuarial Valuation; Net Pension Liability. The CalPERS Safety Plan of the Los Angeles Unified School District (Employer # 3614620780) Annual Valuation Report as of June 30, 2022 uses the “Entry Age Normal Cost Method” as the actuarial funding method and assumes, among other things, a 6.8% investment rate of return (net of administrative expenses), projected annual salary increases based on category, entry age, and duration of service, projected inflation of 2.30% and projected payroll growth of 2.80%. The UAAL and funded status of the District’s Safety Plan, which is an individual component of CalPERS, as of June 30 of fiscal years ended June 30, 2018 through June 30, 2022, are set forth in the following Table A-20. As of June 30, 2023, the District’s net pension liability under the CalPERS Safety plan was \$118.2 million. The net pension liability of the CalPERS Safety plan is measured as of June 30, 2022, using an annual actuarial valuation as of June 30, 2021, rolled forward to June 30, 2022, using standard update procedures. See Note 9(a) to the audited financial statements of the District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023.”

TABLE A-20

CalPERS Actuarial Value of LAUSD Safety Plan⁽¹⁾
Historical Funding Status
Valuation Dates June 30, 2018 through June 30, 2022
(\$ in millions)

Valuation Date (June 30)	Accrued Liability	Market Value of Assets⁽²⁾	Unfunded Liability	Funded Ratio	Annual Covered Payroll
2018	\$414.6	\$301.3	\$113.3	72.7%	\$32.2
2019	438.7	320.7	118.0	73.1	33.7
2020	459.1	335.9	123.2	73.2	33.3
2021	479.3	412.9	66.4	86.1	26.2
2022	508.4	377.1	131.3	74.2	23.5

⁽¹⁾ Reflects information relating to the District’s Safety Plan and does not include information relating to the Miscellaneous Plan. Actuarial information relating to the historical funding status of the District’s Miscellaneous Plan is not available from CalPERS as a separate report but is incorporated in the combined schools portion of CalPERS’ pension fund as set forth in Table A-19 above.

⁽²⁾ CalPERS no longer uses an actuarial value of assets and only uses the market value of assets.

Source: CalPERS Safety Plan of the Los Angeles Unified School District (Employer # 3614620780) Annual Valuation Report as of June 30, 2022.

Public Agency Retirement System. On July 1, 1992, the District joined the Public Agency Retirement System (“PARS”), a multiple-employer retirement trust. This defined contribution plan covers the District’s part-time, seasonal, temporary and other employees not otherwise covered by CalPERS or CalSTRS, but whose salaries would otherwise be subject to Social Security tax. Benefit provisions and other requirements are established by District management based on agreements with various bargaining units. The District is unable to predict the amount of the contributions which the District may be required to make to PARS in the future. Accordingly, there can be no assurances that the District’s required contributions to PARS will not significantly increase in the future above current levels. The District has always paid all required PARS annual contributions.

The following Table A-21 sets forth the District's annual contributions to PARS for fiscal years 2019-20 through 2022-23 and the budgeted annual contribution to PARS for fiscal year 2023-24, and the contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. As of June 30, 2023, 55,381 active District employees were members of PARS.

TABLE A-21
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual PARS Contribution
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	District Contributions⁽¹⁾⁽²⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2019-20	\$7.2	0.07%
2020-21	7.3	0.07
2021-22	6.9	0.06
2022-23	6.2	0.05
2023-24 ⁽³⁾	9.1	0.06

⁽¹⁾ Reflects payments to PARS for pension costs associated with the District's regular and specially funded programs.

⁽²⁾ Includes amounts related to prior years' PARS contributions.

⁽³⁾ Budgeted in Fiscal Year 2023-24 Budget. Amounts do not reflect labor agreements not reflected in the Fiscal Year 2023-24 Budget. For significant revisions to the Fiscal Year 2023-24 Budget approved by the District Board on August 22, 2023, see "– District Budget – Revisions to Fiscal Year 2023-24 Budget" above. In addition, for a discussion of pending labor agreements not reflected in the Fiscal Year 2023-24 Budget and not included in Fiscal Year 2023-24 Budget revisions approved by the District Board on August 22, 2023, see "– Employee and Labor Relations – Negotiations Regarding Labor Contracts" above.

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2022-23; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

California Public Employees' Pension Reform Act of 2013. In September 2012, the Governor approved Assembly Bill 340, the California Public Employees' Pension Reform Act of 2013 ("PEPRA"). Among other things, PEPRA establishes new retirement formulas for employees hired on or after January 1, 2013 ("PEPRA Employees") and prohibits public employers from offering defined benefit pension plans to PEPRA Employees that exceed the benefits provided thereunder. PEPRA increases the retirement age for new State, school, city and local agency employees depending on job function and limits the annual CalPERS and CalSTRS pension benefit payouts. PEPRA applies to all public employers except the University of California, charter cities and charter counties. However, PEPRA is applicable to those entities which contract with CalPERS.

PEPRA mandates equal sharing of normal costs between a contracting agency or school employer and their employees and that employers not pay any of the required employee contribution. However, PEPRA limits the contribution to an amount not in excess of 8% of pay for local miscellaneous or school members, not more than 12% of pay for local police officers, local firefighters, and county peace officers, and not more than 11% of pay for all local safety members. PEPRA requires employers to complete a good faith bargaining process as required by law prior to implementing changes regarding the contribution requirements. The contribution requirements of PEPRA went into effect on January 1, 2018. See "– California State Teachers' Retirement System" and "– California Public Employees' Retirement System" herein.

In addition, PEPRA amends existing laws to redefine final compensation for purposes of pension benefits for PEPRA Employees. Further, PEPRA permits certain public employers who have offered a

lower defined benefit retirement plan before January 1, 2013 to continue to offer such plan to PEPRAs Employees. However, if a public employer adopts a new defined benefit plan on or after January 1, 2013, such plan will be subject to PEPRAs requirements unless, among other things, its retirement system’s chief actuary and retirement board certify that the new plan is not riskier or costlier to the public employer than the defined benefit formula required under PEPRAs.

Pension Accounting and Financial Reporting Standards. In 2012, the Governmental Accounting Standards Board issued Governmental Accounting Standards Board Statement No. 68 – “Accounting And Financial Reporting For Pensions” (“GASB 68”), which revises and establishes new financial reporting requirements for most public employers, such as the District, that provide pension benefits to their employees. GASB 68, among other things, requires public employers providing defined benefit pensions to recognize their long-term obligation for pension benefits as a liability and provides greater guidance on measuring the annual costs of pension benefits, including thorough guidelines on projecting benefit payments, use of discount rates and use of the “entry age” actuarial cost allocation method. GASB 68 also enhances accountability and transparency through revised and new note disclosures and required supplementary information. GASB 68 became effective for the financial statements of plan employers, including the District’s financial statements, commencing the fiscal year ended June 30, 2015.

Pursuant to GASB 68, CalSTRS and CalPERS will use a new blended rate that reflects a long-term rate of return on plan assets, which reflects a pension fund’s long-term investment strategy, and a high-quality, non-taxable municipal bond index rate, to account for the potential need to borrow funds to pay pension benefits after net assets have been fully depleted. CalSTRS has cautioned that use of the new, blended discount rate may cause the financial statements of plans, such as CalSTRS, to reflect an increased unfunded liability.

Other Postemployment Benefits

General. In addition to employee health care costs, the District provides post-employment health care benefits (“OPEB”) in accordance with collective bargaining agreements and the health benefits agreement. The District’s OPEB consists of post-employment benefits for health, prescription drug, dental, and vision coverage for retirees and their dependents. As of June 30, 2023, there were approximately 59,010 active employees who meet the eligibility requirements for OPEB benefits, 40,013 inactive employees or beneficiaries currently receiving benefits, and 139 inactive employees entitled to but not yet receiving benefits, for a total of 99,162 current and former employees entitled to receive benefits under the District’s OPEB plan. Historically, the District has funded these benefits on a pay-as-you-go basis, paying an amount in each fiscal year equal to the benefits distributed or disbursed in that fiscal year. Beginning in fiscal year 2013-14, the District’s policy, subject to District Board approval, is to prefund a portion of its OPEB costs for employees, retirees and their beneficiaries by allocating funds for the express purpose of funding future other postemployment benefit costs to the extent possible. See “– District Financial Policies and Related Practices – *Budget and Finance Policy* – Liability Reserves” herein. The District Board approved the creation of the OPEB Trust Fund in May 2014.

As of April 15, 2024, the District has contributed approximately \$548.3 million to the OPEB Trust Fund, inclusive of the District’s contributions of \$60 million in July 2014, \$30 million in September 2014, \$45 million in September 2015, \$6 million in March 2016, \$78 million in October 2016, \$120 million in October 2017, \$33.3 million in August 2023, \$52.8 million in September 2023, and \$17.6 million in each of October 2023, November 2023, December 2023, January 2024, February 2024, March 2024 and April 2024. The District did not contribute to the OPEB Trust Fund in fiscal years 2018-19, 2019-20, 2020-21, 2021-22 and 2022-23. At the time of preparation of the District’s Fiscal Year 2022-23 Estimated Actuals, it was expected that the District would contribute \$141.00 million to the OPEB Trust Fund in fiscal year 2022-23. However, after the preparation of the 2022-23 Estimated Actuals in

connection with the approval of the Fiscal Year 2023-24 Budget, the fiscal year 2022-23 contribution was reduced by \$107.7 million and the transfer of the remaining \$33.3 million contribution was delayed until fiscal year 2023-24. Thus, although the District designated the \$33.3 million contribution as a fiscal year 2022-23 contribution for internal purposes, there was no transfer of funds to the OPEB Trust Fund in fiscal year 2022-23. As indicated above, the \$33.3 million was deposited in the OPEB Trust Fund in August 2023. Based on the Fiscal Year 2023-24 Budget, the District has budgeted to contribute \$244.3 million from all funds of the District (not just the General Fund) to the OPEB Trust Fund in fiscal year 2023-24, \$209.3 million of which has been deposited in the OPEB Trust Fund as of April 15, 2024. The District expects to deposit the remaining \$35 million budgeted for fiscal year 2023-24 in May and June of 2024 in the amounts of \$17.6 million and \$17.4 million, respectively.

In the June 2023 Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2022, measurement date for fiscal year 2022-23 (the “2022 Actuarial Valuation”), Aon Hewitt indicated that based on the District’s current funding policy, projected cash flows, and the assumed asset return, the assets in the OPEB Trust Fund are projected to be depleted in fiscal year 2035-36 if such assets were drawn upon to pay benefits as they come due without the District funding such benefits on a pay-as-you-go basis. The year of depletion was projected to be fiscal year 2029-30 in the District’s fiscal year audited financial statements. See Note 9 to the audited financial statements of the District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023.”

The following Table A-22 sets forth the District’s funding of other postemployment benefits for fiscal years 2019-20 through 2022-23, the budgeted contribution for fiscal year 2023-24, and the contributions as a percentage of the District’s Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. In addition, Table A-22 sets forth the District’s contribution to the OPEB Trust for fiscal years 2019-20 through 2023-24.

TABLE A-22

LOS ANGELES UNIFIED SCHOOL DISTRICT
Expenditures for Other Postemployment Benefits
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	Pay-as-You-Go Amount	OPEB Trust	Total Amount	Expenditure as Percentage of Total Governmental Funds Expenditures
		Fund Contribution⁽²⁾		
2019-20	\$221.2	\$0.0	\$221.2	2.15%
2020-21	231.2	0.0	231.2	2.14
2021-22	231.1	0.0	231.1	1.89
2022-23	235.9	0.0 ⁽³⁾	235.9	1.90
2023-24 ⁽¹⁾	198.0	244.3 ⁽⁴⁾	442.3	2.95

⁽¹⁾ Budgeted.

⁽²⁾ As of April 15, 2024, the District has contributed approximately \$548.3 million to the OPEB Trust Fund, inclusive of the District's contributions of \$60 million in July 2014, \$30 million in September 2014, \$45 million in September 2015, \$6 million in March 2016, \$78 million in October 2016, \$120 million in October 2017, \$33.3 million in August 2023, \$52.8 million in September 2023, and \$17.6 million in each of October 2023, November 2023, December 2023, January 2024, February 2024, March 2024 and April 2024.

⁽³⁾ At the time of preparation of the Fiscal Year 2022-23 Estimated Actuals, the net position of the OPEB Trust Fund for fiscal year 2022-23 was estimated at approximately \$628.8 million. This amount reflected a District fiscal year 2022-23 contribution of \$141.0 million to the OPEB Trust Fund. However, after the preparation of the 2022-23 Estimated Actuals in connection with the approval of the Fiscal Year 2023-24 Budget, the fiscal year 2022-23 contribution was reduced by \$107.7 million, and the transfer of the remaining \$33.3 million contribution was delayed until fiscal year 2023-24. Thus, although the District designated the \$33.3 million contribution as a fiscal year 2022-23 contribution for internal purposes, there was no transfer of funds to the OPEB Trust Fund in fiscal year 2022-23. As of June 30, 2023, the adjusted net position of the OPEB Trust Fund for fiscal year 2022-23 is \$499.9 million, which reflects the changes described above as well as unrealized gains/losses due to market fluctuations.

⁽⁴⁾ The \$244.3 million includes \$33.3 million the District, for internal purposes, designated as a fiscal year 2022-23 contribution. As of April 15, 2024, \$209.3 million of the \$244.3 million budgeted amount has been deposited in the OPEB Trust Fund, including the \$33.3 million designated as a fiscal year 2022-23 contribution. The District expects to deposit the remaining \$35 million budgeted for fiscal year 2023-24 in May and June of 2024 in the amounts of \$17.6 million and \$17.4 million, respectively.

Sources: Audited Annual Financial Reports for fiscal years 2019-20 through 2022-23; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Postemployment Benefits Other Than Pensions Accounting and Financial Reporting Standards. In June 2015, the GASB issued Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other than Pensions (“GASB 75”), which revised and established new accounting and financial reporting requirements for state and local governments, such as the District, that offer OPEB to employees. Pursuant to GASB 75, net OPEB liabilities are required to be recognized in the financial statements for such state and local governments. In addition, GASB 75 provides additional guidance with respect to recognizing and measuring liabilities, deferred outflows and inflows of resources, and expense/expenditures. GASB 75 directs the use of “entry age normal” as the actuarial cost allocation method to be used and the various procedures, assumptions and discount rates to be used in connection with the calculation of liabilities. In connection therewith, states and local governments that do not pre-fund their respective OPEB obligations may report increased liabilities. GASB 75, among other things, requires additional note disclosures and the presentation of required supplementary information in financial statements. GASB 75 was implemented in the District’s audited financial statements beginning in fiscal year 2017-18.

The District’s net OPEB liability takes into consideration the adoption of GASB 75, under which the District is required to recognize in full its total net OPEB liability rather than on an incremental basis. Over the past few years, the District has taken steps to (i) reduce its OPEB liability through a more cost-effective healthcare plan and (ii) pre-fund its OPEB liability by making deposits from time to time to an irrevocable trust when its reserves exceed the 5% Minimum Reserve Threshold, subject to District Board approval.

Changes in Net OPEB Liability. The District’s net OPEB liability has fluctuated over time based on a variety of factors, including changes in healthcare plans and actuarial assumptions and the funded status of the OPEB Trust. In the 2022 Actuarial Valuation, the District’s actuary, Aon Hewitt, points out that a byproduct of the GASB 75 standards is the potential for increased volatility of results from year to year, which the District has experienced since the implementation of GASB 75. In January 2019, the District implemented a less costly healthcare plan, the Anthem Preferred PPO (50 state Medicare Advantage Plan) (the “Anthem PPO”), which replaced the United HealthCare Group Medicare Advantage Plan and the Anthem Blue Cross Medicare (EPO) plan. The implementation of the Anthem PPO together with certain updated actuarial assumptions resulted in a significant reduction in the District’s net OPEB liability from \$14.97 billion as of June 30, 2018 (prior to the Anthem PPO implementation) to \$11.18 billion as of June 30, 2019 (after the Anthem PPO implementation) to \$8.58 billion as of June 30, 2020 (based on further revised actuarial assumptions). However, the District’s net OPEB liability as of June 30, 2021 increased to \$11.06 billion and then decreased to \$10.19 billion as of June 30, 2022 based on certain changes in actuarial assumptions described in more detail below. See “– 2021 Actuarial Valuation” below for more information. As of June 30, 2023, the District’s net OPEB liability has further decreased to \$8.48 billion also based on certain changes in actuarial assumptions also described in more detail below. See “– 2022 Actuarial Valuation” below for more information.

2021 Actuarial Valuation. The District’s net OPEB liability decreased by nearly \$1 billion from \$11.06 billion as of June 30, 2021 to \$10.19 billion as of June 30, 2022. According to the March 2022 Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2021 measurement date for fiscal year 2021-22 (the “2021 Actuarial Valuation”), such decrease in net OPEB liability is primarily due to the healthcare experience gain reflected in the 2021 Actuarial Valuation as there were no other significant adjustments in actuarial assumptions from the Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2020 measurement date for fiscal year 2020-21 (the “2020 Actuarial Valuation”), prepared for the District by Aon Hewitt. The 2021 Actuarial Valuation reflects updated financial information for fiscal year 2021-22 and is based on the census data, actuarial assumptions, and plan provisions used in the 2020 Actuarial Valuation with the following changes:

- Assets: \$542,828,439 as of June 30, 2021 measurement date

- Municipal Bond Rate: 2.16% as of June 30, 2021, based on the *Bond Buyer* General Obligation Bond 20-Bond Municipal Bond Index
- Expected Long-Term Return on Assets: 7.00% as of June 30, 2021, based on District's revised expectations for certain asset allocations
- Discount Rate: 2.20% as of June 30, 2021, after reassessment based on updated assets and municipal bond rate as of June 30, 2021

2022 Actuarial Valuation. The District's net OPEB liability decreased by approximately \$1.70 billion from \$10.19 billion as of June 30, 2022 to \$8.48 billion as of June 30, 2023. According to the 2022 Actuarial Valuation, the 150-basis point increase in the discount rate from the 2021 Actuarial Valuation has a considerable impact in the 2022 Actuarial Valuation, decreasing the value of liabilities by more than 20%. As explained in the 2022 Actuarial Valuation, such impact, which is somewhat offset by low asset returns as of the measurement date, decreases the net OPEB liability and the OPEB expense for fiscal year 2022-23. The 2022 Actuarial Valuation reflects updated financial information for fiscal year 2022-23 and is based on the census data, actuarial assumptions, and plan provisions used in the 2021 Actuarial Valuation with the following changes:

- Assets: \$469,939,493 as of June 30, 2022, measurement date
- Municipal Bond Rate: 3.54% as of June 30, 2022, based on the *Bond Buyer* General Obligation Bond 20-Bond Municipal Bond Index
- Contributions: Additional contribution of \$211 million to OPEB Trust scheduled to be made for fiscal years ending 2023, 2024 and 2025. The District currently budgets to contribute \$244.3 million in fiscal year 2023-24, \$33.3 million of which the District, for internal purposes, designated as a fiscal year 2022-23 contribution.
- Expected Long-Term Return on Assets: 6.10% as of June 30, 2022, based on District's revised expectations for certain asset allocations
- Discount Rate: 3.70% as of June 30, 2022, after reassessment based on updated assets and municipal bond rate as of June 30, 2022

The following Table A-23 shows the impact of the changes to the actuarial assumptions in the 2022 Actuarial Valuation on the District's Net OPEB Liability for the fiscal year ending June 30, 2023 compared to fiscal year June 30, 2022 that was based on the 2021 Actuarial Valuation.

TABLE A-23

**LOS ANGELES UNIFIED SCHOOL DISTRICT
NET OPEB LIABILITY**

As of June 30, 2022 and June 30, 2023

(\$ in billions)

	Fiscal Year Ending June 30, 2022	Fiscal Year Ending June 30, 2023
(1) OPEB Liability		
(a) Retired Participants and Beneficiaries		
Receiving payment	\$ 3.019	\$2.755
(b) Active Participants	7.710	6.197
(c) Total	10.729	8.952
(2) Plan Fiduciary Net Position	0.543	0.470
(3) Net OPEB Liability	10.186	8.482
(4) Plan Fiduciary Net Position as a Percentage of the Total OPEB Liability	5.06%	5.25%
(5) Deferred Outflow of Resources for Contributions Made After Measurement Date	\$0.231	-

Source: 2022 Actuarial Valuation.

The District cannot predict the impact future changes in healthcare plans and actuarial assumptions and the funded status of the OPEB Trust will have on the District's net OPEB liability.

For more information on the District's OPEB plan, OPEB liability and related assumptions for fiscal year ended June 30, 2023, see Note 9 to the audited financial statements of the District contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023" attached hereto.

Risk Management and Litigation

General. The District maintains various excess property, casualty and fidelity insurance programs, which are self-insured, with varying self-insured retentions. The District's excess property coverage is provided currently through its membership in the Public Entity Property Insurance Program ("PEPIP"), an insurance pool comprised of certain cities, counties and school districts. The District maintains excess property insurance on all District facilities under a combination of self-insurance retentions and varying sublimits through the excess insurance policies of PEPIP. The current self-insured retention for fire loss damage for excess property coverage is \$2,500,000 per occurrence and the aggregate policy limit is \$500 million. The District maintains what it considers to be adequate reserves to cover losses within the self-insurance retention. District General Fund resources are used to pay for property loss insurance and uninsured repairs for property damage. In addition to the above excess property policies, the District purchases a separate boiler and machinery policy with \$100 million in occurrence limits and a Fidelity crime coverage with \$15 million in occurrence limits.

Excess property insurance is maintained through a combination of excess policies with an occurrence limit of \$500 million. General liability insurance currently provides \$30 million coverage above a \$5 million self-insurance retention. The District expects to be reimbursed for settlements from its insurance carriers. The District maintains reserves at the level recommended by an independent actuarial analysis, which it believes are adequate to cover losses within the self-insured retention.

Prior to fiscal year 2013-14, the District's liability coverage generally included coverage for sexual misconduct and molestation with some limited exceptions as described herein with respect to Assembly Bill 218. See "*Sexual Misconduct Cases – Assembly Bill 218 and Related Claims*" herein. Liability coverage beginning in fiscal year 2013-14 did not include this coverage because the District determined that it is not available at reasonable rates from any insurance provider. In March 2014, the District Board approved a joint powers authority agreement by and between the District and the Los Angeles Trust Children's Health Inc. to establish the Los Angeles Unified School District Risk Management Authority (the "Risk Management Authority") which became effective July 1, 2014. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage for incidents such as sexual misconduct and molestation, to the extent such coverage is available. The Risk Management Authority was capitalized by the District and provides an insurance program for the District and the Los Angeles Trust Children's Health Inc. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage which is not presently available to self-insured public agencies such as the District. See "*Sexual Misconduct Cases*" herein. Sexual misconduct and molestation coverage is maintained with a limit of \$15 million above a \$5 million self-insurance retention.

The District believes that the amounts currently reserved for potential liabilities attributable to claims of wrongful death, catastrophic injury and sexual misconduct are adequate. See "*Wrongful Death Cases*," "*Catastrophic Injury Cases*" and "*Sexual Misconduct Cases*" herein. The District will increase the expenditures projected in its budget and interim financial reports if necessary and only to the extent that the District's liabilities exceed the amount budgeted for self-insurance or current excess liability coverage. The District expects that such an increase will occur if claims relating to wrongful death, catastrophic injury or sexual misconduct by former and suspended District employees exceed the amount reserved for settlements and monetary damages to date. Such liabilities could decrease the District's net position as of June 30, 2024 from the amount set forth in the District's financial statements for fiscal year 2022-23. See APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

Liabilities for loss and loss adjustment expenses under each of the District's insurance programs include the accumulation of estimates for losses reported prior to the balance sheet date, estimates of losses incurred but not reported and estimates of expenses for investigating and adjusting reported and unreported losses. Such liabilities are estimates of the future expected settlements and are based upon analysis of historical patterns of the number of incurred claims and their values. The District believes that, given the inherent variability in any such estimates, the aggregate liabilities are within a reasonable range of adequacy. Individual reserves are continually monitored and reviewed, and, as settlements are made or reserves adjusted, differences are reflected in current operations. See APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

Workers' Compensation. The District is self-insured for its Workers' Compensation Program. A separate fund is used to account for amounts set aside to pay claims incurred and related expenditures under the Workers' Compensation Program. The amount to be deposited in the Workers' Compensation Fund is established with information from an independent actuary. The District maintains at a minimum the actuarially required deposit in its Workers' Compensation Fund in accordance with its policy. See "*District Financial Policies and Related Practices – Budget and Finance Policy – Liability Reserves*" herein. The District's "Actuarial Study of Workers' Compensation Program" as of December 31, 2021, recommended a minimum funding level of approximately \$122.5 million for fiscal year 2022-23. The "Actuarial Study of Workers' Compensation Program" as of December 31, 2022, recommends a minimum funding level of approximately \$110.7 million for fiscal year 2023-24 and approximately \$106.8 million for fiscal year 2024-25. As of June 30, 2023, the total revenues in the District's Workers' Compensation Fund (operating revenues and nonoperating revenues) was \$150.5 million, which reflects a

negative year-end accounting adjustment of \$6.8 million to recognize the unrealized loss for the District's cash deposited in the County Treasury Pool.

Additionally, the District's actuarially determined total liability for the Workers' Compensation Program is fully funded. The District's most recent "Actuarial Study of Workers' Compensation Program" as of December 31, 2022 reflected total expected losses of approximately \$334.6 million (at a 4.0% interest rate) as of June 30, 2023 plus an additional amount of approximately \$24.6 million in estimated outstanding unallocated loss adjustment expenses (at a 4.0% interest rate) to create a total liability of approximately \$359.2 million as of June 30, 2023. The District has approximately \$635.5 million in cash available in the Workers' Compensation Fund as of June 30, 2023, which exceeds the amount necessary to fund the District's actuarially determined liability.

The following Table A-24 sets forth the actuary's recommended minimum funding levels for workers' compensation set forth in the actuarial report as of December 31, 2020, December 31, 2021 and the most recent actuarial report covering the period as of December 31, 2022.

TABLE A-24

LOS ANGELES UNIFIED SCHOOL DISTRICT
Recommended Minimum Funding Levels
Workers' Compensation
Fiscal Years 2021-22 through 2025-26
(\$ in millions)

Fiscal Year	Present Value of Projected Ultimate Losses (Discounted at 3.5% Unless Otherwise Noted)	Budgeted Expenses for Claims Handling and Administration	Recommended Minimum Funding Level
2021-22	\$102.20 ⁽¹⁾	\$17.57	\$119.77
2022-23	104.64 ⁽¹⁾	17.83	122.47
2023-24	92.31	18.40	110.71
2024-25	87.82	19.00	106.82
2025-26	88.51	19.60	108.11

⁽¹⁾ Discounted at 1.5%

Source: Los Angeles Unified School District Actuarial Study of Workers' Compensation Program as of December 31, 2020 for fiscal year 2021-22; Los Angeles Unified School District Actuarial Study of Workers' Compensation Program as of December 31, 2021 for fiscal years 2022-23; Los Angeles Unified School District Actuarial Study of Workers' Compensation Program as of December 31, 2022 for fiscal years 2023-24 thru 2025-26.

The following Table A-25 sets forth information on changes in the Workers Compensation Program's liabilities from fiscal years 2018-19 through 2022-23. The District uses separate funds to account for amounts set aside to pay claims incurred and related expenditures under the respective insurance programs. See "– District Financial Policies and Related Practices – *Budget and Finance Policy* – Liability Reserves" herein and Note 10 in the audited financial statements for fiscal year 2022-23 set forth in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2023."

TABLE A-25

LOS ANGELES UNIFIED SCHOOL DISTRICT
Workers' Compensation Claims Paid
Fiscal Years 2018-19 through 2022-23
(\$ in millions)

Fiscal Year	Liability: Beginning of fiscal year	Current Year Claims and Changes in Estimates	Claims Paid	Liability: End of fiscal year
2018-19	\$455.4	\$85.1	\$(97.9)	\$442.7
2019-20	442.7	124.5	(87.2)	480.0
2020-21	480.0	3.1	(79.4)	403.6
2021-22	403.6	52.4	(72.6)	383.5
2022-23	383.5	56.6	(80.9)	359.2

Sources: Audited Annual Financial Report for fiscal years 2018-19 through 2022-23.

Pollution Legal Liability Policy. The District purchased a pollution legal liability (“PLL”) policy through Allied World National Assurance Company with coverage of \$10.0 million per incident and \$10.0 million in aggregate, effective May 1, 2023 to May 1, 2026.

Owner-Controlled Insurance Program. The District has arranged for its construction projects to be insured under its owner-controlled insurance program (“OCIP”). An OCIP is a single insurance program that insures the District, the District Board, all enrolled contractors, and enrolled subcontractors, and other designated parties for work performed at project sites. The District pays the insurance premiums for the OCIP coverages and requires each eligible bidder to exclude from its bid price the cost of insurance coverage. The exclusion of the cost of insurance premiums from each bid is intended to result in lower overall bids for projects, which would in turn lower the contract award amount and general obligation bond and other funds spent. In addition, the District may be able to pay a lower overall insurance cost than a single contractor because of the economies of scale gained by the purchase of an OCIP.

Litigation Regarding Insurance Providers. In September 2015, the District filed a lawsuit entitled *Los Angeles Unified School District v. ACE et al.* (the “Miramonte Coverage Action”), in Los Angeles County Superior Court seeking more than \$200 million in damages from twenty-seven of the District’s current and former insurance providers who failed to fund the defense and reimburse the District for settlement amounts paid by the District in connection with claims by hundreds of students and parents alleging that negligent hiring, supervision, and retention of former teachers Mark Berndt and Martin Springer at Miramonte Elementary School resulted in sexual abuse of the students. In April 2017, the District filed a second lawsuit in Los Angeles County Superior Court entitled *Los Angeles Unified School District vs. AIU Insurance Company, et. al.* (the “Telfair Coverage Action”), seeking more than \$40 million in damages from eight of the District’s current and former insurance providers in connection with the lawsuits filed against the District alleging that negligence of its employees in hiring, retaining, and supervising Paul Chapel resulted in sexual abuse of approximately twenty students at Telfair Elementary School. In August 2017, the District filed a third lawsuit in Los Angeles County Superior Court entitled *Los Angeles Unified School District v. Allied World et al.* (the “De La Torre Coverage Action”), seeking more than \$60 million in damages from seven of the District’s current and former insurance providers who failed to fund the defense and reimburse the District for settlement amounts paid by the District in connection with claims by over twenty students and their parents alleging that negligent hiring, supervision, and retention of former teacher Robert Pimentel at De La Torre Elementary School resulted in sexual abuse of the students. The District has not been reimbursed by any of the defendants for amounts expended in conjunction with resolving the underlying sexual abuse litigation described in this

section. While no insurer agreed to pay any of the District's defense costs before the coverage actions were filed, rulings obtained in the Miramonte Coverage Action have forced AIG to reimburse the District for over \$21 million in defense costs. Further, the District has alleged that the insurance providers have not only breached their respective insurance obligations owed to the District in connection with underlying litigation, but also breached the implied covenant of good faith and fair dealing. The District and the insurers continue to discuss terms for a mediation of all three coverage cases. In 2021, following a bench trial, the court found that the insurer breached its duty to indemnify the District under one insurance policy at issue in the Miramonte Coverage Action for its settlements of the underlying claims. The District is considering its options with respect to additional motion practice and appellate review.

On November 4, 2020, the District filed two new lawsuits against its insurers, *LAUSD v. Starr Indemnity & Liability Co., et al.* and *LAUSD v. Ins. Co. of the State of Pennsylvania, et al.*, in which it is seeking more than \$25 million and \$8 million, respectively, in settlement reimbursements plus defense costs relating to underlying litigation involving the alleged abuse of multiple students at Franklin High School and Cahuenga High School. The District cannot predict the final outcome of or remedy imposed by any court with respect to these complaints or the amounts, if any, by which any of the insurance providers will reimburse the District for settlements and defense costs in the underlying litigation matters. In 2021, the District moved for summary adjudication to establish that the Insurance Company of State of Pennsylvania (an AIG Co.) had breached its duty to defend the District under a 2002-2003 insurance policy, which the court denied. The District is considering its options with respect to additional motion practice and appellate review.

On September 29, 2022, the District filed a new lawsuit against its insurers, *LAUSD v. Everest National Insurance Company, et al.*, in which it is seeking more than \$11 million in settlement reimbursements plus defense costs relating to underlying litigation involving the alleged abuse of multiple students at El Sereno Elementary School. One insurer has reimbursed some, but not all, of the District's defense costs in connection with the underlying litigation. The District cannot predict the final outcome of or remedy imposed by any court with respect to this complaint or the amount, if any, by which any of the insurance providers will reimburse the District for settlements and defense costs in the underlying litigation.

Wrongful Death Cases. In August 2020, the mother of a Normandie Avenue Elementary School student filed a lawsuit seeking unspecified damages in excess of \$1,000,000 against the District for the alleged wrongful death of her son on December 26, 2019, after he died from injuries sustained while at a District employee's home, during the employee's non-working hours and when school was out for winter break. The death was later ruled a homicide and the employee was subsequently criminally convicted. A jury trial in the matter commenced on July 31, 2023, in the Van Nuys Courthouse of the Los Angeles Superior Court and on August 10, 2023, the jury found the District 90% at fault and awarded plaintiff \$30 million. On October 17, 2023, the District brought a motion for a new trial which the Court denied. On November 8, 2023, the District filed its Notice of Appeal and will seek to overturn the verdict based on a number of grounds that the District believes to have strong merit. Should the District's appeal be unsuccessful, thus obligating the District to pay its share of the judgment (\$27 million), the District's expected share will be \$5 million (self-insured retention amount) and the balance of the judgment would be expected to be covered by the District's reinsurers through the Risk Management Authority. The District is expected to file and serve its opening brief with respect to the appeal by May 2024.

In September 2022, a Helen Bernstein High School student was found deceased in a school bathroom after normal school hours from a Fentanyl drug overdose. The deceased student's friend was found in the courtyard of the school and survived after a hospital stay. On December 12, 2022, the deceased student's mother filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for negligence and wrongful death. Trial is currently scheduled for June 10,

2024. On October 13, 2023, a complaint was filed on behalf of the deceased student's friend against the District in the Los Angeles Superior Court, seeking unspecified damages for negligence.

In April 2016, a Palms Middle School student experienced sudden cardiac arrest during physical education class and died. On July 21, 2017, the father of the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for wrongful death. The case was tried to a jury in April 2023, resulting in a \$15 million verdict. On August 11, 2023, the District filed a Notice of Appeal, which is currently pending, and the District's opening brief will likely be filed by June 2024.

Catastrophic Injury Cases. In January 2020, a non-verbal special education student claims to have sustained injury on a District special education campus when he allegedly pulled a soccer goal post net, causing himself and the goal to fall, hitting him on the head. The student underwent emergency cervical spine surgery as a result of the incident, and his medical bills/costs known to date exceed \$1,000,000. On January 11, 2022, the court appointed conservator for the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages. The matter is scheduled for trial on November 4, 2024.

In February 2017, a Marvin Avenue Elementary School student claims to have fallen and struck her head at the school. On November 22, 2017, the mother of the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for traumatic brain injury. Plaintiff alleges the District failed to provide the requisite medical care and failed to contact emergency medical personnel in a timely manner. Trial is currently scheduled for August 26, 2024.

COVID-19 Distance Learning Lawsuits. On September 24, 2020, a class action lawsuit was filed on behalf of nine named plaintiffs in Los Angeles County Superior Court asserting that the District's instructional plan in response to the COVID-19 pandemic denied plaintiffs' children their basic education rights under the California Constitution. The complaint alleges that the District's distance learning approach was inadequate in that it allegedly reduced instructional and professional development time, eliminated student assessments, failed to provide adequate access to technology, and failed to reengage students who did not participate in online learning in the spring of 2020 after the closure of school facilities due to the COVID-19 pandemic. The operative first amended complaint asserts various causes of action for injunctive and declaratory relief, including claims for alleged violations of statutory and Constitutional rights and claims of discrimination and disparate treatment. On April 9, 2021, the District's motion to strike certain allegations in the complaint with respect to individualized education program services was granted, but its demurrer to the first amended complaint was overruled. After plaintiffs filed a second amended complaint, the District filed another demurrer. On August 16, 2021, the Court sustained the District's demurrer with leave to amend. The Court further struck plaintiffs' claims seeking retrospective injunctive relief on a class wide basis. Plaintiffs were given 20 days to file an amended complaint. In September 2021, the Court dismissed the action in its entirety, with prejudice, and entered judgment in favor of the defendants, including the District. Plaintiffs subsequently filed a notice of appeal with the Court of Appeal of California, Second Appellate District. On September 19, 2023, the California Court of Appeal issued its decision reversing in part the September 2021 order dismissing the lawsuit. The Court of Appeal found that dismissal of the case and denial of class certification was premature, permitting the plaintiffs to move forward on three of their eight causes of action, but sustaining the dismissal of the remaining claims in favor of the District. The matter has now been remanded back to the trial court to proceed. The District will defend the case and also determine any potential settlement options.

COVID-19 Employee Vaccinations Lawsuit. Since the Fall of 2021, the District has been named in at least twenty-nine different lawsuits challenging the District's previous COVID-19 vaccination mandate, filed by current and former employees and job applicants, asserting various causes of action for wrongful termination, employment discrimination, and violations of Constitutional rights, among other

theories of recovery. As of December 2023, four of the twenty-nine cases had settled. While certain of the lawsuits have been filed on behalf of a single named plaintiff, others are filed on behalf of groups of plaintiffs ranging from 6 to 167. The earliest filed of such actions, *Health Freedom Defense Fund v. Carvalho, et al.*, is presently on appeal before the Ninth Circuit Court of Appeals, following the U.S. District Court for the Central District of California's grant of the District's motion for judgment on the pleadings in September 2022. Oral arguments were heard on September 14, 2023, and the District is awaiting a ruling by the Ninth Circuit Court of Appeals.

In general, the District believes it has strong defenses to these employee vaccination mandate lawsuits, and anticipates that most will result in defense verdicts. Nevertheless, given the inherent uncertainty of litigation and the different factual scenarios presented in each of them, the District faces potential exposure to claims for damages, including lost wages, a claim in at least one case for emotional distress damages, claims for punitive damages, and perhaps most significantly, exposure to potential awards of prevailing party attorneys' fees, which in some employment cases, can reach seven figures. The damages sought in these lawsuits vary significantly, particularly depending on the number of plaintiffs involved, the causes of action asserted, and remedies sought. As such, the District cannot predict the total damages that might be recovered in the event that it does not prevail in one or more of the lawsuits.

COVID-19 Student Vaccination Lawsuit. On October 13, 2021, two non-profit organizations purporting to represent groups of parents of children attending District schools filed a petition for writ of mandate and request for immediate stay with respect to the District's COVID-19 vaccination requirements for students. The petition alleges that the District lacked the authority to mandate students to be vaccinated for COVID-19, and seeks writs and orders vacating and setting aside the District's mandate, and enjoining the enforcement thereof. On April 15, 2022, the Superior Court heard and granted the District's demurrer to several of the claims in the plaintiffs' first amended complaint, but permitted the plaintiffs to provide additional pleading of facts to support their complaint. The District subsequently filed a demurrer in response to the plaintiffs' second amended complaint. In light of the July 5, 2022, Superior Court order in a similar student vaccination lawsuit that invalidated the mandate as preempted by State law, which was issued after the District's demurrer in this case, plaintiffs' counsel filed a motion for summary adjudication citing the July 5, 2022 order. Thereafter, the District filed an additional demurrer and motion to dismiss the matter as moot. The Court granted the demurrer and dismissed the case as moot. Plaintiffs chose not to appeal the matter and final judgment is pending. In response, plaintiffs' counsel filed a motion for attorneys' fees which the District opposed. The Court denied the motion concluding that plaintiffs failed to show that their lawsuit was a factor causing the District to delay implementation of its former student vaccine policy. Plaintiffs are still within their deadlines to file an appeal of the attorneys' fees issue. The District will respond accordingly in the event plaintiffs appeal the denial of the motion.

Sexual Misconduct Cases. The District is occasionally subject to claims relating to the sexual misconduct of District personnel and other students. There are currently threatened and pending claims against the District brought on behalf of minor students as a result of alleged sexual misconduct by District personnel. The District is in various stages of litigation relating to such pending claims and cannot predict the outcome and effects of such claims or provide any assurances that such claims will not be successful. The damages requested by the plaintiffs in the various pending sexual misconduct cases are substantial, but vary significantly, in multiple instances there are demands for several million dollars. However, the District cannot predict any final award of damages or settlement amounts. The District also cannot predict the damages sought by any threatened litigation.

Miramonte. In the Miramonte sexual abuse litigation, involving Mark Berndt (who in 2013 pleaded no contest to 23 felony counts of lewd acts on children and was sentenced to 25 years in prison), in which there have previously been approximately \$185 million in settlements with 176 students, there are multiple active cases remaining with 46 plaintiffs. The earliest trial date is scheduled May 20, 2024,

but that trial and most of the cases are expected to be resolved based on a recent tentative settlement reached at mediation with a group of 40 plaintiffs.

Assembly Bill 218 and Related Claims. Pursuant to Assembly Bill 218 (“AB 218”), which became effective on January 1, 2020, certain changes were made to the claim prerequisites and the applicable statute of limitations periods for claims of childhood sexual assault, including claims against public entities like the District. AB 218 has impacted the District’s liability exposure because it (1) extended the statute of limitations periods for claims of childhood sexual assault, (2) did away altogether with the Tort Claims Act’s presentation requirements for claims involving childhood sexual assault under which many claims were found to be late, and (3) revived certain claims for which applicable statute of limitations periods have otherwise already expired (if brought within three years of January 1, 2020). Pursuant to AB 218, a plaintiff now has twenty-two years from the age of majority or five years after the plaintiff discovered or reasonably should have discovered psychological injury or illness occurring after the age of majority caused by the alleged childhood sexual assault to bring an action, with certain actions being barred from commencement after the plaintiff’s fortieth birthday. With respect to claims that otherwise would have been barred as of January 1, 2020, AB 218 revived such claims for a period of three years, which period expired on December 31, 2022

The District is currently defending approximately 156 lawsuits (totaling 247 claimants) arising from AB 218, relating to allegations of misconduct by former employees. Since the District is in the middle of litigation on many of the pending AB 218 lawsuits, the District cannot fully predict the extent of its liability in such cases, whether the claimants will prevail, and if so, how a final court decision or settlement agreement with respect to each such lawsuit may affect the financial status, policies or operations of the District, as the nature of the court’s remedy and the responses thereto are unknown at the present time. Nonetheless, the District currently estimates its liability for the existing claims arising from AB 218 will likely exceed \$250 million. It should be noted that these cases include a significant number of claimants in the Miramonte sexual abuse litigation matters described above. While the District has set aside an amount in its liability self-insurance fund to pay existing claims arising under AB 218 as well as other, unrelated claims based on an independent third-party actuarial estimate, the District’s total liability arising from existing AB 218 claims could exceed the actuarial estimate and the amount available in its liability self-insurance fund. Further, the District may finance or refinance certain judgments arising from AB 218 claims. While the District may be able to access insurance coverage for a portion of some of the AB 218 claims, the District is not currently able to determine what amount of the total liability may be covered by prior insurance policies or existing insurance policies for excess coverage. The District has identified certain gaps in insurance coverage prior to 1992 for which it is actively investigating the availability of policies that may provide coverage for AB 218 claims. Additionally, under AB 218, individuals who were over the age of 26 and under 40 on December 31, 2022, will still be able to timely file a lawsuit until they turn 40, and the District is unable to estimate the potential liability associated with this group of potential claimants.

Within the District, the treatment of child abuse and related reporting has evolved significantly over the past several decades. Prior to 1981, District employees did not have child abuse and neglect reporting obligations under California law, and there was limited, if any, training provided to District employees. Since 1981, California law mandates District employees to report suspected child abuse or neglect. The District’s policies on such reporting have evolved and improved since then consistent with changes to California law. The District currently maintains (a) policies regarding child abuse and neglect reporting, sexual harassment (student-to-student, adult-to-student, and student-to-adult), social media for employees and associated persons, responsible use of technology, and ethics, (b) a code of conduct with students, and (c) protocols and procedures for reporting and investigating allegations of employee misconduct. The District also offers a variety of online and in-person training courses and resources to District employees. Currently, all District employees are subject to background checks prior to employment and are required to complete yearly child abuse training. For further reference, certain of the

District's policies, protocols, training materials are made available online at the District's website. The District regularly reviews its policies, procedures and protocols with respect to these topics and updates them periodically to address evolving circumstances.

Litigation Regarding September 2022 Cyberattack. Four separate lawsuits have been filed against the District relating to the 2022 cyberattack on the District. The first three cases have been deemed related, with the matter of *M.M., et al. v. Los Angeles Unified School District*, Case No. 22STCV37822, serving as the lead case. The three lawsuits, filed on behalf of named individuals and purported classes of individuals whose personal information was allegedly posted to the dark web as a result of the cyberattack, have been deemed complex, and plaintiffs' counsel filed a consolidated complaint against the District and Defendant Infosys, Ltd. Therein, on February 13, 2024. The District filed its demurrer in response to the consolidated complaint on March 22, 2024, which is set to be heard on May 9, 2024. A separate limited jurisdiction lawsuit related to the 2022 cyberattack filed in October 2023 has been settled and is expected to be dismissed shortly. For more information related to the cyberattack, see "DISTRICT GENERAL INFORMATION – Cybersecurity."

Charter School Co-Location Policy Litigation. On April 2, 2024, the California Charter Schools Association ("CCSA"), on behalf of itself, member charter schools and students they serve, filed a civil action in Los Angeles County Superior Court, challenging the District Board's September 26, 2023, adoption of the resolution titled, "Creating a Charter Schools Co-Location Policy to Mitigate Impacts Caused by Proposition 39" ("Charter School Co-Location Resolution") and March 19, 2024 approval of the "Proposition 39 Charter Schools Co-Location Policy" ("Charter School Co-Location Policy"). In a Verified Petition for Writ of Mandate and Complaint for Declaratory Relief ("CCSA Petition"), CCSA asserts two writ causes of action and a declaratory relief cause of action. The CCSA Petition claims that, among other things, by adopting the Charter School Co-Location Policy, the District has violated its mandatory and non-discretionary duty to comply with the California Education Code. The CCSA Petition also seeks a preliminary injunction prohibiting the District from implementing the Charter School Co-Location Resolution and the Charter School Co-Location Policy until the merits of the lawsuit have been determined. The CCSA Petition also alleges that the District has failed to comply with the California Public Records Act by refusing to make records available in response to CCSA's request seeking documents related to the District's Proposition 39 compliance and the development/passage of the Charter School Co-Location Resolution and the Charter School Co-Location Policy. The CCSA Petition seeks, among other things, a writ of mandate that sets aside the Charter School Co-Location Resolution and the Charter School Co-Location Policy, and rescinds all Board policies, administrative regulations and internal directives or guidance documents that restrict the availability of District facilities to charter schools for any reasons not expressly authorized by state law. Additionally, the CCSA Petition seeks a writ of mandate that commands the District to comply with the California Public Records Act by promptly providing to CCSA all of the records requested in its request. Further, the CCSA Petition seeks a declaratory judgment stating that the Charter School Co-Location Resolution and the Charter School Co-Location Policy do not comply with Proposition 39 and are unnecessary, unenforceable and void. The CCSA Petition also seeks a preliminary injunction commanding the District to not enforce the Charter School Co-Location Resolution and the Charter School Co-Location Policy. Lastly, the CCSA Petition seeks recovery of CCSA's attorneys' fees and costs. As it has recently been filed, the District is evaluating its options for responding to the CCSA Petition.

District Debt

General Obligation Bonds. From July 1997 through March 2003, the District issued the entire amount of \$2,400,000,000 general obligation bonds authorized pursuant to Proposition BB approved by voters on April 8, 1997 (the "Proposition BB Authorization"). From May 2003 to May 2010, the District issued the entire amount of \$3,350,000,000 general obligation bonds pursuant to Measure K approved by voters on November 5, 2002 (the "Measure K Authorization"). From September 2004 through October

2021, the District issued the entire amount of \$3,870,000,000 general obligation bonds pursuant to Measure R approved by voters on March 2, 2004 (the “Measure R Authorization”). From February 2006 through October 2021, the District issued the entire amount of \$3,985,000,000 general obligation bonds pursuant to Measure Y approved by voters on November 8, 2005 (the “Measure Y Authorization”).

A \$7,000,000,000 general obligation bond authorization was approved by voters on November 4, 2008 (the “Measure Q Authorization”). The District has issued \$4,275,955,000 of aggregate principal amount of Measure Q general obligation bonds, leaving \$2,724,045,000 aggregate principal amount available under the Measure Q Authorization. A \$7,000,000,000 general obligation bond authorization was approved by the voters on November 3, 2020 (the “Measure RR Authorization”). The District has issued \$1,025,000,000 aggregate principal amount of Measure RR general obligation bonds, leaving \$5,975,000,000 aggregate principal amount available under the Measure RR Authorization.

Under the District’s general obligation bond program, approximately 23,900 new school construction, rehabilitation, modernization and replacement projects, which are intended to upgrade facilities and improve the learning environment for students, have been completed. In addition, 896 projects valued at approximately \$7.5 billion are currently underway, including 607 projects valued at nearly \$2.8 billion in pre-construction, and 289 projects valued at nearly \$4.7 billion under construction.

Pursuant to Section 1(b)(3) of Article XIII A of the State Constitution, Chapters 1 and 1.5 of Part 10 of Division 1 of Title 1 of the State Education Code, as amended, and other applicable law (collectively, the “Act”), the District Board has appointed the LAUSD School Construction Bond Citizens’ Oversight Committee (the “Citizens’ Bond Oversight Committee”). The Citizens’ Bond Oversight Committee is composed of 15 members representing numerous community groups and operates to inform the public concerning the spending of Measure K, Measure R, Measure Y, Measure Q, and Measure RR Authorization bond funds authorized by the Act. The Citizens’ Bond Oversight Committee regularly reviews the potential bond projects and budgets and provides non-binding advice to the District Board on how to allocate and reallocate scarce bond proceeds in order to ensure the completion of viable projects and to avoid non-completion of projects once commenced. The Citizens’ Bond Oversight Committee also informs the public concerning the spending of funds attributable to the Proposition BB Authorization, although Proposition BB was approved under statutes other than the Act. The Citizens’ Bond Oversight Committee meets monthly in order to review all matters including, among other things, changes in budget, scope and schedules that relate to the District’s general obligation bonds and the projects proposed to be funded therefrom. In addition, the Citizens’ Bond Oversight Committee makes recommendations to the District Board regarding such matters. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 39” herein. The District’s Office of the Inspector General conducts audits on a selected number of the construction management firms on an annual basis to ensure that funds from the School Upgrade Program (SUP) and other legacy bond programs are spent in compliance with the Act and the District’s policies relating thereto. The District’s outside auditor, Simpson & Simpson, currently prepares the required bond audits regarding the expenditures of general obligation bond proceeds.

The members of the District’s Citizens’ Bond Oversight Committee and the community groups represented by such members are set forth in Table A-26 below.

TABLE A-26

LOS ANGELES UNIFIED SCHOOL DISTRICT
Citizens' Bond Oversight Committee
(As of March 1, 2024)

Member	Community Group Represented
Margaret Fuentes, Chair	LAUSD Student Parent
D. Michael Hamner, Vice-Chair	American Institute of Architects
Samantha Rowles, Secretary	LAUSD Student Parent
Robert Campbell, Executive Member	Los Angeles County Auditor-Controller's Office
Scott Pansky, Executive Member	Los Angeles Area Chamber of Commerce
Neelura Bell	California Charter School Association
Chad Boggio	Los Angeles County Federation of Labor AFL-CIO
Jeffrey Fischbach	California Tax Reform Association
Aleigh Lewis	Los Angeles City Controller's Office
Patrick MacFarlane	Early Education Alliance
Jennifer McDowell	Los Angeles City Mayor's Office
Brian Mello	Associated General Contractors of California
Clarence Monteclaro	Tenth District Parent Teacher Student Association
William O. Ross IV	Thirty-First District Parent Teacher Student Association
Santa Ramirez	Tenth District Parent Teacher Student Association (Alternate)
Connie Yee	Los Angeles County Auditor-Controller's Office (Alternate)
(Vacant)	American Association of Retired Persons

The following Table A-27, Table A-28, Table A-29, Table A-30, Table A-31 and Table A-32 set forth the outstanding series of general obligation bonds and the amount outstanding as of March 1, 2024, under the Proposition BB, Measure K, Measure R, Measure Y, Measure Q, and Measure RR Authorizations, respectively.

TABLE A-27

LOS ANGELES UNIFIED SCHOOL DISTRICT
Proposition BB (Election of 1997) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of March 1, 2024	Date of Issue
2015 Refunding Bonds, Series A ⁽¹⁾	\$326,045	\$51,055	May 28, 2015
2016 Refunding Bonds, Series A ⁽¹⁾	202,420	88,535	April 5, 2016
2017 Refunding Bonds, Series A ⁽¹⁾	139,265	69,015	May 25, 2017
2021 Refunding Bonds, Series A ⁽¹⁾	<u>25,785</u>	<u>25,290</u>	April 29, 2021
TOTAL	<u>\$693,515</u>	<u>\$233,895</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Proposition BB Authorization are not counted against the Proposition BB Authorization of \$2.4 billion.

Source: Los Angeles Unified School District.

TABLE A-28

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure K (Election of 2002) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of March 1, 2024	Date of Issue
Series KRY Bonds (2009)			
(Federally Taxable Build America Bonds)	\$ 200,000	\$ 200,000	October 15, 2009
2014 Refunding Bonds, Series B ⁽¹⁾	323,170	44,175	June 26, 2014
2016 Refunding Bonds, Series B ⁽¹⁾	227,535	224,920	September 15, 2016
2017 Refunding Bonds, Series A ⁽¹⁾	941,565	629,645	May 25, 2017
2019 Refunding Bonds, Series A ⁽¹⁾	153,285	118,625	May 29, 2019
2020 Refunding Bonds, Series A ⁽¹⁾	112,350	107,445	October 6, 2020
2021 Refunding Bonds, Series B ⁽¹⁾	48,855	47,015	November 10, 2021
TOTAL	<u>\$2,006,760</u>	<u>\$1,371,825</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure K Authorization, are not counted against the Measure K Authorization of \$3.35 billion.

Source: Los Angeles Unified School District.

TABLE A-29

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure R (Election of 2004) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of March 1, 2024	Date of Issue
Series KRY Bonds (2009)			
(Federally Taxable Build America Bonds)	\$ 363,005	\$ 363,005	October 15, 2009
Series RY Bonds (2010)			
(Federally Taxable Build America Bonds)	477,630	477,630	March 4, 2010
2014 Refunding Bonds, Series C ⁽¹⁾	948,795	570,170	June 26, 2014
2016 Refunding Bonds, Series A ⁽¹⁾	56,475	29,265	April 5, 2016
2016 Refunding Bonds, Series B ⁽¹⁾	176,455	176,455	September 15, 2016
2019 Refunding Bonds, Series A ⁽¹⁾	349,350	263,255	May 29, 2019
Series RYQ Bonds (2020)	36,000	28,070	April 30, 2020
2020 Refunding Bonds, Series A ⁽¹⁾	113,150	102,125	October 6, 2020
Series RYRR (2021)	123,990	103,830	November 10, 2021
TOTAL	<u>\$2,644,850</u>	<u>\$2,113,805</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure R Authorization, are not counted against the Measure R Authorization of \$3.87 billion.

Source: Los Angeles Unified School District.

TABLE A-30

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure Y (Election of 2005) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of March 1, 2024	Date of Issue
Series KRY Bonds (2009) (Federally Taxable Build America Bonds)	\$ 806,795	\$ 806,795	October 15, 2009
Series H Bonds (2009) (Qualified School Construction Bonds)	318,800	318,800 ⁽²⁾	October 15, 2009
Series RY Bonds (2010) (Federally Taxable Build America Bonds)	772,955	772,955	March 4, 2010
Series J Bonds (2010) (Qualified School Construction Bonds)	290,195	290,195 ⁽³⁾	May 6, 2010
2014 Refunding Bonds, Series D ⁽¹⁾	153,385	65,490	June 26, 2014
2016 Refunding Bonds, Series A ⁽¹⁾	92,465	50,385	April 5, 2016
2016 Refunding Bonds, Series B ⁽¹⁾	96,865	96,865	September 15, 2016
Series M-1 Bonds (2018)	117,005	101,735	March 8, 2018
2019 Refunding Bonds, Series A ⁽¹⁾	91,970	71,220	May 29, 2019
Series RYQ Bonds (2020)	182,000	141,905	April 30, 2020
2020 Refunding Bonds, Series A ⁽¹⁾	76,500	74,215	October 6, 2020
Series RYRR (2021)	<u>70,150</u>	<u>58,745</u>	November 10, 2021
TOTAL	<u>\$3,069,085</u>	<u>\$2,849,305</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure Y Authorization, are not counted against Measure Y Authorization of \$3.985 billion.

⁽²⁾ Includes the set-aside deposits totaling \$69.760 million for fiscal years 2019-20 and 2020-21.

⁽³⁾ Includes the set-aside deposits totaling \$85.110 million for fiscal years 2018-19 through 2020-21.

Source: Los Angeles Unified School District.

TABLE A-31

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure Q (Election of 2008) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of March 1, 2024	Date of Issue
Series A Bonds (2016)	\$ 648,955	\$ 320,505	April 5, 2016
Series B-1 Bonds (2018)	1,085,440	949,510	March 8, 2018
Series RYQ Bonds (2020)	724,940	565,240	April 30, 2020
Series C Bonds (2020)	1,057,060	855,585	November 10, 2020
2021 Refunding Bonds, Series A ⁽¹⁾	164,095	160,360	April 29, 2021
Series QRR (2022)	100,000	95,060	November 22, 2022
Series QRR (2023)	<u>525,000</u>	<u>494,890</u>	November 7, 2023
TOTAL	<u>\$4,305,490</u>	<u>\$3,441,150</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure Q Authorization, are not counted against Measure Q Authorization of \$7.00 billion.

Source: Los Angeles Unified School District.

TABLE A-32

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure RR (Election of 2020) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of March 1, 2024	Date of Issue
Series RYRR (2021)	\$300,000	\$251,220	November 10, 2021
Series QRR (2022)	400,000	348,955	November 22, 2022
Series QRR (2023)	<u>325,000</u>	<u>306,640</u>	November 7, 2023
TOTAL	<u>\$1,025,000</u>	<u>\$906,815</u>	

Source: Los Angeles Unified School District.

Lease Obligations and Certificates of Participation. As of March 1, 2024, the District has outstanding lease obligations in the form of COPs in the aggregate principal amount of approximately \$471.6 million. The District estimates that the aggregate payment of principal and interest evidenced by COPs will be approximately \$658.1 million until the final maturity thereof. The District's lease obligations are not subject to acceleration in the event of a default thereof. The following Table A-33 sets forth the District's existing lease obligations paid from the District General Fund with respect to its outstanding COPs as of March 1, 2024. See " – Future Financings – *Lease Financings*" for more information.

TABLE A-33

LOS ANGELES UNIFIED SCHOOL DISTRICT
Certificates of Participation Lease Obligations Debt Service Schedule⁽¹⁾
(as of March 1, 2024)
(\$ in thousands)

Fiscal Year Ending (June 30)	Paid From General Fund ⁽²⁾⁽³⁾
2024 ⁽⁴⁾	\$12,784,131
2025	50,176,664
2026	50,166,678
2027	50,165,837
2028	50,170,829
2029	50,163,720
2030	48,411,327
2031	48,412,291
2032	38,004,125
2033	38,001,075
2034	37,992,000
2035	37,985,550
2036	36,406,750
2037	36,409,000
2038	36,410,750
2039	<u>36,408,000</u>
Total⁽³⁾	<u>\$658,068,727</u>

⁽¹⁾ The lease payments reflect the net obligations of the District due to the defeasance of certain COPs.

⁽²⁾ The District expects to pay all or a portion of the final debt service payments evidenced by certain series of COPs from funds on deposit in the related debt service reserve fund.

⁽³⁾ Total may not equal sum of component parts due to rounding.

⁽⁴⁾ Only reflects remaining debt service for fiscal year ending June 30, 2024, as of March 1, 2024. Total debt service for fiscal year ending June 30, 2024 is \$25.0 million.

Source: Los Angeles Unified School District.

Limitations Related to Receipt of Federal Subsidy Payments. On March 1, 2013, then-President Barack Obama signed an executive order (the “Sequestration Executive Order”) to reduce budgetary authority in certain accounts subject to sequester in accordance with the Budget Control Act of 2011 (the “Budget Control Act”) and the American Taxpayer Relief Act of 2012 (the “Taxpayer Relief Act”). Pursuant to the Sequestration Executive Order, budget authority for all accounts in the domestic mandatory spending category including, among others, accounts for the payments to issuers of “Direct Pay Bonds,” which includes the District’s outstanding Series KRY Bonds (2009) (Federally Taxable Build America Bonds) (the “Series KRY Bonds (2009)”) and Series RY Bonds (2010) (Federally Taxable Build America Bonds) (the “Series RY Bonds (2010)”) and Series J (Qualified School Construction Bonds) (the “Series J Bonds”), are subject to sequestration. Direct Pay Bonds are issued as taxable bonds and provide credits to the District from the federal government pursuant to Section 54AA(d) and 54AA(g) of the Code.

Pursuant to the Bipartisan Budget Act of 2013, enacted in December 2013, the District’s Direct Pay Bonds are subject to the full amount of sequestration budget cuts. The federal subsidy for the Direct Pay Bonds for the federal fiscal year ended September 30, 2023, was reduced by 5.7%, and the U.S. Treasury Department has announced a decrease in subsidy amounts by 5.7% through federal fiscal year ending 2031. During the federal fiscal year ended September 30, 2023, the sequester resulted in a

reduction in the aggregate amount of approximately \$4.2 million with respect to the refundable credits for the Series KRY Bonds (2009), Series RY Bonds (2010) and Series J Bonds. See “PLAN OF REFUNDING” in the forepart of this Official Statement for a discussion of the refunding of all or a portion of the Series KRY Bonds (2009) and the Series RY Bonds (2010).

Congress can terminate, extend or otherwise modify reductions in federal subsidy payments on Direct Pay Bonds due to sequestration at any time. Furthermore, due to recent federal legislation, it was reported that the Congressional pay-as-you-go or PAYGO budget rule and scorecard could increase the overall sequestration percentage from the current level of 5.7% (under the Budget Control Act) to 100%. The Consolidated Appropriations Act of 2023, enacted in December 2022, prevented the PAYGO sequestration provisions from being triggered in January 2023 and delaying PAYGO sequestration until January 2025, absent further legislation. Accordingly, the District cannot predict what action, if any, that Congress may take with respect to the federal subsidy and its impact on the District’s Direct Pay Bonds in future federal fiscal years. However, the District’s Series KRY Bonds (2009), Series RY Bonds (2010), and Series J Bonds are payable from and secured by *ad valorem* property taxes which are to be assessed in amounts sufficient to pay principal of and interest on the Series KRY Bonds (2009), Series RY Bonds (2010), and Series J Bonds when due. The County has levied and will continue to levy *ad valorem* property taxes in an amount sufficient to pay principal of and interest on the Series KRY Bonds (2009), Series RY Bonds (2010), and Series J Bonds when due regardless of the amount of federal subsidy.

Overlapping Debt Obligations

Set forth in Table 34 on the following page is the report prepared by California Municipal Statistics Inc. on [____], 2024, which provides information with respect to direct and overlapping debt within the District as of [____], 2024 (the “Overlapping Debt Report”). The Overlapping Debt Report is included for general information purposes only. The District has not reviewed the Overlapping Debt Report for completeness or accuracy and makes no representations in connection therewith. The Overlapping Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The first column in Table 34 names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. Column 2 shows the percentage of each overlapping agency’s assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in Table 34) produces the amount shown in column 3, which is the apportionment of each overlapping agency’s outstanding debt to taxable property in the District.

TABLE 34
LOS ANGELES UNIFIED SCHOOL DISTRICT
Schedule of Direct and Overlapping Bonded Debt
As of [____], 2024 [TO BE UPDATED PRIOR TO POS POSTING]

2023-24 Assessed Valuation: \$929,980,076,839

	<u>% Applicable</u>	<u>Debt [____]/1/24</u>
<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>		
Metropolitan Water District		
Los Angeles Community College District		
Pasadena Area Community College District		
Los Angeles Unified School District		(1)
City of Los Angeles		
Other Cities		
City Community Facilities Districts		
Other City and Special District 1915 Act Bonds		
TOTAL GROSS DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		_____
Less: Los Angeles Unified School District General Obligation Bonds, Election of 2005, Series J (2010) Qualified School Construction Bonds and Election of 2005, Series H (2009) Qualified School Construction Bonds: Amount accumulated in Interest and Sinking Fund and Set Asides for Repayment		(2)
TOTAL NET DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		_____
<u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
Los Angeles County General Fund Obligations		
Los Angeles County Superintendent of Schools Certificates of Participation		
Pasadena Area Community College District Certificates of Participation		
Los Angeles Unified School District Certificates of Participation		(3)
City of Los Angeles General Fund Obligations		
Other City General Fund and Pension Obligation Bonds		
TOTAL GROSS DIRECT AND OVERLAPPING GENERAL FUND DEBT		_____
Less: City supported obligations		_____
TOTAL NET DIRECT AND OVERLAPPING GENERAL FUND DEBT		_____
<u>OVERLAPPING TAX INCREMENT DEBT:</u>		
City of Los Angeles Redevelopment Agency (Successor Agency)		
Other Redevelopment Agencies (Successor Agency)		
TOTAL OVERLAPPING TAX INCREMENT DEBT		_____
GROSS COMBINED TOTAL DEBT		(4)
NET COMBINED TOTAL DEBT		_____

Ratios to 2023-24 Assessed Valuation:

Direct Debt (\$[____])	[____]%
Net Direct Debt (\$[____]).....	[____]%
Total Gross Overlapping Tax and Assessment Debt.....	[____]%
Total Net Overlapping Tax and Assessment Debt	[____]%
Gross Combined Direct Debt (\$[____]).....	[____]%
Net Combined Direct Debt (\$[____])	[____]%
Gross Combined Total Debt	[____]%
Net Combined Total Debt.....	[____]%

Ratios to Redevelopment Incremental Valuation (\$[____]):

Total Overlapping Tax Increment Debt	[____]%
--	---------

(1) Excludes the Refunding Bonds. Includes the Prior Bonds to be refunded with proceeds of the Refunding Bonds.

(2) Set aside amount through [fiscal year 2022-23].

(3) [FN to come re concurrent transactions.]

(4) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

Future Financings

General Obligation Bonds. The District may not issue general obligation bonds without voter approval and may not issue general obligation bonds in an amount greater than its bonding capacity. The District may not issue general obligation bonds under the Measure Q Authorization, or the Measure RR Authorization, as applicable, if the tax rate levied to meet the debt service requirements under the related Authorization for general obligation bonds is projected to exceed \$60 per year per \$100,000 of taxable property in accordance with Article XIII A of the State Constitution. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution” and “– Proposition 39” herein.

Pursuant to the Education Code, the District’s bonding capacity for general obligation bonds may not exceed 2.5% of taxable property valuation in the District as shown by the last equalized assessment roll of the County. The taxable property valuation in the District for fiscal year 2023-24 is approximately \$929.98 billion, which results in a total current bonding capacity of approximately \$23.25 billion. The District’s available capacity for the issuance of new general obligation bonds is approximately \$12.53 billion (taking into account current outstanding debt). The fiscal year 2023-24 assessed valuation of property within the District’s boundaries of approximately \$929.98 billion reflects an increase of 5.96% from fiscal year 2022-23. See “STATE FUNDING OF SCHOOL DISTRICTS – Local Property Taxation” and “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution” herein.

The District has \$2,724,045,000 authorized and unissued general obligation bond authorization remaining under the Measure Q Authorization. The District has \$5,975,000,000 authorized and unissued general obligation bond authorization remaining under the Measure RR Authorization. The District may issue additional general obligation bonds or general obligation refunding bonds in the future depending upon project needs and market conditions, and may, if authorized by the District Board, issue approximately \$1 billion of additional general obligation bonds in the fall of 2024.

As provided in the text of each of the ballots of Proposition BB, Measure K, Measure R, Measure Y, Measure Q, and Measure RR the District Board does not guarantee that the respective bonds authorized and issued under the Proposition BB, Measure K, Measure R, Measure Y, Measure Q, and Measure RR Authorizations will provide sufficient funds to allow completion of all potential projects listed in connection with said measures.

Lease Financings. The District may finance capital projects through the execution and delivery of certificates of participation or other obligations secured by general fund lease payments from time to time. In particular, the District may utilize lease financing, from time to time, to fund projects that are not eligible to be funded with general obligation bond proceeds, that are not authorized to be funded under existing general obligation bond measures, or for which there is not sufficient general obligation bond authorization to fund. Although the breadth of projects of such types is much larger, the District has identified projects of such types in the estimated amount of \$682 million that it may consider to lease finance in 2025-26 through 2027-28. See also “– District Financial Policies and Related Practices – Debt Management Policy” herein.

AB 218 Claims. See “DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation – *Sexual Misconduct Cases* – Assembly Bill 218 and Related Claims,” for a discussion of the lawsuits arising from AB 218 and the possibility that the District may finance or refinance certain judgments arising from AB 218 claims.

Tax and Revenue Anticipation Notes. The District did not issue tax and revenue anticipation notes in fiscal year 2022-23 and does not expect to issue tax and revenue anticipation notes in fiscal year 2023-24. However, the District may issue tax and revenue anticipation notes in future fiscal years depending on State and federal funding.

CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS

Constitutionally Required Funding of Education

The State Constitution requires that from all State revenues there shall first be set apart the moneys to be applied by the State for the support of the public school system and public institutions of higher education. California school districts receive a significant portion of their funding from State appropriations. As a result, decreases as well as increases in State revenues can significantly affect appropriations made by the State Legislature to school districts.

Article XIII A of the State Constitution

On June 6, 1978, California voters approved Proposition 13 (“Proposition 13”), which added Article XIII A to the State Constitution (“Article XIII A”). On June 3, 1986, California voters approved Proposition 46 (“Proposition 46”) which amended Article XIII A to permit local governments and school districts to increase the *ad valorem* property tax rate above 1% if two-thirds of those voting in a local election approve the issuance of such bonds and the proceeds of such bonds are used to acquire or improve real property.

The provisions of Article XIII A were subsequently modified pursuant to Proposition 39, which was approved by California voters on November 7, 2000. See “– Proposition 39” below. Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership has occurred after the 1975 assessment.” The full cash value may be adjusted annually to reflect inflation at a rate not to exceed 2% per year, or a reduction in the consumer price index or comparable local data at a rate not to exceed 2% per year or reduced in the event of declining property value caused by substantial damage, destruction or other factors including a general economic downturn. Subsequent amendments further limit the amount of any *ad valorem* tax on real property to 1% of the full cash value except that additional taxes may be levied to pay debt service on bonded indebtedness approved by the requisite percentage of voters voting on the proposition.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any *ad valorem* property tax (except to pay voter-approved indebtedness). The 1% *ad valorem* property tax is automatically levied by the County and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1989.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the up to 2% annual inflationary adjustment of the 1% tax base are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years. Separate *ad valorem* property taxes to pay voter approved indebtedness such as general obligation bonds are levied by the County on behalf of the local agencies. Article XIII A effectively prohibits the levying of any other *ad valorem* property tax above the Proposition 13 limit except for taxes to support such indebtedness.

The full cash value of taxable property under Article XIII A represents the maximum taxable value for property. Accordingly, the fair market value for a given property may not be the equivalent of the full cash value under Article XIII A. During periods in which the real estate market within the District evidences an upward trend, the fair market value for a given property, which has not been reappraised due to a change in ownership, may exceed the full cash value of such property. During periods in which the real estate market demonstrates a downward trend, the fair market value of a given property may be less than the full cash value of such property and the property owner may apply for a “decline in value” reassessment pursuant to Proposition 8. Reassessments pursuant to Proposition 8, if approved by the Office of the County Assessor, lower valuations of properties (where no change in ownership has occurred) if the current value of such property is lower than the full cash value of record of the property. The value of a property reassessed as a result of a decline in value may change, but in no case may its full cash value exceed its fair market value. When and if the fair market value of a property which has received a downward reassessment pursuant to Proposition 8 increases above its Proposition 13 factored base year value, the Office of the County Assessor will enroll such property at its Proposition 13 factored base year value.

Article XIII B of the State Constitution

An initiative to amend the State Constitution entitled “Limitation of Government Appropriations” was approved on September 6, 1979 thereby adding Article XIII B to the State Constitution (“Article XIII B”). In June 1990, Article XIII B was amended by the voters through their approval of Proposition 111. Under Article XIII B, the State and each local governmental entity have an annual “appropriations limit” and are not permitted to spend certain moneys that are called “appropriations subject to limitation” (consisting of tax revenues, State subventions and certain other funds) in an amount higher than the appropriations limit. Article XIII B does not affect the appropriations of moneys that are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the appropriations limit is to be based on certain 1978-79 expenditures and is to be adjusted annually to reflect changes in costs of living and changes in population, and adjusted where applicable for transfer of financial responsibility of providing services to or from another unit of government. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years. However, in the event that a school district’s revenues exceed its spending limit, the district may, in any fiscal year, increase its appropriations limit to equal its spending by borrowing appropriations limit from the State, provided the State has sufficient excess appropriations limit in such year. See “STATE FUNDING OF SCHOOL DISTRICTS” herein.

The 2023-24 State Budget projects that the State will be below its appropriations limit (also referred to as the Gann Limit) for fiscal year 2023-24.

The District Board adopted the annual appropriation limit for both fiscal year 2022-23 and fiscal year 2023-24 of approximately \$3.9 billion. The limitation applies only to proceeds of taxes and therefore does not apply to service fees and charges, investment earnings on non-proceeds of taxes, fines, and revenue from the sale of property and taxes received from the State and federal governments that are tied to special programs.

Article XIII C and Article XIII D of the State Constitution

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIII C and XIII D (respectively, “Article XIII C” and “Article XIII D”), which contain a number of

provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIIC establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds percent vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIIC further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds percent vote under Article XIII A, Section 4.

On November 2, 2010, Proposition 26 was approved by State voters, which amended Article XIIC to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIID. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor’s burdens on, or benefits received from, the governmental activity.

Article XIID deals with assessments and property-related fees and charges. Article XIID explicitly provides that nothing in Article XIIC or XIID shall be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development; however, it is not clear whether the initiative power is therefore unavailable to repeal or reduce developer and mitigation fees imposed by the District. Proposition 218 does not affect the *ad valorem* property taxes to be levied to pay debt service on the District’s general obligation bonds.

Proposition 98

On November 8, 1988, State voters approved Proposition 98, a combined initiative, constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). The Accountability Act changed State funding of public education below the university level, and the operation of the State’s Appropriations Limit, primarily by guaranteeing State funding for K-12 school districts and community college districts (collectively, “K-14 districts”).

Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), K-14 districts are guaranteed the greater of (i) in general, a fixed percent of the State general fund’s revenues

(“Test 1”), (ii) the amount appropriated to K-14 districts in the prior year, adjusted for changes in the cost of living (measured as in Article XIII B by reference to State per capita personal income) and enrollment (“Test 2”), or (iii) a third test, which would replace Test 2 in any year when the percentage growth in per capita State general fund revenues from the prior year plus 0.05% is less than the percentage growth in State per capita personal income (“Test 3”). Under Test 3, schools would receive the amount appropriated in the prior year adjusted for changes in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 would become a “credit” to schools which would be the basis of payments in future years when per capita State general fund revenue growth exceeds per capita personal income growth. Legislation adopted prior to the end of fiscal year 1988-89 that implemented Proposition 98, determined the K-14 districts’ funding guarantee under Test 1 to be 40.3% of the State general fund tax revenues, based on 1986-87 appropriations. However, that percentage has been adjusted to 34.559% to account for a subsequent redirection of local property taxes whereby a greater proportion of education funding now comes from local property taxes.

Proposition 98 permits the State Legislature, by a two-thirds vote of both houses of the State Legislature and with the Governor’s concurrence, to suspend the K-14 districts’ minimum funding formula for a one-year period. In the fall of 1989, the State Legislature and the Governor utilized this provision to avoid having 40.3% of revenues generated by a special supplemental sales tax enacted for earthquake relief go to K-14 districts. In the fall of 2004, the State Legislature and the Governor agreed to suspend the K-14 districts’ minimum funding formula set forth pursuant to Proposition 98 in order to address a projected shortfall during fiscal year 2004-05. Proposition 98 also contains provisions transferring certain State tax revenues in excess of the Article XIII B limit to K-14 districts.

The 2023-24 State Budget projects the Proposition 98 guarantee to fall under Test 1 for fiscal years 2021-22, 2022-23, and 2023-24, resulting in funding estimates of \$110.6 billion in fiscal year 2021-22, \$107.4 billion in fiscal year 2022-23, and \$108.3 billion in fiscal year 2023-24. For more information on the Proposition 98 funding under the 2023-24 State Budget, see “STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act –2023-24 State Budget” herein.

Proposition 39

Proposition 39, which was approved by California voters in November 2000 (“Proposition 39”), provides an alternative method for passage of school facilities bond measures by lowering the constitutional voting requirement from two-thirds to 55% of voters and allows property taxes to exceed the current 1% limit in order to repay such bonds. The lower 55% vote requirement would apply only to bond issues to be used for construction, rehabilitation, or equipping of school facilities or the acquisition of real property for school facilities. The State Legislature enacted additional legislation which placed certain limitations on this lowered threshold, requiring that (i) two-thirds of the governing board of a school district approve placing a bond issue on the ballot, (ii) the bond proposal be included on the ballot of a Statewide or primary election, a regularly scheduled local election, or a Statewide special election (rather than a school district election held at any time during the year), (iii) the tax rate levied as a result of any single election not exceed \$25 for a community college district, \$60 for a unified school district, or \$30 for an elementary school or high school district per \$100,000 of taxable property value, and (iv) the governing board of the school district appoint a citizen’s oversight committee to inform the public concerning the spending of the bond proceeds. In addition, the school board of the applicable district is required to perform an annual, independent financial and performance audit until all bond funds have been spent to ensure that the funds have been used only for the projects listed in the measure. The District’s Measure K, Measure R, Measure Y, Measure Q, and Measure RR bond programs were authorized pursuant to Proposition 39. See “DISTRICT FINANCIAL INFORMATION – District Debt – *General Obligation Bonds*” herein. The District is in full compliance with all Proposition 39 requirements.

Proposition 1A

Proposition 1A, which was approved by California voters in November 2004 (“Proposition 1A”), provides that the State may not reduce any local sales tax rate, limit existing local government authority to levy a sales tax rate or change the allocation of local sales tax revenues, subject to certain exceptions. Proposition 1A generally prohibits the State from shifting to schools or community colleges any share of property tax revenues allocated to local governments for any fiscal year, as set forth under the laws in effect as of November 3, 2004. Any change in the allocation of property tax revenues among local governments within a county must be approved by two-thirds of both houses of the Legislature. Proposition 1A provided, however, that beginning in fiscal year 2008-09, the State could shift to schools and community colleges up to 8% of local government property tax revenues, which amount must be repaid, with interest, within three years, if the Governor proclaims that the shift is needed due to a severe state financial hardship, the shift is approved by two-thirds of both houses of the State Legislature and certain other conditions are met. The State may also approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also provides that if the State reduces the vehicle license fee rate below 0.65% of vehicle value, the State must provide local governments with equal replacement revenues. Further, Proposition 1A requires the State, beginning July 1, 2005, to suspend State mandates affecting cities, counties and special districts, excepting mandates relating to employee rights, schools or community colleges, in any year that the State does not fully reimburse local governments for their costs to comply with such mandates. The State’s ability to initiate future exchanges and shifts of funds will be limited by Proposition 22. See “– Proposition 22” below.

Proposition 22

Proposition 22, which was approved by California voters in November 2010, prohibits the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services and prohibits fuel tax revenues from being loaned for cash-flow or budget balancing purposes to the State general fund or any other State fund. Due to the prohibition with respect to State’s ability to take, reallocate, and borrow money raised by local governments for local purposes, Proposition 22 supersedes certain provisions of Proposition 1A of 2004. See “– Proposition 1A” herein. In addition, Proposition 22 generally eliminated the State’s authority to temporarily shift property taxes from cities, counties, and special districts to schools, temporarily increased school and community college district’s share of property tax revenues, prohibited the State from borrowing or redirecting redevelopment property tax revenues or requiring increased pass-through payments thereof, and prohibited the State from reallocating vehicle license fee revenues to pay for State-imposed mandates. In addition, Proposition 22 requires a two-thirds vote of each house of the State Legislature and a public hearing process to be conducted in order to change the amount of fuel excise tax revenues shared with cities and counties. The LAO stated that Proposition 22 would prohibit the State from enacting new laws that require redevelopment agencies to shift funds to schools or other agencies. However, the California Supreme Court, in *California Redevelopment Association v. Matosantos*, held that the dissolution provisions set forth in Assembly Bill No. 26 of the First Extraordinary Session (2011) were constitutional and permitted the State to allocate revenues that would have been directed to the redevelopment agencies to make pass-through payments (*i.e.*, payments that such entities would have received under prior law) to local agencies and to successor agencies for retirement of the debts and certain administrative costs of the redevelopment agencies.

Proposition 22 prohibits the State from borrowing sales taxes or excise taxes on motor vehicle fuels or changing the allocations of those taxes among local government except pursuant to specified procedures involving public notices and hearings. In addition, Proposition 22 requires that the State apply the formula setting forth the allocation of State fuel tax revenues to local agencies revert to the formula in effect on June 30, 2009. The LAO stated that Proposition 22 would require the State to adopt alternative actions to address its fiscal and policy objectives, particularly with respect to short-term cash flow needs.

The District does not believe that the adoption of Proposition 22 will have a significant impact on their respective revenues and expenditures.

Proposition 30

Proposition 30, which was approved by voters in the State in November 2012 (“Proposition 30”) authorized the State to temporarily increase the maximum marginal personal income tax rates for individuals, heads of households and joint filers above 9.3% by creating three additional tax brackets of 10.3%, 11.3% and 12.3%. The tax increases set forth in Proposition 30 were in effect from tax year 2012 to tax year 2018. In addition, Proposition 30 temporarily increased the State’s sales and use tax rate by 0.25% from 2013 to 2016.

Pursuant to Proposition 30, the State included revenues from the temporary tax increases in the general fund calculation of the Proposition 98 minimum guarantee for education spending. The State deposited a portion of the new general fund revenues into an Education Protection Account established to support funding for schools and community colleges. The remainder of the new general fund revenues was available to help the State balance its budget through fiscal year 2017-18. However, the allocation of such revenues to particular programs was subject to the discretion of the Governor and the State Legislature.

In addition, Proposition 30 amended the State Constitution to address certain provisions relating to the realignment of State program responsibilities to local governments. Proposition 30 required the State to continue to provide tax revenues that were redirected in calendar year 2011 (or equivalent funds) to local governments to pay for transferred program responsibilities. Further, Proposition 30 permanently excluded sales tax revenues that are redirected to local governments from the calculation of the Proposition 98 minimum guarantee for schools and community colleges.

The Proposition 30 sales and use tax increases expired at the end of the 2016 tax year. Under Proposition 30, the personal income tax increases were set to expire at the end of the 2018 tax year. However, the voters approved on November 8, 2016 the California Tax Extension to Fund Education and Healthcare Initiative (“Proposition 55”), which extended by twelve years the temporary personal income tax increases on incomes over \$250,000 that was first enacted by Proposition 30. Revenues from the tax increase will be allocated to school districts and community colleges in the State.

Proposition 2

General. Proposition 2, which included certain constitutional amendments to the State Rainy Day Fund and, upon its approval, triggered the implementation of certain provisions which could limit the amount of reserves that may be maintained by a school district, was approved by the voters in the November 2014 election.

State Rainy Day Fund. The Proposition 2 constitutional amendments related to the State Rainy Day Fund (i) require deposits into the State Rainy Day Fund whenever capital gains revenues rise to more than 8% of general fund tax revenues; (ii) set the maximum size of the State Rainy Day Fund at 10% of general fund revenues; (iii) for the next 15 years, require half of each year’s deposit to be used for supplemental payments to pay down the budgetary debts or other long-term liabilities and, thereafter, require at least half of each year’s deposit to be saved and the remainder used for supplemental debt payments or savings; (iv) allow the withdrawal of funds only for a disaster or if spending remains at or below the highest level of spending from the past three years; (v) require the State to provide a multiyear budget forecast; and (vi) create a Proposition 98 reserve (defined herein as the “Proposition 98 Rainy Day Fund”) to set aside funds in good years to minimize future cuts and smooth school spending. The State may deposit amounts into such account only after it has paid all amounts owing to school districts relating

to the Proposition 98 maintenance factor for fiscal years prior to fiscal year 2014-15. The State, in addition, may not transfer funds to the Proposition 98 Rainy Day Fund unless the State is in a Test 1 year under Proposition 98 or in any year in which a maintenance factor is created. For more information on limitations on school district reserves and the District's commitment of funds in fiscal years 2022-23 and 2023-24, see "STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves."

SB 858. Senate Bill 858 ("SB 858") became effective upon the passage of Proposition 2. SB 858 includes provisions which could limit the amount of reserves that may be maintained by a school district in certain circumstances. Under SB 858, in any fiscal year immediately following a fiscal year in which the State has made a transfer into the Proposition 98 Rainy Day Fund, any adopted or revised budget by a school district would need to contain a combined unassigned and assigned ending fund balance that (a) for school districts with an ADA of less than 400,000, is not more than two times the amount of the reserve for economic uncertainties mandated by the Education Code, or (b) for school districts with an ADA that is more than 400,000, is not more than three times the amount of the reserve for economic uncertainties mandated by the Education Code. In certain cases, the county superintendent of schools may grant a school district a waiver from this limitation on reserves for up to two consecutive years within a three-year period if there are certain extraordinary fiscal circumstances.

SB 751. Senate Bill 751 ("SB 751"), enacted on October 11, 2017, alters the reserve requirements imposed by SB 858. Under SB 751, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Proposition 98 Rainy Day Fund is equal to or exceeds 3% of the combined total general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised cannot have an assigned or unassigned ending fund balance that exceeds 10% of those funds. SB 751 excludes from the requirements of those provisions basic aid school districts (also known as community funded districts) and small school districts having fewer than 2,501 units of average daily attendance.

The District, which has an ADA between 30,001 and 400,000 students, is required to maintain a reserve for economic uncertainty in an amount equal to 2.00% of its general fund expenditures and other financing uses. The District's assigned and unassigned ending General Fund balance for fiscal year 2023-24 does not exceed 10% of the total General Fund expenditures and other financing uses. Thus, the District complies with the limitations on reserves. For more information on limitations on school district reserves and the District's commitment of funds in fiscal year 2023-24, see "STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves."

State School Facilities Bonds

General. The District applies for apportionments from State bond initiatives and historically has received funding from such State bond initiatives. No assurances can be given that the District will continue to apply for apportionments from current or future State bond initiatives or that the District will continue to receive funding from State bond initiatives for which it applies.

Proposition 47. The Class Size Reduction Kindergarten – University Public Education Facilities Bond Act of 2002 appeared on the November 5, 2002 ballot as Proposition 47 ("Proposition 47") and was approved by State voters. Proposition 47 authorized the sale and issuance of \$13.05 billion in general obligation bonds by the State to fund construction and renovation of K-12 school facilities (\$11.4 billion) and higher education facilities (\$1.65 billion). Proposition 47 includes \$6.35 billion for acquisition of land and new construction of K-12 school facilities. Of this amount, \$2.9 billion is set aside to fund backlog projects for which school districts submitted applications to the State on or prior to February 1, 2002. The balance of \$3.45 billion would be used to fund projects for which school districts submitted applications to the State after February 1, 2002. To be eligible for bond proceeds under Proposition 47, K-12 school districts are required to pay 50% of the costs for land acquisition and new construction with local

revenues. In addition, Proposition 47 provided that up to \$100 million of the \$3.45 billion would be allocated for charter school facilities. Proposition 47 provides up to \$3.3 billion for reconstruction or modernization of existing K-12 school facilities. Of this amount, \$1.9 billion will be set aside to fund backlog projects for which school districts submitted applications to the State on or prior to February 1, 2002 and the balance of \$1.4 billion would be used to fund projects for which school districts submitted applications to the State after February 1, 2002. K-12 school districts will be required to pay 40% of the costs for reconstruction or modernization with local revenues. Proposition 47 provides a total of \$1.7 billion to K-12 school districts which are considered critically overcrowded, specifically to schools that have a large number of pupils relative to the size of the school site. In addition, \$50 million will be available to fund joint-use projects. Proposition 47 also includes \$1.65 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in the State's public higher education systems. As of March 1, 2024, the District has received approximately \$949.88 million in funds attributable to Proposition 47.

Proposition 55 (2004). The Kindergarten-University Public Education Facilities Bond Act of 2004 appeared on the March 2, 2004 ballot as Proposition 55 ("Proposition 55 (2004)") and was approved by State voters. Proposition 55 (2004) authorizes the sale and issuance of \$12.3 billion in general obligation bonds by the State to fund construction and renovation of public K-12 school facilities (\$10 billion) and public higher education facilities (\$2.3 billion). Proposition 55 (2004) includes \$5.26 billion for the acquisition of land and construction of new school buildings. Under Proposition 55 (2004), a school district is required to provide a 50% matching share for new construction or a 60% matching share for modernization projects with local resources unless it qualifies for state hardship funding. Proposition 55 (2004) also allocates up to \$300 million of new construction funds for charter school facilities.

Proposition 55 (2004) makes \$2.25 billion available for the reconstruction or modernization of existing public school facilities. School districts would be required to pay 40% of project costs from local resources. Proposition 55 (2004) directs a total of \$2.44 billion to school districts with schools which are considered critically overcrowded. These funds would go to schools that have a large number of pupils relative to the size of the school site. Proposition 55 (2004) also makes a total of \$50 million available to fund joint-use projects. Proposition 55 (2004) includes \$2.3 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in these buildings for the State's public higher education systems. The measure allocates \$690 million to the University of California and California State University and \$920 million to community colleges in the State. The Governor and the State Legislature select specific projects to be funded by the bond proceeds. As of March 1, 2024, the District has received approximately \$2.31 billion in funds attributable to Proposition 55 (2004).

Proposition 1D. The Kindergarten-University Public Education Facilities Bond Act of 2006 was approved by State voters at the November 7, 2006 ballot as Proposition 1D ("Proposition 1D"). Proposition 1D authorizes the sale and issuance of \$10.4 billion in general obligation bonds by the State to fund construction and renovation of public K-12 school facilities (\$7.3 billion) and public higher education facilities (\$3.1 billion). Proceeds of bonds issued by the State under Proposition 1D are required to be deposited in the 2006 State School Facilities Fund established in the State Treasury under the Greene Act and allocated by the State Allocation Board. Proposition 1D includes \$1.9 billion for land acquisition and construction of new school buildings. Under Proposition 1D, a school district is required to pay for 50% of costs with local resources unless it qualifies for state hardship funding. Proposition 1D also allocates \$500 million for charter school facilities.

Proposition 1D makes \$3.3 billion available for the reconstruction or modernization of existing public school facilities. Districts would be required to pay 40% of project costs from local resources. Proposition 1D directs a total of \$1.0 billion to school districts with schools that are considered critically overcrowded. These funds would go to schools that have a large number of pupils relative to the size of

the school site. Proposition 1D also makes a total of \$29 million available to fund joint-use projects. Proposition 1D includes \$3.1 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in these buildings for the State’s public higher education systems. Pursuant to Proposition 1D, the Governor and the State Legislature select specific projects to be funded by the bond proceeds. As of March 1, 2024, the District has received approximately \$819.50 million in funds attributable to Proposition 1D.

Proposition 51. The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 was approved by State voters at the November 8, 2016 ballot as Proposition 51 (“Proposition 51”). Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds by the State to fund new construction of school facilities (\$3 billion), school facilities for charter schools (\$500 million), modernization of school facilities (\$3 billion), facilities for career technical education programs (\$500 million), and acquisition, construction, renovation, and equipping of community college facilities (\$2 billion). Proceeds of bonds issued by the State for K-12 under Proposition 51 are required to be deposited in the 2016 State School Facilities Fund established in the State Treasury under the Greene Act and allocated by the State Allocation Board. As of March 1, 2024, the District has received approximately 397.31 million in funds attributable to Proposition 51.

Future Initiatives

The foregoing described amendments to the State Constitution and propositions were each adopted as measures that qualified for the ballot pursuant to the State’s initiative process. From time to time, other initiative measures could be adopted that further affect District revenues or the District’s ability to expend revenues.

REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION

The District is located in the City of Los Angeles and portions of the County of Los Angeles. The following economic and demographic information pertains to the City of Los Angeles (the “City”) and the County of Los Angeles (the “County”). The historical data and results presented in the tables that follow may differ materially from future results as a result of economic or other factors.

The Series 2024A Bonds are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Series 2024A Bonds are not obligations of the City or the County.

Population

The following Table A-34 sets forth the estimates of the population of the City, the County and the State in calendar years 2019 through 2023.

TABLE A-34

**POPULATION ESTIMATES
2019 through 2023**

<u>Year</u> <u>(as of January 1)</u>	<u>City of</u> <u>Los Angeles</u>	<u>County of</u> <u>Los Angeles</u>	<u>State of</u> <u>California</u>
2019	3,986,031	10,163,139	39,605,361
2020	3,975,234	10,135,614	39,648,938
2021	3,853,323	9,931,338	39,303,157
2022	3,819,538	9,861,224	39,185,605
2023	3,766,109	9,761,210	38,940,231

Source: Department of Finance Demographic Research Unit.

Income

The following Table A-35 sets forth the median household income for the City, the County, the State and the United States for calendar years 2018 through 2022.

TABLE A-35

**MEDIAN HOUSEHOLD INCOME⁽¹⁾
2018 through 2022**

<u>Year</u>	<u>City of</u> <u>Los Angeles</u>	<u>County of</u> <u>Los Angeles</u>	<u>State of</u> <u>California</u>	<u>United States</u>
2018	\$62,474	\$68,093	\$75,277	\$61,937
2019	67,418	72,797	80,440	65,712
2020	65,290	71,358	78,672	64,994
2021	70,372	77,456	84,907	69,717
2022	76,135	82,516	91,551	74,755

⁽¹⁾ Estimated. In inflation-adjusted dollars.

Source: U.S. Census Bureau – Economic Characteristics – American Community Survey.

The following Table A-36 sets forth the distribution of income by certain income groupings per household for the City, the County, the State and the United States for calendar year 2022.

TABLE A-36
INCOME GROUPINGS 2022⁽¹⁾
(Percent of Households)

<u>Income Per Household</u>	<u>City of Los Angeles</u>	<u>County of Los Angeles</u>	<u>State of California</u>	<u>United States</u>
\$24,999 & Under	18.3%	15.9%	14.4%	16.0%
\$25,000-49,999	16.7	15.6	13.9	18.0
\$50,000 & Over	65.0	68.6	71.7	66.0

⁽¹⁾ Estimated. In inflation-adjusted dollars. Data may not add up due to rounding.

Source: U.S. Census Bureau – Economic Characteristics – American Community Survey.

Employment

The District is within the Los Angeles-Long Beach Primary Metropolitan Statistical Area Labor Market (Los Angeles County). The following Table A-37 sets forth wage and salary employment in the County from calendar years 2019 through 2023.

TABLE A-37
LABOR FORCE AND EMPLOYMENT IN THE COUNTY OF LOS ANGELES⁽¹⁾
2019 through 2023

	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>
Civilian Labor Force	5,153,100	4,968,900	4,994,100	4,984,800	5,015,600
Employment	4,926,100	4,355,900	4,548,900	4,739,900	4,763,600
Unemployment	227,000	613,000	445,200	244,900	252,000
Unemployment Rate	4.4%	12.3%	8.9%	4.9%	5.0%
Wage and Salary Employment					
Farm	4,400	4,400	4,600	4,900	4,700
Mining and Logging	1,900	1,700	1,600	1,600	1,700
Construction	149,800	146,500	149,800	150,900	151,000
Manufacturing	340,700	315,100	311,700	321,800	319,200
Trade, Transportation and Utilities	851,000	788,000	817,600	837,400	826,400
Information	215,300	191,000	213,200	235,000	193,000
Financial Activities	223,600	212,600	210,800	215,900	211,000
Professional and Business Services	647,000	599,800	629,500	668,900	652,500
Educational and Health Services	839,900	820,300	839,600	873,600	914,500
Leisure and Hospitality	547,200	393,500	429,300	511,300	534,100
Other Services	158,400	128,700	134,100	153,500	157,800
Government	586,900	570,200	558,200	568,500	582,300
Total ⁽¹⁾	<u>4,566,100</u>	<u>4,171,700</u>	<u>4,300,000</u>	<u>4,543,400</u>	<u>4,548,200</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

Source: California Employment Development Department, Labor Market Information Division.

The following Table A-38 sets forth taxable sales in the County for the calendar years 2019 through 2023.

TABLE A-38
COUNTY OF LOS ANGELES
TAXABLE TRANSACTIONS⁽¹⁾
2019 through 2023
(\$ in thousands)

Type of Business	2019	2020	2021	2022	2023
Motor Vehicle and Parts Dealers	\$ 18,954,470	\$ 18,534,326	\$ 23,555,049	\$ 25,236,081	\$23,403,883
Home Furnishings and Appliance Stores	7,308,501	6,608,482	8,177,309	7,682,325	6,946,670
Building Materials and Garden Equipment and Supplies Dealers	8,698,495	9,556,946	10,450,185	10,997,781	10,640,811
Food and Beverage Stores	7,255,360	7,650,294	7,861,401	8,137,012	8,224,646
Gasoline Stations	12,491,790	8,132,307	12,405,237	16,114,153	14,239,588
Clothing and Clothing Accessories Stores	12,536,982	9,498,705	13,957,944	14,388,631	13,904,314
General Merchandise Stores	12,910,844	12,263,784	14,541,309	15,072,717	14,514,788
Food Services and Drinking Places	25,097,944	17,006,158	23,577,050	27,861,821	29,314,178
Other Retail Group	<u>17,190,290</u>	<u>24,164,972</u>	<u>24,407,441</u>	<u>24,618,548</u>	<u>24,281,294</u>
Total Retail and Food Services	<u>\$122,444,678</u>	<u>\$113,415,974</u>	<u>\$138,932,925</u>	<u>\$150,109,069</u>	<u>\$145,470,173</u>
All Other Outlets	<u>\$ 49,868,925</u>	<u>\$ 44,322,010</u>	<u>\$53,340,253</u>	<u>\$62,671,752</u>	<u>\$61,880,723</u>
TOTAL ALL OUTLETS	<u>\$172,313,603</u>	<u>\$157,737,984</u>	<u>\$192,273,178</u>	<u>\$212,780,821</u>	<u>\$207,350,896</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

Source: California Department of Tax and Fee Administration, Taxable Sales in California.

Leading County Employers

The economic base of the County is diverse with no one sector being dominant. Some of the leading activities include government (including education), business/professional management services (including engineering), health services (including training and research), tourism, distribution, and entertainment. The following Table A-39 sets forth the major employers in the County as of August 2023.

TABLE A-39

**COUNTY OF LOS ANGELES
MAJOR EMPLOYERS⁽¹⁾
2023**

<u>Employer</u>	<u>Product/Service</u>	<u>Employees</u>
Los Angeles County	Government	100,729
Los Angeles Unified School District	Education	74,000
University of California, Los Angeles	Education	51,597
U.S. Government – Federal Executive Board	Government	50,000
Kaiser Permanente Southern California	Nonprofit health plan	44,769
City of Los Angeles	Government	34,421
State of California	Government	32,300
University of Southern California	Private university	23,227
Northrop Grumman Corp.	Systems and products in aerospace, electronics and information systems	18,000
Cedars-Sinai	Health system	16,730
Allied Universal	Provider of security services and technology solutions	15,326
Target Corp.	Retailer	15,000
Providence	Health care	14,395
Ralphs/Food 4 Less (Kroger Co. division)	Grocery retailer	14,000
Walt Disney Co.	Media and entertainment	12,200
Boeing Co.	Aerospace and defense, commercial jetliners, space and security systems	12,005
Long Beach Unified School District	Education	12,000
Los Angeles County Metropolitan Transportation Authority	Transportation	11,700
UPS	Logistics, transportation and freight	11,643
Los Angeles Community College District	Education	11,618
Home Depot	Home improvement retailer	11,200
Los Angeles Department of Water & Power	Energy	11,000
NBCUniversal	Media and entertainment	11,000
Amazon	Online retailer	10,500
AT&T Inc.	Telecommunications, DirecTV, cable, satellite and television provider	10,500
Albertsons Cos.	Retail grocer	10,406
California Institute of Technology	Private university, operator of Jet Propulsion Laboratory	9,224
California State University, Long Beach	Education	8,477
Edison International	Electric utility, energy services	7,672
City of Hope	Treatment and research center for cancer, diabetes and other life-threatening diseases	7,535
ABM Industries Inc.	Facility services, energy solutions, commercial cleaning, maintenance and repair	7,400
FedEx Corp.	Shipping and logistics	6,750
Children's Hospital Los Angeles	Nonprofit freestanding children's hospital	6,644
Dignity Health	Health care	6,263
Costco Wholesale	Membership chain of warehouse stores	6,002
Space Exploration Technologies Corp.	Rockets and spacecraft	6,000
City of Long Beach	Government	5,395
Mt. San Antonio Community College District	Education	4,400
California State University, Northridge	Education	4,282
Glendale Unified School District	Education	4,000
Los Angeles World Airports	Airport authority owner and operator	3,662
Cal Poly Pomona	Education	3,094

⁽¹⁾ This information was provided by representatives of the employers themselves and annual budget reports. Government agencies and companies are ranked by the current number of full-time employees in the County. Several organizations and companies may have qualified for this list, but failed to submit information or do not break out local employment data.

Source: "Largest Public-Sector Employers" and "Largest Private Sector Employers," Los Angeles Business Journal, August 28-September 3, 2023.

Construction

The following Table A-40 sets forth the valuation of permits for new residential buildings and the number of new single-family and multi-family dwelling units in the City for the years 2019 through 2023.

TABLE A-40
CITY OF LOS ANGELES
PERMIT VALUATIONS AND UNITS OF CONSTRUCTION⁽¹⁾
2019 through 2023
(\$ in thousands)

Year	New Residential Valuation	New Single Family Dwelling Units	New Multi-Family Dwelling Units	Total New Units
2019	\$3,726,652	2,623	11,291	13,914
2020	3,235,640	1,887	10,448	12,335
2021	3,013,650	2,469	11,667	14,136
2022	3,783,606	3,042	13,049	16,091
2023 ⁽²⁾	1,518,970	737	4,252	4,989

⁽¹⁾ Total may not equal sum of component parts due to rounding.

⁽²⁾ Values include data through July 31, 2023.

Source: California Homebuilding Foundation | Construction Industry Research Board.

The following Table A-41 sets forth the lending activity, home prices and sales, recorded notices of default, unsold new housing and vacancy rates of properties within the County from 2018 through 2022.

TABLE A-41
COUNTY OF LOS ANGELES
REAL ESTATE AND CONSTRUCTION INDICATORS
2018 through 2022

Indicator	2018	2019	2020	2021	2022⁽³⁾
Construction Lending ⁽¹⁾	\$20,419	\$14,193	\$9,247	\$11,038	\$5,583
Residential Purchase Lending ⁽¹⁾	\$48,203	\$56,480	\$72,996	\$96,872	\$38,879
New & Existing Median Home Prices	\$598,387	\$614,080	\$674,964	\$777,767	\$844,008 ⁽²⁾
New & Existing Home Sales	75,086	73,548	71,479	90,259	38,471
Notices of Default Recorded	9,726	9,821	4,858	3,566	3,434
Office Market Vacancy Rates ⁽²⁾	14.4%	13.9%	14.9%	18.5%	19.5%
Industrial Market Vacancy Rates ⁽²⁾	1.4%	1.2%	1.8%	1.2%	0.9%

⁽¹⁾ Dollars in millions.

⁽²⁾ Average of quarterly data.

⁽³⁾ Values reflect second quarter of 2022.

Source: Real Estate Research Council of Southern California – Second Quarter 2022 (2018-2022).

The following Table A-42 sets forth information with respect to building permits and building valuations in the County from 2019 through 2023.

TABLE A-42

**COUNTY OF LOS ANGELES
BUILDING PERMITS AND VALUATIONS⁽¹⁾
2019 through 2023**

	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>
Residential Building Permits (Units)					
New Residential Permits					
Single Family	5,738	6,198	7,327	8,301	2,462
Multi-Family	<u>15,884</u>	<u>14,056</u>	<u>16,718</u>	<u>18,912</u>	<u>7,769</u>
Total Residential Building Permits	<u>21,622</u>	<u>20,254</u>	<u>24,045</u>	<u>27,213</u>	<u>10,231</u>
Building Valuations (\$ in millions)					
Residential Building Valuations					
Single Family	\$1,967	\$1,874	\$2,086	\$2,180	\$1,056
Multi-Family	2,961	2,790	3,027	3,524	1,369
Alterations and Additions	<u>1,626</u>	<u>1,014</u>	<u>908</u>	<u>1,423</u>	<u>1,060</u>
Residential Building Valuations	<u>\$6,554</u>	<u>\$5,678</u>	<u>\$6,021</u>	<u>\$7,127</u>	<u>\$3,485</u>
Subtotal					
Non-Residential Building Valuations					
New Industrial Buildings	\$ 64	\$ 32	\$ 28	\$ 25	\$ 129
Office Buildings	475	242	162	69	75
Store & Other Mercantile	1,338	897	170	879	348
Hotels and Motels	203	232	53	40	68
Alterations and Additions	3,404	1,241	946	2,417	1,352
Amusement and Recreation	32	2	38	3	15
Parking Garages	231	103	0	80	445
Service Stations and Repair Garages	1	72	1	6	1
Other	<u>840</u>	<u>691</u>	<u>466</u>	<u>661</u>	<u>497</u>
Non-Residential Building Valuations	<u>\$6,590</u>	<u>\$3,513</u>	<u>\$1,863</u>	<u>\$4,184</u>	<u>\$2,929</u>
Subtotal					
Total Building Valuations	<u>\$13,144</u>	<u>\$9,191</u>	<u>\$7,884</u>	<u>\$11,311</u>	<u>\$6,414</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

Sources: California Homebuilding Foundation | Construction Industry Research Board.

GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS

The following are definitions and abbreviations of certain terms used in this Appendix A.

“AALA” means the Associated Administrators of Los Angeles, which represents the middle managers in the District.

“ADA” means average daily attendance, a measure of pupil attendance used as the basis for providing revenue to school districts and as a measure of unit costs. ADA includes only in-seat attendance.

“CAFR” means comprehensive annual financial report.

“CalPERS” means the California Public Employees’ Retirement System, a defined benefit plan which covers classified personnel who work four or more hours per day.

“CalSTRS” means the California State Teachers’ Retirement System, a defined benefit plan which covers all full-time certificated and some classified District employees.

“CARES Act” means Coronavirus Aid, Relief and Economic Security Act.

“CDE” means the California Department of Education.

“COLA” means cost-of-living adjustments, which is used in determining the District’s funding from the State.

“Common Core” means Common Core State Standards.

“COPS” means certificates of participation.

“COVID-19” means Coronavirus Disease 2019.

“CSEA” means California School Employees Association.

“EL” means English learners, a classification for students.

“FRPM” means free or reduced-price meal.

“GASB” means the Governmental Accounting Standards Board, an operating entity of the Financial Accounting Foundation establish to set standards of financial accounting and reporting for state and local governmental entities.

“ISMP” means the Information Security Management Program.

“LACOE” means the Los Angeles County Office of Education.

“LAO” means the Legislative Analyst’s Office of the State of California.

“LASPA” means the Los Angeles Sheriff’s Professional Association.

“LASPMA” means the Los Angeles School Police Management Association.

“LCAP” means the Local Control and Accountability Plan.

“LCFF” means the Local Control Funding Formula.

“LEA” means local education agency as defined under the NCLB Act.

“LI” means students classified as foster youth.

“OCIP” means owner controlled insurance program.

“OPEB” means Other Post-Employment Benefits.

“PARS” means the Public Agency Retirement System, a defined contribution plan which covers the District’s part-time, seasonal, temporary and other employees not otherwise covered by CalPERS or CalSTRS, but whose salaries would otherwise be subject to Social Security tax.

“PEPIP” means the Public Entity Property Insurance Program, an insurance pool comprised of certain cities, counties and school districts.

“PEPRA” means the California Public Employees’ Pension Reform Act of 2013.

“PERB” means the Public Employee Relations Board.

“PLL” means pollution legal liability.

“SEIU” means Service Employees International Union.

“SUP” means School Upgrade Program.

“UAAL” means unfunded actuarial accrued liability.

“UTLA” means the United Teachers Los Angeles, which is the collective bargaining unit representing teachers and support service personnel of the District.